

**NEW ISSUE
BOOK ENTRY ONLY**

NOT RATED

In the opinion of Bond Counsel, under existing law and assuming continuous compliance with certain tax covenants described herein, (i) the interest on the Bonds is excludable from gross income for Federal income tax purposes, and (ii) the interest on the Bonds is not an enumerated item of tax preference or adjustment for purposes of the Federal alternative minimum tax imposed on individuals and corporations; however, for tax years beginning before January 1, 2018, such interest will be taken into account in determining adjusted current earnings for the purpose of computing the Federal alternative minimum tax imposed on certain corporations. As described herein under "Tax Matters," other Federal income tax consequences may arise from ownership of the Bonds. In the further opinion of Bond Counsel, under the existing law of the State of Maryland, the interest on the Bonds and profit realized from the sale or exchange of the Bonds is exempt from income taxation by the State of Maryland or by any of its political subdivision; however, the law of the State of Maryland does not expressly refer to, and no opinion is expressed concerning, estate or inheritance taxes or any other taxes not levied directly on the Bonds or the interest thereon. See "TAX MATTERS" herein.



\$16,975,000
MONTGOMERY COUNTY, MARYLAND
Economic Development Revenue Bonds
(Friends House Retirement Community Project)
Series 2018A

Dates, Interest Rates, Principal Amounts, Prices, Yields and CUSIP Numbers Shown on the Inside Cover

The Series 2018A Bonds (as defined herein) are issuable only as fully-registered bonds in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC") and will be available to ultimate purchasers ("Beneficial Owners") under the book-entry only system maintained by DTC, only through brokers and dealers who are, or act through, DTC Participants. Purchases by Beneficial Owners will be made in book-entry only form in denominations of \$100,000 and integral multiples of \$5,000 in excess thereof. Beneficial Owners will not be entitled to receive physical delivery of the Series 2018A Bonds. Interest on the Series 2018A Bonds accrues from their date of delivery and is payable on each January 1 and July 1 of each year, commencing January 1, 2019, until maturity or prior redemption. So long as Cede & Co. is the registered owner of the Series 2018A Bonds, payments of principal of, premium, if any, and interest on the Series 2018A Bonds are required to be made to Beneficial Owners by DTC through its participants. See "BOOK-ENTRY ONLY SYSTEM" herein.

The Series 2018A Bonds are issued by Montgomery County, Maryland (the "Issuer"), under a Bond Trust Indenture dated as of August 1, 2018 (the "Bond Indenture"), between the Issuer and Wilmington Trust, National Association, as bond trustee (the "Bond Trustee"). The Series 2018A Bonds will be limited obligations of the Issuer and, except to the extent that payment thereof may be made from the proceeds of the sale of the Series 2018A Bonds or any investment income therefrom, will be payable solely out of certain payments under the Loan Agreement, the Series 2018A Notes, and the Series 2018A Master Obligations (each as defined herein), and by recourse to collateral pledged under the Master Trust Indenture (defined below) and the Deed of Trust and Security Agreement dated as of August 1, 2018 from the Obligor (hereinafter defined) to the trustees named therein for the benefit of the beneficiaries named therein (the "Deed of Trust") and from moneys pledged under the Bond Indenture as described herein. That certain Master Trust Indenture dated as of August 1, 2018 (the "Master Trust Indenture"), as supplemented by Supplemental Indenture Number 1 dated as of August 1, 2018 (the "Supplemental Indenture"); the Master Trust Indenture and the Supplemental Indenture being sometimes referred to collectively as the "Master Indenture"), between an Obligated Group, whose sole current member is

FRIENDS HOUSE RETIREMENT COMMUNITY, INC.

a nonstock corporation organized and existing under the laws of the State of Maryland (the "Obligor"), and Wilmington Trust, National Association, as Master Trustee, sets forth certain covenants and obligations of the Obligor with respect to the Series 2018A Master Obligation which is being issued concurrently with the Series 2018A Bonds. The Issuer will loan the proceeds of the Series 2018A Bonds to the Obligor pursuant to a Loan Agreement dated as of August 1, 2018 (the "Loan Agreement"), between the Issuer and the Obligor.

The proceeds of the sale of the Series 2018A Bonds will be loaned to the Obligor and used, together with other available moneys described herein (including, without limitation, a portion of the proceeds of the Series 2018B Bond (as defined herein) and equity contributed by the Obligor), (i) to pay or reimburse the Obligor for the payment of the costs of constructing a renovation and expansion of the Obligor's existing continuing care retirement community known as "Friends House Retirement Community" (the "Community"), consisting of (a) the renovation and expansion of the Community's existing commons building, (b) the demolition and removal of two vacant cottages, (c) the construction, furnishing and equipping of approximately 14 new residential cottage units and approximately 33 residential apartment units to be located in approximately three buildings, and (d) other associated site work and development located on an approximately 62 acre site in Sandy Spring, Montgomery County, Maryland, necessary or useful furnishings, equipment and machinery, and such interests in land as may be necessary or suitable for the foregoing, including roads and rights of access, utilities and other necessary site preparation improvements (all of the foregoing, the "Project"), (ii) to fund a separate debt service reserve account for the Series 2018A Bonds; (iii) to pay capitalized interest on the Series 2018A Bonds through approximately December, 2019; and (iv) to pay certain expenses incurred in connection with the issuance of the Series 2018A Bonds.

The Series 2018A Bonds are not rated. An investment in the Series 2018A Bonds involves a certain degree of risk related to, among other things, the nature of the Obligor's business, the regulatory environment, and the provisions of the principal documents. A prospective Bondholder is advised to read "SECURITY FOR THE SERIES 2018A BONDS" and "CERTAIN BONDHOLDERS' RISKS" herein for a discussion of certain risk factors that should be considered in connection with an investment in the Series 2018A Bonds.

THE SERIES 2018A BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. THE SERIES 2018A BONDS AND ANY PREMIUM AND INTEREST THEREON ARE NOT A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE SERIES 2018A BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

The Series 2018A Bonds are being offered, subject to prior sale and withdrawal of such offer without notice, when, as and if issued by the Issuer and accepted by Herbert J. Sims & Co., Inc. (the "Underwriter") subject to the approving opinion of Venable LLP, Bond Counsel. Certain legal matters will be passed upon for the Obligor by its counsel, Whiteford, Taylor & Preston LLP; and for the Underwriter by its counsel, Miles & Stockbridge P.C. It is expected that the Series 2018A Bonds will be available for delivery to the Bond Trustee on behalf of DTC under the DTC FAST system of registration, against payment therefor, on or about August 23, 2018.



\$16,975,000
MONTGOMERY COUNTY, MARYLAND
Economic Development Revenue Bonds
(Friends House Retirement Community Project)
Series 2018A

The Series 2018A Bonds will be issuable in fully-registered form without coupons in denominations of \$100,000 and integral multiples of \$5,000 in excess thereof. Interest on the Series 2018A Bonds will be payable on each January 1 and July 1, commencing January 1, 2019.

MATURITIES, AMOUNTS, INTEREST RATES, YIELDS, PRICES AND CUSIPS

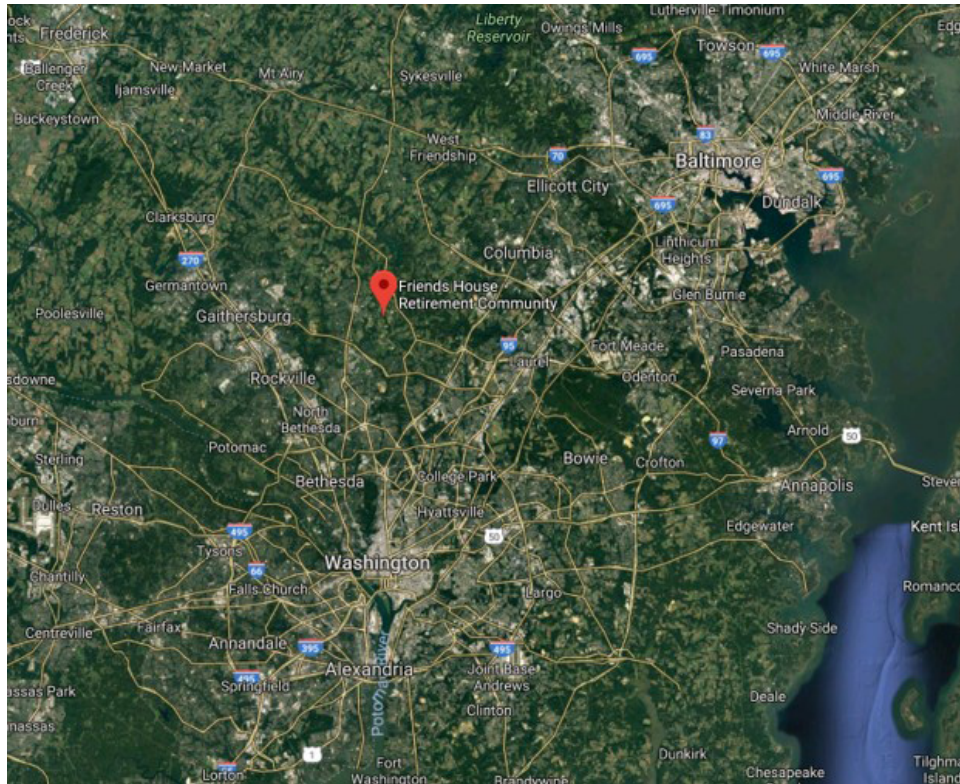
\$16,975,000 Series 2018A Bonds

\$2,175,000 5.000% Term Bonds due July 1, 2033, Yield 4.500%*, Price 103.613%, CUSIP 613342 DG6

\$4,175,000 5.000% Term Bonds due July 1, 2039, Yield 4.750%*, Price 101.784%, CUSIP 613342 DH4

\$10,625,000 5.375% Term Bonds due July 1, 2048, Yield 4.900%*, Price 103.372%, CUSIP 613342 DJ0

* Yield as of and priced to July 1, 2027



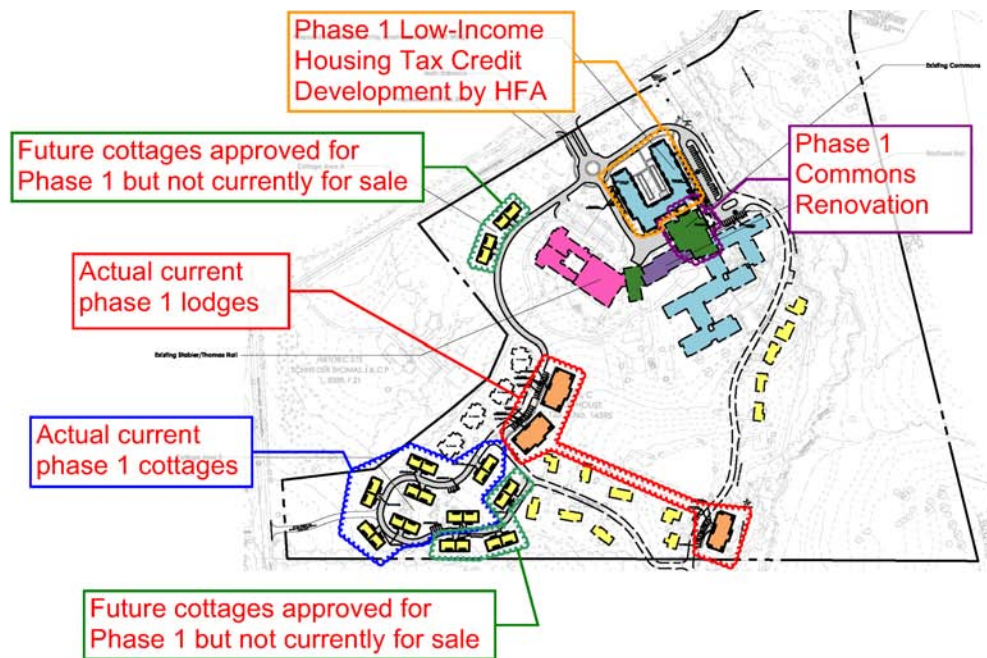
Friends House Location – Washington D.C. / Baltimore Metro Area



Existing Community Site Plan (prior to expansion)

Legend

- Independent Living - Apartments
- Independent Living - Lodge
- Independent Living - Cottage
- Existing Duplexes
- Assisted Living
- Skilled Nursing
- Commons



Future Community Site Plan



Future Campus Map Rendering



Commons Renovation Plan



Renovated Commons Entrance



Renovated Commons Lobby



Renovated Commons Dining Room



Rendering of Cottages



Rendering of Lodges

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PRELIMINARY NOTICES

No dealer, salesman or other person has been authorized to give any information or to make any representations other than those contained in this Official Statement, and if given or made, such information or representations must not be relied upon as having been authorized by the Obligor, the Issuer or the Underwriter. The information set forth herein concerning the Obligor has been furnished by the Obligor and is believed to be reliable but is not guaranteed as to accuracy or completeness by, and is not to be construed as a representation by, the Issuer or the Underwriter. This Official Statement does not constitute an offer to sell or a solicitation of an offer to buy any of the securities offered hereby in any state to any person to whom it is unlawful to make such offer in such state. Except where otherwise indicated, this Official Statement speaks as of the date hereof. The information and expressions of opinion herein are subject to change without notice and neither the delivery of this Official Statement nor any sale hereunder will under any circumstances create any implication that there has been no change in the affairs of the Obligor since the date hereof.

In making an investment decision, investors must rely on their own examination of the Series 2018A Bonds, the Obligor, the Project and the terms of the offering, including the merits and risks involved. The Series 2018A Bonds have not been recommended by any federal or state securities commission or regulatory authority. Furthermore, no such commission or regulatory authority has confirmed the accuracy or determined the adequacy of this Official Statement. Any representation to the contrary is a criminal offense. The Underwriter has provided the following sentence for inclusion in this Official Statement. The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information. The information contained in this Official Statement has been furnished by the Obligor, the Issuer, DTC and other sources which are believed to be reliable, but such information is not guaranteed as to accuracy or completeness by, and is not to be construed as a representation of, the Underwriter. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the parties referred to above since the date hereof.

OTHER THAN WITH RESPECT TO INFORMATION CONCERNING THE ISSUER CONTAINED IN THE SHORT STATEMENT AND INTRODUCTION UNDER THE CAPTION "THE ISSUER" AND "LITIGATION" HEREIN, NONE OF THE INFORMATION IN THIS OFFICIAL STATEMENT HAS BEEN SUPPLIED OR VERIFIED BY THE ISSUER, AND THE ISSUER MAKES NO REPRESENTATION OR WARRANTY, EXPRESS OR IMPLIED, AS TO THE ACCURACY OR COMPLETENESS OF SUCH INFORMATION.

References to website addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such websites and the information or links contained therein are not incorporated into, and are not part of, this offering document for purposes of, and as that term is defined in, SEC Rule 15c2-12.

THE SERIES 2018A BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, AND NEITHER THE BOND INDENTURE NOR THE MASTER INDENTURE HAS BEEN QUALIFIED UNDER THE TRUST INDENTURE ACT OF 1939, AS AMENDED, IN RELIANCE UPON EXEMPTIONS CONTAINED IN SUCH ACTS. THE REGISTRATION OR QUALIFICATION OF THE SERIES 2018A BONDS IN ACCORDANCE WITH APPLICABLE PROVISIONS OF LAWS OF THE STATES IN WHICH SERIES 2018A BONDS HAVE BEEN REGISTERED OR QUALIFIED AND THE EXEMPTION FROM REGISTRATION OR QUALIFICATION IN OTHER STATES CANNOT BE REGARDED AS A RECOMMENDATION THEREOF. NEITHER THESE STATES NOR ANY OF THEIR AGENCIES HAVE PASSED UPON THE MERITS OF THE SERIES 2018A BONDS OR THE ACCURACY OR COMPLETENESS OF THIS OFFICIAL STATEMENT. ANY REPRESENTATION TO THE CONTRARY MAY BE A CRIMINAL OFFENSE.

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITER MAY OVER-ALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE SERIES 2018A BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITER MAY OFFER AND SELL THE SERIES 2018A BONDS TO CERTAIN DEALERS AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITER. THE SERIES 2018A BONDS HAVE NOT BEEN REGISTERED WITH THE SECURITIES AND EXCHANGE COMMISSION UNDER THE SECURITIES ACT OF 1933, AS AMENDED, IN RELIANCE ON CERTAIN EXEMPTIONS FROM REGISTRATION.

CAUTIONARY STATEMENTS REGARDING FORWARD-LOOKING STATEMENTS

This Official Statement contains statements which should be considered “forward-looking statements,” within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended, meaning they refer to possible future events or conditions. Such statements are generally identifiable by the words such as “anticipate,” “believe,” “budget,” “estimate,” “expect,” “intend,” “plan,” “forecast,” or similar words.

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS THAT MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. THE OBLIGOR DOES NOT EXPECT OR INTEND TO ISSUE ANY UPDATES OR REVISIONS TO THOSE FORWARD-LOOKING STATEMENTS IF OR WHEN ITS EXPECTATIONS CHANGE, OR EVENTS, CONDITIONS OR CIRCUMSTANCES ON WHICH SUCH STATEMENTS ARE BASED OCCUR.

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SHORT STATEMENT

The information set forth in this short statement is subject in all respects to more complete information set forth elsewhere in this Official Statement, which should be read in its entirety including Management assumptions, methodology and rationale underlying the Financial Feasibility Study appearing as Appendix C to this Official Statement. The Financial Feasibility Study included as Appendix C hereto should be read in its entirety.

The offering of the Series 2018A Bonds to potential investors is made only by means of this entire Official Statement. No person is authorized to detach this short statement from this Official Statement or otherwise to use it without this entire Official Statement. For the definitions of certain words and terms used in this short statement, see Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

The Issuer

The Issuer is a political subdivision of the State of Maryland.

Pursuant to the provisions of the Maryland Economic Development Revenue Bond Act, being Sections 12-101 through 12-118, inclusive, of the Economic Development Article of the Annotated Code of Maryland, as amended (the “Act”), the Issuer is authorized to issue revenue bonds for the purpose of financing the cost of the acquisition or improvement of a facility. The term “facility,” as defined in the Act, means any land or an interest in the land, structure, working capital, equipment, or other property, or any combination of them, the acquisition or improvement of which the legislative body of a municipal corporation, in its sole discretion, determines by resolution will accomplish one or more of the legislative purposes set forth in the Act.

THE SERIES 2018A BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. THE SERIES 2018A BONDS AND ANY PREMIUM AND INTEREST THEREON ARE NOT A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE SERIES 2018A BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

The Series 2018A Bonds

The Issuer proposes to issue \$16,975,000 aggregate principal amount of its Economic Development Revenue Bonds (Friends House Retirement Community Project) Series 2018A (collectively, the “Series 2018A Bonds”).

The Series 2018A Bonds are issued by the Issuer under a Bond Trust Indenture dated as of August 1, 2018 (the “Bond Indenture”), between the Issuer and Wilmington Trust, National Association, as bond trustee (the “Bond Trustee”). The Series 2018A Bonds will be limited obligations of the Issuer and, except to the extent that payment thereof may be made from the proceeds of the sale of the Series 2018A Bonds or any investment income therefrom, will be payable solely out of certain payments under the Loan Agreement (as defined herein), the Series 2018A Note (as defined below), and the Series 2018A Master Obligation (each as defined herein), by recourse to the collateral pledged pursuant to the Master Indenture (hereinafter defined) and the Deed of Trust and Security Agreement dated as of August 1, 2018, from the Obligor (as defined herein) to the trustees named therein for the benefit of the beneficiaries named therein (the “Deed of Trust”) and from moneys pledged under the Bond Indenture as described herein. That certain Master Trust Indenture dated as of August 1, 2018 (the “Master Trust Indenture”), as supplemented by that certain Supplemental Indenture Number 1 dated as of August 1, 2018 (the “Supplemental Indenture”; the Master Trust Indenture and the Supplemental Indenture being sometimes referred to collectively as the “Master Indenture”) between an Obligated Group, whose sole current member is Friends House Retirement Community, Inc., a nonstock corporation organized and existing under the laws of the State of Maryland (the “Obligor”), and Wilmington Trust, National Association, as Master Trustee, sets forth certain covenants and obligations of the Obligor with respect to the Series 2018A Master Obligations, which are being issued concurrently

with the Series 2018A Bonds. The Issuer will loan the proceeds of the Series 2018A Bonds to the Obligor pursuant to a Loan Agreement dated as of August 1, 2018 (the “Loan Agreement”), between the Issuer and the Obligor.

The proceeds of the sale of the Series 2018A Bonds will be loaned to the Obligor and used, together with other available moneys described herein (including, without limitation, a portion of the proceeds of the Series 2018B Bond (as defined below)), (i) to pay or reimburse the Obligor for the payment of the costs of constructing a renovation and expansion of the Obligor’s existing continuing care retirement community, consisting of (A) the renovation and expansion of the existing commons building, (B) the demolition and removal of two vacant cottages, (C) the construction, furnishing and equipping of approximately 14 new residential cottage units and approximately 33 residential apartment units and (D) associated site work and development, all to be located on an approximately 62 acre site in Sandy Spring, Montgomery County, Maryland known as “Friends House Retirement Community”; (ii) to fund a debt service reserve account for the Series 2018A Bonds; (iii) to pay capitalized interest on the Series 2018A Bonds through approximately December, 2019; and (iv) to pay certain expenses incurred in connection with the issuance of the Series 2018A Bonds.

See “THE SERIES 2018A BONDS” herein.

The Series 2018B Bond

Simultaneously with the issuance of the Series 2018A Bonds, the Issuer will issue its not to exceed \$13,200,000 Economic Development Revenue Bond (Friends House Retirement Community Project) Series 2018B (the “Series 2018B Bond”). The Series 2018B Bond is being issued pursuant to the Act, the Resolution and that certain Loan and Financing Agreement dated as of August 1, 2018 (the “Series 2018B Loan and Financing Agreement”) among the Issuer, Compass Mortgage Corporation (the “Series 2018B Lender”) and the Obligor. Under the terms of the Series 2018B Loan and Financing Agreement, the Issuer is issuing the Series 2018B Bond and agreeing to lend the proceeds thereof to the Obligor, the Obligor is agreeing to make loan payments at times sufficient to pay principal, premium (if any) and interest on the Series 2018B Bond, and the Series 2018B Lender is agreeing to purchase the Series 2018B Bond on the terms and conditions set forth therein and in the Disbursement Agreement defined below. The Series 2018B Bond is secured by a promissory note (the “Series 2018B Master Obligation”) issued pursuant to the Master Indenture on a parity with all of the other Senior Master Obligations (as defined herein), including the Series 2018A Master Obligation. The sale of the Series 2018A Bonds is contingent upon the satisfaction of any conditions precedent to the initial advance of proceeds under the Series 2018B Bond. **The Series 2018B Bond is not being offered pursuant to this Official Statement.**

The Series 2018B Bond is being issued on a draw-down basis, and the Series 2018B Lender will hold the Series 2018B Bond. The purchase price of the Series 2018B Bond will be paid through periodic advances of the proceeds of the Series 2018B Bond (“Series 2018B Bond Proceeds Advances”) in accordance with the Series 2018B Loan and Financing Agreement and the Construction Monitoring and Disbursement Agreement dated as of August 1, 2018, among jhme Real Estate Advisors, LLC, a Texas limited liability company (the “Construction Monitor”), the Series 2018B Lender, the Bond Trustee and the Obligor (the “Disbursement Agreement”). Except as otherwise provided in the Series 2018B Loan and Financing Agreement, the principal amount of the Series 2018B Bond outstanding and due shall only be the aggregate amount that has been drawn down and not repaid and interest shall only accrue on such principal amount of the Series 2018B Bond that has actually been drawn. See “CERTAIN BONDHOLDERS’ RISKS – The Series 2018B Bond is a Draw-Down Bond.”

Under the terms of the Disbursement Agreement, the Obligor may make requests for Series 2018B Bond Proceeds Advances on a monthly basis or more frequently as acceptable to the Series 2018B Lender and such requests shall be made in accordance with the Disbursement Agreement.

Prior to the occurrence of an Event of Default, the Series 2018B Bond is payable from the release of Initial Entrance Fees in accordance with the operation of the Entrance Fee Fund. See “Plan of Financing – Application of Initial Entrance Fees” herein. The Series 2018B Bond matures August 1, 2029. The Series 2018 B Loan and Financing Agreement provides that the Series 2018B Bond is subject to special mandatory redemption on the last business day of August 2019, 2020 and 2021, in the following respective amounts of not less than: \$2,000,000, \$3,000,000 and \$5,200,000 (the “Mandatory Repayment Amounts”).

Amounts transferred from the Entrance Fee Fund to pay the Series 2018B Bond are credited against the Mandatory Repayment Amounts in order of when due. The Feasibility Study anticipates that Initial Entrance Fees in

the amount of \$10,200,000 will be applied to the Series 2018B Bond by June 30, 2020, thus fully satisfying the Mandatory Repayment Amounts. See “APPENDIX C – Financial Feasibility Study.”

The remaining Outstanding principal amount of the Series 2018B Bond of not more than \$3,000,000 will be fully amortized by the maturity of the Series 2018B Bond.

No debt service reserve fund will be established for the benefit of the Series 2018B Lender. The Debt Service Reserve Fund for the Series 2018A Bonds does not secure the Series 2018B Bond.

Description of the Series 2018A Bonds

Redemption. The Series 2018A Bonds are subject to redemption prior to their stated maturity. See “THE SERIES 2018A BONDS – Redemption Prior to Maturity” herein.

Denominations. The Series 2018A Bonds are issuable in denominations of \$100,000 and integral multiples of \$5,000 in excess thereof. See “THE SERIES 2018A BONDS – General” herein.

Registration, Transfers and Exchanges. The Series 2018A Bonds are issuable only as fully-registered bonds in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”) and will be available to ultimate purchasers (“Beneficial Owners”) under the book-entry only system maintained by DTC, only through brokers and dealers who are, or act through, DTC Participants. Beneficial Owners will not be entitled to receive physical delivery of the Series 2018A Bonds. Transfers of ownership interests in the Series 2018A Bonds are to be accomplished by entries made on the books of DTC Participants acting on behalf of Beneficial Owners. See “BOOK-ENTRY ONLY SYSTEM” herein.

Payments. Interest on the Series 2018A Bonds is payable on January 1 and July 1 of each year (each such date, an “Interest Payment Date”), commencing January 1, 2019. Payment of the principal of and interest on Series 2018A Bonds will be made by the Bond Trustee directly to Cede & Co., as nominee of DTC, and will subsequently be disbursed to DTC Participants and thereafter by the DTC Participants to Beneficial Owners of the Series 2018A Bonds. See “BOOK-ENTRY ONLY SYSTEM” herein.

Tax Exemption. In the opinion of Venable LLP, Bond Counsel, under existing law and assuming continuous compliance with certain tax covenants described herein, (i) the interest on the Series 2018A Bonds is excludable from gross income for Federal income tax purposes, and (ii) the interest on the Series 2018A Bonds is not an enumerated item of tax preference or adjustment for purposes of the Federal alternative minimum tax imposed on individuals and corporations; however, such interest will be taken into account in determining adjusted current earnings for the purpose of computing the Federal alternative minimum tax imposed on certain corporations (as defined for federal income tax purposes) for tax years beginning before January 1, 2018. The alternative minimum tax for corporations is repealed for taxable years beginning after December 31, 2017.

In the opinion of Bond Counsel, under the existing law of the State of Maryland, the interest on the Series 2018A Bonds and profit realized from the sale or exchange of the Series 2018A Bonds is exempt from income taxation by the State of Maryland or by any of its political subdivision; however, the law of the State of Maryland does not expressly refer to, and no opinion is expressed concerning, estate or inheritance taxes or any other taxes not levied directly on the Series 2018A Bonds or the interest thereon. Prospective purchasers of the Series 2018A Bonds should consult their own tax advisors with respect to the state and local tax consequences of ownership of the Series 2018A Bonds, including the taxable status of the Series 2018A Bonds and the interest payable on such obligations, in a particular state or local jurisdiction other than the Issuer.

For a discussion of certain representations and assumptions on which such opinions are based and limitations on the scope of such opinions, see “TAX MATTERS” herein.

The Obligor

The Obligor is a nonstock Maryland corporation that has been in operation since 1962. The Obligor has been determined by the Internal Revenue Service (the “IRS”) to be exempt from federal income taxation as an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986, as amended (the “Code”). The Obligor received a letter from the IRS dated November 17, 2017, confirming that the Obligor is a charitable

organization as described in the Code and referencing the IRS determination letter issued in April, 1969, which recognized the legal predecessor to the Obligor as tax-exempt under Section 501(c)(3) of the Code.

The Obligor provides housing and such other related services as a full-service retirement community, including long-term healthcare services, at its approximately 62 acre campus in Sandy Spring, Montgomery County, Maryland. A description of the Obligor and the Community is attached hereto as Appendix A. The Obligor is the surviving entity in a merger of Friends House, a District of Columbia corporation, into Friends House Nursing Home, Inc., a Maryland corporation. The merger was completed on September 22, 2017.

The Existing Community

The Obligor's facility currently consists of 32 independent living units and 75 low-income units that were previously HUD units. It is also licensed and equipped for 82 comprehensive care beds and 21 assisted-living beds. Until recently, the Obligor operated a 100 HUD unit apartment building, which was reduced to 75 units, as 25 units were removed from service. The Obligor plans to replace the apartment building, as a separate project and not part of this financing, with a new 80-unit low-income housing tax credit financed apartment building through a partnership with Homes for America, Inc. (the "Homes for America Project"). The Homes for America Project building will not be owned by the Obligor, and such building and the underlying land owned by the Obligor and leased to the Obligor's partnership with Homes for America, will not serve as collateral for the Master Obligations or the Series 2018 Bonds. With respect to the Homes for America Project see "Excluded Property" below. See "THE EXISTING COMMUNITY" in Appendix A hereto.

The Project Description

The Project will consist of (i) the renovation and expansion of the existing commons building, (ii) the demolition and removal of two vacant cottages, (iii) the construction, furnishing and equipping of approximately 14 new cottage units and approximately 33 apartment units to be located in approximately 3 buildings (the "Project Independent Living Units") and (iv) other associated site work and development. The Maryland Department of Aging gave preliminary approval for the Project by letter to the Obligor dated April 24, 2017 and issued an initial certificate of registration for the Project on July 18, 2018. See Appendix A hereto for a description of the Obligor, the Project and the Existing Community. See also "FINANCIAL FEASIBILITY STUDY" in Appendix C hereto.

Excluded Property

The Homes for America Project will involve the creation of a separate ownership unit or such other estate available in Montgomery County, Maryland (the "HFA Parcel") consisting of an approximately 2 acre parcel within the Obligor's campus. It is contemplated that the HFA Parcel will be leased by the Obligor to a joint venture between the Obligor and Homes for America, Inc. While the process of creating the HFA Parcel has commenced at closing of the Series 2018 Bonds, the creation of the HFA Parcel will not have been completed and the property comprising the HFA Parcel will be subject to the lien of the Deed of Trust. Upon completion of the creation of the HFA Parcel and the recordation thereof among the Land Records of Montgomery County, Maryland and satisfaction of other conditions, the Deed of Trust will provide a mechanism for the release of the HFA Parcel without any reduction in principal of the Series 2018A Bonds, the Series 2018B Bond, the Series 2018A Note, the Series 2018B Note, the Series 2018A Master Obligation, the Series 2018B Master Obligation or any other indebtedness of the Obligor. Conditions to the release of the HFA Parcel include (a) the provision of a copy of the recorded plat with respect to the HFA Parcel and other evidence demonstrating that the Obligor has received all governmental consents and approvals required to create an ownership unit or such other estate available in Montgomery County, Maryland as permitted under the Master Indenture to separate the HFA Parcel for the remaining mortgaged property (the "Remaining Property") and that the HFA Parcel and the Remaining Property shall each constitute a separate tax lot and a separate parcel of land for all zoning and tax purposes, (b) an endorsement to the title insurance policy confirming coverage of the Remaining Property as of the date the original title insurance policy was issued, and (c) the provision of certifications of the Obligor regarding the Obligor's ownership and ability to use the Remaining Property for its intended purposes. It is possible that the creation of the HFA Parcel may be accomplished other than by means of an ownership unit procedure. In the event that plans to create the HFA Parcel are discontinued, the real property which was to be released will remain subject to the lien of the Deed of Trust and the completion of the Project will be unaffected. See "SECURITY FOR THE SERIES 2018 BONDS – Excluded Property" and CERTAIN BOLDHOLDERS' RISKS – Final Composition of the HFA Parcel."

Marketing and Presales

Marketing efforts for the Project Independent Living Units began in May 2017, following receipt of preliminary approval from the Maryland Department of Aging. A cottage in the Existing Community was renovated into the current marketing office, and a total of 14 marketing events were attended by over 450 prospective residents. A waiting list of prospective residents was created requiring a \$500 refundable deposit (a “Waiting List Deposit”). In order to reserve a Project Independent Living Unit, prospective residents must make a refundable deposit equal to at least 10% of the Entrance Fees for the selected Project Independent Living Unit (a “Reservation Deposit”). As of August 10, 2018, the Obligor had received a total of 100 Waiting List Deposits (net of refunds), 32 of which (net of refunds) were converted into Reservation Deposits (representing approximately 68% of the available Project Independent Living Units). See “MARKETING” in Appendix A hereto.

The Development Consultant

The Obligor and Eventus Strategic Partners, LLC (the “Development Consultant”) have entered into a Project Coordination Agreement dated as of December 7, 2015 and amended on September 12, 2016 and May 1, 2018 (the “Development Consultant Agreement”), pursuant to which the Development Consultant is providing development, consulting and other services related to the Project.

The Development Consultant is a privately-owned limited liability company that specializes in providing planning, development, marketing and strategic consulting services to continuing care retirement communities. The Development Consultant and its related company, Aegis Property Group, currently have a staff of approximately 24 persons, and senior management has more than 140 years of combined experience in senior housing development. The Development Consultant is currently responsible for the development of approximately nine (9) senior living community development and expansion projects. The Development Consultant has provided strategic consulting and development services to more than 30 senior living communities and providers since 2006.

As compensation for services rendered pursuant to the Development Consultant Agreement, the Development Consultant is to be paid a fee over several phases of the term of the Development Consultant Agreement. See “THE PROJECT – The Development Consultant” in Appendix A hereto.

Plan of Financing

Application of Series 2018A Bond Proceeds. The proceeds of the Series 2018A Bonds will be loaned by the Issuer to the Obligor and will be used, together with other available moneys described herein (including, without limitation, a portion of the proceeds of the Series 2018B Bond and equity contributed by the Obligor), (i) to pay or reimburse the Obligor for a portion of the costs of the Project; (ii) to fund a debt service reserve account for the benefit of the holders of the Series 2018A Bonds; (iii) to pay capitalized interest on the Series 2018A Bonds through approximately December, 2019; and (iv) to pay certain expenses incurred in connection with the issuance of the Series 2018A Bonds. Draws under the Project Fund and the Series 2018B Bond will be made as provided in the Disbursement Agreement. See “PLAN OF FINANCING” and “ESTIMATED SOURCES AND USES OF FUNDS” herein.

Application of Series 2018B Bond Proceeds. The proceeds of the Series 2018B Bond will be loaned by the Issuer to the Obligor and will be used, together with other available moneys (including, without limitation, a portion of the proceeds of the Series 2018A Bonds and equity contributed by the Obligor), (i) to pay or reimburse the Obligor for a portion of the costs of the Project; (ii) to fund interest payable on the Series 2018B Bond through approximately March, 2020; and (iii) to pay certain expenses incurred in connection with the issuance of the Series 2018B Bond. The Project Fund created under the Bond Indenture will be fully disbursed prior to any draw down on the Series 2018B Bond other than a draw made at closing of the Series 2018B Bond for closing costs. The Construction Monitor will monitor draws under the Project Fund and the Series 2018B Bond pursuant to the Disbursement Agreement. See “PLAN OF FINANCING” and “ESTIMATED SOURCES AND USES OF FUNDS” herein.

Application of Initial Entrance Fees. The Master Trustee will establish and maintain a separate fund to be known as the Entrance Fee Fund. All moneys received by the Master Trustee and held in the Entrance Fee Fund will be trust funds under the terms of the Master Indenture for the benefit of all of the Outstanding Master Obligations (as defined in the Master Indenture) (except as otherwise provided). Such moneys will be held in trust and applied in accordance with the provisions of the Master Indenture. While Initial Entrance Fees will secure all

Master Obligations on a parity basis, absent an Event of Default, they are not expected to be used to repay the Series 2018A Bonds.

(a) The Members of the Obligated Group agree that all Initial Entrance Fees received by the Members of the Obligated Group shall be transferred to the Master Trustee within five Business Days of receipt for deposit into the Entrance Fee Fund once available for transfer pursuant to applicable law.

(b) For so long as there shall not have occurred and be continuing an Event of Default under the Master Indenture, the Initial Entrance Fees deposited to the Entrance Fee Fund shall be applied by the Master Trustee within two (2) Business Days of receipt in the following order of priority, as follows:

FIRST: To the Obligated Group Representative to pay refunds required by Residence and Services Agreements for which the Obligated Group Representative has not received a corresponding replacement Entrance Fee with respect to the applicable Project Independent Living Unit. Such disbursements shall be made upon receipt by the Master Trustee of an Officer's Certificate of the Obligated Group Representative certifying that the Obligated Group Representative is required by a Residence and Services Agreement to pay refunds.

SECOND: If no pending disbursement under FIRST, on each Entrance Fee Transfer Date to the Series 2018B Lender to prepay the Series 2018B Bond.

(c) For so long as an Event of Default has occurred and is continuing, the Initial Entrance Fees deposited to the Entrance Fee Fund shall be applied by the Master Trustee within two (2) Business Days of receipt in the following order of priority, as follows:

FIRST: To the Obligated Group Representative to pay refunds required by Residence and Services Agreements for which the Obligated Group Representative has not received a corresponding replacement Entrance Fee with respect to the applicable Project Independent Living Unit. Such disbursements shall be made upon receipt by the Master Trustee of an Officer's Certificate of the Obligated Group Representative certifying that the Obligated Group Representative is required by a Residence and Services Agreement to pay refunds.

SECOND: If no pending disbursement under FIRST, to secure all outstanding Series 2018 Master Obligations on a pro rata basis.

(d) Once the Series 2018B Bond is outstanding in a principal amount not to exceed \$3,000,000, or there are moneys on deposit in the Entrance Fee Fund sufficient to redeem the Series 2018B Bond principal then Outstanding in excess of \$3,000,000, which are not subject to refunds required by Residence and Services Agreements, and no Event of Default has occurred and is continuing (as established by an Officer's Certificate of the Obligated Group Representative delivered to the Master Trustee), the Members of the Obligated Group need not deposit any additional Initial Entrance Fees into the Entrance Fee Fund, and the Entrance Fee Fund shall be closed.

Security for the Series 2018A Bonds

Loan Agreement. Pursuant to the Loan Agreement, the Obligor will agree to make loan payments to the Bond Trustee in such amounts as will pay, when due, the principal or redemption price of and interest on the Series 2018A Bonds. The obligations of the Obligor to repay the Loan are unconditional general obligations of the Obligor and will be evidenced by a promissory note in the principal amount equal to the principal amount of the Series 2018A Bonds (the "Series 2018A Note"). Pursuant to the Bond Indenture, the Issuer has assigned to the Bond Trustee all of its right, title and interest in and to, and remedies under, the Loan Agreement and the Series 2018A Note, except for certain Reserved Rights, including rights to reimbursement of expenses and indemnification.

Master Indenture. Simultaneously with the issuance of the Series 2018A Bonds and the delivery of the Series 2018A Note to the Issuer, (i) pursuant to the Bond Indenture, the Issuer will assign the Series 2018A Note to the Bond Trustee (excluding the Reserved Rights), (ii) at the request of the Obligor, the Bond Trustee will assign the Series 2018A Note to the Master Trustee (excluding the Reserved Rights) in exchange for the Series 2018A Master Obligation (defined herein), and (iii) the Obligor will issue a Master Obligation (as defined in the Master Indenture), in the form of a promissory note in the principal amount of the Series 2018A Bonds (the "Series 2018 Master Obligation") and will cause the Master Trustee to deliver the Series 2018A Master Obligation to the Bond Trustee,

to provide payment for, and secure the payment of, the Series 2018A Bonds. The Series 2018A Master Obligation will constitute a Master Obligation under the Master Indenture and will be secured equally and ratably with all other Master Obligations issued or to be issued under the Master Indenture (including the Master Obligation securing the Series 2018B Bond (the “Series 2018B Master Obligation”), other than any Master Obligations issued as Subordinated Obligations), by (a) a security interest in all assets of the Obligor, including, without limitation, the Gross Revenues of the Obligated Group (including Entrance Fees and accounts receivable), the funds established under the Master Indenture and (b) a lien on the real property constituting the Land and the Facilities and other personal property of the Obligor as described in the Deed of Trust. The Series 2018A Master Obligation and the Series 2018B Master Obligation are herein referred to as the “Series 2018 Master Obligations”; the Series 2018 Master Obligations, together with any other Master Obligations issued on a parity basis, under the Master Indenture are herein referred to as the “Senior Master Obligations.” The Senior Master Obligations shall have a senior security interest and claim on the Gross Revenues of the Obligated Group, the funds established under the Master Indenture and other security delivered to the Master Trustee pursuant to the Master Indenture.

If an Event of Default under the Master Indenture occurs due to failure to pay any debt service on any Master Obligations when due, each Obligated Group Member is required to deposit with the Master Trustee for deposit into the Revenue Fund created under the Master Indenture all Gross Revenues of such Obligated Group Member (except to the extent otherwise provided by or inconsistent with any instrument creating any Permitted Encumbrance) during each succeeding month, beginning on the first day thereof and on each day thereafter, until no payment default under the Master Indenture then exists.

The Obligor will initially be the only member of the Obligated Group under the Master Indenture, but additional Obligated Group Members may be admitted to the Obligated Group. The Series 2018A Master Obligations will constitute joint and several general obligations of the Obligated Group Members to pay amounts sufficient to pay principal, premium, if any, and interest on the Series 2018A Bonds.

See “SECURITY FOR THE SERIES 2018A BONDS” herein. See Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

Security Interest in All Assets and Gross Revenues. Pursuant to the Master Indenture, each member of the Obligated Group (initially, the Obligor is the only member of the Obligated Group) has granted a security interest in all of its personal property, including without limitation, its Gross Revenues as security for the payment of the Series 2018 Master Obligations and all other Senior Master Obligations issued under the Master Indenture. See “SECURITY FOR THE SERIES 2018A BONDS” and “CERTAIN BONDHOLDERS’ RISKS – Certain Matters Relating to the Enforceability of the Master Indenture” herein.

“Gross Revenues” means all receipts, revenues, rentals, income, insurance proceeds (including, without limitation, all Medicaid, Medicare and other third party payments), condemnation awards, Entrance Fees and other moneys received by or on behalf of any Obligated Group Member, including (without limitation) revenues derived from (a) the ownership, operation or leasing of any portion of the Facilities (including, without limitation, fees payable by or on behalf of residents of the Facilities) and all rights to receive the same (other than the right to receive Medicaid and Medicare payments), whether in the form of accounts, general intangibles or other rights, and the proceeds of such accounts, general intangibles and other rights, whether now existing or hereafter coming into existence or whether now owned or held or hereafter acquired, and (b) gifts, grants, bequests, donations and contributions heretofore or hereafter made that are legally available to meet any of the obligations of the Obligated Group Member incurred in the financing, operation, maintenance or repair of any portion of the Facilities; *provided, however*, that there shall be excluded from Gross Revenues (i) any amounts received by an Obligated Group Member as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations and contributions to an Obligated Group Member heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use as payments required under the Master Indenture, (iii) any moneys received by any Obligated Group Member from prospective residents or commercial tenants in order to pay for customized improvements to those Independent Living Units or other areas of the Facilities to be occupied or leased to such residents or tenants, and (iv) all deposits and/or advance payments made in connection with any leases of the Independent Living Units and received prior to receipt of a certificate of occupancy and any required licenses.

Limited Obligations of the Issuer. THE SERIES 2018A BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL AND PURCHASE PRICE OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE

REVENUES TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. NEITHER THE SERIES 2018A BONDS NOR ANY PREMIUM AND INTEREST THEREON IS A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE SERIES 2018A BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

Debt Service Reserve Fund

A Debt Service Reserve Fund will be established under the Bond Indenture (the “Debt Service Reserve Fund”) and funded with the proceeds of the Series 2018A Bonds. The Debt Service Reserve Fund will be funded on the date of issuance of the Series 2018A Bonds in the amount equal to the least of (a) the Maximum Annual Debt Service on the Series 2018A Bonds outstanding (which is defined to exclude the final year preceding maturity of the Series 2018A Bonds), (b) 125% of the average annual debt service on the Series 2018A Bonds, and (c) 10% of the aggregate principal amount of the Series 2018A Bonds, calculated on the basis of each Bond Year. The Debt Service Reserve Fund is available to pay the principal of and interest on the Series 2018A Bonds if payments by the Obligor are insufficient therefor. See “ESTIMATED SOURCES AND USES OF FUNDS” and “SECURITY FOR THE SERIES 2018A BONDS – Funds and Accounts Held Under the Master Indenture and Bond Indenture - Debt Service Reserve Fund” herein.

There is no debt service reserve fund for the Series 2018B Bond. The Debt Service Reserve Fund for the Series 2018A Bonds does not secure the Series 2018B Bond.

Certain Financial and Operating Covenants of the Obligor

Debt Service Coverage Ratio Covenant. The Master Indenture requires the Obligated Group to calculate the Debt Service Coverage Ratio for each Fiscal Year, commencing with the earlier of (1) June 30, 2024, and (2) the first full Fiscal Year following the achievement of Stable Occupancy. The required Debt Service Coverage Ratio is 1.20. If either (a) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00 for two consecutive Fiscal Years or (b) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00 for any Fiscal Year and Days’ Cash on Hand (as defined below) at the end of such Fiscal Year is less than 150, such failure shall constitute an Event of Default under the Master Indenture. See “SECURITY FOR THE SERIES 2018A BONDS - Financial Covenants - Debt Service Coverage Ratio Covenant” herein for a further description, including a description of the computation of the Debt Service Coverage Ratio and the actions required to be taken if such covenant is not met.

Liquidity Covenant. The Master Indenture requires that the Obligated Group calculate the Days’ Cash on Hand of the Obligated Group as of June 30 and December 31 of each Fiscal Year, commencing with December 31, 2018 (each such date being a “Testing Date”).

“Days’ Cash on Hand” means 365 times (i) the aggregate unrestricted cash and unrestricted marketable securities (including board-designated funds) of the Obligated Group as of the date of computation, excluding cash and unrestricted marketable securities attributable to indebtedness of the Obligated Group, divided by (ii) the total Operating Expenses of the Obligated Group for the immediately preceding Fiscal Year, excluding depreciation and amortization, as shown on the audited financial statements of the Obligated Group for such Fiscal Year. All securities shall be valued at fair market value for purposes of this definition.

“Operating Expenses” means, for a period, the aggregate of all expenses calculated under GAAP, including, without limitation, any accrual for taxes, assessments and insurance, incurred by the Person or group of Persons involved during such period, but excluding (a) depreciation and amortization, (b) extraordinary expenses, losses on the sale of assets other than in the ordinary course of business and losses on the extinguishment of debt or termination of pension plans, (c) any expenses resulting from a forgiveness of or the establishment of reserves against indebtedness of an Affiliate which does not constitute an extraordinary expense, (d) losses resulting from any reappraisal, revaluation or write down of assets other than bad debts, (e) non-cash expenses or losses and (f) any development, marketing, operating or management fees that have been deferred from the year in which they were

originally due. If such calculation of Operating Expenses is being made with respect to the Obligated Group, any such expenses attributable to transactions between any Member and any other Member shall be excluded.

Each Obligated Group Member is required to conduct its business so that on each Testing Date the Obligated Group shall have no less than 100 Days' Cash on Hand for the testing dates of December 31, 2018, June 30, 2019 and December 31, 2019, and 120 Days' Cash on Hand for each testing date thereafter (the "Liquidity Requirement"). Notwithstanding any other provision of the Master Indenture to the contrary, failure of the Obligated Group to achieve the required Liquidity Requirement for any Fiscal Year shall not constitute an Event of Default under the Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth above for retaining a Management Consultant and follows each recommendation contained in such Management Consultant's report to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Obligated Group Representative) and permitted by law. See "SECURITY FOR THE SERIES 2018A BONDS – Financial Covenants - Liquidity Covenant" herein for a further description, including a description of the actions required to be taken if such covenant is not met on a Testing Date.

Marketing and Occupancy Requirements. Beginning with the first full fiscal quarter ending September 30, 2018, and ending with the first full fiscal quarter following Stable Occupancy, the Master Indenture requires the Obligated Group to use its best efforts to maintain the percentage of Project Independent Living Units that are reserved with 10% deposits, or for which all related Entrance Fees have been paid, so as to meet certain Marketing Requirements. Commencing with the first fiscal quarter that ends not less than 60 days following the issuance of the first certificate of occupancy for the first building that is part of the Project Independent Living Units, and ending with the first full fiscal quarter following Stable Occupancy (each an "Occupancy Quarter"), the Obligated Group is required to use its best efforts to have occupied (i.e. all related Entrance Fees have been paid) the percentage of the total number of all Project Independent Living Units, so as to be in compliance with certain Occupancy Requirements. See "SECURITY FOR THE SERIES 2018A BONDS – Financial Covenants - Marketing Covenant" and "– Occupancy Covenant" herein for a further description, including the required marketing and occupancy covenant thresholds and the actions required to be taken if such covenants are not met.

Marketing Consultant. The Obligated Group is required to engage a Marketing Consultant at certain times as set forth in the Master Indenture. Glynn Devins is the Marketing Consultant for the Community. Under certain circumstances, the Members of the Obligated Group are required to retain a new Marketing Consultant. See "SECURITY FOR THE SERIES 2018A BONDS – Financial Covenants - Marketing Consultant" herein.

Rating Solicitation Covenant. Under the Master Indenture, the Obligor has covenanted that it will seek a rating of the Series 2018A Bonds from any Rating Agency each year after a determination is made by the Obligor in consultation with the Underwriter that an investment grade rating is reasonably obtainable, until achievement of an investment grade rating, provided that if during any such year the Obligor receives a preliminary indication from any Rating Agency that the Series 2018A Bonds will not be assigned an investment grade rating, the Obligor is required to withdraw any request for such year to have such Rating Agency assign a rating to the Series 2018A Bonds.

Management Consultant's Report. Whenever a Management Consultant is required to be engaged under the Master Indenture, the scope of the engagement will include, among other things, an analysis of potential strategic transactions and the Master Trustee and beneficial owners of the Series 2018A Bonds will be given access to the Management Consultant. Within 90 days after a Management Consultant is retained, the Obligor will retain, at its expense, a Management Consultant to submit a written report and recommendations with respect to improvements or changes in the operations and management of the Obligor, which report shall state the extent to which prior recommendations (if any) of the Management Consultant may not have been complied with by the Obligor. A copy of such report shall be submitted to the Master Trustee and posted on EMMA. The Obligor shall follow the recommendations of the Management Consultant to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Obligor) and permitted by law.

Incurrence of Indebtedness. Pursuant to the Master Indenture, the Obligated Group agrees to restrictions on the incurrence of additional indebtedness, as more fully described under the captions "SECURITY FOR THE SERIES 2018A BONDS – Incurrence of Additional Indebtedness" herein and Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto. To the extent that the conditions provided in the Master Indenture are met, such indebtedness may be secured on a parity basis with the Series 2018 Master Obligations.

Financial Feasibility Study

Baker Tilly Virchow Krause, LLP, independent certified public accountants, has prepared the Financial Feasibility Study dated July 25, 2018 (the “Financial Feasibility Study”), included as Appendix C hereto. The Financial Feasibility Study includes management’s financial forecast for the 5 years ending June 30, 2023. As stated in the Financial Feasibility Study, forecasted results usually differ from actual results because events and circumstances frequently do not occur as expected, and those differences may be material. The Financial Feasibility Study should be read in its entirety, including management’s notes and assumptions set forth therein. See Appendix C hereto. The table on the following page shows the forecasted Debt Service Coverage Ratio for the Fiscal Years ending June 30, 2022 and 2023 and the forecasted Days’ Cash on Hand as of the end of such period. The information on the table below has been extracted from the Financial Feasibility Study included in Appendix C hereto.

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Friends House Retirement Community, Inc.

Forecasted Schedule of Debt Service Coverage Ratio, Interest Coverage Ratio, and Days Cash on Hand

As of and For Each of the Years Ending June 30, 2019 - 2023

(In thousands of dollars)

	2019	2020	2021	2022	2023
Debt Service Coverage Ratio					
Revenues available for debt service:					
Revenues, gains and other support less than expenses and losses		\$ (446)	\$ (82)	\$ (172)	\$ (193)
Depreciation		1,378	1,418	1,452	1,485
Interest		1,012	1,027	1,027	1,014
Proceeds from entry fees, existing units, net		94	177	319	403
Amortization of entry fees		(493)	(785)	(735)	(699)
Revenues available for debt service		<u>\$ 1,545</u>	<u>\$ 1,755</u>	<u>\$ 1,891</u>	<u>\$ 2,010</u>
Maximum annual debt service				<u>\$ 1,411</u>	<u>\$ 1,411</u>
Debt service coverage ratio - Master Trust Indenture (1)				<u>1.34</u>	<u>1.42</u>
Annual debt service			<u>\$ 978</u>	<u>\$ 978</u>	<u>\$ 1,280</u>
Debt service coverage ratio - Series 2018B Bond Loan and Financing Agreement (2)			<u>1.79</u>	<u>1.93</u>	<u>1.57</u>
Interest Coverage Ratio					
Annual interest obligations, net of funded interest:					
Series 2018A Bonds		\$ 71			
Series 2018B Bond		<u>27</u>			
Annual interest obligations		<u>\$ 98</u>			
Interest coverage ratio (3)		<u>15.77</u>			
Days Cash on Hand					
Total expenses	\$ 12,310	\$ 14,361	\$ 14,790	\$ 15,121	\$ 15,455
Less:					
Provision for doubtful collections	(183)	(186)	(191)	(194)	(199)
Depreciation	(426)	(1,378)	(1,418)	(1,452)	(1,485)
Amortization of debt issuance costs	-	(35)	(52)	(52)	(52)
Accretion of bond premium	-	<u>2</u>	<u>3</u>	<u>3</u>	<u>3</u>
Total cash operating expenses	11,701	12,764	13,132	13,426	13,722
365/366 days	<u>365</u>	<u>366</u>	<u>365</u>	<u>365</u>	<u>365</u>
Daily cash operating expenses	<u>\$ 32</u>	<u>\$ 35</u>	<u>\$ 36</u>	<u>\$ 37</u>	<u>\$ 38</u>
Unrestricted cash and investments:					
Cash and cash equivalents	\$ 3,256	\$ 3,311	\$ 3,382	\$ 3,463	\$ 3,550
Investments (4)	<u>4,680</u>	<u>7,275</u>	<u>7,683</u>	<u>7,818</u>	<u>8,152</u>
Total unrestricted cash and investments	<u>\$ 7,936</u>	<u>\$ 10,586</u>	<u>\$ 11,065</u>	<u>\$ 11,281</u>	<u>\$ 11,702</u>
Days cash on hand (5)	<u>248</u>	<u>302</u>	<u>307</u>	<u>305</u>	<u>308</u>

Notes:

- (1) The debt service coverage ratio requirement per the Master Trust Indenture is expected to be calculated by dividing revenues available for debt service by maximum annual debt service, as defined. Management has assumed that the adoption of Accounting Standards Update No. 2016-0, *Leases*, in 2020 will not have any impact on the calculation of the debt service coverage ratio for the years ending June 30, 2020 - 2023.
- (2) The debt service coverage ratio requirement for the Series 2018B Bond as required by the Series 2018B Bond Loan and Financing Agreement is expected to be calculated by dividing revenues available for debt service by annual debt service.
- (3) The interest coverage ratio is expected to be calculated by dividing revenues available for debt service by interest paid, less interest paid using proceeds from the Series 2018 Bonds.
- (4) Investments exclude donor-restricted net assets.
- (5) Days cash on hand is calculated by dividing unrestricted cash and investments by daily cash operating expenses.

The foregoing tables should be considered in conjunction with the entire Financial Feasibility Study, included herein as Appendix C, to understand the Obligor's financial requirements and the assumptions upon which the Financial Feasibility Study is based. The realization of any financial forecast depends on future events the occurrence of which cannot be assured. Therefore, the actual results realized may vary from the Financial Feasibility Study. Such variation could be material. See Appendix C hereto.

Certain Bondholders' Risks

AN INVESTMENT IN THE SERIES 2018A BONDS INVOLVES A SIGNIFICANT DEGREE OF RISK. A PROSPECTIVE BONDHOLDER IS ADVISED TO READ THE ENTIRE OFFICIAL STATEMENT, INCLUDING THE APPENDICES HERETO, BEFORE MAKING AN INVESTMENT DECISION TO PURCHASE SERIES 2018A BONDS. SPECIAL REFERENCE IS MADE TO THE SECTIONS "SECURITY FOR THE SERIES 2018A BONDS" AND "CERTAIN BONDHOLDERS' RISKS" HEREIN FOR A DISCUSSION OF CERTAIN RISK FACTORS WHICH SHOULD BE CONSIDERED IN CONNECTION WITH AN INVESTMENT IN THE SERIES 2018A BONDS. Careful consideration should be given to these risks and other risks described elsewhere in this Official Statement. Among other things, because the Series 2018A Bonds are payable solely from the revenues and assets of the Obligor and other money pledged to such payment, careful evaluation should be made of the assumptions and the rationale of the management of the Obligor described in the Financial Feasibility Study and certain factors (including, but not limited to, the ability of the Obligor to attract residents and enter into Residence and Services Agreements and manage the Community in a manner that maintains high occupancy levels) that may adversely affect the ability of the Obligor to generate sufficient revenues to pay its expenses of operation, including the principal, premium, if any, and interest on the Series 2018A Bonds.

Continuing Disclosure

Upon the issuance of the Series 2018A Bonds, the Obligor will execute and deliver a Continuing Disclosure Certificate for the benefit of the Holders of the Series 2018A Bonds. Pursuant to the Continuing Disclosure Certificate, the Obligor will agree to provide certain operating and financial information annually and quarterly and to provide notice of certain listed events upon occurrence. See "FINANCIAL REPORTING AND CONTINUING DISCLOSURE" herein and "FORM OF CONTINUING DISCLOSURE CERTIFICATE" in Appendix F hereto.

MISCELLANEOUS

No dealer, broker, salesman or other person has been authorized by the Issuer, the Obligor, or the Underwriter to give any information or to make any representations with respect to this offering, other than those contained in this Official Statement and, if given or made, such other information or representations must not be relied upon as having been authorized by any of the foregoing. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the Series 2018A Bonds by any person in any state in which it is unlawful for such person to make such offer, solicitation or sale. The information and expressions of opinions contained herein are subject to change without notice and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the Issuer or the Obligor since the date hereof.

This Official Statement contains a general description of the Series 2018A Bonds, the Issuer, the Obligor, the Project and the plan of financing and sets forth certain provisions of the Bond Indenture, the Loan Agreement, the Master Indenture and the Deed of Trust. The description and summaries herein do not purport to be complete. The Issuer has furnished only the information included herein under the section entitled "SHORT STATEMENT – The Issuer" and "INTRODUCTION – The Issuer," "THE ISSUER," and "LITIGATION – The Issuer" herein. The Issuer assumes no responsibility for the accuracy or completeness of any other information in this Official Statement. Persons interested in purchasing the Series 2018A Bonds should review carefully the Appendices attached hereto as well as copies of such documents, which prior to the issuance of the Series 2018A Bonds may be obtained from the Underwriter and, following the issuance of the Series 2018A Bonds, will be held by the Bond Trustee at its designated corporate trust office.

The order and placement of materials in this Official Statement, including the Appendices, are not to be deemed to be a determination of relevance, materiality or importance, and this Official Statement, including the Appendices, must be considered in its entirety.

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OFFICIAL STATEMENT
relating to:

\$16,975,000
MONTGOMERY COUNTY, MARYLAND
Economic Development Revenue Bonds
(Friends House Retirement Community Project)
Series 2018A

Consisting of:

INTRODUCTION

Purpose of this Official Statement

This Official Statement, including the cover page and Appendices hereto, is provided to furnish information with respect to the issuance, sale and delivery by Montgomery County, Maryland (the “Issuer”) of its \$16,975,000 Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project) Series 2018A (the “Series 2018A Bonds”). The Series 2018A Bonds are being issued pursuant to the provisions of the Maryland Economic Development Revenue Bond Act, being Sections 12-101 through 12-118, inclusive, of the Economic Development Article of the Annotated Code of Maryland, as amended (the “Act”), in conformity with the provisions, restrictions and limitations thereof and pursuant to a Bond Trust Indenture dated as of August 1, 2018 (the “Bond Indenture”), between the Issuer and Wilmington Trust, National Association, as bond trustee (the “Bond Trustee”). Certain capitalized terms used herein are defined in Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

All capitalized terms used in this Official Statement and not otherwise defined herein have the same meaning as in the hereinafter defined Master Indenture, Loan Agreement, Bond Indenture and Deed of Trust. The descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive, and reference is made to each document for the complete details of its terms and conditions. All statements herein are qualified in their entirety by reference to each document.

The Issuer

The Issuer is a political subdivision of the State of Maryland. The Issuer’s government is comprised of a County Executive exercising executive powers and a nine-member County Council exercising legislative powers. The County Council acts by adopting resolutions approved by a majority of its members present and voting. See “THE ISSUER” herein.

The Obligor

Friends House Retirement Community, Inc., a nonstock corporation that has been in operation since 1962 and is organized and existing under the laws of the State of Maryland (the “Obligor” or the “Obligated Group Representative”), proposes to renovate and expand its existing continuing care retirement community known as “Friends House Retirement Community” located on approximately 62 acres of land in Sandy Spring, Montgomery County, Maryland (the “Existing Community”). The Obligor is the surviving entity in a merger of Friends House, a District of Columbia corporation, into Friends House Nursing Home, Inc., a Maryland nonstock corporation. The merger was completed on September 22, 2017. The Obligor has been determined by the Internal Revenue Service (the “IRS”) to be exempt from federal income taxation as an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986, as amended (the “Code”). The Obligor received a letter from the IRS dated November 17, 2017, confirming that the Obligor is a charitable organization as described in the Code and referencing the IRS determination letter issued in April, 1969, which recognized the legal predecessor to the Obligor as tax-exempt under Section 501(c)(3) of the Code.

As of the date of the issuance of the Series 2018A Bonds, the Obligor is the sole Member of the Obligated Group. A description of the Obligor is included in Appendix A hereto. The Master Indenture permits any Persons that are not Members of the Obligated Group and other corporations that are successor corporations to any Member of the Obligated Group through merger or consolidation as permitted by the Master Indenture to become Members of the Obligated Group upon compliance with certain financial and other requirements. Upon compliance with certain requirements, Members of the Obligated Group may withdraw from the Obligated Group.

Purpose of the Series 2018A Bonds

The proceeds of the Series 2018A Bonds will be loaned to the Obligor pursuant to a Loan Agreement dated as of August 1, 2018 (the “Loan Agreement”), between the Issuer and the Obligor and will be used, together with other available moneys described herein (including, without limitation, a portion of the proceeds of the Series 2018B Bond (as defined below) and equity contributed by the Obligor), (i) to pay or reimburse the Obligor for the payment of the costs of the Project; (ii) to fund a debt service reserve account for the Series 2018A Bonds; (iii) to pay capitalized interest on the Series 2018A Bonds through approximately December, 2019; and (iv) to pay certain expenses incurred in connection with the issuance of the Series 2018A Bonds. See “PLAN OF FINANCING” and “ESTIMATED SOURCES AND USES OF FUNDS” herein. The Project will consist of (a) the renovation and expansion of the existing commons building, (b) the removal and demolition of two vacant cottages, (c) the construction of approximately 14 new cottage units and approximately 33 apartment units, and (d) other associated site work and development (the “Project”). See “THE OBLIGOR AND THE PROJECT” herein.

Risk Factors. An investment in the Series 2018A Bonds involves a significant degree of risk. Certain risks are inherent in the successful operation of facilities such as the Existing Community on a basis such that sufficient cash will be available to pay interest on and to retire indebtedness. See “CERTAIN BONDHOLDERS’ RISKS” below for a discussion of certain of these risks. A prospective bondholder is advised to read the entire Official Statement, including the appendices hereto, before making an investment decision to purchase the Series 2018A Bonds. Special reference is made to “SECURITY FOR THE SERIES 2018A BONDS” and “CERTAIN BONDHOLDERS’ RISKS” herein for a discussion of certain risk factors which should be considered in connection with an investment in the Series 2018A Bonds.

Series 2018B Bond Issued Simultaneously to Series 2018B Lender

Series 2018B Bond. Simultaneously with the issuance of the Series 2018A Bonds, the Issuer will issue its not to exceed \$13,200,000 Economic Development Revenue Bond (Friends House Retirement Community Project) Series 2018B (the “Series 2018B Bond”). The Series 2018B Bond is being issued pursuant to the Act, the Resolution and that certain Loan and Financing Agreement dated as of August 1, 2018 (the “Series 2018B Loan and Financing Agreement”) among the Issuer, Compass Mortgage Corporation (the “Series 2018B Lender”) and the Obligor. Under the terms of the Series 2018B Loan and Financing Agreement, the Issuer is issuing the Series 2018B Bond and agreeing to lend the proceeds thereof to the Obligor, the Obligor is agreeing to make loan payments at times sufficient to pay principal, premium (if any) and interest on the Series 2018B Bond, and the Series 2018B Lender is agreeing to purchase the Series 2018B Bond on the terms and conditions set forth therein and in the Disbursement Agreement defined below. The Series 2018B Bond is secured by a promissory note (the “Series 2018B Master Obligation”) issued pursuant to the Master Indenture on a parity with all of the other Senior Master Obligations (as defined herein), including the Series 2018A Master Obligation. The sale of the Series 2018A Bonds is contingent upon the satisfaction of any conditions precedent to the initial advance of proceeds under the Series 2018B Bond.

The Series 2018B Bond is not being offered pursuant to this Official Statement.

The Series 2018B Bond is being issued on a draw-down basis, and the Series 2018B Lender will hold the Series 2018B Bond. The purchase price of the Series 2018B Bond will be paid through periodic advances of the proceeds of the Series 2018B Bond (“Series 2018B Bond Proceeds Advances”) in accordance with the Series 2018B Loan and Financing Agreement and the Construction Monitoring and Disbursement Agreement dated as of August 1, 2018, among jhme Real Estate Advisors, LLC, a Texas limited liability company (the “Construction Monitor”), the Series 2018B Lender, the Bond Trustee and the Obligor (the “Disbursement Agreement”). Except as otherwise provided in the Series 2018B Loan and Financing Agreement, the principal amount of the Series 2018B Bond outstanding and due shall only be the aggregate amount that has been drawn down and not repaid and interest shall

only accrue on such principal amount of the Series 2018B Bond that has actually been drawn. See “CERTAIN BONDHOLDERS’ RISKS – The Series 2018B Bond is a Draw-Down Bond.”

Under the terms of the Disbursement Agreement, the Obligor may make requests for Series 2018B Bond Proceeds Advances on a monthly basis or more frequently as acceptable to the Series 2018B Lender and such request shall be made in accordance with the Disbursement Agreement.

Prior to the occurrence of an Event of Default, the Series 2018B Bond is payable from the release of Initial Entrance Fees in accordance with the operation of the Entrance Fee Fund. See “Plan of Financing – Application of Initial Entrance Fees” herein. The Series 2018B Bond matures August 1, 2029. The Series 2018 B Loan and Financing Agreement provides that the Series 2018B Bond is subject to special mandatory redemption on the last business day of August 2019, 2020, and 2021, in the following respective amounts of not less than: \$2,000,000, \$3,000,000 and \$5,200,000 (the “Mandatory Repayment Amounts”).

Amounts transferred from the Entrance Fee Fund to pay the Series 2018B Bond are credited against the Mandatory Repayment Amounts in order of when due. The Feasibility Study anticipates that Initial Entrance Fees in the amount of \$10,200,000 will be applied to the Series 2018B Bond by June 30, 2020, thus fully satisfying the Mandatory Repayment Amounts. See “APPENDIX C – Financial Feasibility Study.”

No debt service reserve fund will be established for the benefit of the Series 2018B Lender. The Debt Service Reserve Fund for the Series 2018A Bonds does not secure the Series 2018B Bond.

Security for the Series 2018A Bonds

Bond Indenture. The Series 2018A Bonds will be issued under and will, except as hereinafter described, be equally and ratably secured under the Bond Indenture, pursuant to which the Issuer will assign and pledge to the Bond Trustee (1) the hereinafter described Series 2018A Note relating to the Series 2018A Bonds (excluding the Reserved Rights, as defined in the Loan Agreement), (2) certain rights of the Issuer under the Loan Agreement (excluding the Reserved Rights), (3) the funds and accounts (excluding the Rebate Fund), including the money and investments in them, which the Bond Trustee holds under the terms of the Bond Indenture, and (4) such other property as may from time to time be pledged to the Bond Trustee as additional security for the Series 2018A Bonds or which may come into possession of the Bond Trustee pursuant to the terms of the Loan Agreement or the Series 2018A Note.

Loan Agreement. Pursuant to the Loan Agreement, the Obligor will agree to make loan payments sufficient, among other things, to pay in full when due all principal of, premium, if any, and interest on the Series 2018A Bonds and the administrative fees of the Bond Trustee, and to make payments as required to restore any deficiencies in the Debt Service Reserve account (as defined herein). See “SECURITY FOR THE SERIES 2018A BONDS - The Loan Agreement” herein and Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

The obligations of the Obligor to repay the Loan are unconditional general obligations of the Obligor and will be evidenced by a promissory note in the principal amount of the Series 2018A Bonds (the “Series 2018A Note”). The Issuer will assign its interest in the Series 2018A Note (excluding the Reserved Rights) to the Bond Trustee.

Master Indenture. Simultaneously with the issuance of the Series 2018A Bonds and the delivery of the Series 2018A Note to the Issuer, (i) the Obligor will enter into a Master Trust Indenture (the “Master Trust Indenture”) with Wilmington Trust, National Association as master trustee (the “Master Trustee”), as supplemented by Supplemental Master Indenture Number 1 (the “Supplemental Master Indenture”), each dated as of August 1, 2018 (the Master Trust Indenture and the Supplemental Indenture being sometimes referred to collectively as the “Master Indenture”), (ii) at the request of the Obligor, the Bond Trustee will assign the Series 2018A Note to the Master Trustee (excluding the Reserved Rights), in exchange for the Series 2018A Master Obligation (defined herein), and (iii) the Obligor will issue a Master Obligation (as defined in the Master Indenture), in the form of a promissory note in the principal amount of the Series 2018A Bonds (the “Series 2018A Master Obligation”) and will cause the Master Trustee to deliver the Series 2018A Master Obligation to the Bond Trustee, to provide payment for, and secure the payment of, the Series 2018A Bonds. The Series 2018A Master Obligation will constitute a

Master Obligation under the Master Indenture and will be secured equally and ratably with all other Master Obligations issued or to be issued under the Master Indenture (including the Master Obligation securing the Series 2018B Bond (the “Series 2018B Master Obligation”), other than any Master Obligations issued as Subordinated Obligations), by (a) a security interest in all assets of the Obligor, including, without limitation, the Gross Revenues of the Obligated Group (including Entrance Fees and accounts receivable), the funds established under the Master Indenture and (b) a lien on the real property constituting the Land and the Facilities and other personal property of the Obligor as described in the Deed of Trust. The Series 2018A Master Obligation and the Series 2018B Master Obligation are herein referred to as the “Series 2018 Master Obligations”; the Series 2018 Master Obligations, together with any other Master Obligations issued on a parity basis under the Master Indenture, are herein referred to as the “Senior Master Obligations.” The Senior Master Obligations shall have a senior security interest and claim on the Gross Revenues of the Obligated Group, the funds established under the Master Indenture and other security delivered to the Master Trustee pursuant to the Master Indenture.

If an Event of Default under the Master Indenture occurs due to failure to pay any debt service on any Master Obligations when due, each Obligated Group Member is required to deposit with the Master Trustee for deposit into the Revenue Fund created under the Master Indenture all Gross Revenues of such Obligated Group Member (except to the extent otherwise provided by or inconsistent with any instrument creating any Permitted Encumbrance) during each succeeding month, beginning on the first day thereof and on each day thereafter, until no payment default under the Master Indenture then exists.

The Obligor initially will be the only member of the Obligated Group under the Master Indenture, but additional Obligated Group Members may be admitted to the Obligated Group. The Series 2018A Master Obligations will constitute joint and several general obligations of the Obligated Group Members to pay amounts sufficient to pay principal, premium, if any, and interest on the Series 2018A Bonds.

Pledge of All Assets and Gross Revenues; Lien on Land and Facility. In order to secure the payment of the principal of, premium, if any, and interest on the Series 2018A Master Obligation, the Series 2018B Master Obligation and any other Senior Master Obligations issued under the Master Indenture, the Obligated Group Members will pledge, assign, confirm and grant a security interest to the Master Trustee in all personal property of the Obligor, including, without limitation, the Gross Revenues of the Obligated Group Members as well as all moneys and securities from time to time held by the Master Trustee under the terms of the Master Indenture, and the Obligor will execute and deliver a Deed of Trust and Security Agreement dated as of August 1, 2018 in favor of certain trustees for the benefit of the Issuer and its assigns, including the Master Trustee (the “Deed of Trust”), covering the real property constituting the Land, Buildings, Fixtures and other personal property of the Obligor as described therein. See “SECURITY FOR THE SERIES 2018A BONDS - Revenue Fund” herein.

“Gross Revenues” means all receipts, revenues, rentals, income, insurance proceeds (including, without limitation, all Medicaid, Medicare and other third party payments), condemnation awards, Entrance Fees and other moneys received by or on behalf of any Obligated Group Member, including (without limitation) revenues derived from (a) the ownership, operation or leasing of any portion of the Facilities (including, without limitation, fees payable by or on behalf of residents of the Facilities) and all rights to receive the same (other than the right to receive Medicaid and Medicare payments), whether in the form of accounts, general intangibles or other rights, and the proceeds of such accounts, general intangibles and other rights, whether now existing or hereafter coming into existence or whether now owned or held or hereafter acquired, and (b) gifts, grants, bequests, donations and contributions heretofore or hereafter made that are legally available to meet any of the obligations of the Obligated Group Member incurred in the financing, operation, maintenance or repair of any portion of the Facilities; *provided, however,* that there shall be excluded from Gross Revenues (i) any amounts received by an Obligated Group Member as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations and contributions to an Obligated Group Member heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use as payments required under the Master Indenture, (iii) any moneys received by any Obligated Group Member from prospective residents or commercial tenants in order to pay for customized improvements to those Independent Living Units or other areas of the Facilities to be occupied or leased to such residents or tenants, and (iv) all deposits and/or advance payments made in connection with any leases of the Independent Living Units and received prior to receipt of a certificate of occupancy and any required licenses.

The lien and security interests created by the Master Indenture and the Deed of Trust may become subject to additional Permitted Encumbrances, as defined in the Master Indenture. See Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

Excluded Property. The Homes for America Project will involve the creation of a separate ownership unit or such other estate available in Montgomery County, Maryland (the “HFA Parcel”) consisting of an approximately 2 acre parcel within the Obligor’s campus. It is contemplated that the HFA Parcel will be leased by the Obligor to a joint venture between the Obligor and Homes for America, Inc. While the process of creating the HFA Parcel has commenced at closing of the Series 2018 Bonds, the creation of the HFA Parcel will not have been completed and the property comprising the HFA Parcel will be subject to the lien of the Deed of Trust. Upon completion of the creation of the HFA Parcel and the recordation thereof among the Land Records of Montgomery County, Maryland and satisfaction of other conditions, the Deed of Trust will provide a mechanism for the release of the HFA Parcel without any reduction in principal of the Series 2018A Bonds, the Series 2018B Bond, the Series 2018A Note, the Series 2018B Note, the Series 2018A Master Obligation, the Series 2018B Master Obligation or any other indebtedness of the Obligor. Conditions to the release of the HFA Parcel include (a) the provision of a copy of the recorded plat with respect to the HFA Parcel and other evidence demonstrating that the Obligor has received all governmental consents and approvals required to create an ownership unit or such other estate available in Montgomery County, Maryland as permitted under the Master Indenture to separate the HFA Parcel for the remaining mortgaged property (the “Remaining Property”) and that the HFA Parcel and the Remaining Property shall each constitute a separate tax lot and a separate parcel of land for all zoning and tax purposes, (b) an endorsement to the title insurance policy confirming coverage of the Remaining Property as of the date the original title insurance policy was issued, and (c) the provision of certifications of the Obligor regarding the Obligor’s ownership and ability to use the Remaining Property for its intended purposes. It is possible that the creation of the HFA Parcel may be accomplished other than by means of an ownership unit procedure. In the event that plans to create the HFA Parcel are discontinued, the real property which was to be released will remain subject to the lien of the Deed of Trust and the completion of the Project will be unaffected. See “SECURITY FOR THE SERIES 2018 BONDS – Excluded Property” and CERTAIN BOLDHOLDERS’ RISKS – Final Composition of the HFA Parcel.”

Debt Service Reserve Fund. A Debt Service Reserve Fund will be established under the Bond Indenture (the “Debt Service Reserve Fund”) and funded with the proceeds of the Series 2018A Bonds. The Debt Service Reserve Fund will be funded on the date of issuance of the Series 2018A Bonds in the amount equal to the least of (a) the Maximum Annual Debt Service on the Series 2018A Bonds outstanding (which is defined to exclude the final year preceding maturity of the Series 2018A Bonds), (b) 125% of the average annual debt service on the Series 2018A Bonds, and (c) 10% of the aggregate principal amount of the Series 2018A Bonds, calculated on the basis of each Bond Year. The Debt Service Reserve Fund is available to pay the principal of and interest on the Series 2018A Bonds if payments by the Obligor are insufficient therefor. See “ESTIMATED SOURCES AND USES OF FUNDS” and “SECURITY FOR THE SERIES 2018A BONDS – Funds and Accounts Held Under the Master Indenture and Bond Indenture - Debt Service Reserve Fund” herein.

There is no debt service reserve fund for the Series 2018B Bond. The Debt Service Reserve Fund for the Series 2018A Bonds does not secure the Series 2018B Bond.

Certain Bondholders’ Risks

AN INVESTMENT IN THE SERIES 2018A BONDS INVOLVES A SIGNIFICANT DEGREE OF RISK. A PROSPECTIVE BONDHOLDER IS ADVISED TO READ THE ENTIRE OFFICIAL STATEMENT, INCLUDING THE APPENDICES HERETO, BEFORE MAKING AN INVESTMENT DECISION TO PURCHASE SERIES 2018A BONDS. SPECIAL REFERENCE IS MADE TO THE SECTIONS “SECURITY FOR THE SERIES 2018A BONDS” AND “CERTAIN BONDHOLDERS’ RISKS” HEREIN FOR A DISCUSSION OF CERTAIN RISK FACTORS WHICH SHOULD BE CONSIDERED IN CONNECTION WITH AN INVESTMENT IN THE SERIES 2018A BONDS.

THE ISSUER

The Issuer is a political subdivision of the State of Maryland. The Issuer's government is comprised of a County Executive exercising executive powers and a nine-member County Council exercising legislative powers. The County Council acts by adopting resolutions approved by a majority of its members present and voting. See "THE ISSUER" herein.

By appropriate action duly taken by the County Council and the County Executive, pursuant to and in furtherance of the purposes set forth in the Maryland Economic Development Revenue Bond Act, the 2018A Bonds are duly authorized for issuance, sale and delivery pursuant to the Bond Resolution.

THE SERIES 2018A BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. THE SERIES 2018A BONDS AND ANY PREMIUM AND INTEREST THEREON ARE NOT A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE SERIES 2018A BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

THE SERIES 2018A BONDS ARE BEING OFFERED, SUBJECT TO PRIOR SALE AND WITHDRAWAL OF SUCH OFFER WITHOUT NOTICE, WHEN, AS AND IF ISSUED BY THE ISSUER AND ACCEPTED BY HERBERT J. SIMS & CO., INC. (THE "UNDERWRITER") SUBJECT TO THE APPROVING OPINION OF VENABLE LLP, BOND COUNSEL. CERTAIN LEGAL MATTERS WILL BE PASSED UPON FOR THE OBLIGOR BY ITS COUNSEL, WHITEFORD, TAYLOR & PRESTON L.L.P.; AND FOR THE UNDERWRITER BY ITS COUNSEL, MILES & STOCKBRIDGE P.C. IT IS EXPECTED THAT THE SERIES 2018A BONDS WILL BE AVAILABLE FOR DELIVERY TO THE BOND TRUSTEE ON BEHALF OF DTC UNDER THE DTC FAST SYSTEM OF REGISTRATION, AGAINST PAYMENT THEREFOR, ON OR ABOUT AUGUST 23, 2018.

The Issuer has not participated in the preparation of this Official Statement and makes no representation with respect to the accuracy or completeness of any of the material contained in this Official Statement other than in this section and the sections entitled "SHORT STATEMENT – The Issuer", "INTRODUCTION – The Issuer" and "LITIGATION – Issuer." The Issuer is not responsible for providing any purchaser of the Series 2018A Bonds with any information relating to the Series 2018A Bonds or any of the parties or transactions referred to in this Official Statement or for the accuracy or completeness of any such information obtained by any purchaser.

The Issuer has previously issued bonds for the purpose of financing other projects for other entities which are payable from revenues received from such projects and other entities. The source of payment for other bonds previously issued by the Issuer for entities other than the Obligor is separate and distinct from the source of payment for the Series 2018A Bonds, and accordingly, any default by the Issuer or any such other entity with respect to any of such other bonds is not considered a material fact with respect to the payment of the Series 2018A Bonds.

THE OBLIGOR AND THE PROJECT

The Obligor and the Project

The Obligor is a nonstock corporation that has been in operation since 1962 and is organized and existing under the laws of the State of Maryland. The Obligor has been determined by the Internal Revenue Service (the "IRS") to be exempt from federal income taxation as an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986, as amended (the "Code"). The Obligor received a letter from the IRS dated November 17, 2017, confirming that the Obligor is a charitable organization as described in the Code and referencing the IRS

determination letter issued in April, 1969, which recognized the legal predecessor of the Obligor as tax-exempt under Section 501(c)(3) of the Code.

The Obligor provides housing and such other related services as a full-service retirement community, including long-term healthcare services at its approximately 62 acre campus in Sandy Spring, Montgomery County, Maryland. A description of the Obligor, the Existing Community and the Project is attached hereto as Appendix A. The Obligor is the surviving entity in a merger of Friends House, a District of Columbia corporation, into Friends House Nursing Home, Inc., a Maryland nonstock corporation. The merger was completed on September 22, 2017.

The Existing Community

The Obligor's facility currently consists of 32 independent living units and 75 low-income units that were previously HUD units. It is also licensed and equipped for 82 comprehensive care beds and 21 assisted-living units. Until recently, the Obligor operated a 100 HUD unit apartment building, which was reduced to 75 units, as 25 units were removed from service. The Obligor plans to replace the apartment building, as a separate project and not part of this financing, with a new 80-unit low-income housing tax credit financed apartment building through a partnership with Homes for America, Inc. (the "Homes for America Project"). The Homes for America Project building will not be owned by the Obligor, such building and the underlying land owned by the Obligor and leased to the Obligor's partnership with Homes for America, Inc. and will not serve as collateral for the Master Obligations or the Series 2018 Bonds. See "THE EXISTING COMMUNITY" in Appendix A hereto.

The Project Description

The Project will consist of (i) the renovation and expansion of the existing commons building, (ii) the demolition and removal of two vacant cottages, (iii) the construction, furnishing and equipping of approximately 14 new residential cottage units and approximately 33 residential apartment units to be located in approximately 3 buildings and (iv) other associated site work and development. The Maryland Department of Aging gave preliminary approval for the Project by letter to the Obligor dated April 24, 2017 and issued an initial certificate of registration for the Project on July 18, 2018.

See Appendix A hereto for a description of the Obligor, the Project and the Existing Community. See also "FINANCIAL FEASIBILITY STUDY" in Appendix C hereto.

Marketing and Presales

The Obligor has defined the Primary Market Area (the "PMA") for the Project to be an 18 zip code area surrounding the Project, spanning approximately 21 miles from the north to south at the longest points and 25 miles from east to west at the widest points. The total population within the PMA based on a combination of the 2010 census data and the American Community Survey is estimated to be approximately 532,251 for the year 2022. The total population within the PMA that is 75 or over is estimated to be 46,020 and that is 85 or over is estimated to be 15,447 for the year 2022. For more information on the PMA, see "FINANCIAL FEASIBILITY STUDY" in Appendix C hereto.

Marketing efforts for the Project Independent Living Units began in May of 2017, following receipt of preliminary approval from the Maryland Department of Aging. A cottage in the Existing Community was renovated into the current marketing office, and a total of 14 events were attended by over 450 prospective residents. A waiting list of prospective residents was created requiring a \$500 refundable deposit (a "Waiting List Deposit"). In order to reserve a Project Independent Living Unit, prospective residents must make a refundable deposit equal to at least 10% of the Entrance Fees for the selected Project Independent Living Unit (a "Reservation Deposit"). As of August 10, 2018, the Obligor had received a total of 100 Waiting List Deposits (net of refunds), 32 of which (net of refunds) were converted into Reservation Deposits (representing approximately 68% of the available Project Independent Living Units). See "MARKETING" in Appendix A hereto.

The Financial Feasibility Study reports average net worth for individuals who are 75 years or over residing in the PMA to be \$1,257,489, as compared to \$927,404, which is the average net worth for individuals in this age group residing in the State of Maryland, and \$698,061, which is the average net worth for individuals in this age group residing in the United States. In order to qualify for residency in Project Independent Living Units,

prospective residents must be at least 62 years of age and be able to demonstrate sufficient financial resources to meet the entry fee and monthly fee obligations for the unit selected. According to the Financial Feasibility Study, the average net worth and annual income of prospective residents making Reservation Deposits was \$937,943 and \$110,122, respectively.

Prospective residents terminating their Residence and Services Agreement prior to occupancy will receive a refund of their Entrance Fee Deposit in full, less any costs associated with optional amenities. Residents terminating their Residence and Services Agreement within the first 90 days of occupancy will receive a refund of their Entrance Fee within 30 days after the earlier to occur of (a) Obligor's receipt of a replacement Entrance Fee for the applicable unit, or (b) the later of (i) the 90th day after notice of termination or death or (ii) the date on which the Project Independent Living Units have been operated at 95% capacity for the previous six months. If a resident terminates a Residence and Services Agreement after the first 90 days of occupancy, any refund owed will be paid within 60 days if (1) the resident resides in an accommodation offering a higher level of care than when he first entered the community and (2) a replacement Entrance Fee has been received for the unit in which the resident initially resided. The Community will offer three alternative plans to residents of Project Independent Living Units as follows: (x) a 90% refund of Entrance Fee with the remaining 10% refundable on a declining basis over approximately 8 months, (y) a 50% refund of Entrance Fee with the remaining 50% refundable on a declining basis over approximately 42 months and (z) a declining balance option with no guaranteed refund component. See "DEPOSIT AGREEMENTS" in Appendix A hereto. See Appendix A hereto for a description of the Obligor, the Project and the Existing Community. See also "FINANCIAL FEASIBILITY STUDY" in Appendix C hereto.

The Development Consultant

The Obligor and Eventus Strategic Partners, LLC (the "Development Consultant") have entered into a Project Coordination Agreement dated as of December 7, 2015 and amended on September 12, 2016 and May 1, 2018 (the "Development Consultant Agreement") pursuant to which the Development Consultant is providing development, consulting and other services related to the Project.

The Development Consultant is a privately-owned limited liability company that specializes in providing planning, development, marketing and strategic consulting services to continuing care retirement communities. The Development Consultant and its related company, Aegis Property Group, currently have a staff of approximately 24 persons, and senior management has more than 140 years of combined experience in senior housing development. The Development Consultant is currently responsible for the development and/or marketing of approximately nine (9) senior living community development and expansion projects. The Development Consultant has provided strategic consulting services to more than 30 senior living communities and providers since 2006.

As compensation for services rendered pursuant to the Development Consultant Agreement, the Development Consultant is to be paid a fee over several phases of the term of the Development Consultant Agreement. See "THE PROJECT – The Development Consultant" in Appendix A hereto.

PLAN OF FINANCING

Application of Series 2018A Bond Proceeds. The proceeds of the Series 2018A Bonds will be loaned by the Issuer to the Obligor and will be used, together with other available moneys described herein (including, without limitation, a portion of the proceeds of the Series 2018B Bond and equity contributed by the Obligor), (i) to pay or reimburse the Obligor for the costs of the Project; (ii) to fund a debt service reserve account for the Series 2018A Bonds; (iii) to pay capitalized interest on the Series 2018A Bonds through approximately December, 2019; and (iv) to pay certain expenses incurred in connection with the issuance of the Series 2018A Bonds. See "ESTIMATED SOURCES AND USES OF FUNDS" herein.

Application of Series 2018B Bond Proceeds. Simultaneously with the issuance of the Series 2018A Bonds, the Issuer will close on the issuance of its not to exceed \$13,200,000 Economic Development Revenue Bond (Friends House Retirement Community Project) Series 2018B (the "Series 2018B Bond"). The Series 2018B Bond is being issued pursuant to the Act, the Resolution and that certain Loan and Financing Agreement dated as of August 1, 2018 (the "Series 2018B Loan and Financing Agreement") among the Issuer, Compass Mortgage Corporation (the "Series 2018B Lender") and the Obligor. Under the terms of the Series 2018B Loan and Financing Agreement, the Issuer is issuing the Series 2018B Bond and agreeing to lend the proceeds thereof to the Obligor, the

Obligor is agreeing to make loan payments at times sufficient to pay principal, premium (if any) and interest on the Series 2018B Bond and the Series 2018B Lender is agreeing to purchase the Series 2018B Bond on the terms and conditions set forth therein and in that certain Construction Disbursement and Monitoring Agreement (the “Disbursement Agreement”) dated as of August 1, 2018 by and among jhme Real Estate Advisers, LLC, a Texas limited liability company (the “Construction Monitor”), the Series 2018B Lender, the Bond Trustee and the Obligor. The Series 2018B Bond is secured by a promissory note (the “Series 2018B Master Obligation”) issued pursuant to the Master Indenture on a parity with all of the Series 2018A Master Obligation. The sale of the Series 2018A Bonds is contingent upon the satisfaction of any conditions precedent to the initial advance of proceeds under the Series 2018B Bond.

The Series 2018B Bond is not being offered pursuant to this Official Statement.

The Series 2018B Bond is being issued on a draw-down basis, and the Series 2018B Lender will hold the Series 2018B Bond. The purchase price of the Series 2018B Bond will be paid through periodic advances of the proceeds of the Series 2018B Bond (“Series 2018B Bond Proceeds Advances”) in accordance with the Series 2018B Loan and Financing Agreement and the Disbursement Agreement. Except as otherwise provided in the Series 2018B Loan and Financing Agreement, the principal amount of the Series 2018B Bond outstanding and due shall only be the aggregate amount that has been drawn down and interest shall only accrue on such principal amount of the Series 2018B Bond that has actually been drawn. See “CERTAIN BONDHOLDERS’ RISKS – The Series 2018B Bond is a Draw-Down Bond.”

Under the terms of the Disbursement Agreement, the Obligor may make requests for Series 2018B Bond Proceeds Advances on a monthly basis or more frequently as acceptable to the Series 2018B Lender and such requests shall be made in accordance with the Disbursement Agreement.

Prior to the occurrence of an Event of Default, the Series 2018B Bond is payable from the release of Initial Entrance Fees in accordance with the operation of the Entrance Fee Fund. See “Plan of Financing – Application of Initial Entrance Fees” herein. The Series 2018B Bond matures August 1, 2029. The Series 2018 B Loan and Financing Agreement provides that the Series 2018B Bond is subject to special mandatory redemption on the last business day of August 2019, 2020, and 2021, in the following respective amounts of not less than: \$2,000,000, \$3,000,000 and \$5,200,000 (the “Mandatory Repayment Amounts”).

Amounts transferred from the Entrance Fee Fund to pay the Series 2018B Bond are credited against the Mandatory Repayment Amounts in order of when due. The Feasibility Study anticipates that Initial Entrance Fees in the amount of \$10,200,000 will be applied to the Series 2018B Bond by June 30, 2020, thus fully satisfying the Mandatory Repayment Amounts. See “APPENDIX C – Financial Feasibility Study.”

No debt service reserve fund will be funded for the benefit of the holder of the Series 2018B Bond. The Debt Service Reserve Fund for the Series 2018A Bonds does not secure the Series 2018B Bond.

Application of Initial Entrance Fees. The Master Trustee will establish and maintain a separate fund to be known as the Entrance Fee Fund. All moneys received by the Master Trustee and held in the Entrance Fee Fund will be trust funds under the terms of the Master Indenture for the benefit of all of the Outstanding Master Obligations (as defined in the Master Indenture) (except as otherwise provided). Such moneys will be held in trust and applied in accordance with the provisions of the Master Indenture. While Initial Entrance Fees will secure all Master Obligations on a parity basis, absent an Event of Default, they are not expected to be used to repay the Series 2018A Bonds.

(a) The Members of the Obligated Group agree that all Initial Entrance Fees received by the Members of the Obligated Group shall be transferred to the Master Trustee within five Business Days of receipt for deposit into the Entrance Fee Fund once available for transfer pursuant to applicable law.

(b) For so long as there shall not have occurred and be continuing an Event of Default under the Master Indenture, the Initial Entrance Fees deposited to the Entrance Fee Fund shall be applied by the Master Trustee within two (2) Business Days of receipt in the following order of priority, as follows:

FIRST: To the Obligated Group Representative to pay refunds required by Residence and Services Agreements for which the Obligated Group Representative has not received a corresponding replacement Entrance Fee with respect to the applicable Project Independent Living Unit. Such disbursements shall be made upon receipt by the Master Trustee of an Officer's Certificate of the Obligated Group Representative certifying that the Obligated Group Representative is required by a Residence and Services Agreement to pay refunds.

SECOND: If no pending disbursement under FIRST, on each Entrance Fee Transfer Date to the Series 2018B Lender to prepay the Series 2018B Bond.

(c) For so long as an Event of Default has occurred and is continuing, the Initial Entrance Fees deposited to the Entrance Fee Fund shall be applied by the Master Trustee within two (2) Business Days of receipt in the following order of priority, as follows:

FIRST: To the Obligated Group Representative to pay refunds required by Residence and Services Agreements for which the Obligated Group Representative has not received a corresponding replacement Entrance Fee with respect to the applicable Project Independent Living Unit. Such disbursements shall be made upon receipt by the Master Trustee of an Officer's Certificate of the Obligated Group Representative certifying that the Obligated Group Representative is required by a Residence and Services Agreement to pay refunds.

SECOND: If no pending disbursement under FIRST, to secure all outstanding Series 2018 Master Obligations on a pro rata basis.

(d) Once the Series 2018B Bond is outstanding in a principal amount not to exceed \$3,000,000, or there are moneys on deposit in the Entrance Fee Fund sufficient to redeem the Series 2018B Bond principal then Outstanding in excess of \$3,000,000, which are not subject to refunds required by Residence and Services Agreements, and no Event of Default has occurred and is continuing (as established by an Officer's Certificate of the Obligated Group Representative delivered to the Master Trustee), the Members of the Obligated Group need not deposit any additional Initial Entrance Fees into the Entrance Fee Fund, and the Entrance Fee Fund shall be closed.

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ESTIMATED SOURCES AND USES OF FUNDS

The following is the estimated sources and uses of funds in connection with the issuance of the Series 2018A Bonds and the Series 2018B Bond.

Sources of Funds

Series 2018A Bonds	\$ 16,975,000
Plus premium	\$ 511,339
Series 2018B Bond ¹	\$ 13,200,000
Equity Contribution	\$ 2,200,000

Total Sources of Funds	\$ 32,886,339
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Uses of Funds

Project Fund Deposit of Series 2018A Bonds	\$ 16,358,625
Project Funds to be drawn from Series 2018B Bond ²	\$ 12,936,000
Capitalized Interest on the Series 2018A Bonds ³	\$ 1,093,347
Debt Service Reserve Fund for the Series 2018A Bonds	\$ 1,396,750
Costs of Issuance ⁴	\$ 1,101,616

Total Uses of Funds	\$ 32,886,339
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¹ The Series 2018B Bond is being purchased by the Series 2018B Lender and issued on a draw-down basis. Interest will only accrue on the drawn portion of the Series 2018B Bond.

² Includes funded interest on the Series 2018B Bond through approximately March, 2020.

³ Interest on the Series 2018A Bonds through approximately December, 2019.

⁴ Includes Underwriter's discount, the Issuer, trustee, legal, accounting and other professional fees, printing and other miscellaneous expenses relating to the issuance and sale of the Series 2018 Bonds and other costs.

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THE SERIES 2018A BONDS

General

The Series 2018A Bonds will be issued only in fully-registered form without coupons in denominations of \$100,000 and integral multiples of \$5,000 in excess thereof. The Series 2018A Bonds will be dated the date of their issuance and delivery, and will accrue interest from their date, except as otherwise provided in the Bond Indenture. The Series 2018A Bonds will bear interest (based on a 360-day year of twelve 30-day months) at the rate set forth on the inside cover page hereof, payable semiannually on January 1 and July 1 of each year, commencing January 1, 2019 (each, an “Interest Payment Date”) until maturity or prior redemption, and mature on the dates set forth on the inside cover page hereof.

THE SERIES 2018A BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. THE SERIES 2018A BONDS AND ANY PREMIUM AND INTEREST THEREON ARE NOT A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE SERIES 2018A BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

No covenant, stipulation, obligation or agreement of the Issuer in the Bond Indenture, the Series 2018A Bonds, the Series 2018B Bond, any other Series 2018A Bond Documents or Series 2018B Loan and Financing Agreement or the Disbursement Agreement shall be deemed to be a covenant, stipulation, obligation or agreement of any present or future elected or appointed official, officer, employee or agent of the Issuer in his or her individual capacity. Neither the members of the County Council nor the County Executive nor any person executing the Series 2018A Bonds or the Series 2018B Bond or any agreement entered into by the Issuer under the Resolution, nor any official, officer, employee or agent of the Issuer shall be liable personally on the Series 2018A Bonds or the series 2018B Bond or agreement or be subject to any personal liability or accountability by reason of the issuance, execution and delivery thereof.

So long as DTC acts as securities depository for the Series 2018A Bonds, as described under “BOOK-ENTRY ONLY SYSTEM” herein, all references herein to “Owner,” “owner,” “Holder” or “holder” of any Series 2018A Bonds or to any Series 2018A “Bondowner,” “Bondholder,” “bondowner” or “bondholder” are deemed to refer to Cede & Co., as nominee for DTC, and not to Participants, Indirect Participants or Beneficial Owners (as defined herein).

Payment of Principal and Interest

While the Series 2018A Bonds are in the book-entry only system, the method and place of payment will be as provided in the book-entry only system hereinafter described under “BOOK-ENTRY ONLY SYSTEM.” If the book-entry only system for the Series 2018A Bonds is discontinued, the method and place of payment will be as follows:

The principal or redemption price of and interest on the Series 2018A Bonds is payable in lawful money of the United States of America at the Payment Office of the Bond Trustee, or at the designated corporate trust office of its successor, upon presentation and surrender of the Series 2018A Bonds. Payment of interest on each Series 2018A Bond will be made to the person in whose name such Series 2018A Bond is registered on the Bond Register at the close of business on the applicable Record Date and is required to be paid (i) by check or draft mailed to such registered owner on the applicable Interest Payment Date at such owner’s address as it appears on the Bond Register or (ii) as to any registered owner of \$1,000,000 or more in aggregate principal amount of Series 2018A Bonds who

so elects, by wire transfer of funds. In the event of default in the payment of interest due on such Interest Payment Date, defaulted interest will be payable to the person in whose name such Series 2018A Bond is registered at the close of business on a Special Record Date for the payment of such defaulted interest established by notice mailed by the Bond Trustee to the registered owners of Series 2018A Bonds not less than ten days preceding such Special Record Date.

Transfers and Exchanges; Persons Treated as Owners

The Series 2018A Bonds are exchangeable for an equal aggregate principal amount of fully-registered Series 2018A Bonds of the same maturity and series and are in authorized denominations at the designated office of the Bond Trustee but only in the manner and subject to the limitations and on payment of the charges provided in the Bond Indenture.

The Series 2018A Bonds are fully transferable by the registered owner in person or by his or her duly authorized attorney on the registration books kept at the principal office of the Bond Trustee upon surrender of the Series 2018A Bond together with a duly executed written instrument of transfer satisfactory to the Bond Trustee. Upon such transfer a new fully-registered Series 2018A Bond of authorized denomination or denominations for the same aggregate principal amount, maturity and series will be issued to the transferee in exchange therefor, all upon payment of the charges and subject to the terms and conditions set forth in the Bond Indenture.

The Bond Trustee will not be required to transfer or exchange any Series 2018A Bond after the mailing of notice calling such Series 2018A Bond or any portion thereof for redemption as herein provided, nor during the period beginning at the opening of business 15 days before the day of mailing by the Bond Trustee of a notice of prior redemption and ending at the close of business on the day of such mailing.

As to any Series 2018A Bond, the person in whose name such Series 2018A Bond is registered will be deemed and regarded as the absolute owner thereof for all purposes, and payment of principal or of interest on any Series 2018A Bond will be made only to or upon the written order of the registered owner thereof or his legal representative. All such payments will be valid and effectual to satisfy and discharge the liability upon such Series 2018A Bond to the extent of the sum or sums paid.

Redemption Prior to Maturity

Optional Redemption of Series 2018A Bonds. The Series 2018A Bonds maturing after July 1, 2023, are subject to optional redemption prior to maturity at the direction of the Obligor in whole or in part on the dates set forth below, at a redemption price set forth below, together with accrued interest to the date of redemption:

<u>Redemption Date</u>	<u>Redemption, Price (% of principal amount of the Series 2018A Bonds to be redeemed at maturity)</u>
July 1, 2023 to June 30, 2024	104
July 1, 2024 to June 30, 2025	103
July 1, 2025 to June 30, 2026	102
July 1, 2026 to June 30, 2027	101
July 1, 2027 and thereafter	100

The Series 2018A Bonds may be optionally redeemed as set forth in this paragraph from any funds of the Obligor, including Initial Entrance Fees; provided, however that Initial Entrance Fees are expected to be applied to prepay the Series 2018B Bond. Notwithstanding any provision hereof to the contrary, for as long as the Series 2018B Bond remains outstanding, the Series 2018 A Bonds shall not be subject to optional redemption, unless the Obligor shall have delivered to the Bond Trustee an Officer's Certificate to the effect that (i) the Obligor has complied with all applicable requirements of the Series 2018B Financing Agreement (relating to the contemporaneous redemption rights of the Series 2018B Lender under certain circumstances) and (ii) the principal amount of Series 2018A Bonds to be redeemed does not exceed the principal amount permitted by the Series 2018B Financing Agreement.

Mandatory Sinking Fund Redemption of Series 2018A Bonds. The Series 2018A Bonds maturing on July 1, 2033, July 1, 2039 and July 1, 2048 are subject to mandatory sinking fund redemption from amounts deposited to the Principal Account of the Bond Fund established pursuant to the Bond Indenture by the Obligor, at a redemption price equal to 100% of the principal amount to be redeemed, together with accrued interest to the date fixed for redemption, on July 1 in each of the years and amounts as follows:

The \$2,175,000 Series 2018A Bonds maturing on July 1, 2033 are required to be redeemed on July 1, in amounts and at a price of par plus accrued interest to the redemption date, as follows:

July 1 of the Year	Principal Amount
2030	\$505,000
2031	530,000
2032	555,000
2033‡	585,000

‡ Maturity

The \$4,175,000 Series 2018A Bonds maturing on July 1, 2039 are required to be redeemed on July 1, in amounts and at a price of par plus accrued interest to the redemption date, as follows:

July 1 of the Year	Principal Amount
2034	\$615,000
2035	645,000
2036	675,000
2037	710,000
2038	745,000
2039‡	785,000

‡ Maturity

The \$10,625,000 Series 2018A Bonds maturing on July 1, 2048 are required to be redeemed on July 1, in amounts and at a price of par plus accrued interest to the redemption date, as follows:

July 1 of the Year	Principal Amount
2040	\$ 825,000
2041	870,000
2042	915,000
2043	965,000
2044	1,015,000
2045	1,070,000
2046	1,125,000
2047	1,190,000
2048‡	2,650,000

‡ Maturity

On or before the thirtieth day prior to each sinking fund payment date, the Bond Trustee shall proceed to select for redemption (by lot in such manner as the Bond Trustee may determine) from all Series 2018A Bonds Outstanding maturing on July 1, 2033, 2039, or 2048, as the case may be, a principal amount of such Series 2018A Bonds equal to the Aggregate Principal Amount of such Series 2018A Bonds redeemable with the required sinking fund payment and shall call such Series 2018A Bonds or portions thereof (\$100,000 and integral multiples of \$5,000

in excess thereof) for redemption from the sinking fund on the next July 1 and give notice of such call. At the option of the Obligor to be exercised by delivery of a written certificate to the Bond Trustee on or before the forty-fifth day next preceding any sinking fund redemption date, it may (i) deliver to the Bond Trustee for cancellation Series 2018A Bonds or portions thereof maturing on July 1, 2033, 2039 or 2048, as the case may be, in an Aggregate Principal Amount desired by the Obligor or (ii) specify a principal amount of Series 2018A Bonds or portions thereof maturing on July 1, 2033, 2039 or 2048, as the case may be, which prior to said date have been redeemed (otherwise than through the operation of the sinking fund) and canceled by the Bond Trustee at the request of the Issuer and not theretofore applied as a credit against any sinking fund redemption obligation. Any such Series 2018A Bonds are required to be credited against the next succeeding or any other sinking fund redemption date designated in writing by the Obligor.

Extraordinary Optional Redemption. The Series 2018A Bonds will be subject to optional redemption by the Obligor prior to their scheduled maturities, in whole or in part at a redemption price equal to the principal amount thereof plus accrued interest from the most recent interest payment date to the redemption date on any date following the occurrence of any of the following events:

(a) in case of damage or destruction to, or condemnation of, any Property (as defined in the Deed of Trust) of any Obligated Group Member, to the extent that the net proceeds of insurance or condemnation award exceed the Threshold Amount and the Obligor has determined not to use such net proceeds or award to repair, rebuild or replace such Property; or

(b) as a result of any changes in the Constitution or laws of the State of Maryland, the Issuer or the United States of America or of any legislative, executive, or administrative action (whether state or federal) or of any final decree, judgment, or order of any court or administrative body (whether state or federal), the obligations of the Obligor under the Loan Agreement have become, as established by an Opinion of Counsel, void or unenforceable in each case in any material respect in accordance with the intent and purpose of the parties as expressed in the Loan Agreement.

In the event that the net proceeds of insurance or condemnation award are insufficient to repay in full all outstanding Bonds, partial redemptions shall be made on a pro rata basis determined based on the outstanding principal amounts thereof.

Mandatory Redemption from Surplus Construction Fund Money. The Series 2018A Bonds are subject to mandatory redemption in whole or in part on any date for which timely notice of redemption can be given by the Bond Trustee following the Completion Date at a redemption price equal to the aggregate principal amount of the Series 2018A Bonds to be redeemed plus accrued interest to the redemption date, without premium, to the extent Surplus Construction Fund Moneys (as defined in the Loan Agreement) are transferred to the Principal Account of the Bond Fund established pursuant to the Bond Indenture.

Mandatory Redemption upon Determination of Taxability. The Series 2018A Bonds are subject to mandatory redemption in whole at a redemption price equal to 105% of the principal amount of the Series 2018A Bonds to be redeemed plus accrued interest thereon to, but not including, the redemption date on any Business Day within forty-five (45) days after the occurrence of a Determination of Taxability; provided, however, if, in the Opinion of Bond Counsel, a mandatory redemption on account of a Determination of Taxability of less than all of the Series 2018A Bonds would result in the interest on the Series 2018A Bonds Outstanding following such mandatory redemption not being includable in the gross income of the holders of such Outstanding Series 2018A Bonds, then, unless otherwise specified in such Opinion, the Series 2018A Bonds are subject to mandatory redemption upon the occurrence of a Determination of Taxability in Authorized Denominations.

“Determination of Taxability” means: (a) the issuance of a statutory notice of deficiency by the Internal Revenue Service (the “IRS”) which in effect holds that an Event of Taxability has occurred; (b) the issuance of a proposed written adverse determination by the IRS to the Obligor or the Issuer, which in effect holds that an Event of Taxability has occurred; provided that no Determination of Taxability will be deemed to occur if the Obligor or the Issuer has initiated an administrative appeal of such determination or has begun negotiating a closing agreement with the IRS, until the earliest of (i) abandonment of the appeals process by the Obligor, (ii) the date on which such appeals process has been concluded adversely to the Obligor or the Issuer and no further appeal is permitted or (iii)

twelve (12) months after the receipt by the Obligor or the Issuer of the proposed adverse determination, unless otherwise approved by the Owners of at least a majority in aggregate principal amount of the Series 2018A Bonds then Outstanding; (c) the deposit by the Obligor with the Bond Trustee of a certificate to the effect that an Event of Taxability has occurred or will occur and setting forth the date of taxability (i.e. the date on which the interest on the Series 2018A Bonds is declared taxable for federal income tax purposes); the Obligor will be obligated to deliver promptly to the Bond Trustee such a certificate upon the occurrence of an Event of Taxability; (d) the rendering of a final and unappealable decision, judgment, decree or other order by any court of competent jurisdiction to the effect that an Event of Taxability has occurred; or (e) the delivery to the Bond Trustee of an unqualified opinion of Bond Counsel to the effect that an Event of Taxability has occurred or a written statement by Bond Counsel delivered to the Bond Trustee that Bond Counsel is unable to render an opinion to the effect that interest on the Series 2018A Bonds is excluded from gross income for purposes of federal income taxation.

“Event of Taxability” means any conditions or circumstances that cause the interest on any of the Series 2018A Bonds to become includable in the gross income of the Owners thereof for purposes of federal income tax.

Partial Redemption. After the occurrence of an Event of Default, the Series 2018A Bonds and the Series 2018B Bond shall be redeemed pro rata based on the principal amount of the Series 2018A Bonds and the Series 2018B Bond then currently outstanding. In the event that less than all of the Series 2018A Bonds are to be redeemed, the Obligor may select particular maturities of such series to be redeemed. If less than all Series 2018A Bonds or portions thereof of a single maturity are to be redeemed, they shall be selected by the Securities Depository in accordance with the Applicable Procedures (as defined in the Master Indenture) or if the Series 2018A Bonds or portions thereof to be redeemed are not held by the Securities Depository in a book-entry system by lot or in such other manner as the Bond Trustee may determine. If a Series 2018A Bond is of a denomination larger than the minimum Authorized Denomination, a portion of such Series 2018A Bond may be redeemed, but Series 2018A Bonds will be redeemed only in the principal amount of an Authorized Denomination and no Series 2018A Bond may be redeemed in part if the principal amount to be outstanding following such partial redemption is not an Authorized Denomination.

Notice of Redemption. In case of every redemption, the Bond Trustee will cause notice of such redemption to be given by mailing by first-class mail, postage prepaid, or sending electronically pursuant to the Applicable Procedures, a copy of the redemption notice to the owners of the Series 2018A Bonds designated for redemption, in whole or in part, at their addresses as the same last appear upon the registration books in each case not more than 60 nor less than 30 days prior to the redemption date. In addition, notice of redemption will be sent by first class or registered mail, return receipt requested, or by overnight delivery service (1) contemporaneously with such mailing: (a) to any owner of \$1,000,000 or more in principal amount of the Series 2018A Bonds, and (b) to the Municipal Securities Rulemaking Board’s Electronic Municipal Marketplace Access website; and (2) to any securities depository registered as such pursuant to the Securities Exchange Act of 1934, as amended, that is an owner of the Series 2018A Bonds to be redeemed so that such notice is received at least two days prior to such mailing date. An additional notice of redemption will be given by certified mail, postage prepaid, mailed not less than 60 nor more than 90 days after the redemption date to any owner of the Series 2018A Bonds selected for redemption that has not surrendered the Series 2018A Bonds called for redemption, at the address as the same will last appear upon the registration books. Any notice of redemption is required to contain the information specified in the Bond Indenture. The failure to give any such notice, or any defect therein, will not affect the validity of any proceedings for the redemption of such Series 2018A Bonds. Upon the written direction of the Obligor, a notice of optional redemption shall contain a statement to the effect that the optional redemption of the Series 2018A Bonds is conditioned upon the receipt by the Bond Trustee, prior to the date fixed for such redemption, of amounts equal to the redemption price of the Series 2018A Bonds to be optionally redeemed. If such condition will not be satisfied the Obligor is to provide notice to the Bond Trustee not less than two Business Days prior to the redemption date that such condition will not be satisfied, and the notice of redemption shall be rescinded and the redemption subject to the satisfaction of such condition shall not occur.

Purchase in Lieu of Redemption. In lieu of redeeming the Series 2018A Bonds, the Bond Trustee may, at the request of the Obligor, use such funds otherwise available under the Bond Indenture for redemption of Series 2018A Bonds to purchase Series 2018A Bonds in the open market at a price not exceeding the redemption price then applicable.

Intercreditor Provisions. The Series 2018A Bonds and the Series 2018B Bond are all secured by Master Obligations issued under the Master Indenture, which Master Obligations are intended to be secured on a parity basis under the Master Indenture. In consideration of the parity security of the Master Obligations securing all of the Series 2018A Bonds and the Series 2018B Bond, in the Bond Indenture, the Holders of the Series 2018A Bonds, by their acceptance of the Series 2018A Bonds, and the Bond Trustee further acknowledge and agree as follows:

(a) On any scheduled principal or interest payment date on the Series 2018A Bonds, if the Bond Trustee does not receive funds sufficient to make a scheduled principal or interest payment for the Series 2018A Bonds, the Bond Trustee shall notify the Series 2018B Lender in writing of such deficiency.

(b) On the Business Day prior to any scheduled principal or interest payment date on the Series 2018A Bonds, if the Bond Trustee shall receive timely written notice from the Series 2018B Lender that it did not receive funds sufficient to make a scheduled principal or interest payment for the Series 2018B Bond, the Bond Trustee is required to cooperate with the Series 2018B Lender regarding any transfers of funds to the Series 2018B Lender so that any corresponding principal and interest payments to be applied under the Bond Indenture and the Series 2018B Loan and Financing Agreement, as applicable, shall be applied pro rata based on the principal amount of the Series 2018A Bonds and the Series 2018B Bond then currently outstanding.

(c) In connection with any optional or extraordinary mandatory redemption under the Bond Indenture, the Bond Trustee, upon being provided with the Officer's Certificate with respect to such redemption, shall promptly deliver a copy of such Officer's Certificate to the Series 2018B Lender with respect to such redemption and shall cooperate with the Series 2018B Lender in order to avoid any disparate treatment of the Series 2018B Bond and the related Master Obligation under the Master Indenture.

Under the terms of the Series 2018B Loan and Financing Agreement, the Series 2018B Lender undertakes reciprocal obligations to the Bond Trustee in respect of (a) and (b) above.

BOOK-ENTRY ONLY SYSTEM

This section describes how ownership of the Series 2018A Bonds is to be transferred and how the principal of and interest on the Series 2018A Bonds are to be paid to and credited by DTC while the Series 2018A Bonds are registered in its nominee name. The information in this section concerning DTC and the Book-Entry Only System has been provided by DTC for use in disclosure documents such as this Official Statement. The Obligor and the Underwriter believe the source of such information to be reliable, but take no responsibility for the accuracy or completeness thereof.

The Obligor cannot and does not give any assurance that (1) DTC will distribute payments of debt service on the Series 2018A Bonds, or redemption or other notices, to DTC Participants, (2) DTC Participants or others will distribute debt service payments paid to DTC or its nominee (as the registered owner of the Series 2018A Bonds), or redemption or other notices, to the Beneficial Owners, or that they will do so on a timely basis, or (3) DTC will serve and act in the manner described in this Official Statement. The current rules applicable to DTC are on file with the United States Securities and Exchange Commission, and the current procedures of DTC to be followed in dealing with DTC Participants are on file with DTC.

DTC will act as securities depository for the Series 2018A Bonds. The Series 2018A Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered certificate will be issued for each maturity of each series of the Series 2018A Bonds, in the aggregate principal amount of each maturity of each series, and will be deposited with DTC.

General

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code,

and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations.

DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a S&P rating of AA+. The DTC Rules applicable to its Participants are on file with the United States Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of Series 2018A Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Series 2018A Bonds on DTC’s records. The ownership interest of each actual purchaser of Series 2018A Bonds (“Beneficial Owner”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2018A Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive Series 2018A Bonds representing their ownership interests in Series 2018A Bonds, except in the event that use of the book-entry system for the Series 2018A Bonds is discontinued.

To facilitate subsequent transfers, all Series 2018A Bonds deposited by Direct Participants with DTC are registered in the name of DTC’s partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Series 2018A Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership.

DTC has no knowledge of the actual Beneficial Owners of the Series 2018A Bonds; DTC’s records show only the identity of the Direct Participants to whose accounts such Series 2018A Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Series 2018A Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Series 2018A Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Series 2018A Bond Documents (as defined in the Bond Indenture). For example, Beneficial Owners of Series 2018A Bonds may wish to ascertain that the nominee holding the Series 2018A Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the Trustee and request that copies of the notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Series 2018A Bonds within a maturity of a series are being redeemed, DTC’s practice is to determine by lot the amount of the interest of each Direct Participant in such maturity to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Series 2018A Bonds unless authorized by a Direct Participant in accordance with DTC’s MMI Procedures. Under its usual

procedures, DTC mails an Omnibus Proxy to the Obligor as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Series 2018A Bonds are credited on the Record Date (identified in a listing attached to the Omnibus Proxy).

Payments of principal, interest payments and any redemption on the Series 2018A Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detailed information from the Obligor or the Bond Trustee, on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC nor its nominee, the Bond Trustee, or the Obligor, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal, redemption price and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Obligor or the Bond Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as securities depository with respect to the Series 2018A Bonds at any time by giving reasonable notice to the Obligor or the Bond Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered to DTC Participants or the Beneficial Owners, as the case may be.

Limitation

For so long as the Series 2018A Bonds are registered in the name of DTC or its nominee, Cede & Co., the Issuer, the Obligor and the Bond Trustee will recognize only DTC or its nominee, Cede & Co., as the registered owner of the Series 2018A Bonds for all purposes, including payments, notices and voting. So long as Cede & Co. is the registered owner of the Series 2018A Bonds, references herein to the Holders or registered owners of the Series 2018A Bonds shall mean Cede & Co. and shall not mean the Beneficial Owners of the Series 2018A Bonds.

Because DTC is treated as the owner of the Series 2018A Bonds for substantially all purposes under the Bond Indenture, Beneficial Owners may have a restricted ability to influence in a timely fashion remedial action or the giving or withholding of requested consents or other directions. In addition, because the identity of Beneficial Owners is unknown to the Issuer, the Obligor, the Bond Trustee or DTC, it may be difficult to transmit information of potential interest to Beneficial Owners in an effective and timely manner. Beneficial Owners should make appropriate arrangements with their broker or dealer regarding distribution of information regarding the Series 2018A Bonds that may be transmitted by or through DTC.

Under the Bond Indenture, payments made by the Bond Trustee to DTC or its nominee shall satisfy the Issuer's obligations under the Bond Indenture and the Obligor's obligations under the Loan Agreement to the extent of the payments so made.

None of the Issuer, the Obligor or the Bond Trustee shall have any responsibility or obligation with respect to:

- (i) the accuracy of the records of DTC, its nominee or any Direct Participant or Indirect Participant with respect to any beneficial ownership interest in any Series 2018A Bonds;
- (ii) the delivery to any Direct Participant or Indirect Participant or any other Person, other than a Holder, as shown on the registration books maintained by the Bond Trustee, of any notice with respect to any Series 2018A Bond including, without limitation, any notice of redemption with respect to any Series 2018A Bond;

(iii) the payment to any Direct Participant or Indirect Participant or any other Person, other than a Holder, as shown on the registration books maintained by the Bond Trustee, of any amount with respect to the principal or redemption price of, or interest on, any Series 2018A Bond; or

(iv) any consent given by DTC or its nominee as registered owner.

Prior to any discontinuation of the book-entry only system hereinabove described, the Issuer, the Obligor and the Bond Trustee may treat Cede & Co. (or such other nominee of DTC) as, and deem Cede & Co. (or such other nominee) to be, the absolute Holder of the Series 2018A Bonds for all purposes whatsoever, including, without limitation:

- (i) the payment of the principal or redemption price of and interest on the Series 2018A Bonds;
- (ii) giving notices of redemption and other matters with respect to the Series 2018A Bonds;
- (iii) registering transfers with respect to the Series 2018A Bonds; and
- (iv) the selection of Series 2018A Bonds for redemption.

The Issuer and the Bond Trustee cannot give any assurances that DTC or the Participants will distribute payments of the principal or redemption price of and interest on the Series 2018A Bonds, paid to DTC or its nominee, as the registered owner of the Series 2018A Bonds, or any redemption or other notices, to the Beneficial Owners or that they will do so on a timely basis or that DTC will serve and act in the manner described in this Official Statement.

So long as Cede & Co. is the registered owner of the Series 2018A Bonds, as nominee of DTC, references in this Official Statement to the Holders of the Series 2018A Bonds shall mean Cede & Co. and shall not mean the Beneficial Owners, and Cede & Co. will be treated as the only Bondholder of Series 2018A Bonds for all purposes under the Bond Indenture.

The Issuer may enter into amendments to the agreement with DTC or successor agreements with a successor securities depository relating to the book-entry system to be maintained with respect to the Series 2018A Bonds without the consent of Beneficial Owners or Bondholders.

Removal From the Book-Entry System

DTC may discontinue providing its services as securities depository with respect to the Series 2018A Bonds at any time by giving written notice to the Issuer, the Bond Trustee and the Obligor. The Issuer or the Obligor, with the consent of the other, may terminate the services of DTC (or a successor securities depository). Upon the discontinuance or termination of the services of DTC, unless a substitute securities depository is appointed, Bond certificates will be printed and delivered to the Beneficial Owners of the Series 2018A Bonds.

In the event the Series 2018A Bonds are removed from the Book-Entry System, the principal of and the interest on the Series 2018A Bonds shall be payable to the persons in whose names the Series 2018A Bonds are registered on the Bond Register on the applicable Record Date. Payments of interest on the Series 2018A Bonds shall be made to the registered owner of the Series 2018A Bonds (as determined at the close of business on the Record Date next preceding the applicable Interest Payment Date) by check mailed on the Interest Payment Date and the principal amount of any Series 2018A Bond and premium, if any, together with interest payable other than on a regularly scheduled Interest Payment Date, shall be made by check only upon presentation and surrender of the Series 2018A Bond on or after its maturity date or date fixed for redemption or other payment at the office of the Bond Trustee; provided, however, that payment of principal of, premium, if applicable, and interest on any Series 2018A Bond may be made by wire transfer as described above under the heading "THE SERIES 2018A BONDS - Payment of Principal and Interest."

DEBT SERVICE SCHEDULE

The following table sets forth the debt service schedule for the Series 2018A Bonds, including the principal of the Series 2018A Bonds to be redeemed by mandatory sinking fund redemption, and for the Series 2018B Bond. For purposes of the principal and interest payments on the Series 2018B Bond, this table assumes that the Series 2018B Bond are fully drawn in accordance with the Obligor's expected draw schedule.

Bond Year Ending	Series 2018A Bonds		Series 2018B Bond		Total*
	Principal or Sinking Fund Requirements	Interest	Expected Principal Payments ¹	Expected Interest ²	
2019		760,241	2,000,000	168,812	2,929,053
2020		888,594	3,000,000	551,959	4,440,553
2021		888,594	5,200,000	410,000	6,498,594
2022		888,594	315,000	142,896	1,346,490
2023		888,594	330,000	127,146	1,345,740
2024		888,594	345,000	110,875	1,344,469
2025		888,594	365,000	92,021	1,345,615
2026		888,594	380,000	74,000	1,342,594
2027		888,594	400,000	55,000	1,343,594
2028		888,594	420,000	33,625	1,342,219
2029		888,594	445,000	12,396	1,345,990
2030	505,000	888,594			1,393,594
2031	530,000	863,344			1,393,344
2032	555,000	836,844			1,391,844
2033	585,000	809,094			1,394,094
2034	615,000	779,844			1,394,844
2035	645,000	749,094			1,394,094
2036	675,000	716,844			1,391,844
2037	710,000	683,094			1,393,094
2038	745,000	647,594			1,392,594
2039	785,000	610,344			1,395,344
2040	825,000	571,094			1,396,094
2041	870,000	526,750			1,396,750
2042	915,000	479,988			1,394,988
2043	965,000	430,806			1,395,806
2044	1,015,000	378,938			1,393,938
2045	1,070,000	324,381			1,394,381
2046	1,125,000	266,869			1,391,869
2047	1,190,000	206,400			1,396,400
2048	2,650,000	142,438			2,792,438
	16,975,000	20,558,529	13,200,000	1,778,730	52,512,259

¹The amounts shown in years 2019, 2020 and 2021 represent the Mandatory Repayment Amounts due under the Series 2018B Financing Agreement; subsequent amounts represent the amortization of the remaining \$3,000,000 balance thereafter. Entrance Fees will be applied to reduce Mandatory Repayment Amounts in the order of their maturity. It is expected that all Mandatory Repayments Amounts will have been paid by 2020. See "Feasibility Study – Project Financing."

²It is assumed that the Series 2018B Bond will bear interest at an average rate of 4.054%

* Totals may not add due to rounding

The Series 2018A Bonds are subject to optional, mandatory, and extraordinary optional redemption. See "THE SERIES 2018A BONDS – Redemption Prior to Maturity" herein.

SECURITY FOR THE SERIES 2018A BONDS

General

The Series 2018A Bonds will be issued under and will be equally and ratably secured under the Bond Indenture. Pursuant to the Bond Indenture, the Issuer will assign to the Bond Trustee (1) the Series 2018A Note (2) certain rights of the Issuer under the Loan Agreement, (3) the funds and accounts established under the Bond Indenture, but excluding the Rebate Fund, and (4) such other property as may from time to time be pledged to the Bond Trustee as additional security for the Series 2018A Bonds or which may come into possession of the Bond Trustee pursuant to the terms of the Loan Agreement or the Series 2018A Master Obligations (collectively, the “Trust Estate”). **The Trust Estate for the Series 2018A Bonds does not secure the Series 2018B Bond, however, the Series 2018B Bond, is secured by a Master Obligation issued under the Master Indenture on a parity basis with the Series 2018A Master Obligation.**

The proceeds of the Series 2018A Bonds will be loaned to the Obligor pursuant to the Loan Agreement. Under the Loan Agreement, the Obligor is required duly and punctually to pay the principal of, premium, if any, and interest on the Series 2018A Note, and to make payments to the Bond Trustee to maintain the Debt Service Reserve Fund at the required amount, to pay certain administrative expenses and to make certain other payments. See Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

The obligation of the Obligor to repay the loan will be evidenced by the Series 2018A Master Obligation of the Obligor issued pursuant to, and entitled to the benefit and security of, the Master Indenture. The Series 2018A Master Obligation will be secured, on a parity basis with any other Master Obligations, including the Series 2018B Master Obligation hereafter issued under the Master Indenture (except Subordinated Obligations) by the Master Indenture and the Deed of Trust.

Limited Obligations

THE SERIES 2018A BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL AND PURCHASE PRICE OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. NEITHER THE SERIES 2018A BONDS NOR ANY PREMIUM AND INTEREST THEREON IS A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE SERIES 2018A BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

Loan Agreement

Pursuant to the Loan Agreement, the Obligor will agree to make loan payments to the Bond Trustee in such amounts as will pay, when due, the principal of, premium, if any, and interest on the Series 2018A Bonds. The Obligor’s payment obligations with respect to the Series 2018A Bonds under the Loan Agreement will be a general obligation of the Obligor. Pursuant to the Bond Indenture, the Issuer has assigned to the Bond Trustee all of its right, title and interest in and to, and remedies under, the Loan Agreement, except for certain Reserved Rights, including rights to reimbursement of expenses and indemnification.

Bond Indenture

The Series 2018A Bonds are to be issued pursuant to the Bond Indenture and, together with any Additional Bonds which may be issued from time to time under the Bond Indenture, will be equally and ratably secured thereby. Pursuant to the Bond Indenture, the Issuer assigns to the Bond Trustee, for the equal and ratable benefit and security of all Bondholders under the Bond Indenture, all of its right, title and interest in the payments to be made by the Obligor on the Series 2018A Note and under the Loan Agreement, except for the Issuer's rights of reimbursement for expenses and indemnification, and grants to the Bond Trustee a security interest in the funds and accounts created by the Bond Indenture.

The Master Indenture and the Deed of Trust

The Master Indenture is intended to provide assurance for the repayment of Master Obligations entitled to its benefits by imposing financial and operating covenants which restrict the Obligor and any other future Obligated Group Members and by the appointment of the Master Trustee to enforce such covenants for the benefit of the holders of such Master Obligations. The Series 2018A Master Obligation and the Series 2018B Master Obligation are the only senior master obligations presently entitled to the benefits of the Master Indenture. With the exception of any Subordinated Obligations, the holders of all Master Obligations entitled to the benefit of the Master Indenture will be on parity with respect to the benefits of the Master Indenture. Pursuant to the Master Indenture, (a) the Obligor and any future Obligated Group Members have pledged and granted to the Master Trustee (i) a security interest in all of the Gross Revenues of the Obligated Group, with certain limited exceptions, (ii) a security interest in all personal property owned or hereafter acquired by the Obligated Group, (iii) a security interest in the amounts on deposit in the Funds established under the Master Indenture, and (iv) a security interest in any other property from time to time subjected to the lien of the Master Indenture, and (b) the Obligor will execute and deliver the Deed of Trust in favor of individual trustees for the benefit of the Issuer, which in turn has assigned the same to the Bond Trustee and the Series 2018B Lender, which have assigned their interests to the Master Trustee to act for their benefit. The lien and security interests created by the Master Indenture may become subject to additional Permitted Encumbrances, as defined in Appendix D hereto. See Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

The Deed of Trust serves as security for (a) the prompt payment of the principal of, premium, if any and the interest on all Master Obligations, including the Series 2018A Master Obligation, the Series 2018 Master Obligation and any future Master Obligations outstanding from time to time and (b) the performance by each Obligated Group Member of its other obligations under the Master Indenture. The Deed of Trust will create a lien on the Mortgaged Property. Except for any Subordinated Obligations, the Series 2018A Master Obligation, the Series 2018B Master Obligation and any future Master Obligations will be secured by the Deed of Trust on a parity basis. The lien and security interests created by the Deed of Trust may become subject to additional Permitted Encumbrances, as defined in the form of Master Indenture attached in Appendix D hereto. See Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

The Master Obligations will constitute joint and several obligations of each Obligated Group Member. Currently, only the Obligor and the Master Trustee are parties to the Master Indenture and the Obligor is the only Obligated Group Member. The Obligor and each Obligated Group Member admitted in the future will be jointly and severally liable for the payment for all Master Obligations entitled to the benefits of the Master Indenture and will be subject to the financial and operating covenants thereunder. See Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS for a description of the limitations on admission and release of Obligated Group Members.

In addition to the covenants described below, the Master Indenture contains additional covenants relating to, among others, the maintenance of the Obligated Group's property, corporate existence, the maintenance of certain levels of insurance coverage, the incurrence of additional indebtedness, the sale or lease of certain property, and permitted liens. For a full description of these and other covenants, see Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

Excluded Property

The Homes for America Project will involve the creation of a separate ownership unit or such other estate available in Montgomery County, Maryland (the “HFA Parcel”) consisting of an approximately 2 acre parcel within the Obligor’s campus. It is contemplated that the HFA Parcel will be leased by the Obligor to a joint venture between the Obligor and Homes for America, Inc. While the process of creating the HFA Parcel has commenced at closing of the Series 2018 Bonds, the creation of the HFA Parcel will not have been completed and the property comprising the HFA Parcel will be subject to the lien of the Deed of Trust. Upon completion of the creation of the HFA Parcel and the recordation thereof among the Land Records of Montgomery County, Maryland and satisfaction of other conditions, the Deed of Trust will provide a mechanism for the release of the HFA Parcel without any reduction in principal of the Series 2018A Bonds, the Series 2018B Bond, the Series 2018A Note, the Series 2018B Note, the Series 2018A Master Obligation, the Series 2018B Master Obligation or any other indebtedness of the Obligor. Conditions to the release of the HFA Parcel include (a) the provision of a copy of the recorded plat with respect to the HFA Parcel and other evidence demonstrating that the Obligor has received all governmental consents and approvals required to create an ownership unit or such other estate available in Montgomery County, Maryland as permitted under the Master Indenture to separate the HFA Parcel for the remaining mortgaged property (the “Remaining Property”) and that the HFA Parcel and the Remaining Property shall each constitute a separate tax lot and a separate parcel of land for all zoning and tax purposes, (b) an endorsement to the title insurance policy confirming coverage of the Remaining Property as of the date the original title insurance policy was issued, and (c) the provision of certifications of the Obligor regarding the Obligor’s ownership and ability to use the Remaining Property for its intended purposes. It is possible that the creation of the HFA Parcel may be accomplished other than by means of an ownership unit procedure. In the event that plans to create the HFA Parcel are discontinued, the real property which was to be released will remain subject to the lien of the Deed of Trust and the completion of the Project will be unaffected. See “SECURITY FOR THE SERIES 2018 BONDS – Excluded Property” and CERTAIN BOLDHOLDERS’ RISKS – Final Composition of the HFA Parcel.”

Assignment of Contract Documents

The Obligor is executing the Collateral Assignment of Contracts dated as of August 1, 2018 (the “Assignment of Contract Documents”) for the benefit of the Master Trustee, as secured party. Under the Assignment of Contract Documents, the Obligor has collaterally assigned to the Master Trustee its rights under certain development, construction and management contracts for the Project. Each of the other parties to such agreements have consented to the assignment and agreed that upon an Event of Default under the Master Indenture, such agreements may be enforced by the Master Trustee.

Incurrence of Additional Indebtedness

The Master Indenture permits the Obligated Group to incur Additional Indebtedness evidenced by Master Obligations that will be secured on a parity basis with the Series 2018A Master Obligation and therefore the Series 2018A Bonds.

The circumstances under which such debt may be incurred under the terms of the Master Indenture are set forth in Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

Amendments to Bond Indenture and Master Indenture

In general, the Bond Indenture permits amendments to be made thereto (except for certain amendments that do not require Bondholder consent) only with the consent of the holders of a majority in aggregate principal amount of the Bonds of all series Outstanding affected by such amendment. The Bond Indenture further provides that without the consent of the owners of all Bonds at the time Outstanding nothing therein contained shall permit, or be construed as permitting, any of the following:

- (a) An extension of the maturity of, or a reduction of the principal amount of, or a reduction of the rate of, or extension of the time of payment of interest on, or a reduction of a premium payable upon any redemption of, any Bond, without the consent of the owner of such Bond.

(b) The deprivation of the owner of any Bond then Outstanding of the lien created by the Bond Indenture and the Master Indenture (other than as originally permitted thereby).

(c) A privilege or priority of any Bond or Bonds over any other Bond.

(d) A reduction in the aggregate principal amount of the Bonds required for consent to any supplemental indenture.

Notwithstanding the foregoing, the Bond Indenture provides that during any period of time in which an Event of Default has occurred and is continuing, an amendment of the type described in clauses (a) and (c) above may be made with respect to an outstanding Bond with the consent of the holders of at least eighty percent (80%) in aggregate principal amount of all outstanding Bonds provided, however, any such amendment shall not result in a change in preference or priority of Bonds over any other Bonds and no such amendment described in clauses (a) and (c) above shall result in a disproportionate change, reduction or modification with respect to any Bonds.

With the consent of the Holders of not less than a majority in principal amount of Outstanding Master Obligations other than any Subordinated Obligations, an amendment may be made to the Master Indenture; provided, however, that any of the following changes require the consent of the Holder of each Master Obligation affected thereby: (a) changes in the stated maturity of the principal of, or any installment of interest on, any Master Obligation or any date for mandatory redemption thereof, or reduces the principal amount thereof or the interest thereon or any premium payable upon the redemption thereof, or changes any place of payment where, or the coin or currency in which, any Master Obligation or the interest thereon is payable, or impairs the right to institute suit for the enforcement of any such payment on or after the stated maturity thereof (or, in the case of redemption, on or after the redemption date), or (b) reduction in the percentage in principal amount of the Outstanding Master Obligations, the consent of whose holders is required for any such amendment, or the consent of whose holders is required for any waiver (of compliance with certain provisions of the Master Indenture or certain defaults thereunder and their consequences) provided for in the Master Indenture, or (c) modification of the provisions of the Master Indenture requiring consent of Holders of Master Obligations, except to increase any percentage or to provide that certain other provisions cannot be modified or waived without the consent of the Holder of each Master Obligation affected thereby. The Master Indenture provides that during any period of time in which an Event of Default has occurred and is continuing, an amendment of the type described in clauses (a), (b) and (c) above may be made with the consent of the Holders of at least eighty percent (80%) in aggregate principal amount of all Outstanding Related Bonds related to such Master Obligation; provided however, any such amendment shall not result in a preference or priority of any Master Obligation or Related Bonds over any other Master Obligation or Related Bonds (other than Subordinated Indebtedness and subordinated Related Bonds) and no such amendment described in clauses (a), (b) or (c) shall result in a disproportionate change, reduction or modification with respect to any Related Bonds. See “CERTAIN BONDHOLDERS’ RISKS – Certain Amendments to Bond Indenture and Master Indenture.”

Funds and Accounts Held Under the Master Indenture and Bond Indenture

The Series 2018A Bonds are secured by funds and accounts held under the Master Indenture and the Bond Indenture, including the following:

Entrance Fee Fund. The Master Trustee will establish and maintain a separate fund to be known as the Entrance Fee Fund. All moneys received by the Master Trustee and held in the Entrance Fee Fund will be trust funds under the terms of the Master Indenture for the benefit of all of the Outstanding Master Obligations (except as otherwise provided). Such moneys will be held in trust and applied in accordance with the provisions of the Master Indenture. While Initial Entrance Fees will secure all Master Obligations on a parity basis, absent an Event of Default, they are not expected to be used to repay the Series 2018A Bonds.

(a) The Members of the Obligated Group agree that all Initial Entrance Fees received by the Members of the Obligated Group shall be transferred to the Master Trustee within five Business Days of receipt for deposit into the Entrance Fee Fund once available for transfer pursuant to applicable law.

(b) For so long as there shall not have occurred and be continuing an Event of Default under the Master Indenture, the Initial Entrance Fees deposited to the Entrance Fee Fund shall be applied by the Master Trustee within two (2) Business Days of receipt in the following order of priority, as follows:

FIRST: To the Obligated Group Representative to pay refunds required by Residence and Services Agreements for which the Obligated Group Representative has not received a corresponding replacement Entrance Fee with respect to the applicable Project Independent Living Unit. Such disbursements shall be made upon receipt by the Master Trustee of an Officer's Certificate of the Obligated Group Representative certifying that the Obligated Group Representative is required by a Residence and Services Agreement to pay refunds.

SECOND: If no pending disbursement under FIRST, on each Entrance Fee Transfer Date to the Series 2018B Lender to prepay the Series 2018B Bond.

(c) For so long as an Event of Default has occurred and is continuing, the Initial Entrance Fees deposited to the Entrance Fee Fund shall be applied by the Master Trustee within two (2) Business Days of receipt in the following order of priority, as follows:

FIRST: To the Obligated Group Representative to pay refunds required by Residence and Services Agreements for which the Obligated Group Representative has not received a corresponding replacement Entrance Fee with respect to the applicable Project Independent Living Unit. Such disbursements shall be made upon receipt by the Master Trustee of an Officer's Certificate of the Obligated Group Representative certifying that the Obligated Group Representative is required by a Residence and Services Agreement to pay refunds.

SECOND: If no pending disbursement under FIRST, to secure all outstanding Series 2018 Master Obligations on a pro rata basis.

(d) Once the Series 2018B Bond is outstanding in a principal amount not to exceed \$3,000,000, or there are moneys on deposit in the Entrance Fee Fund sufficient to redeem the Series 2018B Bond principal then Outstanding in excess of \$3,000,000 which are not subject to refunds required by Residence and Services Agreements, and no Event of Default has occurred and is continuing (as established by an Officer's Certificate of the Obligated Group Representative delivered to the Master Trustee), the Members of the Obligated Group need not deposit any additional Initial Entrance Fees into the Entrance Fee Fund, and the Entrance Fee Fund shall be closed.

Debt Service Reserve Fund. A Debt Service Reserve Fund will be established under the Bond Indenture (the "Debt Service Reserve Fund") and funded with a portion of the proceeds of the Series 2018A Bonds. The Debt Service Reserve Fund will be funded on the date of issuance of the Series 2018A Bonds in the amount equal to the least of (a) the Maximum Annual Debt Service on the Series 2018A Bonds outstanding (which is defined to exclude the final year preceding maturity of the Series 2018A Bonds), (b) 125% of the average annual debt service on the Series 2018A Bonds, and (c) 10% of the aggregate principal amount of the Series 2018A Bonds, calculated on the basis of each Bond Year. The Debt Service Reserve Fund is available to pay the principal of and interest on the Series 2018A Bonds if payments by the Obligor are insufficient therefor. See "ESTIMATED SOURCES AND USES OF FUNDS" herein.

No debt service reserve fund will be established for the benefit of the Series 2018B Lender. The Debt Service Reserve Fund for the Series 2018A Bonds does not secure the Series 2018B Bond.

Use of Moneys in the Debt Service Reserve Fund. Except as provided in the Bond Indenture, moneys in the Debt Service Reserve Fund will be used solely for the payment of the principal of and interest on the Series 2018A Bonds, in the event money in the Funded Interest Account of the Construction Fund and the Bond Fund is insufficient to make such payments when due, whether on an interest payment date, redemption date, maturity date, acceleration date or otherwise.

On January 1 and July 1 in each year, any earnings on the cash and Permitted Investments on deposit in the Debt Service Reserve Fund that are in excess of the Debt Service Reserve Fund Requirement will be transferred during the construction period for the Project into the Funded Interest Account of the Construction Fund created in connection with the issuance of the Series 2018A Bonds for the Project or, if after the completion of such construction period, into the Interest Account of the Bond Fund for the Series 2018A Bonds.

Replenishment of the Debt Service Reserve Fund. The Loan Agreement provides that in the event any moneys in the Debt Service Reserve Fund are transferred to the Bond Trustee for deposit to the Bond Fund, except if such moneys are transferred due to the redemption of Bonds (as defined in the Loan Agreement), the Obligor agrees to deposit additional Debt Service Reserve Fund Obligations in an amount sufficient to satisfy the Debt Service Reserve Fund Requirement, such amount to be deposited in no more than 12 equal consecutive monthly installments, the first installment to be made within 30 days following such transfer or receipt of written notice from the Bond Trustee of a deficiency. In the event the value of the Debt Service Reserve Fund Obligations (as determined pursuant to the statement of the Bond Trustee furnished in accordance with the Bond Indenture) on deposit in the Debt Service Reserve Fund is less than the Debt Service Reserve Fund Requirement, the Obligor agrees to deposit additional Debt Service Reserve Fund Obligations in an amount sufficient to satisfy the Debt Service Reserve Fund Requirement, such amount to be deposited in no more than three equal consecutive monthly installments, the first installment to be made within 30 days of such receipt of written notice from the Bond Trustee of a deficiency.

Effect of Event of Default. Upon the occurrence of an Event of Default of which the Bond Trustee is deemed to have notice under the Bond Indenture and the election by the Bond Trustee of the remedy specified in the Bond Indenture, any cash and Permitted Investments in the Debt Service Reserve Fund will, subject to the provisions of the Bond Indenture, be transferred by the Bond Trustee to the Principal Account and applied in accordance with the provisions of the Bond Indenture. In the event of the redemption of any series of Bonds, any cash and Permitted Investments on deposit in the Debt Service Reserve Fund in excess of the Debt Service Reserve Fund Requirement on the Bonds to be Outstanding immediately after such redemption will, subject to the provisions of the Bond Indenture, be transferred to the Principal Account and applied to the payment of the principal of the series of Bonds to be redeemed.

Remaining Funds. On the final maturity date of any series of Bonds, any cash and Permitted Investments in the Debt Service Reserve Fund relating to such series of Bonds is required to be used to pay the principal of and interest on such series of Bonds on the final maturity date or redemption date of that series.

Revenue Fund. If an Event of Default under the Master Indenture occurs due to failure to pay any debt service on any Master Obligations when due and continues for a period of five days, the Master Trustee shall open a fund called the “Revenue Fund – Friends House Retirement Community” and each Obligated Group Member is required to deposit with the Master Trustee for deposit into the Revenue Fund all Gross Revenues of such Obligated Group Member (except to the extent otherwise provided by or inconsistent with any instrument creating any Permitted Encumbrance) during each succeeding month, beginning on the first day thereof and on each day thereafter, until no payment default under the Master Indenture then exists.

On the fifth Business Day preceding the end of each month in which any Obligated Group Member has made payments to the Master Trustee for deposit into the Revenue Fund, the Master Trustee will withdraw and pay or deposit from the amounts on deposit in the Revenue Fund the following amounts in the order indicated:

FIRST: To the payment of refunds required by Residence and Services Agreements for which the Obligated Group Representative has not received a corresponding replacement Entrance Fee with respect to the applicable Project Independent Living Unit (such disbursements to be made upon receipt by the Master Trustee of an Officer’s Certificate of the Obligated Group Representative certifying that the Obligated Group Representative is required by a Residence and Services Agreement to pay refunds);

SECOND: To the payment of all Administrative Expenses;

THIRD: To an operating account designated by the Obligated Group Representative (which shall not be subject to the lien of the Master Indenture), the amount necessary to pay the Expenses due or

expected to become due in the month following the month in which such transfer is made, all as set forth in the then-current Annual Budget and including any rebate amounts due and to be deposited in any rebate fund established under any Related Bond Indenture; provided that if the principal of all the Master Obligations has been declared to be due and payable immediately, and if, as an alternative to payment under the preceding clause, in its sole discretion, the Master Trustee determines payment under this proviso is in the best interest of the Holders of the Outstanding Master Obligations or is directed by the Holders of not less than 25% of the Outstanding Master Obligations then Outstanding to proceed under this proviso, to pay the amounts required by paragraph FOURTH below;

FOURTH: To the payment of the amounts then due and unpaid upon the Master Obligations other than Subordinated Obligations for principal, premium, if any, and interest in respect of which or for the benefit of which such money has been collected, ratably, without preference or priority of any kind (except as may otherwise be provided in an Supplemental Master Indenture with respect to withdrawals from the Debt Service Reserve Fund), according to the amounts due and payable on such Master Obligations for principal, premium, if any, and interest, respectively;

FIFTH: To restore any deficiency in a Debt Service Reserve Fund established under a Related Bond Indenture;

SIXTH: If the amounts then due and unpaid upon all Master Obligations other than Subordinated Obligations have been paid in full, to the payment of the amounts then due and unpaid upon any Subordinated Obligations for principal, premium, if any, and interest, without preference or priority of any kind except as provided in the Supplement pursuant to which such Subordinated Obligations were issued; and

SEVENTH: any amounts remaining shall be deposited in the Surplus Account of the Revenue Fund.

The moneys held in the Surplus Account (i) may be used to pay any of items FIRST through SIXTH above and (ii) may be released to the Obligated Group so long as (A) there are no deficiencies in the Debt Service Reserve Fund, (B) the Obligated Group met the Debt Service Coverage Ratio Covenant, the Liquidity Covenant, the Marketing Requirements, the Occupancy Requirements, and the Cumulative Cash Flow Covenant for the most recent Fiscal Year, to the extent that such covenants were being tested as of such Fiscal Year, and is in compliance with all Issuer regulations regarding the Obligated Group's liquidity position, if any, and (C) no Event of Default has then occurred and is continuing.

If the Revenue Fund is in effect and there are not sufficient funds to pay items FIRST through FOURTH, or if the Revenue Fund is not in effect and the Obligated Group does not have sufficient Revenues in its operating account to pay items FIRST through FOURTH, money will be withdrawn from the Debt Service Reserve Fund created for the Series 2018A Bonds to pay debt service on the Series 2018A Bonds.

Financial Covenants

Pursuant to the Master Indenture, the Obligor, for itself and any additional Members of the Obligated Group, has agreed to financial covenants, including the following:

Debt Service Coverage Ratio Covenant. The Master Indenture requires the Obligated Group to calculate the Debt Service Coverage Ratio for each fiscal quarter (on a rolling four quarter basis) and to maintain a Debt Service Coverage Ratio for each Fiscal Year, commencing with the earlier of (1) June 30, 2024, or (2) the first full Fiscal Year following Stable Occupancy (the "Initial Testing Date"), based on audited financial statements and will deliver a copy of such calculation to the Persons to whom such report is required to be delivered under "FINANCIAL REPORTING AND CONTINUING DISCLOSURE – Financial Reporting" herein. The calculation of the Debt Service Coverage Ratio for any period prior to the Initial Testing Date and for the first three fiscal quarters of each Fiscal Year is for information purposes only. In any case where Long-Term Indebtedness (as defined in the Master Trust Indenture) has been incurred to acquire or construct a Capital Addition, such long term

indebtedness shall not be taken into account in making the foregoing calculation until the first full Fiscal Year following the earliest to occur of (i) the estimated completion of the Capital Addition being paid for with the proceeds of such Long-Term Indebtedness provided that such completion occurs no later than six months following the completion date for such Capital Addition, or (ii) if the Capital Addition being paid for with the proceeds of such Long-Term Indebtedness includes independent living, assisted living, personal care or skilled nursing facilities, (1) the first full Fiscal Year in which Stable Occupancy is achieved, or (2) if sooner than (1), the end of the fifth full Fiscal Year after the incurrence of such Long-Term Indebtedness (the “Debt Service Coverage Ratio Covenant”).

The Debt Service Coverage Ratio means, for any period, the ratio of (a) Income Available for Debt Service received during such period to (b) Maximum Annual Debt Service, subject to certain adjustments as provided in the Master Indenture.

If for any Fiscal Year the Debt Service Coverage Ratio is less than 1.20 but not below 1.00, the Obligated Group Representative shall, within 30 days after delivery of the Officer’s Certificate disclosing such deficiency, provide a report prepared by or on behalf of the Obligated Group Representative and file such report with each Member and each Required Information Recipient, which shall include recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group’s methods of operation and other factors affecting its financial condition in order to increase the Debt Service Coverage Ratio to at least 1.20 in the future. If either (i) for any Fiscal Year the Debt Service Coverage Ratio is below 1.00 or (ii) for any two consecutive Fiscal Years the Debt Service Coverage Ratio is less than 1.20, the Obligated Group Representative shall, within 30 days after delivery of the Officer’s Certificate disclosing such deficiency, engage a Consultant to make recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group’s methods of operation and other factors affecting its financial condition in order to increase the Debt Service Coverage Ratio to at least 1.20 in the future. A copy of the Consultant’s report and recommendations, if any, shall be filed with each Member and each Required Information Recipient within 90 days after the date the Consultant is engaged. Each Obligated Group Member shall use the recommendations of the Consultant applicable to it to the extent feasible (as determined in the judgment of the Governing Body of the Member) and to the extent permitted by applicable law. The Debt Service Coverage Ratio shall not be construed to prohibit any Member from serving indigent residents to the extent required for such Member to continue its qualification as a Tax-Exempt Organization or from serving any other class or classes of residents without charge or at reduced rates so long as such service does not prevent the Obligated Group from satisfying the other requirements of this Section. The foregoing provisions notwithstanding, if the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year does not meet the levels required above, the Obligated Group shall not be obligated to engage a Consultant to make such recommendations if a Consultant’s report was prepared for the previous Fiscal Year (unless the Holders of a majority in principal amount of the Outstanding Master Obligations request a new Consultant’s report).

If the Obligated Group fails to achieve a Debt Service Coverage Ratio of 1.20, but achieves a Debt Service Coverage Ratio of at least 1.00 for any Fiscal Year, such failure shall not constitute an Event of Default under the Master Indenture so long as the Obligated Group takes all action necessary to comply with the procedures set forth above for preparing a report and adopting a plan and complies with the recommendations contained in such report to the extent feasible (as determined in the judgment of the Governing Body of the Obligated Group Representative) and to the extent permitted by law. The foregoing provisions notwithstanding, it shall constitute an Event of Default if (i) the Debt Service Coverage Ratio for any two consecutive Fiscal Years is less than 1.00 or (ii) the Debt Service Coverage Ratio for any Fiscal Year is less than 1.00 and Days’ Cash on Hand is less than 150. Notwithstanding the foregoing, if the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00 and such failure does not otherwise constitute an Event of Default, the Obligated Group shall, within 15 days of discovery by the Obligated Group of such failure, coordinate with the Master Trustee, the Series 2018B Lender (if the Series 2018B Bond is then outstanding), and the Bond Trustee for any series of Related Bonds to schedule a meeting with the Master Trustee and investors in any series of Related Bonds, which meeting shall be held within 60 days of discovery by the Obligated Group of such failure to discuss the financial results of the preceding Fiscal Year and such other matters as are relevant or are reasonably requested by the holders of the Related Bonds and the Master Trustee. The Obligated Group shall post notice of such meeting to EMMA at least two weeks prior to the scheduled date of such meeting, but shall provide such notice to the Master Trustee.

Liquidity Covenant. The Master Indenture requires that the Obligated Group calculate the Days' Cash on Hand of the Obligated Group as of each June 30 and December 31 of each Fiscal Year, commencing December 31, 2018 (each such date being a "Testing Date").

"Days' Cash on Hand" means 365 times (i) the aggregate unrestricted cash and unrestricted marketable securities (including board-designated funds) of the Obligated Group as of the date of computation, excluding cash and unrestricted marketable securities attributable to indebtedness of the Obligated Group, divided by (ii) the total Operating Expenses of the Obligated Group for the immediately preceding Fiscal Year, excluding depreciation and amortization, as shown on the audited financial statements of the Obligated Group for such Fiscal Year. All securities shall be valued at fair market value for purposes of this definition.

"Operating Expenses" means, for a period, the aggregate of all expenses calculated under GAAP, including, without limitation, any accrual for taxes, assessments and insurance, incurred by the Person or group of Persons involved during such period, but excluding (a) depreciation and amortization, (b) extraordinary expenses, losses on the sale of assets other than in the ordinary course of business and losses on the extinguishment of debt or termination of pension plans, (c) any expenses resulting from a forgiveness of or the establishment of reserves against indebtedness of an Affiliate which does not constitute an extraordinary expense, (d) losses resulting from any reappraisal, revaluation or write down of assets other than bad debts, (e) non-cash expenses or losses and (f) any development, marketing, operating or management fees that have been deferred from the year in which they were originally due. If such calculation of Operating Expenses is being made with respect to the Obligated Group, any such expenses attributable to transactions between any Member and any other Member shall be excluded.

Each Obligated Group Member is required to conduct its business so that on each Testing Date the Obligated Group shall have no less than 100 Days' Cash on Hand for the Testing Dates of December 31, 2018, June 30, 2019 and December 31, 2019, and 120 Days' Cash on Hand for each Testing Date thereafter (the "Liquidity Requirement"). If the number of Days' Cash on Hand as of a Testing Date is less than the Liquidity Requirement, the Obligated Group Representative shall, not later than 30 days after receipt of the financial statements disclosing such deficiency, deliver to the Master Trustee a management report setting forth in reasonable detail the reasons for such deficiency and adopting a specific plan setting forth the steps to be taken to achieve the required Days' Cash on Hand by the end of the third fiscal quarter immediately following the Testing Date on which the Days' Cash on Hand was less than the Liquidity Requirement. If the number of Days' Cash on Hand for any Testing Date is less than the Liquidity Requirement by the end of the third fiscal quarter following the issuance of the management report, the Obligated Group Representative shall, not later than 60 days after receipt of the financial statements disclosing such deficiency, as applicable, obtain a Management Consultant's recommendations setting forth in detail the reasons for such deficiency and a specific plan setting forth the steps designed to achieve the Liquidity Requirement by the end of the third fiscal quarter immediately following the Testing Date on which the Days' Cash on Hand was less than the Liquidity Requirement. Notwithstanding any other provision of the Master Indenture to the contrary, failure of the Obligated Group to achieve the required Liquidity Requirement for any Fiscal Year shall not constitute an Event of Default under the Master Indenture if the Obligated Group takes all action necessary to comply with the procedures in the Master Indenture for retaining a Management Consultant and follows each recommendation contained in such Management Consultant's report to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Obligated Group Representative) and permitted by law.

Marketing Covenant. Beginning with the first quarter ending September 30, 2018, and ending with the first full fiscal quarter following Stable Occupancy, the Obligated Group will use its best efforts to maintain the percentage of Project Independent Living Units that are Reserved (the "Percentage of Reserved Independent Living Units") at or above the applicable levels set forth on the table below, which continues to the following page, which determinations will be measured as of the last day of the applicable quarter (the "Marketing Requirements").

Percentage of Reserved Independent Living Units (%)		
Quarter Ending	# Units	Percent
September 30, 2018	29	62%
December 31, 2018	31	66
March 31, 2019	33	70
June 30, 2019	36	77
September 30, 2019	39	83
December 31, 2019 and thereafter	41	87

If the Percentage of Reserved Independent Living Units for any fiscal quarter is less than the applicable Marketing Requirement set forth above for that fiscal quarter, the Obligor is required to submit to the Master Trustee, within 30 days of the end of such fiscal quarter, a marketing report (a “Management Marketing Report”) that includes the following information: (a) the Percentage of Reserved Independent Living Units, including the number of reservations and cancellations of Project Independent Living Units during the immediately preceding fiscal quarter and on an aggregate basis; (b) a forecast, prepared by management of the Obligor, of the number of reservations of Project Independent Living Units expected in the fiscal quarter immediately succeeding the fiscal quarter with respect to which the Management Marketing Report is being prepared; and (c) a description of the sales and marketing plan of the Obligor.

If the Percentage of Reserved Independent Living Units is less than the Marketing Requirement for two successive fiscal quarters, the Obligor is required to retain a Management Consultant within 30 days thereafter to make recommendations regarding the actions to be taken to increase the Percentage of Reserved Independent Living Units to the Marketing Requirements set forth herein for future periods. Notwithstanding anything in the Master Indenture to the contrary, the Obligor may provide the recommendations provided for in the previous sentence upon the first covenant breach described herein. Within 90 days of retaining any such Management Consultant, the Obligor is required to cause a copy of the Management Consultant’s report and recommendations, if any, to be filed with each Member and each Required Information Recipient. Each Member is required to follow each recommendation of the Management Consultant to the extent feasible (as determined in the reasonable judgment of the Governing Board of such Member) and permitted by law. The Obligated Group will not be required to obtain a Management Consultant’s report in any two consecutive fiscal quarters.

Failure of the Obligated Group to achieve the Marketing Requirements for any fiscal quarter will not constitute an Event of Default under the Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth above for preparing a Management Marketing Report or obtaining a Management Consultant’s report and adopting a plan and follows each recommendation contained in such Management Consultant’s report to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Obligor) and permitted by law.

Occupancy Covenant. The Obligated Group covenants that for each fiscal quarter (a) commencing with the first fiscal quarter which ends not less than 60 days following the issuance of the first certificate of occupancy for the first building containing Project Independent Living Units, and (b) ending with the first full fiscal quarter following Stable Occupancy (each an “Occupancy Quarter”), the Obligated Group will use its best efforts to have Occupied the percentage of the total number of all Project Independent Living Units (the “Percentage of Units Occupied”) at or above the requirements set forth in the table below, which levels are required to be measured as of the last day of the applicable Occupancy Quarter (the “Occupancy Requirements”):

<u>Occupancy Requirements</u>		
<u>Occupancy Quarter</u>	<u># Units</u>	<u>Percent</u>
1	3	6%
2	13	28
3	25	53
4	38	81
5 and thereafter	41	87

If the Percentage of Units Occupied for any Occupancy Quarter is less than the Occupancy Requirement set forth above for that Occupancy Quarter, the Obligor is required to submit to the Master Trustee, within 30 days of the end of such fiscal quarter, (a) an occupancy report (a “Management Occupancy Report”) that includes the following information: (i) the Percentage of Units Occupied and (ii) the number of reservations and cancellations of Project Independent Living Units during the immediately preceding fiscal quarter and on an aggregate basis; (b) a forecast, prepared by management of the Obligor, of the number of Project Independent Living Units expected to be Occupied in the fiscal quarter immediately succeeding the fiscal quarter with respect to which the Management Occupancy Report is being prepared; and (c) a description of the sales and marketing plan of the Obligor.

If the Percentage of Units Occupied for any two consecutive fiscal quarters is less than the Occupancy Requirement set forth above for those fiscal quarters, the Obligor is required to retain a Management Consultant within thirty (30) days thereafter to make recommendations regarding the actions to be taken to increase the Percentage of Units Occupied to the Occupancy Requirement set forth above for future periods. Notwithstanding anything in the Master Indenture to the contrary, the Obligor may provide the recommendations provided for in the previous sentence upon the first covenant breach described herein. Within 60 days of retaining any such Management Consultant, the Obligor is required to cause a copy of the Management Consultant’s report and recommendations, if any, to be filed with each Member and each Required Information Recipient. Each Member is required to follow each recommendation of the Management Consultant to the extent feasible (as determined in the reasonable judgment of the Governing Board of such Member) and permitted by law. The Obligated Group will not be required to obtain a Management Consultant’s report in any two consecutive fiscal quarters.

Failure of the Obligated Group to achieve the Occupancy Requirement for any Occupancy Quarter will not constitute an Event of Default under the Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth above for preparing a Management Occupancy Report or obtaining a Management Consultant’s report and adopting a plan and follows each recommendation contained in such Management Consultant’s report to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Obligor) and permitted by law.

Approval of Management Consultant. If at any time the Obligated Group Representative is required to engage a Management Consultant, such Management Consultant shall be engaged in the manner set forth below:

(i) Upon selecting a Management Consultant as required under the provisions of the Master Indenture, the Obligated Group Representative will provide written notice to the Master Trustee of such selection. The Master Trustee is required to, as soon as practicable but in no case longer than five (5) Business Days after receipt of notice, send a copy of such notice to the Holders of all Master Obligations Outstanding under the Master Indenture. Such notice will (i) include the name of the Management Consultant and a brief description of the Management Consultant, (ii) state the reason that the Management Consultant is being engaged, including a description of the covenant(s) of the Master Indenture that require the Management Consultant to be engaged, and that the engagement of the Management Consultant is authorized by the Master Indenture, and (iii) state that the Holder of the Master Obligation will be deemed to have consented to the selection of the Management Consultant named in such notice unless such Holder submits an objection to the selected Management Consultant in writing (in a manner acceptable to the Master Trustee) to the Master Trustee within 15 days of the date that the notice is sent to the Holders. No later than two (2) Business Days after the end of the 15-day objection period, the Master Trustee will notify the Obligated Group Representative of the number of any objections. If 66.6% or more in aggregate principal amount of the Holders of the Master Obligations Outstanding have been deemed to have consented to the

selection of the Management Consultant or have not responded to the request for consent, the Obligated Group Representative shall engage the Management Consultant within three (3) Business Days. If 33.4% or more in aggregate principal amount of the Holders of the Master Obligations Outstanding have objected to the Management Consultant selected, the Obligated Group Representative is required to select another Management Consultant that may be engaged upon compliance with the procedures of this paragraph.

(ii) When the Master Trustee notifies the Holders of Master Obligations of such selection, the Master Trustee will also request any Related Bond Trustee to send a notice containing the information required above to the owners of all of the Related Bonds outstanding. Such Related Bond Trustee shall, as the owner of a Master Obligation securing such Related Bonds, consent or object to the selection of the Management Consultant in accordance with the response of the owners of such Related Bonds. If 66.6% or more in aggregate principal amount of the owners of the Related Bonds have been deemed to have consented to the selection of the Management Consultant or have not responded to the request for consent, the Obligated Group Representative shall engage the Management Consultant within three (3) Business Days. If 33.4% or more in aggregate principal amount of the owners of the Related Bonds outstanding have objected to the Management Consultant selected, the Obligated Group Representative is required to select another Management Consultant that may be engaged upon compliance with the procedures of this Section.

(iii) The 15-day notice period described above may be extended by the Master Trustee in order to permit each Related Bond Trustee to give the owners of the Related Bonds 15 days to respond to the notice given by the Related Bond Trustee.

Management Consultant's Reports. A copy of any recommendations of any Management Consultant must be filed with the Master Trustee within ninety (90) days after the date the Management Consultant is selected and consented to by all Holders unless the Master Trustee extends, by prior written consent of the Master Trustee, the time within which such recommendations must be so filed. The Obligated Group shall cause each set of recommendations from a Management Consultant to be posted on EMMA.

Marketing Consultant. Except as provided below, the Members of the Obligated Group shall be required to engage a new Marketing Consultant if:

- (i) the Obligated Group fails to make any payment on the Master Obligations when due;
- (ii) the Obligated Group fails to maintain a Debt Service Coverage Ratio of at least 1.00 as shown on any two successive quarterly unaudited financial statements;
- (iii) the Obligated Group fails to meet the required Debt Service Coverage Ratio by the end of the second fiscal quarter following the date a Consultant's report is required;
- (iv) the Obligated Group fails to meet the required Marketing Requirements by the end of the second fiscal quarter following the date the report and plan are required;
- (v) the Obligated Group fails to meet the Occupancy Requirements by the end of the second Occupancy Quarter following the date a report and plan are required; or
- (vi) the Obligated Group fails to meet the Liquidity Covenant by the end of the third fiscal quarter following the date the report and plan are required.

Whenever the Obligated Group is required to retain a new Marketing Consultant, as described above, the Obligated Group Representative shall immediately retain a Consultant who shall, within 30 days of the event requiring appointment of a new Marketing Consultant, submit to the Master Trustee and Majority Bondholders a list of two or more Persons experienced in marketing of continuing care retirement communities of a type and size similar to the Community. If the Obligated Group is required to retain a new Marketing Consultant under the circumstances described above, the Obligated Group shall retain as Marketing Consultant a Person from the list submitted by the Consultant. In the event that a new Marketing Consultant is appointed by the Obligated Group

Representative at any time when the Debt Service Coverage Ratio or the Occupancy Requirements is less than the level required pursuant to the Master Indenture, the provisions of the Master Indenture shall not be applied to require the further appointment of another Marketing Consultant until the new Marketing Consultant has been employed for at least twelve months unless the Majority Bondholders provide direction to the Obligor to appoint another Marketing Consultant.

Notwithstanding the foregoing, the Obligated Group shall not be required to retain a new Marketing Consultant if the Master Trustee receives, within 30 days of the event requiring appointment of a new Marketing Consultant:

- (i) the consent or deemed consent of Majority Bondholders to the continued retention of the existing Marketing Consultant;
- (ii) a written report (prepared by a Consultant, but not by the Marketing Consultant) containing sufficient detail to support the conclusions made therein and concluding (a) that the failure of the Obligated Group to comply with the Debt Service Coverage Ratio Covenant, the Occupancy Covenant, the Liquidity Covenant, and/or the Marketing Requirements is primarily due to factors outside the control of the present Marketing Consultant, or (b) that retaining a new Marketing Consultant is not likely to materially improve the Obligated Group's ability to comply with such requirements; and
- (iii) a certified copy of a resolution of the Governing Body of each Member of the Obligated Group stating that the performance by the Marketing Consultant of its duties is satisfactory and setting forth the reasons supporting retention of the present Marketing Consultant.

Series 2018B Bond, Covenants, Defaults and Remedies. The Series 2018B Bond is a draw-down bond contemplated to be issued in the maximum principal amount of \$13,200,000. Assuming the full amount of the Series 2018B Bond has been drawn and Initial Entrance Fees have not yet been utilized to repay the Series 2018B Bond, it will represent approximately 43% of the Senior Master Obligations. Once the outstanding principal balance of the Series 2018B Bond has been reduced to \$3,000,000, which is required to occur not later than 3 years after closing of the Series 2018 Bonds, the Series 2018B Bond is expected to represent approximately 15% of the Senior Master Obligations.

The Series 2018B Loan and Financing Agreement contain differences from certain of the covenants and Events of Default provided in the Master Trust Indenture as follows:

- (i) Interest Coverage Ratio. Failure of the Obligated Group to maintain an Interest Coverage Ratio (which shall not include the funded interest component) of not less than 1.00 at the end of the fiscal year ending June 30, 2020.
- (ii) Debt Service Coverage Ratio. Failure of the Obligated Group to maintain a Debt Service Coverage Ratio, which is measured as the ratio of (a) Income Available for Debt Service received during such period to (b) actual debt service, including (without limitation) principal (whether at maturity or by mandatory redemption but not including optional redemptions) and interest on any indebtedness payable during such period of not less than 1.20 measured at the end of each fiscal year beginning with the fiscal year ending June 30, 2021. This calculation is different than the Debt Service Coverage Ratio calculated for the Series 2018A Bonds.
- (iii) Events of Default. The Series 2018B Lender may declare an event of default under the Series 2018B Loan and Financing Agreement in the event of noncompliance with either the Interest Coverage Ratio or the Debt Service Coverage Ratio during any measurement period; provided, however, that if the Debt Service Coverage Ratio as of the end of any Fiscal Year is less than 1.20 (but not less than 1.00), the Obligated Group Representative

shall, within 30 days after delivery of the Officer's Certificate delivered in accordance with the Master Indenture disclosing such deficiency, engage a Consultant in accordance with and as described in the Master Indenture; and provided further that if the Obligated Group fails to achieve a Debt Service Coverage Ratio of 1.20, but achieves a Debt Service Coverage Ratio of at least 1.00 for any Fiscal Year, such failure shall not constitute an Event of Default so long as the Obligated Group takes all action necessary to comply with the procedures set forth above and in the Master Indenture for preparing a report and adopting a plan and complies with the recommendations contained in such report to the extent feasible (as determined in the judgment of the Governing Body of the Obligated Group Representative) and to the extent permitted by law.

Upon the occurrence of an event of default under the Series 2018B Loan and Financing Agreement, the Series 2018B Lender may:

- (i) Declare all payments owing under the Series 2018B Loan and Financing Agreement and under the Series 2018B Bond to be immediately due and payable, whereupon the same shall become immediately due and payable;
- (ii) Subject to the terms and conditions of the Master Indenture, direct the Master Trustee to declare all payments owing under the Series 2018B Master Obligation to be immediately due and payable;
- (iii) Subject to the terms and conditions of the Master Indenture (including, without limitation, the requirement to have the requisite percentage of Master Obligations holders direct the Master Trustee to act), direct the Master Trustee, as holder of the Series 2018B Master Obligation, to exercise any remedy provided under the Master Indenture; and
- (iv) Take whatever action at law or in equity may appear necessary or desirable to collect the amounts then due and thereafter to become due hereunder or under the Series 2018B Bond or the Series 2018B Master Obligation or to enforce observance or performance of any covenant, condition or agreement of the Obligor under the respective Series 2018B Loan and Financing Agreement, provided that any action taken by such Series 2018B Lender with respect to the Series 2018B Master Obligation will be subject to the terms and restrictions of the Master Indenture.

Upon the occurrence of an event of default under the Series 2018B Loan and Financing Agreement, any obligation of the Series 2018B Lender to advance any theretofore undisbursed proceeds of the Series 2018B may be terminated at the option of the Series 2018B Lender.

This discussion of the covenants, defaults, rights and remedies under the Series 2018B Loan and Financing Agreements does not purport to be complete, and reference is made to the Series 2018B Loan and Financing Agreement, a copy of the form of which is available upon request during the period of marketing of the Series 2018A Bonds from the Underwriter and, after the Closing Date, the executed version shall be available from the Master Trustee.

Rating Solicitation Covenant. Under the Master Indenture, the Obligor has covenanted that it will seek a rating of the Series 2018A Bonds from any Rating Agency each year after a determination is made by the Obligor in consultation with the Underwriter that an investment grade rating is reasonably obtainable, until achievement of an investment grade rating, provided that if during any such year the Obligor receives a preliminary indication from any Rating Agency that the Series 2018A Bonds will not be assigned an investment grade rating, the Obligor is required to withdraw any request for such year to have such Rating Agency assign a rating to the Series 2018A Bonds.

CERTAIN BONDHOLDERS' RISKS

General Risk Factors

The Series 2018A Bonds are limited obligations of the Issuer, payable solely from and secured exclusively by the funds pledged thereto, including the payments to be made by the Obligor under the Loan Agreement.

A BONDHOLDER IS ADVISED TO READ THE ENTIRE OFFICIAL STATEMENT, INCLUDING THE APPENDICES HERETO, AND SPECIAL REFERENCE IS MADE TO THE SECTION "SECURITY FOR THE SERIES 2018A BONDS" AND THIS SECTION FOR A DISCUSSION OF CERTAIN RISK FACTORS WHICH SHOULD BE CONSIDERED IN CONNECTION WITH AN INVESTMENT IN THE SERIES 2018A BONDS.

Certain risks are inherent in the successful development and operation of facilities such as the Project. Such risks should be considered in evaluating the Project's ability to generate sufficient revenues to pay principal of, premium, if any, and interest on the Series 2018A Bonds when due. This section discusses some of these risks but is not intended to be a comprehensive listing of all risks associated with the construction and operation of the Project or the payment of the Series 2018A Bonds.

No representation or assurance is given or can be made that revenues will be realized by the Obligated Group (which in the context of this discussion of risk factors, should be understood to include the Obligor individually and together with future Members of the Obligated Group, if any) sufficient to ensure the payment of the principal and interest on the Series 2018A Bonds in the amounts and at the times required to pay debt service on each series of the Series 2018A Bonds when due. Neither the Underwriter nor the Issuer has made any independent investigation of the extent to which any factors may have an adverse effect on the revenues of the Obligated Group. The ability of the Obligated Group to generate sufficient revenues may be impacted by a number of factors. Some, but not necessarily all of these risk factors are discussed in this section below; these risk factors should be considered by investors considering any purchase of the Series 2018A Bonds.

Limited Obligations

THE SERIES 2018A BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. THE SERIES 2018A BONDS AND ANY PREMIUM AND INTEREST THEREON ARE NOT A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE SERIES 2018A BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

The Series 2018A Bonds are limited obligations of the Issuer and have four sources of payment, as follows:

(1) *Loan payments received by the Bond Trustee from the Obligor pursuant to the terms of the Loan Agreement and the Series 2018A Note.* The Issuer has no obligation to pay the Series 2018A Bonds except from loan payments derived from the Obligor pursuant to the Loan Agreement and the Series 2018A Note. The Series 2018A Bonds and the interest thereon are limited obligations of the Issuer as described above under "Limited Obligations." Under the Loan Agreement and the Series 2018A Note, which the Issuer will assign to the Bond Trustee (excluding the Reserved Rights), the Obligor will be required to make loan payments directly to the Bond Trustee in amounts sufficient to enable the Bond Trustee to pay the principal of, premium, if any, and interest on the Series 2018A Bonds. Such loan payments are, however, anticipated to be derived solely from operation of the Community and investment earnings. Profitable operation of the Community depends in large part on achieving and

maintaining certain occupancy levels throughout the term of the Series 2018A Bonds. However, no assurance can be made that the revenues derived from the operation of the Community will be realized by the Obligor in the amounts necessary, after payment of operating expenses of the Community, to pay maturing principal of, premium, if any, and interest on the Series 2018A Bonds. The Bond Trustee will exchange the Series 2018A Note for the corresponding Series 2018A Master Obligation.

(2) ***Revenues received from operation of the Community by a receiver upon a default under the Master Indenture.*** Attempts to have a receiver appointed to take charge of properties pledged to secure loans are frequently met with defensive measures such as the initiation of protracted litigation and/or the initiation of bankruptcy proceedings, and such defensive measures can prevent the appointment of a receiver or greatly increase the expense and time involved in having a receiver appointed. Prospects for uninterrupted payment of principal and interest on the Series 2018A Bonds in accordance with their terms are largely dependent upon the source described in (1) above, which is wholly dependent upon the success of the Obligor in operating the Community in a profitable manner.

(3) ***Proceeds realized from the sale or lease of the Community to a third party by the Master Trustee.*** Attempts to sell or foreclose on commercial property or otherwise realize upon security for obligations may be met with defensive measures such as protracted litigation and/or bankruptcy proceedings, and such defensive measures can greatly increase the expense and time involved in achieving such foreclosure or other realization. In addition, the Master Trustee could experience difficulty in selling or leasing the Community upon foreclosure or sale due to the special-purpose nature of a continuing care retirement facility and the proceeds of such sale may not be sufficient to fully pay the owners of the Series 2018A Bonds and the other holders of Senior Master Obligations.

(4) ***Initial Entrance Fees.*** The Obligor is required to deposit Initial Entrance Fees received by it with the Master Trustee for application in accordance with the terms of the Master Indenture. Prior to an Event of Default and while the Series 2018B Bond is outstanding in a principal amount greater than \$3,000,000, Initial Entrance Fees shall be used only to repay the Series 2018B Bond. Only after an Event of Default under the Master Indenture can Initial Entrance Fees be used to redeem the Series 2018A Bonds. The ability of the Obligor to receive Initial Entrance Fees is subject to its ability to successfully market the Community, and no assurance can be made that the Initial Entrance Fees received by the Obligor will be sufficient to fully repay the Series 2018B Bond.

The best prospects for uninterrupted payment of principal and interest on the Series 2018A Bonds in accordance with their terms is the source described in (1) above, which is wholly dependent upon the success of the Obligor in operating the Community in a profitable manner. Even if the Community is operating profitably, other factors could affect the Obligor's ability to make loan payments under the Loan Agreement and the Series 2018A Notes and the Master Obligations.

The Mortgaged Property

The Obligor will execute the Deed of Trust on the Mortgaged Property to secure its obligations pursuant to the Master Indenture. Similar deeds of trust may be executed and delivered under certain circumstances involving Additional Indebtedness or admission of any new Obligated Group Members. In the event that there is a default under the Master Indenture, the Master Trustee has the right to foreclose on or sell the Mortgaged Property under certain circumstances.

All amounts collected upon sale of the Mortgaged Property pursuant to the Deed of Trust will be used to pay certain costs and expenses incurred by, or otherwise related to, the sale of the Mortgaged Property and the performance of the Master Trustee under the Deed of Trust, and then to pay amounts owing under the Master Indenture in accordance with the provisions of the Master Indenture. See Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

In the event that the power of sale under any Deed of Trust is actually exercised, then, in addition to the customary costs and expenses of operating and maintaining the Community, the party or parties succeeding to the interest of the Obligor in the Mortgaged Property (including the Master Trustee, if such party was to acquire the interest of the Obligor in the Mortgaged Property) could be required to bear certain associated costs and expenses,

which could include: the cost of complying with federal, state or other laws, ordinances and regulations related to the removal or remediation of certain hazardous or toxic substances; the cost of complying with laws, ordinances and regulations related to health and safety, and the continued use and occupancy of the Community, such as the Americans with Disabilities Act; and costs associated with the potential reconstruction or repair of the Mortgaged Property in the event of any casualty or condemnation.

In case of any sale under the Deed of Trust, by virtue of judicial proceedings or otherwise, the Mortgaged Property may be sold as an entirety or in parcels, by one sale or by several sales, as may be deemed by the Individual Trustees to be appropriate and without regard to any right of the Obligor or any other person to the marshalling of assets (provided that all rights of residents under their respective residence and care or other occupancy agreements continue in full force and effect and that the beneficiary under the Deed of Trust and any purchaser accept and perform all of the Obligor's obligations under such residence and care or other occupancy agreements).

The Community is not comprised of general purpose buildings and generally would not be suitable for industrial or commercial use. Additionally, parts of the Community require a license from the State of Maryland to operate. The Community is intended to be used as an independent living facility for seniors and other types of senior living, such as assisted living, skilled nursing care and health care services. Consequently, it would be difficult to find a buyer or lessee for the Community, and, upon any default, the Master Trustee may not realize the amount of the outstanding Series 2018A Bonds from the sale or lease of the Community in the event of foreclosure.

Any valuation of the Community is based on future projections of income, expenses, capitalization rates, and the availability of a partial or total property tax exemption. Additionally, the value of the Community will at all times be dependent upon many factors beyond the control of the Obligor, such as changes in general and local economic conditions, changes in the supply of or demand for competing properties in the same locality, and changes in real estate and zoning laws or other regulatory restrictions. A material change in any of these factors could materially change the value of the Community. Any weakened market condition may also depress the value of the Community. Any reduction in the market value of the Community could adversely affect the security available to the owners of the Series 2018A Bonds. There is no assurance that the amount available upon foreclosure or sale of the Community after the payment of costs will be sufficient to pay the amounts owing by the Obligor on the Series 2018A Bonds.

In the event of sale, a prospective purchaser of the Mortgaged Property may assign less value to the Mortgaged Property than the value of the Mortgaged Property while owned by the Obligor since such purchaser may not enjoy the favorable financing rates associated with the Series 2018A Bonds and other benefits. To the extent that buyers whose income is not tax-exempt may be willing to pay less for the Mortgaged Property than nonprofit buyers, then the resale of the Mortgaged Property after foreclosure or sale may require more time to solicit nonprofit buyers interested in assuming the financing now applicable to the Mortgaged Property. In addition, there can be no assurance that the Mortgaged Property could be sold at one hundred percent (100%) of its fair market value in the event of foreclosure or sale. Although the Master Trustee will have available the remedy of public sale under the Deed of Trust in the event of a default (after giving effect to any applicable grace periods, and subject to any legal rights which may operate to delay or stay such sale, such as may be applicable in the event of the Obligor's bankruptcy), there are substantial risks that the exercise of such a remedy will not result in recovery of sufficient funds to satisfy all the Obligor's obligations.

In the event that the Mortgaged Property is sold pursuant to the Mortgage, then, in addition to the customary costs and expenses of operating and maintaining the Mortgaged Property, the party or parties succeeding to the interest of the Obligor in the Mortgaged Property (including the Master Trustee, if such party or parties were to acquire the interest of the Obligor in the Mortgaged Property) could be required to bear certain associated costs and expenses, which could include: the cost of complying with federal, state or other laws, ordinances and regulations related to the removal or remediation of certain hazardous or toxic substances; the cost of complying with laws, ordinances and regulations related to health and safety, and the continued use and occupancy of the Mortgaged Property, such as the Americans with Disabilities Act; and costs associated with the potential reconstruction or repair of the Mortgaged Property in the event of any casualty or condemnation.

Final Composition of HFA Parcel

The Mortgaged Property includes the HFA Parcel, the creation of which will not be complete on the date of issuance of the Series 2018 Bonds. The Deed of Trust contains provisions for the release of the HFA Parcel upon the satisfaction of certain conditions described under the caption “Excluded Property.” Because the creation of the HFA Parcel requires the approval of Montgomery County, Maryland (the “County”), the exact character and composition of the HFA Parcel may not be exactly as contemplated by the Deed of Trust. It is possible the County may require the creation of the HFA Parcel as a separately subdivided parcel other than by means of an ownership unit procedure, such as by way of land condominium. In the event that there are material differences between the actual HFA Parcel and the HFA Parcel as described in the Deed of Trust, the Master Trustee may consent to such differences after giving written notice thereof to the Holders of all Master Obligations Outstanding under the Master Indenture (including the Series 2018B Lender which has separate consent rights) which will (i) describe the character and composition of the final HFA Parcel and the differences from the HFA Parcel as described in the Deed of Trust, and (ii) state that Holder of the Master Obligation will be deemed to have consented to the release of the HFA Parcel as described in such notice, unless such Holder submits an objection thereto in writing (in a manner acceptable to the Master Trustee) within 30 days of the date that notice is sent to the Holders. No later than two (2) Business Days after the end of the 30-day objection period, the Master Trustee will notify the Obligated Group Representative of the number of any objections received. If 66.6% or more in aggregate principal amount of the Holders of the Master Obligations Outstanding (including the Series 2018B Lender) have been deemed to have consented to the release of the HFA Parcel as described in such notice, the Master Trustee will direct the individual Trustees under the Deed of Trust to effect such release. If 33.4% or more in aggregate principal amount of the Holders of the Master Obligations Outstanding (including the Series 2018B Lender) have objected to the release of the HFA Parcel as described in such notice, the requested release will not occur.

Limited Value at Foreclosure

The Community has been specifically constructed for skilled nursing, assisted living and senior independent living purposes. The number of entities that could be expected to purchase the Community at a foreclosure sale is limited, and thus the ability of the Master Trustee to realize funds from the sale of the Community for any use except as a skilled nursing, assisted living and senior independent living facility, upon an event of default may be limited. Under Maryland law, licenses to operate skilled nursing and assisted living facilities are not transferable. Accordingly, an entity purchasing the Community at a foreclosure sale would need to obtain its own license to operate the skilled nursing and assisted living portion of the Community.

Risks of Real Estate Investment

Ownership and operation of real estate, such as the Community, involves certain risks, including the risk of adverse changes in general economic and local conditions (such as the possible future oversupply and lagging demand for rental housing for the aged), adverse use of adjacent or neighboring real estate (including the HFA Ownership Unit), initial and continued community acceptance of the Community, increased competition from other senior living facilities, changes in the cost of operation of the Community, difficulties or restrictions in the Obligor's ability to raise rents charged, damage caused by adverse weather, climate change and delays in repairing such damage, population decreases, uninsured losses, failure of residents to pay rent, operating deficits and mortgage foreclosure, lack of attractiveness of the Community to residents, adverse changes in neighborhood values, and adverse changes in zoning laws, federal and local rent controls, other laws and regulations and real property tax rates. Such losses also include the possibility of fire or other casualty or condemnation. If the Community, or any parts of the Community, become uninhabitable during restoration after damage or destruction, the residence units or common areas affected may not be available during the period of restoration, which could adversely affect the ability of the Obligor to generate sufficient revenues to pay debt service on the Series 2018A Bonds.

Changes in general or local economic conditions and changes in interest rates and the availability of mortgage funding may render the sale or refinancing of the Community difficult or unattractive. These conditions may have an adverse effect on the demand for the services provided by the Community as well as the market price received for the Community in the event of a sale or foreclosure of the Community. Many other factors may adversely affect the operation of the Community and cannot be determined at this time.

Uncertainty of Occupancy and Entrance and Monthly Fee Collection

As noted elsewhere, except to the extent that the Series 2018A Bonds will be payable from the proceeds of insurance, sale or condemnation awards, the Series 2018A Bonds will be payable solely from payments or prepayments to be made by the Obligor under the Loan Agreement. The ability of the Obligor to make payments under the Loan Agreement is dependent upon the generation by the Obligor of revenues in the amounts necessary for the Obligor to pay the principal, premium, if any, and interest on the Series 2018A Bonds, as well as other operating and capital expenses.

The financial feasibility of the Community and payment, when due, of the Series 2018A Bonds is dependent on the continuing ability of the Obligor to maintain high levels of occupancy of the Community and to (i) fill those facilities that accept residents who purchase the right to live there by paying "entrance fees" ("Entrance Fees"), (ii) collect new Entrance Fees from residents occupying apartment units vacated by deceased residents, residents permanently transferred to assisted living or nursing care facilities operated by the Obligated Group or residents leaving such facilities for other reasons, and (iii) keep the Community substantially occupied by residents who can pay the full amount of the Entrance Fees and/or monthly service fees. This depends to some extent on factors outside the Obligor's control, such as the residents' right to terminate their Residence and Services Agreements in accordance with the terms of the Residence and Services Agreements and by general economic conditions. In particular, a depressed housing market may prevent prospective residents from selling their homes and generating cash to pay Entrance Fees. If the Community fails to maintain a high level of occupancy, there may be insufficient funds to pay debt service on the Series 2018A Bonds and any other outstanding Bonds and obligations. In addition, the economic feasibility of the Community also depends on the Obligor's ability to remarket units becoming available when residents die, withdraw, or are permanently transferred to a healthcare facility, skilled nursing facility or any other facility.

Moreover, if a substantial number of independent living unit residents live beyond their anticipated life expectancies or if admissions or transfers to the health care components of the Community are substantially less than anticipated by the Obligor, or if market conditions or market changes prevent an increase in the amount of the resident Entrance Fees payable by new residents of the Community or the monthly fees payable by all residents, the receipt of additional resident entry fees and/or monthly fees would be curtailed or limited, with a consequent impairment of the Obligor's revenues. Such impairment would also result if the Obligor is unable to remarket independent living units becoming available when residents die, withdraw, or are permanently transferred to the health care components of the Community.

It is assumed that regular increases in both Entrance Fees and monthly service fees will be necessary to offset increasing operating costs due primarily to inflation. There can be no assurance that such increases can or will be made or that increases in expenses will not be greater than assumed. Also, since many of the residents may be living on fixed incomes or incomes that do not readily change in response to changes in economic conditions, there can be no assurance that any such fee increases can be paid by residents or that such increases will not adversely affect the occupancy of the Community. While the Community can accept new residents unable to pay in full the Entrance Fees and monthly service fees, it intends to do so only to the extent of available funds to pay their expenses. It is possible that residents who unexpectedly become unable to make such payments would be allowed to remain residents, even though the costs of caring for them could have an adverse effect on the financial condition of the Obligor. As a non-profit tax-exempt organization, the Obligor may be unable or unwilling to require residents who lack adequate financial resources to leave the Community. In the future, the Obligor could possibly be required to accept residents unable to pay all fees or be required to provide services to a certain number of indigent persons unable to pay any fees, in order to maintain its tax-exempt status.

The Entrance Fees and monthly fees for the Community are described in Appendix A hereto. As set forth therein, the Obligor has set such fees based on, among other things, anticipated revenue needs and analysis of the market areas. If actual operating experience is substantially different from that anticipated, the revenues of the Obligor could be less than needed. Should methods of payment other than Entrance Fees, including straight rental, become prevalent as the form of payment for elderly housing, the ability to charge Entrance Fees to potential future residents may decrease. If this should happen, the Obligor may be forced to alter its method of charging for elderly housing services and could encounter a significant cash flow problem.

Approximately 49.5% of the Obligor's total revenues for the Fiscal Year ended June 30, 2017 were attributable to private pay sources. Inflation or other circumstances that adversely affect the ability of residents to pay for the Obligor's services could have a material adverse effect on the Obligor's business, financial condition, and results of operations.

There can be no assurance that the Obligor's revenues from operations will be sufficient to enable the Obligor to service its debt and meet its other obligations. The Financial Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein. See "FINANCIAL FEASIBILITY STUDY" in Appendix C hereto.

Potential Refund of Entrance Fees

Under certain circumstances, the Obligor is obligated to refund all or a portion of a resident's entrance fee upon the resident's departure from the Community. The payment of such refunds could adversely affect the Obligor's ability to make payments required by the Loan Agreement and the Series 2018A Note and the Series 2018A Master Obligation. The Obligor is not required to refund entrance fees until it resells a comparable unit.

Utilization Demand

Several factors could, if implemented, affect demand for services provided at the Community including: (i) efforts by insurers and governmental agencies to reduce utilization of skilled nursing home and long-term care facilities by such means as preventive medicine and home health care programs; (ii) advances in scientific and medical technology; (iii) a decline in the population, a change in the age composition of the population or a decline in the economic conditions of the service area for the Community; and (iv) increased or more effective competition from retirement communities and long-term care facilities now or hereafter located in the service area of the Community.

Impact of Market Turmoil

The economic turmoil since 2008 has had and may continue to have negative repercussions upon the United States and global economies. To date, this turmoil has particularly impacted the financial sector, prompting a number of banks and other financial institutions to seek additional capital, to merge and, in some cases, to cease operations. These events collectively have led to a scarcity of credit, lack of confidence in the financial sector, volatility in the financial markets, fluctuations in interest rates, reduced economic activity, increased business failures and increased consumer and business bankruptcies. Current market conditions have affected investment earnings and values and could adversely affect the value of the Obligated Group's investments and those of prospective residents, as well as future investment earnings. Further, sales of residential real estate have been negatively impacted. As a result, prospective residents of the Community may encounter difficulty in liquidating investments and selling homes in order to raise necessary cash to pay their Entrance Fees and monthly service fees. As investor confidence has waned, investments previously recognized as stable, such as tax-exempt money market funds (which are one of the largest purchasers of tax-exempt bonds), have at times experienced significant withdrawals. This could affect the market and demand for the Series 2018A Bonds.

Sale of Homes

It is anticipated that many prospective residents of the Community will be required to sell their current homes to pay the Entrance Fee prior to occupancy or to meet other financial obligations under their Residence and Services Agreements. Housing prices have declined nationally and in many areas longer time periods have been needed for homeowners to sell their homes. If prospective residents encounter difficulties in selling their current homes due to local or national economic conditions affecting the sale and finance of residential real estate, such prospective residents may not have sufficient funds to pay the Entrance Fee or to meet other obligations under their Residence and Services Agreements, thereby causing a delay in scheduled occupancy of the Community or remarketing of vacated Independent Living Units, which would have an adverse impact on the revenues of the Obligor.

Nature of Income of the Elderly

A large percentage of the monthly income of some residents of the Project is fixed income derived from pensions and social security. If, due to inflation or otherwise, substantial increases in Monthly Fees are required to cover increases in operating costs, nursing care costs, wages, benefits and other expenses, residents may have difficulty paying or may be unable to pay such increased Monthly Fees. The Obligor's actuary conducts a financial analysis of each potential resident before a Residence and Services Agreement is executed to determine the likely ability of the resident to meet the financial obligations to the Obligor; however, no assurance may be given that future events, including life expectancy, will not result in residents encountering difficulty in paying Monthly Fees.

Rights of Residents

The Obligor enters into Residence and Services Agreements with its residents. For more information about the Residence and Services Agreements, see "RESIDENCE AND SERVICES AGREEMENTS" in Appendix A hereto. Although the Residence and Services Agreements give to each resident a contractual right to use space and not any ownership rights in the Community, in the event that the Bond Trustee or the holders of the Series 2018A Bonds seek to enforce any of the remedies provided by the Bond Indenture upon the occurrence of a default or the Master Trustee seeks to enforce remedies under the Master Indenture, it is impossible to predict the resolution that a court might make of competing claims among the Master Trustee, the Bond Trustee, the Issuer or the holders of the Series 2018A Bonds and a resident of the Community who has fully complied with all the terms and conditions of his or her Residence and Services Agreement.

Maryland Department of Aging

The Maryland Department of Aging (the "Department of Aging") regulates continuing care retirement communities and assisted living services for the elderly under the Department of Aging Statute, Section 10-101 et seq. of the Human Services Article of the Annotated Code of Maryland, as amended (the "Department of Aging Statute"). As defined in the Department of Aging Statute, "continuing care" in a retirement community means the furnishing of shelter and either medical and nursing services or other health related services to an individual sixty (60) years of age or older, not related by blood or marriage to the continuing care provider, for the life of the individual or for a period in excess of one (1) year under one or more written agreements that require a transfer of assets or an entrance fee notwithstanding periodic charges. The Residence and Care Agreements between the Obligor and residents of the independent living units and the assisted living units in the Community (the "Residence and Care Agreements") constitute continuing care contracts. See "Residence and Care Agreement" in Appendix A.

Certificate of Need

The Maryland Health Care Commission ("Commission") is an independent commission operating within the Maryland Department of Health. The Commission's implementing statute requires a person to obtain a certificate of need ("CON") issued by the Commission before the person develops, operates, or participates in any health care project for which a certificate of need is required by statute. A CON is a certification of public need issued by the Commission for a health care project. In general, unless an exception applies, a CON is required before (i) an existing or previously approved, but unbuilt, health care facility is moved to another site, (ii) the bed capacity of a health care facility is changed, or (iii) the type or scope of any health care service is changed if the health care service is offered by a health care facility, in space that is leased from a health care facility, or in space that is on land leased from a health care facility.

Projects involving comprehensive care units are covered by the CON requirements. However, the CON statute states that a facility to provide comprehensive care constructed by a provider of continuing care is not a health care facility within the meaning of the CON statute if (i) the facility is for the exclusive use of the provider's subscribers who have executed continuing care agreements and paid entrance fees that are at least equal to the lowest entrance fee charged for an independent living unit or an assisted living unit before entering the continuing care community, regardless of the level of care needed by the subscribers at the time of admission (or a specified exception to this requirement applies), (ii) the facility is located on the campus of the continuing care community, and (iii) the number of comprehensive care nursing beds in the community does not exceed (a) 24 percent of the

number of independent living units in a community having less than 300 independent living units, or (b) 20 percent of the number of independent living units in a community having 300 or more independent living units.

The Obligor believes that the Project does not require a CON.

Continuing Care Agreements

The Department of Aging Statute sets forth certain provisions that are required to be contained in the continuing care agreements. Such provisions relate generally to the disclosure of information to the residents regarding the terms of the agreement, including the consideration being paid by the resident, the nature of the services being provided, the terms under which the agreement can be cancelled or terminated, and the terms governing any refunds that may be due to the resident upon cancellation or termination. Under the Department of Aging Statute, the provisions intended for the benefit of or protection of the resident may not be waived by the resident. By the terms of the Department of Aging Statute, a resident may rescind a continuing care agreement at any time if the terms of the agreement are in violation of the terms of the Department of Aging Statute and the resident is injured by the violation, in which event the resident “shall be entitled to treble damages for extensive injuries arising from the violations.” The forms of the Residence and Services Agreement used by the Obligor have been approved by the Department of Aging.

Operating Reserve Requirement

The Department of Aging Statute requires a provider of continuing care to set aside, for each facility it operates, operating reserves equal to 15% of the facility’s net operating expenses (as defined in the Department of Aging Statute) for the most recent Fiscal Year for which certified financial statements are available. Effective July 1, 2023, the operating reserve requirement will increase to twenty-five percent (25%) of the facility’s net operating expenses. These required reserves must be unrestricted cash and investment and, other than under limited exceptions, cannot be encumbered. The Department of Aging Statute defines “net operating expenses” as total operating expenses, less depreciation, amortization, unusual and infrequent expenses, changes in the obligation to provide future services, and changes in the fair market value of interest rate swap agreements not involving an exchange of funds.

As of May 31, 2018, the Obligor held unrestricted cash and investments sufficient to satisfy the operating reserve requirement, which was \$1,532,439 at June 30, 2017. See Note 11 to the Obligor’s audited financial statements included in Appendix B.

Disclosure Statements

Continuing care retirement communities are required to submit a Disclosure Statement at least annually to the Department of Aging for its approval. The Disclosure Statement provides information to residents and prospective residents about the continuing care provider’s organizational structure and management, and provides a summary of services and rate structure and other material items including financial statements. Continuing care providers that do not require continuing care residents to enter into a separate agreement for assisted living services are required by the Department of Aging to include certain items in the Disclosure Statement that more fully disclose information about the assisted living program. The Obligor’s September, 2017 Disclosure Statement was filed with the Department of Aging and includes the required information concerning the Obligor’s assisted living program services.

Discharge of Residents

The Department of Aging Statute provides that no residents may be dismissed or discharged prior to the expiration of their continuing care contracts without just cause for such removal and advance notice of at least 60 days. In the event of any such dismissal or discharge of a resident, the provider must comply with specific refund provisions contained in the Department of Aging Statute. See “Certain Bondholders’ Risks – Rights of Residents.”

Dispositions of Assets

Pursuant to Section 10–436 of the Department of Aging Statute, a continuing care provider may not sell, transfer or otherwise dispose of assets if the disposition is likely to have an unreasonably adverse effect on the financial stability of the provider or its capacity to perform its obligations under its continuing care agreements, as determined under regulations of the Department of Aging, and may not dispose of more than 10% of its total assets in any 12-month period without the approval of the Department of Aging. Further, under Section 10–440 of the Department of Aging Statute, a continuing care provider may not remove a record or asset of a provider related to the operation of a continuing care retirement facility or the provision of services by a provider under a continuing care agreement from Maryland without the consent of the Department of Aging, which consent shall be based upon the submission of satisfactory evidence that the removal will facilitate and make more economical the operations of the provider and will not diminish the service or protection thereafter to be given to the residents of the community after the removal.

Remedies for Violations of Statute

Any resident injured by a violation of the Department of Aging Statute may bring an action for equitable relief or for the recovery of damages. The Department of Aging may impose a civil monetary penalty for a violation of the Department of Aging Statute and is entitled to institute various other actions for violations of the Department of Aging Statute, including an action for a temporary restraining order or injunction. The Department of Aging may petition for the appointment of a receiver in certain events, including the threat of immediate closure of the facility, if the provider is not honoring its contracts with its subscribers, or to prohibit the diversion of the assets and records of the provider from the facility or the State.

Maryland Department of Health and Mental Hygiene

The Obligor is also subject to regulation by the Office of Health Care Quality of the Maryland Department of Health and Mental Hygiene (“DHMH”) in connection with the licensure of its assisted living and comprehensive care (skilled nursing) units.

Assisted Living

An “assisted living program” is a residential or facility-based program that provides housing and supportive services, supervision, personalized assistance, health-related services or a combination of these services to meet the needs of residents who are unable to perform, or who need assistance in performing, the activities of daily living in a way that promotes optimum dignity and independence for the residents. Assisted living licenses are based upon the levels of care provided, are valid for one year from the date of issuance, unless suspended or revoked, and may include a one-year renewal option at the sole discretion of DHMH. The Obligor is licensed by DHMH as a Level 3 assisted living facility. Assisted living residents are entitled to numerous rights and protections which are enforced by DHMH and, where the resident is also a continuing care resident, to some degree by the Maryland Department of Aging.

DHMH requires assisted living programs to include certain disclosures in the resident admission agreement and, for facilities with an Alzheimer’s special care unit or program, requires additional disclosures about such unit or program.

A number of sanctions can be imposed upon providers of assisted living programs found not to be in compliance with the regulations. These sanctions include, but are not limited to, the imposition of civil monetary and criminal penalties and suspension or revocation of the assisted living license.

Comprehensive Care (Skilled Nursing)

The Obligor must also maintain a license to operate the comprehensive care units. A “comprehensive care facility” is a facility which admits patients suffering from disease or disabilities or advanced age, requiring medical service and nursing service rendered by or under the supervision of a registered nurse. Licenses for comprehensive

care units are valid for two (2) years from the date of issuance, unless revoked by the Secretary of DHMH (the “Secretary”). The Obligor is currently licensed for 82 comprehensive care beds through December, 2018. The Secretary may refuse to issue or renew a license or may issue a provisional license for less than a 24-month period if: (a) the facility has substantial deficiencies which do not constitute a serious or immediate threat to the health, life or safety of the residents, and the facility has submitted an acceptable plan of correction to DHMH within a certain time frame; (b) the facility has substantial deficiencies which in the opinion of DHMH have no immediate adverse effect on the life, safety or health status of residents but require construction or remodeling to correct, and the facility has made a bona fide commitment to correct the deficiencies by a required date; (c) Departmental administrative delays have occurred which are beyond the control of the facility; (d) new construction is completed to the point of being able to provide all necessary services to its residents but certain substantial items of equipment required to provide optional services, which in the opinion of DHMH will have no immediate adverse effect on the safety or health of its residents, are lacking temporarily; or (e) licensing revocation proceedings are pending against the facility.

New construction, conversion, alteration or addition of comprehensive care units requires the submission of plans to DHMH for review.

The Obligor may not transfer or discharge from the Community a resident who is receiving skilled nursing care unless the transfer or discharge is necessary for the resident’s welfare and the resident’s needs cannot be met by the Community; the transfer or discharge is appropriate because the resident’s health has improved; the safety of individuals in the Community is endangered; the health of individuals in the Community would otherwise be endangered; after reasonable and appropriate notice, there has been a failure to pay; the Community ceases to operate; or there has been a change in Medicare or Medicaid program participation. Before a transfer or discharge can be made for any reason, the facility transferring or discharging a resident must notify the resident or his or her personal representative and state the reason for the transfer or discharge at least 30 days in advance, with certain limited exceptions. Additionally, the Obligor is required to honor rights of residents receiving skilled nursing care, including protection of personal funds, the right to privacy and confidentiality of medical records, freedom from physical and chemical restraints not essential for safety or care, attendance to grievance procedures, access to telephone and visits by family members. Failure to protect and promote the rights of such residents in accordance with the requirements of federal and state laws may result in sanctions to the Obligor, including imposition of a fine, denial of Medicare or Medicaid payment, or termination of participation in the Medicare or Medicaid program.

DHMH may impose sanctions upon a comprehensive care facility that include, but are not limited to, civil money penalties, criminal penalties, appointment of a State monitor, and emergency suspension or revocation of the facility’s license.

Other Healthcare Regulations

General

The Obligor receives payments for providing nursing care for eligible residents under Title XVIII of the federal Social Security Act (Medicare) and Title XIX of the federal Social Security Act (Medicaid). Medicare is an exclusively federal program and Medicaid is funded by federal and state appropriations. The health care industry, in general, is subject to regulation by a number of governmental agencies, including those which administer the Medicaid and Medicare programs, and other federal, state and local governmental agencies.

Medicare

Medicare, which is administered by the Centers for Medicare and Medicaid Services (“CMS”), is a federal health insurance program that provides certain health benefits to beneficiaries who are age 65 or older, blind, disabled or qualify for the End Stage Renal Disease Program. In order to achieve or maintain Medicare certification, the Obligor must meet CMS’s “Conditions of Participation” on an ongoing basis, as determined by state and local agencies or The Joint Commission or both.

Subject to certain limitations, Medicare will reimburse nursing care facilities for certain services provided to a beneficiary who has been transferred to a Medicare-certified skilled nursing facility within thirty (30) days after discharge from an inpatient stay of at least three (3) days in an acute care hospital. To be covered, the services provided in the skilled nursing facility must be reasonable and necessary to treat a condition that was being treated during the hospital stay. Additionally, Medicare reimbursement for skilled nursing care is limited to a renewable 100-day period for each qualified resident.

As an agency of the United States Department of Health and Human Services (“HHS”), CMS bases reimbursement to skilled nursing homes on a prospective payment system (“PPS”), similar to the Diagnosis Related Group (“DRG”) prospective payment system for acute care providers under Medicare. Reimbursement for nursing homes under the PPS was implemented for all cost reporting periods beginning after July 1, 1998.

Under PPS, facilities are paid a per diem amount, based on formulas discussed below, to care for residents in the facility. Because the payment does not reflect the actual costs associated with individual residents’ care, a facility whose actual costs exceed the per diem payment rate will incur losses for the care of such residents. The PPS payment rates include most of the costs of providing skilled nursing care services, including all routine, ancillary (for example, therapy, drugs and laboratory services directly attributable to individual patients) and capital related (land, building and equipment) costs. The payment also covers physical, occupational and speech therapy. Not included in the PPS payment rate are physician services provided to individual patients, certain services provided by nurse practitioners, clinical nurse specialists, physician assistants, nurse midwives, psychologists and certified registered nurse anesthetists, certain dialysis services, hospice care and some transportation and ambulance costs.

The PPS payment rates are based on a federal per diem rate that was initially calculated based on 1995 skilled nursing facility cost reports, and is updated annually by a market basket index. The federal per diem rate is adjusted to account for the relative resource utilization of different patients based on the intensity of care and the services required to treat a patient. Patients are classified into groups using a classification system of 66 groups known as Resource Utilization Groups IV (“RUGs-IV”) based on data from resident assessments and relative weights developed from staff time data. The relative payment weight is applied to the federal per diem rate, along with a wage index modifier reflecting the geographic variation in labor costs, to arrive at the applicable per diem payment for a resident.

Medicaid

Medicaid is a federal/state entitlement program that pays for medical assistance for certain individuals and families with low income and resources. Medicaid became law in 1965 as a cooperative venture jointly funded by the federal and state governments, to assist states in providing medical assistance to needy persons who met certain eligibility requirements.

While federal statutes, regulations and policies establish broad national guidelines, each state generally has discretion in determining which groups its Medicaid program will cover and the financial criteria that must be met for Medicaid eligibility. Thus, eligibility and benefits in one state may differ considerably from another state.

Although states have broad discretion with regard to their Medicaid programs, to be eligible to receive federal funds, states are required to supply Medicaid coverage to certain mandatory categorically needy eligibility groups for which federal matching funds are provided (e.g., supplemental security income (“SSI”) recipients and certain Medicare beneficiaries). Nevertheless, states have the option of providing Medicaid coverage for other groups that may share characteristics of the mandatory groups but where the eligibility criteria are more liberally defined.

Medicaid coverage can start as early as the third month prior to application submission for those persons who would have been eligible for benefits had they applied during that time. Medicaid coverage will generally cease at the end of a month in which a person no longer meets the eligibility requirements.

For the most part, states determine the amount and duration of services offered under the Medicaid program within the broad federal guidelines, and states have discretion in determining the payment methodology and payment rate for services. States also may impose nominal deductibles, coinsurance or copayments on some Medicaid recipients for certain services, while the federal guidelines require states to exclude certain beneficiaries from cost sharing and exempt all Medicaid beneficiaries from copayments for emergency and family planning services.

Medicare beneficiaries with low incomes and limited resources may qualify for Medicaid coverage and be eligible to receive additional services such as nursing facility care beyond the 100-day limit covered by Medicare, prescription medications, eyeglasses and hearing aids. For individuals enrolled in both programs, services covered by Medicare are paid for first by the Medicare program before any payments are made by the Medicaid program.

The Obligor participates in the Maryland Medicaid Program (the “Program”). Residents of the comprehensive care (skilled nursing) beds in the Obligor’s healthcare center (the “Healthcare Center”) who have spent all of their own assets on care related costs and whose Entrance Fees have been spent down in payment of such costs at the Healthcare Center may apply to the Program for Medicaid eligibility. If the resident meets the Program’s eligibility criteria and is approved as requiring a nursing facility level of care, the Healthcare Center will receive payment from the Program based upon such residents’ care requirements in accordance with the rates established by the Program.

Limitations on Remedies with respect to Nonprofit Corporations. There exists common law authority and authority under various state statutes pursuant to which courts may terminate the existence of a not-for-profit corporation or undertake supervision of its affairs on various grounds, including a finding that such corporation has insufficient assets to carry out its stated charitable purposes or has taken some action which renders it unable to carry out such purposes. Such court action may arise on the court’s own motion or pursuant to a petition of a state attorney general or other person who has interests different from those of the general public, pursuant to the common law and statutory power to enforce charitable trusts and to see to the application of their funds to their intended charitable uses. A court could restrict the ability of the Issuer or the Trustee to compel the liquidation of the Community or other property of the Obligor to pay a judgment against it for payment of the Series 2018A Bonds because it is a nonprofit corporation carrying out charitable purposes.

Other Limitations on Remedies. In addition, the realization of rights under the Resolution, the Loan Agreement and the Deed of Trust upon a default by the Obligor depends upon the exercise of various remedies specified in the Resolution, the Loan Agreement and the Deed of Trust, respectively. These remedies may require judicial action which is often subject to discretion and delay. Under existing law, certain of the remedies specified in the Bond Indenture, the Master Indenture, the Loan Agreement and the Deed of Trust may not be readily available or may be limited. For example, a court may decide not to order the specific performance of the covenants contained in the Resolution, the Loan Agreement or the Deed of Trust. Accordingly, the ability of the Issuer or the Trustee to exercise remedies under the Resolution, the Loan Agreement and the Deed of Trust upon an Event of Default could be impaired by the need for judicial or regulatory approval.

The enactment of additional legislation restricting or regulating the operation of residential care facilities, creating additional residents’ rights or requiring certain financial reserves could adversely affect the financial condition of the Obligor and may limit the terms and enforceability of and remedies under residency agreements. In addition, the ability of the Master Trustee or Bond Trustee to foreclose its lien on the Community or enforce other rights and remedies under the Financing Documents may be adversely affected by litigation on behalf of residents. Although under the current residency agreements, residents have no special lien or claim against any property of the Obligor, there can be no certainty that residents could not successfully claim or otherwise restrict the use of the Obligor’s property in bankruptcy proceedings or other disputes. Although the Obligor expects to continue to use the continuing care concept of contracting with residents, it is under no obligation to do so.

Organized Resident Activity

The Obligor may, from time to time, be subject to pressure from organized groups of residents seeking, among other things, to raise the level of services or to maintain the level of monthly service fees with respect to the

Community or other charges without increase. Moreover, the Obligor may be subject to conflicting pressures from different groups of residents, some of whom may seek an increase in the level of services while others wish to hold down monthly service fees and other charges. No assurance can be given that the Obligor will be able satisfactorily to meet the needs of such resident groups.

Personnel

The Obligor employed approximately 177 full-time equivalent employees as of July 1, 2018. Management of the Obligor believes that its salary and benefits package is competitive with other comparable institutions in the respective areas in which the Obligor operates and that its employee relations are satisfactory. The health care industry has at times experienced a shortage of qualified health care personnel. The Obligor competes with other health care providers and with non-health care providers for both professional and nonprofessional employees. The Obligor, like many similar institutions, has experienced turnover with its personnel. However, while the Obligor has been able to retain the services of an adequate number of qualified personnel to staff its Facilities appropriately and maintain its standards of quality care, there can be no assurance that continued shortages will not in the future affect its ability to attract and maintain an adequate staff of qualified health care personnel. A lack of qualified personnel could result in significant increases in labor costs or otherwise adversely affect its operating results.

Nursing Shortage

The healthcare industry has experienced a shortage of nursing staff that has resulted in increased costs for healthcare providers due to the need to hire agency nursing personnel at higher rates. Even though the Obligor has not experienced such a shortage in recent history, if the nursing shortage continues, it could possibly adversely affect the Obligor's operations or financial condition. The Obligor's management believes that it will be able to retain current personnel and hire any additional required staff, but the presence of other health care providers may make it difficult over time to attract and retain skilled personnel. If the Obligated Group is forced to employ temporary staff through employment agencies, its employment costs will be substantially increased.

Labor Union Activity

Certain residential care facilities are being subjected to increasing union organizational efforts. The Obligor is not presently a party to any collective bargaining agreements. There can be no assurance, however, that employees will not seek to establish collective bargaining agreements with the Obligor, and if so established, such collective bargaining agreements could result in significantly increased labor costs to the Obligor and have an adverse effect on the financial condition of the Obligor.

Increases of Medical Costs

The cost of providing healthcare services may increase due to many reasons, including increases in salaries paid to nurses and other healthcare personnel and shortages in such personnel that may require the use of employment agencies.

Malpractice Claims and Losses

The Obligated Group maintains professional and general liability insurance through Peace Church Risk Retention Group. The operations of the Obligated Group may be affected by increases in the incidence of malpractice lawsuits against elder care facilities and care providers in general and by increases in the dollar amount of client damage recoveries. These may result in increased insurance premiums and an increased difficulty in obtaining or renewing malpractice insurance. It is not possible at this time to determine either the extent to which malpractice coverage will continue to be available to the Obligated Group or the premiums at which such coverage can be obtained.

Insurance and Legal Proceedings

The provision of personal and health care services entails an inherent risk of liability. In recent years, participants in the senior living and health care services industry have become subject to an increasing number of lawsuits alleging negligence, malpractice or related legal theories, many of which involve large claims and result in the incurrence of significant defense costs. The Obligor carries insurance coverage in amounts deemed adequate by management and consistent with other comparable institutions. However, there can be no assurance that any current or future claims will not be covered by or exceed applicable insurance coverage. A claim against the Obligor not covered by, or in excess of, the Obligor's insurance could have a material adverse effect upon the Obligor.

In addition, the Obligor's insurance policies must be renewed annually. Because the increased litigation in the retirement and nursing care business has resulted in increased insurance premiums and an increased difficulty in obtaining insurance at reasonable rates, there can be no assurance that insurance coverage will continue to be available to the Obligor at reasonable premiums, if at all.

In its role as an owner and operator of real properties, the Obligated Group may be subject to liability for investigating and remedying any hazardous substances that have come to be located on its real property, including any such substances that may have migrated off of its real property. In addition, the Obligor's operations include the handling, use, storage and disposal of hazardous, infectious and toxic materials and wastes. Such handling, use or release by the Obligor may produce risks of damage to individuals, property or the environment; interruption of operations or increased costs; legal liability, damages, injunctions or fines, or the triggering of investigations, administrative proceedings, penalties or other government agency actions. There can be no assurance that the Obligor will not encounter such risks in the future, and such risks may result in material adverse consequences to the operations or financial condition of the Obligor. The Obligor is not aware of any environmental liability with respect to any of its properties that it believes would have a material adverse effect on the Obligor's business, financial condition, or results of operations. The Obligor believes that its operations and Facilities are in compliance in all material respects with all federal, state, and local laws, ordinances, and regulations regarding hazardous or toxic substances or petroleum products.

The Obligor currently is not a party to any legal proceeding that its management believes would have a material adverse effect on its business, financial condition, or results of operations.

Environmental Matters

Health care providers are subject to a wide variety of federal, state and local environmental and occupational health and safety laws and regulations which address, among other things, health care operations, facilities and properties owned or operated by health care providers. Among the type of regulatory requirements faced by health care providers are, (a) air and water quality control requirements, (b) waste management requirements, including medical waste disposal, (c) specific regulatory requirements applicable to asbestos, polychlorinated biphenyls and radioactive substances, (d) requirements for providing notice to employees and members of the public about hazardous materials handled by or located at the clinics, (e) requirements for training employees in the proper handling and management of hazardous materials and wastes and (f) other requirements.

In its role as the owner and operator of properties or facilities, the Obligor may be subject to liability for investigating and remedying any hazardous substances that may have migrated off of its property. Typical health care operations include, but are not limited to, in various combinations, the handling, use, storage, transportation, disposal and discharge of hazardous, infectious, toxic, radioactive, flammable and other hazardous materials, wastes, pollutants or contaminants. As such, health care operations are particularly susceptible to the practical, financial and legal risks associated with compliance with such laws and regulations. Such risks may (a) result in damage to individuals, property or the environment, (b) interrupt operations and increase their cost, (c) result in legal liability, damages, injunctions or fines and (d) result in investigations, administrative proceedings, penalties or other governmental agency actions. There is no assurance that the Obligor will not encounter such risks in the future, and such risks may result in material adverse consequences to the operations or financial condition of the Obligor.

The Obligor has secured a Phase I Environmental Assessment (the "Phase I Assessment") in connection with the issuance of the Series 2018A Bonds from ECS Mid-Atlantic LLC, dated November 1, 2017, which was

supplemented by Addendum dated June 6, 2018. The Phase I Assessment did not reveal any evidence of recognized environmental conditions; however, the Phase I Assessment did make certain recommendations of further actions with respect to the Community (the “ATC Recommendations”). The Obligor also secured a Phase II Environmental Assessment (the “Phase II Assessment”) dated July 17, 2018, which made recommendations as to (a) the removal of all of the remaining heating oil from a 250-gallon underground storage tank (UST), the registration of the UST and the removal of the UST as part of the property development, (b) the preparation of an environmental management report, a plan for remediation of any soil contamination and an asbestos operation and management plan, and (c) the installation of a vapor barrier already contemplated and guidance to send soil for additional testing in the event that ground water is found during construction (collectively, the “Phase II Recommendations”). The Obligor and the Series 2018B Lender have entered into a separate agreement that requires the Obligated Group to comply with the ATC Recommendations and the Phase II Recommendations. See “REGULATORY PERMITS AND APPROVALS – ENVIRONMENTAL STUDY” in Appendix A hereto. Compliance with these requirements is not anticipated to result in any material increase in the cost of the Project. Failure by the Obligated Group to comply with the ATC Recommendations and the Phase II Recommendations could constitute an event of default under the Series 2018B Bond Loan and Financing Agreement, in which event the Series 2018B Lender could suspend additional Series 2018B Bond Proceeds Advances, in which event the successful construction and development of the Project could be adversely affected.

At the present time, management of the Obligor is not aware of any pending or threatened claim, investigation or enforcement action regarding such environmental issues which, if determined adversely to the Obligor, would have a material adverse effect on its operations or financial condition.

Competition

The Community is located in an area where other continuing care retirement facilities and other competitive facilities exist or may be developed. The Community may also face additional competition in the future as a result of changing demographic conditions and the construction of new, or the renovation or expansion of existing, continuing care facilities in the geographic area served by the Community. The Obligor will also face competition from other forms of retirement living including condominiums, apartment buildings and facilities not specifically designed for the elderly, some of which may be designed to offer similar facilities, but not necessarily similar services, at lower prices. In addition, there are few entry barriers to future competitors because competing facilities generally do not require a certificate of need approval for residential living facilities. All of these factors combine to make the elderly housing industry volatile and subject to material change that cannot be currently predicted. See “FINANCIAL FEASIBILITY STUDY” in Appendix C hereto. The Financial Feasibility Study should be read in its entirety, including management’s notes and assumptions set forth therein.

Licensing, Surveys, Accreditation and Audits

On a regular basis, health care facilities, including those of the Obligated Group, are subject to numerous legal, regulatory, professional and private licensing, certification and accreditation requirements. These requirements include, but are not limited to, requirements relating to Medicare participation and payment, state licensing agencies, and other federal, state and local government agencies. Obtaining, renewing and continuing certain of these licenses, certifications and accreditations are based on inspections, surveys, audits, investigations or other reviews, some of which may require or include affirmative action or response by the Obligated Group. These activities are generally conducted in the normal course of business of health care facilities. Nevertheless, an adverse result could be the cause of loss or reduction in a facility's scope of licensure, certification or accreditation or reduce payments received. The Obligated Group currently expects to renew or maintain all currently held licenses and certifications.

The Obligated Group is subject to regulation, certification and licensure by various federal, state and local government agencies. No assurance can be given as to the effect on future Obligated Group operations of existing laws, regulations and standards for certification, licensure or of any future changes in such laws, regulations and standards.

Construction Risks

Construction of the Project is subject to the usual risks associated with construction projects including, but not limited to, delays in issuance of required building permits or other necessary approvals or permits, strikes, labor disputes, shortages of materials and/or labor, transportation delays, restrictions related to endangered species, adverse weather conditions, fire, casualties, acts of God, war, acts of public enemies, terrorism, orders of any kind of federal, state, county, city or local government, insurrections, riots, adverse conditions not reasonably anticipated or other causes beyond the control of the Obligor or its contractors. Such events could result in delayed marketing, substantial completion, and/or occupancy of the Project and thus the revenue flow therefrom.

Management of the Obligor believes that the building permits will be obtained in due course. See “REGULATORY PERMITS AND APPROVALS” in Appendix A hereto. In addition, the marketing, substantial completion and occupancy of the Project may be extended by reason of changes authorized by the Obligor, delays due to acts or neglect of the Obligor, or by independent contractors employed by the Obligor. Cost overruns could also result in the Obligor not having sufficient money to complete construction of the Project, thereby materially affecting the receipt of revenues needed to pay the Series 2018A Bonds. For example, the plan of finance assumes that Entrance Fees payable for Project Independent Living Units on or before initial occupancy of the Project by individual residents will be used to redeem the Series 2018B Bond, until the outstanding principal balance of the Series 2018B Bond is equal to or less than \$3,000,000. If the completion of the Project is delayed, the receipt of Entrance Fees necessary for such purposes, as well as the receipt of monthly service fees necessary to fund operations, may be adversely impacted.

It is anticipated that the proceeds from the sale of the Series 2018A Bonds together with anticipated investment earnings thereon, the proceeds of the Series 2018B Bond and equity contributed by the Obligor will be sufficient to complete the construction and equipping of the Project. Cost overruns for projects of this magnitude may occur due to change orders and other factors. Cost overruns could also result in the Obligor not having sufficient moneys to complete construction of the Project, thereby materially affecting the receipt of revenues needed to pay debt service on the Series 2018A Bonds. Failure to complete the Project either at all or on time and for the cost estimated by the Obligor would reduce or delay revenues forecasted to be received by the Obligor, which would adversely affect the financial position of the Obligor and its ability to make payments under the Series 2018 Master Obligations and the Loan Agreement. In addition, if the proceeds of the Series 2018A Bonds and the Series 2018B Bond and equity contributed by the Obligor were not sufficient to complete the Project, or if the Obligor’s ability to draw down proceeds of the Series 2018B Bond is suspended, the Obligor would have to complete the Project with financing obtained from other sources that may not be available.

Construction Draws

The ability of the Obligor to receive disbursements from the Project Account of the Construction Fund held under the Bond Indenture is subject to compliance by the Obligor with various requirements of the Disbursement Agreement. If the conditions to receipt of disbursements in the Disbursement Agreement are not met, construction draws may be temporarily suspended. A temporary suspension of funding might cause delay in completion and related cost overruns. Proceeds remaining in the Construction Fund together with other funds held under the Bond Indenture would not be sufficient to pay the principal of the Series 2018A Bonds upon acceleration.

The Series 2018B Bond is a Draw-Down Bond

The Series 2018B Bond is a draw-down bond held by the Series 2018B Lender. The Series 2018B Lender is a wholly-owned subsidiary of Compass Bank, an Alabama banking corporation. As of June 30, 2018, Compass Bank had over \$86,612,374,000 in assets. The senior debt ratings of Compass Bank are Baa2 (Moody’s), BBB+ (S&P) and BBB+ (Fitch).

At the closing of the issuance of the Series 2018A Bonds, the outstanding principal amount of the Series 2018B Bond shall be equal to the Initial Advance of approximately \$264,000. From time to time, proceeds of the Series 2018B Bond shall be drawn down in accordance with the provisions of the Series 2018B Loan and Financing Agreement and the Disbursement Agreement. The interest rate on the Series 2018B Bond is a variable rate that will reset on a monthly basis. A significant increase in interest rates would increase the Obligor’s debt service

requirements with respect to the Series 2018B Bond, thereby increasing the possibility of (i) a default by the Obligor under its financing documents and (ii) an acceleration and early redemption of the Series 2018A Bonds.

There are conditions precedent relating to making additional Series 2018B Bond Proceeds Advances, including compliance with the conditions of the Disbursement Agreement. Additional Series 2018B Bond Proceeds Advances will be made only after moneys in the Construction Fund have been exhausted. The successful construction and development of the Project is dependent upon timely Series 2018B Bond Proceeds Advances in accordance with the Obligor's expected schedule of advances. No representation or warranty is made that such conditions will be satisfied on a timely basis or at all. A temporary or permanent suspension of additional Series 2018B Bond Proceeds Advances would likely adversely affect the construction of the Project and might result in an Event of Default on the Series 2018A Bonds. Such Event of Default may result in an investment loss for holders of Series 2018A Bonds.

Additions and Changes in the Obligated Group

The Master Indenture allows the Obligor, in certain circumstances, to add members to the Obligated Group. Although any entity that becomes an Obligated Group Member is required to guarantee or to assume joint and several liability for the Master Obligations issued under the Master Indenture, the enforceability of the guaranty or assumption may be limited under the Federal Bankruptcy Code or similar laws affecting creditors' rights if the Obligated Group Member was insolvent or undercapitalized at the time of (or became insolvent or undercapitalized by reason of) the guaranty or assumption and did not receive "reasonably equivalent value" for the guaranty or assumption.

When an entity becomes an Obligated Group Member, the allowable amount of debt which may be incurred under the Master Indenture by the Obligated Group Members may increase because the amount of such debt that the Obligated Group Members may incur is based on the historical or projected combined revenues of the Obligated Group Members. If an Obligated Group Member incurred additional debt based upon the revenues of another Obligated Group Member whose guaranty or assumption subsequently was held unenforceable, the interests of the owners of the Series 2018A Bonds would be diluted, because all outstanding debt then must be paid from a diminished, legally accessible flow of revenues.

The security interest in Gross Revenues granted by the Obligated Group Members to the Master Trustee pursuant to the Master Indenture may be affected by various matters, including (i) federal bankruptcy laws which could, among other things, preclude enforceability of the security interest as to Gross Revenues arising subsequent to the commencement of bankruptcy proceedings and limit such enforceability as to Gross Revenues arising prior to such commencement, to the extent a security interest therein would constitute a voidable preference, (ii) rights of third parties in cash, securities and instruments not in possession of the Master Trustee, including accounts and general intangibles converted to cash, (iii) rights arising in favor of the United States of America or any agency thereof, (iv) present or future prohibitions against assignment in any federal statutes or regulations, (v) constructive trusts, equitable liens or other rights impressed or conferred by any state or federal court in the exercise of its equitable jurisdiction and rights of donors of property, (vi) claims that might obtain priority if continuation statements are not filed in accordance with applicable laws, (vii) the rights of holders of prior perfected security interest in equipment and other goods owned by the Obligated Group Members and in the proceeds of sale of such property, (viii) statutory liens, and (ix) the rights of parties secured by Permitted Encumbrances (as defined in Appendix D hereto). If an event of default does occur, it is uncertain that the Master Trustee could successfully obtain an adequate remedy at law or in equity on behalf of the owners of the Series 2018A Bonds. See Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

Parity Debt

The Master Indenture permits the Obligated Group Members to issue Master Obligations on a parity basis with the Series 2018 Master Obligations. See the Additional Indebtedness provisions in the form of the Master Indenture attached in Appendix D hereto and the provisions regarding the issuance of Additional Bonds in the form of Bond Indenture attached in Appendix D hereto. In the future the issuance of such Master Obligations could increase the Obligor's debt service and repayment requirements in a manner which would adversely affect the Obligated Group Members' ability to make debt service payments on the Series 2018A Bonds.

Risk of Early Redemption

Purchasers of the Series 2018A Bonds, including those who purchase Series 2018A Bonds at a price in excess of their principal amount or who hold such bonds trading at a price in excess of par, should consider the fact that the Series 2018A Bonds are subject to optional and mandatory redemption at a redemption price equal to their principal amount plus accrued interest upon the occurrence of certain events. This could occur, for example, in the event that the Series 2018A Bonds are prepaid as a result of a casualty or condemnation award affecting the Community or there is a default under the Mortgage. See “THE SERIES 2018A BONDS — Redemption Provisions Related to the Series 2018A Bonds.” Under such circumstances, a purchaser of the Series 2018A Bonds whose bonds are called for early redemption may not have the opportunity to hold such bonds for a time period consistent with such purchaser's original investment intentions and may lose any premium paid for the Series 2018A Bonds.

Risk of Loss Upon Redemption

The rights of Beneficial Owners to receive interest on the Series 2018A Bonds will terminate on the date, if any, on which such Series 2018A Bonds are to be redeemed pursuant to a call for redemption, notice of which has been given under the terms of the Bond Indenture, and interest on such Series 2018A Bonds will no longer accrue on and after such date of redemption. There can be no assurance that the Obligor will be able or will be obligated to pay for any amounts not available under the Bond Indenture. In addition, there can be no guarantee that present provisions of the Code or the rules and regulations thereunder will not be adversely amended or modified, thereby rendering the interest earned on the Series 2018A Bonds taxable for federal income tax purposes. Interest earned on the principal amount of the Series 2018A Bonds may or may not be subject to state or local income taxes under applicable state or local tax laws. Each prospective purchaser of Beneficial Ownership Interests in the Series 2018A Bonds should consult his or her own tax advisor regarding the taxable status of the Series 2018A Bonds in a particular state or local jurisdiction.

Bankruptcy

The filing by, or against, the Obligor for relief under the United States Bankruptcy Code (the “Bankruptcy Code”) would have an adverse effect on the ability of the Master Trustee to enforce its claim or claims to the security granted by the Master Indenture, and its claim or claims to money owed it as an unsecured claimant, if any. The filing would operate as an automatic stay of the commencement or continuation of any judicial or other proceeding against the Obligor and its property and as an automatic stay of any act or proceeding to enforce a lien against such property. Moreover, following such a filing the revenues and accounts receivable and other property of the Obligor acquired after the filing (and under some conditions prior to the filing) may not be subject to the liens and security interests created under the Master Indenture. In addition, the bankruptcy court has the power to issue any order, process or judgment that is necessary or appropriate to carry out the provisions of the Bankruptcy Code; such a court order could require that the property of the Obligor including the Gross Revenues of the Obligor and proceeds thereof, could be used for the benefit of the Obligor, despite the lien and security interest of the Master Trustee therein.

The amount of the secured claim which could be filed by the Master Trustee on behalf of the holders of the Series 2018 Master Obligations would be limited to the value of the Project measured at the time the bankruptcy proceeding was commenced. This amount could be less than the principal amount of the Series 2018 Master Obligations, since the failure of the Project to produce sufficient revenues to pay operating expenses and debt service requirements prior to the bankruptcy would reduce the value of the Project. To the extent the principal amount of the Series 2018 Master Obligations exceeds the value of the Project, the excess would be an unsecured claim which would rank on parity with unpaid management, project and development fees and the claims of unsecured general creditors of the Obligor. As a result, if the Project were sold following commencement of a bankruptcy proceeding, it is unclear how much the holders of the Series 2018 Master Obligations would receive.

In a bankruptcy proceeding, the debtor could file a plan of reorganization which modifies the rights of creditors generally, or any class of creditors, secured or unsecured. The Bondholders may only receive post-petition interest on the Series 2018 Master Obligations to the extent the value of their security exceeds their claim. The plan, when confirmed by the court, binds all creditors who had notice or knowledge of the plan, discharges all claims

against the debtor provided for in the plan and replaces such claims with the debtor's obligations to the holders of such claims as provided under the plan.

No plan may be confirmed unless, among other conditions, the plan is in the best interests of creditors, is feasible and has been accepted by each class of claims impaired thereunder. Each class of claims has accepted the plan if at least two-thirds in dollar amount and more than one-half in number of the allowed claims of the class that are voted with respect to the plan are cast in its favor. Even if the plan is not so accepted, it may be confirmed if the court finds that the plan is fair and equitable with respect to each class of non-accepting creditors impaired thereunder and does not discriminate unfairly in favor of junior creditors. More particularly, the Bankruptcy Code would permit the liquidation of the Obligor or the adoption of a reorganization plan for the Obligor, as applicable, even though such plan had not been accepted by the holders of a majority in aggregate principal amount of the Series 2018 Master Obligations, if (i) among other requirements of the Bankruptcy Code, the plan is accepted by another impaired class of creditors, is "fair and equitable" and does not discriminate unfairly against the Bondholders as a class, which may mean that the Bondholders are provided with the benefit of their original lien or the "indubitable equivalent" of their secured claims as valued on the effective date of the plan or (ii) the holders of the Series 2018 Master Obligations, as a class, are deemed unimpaired under the plan.

In addition, if the bankruptcy court were to conclude that the holders of the Series 2018 Master Obligations have "adequate protection," it may (1) substitute other security for the security subject to the lien of the Master Indenture or (2) subordinate the lien of the holders of the Series 2018 Master Obligations to persons who supply credit to the Obligor after commencement of the case. In the event of the bankruptcy of the Obligor, any amount realized by the Master Trustee may depend on the bankruptcy court's determination of the value of the Project and the court's interpretation of "indubitable equivalent" and "adequate protection" under then existing circumstances. Any transfers made to the holders of the Series 2018 Master Obligations or the Master Trustee at or prior to the commencement of the case may be avoided and recaptured if such transfers are (a) avoidable by a judicial lien creditor who obtained its lien on the date the case commenced (regardless of whether such a creditor actually exists), (b) preferential or fraudulent or (c) voidable under applicable law by any actual unsecured creditor. The holders of the Series 2018 Master Obligations may also be subject to avoidance and recapture of post-petition transfer or turnover of property of the debtor which they, the Master Trustee or a custodian holds and assumption, assignment or rejection of executory contracts.

Certain judicial decisions have cast doubt upon the right of a trustee, in the event of a health care facility's bankruptcy, to collect and retain for the benefit of bondholders portions of revenues consisting of Medicare and other governmental receivables.

Certain Amendments to Bond Indenture and Master Indenture

In general, the Bond Indenture permits amendments to be made thereto (except for certain amendments that do not require Bondholder consent) only with the consent of the holders of a majority in aggregate principal amount of the Bonds of all series Outstanding affected by such amendment and not less than a majority in aggregate principal amount of all other Series 2018A Bonds then outstanding and so affected. The Bond Indenture further provides that without the consent of the owners of all Bonds at the time Outstanding nothing therein contained shall permit, or be construed as permitting, any of the following:

- (a) An extension of the maturity of, or a reduction of the principal amount of, or a reduction of the rate of, or extension of the time of payment of interest on, or a reduction of a premium payable upon any redemption of, any Bond, without the consent of the owner of such Bond.
- (b) The deprivation of the owner of any Bond then Outstanding of the lien created by the Bond Indenture and the Master Indenture (other than as originally permitted thereby).
- (c) A privilege or priority of any Bond or Bonds over any other Bond.
- (d) A reduction in the aggregate principal amount of the Bonds required for consent to any supplemental indenture.

Notwithstanding the foregoing, the Bond Indenture provides that during any period of time in which an Event of Default has occurred and is continuing, an amendment of the type described in clauses (a) and (c) above may be made with respect to an outstanding Bond with the consent of the holders of at least eighty percent (80%) in aggregate principal amount of all outstanding Bonds provided, however, any such amendment shall not result in a change in preference or priority of Bonds over any other Bonds and no such amendment described in clauses (a) and (c) above shall result in a disproportionate change, reduction or modification with respect to any Senior Secured Bonds.

This provision is intended to make it easier for the Obligor to restructure its indebtedness, including the Series 2018A Bonds, if an Event of Default has occurred, without having to file for bankruptcy under the federal Bankruptcy Code. In the absence of a provision such as this in the Bond Indenture, such a change in payment terms of the Series 2018A Bonds could only be made under a plan of reorganization approved by a Bankruptcy Court. The consent of the holders of 100% of the Series 2018A Bonds would be extremely difficult to obtain, and a bankruptcy filing would necessarily involve delay and expense which could affect the ability of the Obligor to accomplish a successful reorganization. The eighty percent (80%) consent requirement would only be in effect if an Event of Default occurred and was continuing.

Prospective purchasers of the Series 2018A Bonds are advised that this provision means there is a risk that if an Event of Default occurs, there may be an amendment made to the Bond Indenture which affects the payment provisions of the Series 2018A Bonds such purchaser holds, the priority of payment of such Series 2018A Bonds or other matters described in clauses (a) and (c) above. This amendment may be made without the consent of such purchasers, if the holders of eighty percent (80%) in aggregate principal amount of the Series 2018A Bonds of the same maturity consent to such amendment, and the other conditions to such are met.

The Master Indenture contains a similar provision to that described above. See Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

Certain Matters Relating to Enforceability of the Master Indenture

The obligations of the Obligor and any future member of the Obligated Group under the Series 2018 Master Obligations will be limited to the same extent as the obligations of debtors typically are affected by bankruptcy, insolvency and the application of general principles of creditors' rights and as additionally described below.

The accounts of the Obligor and any future member of the Obligated Group will be combined for financial reporting purposes and will be used in determining whether various covenants and tests contained in the Master Indenture (including tests relating to the incurrence of Additional Indebtedness) are met, notwithstanding the uncertainties as to the enforceability of certain obligations of the Obligated Group contained in the Master Indenture which bear on the availability of the assets and revenues of the Obligated Group to pay debt service on Master Obligations, including the Series 2018 Master Obligations pledged under the Bond Indenture as security for the Series 2018A Bonds. The obligations described herein of the Obligated Group to make payments of debt service on Master Obligations issued under the Master Indenture (including transfers in connection with voluntary dissolution or liquidation) may not be enforceable to the extent (1) enforceability may be limited by applicable bankruptcy, moratorium, reorganization or similar laws affecting the enforcement of creditors' rights and by general equitable principles and (2) such payments (i) are requested with respect to payments on any Master Obligations issued by a member other than the member from which such payment is requested, issued for a purpose which is not consistent with the charitable purposes of the member of the Obligated Group from which such payment is requested or issued for the benefit of a member of the Obligated Group which is not a tax-exempt organization; (ii) are requested to be made from any money or assets which are donor-restricted or which are subject to a direct or express trust which does not permit the use of such money or assets for such a payment; (iii) would result in the cessation or discontinuation of any material portion of the health care or related services previously provided by the member of the Obligated Group from which such payment is requested; or (iv) are requested to be made pursuant to any loan violating applicable usury laws. The extent to which the assets of any future member of the Obligated Group may fall within the categories (ii) and (iii) above with respect to the Series 2018 Master Obligations cannot now be determined. The amount of such assets which could fall within such categories could be substantial.

A member of the Obligated Group may not be required to make any payment on any Master Obligation, or portion thereof, the proceeds of which were not loaned or otherwise disbursed to such member of the Obligated Group to the extent that such payment would render such member of the Obligated Group insolvent or which would conflict with or not be permitted by or which is subject to recovery for the benefit of other creditors of such member of the Obligated Group under applicable laws. There is no clear precedent in the law as to whether such payments from a member of the Obligated Group in order to pay debt service on the Series 2018 Master Obligations may be voided by a trustee in bankruptcy in the event of bankruptcy of a member of the Obligated Group, or by third-party creditors in an action brought pursuant to Maryland fraudulent conveyance statutes. Under the United States Bankruptcy Code, a trustee in bankruptcy and, under Maryland fraudulent conveyance statutes and common law, a creditor of a related guarantor, may avoid any obligation incurred by a related guarantor if, among other bases therefor, (1) the guarantor has not received fair consideration or reasonably equivalent value in exchange for the guaranty and (2) the guaranty renders the guarantor insolvent, as defined in the United States Bankruptcy Code or Maryland fraudulent conveyance statutes, or the guarantor is undercapitalized.

Application by courts of the tests of “insolvency,” “reasonably equivalent value” and “fair consideration” has resulted in a conflicting body of case law. It is possible that, in an action to force a member of the Obligated Group to pay debt service on a Master Obligation for which it was not the direct beneficiary, a court might not enforce such a payment in the event it is determined that such member is analogous to a guarantor of the debt of the Obligated Group which directly benefited from the borrowing and that sufficient consideration for such member’s guaranty was not received and that the incurrence of such Master Obligation has rendered or will render such member insolvent.

Series 2018B Bond Defaults, Rights and Remedies

Certain terms of the Series 2018B Bond are set forth in the Series 2018B Loan and Financing Agreement. Certain terms of the Series 2018B Master Obligations are set forth in the Master Indenture. The Master Indenture provides that an event of default under the Series 2018B Loan and Financing Agreement is an Event of Default under the Master Indenture.

In addition to the events of default described in the Master Indenture, the Series 2018B Loan and Financing Agreement also provides for events of default including arising from the failure to comply with the terms of the Series 2018B Loan and Financing Agreement, some of which are different than the terms of the Master Trust Indenture. See “SECURITY FOR THE SERIES 2018A BONDS – Series 2018B Bonds Covenants, Defaults and Remedies” above.

This discussion of the covenants, defaults, rights and remedies under the Series 2018B Bond Documents does not purport to be complete, and reference is made to the Series 2018B Loan and Financing Agreement, a copy of the form of which is available upon request during the period of marketing of the Series 2018A Bonds from the Underwriter and, after the Closing Date, the executed version shall be available from the Master Trustee.

Liquidation of Security May Not be Sufficient in the Event of a Default

The Bond Trustee and the Issuer must look solely to the Mortgaged Property, including Gross Revenues and the other Personal Property Collateral, and any funds held under the Bond Indenture and the Master Indenture to pay and satisfy the Series 2018A Bonds in accordance with their terms. The Bondholders are dependent upon the success of the Community and the value of the assets of the Obligor for the payment of the principal of, redemption price, if any, and interest on, the Series 2018A Bonds. The Obligor has not made any representations to Bondholders regarding the current market value of the Community. In the event of a default, the value of the Mortgaged Property may be less than the amount of the outstanding Series 2018A Bonds, since the Community exists for the narrow use as a continuing care retirement community. The special design features of a continuing care facility and the continuing rights of residents under continuing care and lease agreements may make it difficult to convert the Community to other uses, which may have the effect of reducing its attractiveness to potential purchasers.

Availability of Remedies

The remedies available to the Bond Trustee, the Master Trustee and the owners of the Series 2018A Bonds upon an event of default under the Bond Indenture and the Master Indenture are in many respects dependent upon judicial actions that are often subject to discretion and delay. Under existing constitutional and statutory law and judicial decisions, including, specifically, the United States Bankruptcy Code, the remedies provided in the Bond Indenture and the Master Indenture may not be readily available or may be limited. The various legal opinions to be delivered concurrently with the delivery of the Series 2018A Bonds will be qualified as to the enforceability of the various legal instruments by limitations imposed by general principals of equity and by bankruptcy, reorganization, insolvency or other similar laws affecting the rights of creditors' generally and laws relating to fraudulent conveyances.

Limitations on Security Interest in Gross Revenues and Other Personal Property Collateral

The security interest in the Personal Property Collateral and the proceeds thereof will be perfected to the extent, and only to the extent, that such security interest may be perfected by filing financing statements under the Uniform Commercial Code of the State of Maryland (the "UCC"). Continuation statements with respect to such filings must be filed periodically as required by law to continue the perfection of such security interest. To the extent that the security interest in certain Personal Property Collateral cannot be perfected by filing a financing statement, the security interest in such Personal Property Collateral may not be enforceable against third parties unless such Personal Property Collateral is transferred to the Master Trustee (which is required only upon the occurrence of an Event of Default under the Master Indenture). In such event, the Master Trustee may not be able to compel certain third-party payors to make payment directly to the Master Trustee. The enforcement of the security interest in Personal Property Collateral may further be limited by the following: (a) statutory liens, (b) rights arising in favor of the United States of America or any agency thereof, (c) current or future prohibitions against assignment contained in any federal or state statutes or regulations, (d) constructive trusts, equitable liens or other rights impressed or conferred by any state or federal court in the exercise of its equitable jurisdiction and (e) federal bankruptcy laws, State of Maryland receivership or fraudulent conveyance laws or similar laws affecting creditors' rights that may affect the enforceability of the Master Indenture or the security interest in the Personal Property Collateral.

Pursuant to the Master Indenture, each Member of the Obligated Group that pledges its Gross Revenues under the Master Indenture covenants and agrees that, if an Event of Default involving a failure to pay any installment of interest or principal on a Master Obligation should occur and be continuing, it will deposit daily the proceeds of its Gross Revenues. Such deposits will continue daily until such default is cured.

It is unclear whether the covenant to deposit the proceeds of Gross Revenues with the Master Trustee is enforceable. In light of the foregoing and of questions as to limitations on the effectiveness of the security interest granted in such Gross Revenues, as described above, no opinion will be expressed by counsel to the Obligor as to enforceability of such covenant with respect to the required deposits.

Health Care Legislation

The Community's skilled nursing beds are certified for Medicare. Recently passed health care reform law at the federal level would impose certain expanded contracting requirements on long-term care facilities regarding coordination of care with hospitals and hospital systems going forward. In addition, legislation is periodically introduced in Congress and in the Maryland General Assembly that could result in limitations on revenues, reimbursements, or charges for health care facilities. At this time, no determination can be made as to whether such federal or state legislation will be enacted or, if enacted, its impact on the Obligor's operations or financial condition.

The "Patient Protection and Affordable Care Act" and "The Health Care and Education Affordability Reconciliation Act of 2010" (together referred to herein as the "Health Reform Act") were enacted in March 2010, but soon after became the subject of court challenges and efforts to repeal or modify its substantive provisions. On June 20, 2012, the U.S. Supreme Court upheld most of the provisions of the Health Reform Act, but rejected a

requirement that states significantly expand Medicaid eligibility. Instead, each state must determine whether federal financial incentives included in the Health Reform Act merit expanding its Medicaid program.

Some of the provisions of the Health Reform Act took effect immediately while others will take effect over a ten-year period. Because of the complexity of the Health Reform Act generally additional legislation modifying or repealing portions of the Act is likely to be considered and enacted over time. New guidelines and regulations related to the Health Reform Act will also likely be enacted. It is impossible to predict what, if any, such new guidelines and regulations will entail or how they may affect the Obligated Group, its operations or its financial condition.

The Health Reform Act provides changes with respect to how consumers will pay for their own and their families' health care and how employers will procure health insurance for their employees. In addition, the Health Reform Act requires insurers to change certain underwriting practices and benefit structures in order to cover individuals who previously would have been ineligible for health insurance coverage. As a result, there is expected to be a significant increase in the number of individuals eligible for health insurance coverage.

The overall stated goal of the Health Reform Act is to provide access to health insurance coverage to an additional 32 million people. The legislation intends to accomplish this objective through various provisions, including: (i) creating active markets (referred to as exchanges) in which individuals and small employers can purchase health insurance for themselves and their families or their employees and dependents, (ii) providing subsidies for premium costs to individuals and families based upon their income relative to the federal poverty levels, (iii) mandating that individuals obtain, and certain employers provide, a minimum level of health insurance, and providing penalties or taxes on individuals and employers that do not comply with these mandates, (iv) expansion of private commercial insurance coverage generally through reforms such as prohibitions on denials of coverage for pre-existing conditions and elimination of lifetime or annual cost caps, and (v) expanding existing public programs, including Medicaid, for individuals and families. Prior to the 2012 Supreme Court decision, the Congressional Budget Office ("CBO") estimated that in federal Fiscal Year 2015, 19 million consumers who were currently uninsured would become insured, followed by an additional 11 million consumers in federal Fiscal Year 2017. Because some states may choose not to implement expanded Medicaid eligibility, that estimate may decrease. However, to the extent the provisions of the Health Reform Act substantially increase the number of insured consumers, an increase in utilization of health care services by those who are currently avoiding or rationing their health care can be expected and bad debt expenses may be reduced. Associated with increased utilization will be increased variable and fixed costs of providing health care services, which may or may not be offset by increased revenues.

The future of the Health Reform Act is unclear. Since its enactment, the Health Reform Act has faced numerous legal challenges and legislative repeal efforts. The Health Reform Act remains subject to amendment, repeal, lack of implementation, failure to fund and judicial interpretation. The Health Reform Act repeal effort, to date, has focused on individual and employer mandates, exchanges, insurance industry regulations, Medicaid expansion, and the taxes to pay for these elements of the Health Reform Act. As discussed above, the Tax Cuts and Jobs Act repealed the individual mandate. The timing of any further repeal of the provisions of the Health Reform Act and whether it would be in whole or in part is unclear. It is also unclear when or if a replacement plan would be implemented. A repeal could result in additional pressure on Medicaid and Medicare funding and could have the effect of reducing the availability of health insurance to individuals who are previously insured, resulting in greater numbers of uninsured individuals, and could otherwise materially adversely affect the Project.

Whether or not the Health Reform Act remains is repealed or amended, it is expected that the government will continue to consider various reform proposals in the health care industry. If adopted, such proposals may subject health care providers to increased compliance requirements, reduced reimbursement for services, increased costs, or a combination of such results. The ultimate outcome of any legislative efforts to repeal, substantially amend, eliminate or reduce funding for the Health Reform Act is unknown. The effect of any major modification or repeal of the Health Reform Act on the financial condition of the Obligor, if any, cannot be predicted with certainty, but could be materially adverse.

A significant component of the Health Reform Act is reformation of the sources and methods by which consumers will pay for health care for themselves and their families and by which employers will procure health

insurance for their employees and dependents and, as a consequence, expansion of the base of consumers of health care services. The Health Reform Act was designed to make available, or subsidize the premium costs of, health care insurance for some of the millions of uninsured (or underinsured) consumers who fall below certain income levels. To the extent all or any of those provisions produce the expected result, an increase in utilization of health care services by those who are currently avoiding or rationing their health care can be expected and bad debt expenses and/or charity care provided may be reduced. Associated with increased utilization will be increased variable and fixed costs of providing health care services, which may or may not be offset by increased revenues.

Some provisions of the Health Reform Act may adversely affect the Project's operations more significantly than others, or may not affect them at all. The demographics of the market in which the Project provides services, the services that the Project provides to the community and other factors that are unique to the Project that are likely to affect operations, financial performance or financial conditions are described below. This listing is not intended to be, nor should be considered to be, comprehensive. The Health Reform Act is complex and comprehensive, and includes a myriad of new programs and initiatives and changes to existing programs, policies, practices and laws.

Through September 30, 2019, payments under "Medicare Advantage" programs (Medicare managed care) will be reduced, which may result in increased premiums or out-of-pocket costs to Medicare beneficiaries enrolled in Medicare Advantage plans. Those beneficiaries may terminate their participation in such plans and opt for the traditional Medicare fee-for-service program. The reduction in payments to Medicare Advantage programs may also lead to decreased payments to providers by managed care companies operating Medicare Advantage programs. All or any of these outcomes will have a disproportionately negative effect upon those providers with relatively high dependence upon Medicare managed care revenues.

The Health Reform Act provides for the expansion of Medicaid programs to a broader population with incomes up to 133% of federal poverty levels. In its decision in *National Federation of Independent Business v. Sebelius*, the U.S. Supreme Court determined that any expansion of Medicaid must be at the option of individual states, and not a mandatory obligation. Although the federal government is expected to fund most of the cost of the expanded Medicaid program through 2020, some state officials have expressed reluctance in continued participation, citing concerns that the administrative and other costs associated with enrolling and managing potentially millions of new individuals would add further stress to already depleted state resources.

With varying effective dates, the Health Reform Act enhances the ability to detect and reduce waste, fraud, and abuse in public programs through provider enrollment screening, enhanced oversight periods for new providers and suppliers, and enrollment moratoria in areas identified as being at elevated risk of fraud in all public programs, strengthening program integrity and enforcement measures and by requiring Medicare and Medicaid program providers and suppliers to establish compliance programs. The Health Reform Act requires the development of a database to capture and share health care provider data across federal health care programs and provides for increased penalties for fraud and abuse violations, and increased funding for anti-fraud activities.

The Health Reform Act created a Center for Medicare and Medicaid Innovation to test innovative payment and service delivery models and to implement various demonstration programs and pilot projects to test, evaluate, encourage and expand new payment structures and methodologies to reduce health care expenditures while maintaining or improving quality of care, including bundled payments under Medicare and Medicaid, and comparative effectiveness research programs that compare the clinical effectiveness of medical treatments and develop recommendations concerning practice guidelines and coverage determinations. Other provisions encourage the creation of new health care delivery programs, such as accountable care organizations or combinations of provider organizations that voluntarily meet quality thresholds to share in the cost savings they achieve for the Medicare program. The outcomes of these projects and programs, including their effect on payments to providers and financial performance, cannot be predicted.

Budget Control Act. The Budget Control Act of 2011 (the "Budget Control Act") originally limited the federal government's discretionary spending caps at levels necessary to reduce expenditures by \$917 billion from the current federal budget baseline through fiscal year 2021. Medicare, Social Security, Medicaid and other entitlement programs were not affected by the limit on discretionary spending caps. Provisions of the Budget Control Act, as modified by the Taxpayer Relief Act of 2012, set in place a protocol for severe spending cuts (known as sequestration) resulting in an automatic 2% reduction in Medicare program payments for all healthcare

providers effective March 27, 2013. The Consolidated and Further Continuing Appropriations Act of 2013, was subsequently enacted, providing funds for operation of the federal government through September 30, 2013 and off-setting some of the sequestration mandated reductions for federal fiscal year 2014. In December 2013, then-President Barack Obama signed the Bipartisan Budget Act of 2013 that increased the sequestration caps for federal fiscal years 2014 and 2015 by \$45 billion and \$18 billion, respectively, but extended the caps into 2023. On November 2, 2015, then-President Barack Obama signed into law the Bipartisan Budget Act of 2015, increasing the discretionary spending caps imposed by the Budget Control Act for fiscal years 2016 and 2017 and authorizing \$80 billion in increased spending over the two years. The Bipartisan Budget Act of 2015 also suspended the limit on the federal government's debt until March 15, 2017. On March 16, 2017, the debt limit reset to account for all debt issued while it was suspended. On February 7, 2018, Congressional leaders reached a bipartisan agreement to fund the federal government through March 23, 2018. The agreement was approved by the House of Representatives and the Senate on February 9, 2018.

Bipartisan Budget Act of 2018. On February 7, 2018, Congressional leaders reached a bipartisan agreement to fund the federal government through March 23, 2018. The agreement was approved by the House of Representatives and the Senate on February 9, 2018. On February 9, 2018, President Trump signed the Bipartisan Budget Act of 2018 which raises caps on domestic spending by \$296 billion over the next two years and waives limits on federal borrowing until March 1, 2019. The act also includes health care policy changes impacting Medicare, Medicaid, and other federal health agencies, and addresses a number of key health funding issues.

Because Congress may make changes to the budget in the future, it is impossible to predict the impact any spending cuts that are approved may have on the Obligor's operations and financial condition. Further, with no long-term resolution in place for federal deficit reduction, health care reimbursement is likely to continue to be a target for reductions with respect to any interim or long-term federal deficit reduction efforts. These and any additional reductions in Medicare spending could have a material adverse effect upon the Obligor's financial condition and operations.

Some of the specific provisions of the Health Reform Act that may affect the Obligated Group's operations, financial performance or financial condition include the following (this listing is not, is not intended to be, nor should be considered to be comprehensive):

- With varying effective dates, the annual Medicare market basket updates for many providers, including skilled nursing, would be reduced, and adjustments to payment for expected productivity gains would be implemented.
- The Health Reform Act included the Communities Living Assistance Services and Supports (CLASS) Act, which attempted to create a national, voluntary, long-term care insurance program to supplement Medicaid and provide long term care insurance. The CLASS Act was repealed as part of the American Taxpayer Relief Act of 2012, signed by the President on January 2, 2013.
- With varying effective dates, the Health Reform Act mandates a reduction of waste, fraud and abuse in public programs by allowing provider enrollment screening, enhanced oversight periods for new providers and suppliers, and enrollment moratoria in areas identified as being at elevated risk of fraud in all public programs, and by requiring Medicare and Medicaid program providers and suppliers to establish compliance programs. The legislation requires the development of a database to capture and share healthcare provider data across federal healthcare programs and also provides for increased penalties for fraud and abuse violations, and increased funding for anti-fraud activities.
- A 15-member Independent Payment Advisory Board was established to develop proposals to improve the quality of care and limitations on Medicare cost increases. Those proposals would be automatically implemented if Congress does not act to invalidate them.

The Health Reform Act provides for the implementation of various demonstration programs and pilot projects to test, evaluate, encourage and expand new payment structures and methodologies to reduce health care expenditures while maintaining or improving quality of care, including bundled payments under Medicare and Medicaid, and comparative effectiveness research programs that compare the clinical effectiveness of medical

treatments and develop recommendations concerning practice guidelines and coverage determinations. Other provisions encourage the creation of new health care delivery programs, such as accountable care organizations, or combinations of provider organizations, that voluntarily meet quality thresholds to share in the cost savings they achieve for the Medicare program. The Health Reform Act also provides funding for establishment of a national electronic health records system. The outcomes of these projects and programs, including their effect on payments to providers and financial performance, cannot be predicted.

The Health Reform Act also includes The Elder Justice Act which provides funding for adult protective services aimed at elder abuse prevention and enhanced investigation of elder abuse and neglect. It became effective on March 23, 2010. The Elder Justice Act requires prompt reporting to (“HHS”) by long term care facilities who receive at least \$10,000 per year in federal funds of any reasonable suspicion of a crime, as defined by local law, occurring at the long term care facility. This includes Medicare fraud and abuse. Reports are required to be made not later than two hours after forming the suspicion when serious physical injury occurs, and not later than 24 hours after forming suspicion where serious bodily injury was not involved. “Serious bodily injury” is not defined by the Elder Justice Act. Failure to report is subject to penalties up to \$200,000 plus potential exclusion from federal programs. Stricter penalties apply if delay led to further injury.

The Health Reform Act also includes the Patient Safety and Abuse Prevention Act which authorizes the Department of Health and Human Services (“DHHS”) to create a national program to identify best practices for background checks on long term care facility employees who have direct access to patients. The Patient Safety and Abuse Prevention Act creates grants for states who wish to participate in the creation of a nationwide program.

This focus on health care reform may increase the likelihood of significant changes affecting the health care industry. Possible future changes in the Medicare and other state programs may reduce reimbursements to the members of the Obligated Group and may also increase their operating expenses.

In addition, other legislative proposals which could have an adverse effect on the Obligated Group include: (a) any changes in the taxation of non-profit corporations or in the scope of their exemption from income or property taxes; (b) limitations on the amount or availability of tax exempt financing for corporations recognized under Section 501(c)(3) of the Code; (c) regulatory limitations affecting the Obligated Group's ability to undertake capital projects or develop new services; and (d) a requirement that non-profit health care institutions pay real estate property tax and sales tax on the same basis as for-profit entities.

Maryland Total Cost of Care All-Payor Model. On May 14, 2018, the Centers for Medicare & Medicaid Services (“CMS”) announced federal approval of Maryland’s Total Cost of Care All-Payor Model (the “Maryland Model”). The Maryland Model is designed to shift how health care is funded and provided to patients in Maryland, and will reward efficiency, value, and better patient outcomes with the goal of saving over \$1 billion by the end of 2023.

One component of the Maryland Model is the Care Redesign Program (“CRP”) that allows hospitals to make incentive payments to non-hospital healthcare providers who collaborate with them to provide care redesign activities aimed at improving quality of care. The effect of the Maryland Model on healthcare provider treatment and practice behaviors and reimbursement could affect the Obligor’s business operations.

The discussion above (or as otherwise discussed herein) is not an exhaustive study of the laws and regulations which may apply to the Obligated Group and its operations. Other laws and regulations not set forth herein (or elsewhere herein) may also apply to the Obligated Group and its operations and may have an adverse impact thereon.

Third-Party Payments and Managed Care

General. In the environment of increasing managed care, the Obligated Group can expect additional challenges in maintaining its resident population and attendant revenues. Third-party payors, such as health maintenance organizations, direct their subscribers to providers who have agreed to accept discounted rates or reduced per diem charges. Continuing care retirement communities are less sensitive to this directed utilization than standalone skilled nursing facilities; however, the risk may increase and the Obligated Group may be required to

accept residents under such conditions should managed care cost reduction measures now pervasive in the health care industry continue to grow.

The health care industry in general is subject to regulation by a number of federal, state and local governmental agencies. As a result, the industry is sensitive to legislative changes in such programs and is affected by reductions in governmental spending for such programs. Congress has in the past enacted a number of provisions that affect health care providers, and additional legislative changes can be expected. Previous legislative actions have included limitation of payments to nursing homes under the Medicare program. Additional legislation dealing with nursing home revenues could be introduced that, if enacted, might have an adverse impact upon the revenues of the Obligor.

Federal Health Care Laws and Regulations; Medicare

The Obligated Group's Independent Living Units are not currently subject to significant federal governmental regulation, other than laws and regulations applicable generally to developers and operators of residential real estate. For example, the Obligated Group must comply with the federal Fair Housing Act and Fair Housing Amendments Act of 1988, 42 U.S.C.A. §3601 et seq., as amended, (which among other things, prohibits discrimination in housing) and the Americans with Disabilities Act of 1990, 42 U.S.C.A. §12101 et seq., as amended (which mandates the elimination of discrimination against individuals with disabilities and imposes certain standards relating to the construction and/or renovation of certain buildings and structures). Compliance with such regulatory requirements can increase operating costs and thereby adversely affect the Obligated Group's financial results. Failure to comply with such requirements could also result in the imposition of various fines and other remedies.

Skilled nursing facilities ("SNFs") that accept payment from Medicare are required to comply with federal laws that affect the rights of residents, including the Federal Nursing Home Reform Act and related regulations. In addition, state laws establish the rights and responsibilities of residents of nursing homes and assisted living facilities. Failure to comply with these laws can result in regulatory action, monetary fines, loss or restriction of licensure or certification, and other remedies. There is no certainty that compliance with the laws or regulatory actions under them will not adversely affect operation of the Communities or the financial condition of the Obligated Group.

The health care industry in general is subject to regulation by a number of federal, state and local governmental agencies, including the Centers for Medicare and Medicaid Services ("CMS"). As a result, the industry is sensitive to legislative changes in such programs and is affected by reductions in governmental spending for such programs. Congress has in the past enacted a number of provisions that affect health care providers and additional legislative changes can be expected. Previous legislative actions have included limitation of payments to nursing homes under the Medicare program. Additional legislation dealing with nursing home revenues could be introduced that, if enacted, might have an adverse impact upon the revenues of the Community.

General. The Obligor is currently certified for 82 Medicare beds. Medicare is a federal insurance program that, among other things, provides reimbursement for nursing facility care in Medicare-certified facilities. Generally, a resident will qualify for Medicare reimbursement only if the resident's admission to the nursing home facility is immediately subsequent to the resident's three or more day stay at an acute care facility. Medicare reimbursement for nursing care is limited to a renewable 100-day period for each qualified resident. Medicare currently reimburses providers of nursing care through a Prospective Payment System that pays a per diem rate based on resident acuity. Actual payment rates are subject to change. The Medicare SNF prospective payment system uses a resource classification system known as Resource Utilization Groups Version 4 ("RUG-IV"), which assigns a patient to a RUG group to determine a daily payment rate. Each RUG group consists of case mix indexes that reflect a patient's severity of illness and the services that a patient requires in the SNF. In a July 30, 2015 final rule, CMS projected an increase in payment rates to SNFs by 1.2 percent for Fiscal Year 2017. The rule also established a new quality reporting system for SNFs, as called for in the Improving Medicare Post-Acute Care Transformation of 2014, and established a SNF "all-cause, all-condition readmission measure" to be used in a new SNF value-based purchasing program. CMS projected that the rule would boost SNF payments by \$430 million in Fiscal Year 2017. CMS also projected in a July 29, 2017 final rule that aggregate payments to SNFs will increase in FY 2017 by \$920 million, or 2.4 percent, from payments in FY 2017.

Other future legislation, regulation or actions by the federal government are expected to continue the trend toward more limitations on reimbursement for long term care services. At present, no determination can be made concerning whether or in what form such legislation could be introduced and enacted into law. Similarly, the impact of future cost control programs and future regulations upon the Obligated Group's financial performance cannot be determined at this time. The current congressional discussions regarding decreasing the federal budget in connection with raising the federal debt decision may result in lowering Medicare payments to providers such as the Obligated Group.

Medicare Reporting Requirements. Medicare regulations provide that all entities furnishing services for which payment may be made under Medicare are required to submit certain information to CMS. Persons who fail to submit the required information or who fail to report the information accurately and completely are subject to civil or criminal money penalties. As these requirements are numerous, technical and complex, there can be no assurance that the Obligated Group may not incur such penalties in the future. These penalties could have a material adverse effect on revenues of the Obligated Group and/or its ability to operate.

Government Health Program Regulations Governing Fraud and Abuse and Certain Referrals. Federal and state health care fraud and abuse laws generally regulate services furnished to beneficiaries of federal and state (including Medicare) and private health insurance plans, and they impose penalties for improper billing and other abuses. Under these laws, health care providers may be punished for billing for services that were not provided, not medically necessary, provided by an improper person, accompanied by an illegal inducement to use or not use another service or product, or billed in a manner that does not comply with applicable government requirements. Violations of these laws are punishable by a range of criminal, civil and administrative sanctions. If the Obligated Group violates one of the fraud and abuse laws, among other possible sanctions, federal or state authorities could recover amounts paid, exclude the Obligated Group from participation in the Medicare program, impose civil monetary penalties, and suspend Medicare payments. The federal government (and individuals acting on its behalf) have brought many investigations, prosecutions and civil enforcement actions under the fraud and abuse laws in recent years. In some cases, the scope of the fraud and abuse laws are so broad that they may result in liability for business transactions that are traditional or commonplace in the health care industry.

There is an increasingly expanding and complex body of state and federal law, regulation and policy relating to relationships between providers of health care services to patients and potential referral sources such as, but not limited to, physicians. The federal and state illegal remuneration statutes and anti-kick-back statutes applicable to Medicare and all federal and state health care programs ("Government Programs") prohibits the offer, payment, solicitation, or receipt of any remuneration, directly or indirectly, covertly or overtly, in cash or in kind, for (1) the referral of patients, or arranging for the referral of patients, for the provision of items or services for which payment may be made under the Government Programs; or (2) the purchase, lease or order, or arranging for the purchase, lease or order, of any good, facility, service or item for which payment may be made under the Government Programs. A violation of the illegal remuneration statute constitutes a felony criminal offense, and applicable sanctions include imprisonment of up to five years, fines up to \$25,000 and exclusion from the Medicare program.

In addition to potential liability under State law related to the submission of a false record or statement in order to secure reimbursement, the federal Civil False Claims Act ("Civil FCA") prohibits anyone from knowingly submitting a false, fictitious or fraudulent claim to the federal government. Violation of the Civil FCA can result in civil money penalties and fines, including treble damages. Private individuals may initiate actions on behalf of the federal government in lawsuits called qui tam actions. The plaintiffs, or "whistleblowers," can recover significant amounts from the damages awarded to the government. In several cases, Civil FCA violations have been alleged solely on the existence of alleged kickback arrangements or violations of Section 1877 of the Social Security Act (commonly known as the "Stark Law"), even in the absence of evidence that false claims had been submitted as a result of those arrangements. The Patient Protection and Affordable Care Act ("PPACA") creates Civil FCA liability for knowingly failing to report and return an overpayment within a specified time. The federal criminal False Claims Act ("Criminal FCA") prohibits the knowing and willful making of a false statement or misrepresentation of a material fact in submitting a claim to the government. Sanctions for violation of the Criminal FCA include imprisonment, fines, and exclusions.

The Civil Monetary Penalties Law in part authorizes the government to impose money penalties against individuals and entities committing a variety of acts. For example, penalties may be imposed for the knowing presentation of claims that are (i) incorrectly coded for payment, (ii) for services that are known to be medically unnecessary, (iii) for services furnished by an excluded party, or (iv) otherwise false. An entity that offers remuneration to an individual that the entity knows is likely to induce the individual to receive care from a particular provider may also be fined. Moreover, the Obligated Group may not knowingly make a payment, directly or indirectly, to a physician as an inducement to reduce or limit services to Medicare patients under the physician's direct care. The Health Reform Act amended the Civil Monetary Penalties Law to authorize civil monetary penalties for a number of additional activities, including (i) knowingly making or using a false record or statement material to a false or fraudulent claim for payment; (ii) failing to grant the Office of Inspector General timely access for audits, investigations or evaluations; and (iii) failing to report and return a known overpayment within statutory time limits. Violations of the Civil Monetary Penalties Law can result in substantial civil money penalties plus three times the amount claimed.

In addition to the anti-kickback and illegal remuneration statutes, the Stark Law imposes certain restrictions upon referring physicians and providers of certain designated health services, including long term care services, under the Medicare program. Subject to certain exceptions, the Federal Stark Law and similar State laws provide that if a physician (or a family member of a physician) has a financial relationship with an entity (i) the physician may not make a referral to the entity for the furnishing of designated health services reimbursable under the Federal healthcare programs, and (ii) the entity may not bill for designated health services furnished pursuant to a prohibited referral. Entities and physicians committing an act in violation of the Stark Law are subject to civil money penalties and exclusion from the Medicare program. Mandated by the Health Reform Act, the recently published Medicare self-referral disclosure protocol ("SRDP") is intended to allow providers to self-disclose actual or potential violations of the Stark Law. The Health Reform Act provides for discretion to reduce penalties for providers submitting an SRDP. As a result of the scarcity of case law interpreting the Stark Law, there can be no assurance that the Obligated Group will not be found in violation of the Stark Law or that self-disclosure of a potential violation would result in reduced penalties for the Obligated Group. The precise impact on the Obligated Group of any of the foregoing violations and corresponding sanctions cannot be predicted at this time, but would be negative if any such sanction is imposed.

Sanctions could be applied in many situations where skilled nursing facilities participate in joint ventures with entities that may be in a position to make referrals or to which skilled nursing facilities may be in a position to make referrals, enter into personal service and management contracts, enter into space and equipment rental agreements, waive co-payments and deductibles, etc. Such sanctions could result in a material adverse effect on the financial position of the Obligated Group, exclusion from government programs, loss of license or disciplinary action by licensing agencies, and/or substantial civil monetary penalties.

Management of the Obligated Group does not believe that it is involved in activities that pose a significant risk of sanctions under these referral laws. However, there can be no assurance that such challenge or investigation will not occur in the future.

Audits. Most health care providers are audited for compliance with the requirements for participation in the Medicare program. If audits discover alleged overpayments, the Obligated Group could be required to pay a substantial rebate of prior payments. The federal government contracts with Recovery Audit Programs (RACs) on a contingent fee basis, to audit the propriety of payments to Medicare providers. The Obligated Group has not received claims or been a party to settlement negotiations outside of the routine audit processes. Nevertheless, ultimate liability could exceed reserves, and any excess could be substantial. Medicare regulations also provide for withholding payment in certain circumstances, which could adversely affect the Obligated Group's cash flow.

Future Healthcare and Regulatory Risks

The Obligated Group is and will continue to be subject to certain governmental regulations. Participants in the healthcare industry are subject to significant regulatory requirements of federal, state and local governmental agencies and independent professional organizations and accrediting bodies, technological advances and changes in treatment modes, various competitive factors and changes in third party reimbursement programs. In addition, the operations of the healthcare industry have been subject to increasing scrutiny by federal, state and local governmental agencies. In response to perceived abuses and actual violations of the terms of existing federal, state

and local healthcare payment programs, such agencies have increased their audit and enforcement activities, and federal and state legislation has been considered or enacted, providing for civil and criminal penalties against certain activities.

Bills proposing to regulate or control, in some manner, health care costs and revenues and a number of proposals for a national health insurance program are regularly submitted to Congress. There are wide variations among these proposals and the effect on the health care industry and the Obligated Group cannot be determined. There can be no assurance that the implementation of any such bill or proposal or any future bill or proposal, or the implementation by the federal or state administrative bodies of cost containment or revenue control programs, would not adversely affect the revenues of the Communities, and thus the revenues of the Obligated Group.

In the environment of increasing managed care, the Obligated Group can expect additional challenges in maintaining its resident population and attendant revenues. Third-party payors, such as health maintenance organizations, direct their subscribers to providers who have agreed to accept discounted rates or reduced per diem charges. Continuing care retirement communities are less sensitive to this directed utilization than stand-alone skilled nursing facilities; however, the risk may increase and the Obligated Group may be required to accept residents under such conditions should managed care cost reduction measures now pervasive in the health care industry continue to grow.

The Obligor currently receives a substantial part of its total reimbursement for its skilled nursing services from Medicaid, the federal state initiative focused on care for low income individuals. Expenditures under Medicaid have increased in recent years, in large part as a result of the Affordable Care Act, commonly referred to as Obamacare. The American Healthcare Act, recently passed by the House of Representatives, would substantially change and decrease federal support for Medicaid expansion. This bill is not law, and it is not clear what, if any, change to the Affordable Care Act's Medicaid expansion will remain in the future. Any substantial changes to Medicaid eligibility or insurability provisions, particularly in regards to skilled nursing facility reimbursement, could adversely affect revenue of the Obligated Group.

Other Federal Tax Matters

Possible Changes in Corporation's Tax Status. The possible modification or repeal of certain existing federal income or state tax laws or other loss by the Obligor of the present advantages of certain provisions of the federal income or state tax laws could materially and adversely affect the status of the Obligor and thereby the revenues of the Obligor. The Obligor has obtained a determination letter from the Internal Revenue Service to the effect that the Obligor is exempt from federal income taxation under Section 501(a) of the Code by virtue of being an organization described in Section 501(c)(3) of the Code. The Financial Feasibility Study includes an assumption that the Obligor will continue to be treated as an organization described in Section 501(c)(3) of the Code. As an exempt organization, the Obligor is subject to a number of requirements affecting its operation. The failure of the Obligor to remain qualified as an exempt organization would affect the funds available to the Obligor for payments to be made under the Loan Agreement. Failure of the Obligor or the Issuer to comply with certain requirements of the Code, or adoption of amendments to the Code to restrict the use of tax-exempt bonds for facilities such as those being financed with Series 2017 Bond proceeds, could cause interest on the Series 2018A Bonds to be included in the gross income of Bondholders or former Bondholders for federal income tax purposes.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of charitable organizations. There can be, however, no assurance that future changes in the laws and regulations of the federal, state or local governments will not materially and adversely affect the operations and revenues of the Obligor by requiring it to pay income taxes.

Intermediate Sanctions. Section 4958 of the Code, provides the IRS with an "intermediate" tax enforcement tool to combat violations by tax-exempt organizations of the private inurement prohibition of the Code. Previous to the "intermediate sanctions law," the IRS could punish such violations only through revocation of an entity's tax-exempt status. Intermediate sanctions may be imposed where there is an "excess benefit transaction," defined to include a disqualified person (i.e., a director, officer or other related party) (1) engaging in a non-fair market value transaction with the tax-exempt organization; (2) receiving excessive compensation from the tax-exempt organization; or (3) receiving payment in an arrangement that violates the private inurement proscription. A

disqualified person who benefits from an excess benefit transaction will be subject to a “first tier” penalty excise tax equal to 25% of the amount of the excess benefit. Organization managers who participate in an excess benefit transaction knowing it to be improper are subject to a first-tier penalty excise tax of 10% of the amount of the excess benefit, subject to a maximum penalty of \$10,000. A “second tier” penalty excise tax of 200% of the amount of the excess benefit may be imposed on the disqualified person (but not the organization manager) if the excess benefit transaction is not corrected in a specified time period.

Bond Audit. IRS officials have stated that more resources will be allocated to audits of tax-exempt bonds in the charitable organization sector. The Series 2018A Bonds may be subject to audit, from time to time, by the IRS. The Obligor believes that the Series 2018A Bonds properly comply with applicable tax laws and regulations. In addition, Bond Counsel will render an opinion with respect to the tax-exempt status of the Series 2018A Bonds, as described under the heading “TAX MATTERS.” No ruling with respect to the tax-exempt status of the Series 2018A Bonds has been or will be sought from the IRS, however, and opinions of counsel are not binding on the IRS or the courts, and are not guarantees. There can be no assurance, therefore, that an audit of the Series 2018A Bonds will not adversely affect the Series 2018A Bonds.

Tax-Exempt Status of the Series 2018A Bonds. It is expected that the Series 2018A Bonds will qualify as tax-exempt obligations for federal income tax purposes as of the date of issuance. See “TAX MATTERS.” Bond Counsel is delivering its opinion with respect to certain aspects of the tax status of the Series 2018A Bonds, the form of which is attached to this Official Statement as Appendix E and should be read in its entirety for a complete understanding of the scope of the opinion and the conclusions expressed. A legal opinion is only the expression of professional judgment and does not constitute a guaranty with respect to the matters covered. In addition, the opinion of Bond Counsel speaks only as to its date, and Bond Counsel does not undertake to advise bondholders about subsequent developments.

The tax status of the Series 2018A Bonds could be affected by post-issuance events. Various requirements of the Code must be observed or satisfied after the issuance of the Series 2018A Bonds in order for such interest to remain excludable from gross income of the holders thereof. These requirements include restrictions on the use of the proceeds of the Series 2018A Bonds, ownership, use and operation of the facilities financed by the Series 2018A Bonds, investment of proceeds of the Series 2018A Bonds, the rebate of so-called excess arbitrage earnings, the continuing qualification of the Members of the Obligated Group as 501(c)(3) organizations under the Code, and restrictions on the amount of issuance costs financed with the proceeds of the Series 2018A Bonds. See “TAX MATTERS.” Compliance with these requirements is the responsibility of the Obligated Group. Failure to comply could result in the inclusion of interest on the Series 2018A Bonds in gross income retroactive to the date of issuance of the Series 2018A Bonds.

In addition to post-issuance compliance, a change in law after the date of issuance of the Series 2018A Bonds could affect the tax-exempt status of the Series 2018A Bonds or the economic benefit of investing in the Series 2018A Bonds. For example, Congress could eliminate the exemption for interest on the Series 2018A Bonds, or it could cap the tax rate of beneficial owners of the Series 2018A Bonds who could treat such interest as tax-exempt, or it could reduce or eliminate the federal income tax, or it could adopt a so-called “flat tax.”

The Bond Indenture provides for mandatory redemption of the Series 2018A Bonds and payment of additional interest or penalty if a determination is made that the interest on the Series 2018A Bonds is not tax-exempt. There can be no assurance that the Obligated Group would have the resources to redeem the Series 2018A Bonds in such an event. See Appendix D - COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS hereto.

Purchasers of the Series 2018A Bonds should consult their tax advisors regarding any pending or proposed legislation, regulatory initiatives or litigation. The disclosures and opinions expressed herein are based upon existing legislation and regulations as interpreted by relevant judicial and regulatory authorities as of the date of issuance and delivery of the Series 2018A Bonds, and no opinion is expressed as of any date subsequent thereto or with respect to any proposed or pending legislation, regulatory initiatives or litigation. Tax legislation, administrative actions taken by tax authorities and court decisions, whether at the federal or state level, may adversely affect the tax-exempt status of interest on the Series 2018A Bonds under federal or state law and could affect the market price for, or the marketability of, the Series 2018A Bonds.

IRS Examination of Compensation Practices. In August 2004, the IRS announced a new enforcement effort to identify and halt abuses by tax-exempt organizations that pay excessive compensation and benefits to their officers and other insiders. The IRS announced that it would contact nearly 2,000 charities and foundations to seek more information about their compensation practices and procedures. In February 2009, the IRS issued its Hospital Compliance Project Final Report (the "IRS Final Report") based on its examination of such tax-exempt organizations. The IRS Final Report indicates that the IRS (i) will continue to heavily scrutinize executive compensation arrangements, practices and procedures and (ii) in certain circumstances, may conduct further investigations or impose fines on tax-exempt organizations.

Revision of IRS Form 990 for Tax-Exempt Organization. The IRS Form 990 is used by most 501(c)(3) not-for-profit organizations exempt from federal income taxation to submit information required by the federal government. On December 20, 2007, the IRS released a revised Form 990 that requires detailed public disclosure of compensation practices, corporate governance, loans to management and others, joint ventures and other types of transactions, political campaign activities, and other areas the IRS deems to be compliance risk areas. The revised form also requires the disclosure of a significantly greater amount of information on community benefit and establishes uniform standards for reporting of information relating to tax-exempt bonds, including compliance with the arbitrage rules and rules limiting private use of bond-financed facilities, including compliance with the safe harbor guidance in connection with management contracts and research contracts. The redesigned Form 990 is intended to result in enhanced transparency as to the operations of exempt organizations. It is also likely to result in enhanced enforcement, as the redesigned Form 990 will make detailed information on compliance risk areas available to the IRS and other stakeholders.

Other Tax Status Issues. The IRS has also issued Revenue Rulings dealing specifically with the manner in which a facility providing residential services to the elderly must operate in order to maintain its exemption under Section 501(c)(3). Revenue Rulings 61-72 and 72-124 hold that, if otherwise qualified, a facility providing residential services to the elderly is exempt under Section 501(c)(3) if the organization (1) is dedicated to providing, and in fact provides or otherwise makes available services for, care and housing to aged individuals who otherwise would be unable to provide for themselves without hardship, (2) to the extent of its financial ability, renders services to all or a reasonable proportion of its residents at substantially below actual cost, and (3) renders services that minister to the needs of the elderly and relieve hardship or distress. Revenue Ruling 79-18 holds that a facility providing residential services to the elderly may admit only those tenants who are able to pay full rental charges, provided that those charges are set at a level that is within the financial reach of a significant segment of the Project's elderly persons, and that the organization is committed by established policy to maintaining persons as residents, even if they become unable to pay the monthly charges after being admitted to the facility.

Possible Changes in Laws Regarding Tax-Exempt Bonds. Additionally, as the pressure to reduce the federal deficit and balance the federal budget increases, limiting or even eliminating the general exclusion of state and local bond interest has been discussed as one way to raise additional revenue for the federal government. Any such limitation or elimination, if retroactive, would result in some or all of the interest on the Series 2018A Bonds being included in gross income of owners of the Series 2018A Bonds for federal income tax purposes and could adversely affect the market value of the Series 2018A Bonds. Any such limitation or elimination could also increase the future borrowing costs of the Obligor.

Other Legislation. Section 7872 of the Code (Treatment of Loans with Below Market Interest Rates), provides for, in certain circumstances, the imputation of interest income to a lender when the rate of interest charged by the lender is below prevailing market rates (as determined under a formula) or, even if the below market interest rate loan would otherwise be exempt from the provisions of Section 7872, when one of the principal purposes for such below market rate loan is the avoidance of federal income taxation.

A refundable entrance fee payment made by a resident to certain continuing care facilities has been determined under Section 7872 to constitute a below market interest rate loan by the resident to the facility to the extent that the resident is not receiving a market rate of interest on the refundable portion of the entrance fee. Section 7872(h) provides a "safe harbor" exemption for certain types of refundable entrance fees. The statutory language of Section 7872 does not permit a conclusive determination as to whether the Residence and Care Agreements come within the scope of the continuing care facility safe harbor or within the statute itself.

Provided the Residence and Care Agreement falls within the scope of Section 7872, the safe harbor exemption under Section 7872(h) is applicable (i) if such loan was made pursuant to a continuing care contract, (ii) if the resident (or the resident's spouse) has attained age 62 before the close of the year and (iii) irrespective of the amount of the "loan" by the resident (or the resident's spouse) to the continuing care facility. Section 425 of the Tax Relief and Health Care Act of 2006 amended Section 7872(h) to make the exemption for loans to qualifying care facilities permanent.

Any determination of applicability of Section 7872 could have the effect of discouraging potential residents from becoming or remaining residents of the Project.

In recent years, the IRS and members of Congress have expressed concern about the need for more restrictive rules governing the tax-exempt status of 501(c)(3) organizations generally and of retirement communities in particular. Legislation has been previously introduced restricting the ability of such organizations to utilize tax-exempt bonds unless they maintain a required percentage of low to moderate income residents. Although the Obligor has covenanted in the Loan Agreement to take all appropriate measures to maintain its tax-exempt status, compliance with current and future regulations and rulings of the IRS could adversely affect the ability of the Obligor to charge and collect revenues at the level required by the Loan Agreement, finance or refinance indebtedness on a tax-exempt basis or otherwise generate revenues necessary to provide for payment of the Series 2018A Bonds.

Uncertainty of Investment Income

The investment earnings of, and accumulations in, certain funds established pursuant to the Bond Indenture have been estimated and are based on assumed interest rates as indicated. While these assumptions are believed to be reasonable in view of the rates of return presently and previously available on the types of securities in which the Bond Trustee and the Master Trustee are permitted to invest under the Bond Indenture and the Master Indenture, respectively, there can be no assurance that similar interest rates will be available on such securities in the future, nor can there be any assurance that the estimated funds will actually be realized. Guaranteed investment contracts may be entered into with respect to certain of the funds held under the Bond Indenture and the Master Indenture. See "ESTIMATED SOURCES AND USES OF FUNDS."

A portion of the Obligor's revenues available to pay debt services is expected to come from investment income and net realized gains on the investment of available funds. The amount of such interest earnings and gains will fluctuate with changes in prevailing interest rates and financial market conditions.

Financial Forecast

The Obligor's financial forecast contained in the Financial Feasibility Study attached hereto as Appendix C is based upon assumptions made by management of the Obligor. As stated in such financial forecast, events and circumstances frequently do not occur as expected, and there will usually be differences between the forecasted and actual results, and those differences may be material. In addition, the financial forecast only covers the five years ending June 30, 2023, and consequently does not cover the entire period during which the Series 2018A Bonds may be outstanding. See the Financial Feasibility Study included herein as Appendix C, which should be read in its entirety.

BECAUSE THERE IS NO ASSURANCE THAT ACTUAL EVENTS WILL CORRESPOND WITH THE ASSUMPTIONS MADE, NO GUARANTY CAN BE MADE THAT THE FINANCIAL FORECAST IN THE FINANCIAL FEASIBILITY STUDY WILL CORRESPOND WITH THE RESULTS ACTUALLY ACHIEVED IN THE FUTURE. ACTUAL OPERATING RESULTS MAY BE AFFECTED BY MANY UNCONTROLLABLE FACTORS, INCLUDING BUT NOT LIMITED TO INCREASED COSTS, FAILURE BY MANAGEMENT OF THE OBLIGOR TO EXECUTE ITS PLANS, LOWER THAN ANTICIPATED REVENUES, EMPLOYEE REGULATIONS, TAXES, GOVERNMENTAL CONTROLS, CHANGES IN APPLICABLE GOVERNMENTAL REGULATION, CHANGES IN DEMOGRAPHIC TRENDS, CHANGES IN THE RETIREMENT LIVING AND HEALTH CARE INDUSTRIES AND GENERAL ECONOMIC CONDITIONS.

Market for Series 2018A Bonds; Absence of Rating

The Series 2018A Bonds have not received any credit rating by any recognized rating agency. The absence of any such rating could adversely affect the ability of holders to sell the Series 2018A Bonds or the price at which the Series 2018A Bonds can be sold. It is the present practice of the Underwriter to make a secondary market in the bond issues it offers. Occasionally, because of general market conditions or because of adverse history or economic prospects connected with a particular bond issue, these secondary marketing practices in connection with a particular bond issue are suspended or terminated. In addition, prices of issues for which a market is being made will depend upon then-prevailing circumstances. Such prices could be substantially lower than the original purchase price. While there can be no guarantee or assurance that the Underwriter will always continue its present secondary marketing practices, the Underwriter presently intends to make a secondary market in the Series 2018A Bonds, subject to the foregoing limitations. Nevertheless, there can be no guarantee that there will be a secondary market for the Series 2018A Bonds or, if a secondary market exists, that the Series 2018A Bonds can be sold for any particular price. Any prospective purchaser of Beneficial Ownership Interests in the Series 2018A Bonds should therefore undertake an independent investigation through its own advisors regarding the desirability and practicality of the investment in the Series 2018A Bonds. Any prospective purchaser should be fully aware of the long-term nature of an investment in the Series 2018A Bonds and should assume that it will have to bear the economic risk of its investment indefinitely. Any prospective purchaser of the Series 2018A Bonds that does not intend or that is not able to hold the Series 2018A Bonds for a substantial period of time is advised against investing in the Series 2018A Bonds.

Other Possible Risk Factors

The occurrence of any of the following events, or other unanticipated events, could adversely affect the operations of the Obligor:

1. Reinstatement or establishment of mandatory governmental wage, rent or price controls;
2. Inability to control increases in operating costs, including salaries, wages and fringe benefits, supplies and other expenses, given an inability to obtain corresponding increases in revenues from residents whose incomes will largely be fixed;
3. Unionization, employee strikes and other adverse labor actions which could result in a substantial increase in expenditures without a corresponding increase in revenues;
4. Adoption of other federal, state or local legislation or regulations having an adverse effect on the future operating or financial performance of the Obligor;
5. The cost and availability of energy and utilities;
6. Increased unemployment or other adverse economic conditions in the service areas of the Obligor which would increase the proportion of patients who are unable to pay fully for the cost of their care;
7. Any increase in the quantity of indigent care provided which is mandated by law or required due to increased needs of the Community in order to maintain the charitable status of the Obligor;
8. Inflation or other adverse economic conditions;
9. Additional changes in tax, pension, social security or other laws and regulations affecting the provisions of health care and other services to the elderly;
10. Inability to control the diminution of patients' assets or insurance coverage with the result that the patients' charges are reimbursed from government reimbursement programs rather than private payments;

11. The occurrence of natural disasters, including hurricanes, volcanic eruptions and typhoons, floods or earthquakes, which may damage the facilities of the Obligor, interrupt utility service to the facilities, or otherwise impair the operation and generation of revenues from said facilities;

12. Cost and availability of any insurance, such as malpractice, fire, automobile and general comprehensive liability, that organizations such as the Obligor generally carry;

13. A decline in the population, a change in the age composition of the population or a decline in the economic conditions of the Community's market area; or

14. Scientific and technological advances that could reduce demand for services offered by the Obligor and any future members of the Obligated Group.

FINANCIAL REPORTING AND CONTINUING DISCLOSURE

Financial Reporting

The Master Indenture requires that the Obligor in its capacity as Obligated Group Representative provide to each Required Information Recipient (as defined in Appendix D hereto) the following:

(i) A monthly statement of the Obligated Group as soon as practicable after the information is available but in no event more than 45 days after the completion of such month, including:

(A) Prior to the issuance of a certificate of occupancy for the first building containing Project Independent Living Units, (1) a calculation of the marketing levels for the Project Independent Living Units as of the end of such month, including the number of Project Independent Living Units that have been sold or cancelled during that month and on an aggregate basis; (2) a copy of the report prepared by the Construction Monitor; (3) a report by the Obligated Group Representative on the progress of the construction, showing the dollar amount and percentage of completion for each stage of construction of the Project, comparing such amounts to the amounts estimated in the schedule of values and the construction progress schedule delivered at closing, estimating the amount of funds required to complete the Project, and certifying that the amount available in the Construction Fund, together with anticipated investment earnings, will be sufficient to pay the costs of completing the Project; (4) unaudited financial reports on the development costs of the Project incurred during that month and on an aggregate basis showing a comparison to the development budget; (5) statements of the balances for each fund and account required to be established under the Master Indenture or under any Related Bond Indenture as of the end of such month (obtained from the applicable trustee), all in reasonable detail and certified by an officer of the Obligated Group Representative; and (6) if such month is the last month of the fiscal quarter, a calculation of compliance with Cumulative Cash Flow Covenant and a calculation of the Days' Cash on Hand, for such fiscal quarter, if required to be calculated under the Master Indenture, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligated Group Representative. Such report shall also include a calculation of the Debt Service Coverage Ratio for reporting purposes only; and

(B) After the issuance of a certificate of occupancy for the first building containing Project Independent Living Units, (1) a calculation of the marketing levels for the Project Independent Living Units as of the end of such month, including the number of Project Independent Living Units that have been sold or cancelled during that month and on an aggregate basis; (2) occupancy levels of the Project as of the end of such month including the number of Independent Living Units that were occupied and vacated during that month and on an aggregate basis; (3) a summary statement on the status of construction until the issuance of the last certificate of occupancy for the Project; (4) unaudited financial reports on the development costs incurred during that month and on an aggregate basis until the issuance of the last certificate of occupancy for the Project; (5) an unaudited statement of revenues and expenses and statement of

cash flows of the Obligated Group for such month and an unaudited balance sheet of the Obligated Group as of the end of such month, showing a comparison to the current Annual Budget; (6) statements of the balances for each fund and account required to be established under the Master Indenture or under any Related Bond Indenture as of the end of such month (obtained from the applicable trustee), all in reasonable detail and certified by an officer of the Obligated Group Representative; and (7) a calculation of compliance with the Marketing Requirements and the Occupancy Requirements, and a calculation of the Cumulative Cash Flow and the Days' Cash on Hand for such fiscal quarter, if required to be calculated under the Master Indenture, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligated Group Representative. Such report shall also include a calculation of the Debt Service Coverage Ratio for reporting purposes only; and

(C) The Obligated Group Representative does not need to deliver any monthly statement of the Obligated Group described in this subsection (i) after Stable Occupancy;

(ii) (A) quarterly unaudited financial statements of the Obligated Group as soon as practicable after they are available but in no event more than 45 days after the completion of such fiscal quarter, including (1) a combined or combining statement of operations and changes in net assets (deficit) and statement of cash flows of the Obligated Group during such period, a combined or combining balance sheet as of the end of each such fiscal quarter, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligated Group Representative, (2) a statement of Initial Entrance Fees received during such fiscal quarter, and (3) a statement of the Obligor's payor mix during such fiscal quarter. Such financial statements and calculations shall be accompanied by a comparison to the Annual Budget required pursuant to this section; and (B) if the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year is less than 1.20 and the Days' Cash on Hand of the Obligated Group is less than the Liquidity Requirement for any Testing Date as provided in the Master Indenture, the Obligated Group will deliver the financial information and the calculations described in paragraph (A) above on a monthly basis within 45 days of the end of each month until the Debt Service Coverage Ratio of the Obligated Group is at least 1.20 and the Days' Cash on Hand of the Obligated Group is at least equal to the applicable Liquidity Requirement;

(B) On or before the date of delivery of the financial reports referred to in subsection (ii) above, a management's discussion and analysis of results for the applicable fiscal period, together with an Officer's Certificate of the Obligated Group Representative (A) stating that the Obligated Group is in compliance with all of the terms, provisions and conditions of the Master Indenture or, if not, specifying all such defaults and the nature thereof, (B) calculating and certifying compliance with the Days' Cash on Hand, if required to be calculated for such Fiscal Quarter by the Master Indenture, as of the end of such Fiscal Quarter, and calculating and certifying the Debt Service Coverage Ratio for such fiscal quarter, subject to year-end adjustment, and attaching (I) information about occupancy levels of the Community as of the end of such Fiscal Quarter, including the number of Independent Living Units, assisted living units and skilled nursing beds occupied and vacated during such Fiscal Quarter on an aggregate basis and the affordable housing units occupied and vacated during such Fiscal Quarter, (II) the sources of revenue for the skilled nursing beds, (III) the turnover statistics with respect to the Independent Living Units, (IV) changes in any services offered to the residents of the Project, (V) stating that the Community is in compliance with all State of Maryland statutes and regulations, (VI) the rating from the Center for Medicare and Medicaid Services relating to the Five Star Quality Rating System, and (VII) if Master Obligations have been issued in connection with any construction project, reports with respect to the progress of construction of such project.;

(iii) (A) Within 150 days of the end of each Fiscal Year, an annual audited financial report of the Obligated Group prepared by an Accountant, including (1) a combined and combining balance sheet as of the end of such Fiscal Year and a combined and combining statement of cash flows and changes in net assets (deficit) for such Fiscal Year (together with any required supplemental information) and (2) a statement of Initial Entrance Fees received during such Fiscal Year, showing in each case in comparative form the financial figures for the preceding Fiscal Year, together with a separate written statement of the Accountant preparing such report (or another Accountant) containing calculations of the Obligated Group's

Debt Service Coverage Ratio for said Fiscal Year and the Days' Cash on Hand of the Obligated Group at the end of such Fiscal Year, and a statement that such Accountant has no knowledge of any default under the Master Indenture insofar as it relates to accounting matters or to the Obligated Group's financial covenants, or if such Accountant shall have obtained knowledge of any such default or defaults, it shall disclose in such statement the default or defaults and the nature thereof (but such Accountant shall not be liable directly or indirectly to anyone for failure to obtain knowledge of any such default). Such financial statements and calculations shall be accompanied by a comparison to the Annual Budget;

(B) On or before the date of delivery of the annual financial reports referred to in subsection (iii) above, a management's discussion and analysis of results for the applicable fiscal period, together with an Officer's Certificate of the Obligated Group (A) stating that the Obligated Group is in compliance with all of the terms, provisions and conditions of the Master Indenture or, if not, specifying all such defaults and the nature thereof and (B) attaching (1) information about the fee structure for and the occupancy of the units of the Independent Living Units, assisted living units and nursing beds and the affordable housing component of the Community, including a comparison to the prior year's occupancy, (2) sources of revenue for the skilled nursing beds, (3) turnover statistics with respect to Independent Living Units, (4) changes in services offered at the Community, (5) a statement of the Obligor's payor mix during such Fiscal Year and (6) stating that the Community is in compliance with State of Maryland regulations and statutes.

(C) Copies of (A) any board approved revisions to the summary of the Annual Budget or (B) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of any Obligated Group Member as a Tax-Exempt Organization or with respect to the tax-exempt status of the Series 2018A Bonds, promptly upon receipt.

(D) Subject to industry standards relating to the financing of facilities similar to the Community, the Obligated Group shall use its best efforts to make available one or more representatives for a quarterly telephone conference call if the Related Bonds are not then rated by a Rating Agency and semiannual telephone conference call if the Related Bonds are then rated by a Rating Agency (or more frequently if requested by the holders of a majority of the Related Bonds) with the holders of the Related Bonds and the Master Trustee to discuss the financial results of the preceding quarter and such other matters as are relevant or are reasonably requested by the holders of the Related Bonds and the Master Trustee. The Obligated Group shall post notice of such calls to EMMA at least two weeks prior to the scheduled date of each call, but shall provide such notice to the Master Trustee.

(E) In a timely manner not in excess of 90 days after incurrence, details regarding Additional Indebtedness incurred by the Obligated Group, including the terms of the borrowing and ongoing compliance with the documents executed in connection with such borrowing.

(F) In a timely manner not in excess of 90 days after the incurrence by the Obligated Group of any Indebtedness (other than a draw under the Series 2018B Bond) a chart that shows the annual debt service requirements for all Indebtedness of the Obligated Group then Outstanding.

(G) To the extent not filed pursuant to subsection (F) above, in a timely manner not in excess of 90 days after the incurrence by the Obligated Group or any Long-Term Indebtedness (other than a draw under the Series 2018B Bond) a chart showing the annual debt service requirements for such Long-Term Indebtedness.

(H) No later than 30 days after the last day of each Fiscal Year, the Obligated Group Representative will prepare the Annual Budget (consisting of a statement of income and expenses) for the following Fiscal Year. If the Obligated Group Representative fails to prepare the Annual Budget for any Fiscal Year, the Annual Budget for the preceding Fiscal Year will continue until the Annual Budget is prepared for the remainder of the applicable Fiscal Year. The Annual Budget shall be provided to each Required Information Recipient no later than 30 days after the start of each Fiscal Year, and any

amendment to the Annual Budget shall be provided to each Required Information Recipient within 30 days after its completion.

(I) In a timely manner and no later than 10 business days after the occurrence of any Event as defined in the Continuing Disclosure Certificate, the Obligated Group Representative will disseminate or cause to be disseminated to EMMA, notice of the occurrence of such Event.

(J) Upon any failure of the Obligor to provide annual financial information pursuant to subsection (iii) above or any Operating Data by the date required by this Master Indenture or the Continuing Disclosure Certificate, the Obligor will disseminate or cause to be disseminated to EMMA, notice of the occurrence of such failure.

(K) No later than 10 business days after the occurrence of any draw on the Obligor's statutorily mandated operating reserve fund, the Obligor will disseminate or cause to be disseminated to EMMA, notice of the occurrence of such draw.

Continuing Disclosure

The Obligor will enter into a Continuing Disclosure Certificate, pursuant to which the Obligor will covenant that, in compliance with Rule 15c2-12(b)(5) (the "Rule") of the Securities Exchange Act of 1934, it will deliver to EMMA certain reports described therein. The form of the Continuing Disclosure Certificate is included as Appendix F hereto.

LITIGATION

The Issuer

There is not now pending or, to the Issuer's knowledge, threatened any litigation restraining or enjoining the issuance or delivery of the Series 2018A Bonds or the execution and delivery by the Issuer of the Bond Indenture or the Loan Agreement or questioning or affecting the validity of the Series 2018A Bonds or the security therefor or the proceedings of the County under which they are to be issued.

The Obligor

There is no litigation pending or, to the Obligor's knowledge, threatened against the Obligor, wherein an unfavorable decision would (i) adversely affect the ability of the Obligor to make the Improvements or to operate its facilities or to carry out its obligations under the Master Indenture, the Loan Agreement or the Deed of Trust or (ii) have a material adverse impact on the financial position or results of operations of the Obligor.

FINANCIAL STATEMENTS

The Obligor is the surviving entity in a merger of Friends House, a District of Columbia corporation, into Friends House Nursing Home, Inc., a Maryland corporation. The merger was completed on September 22, 2017. The Obligor and both legacy entities have a fiscal year ending June 30. The audited Financial Statements of both legacy entities as of and for the fiscal years ended June 30, 2016 and June 30, 2017, which have been audited by CliftonLarsonAllen LLP, independent auditors, are attached hereto as Appendix B. No consolidated, audited financial statements have yet been prepared for the Obligor. Unaudited interim financial statements for the Obligor for the period ending May 31, 2018 are included in Appendix A.

LEGAL MATTERS

Certain legal matters incident to the authorization and issuance of the Series 2018A Bonds by the Issuer are subject to the approving opinion of Venable LLP, Bond Counsel. The proposed form of such opinion is included herein as Appendix E. The Bond Counsel opinion will be limited to matters relating to the authorization and validity of the Series 2018A Bonds and to the tax-exempt status of interest on the Series 2018A Bonds as described

in “TAX MATTERS” and will make no statement as to the financial resources of the Obligor or its ability to provide for payment of the Series 2018A Bonds.

Certain legal matters will be passed upon for the Obligor by its counsel, Whiteford, Taylor & Preston L.L.P.; and for the Underwriter by its counsel, Miles & Stockbridge P.C.

The various legal opinions to be delivered concurrently with the delivery of the Series 2018A Bonds express the professional judgment of the attorneys rendering the opinions as to the legal issues explicitly addressed therein. In rendering a legal opinion, the attorney does not become an insurer or guarantor of the expression of professional judgment of the transaction opined upon or of the future performance of the parties to the transaction, nor does the rendering of an opinion guarantee the outcome of any legal dispute that may arise out of the transaction.

TAX MATTERS

Federal Tax Matters

In the opinion of Venable LLP, Bond Counsel, under existing law and assuming continuous compliance with certain tax covenants described herein, (i) the interest on the 2018A Bonds is excludable from gross income for Federal income tax purposes, and (ii) the interest on the 2018A Bonds is not an enumerated item of tax preference or adjustment for purposes of the Federal alternative minimum tax imposed on individuals and corporations; however, such interest will be taken into account in determining adjusted current earnings for the purpose of computing the Federal alternative minimum tax imposed on certain corporations (as defined for federal income tax purposes) for tax years beginning before January 1, 2018. The alternative minimum tax for corporations is repealed for taxable years beginning after December 31, 2017.

Under the provisions of the Internal Revenue Code of 1986, as amended (the “Code”), there are certain requirements that must be met subsequent to the issuance of the 2018A Bonds in order for the interest on the 2018A Bonds to remain excludable from gross income for Federal income tax purposes, including restrictions that must be complied with throughout the term of the 2018A Bonds. The Issuer and the Borrower have made certain covenants and agreements regarding actions required to maintain the excludability of interest on the 2018A Bonds from gross income for Federal income tax purposes. The opinion of Bond Counsel assumes continuing compliance with such covenants and agreements of the Issuer and the Borrower and, in addition, will rely on (i) representations by the Issuer and the Borrower with respect to matters solely within the knowledge of the Issuer and the Borrower and (ii) the opinion of Whiteford, Taylor & Preston L.L.P., counsel to the Borrower, with regard to, among other things, the tax-exempt status of the Borrower. Bond Counsel has not independently verified, and will not monitor compliance with, the covenants, agreements and representations of the Issuer and the Borrower. In the event of noncompliance with such covenants, agreements and representations, the available enforcement remedies may be limited by applicable provisions of law and, therefore, may not be adequate to prevent interest on the 2018A Bonds from becoming includible in gross income for Federal income tax purposes from the date of delivery of the 2018A Bonds, regardless of the date on which the event causing such taxability occurs. The provisions of the Code include several restrictions that must be met simultaneously with or subsequent to the delivery or issuance of the 2018A Bonds, some of which must be complied with throughout the term of the 2018A Bonds, in order for the interest on the 2018A Bonds to be and remain excludable from gross income for Federal income tax purposes. Such restrictions include, among other things, that each Member of the Obligated Group maintains its status as an organization described in Section 501(c)(3) of the Code, restrictions on the use, expenditure and investment of the proceeds of the 2018A Bonds and the use of the property financed or refinanced by the 2018A Bonds, limitations on the source of the payment of and the security for the 2018A Bonds, and the requirement to make periodic rebate payments to the United States of specified portions of arbitrage profit, if any, derived from investments of the gross proceeds of the 2018A Bonds.

Interest on the 2018A Bonds may also be included with the “dividend equivalent amount” for purposes of determining the branch profits tax imposed by the Code on certain foreign corporations conducting a trade or business in the United States. Other Federal income tax consequences may arise from ownership of the 2018A Bonds, and in connection therewith, attention is directed to the following provisions of the Code: (a) Section 265 of the Code denies a deduction for interest on indebtedness incurred or continued to purchase or carry the 2018A Bonds or, in the case of a financial institution, that portion of a holder’s interest expense allocated to interest on the

2018A Bonds, (b) with respect to insurance companies subject to the tax imposed by Section 831 of the Code, Section 832(b)(5)(B)(i) reduces the deduction for loss reserves by 15 percent of the sum of certain items, including interest on the 2018A Bonds, (c) Section 86 of the Code requires recipients of certain Social Security and certain Railroad Retirement benefits to take into account, in determining gross income, receipts or accruals of interest on obligations such as the 2018A Bonds, and (d) for S corporations having subchapter C earnings and profits, the receipt of certain amounts of passive investment income, which includes interest on the 2018A Bonds, may result in the imposition of income tax on such passive investment income and, in some cases, loss of S corporation status.

The initial public offering price of some of the 2018A Bonds may be less than the amount payable on those 2018A Bonds at maturity. The excess, if any, of the amount payable at maturity of a Bond over the initial public offering price at which a substantial amount of the same maturity of the 2018A Bonds was sold constitutes original issue discount for Federal income tax purposes (“OID”). The full amount of OID will accrue over the term of the Bond in accordance with a constant yield method (using semi-annual compounding) which allocates smaller portions of OID to earlier semi-annual compounding periods and larger portions of OID to later semi-annual compounding periods. In the case of an original or a subsequent holder of a Bond, the amount of OID which is treated as having accrued with respect to the Bond during the period that the holder has held it (a) is not included in the gross income of the holder for Federal income tax purposes, and (b) is included in the cost basis of the holder in determining, for Federal income tax purposes, gain or loss upon its disposition (including its sale, redemption or payment at maturity). Holders of 2018A Bonds should consult their tax advisors with respect to the determination, for Federal income tax purposes, of OID accrued upon the sale, redemption or payment at maturity of the 2018A Bonds.

A Bond (a “Premium Bond”) will be considered to have been issued at a premium if, and to the extent that, the holder’s tax basis in the Bond exceeds the amount payable at maturity. The amount of amortizable bond premium for a taxable year is determined actuarially on a constant interest rate basis over the term of each of the Premium 2018A Bonds. The holder of such a Premium Bond will be required to reduce its tax basis in the Premium Bond for purposes of determining gain or loss upon the sale or other disposition of the Premium Bond by the amount of amortizable bond premium that accrues during the period of ownership. The amortization of bond premium may be taken into account as a reduction in the amount of tax-exempt income from a Premium Bond for determining various other tax consequences of owning the Premium Bond. No deduction (or other tax benefit) is allowable in respect of any amount of amortizable bond premium on the Premium 2018A Bonds. Holders of Premium 2018A Bonds should consult their tax advisors with respect to the determination and treatment of bond premium for Federal income tax purposes.

Prospective purchasers of the 2018A Bonds should consider possible state and local, excise, or franchise tax consequences arising from OID on such 2018A Bonds. In addition, prospective corporate purchasers of the 2018A Bonds should consider possible Federal income tax consequences arising from OID on such 2018A Bonds under the alternative minimum tax and the branch profits tax described above.

The Internal Revenue Service (the “IRS”) has a program to audit state and local government obligations to determine whether the interest thereon is includible in gross income for Federal income tax purposes. If the IRS does audit the 2018A Bonds, under current IRS procedures, the IRS will treat the Issuer as the taxpayer and the beneficial owners of the 2018A Bonds will have only limited rights, if any, to participate in the audit process.

Interest paid on 2018A Bonds is subject to information reporting for Federal income tax purposes in a manner similar to interest paid on taxable obligations. This reporting requirement does not in and of itself affect or alter the excludability of such interest from gross income for Federal tax purposes or any other Federal tax consequences of purchasing, holding or selling tax-exempt obligations.

The foregoing is only a general summary of certain provisions of the Code as enacted and in effect on the date hereof and does not purport to be complete; prospective purchasers and holders of the 2018A Bonds should consult their own tax advisors as to the effects, if any, of the Code in their particular circumstances.

Maryland State and Local Income Tax

In the opinion of Bond Counsel, under existing law of the State, the interest on the 2018A Bonds and the profit realized from the sale or exchange of the 2018A Bonds is exempt from income taxation by the State or by any of its political subdivisions, but no opinion is expressed as to estate or inheritance taxes or any other taxes not levied or assessed directly on the 2018A Bonds or the income therefrom.

Interest on the 2018A Bonds may be subject to state or local income taxes in jurisdictions other than the State under applicable state or local tax laws. Prospective purchasers of the 2018A Bonds should consult their tax advisors with respect to the state and local tax consequences of owning the 2018A Bonds and regarding the taxable status of the 2018A Bonds in a particular state or local jurisdiction other than the State.

Legislative Changes and/or Court Decisions

Legislation affecting tax-exempt obligations is regularly considered by the United States Congress and may also be considered by a state legislature. Court proceedings may also be filed, the outcome of which could modify the tax treatment of obligations such as the 2018A Bonds. There can be no assurance that legislation enacted or proposed, or actions by a court, after the date of issuance of the 2018A Bonds will not have an adverse effect on the tax status of interest or other income on the 2018A Bonds or the market value or marketability of the 2018A Bonds. Such adverse effects could result, for example, from changes to federal or state income tax rates, changes in the structure of federal or state income taxes (including replacement with another type of tax), or repeal (or reduction in the benefit) of the exclusion of interest on the 2018A Bonds from gross income for federal or state income tax purposes for all or certain taxpayers.

As a recent example of such changes, the Tax Cuts and Jobs Act signed into federal law on December 22, 2017, reduces corporate tax rates, modifies individual tax rates, eliminates many deductions, repeals the corporate alternative minimum tax (for taxable years beginning after December 31, 2017) and eliminates tax-exempt advance refunding bonds, among many other changes in federal income tax law. Such legislation may increase, reduce or otherwise change the financial benefits currently provided to certain owners of tax-exempt state and local government bonds with results that differ for different categories of taxpayers. Additionally, investors in the 2018A Bonds should be aware that future legislative actions may retroactively change the treatment of all or a portion of the interest on the 2018A Bonds for federal or state income tax purposes for all or certain taxpayers. In all such events, the market value of the 2018A Bonds may be affected and the ability of holders to sell their 2018A Bonds in the secondary market may be reduced. The 2018A Bonds are not subject to special mandatory redemption, and the interest rates on the 2018A Bonds are not subject to adjustment, in the event of any such change in the tax treatment of interest on the 2018A Bonds.

Accordingly, prospective purchasers of the 2018A Bonds should consult with their own financial and tax advisors as to the status and potential effect of such changes and proposals.

FINANCIAL FEASIBILITY STUDY

Management's financial forecast for the five years ending June 30, 2023, included as part of the Financial Feasibility Study dated July 25, 2018, included in Appendix C hereto, has been examined by Baker Tilly Virchow Krause, LLP, independent certified public accountants, as stated in Appendix C. As stated in the Financial Feasibility Study, there will usually be differences between the forecasted data and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. The Financial Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein.

CERTAIN RELATIONSHIPS

Miles & Stockbridge P.C. serves as Underwriter's Counsel. Miles & Stockbridge P.C. serves from time to time as counsel to the Bond Trustee, the Master Trustee and the Series 2018B Lender in unrelated transactions. Miles & Stockbridge P.C. also serves as counsel to the Obligor in connection with the Obligor's joint venture for the Homes for America Project. Venable LLP serves as Bond Counsel and counsel to the Issuer. Venable LLP serves

from time to time as counsel to the Bond Trustee and the Master Trustee in unrelated transactions. The Bond Trustee and the Master Trustee are represented by Buchanan Ingersoll & Rooney in matters pertaining to the Series 2018 Bonds.

RATING

The Series 2018A Bonds are not rated by any rating service.

UNDERWRITING

The Series 2018A Bonds are being purchased by Herbert J. Sims & Co., Inc. (the “Underwriter”), as Underwriter for a purchase price of \$17,280,787.25 (representing the par amount of the Series 2018A Bonds, plus original issue premium of \$511,339.75, minus an underwriting discount of \$205,552.50), pursuant to a Bond Purchase Agreement among the Issuer, the Obligor and the Underwriter (the “Bond Purchase Agreement”). The Underwriter reserves the right to join with dealers and other underwriters in offering the Series 2018A Bonds to the public. The obligations of the Underwriter to accept delivery of the Series 2018A Bonds are subject to various conditions contained in the Bond Purchase Agreement. The Bond Purchase Agreement provides that the Underwriter will purchase all of the Series 2018A Bonds if any Series 2018A Bonds are purchased.

MISCELLANEOUS

The references herein to the Act, the Bond Indenture, the Loan Agreement, the Master Indenture, the Deed of Trust and other documents are only brief outlines of certain provisions thereof and do not purport to summarize or describe all the provisions thereof. Reference is hereby made to such instruments, documents and other materials, copies of which will be furnished by the Underwriter or the Bond Trustee upon request for further information. Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. The attached appendices are integral parts of this Official Statement and should be read in their entirety together with all of the foregoing statements. It is anticipated that CUSIP identification numbers will be printed on the Series 2018A Bonds, but neither the failure to print such numbers on any Series 2018A Bond nor any error in the printing of such numbers will constitute cause for a failure or refusal by the purchaser thereof to accept delivery of or pay for any Series 2018A Bonds.

The information assembled in this Official Statement has been supplied by the Obligor and other sources believed to be reliable, and, except for the statements under the headings “SHORT STATEMENT – The Issuer,” “INTRODUCTION – The Issuer,” “THE ISSUER,” and “LITIGATION – The Issuer,” the Issuer makes no representations with respect to nor warrants the accuracy of such information. The Obligor has agreed to indemnify the Issuer and the Underwriter against certain liabilities relating to the Official Statement.

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APPENDIX A
CERTAIN INFORMATION ABOUT THE OBLIGOR AND THE COMMUNITY

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THE OBLIGOR

Friends House Retirement Community, Inc. (the “Obligor”) is a 501(c)(3) organization that operates a continuing care retirement community on approximately 62 acres in Sandy Spring, Montgomery County, Maryland, providing housing, healthcare, and other related services to residents on a campus operating 25 independent living cottages (the “Existing Independent Living Cottages”), five independent living apartments (the “Existing Independent Living Apartments” and together with the Existing Independent Living Cottages, the “Existing Independent Living Units”), 21 assisted living units (the “Assisted Living Units”) and 82 comprehensive care beds (the “Skilled Nursing Beds”) located within the existing health center (the “Health Center”) (collectively, the “Existing Community”). Effective, July 25, 2018, the Health Center has earned a four-star rating from the Nursing Home Compare tool of the Centers for Medicare & Medicaid Services. Founded on Quaker values and operating under the care of Religious Society of Friends, the Obligor welcomes senior adults regardless of race, color, disability, gender identity, age, sexual orientation, religious affiliation, national origin or familial status.

Since 1967, the Obligor has operated independent living cottages and apartments and low-income housing at the Existing Community. The licensed health care facility was added to the Existing Community in 1972 and the assisted living component was added in 2005. In December 2016, the Obligor ended its participation in the HUD Section 202 Program; however, the Obligor continues to operate the building which formerly contained the low-income housing (the “Low-Income Housing Building”) and rents the remaining 75 units (the “Prior HUD Units”) at HUD-level rental rates.

The Obligor plans to construct a new 80-unit low-income housing tax credit financed apartment building (the “HFA Building”) through a partnership with Homes for America, Inc. It is anticipated that the HFA Building will be located on the HFA Parcel (defined below) to be created from an approximately 1.974 acre portion of the Existing Community, but such building will not be part of the Project, none of the proceeds of the Series 2018 Bonds will be used to finance the HFA Building or its site improvements and no income generated by the HFA Building will be available for payment of the Series 2018 Bonds. For a complete description of the HFA Building see “Homes for America Building” and for a description of how the HFA Parcel will be created, please see “SECURITY FOR THE SERIES 2018A BONDS – EXCLUDED PROPERTY” herein.

The zoning approvals for the Existing Community include the approval of 46 low-income apartments, 195 independent living units, 48 assisted living units and 82 skilled nursing beds. The Project, as further described below, comprises only a portion of the approved facilities. Subject to compliance with certain financial covenants to be specified in the bond documents, the Obligor may seek subsequent bond financing for all or a portion of the balance of the approved facilities. Notwithstanding the foregoing, any such future development of the Existing Community will require additional approvals of the Maryland Department of Aging (“MDOA”). See “REGULATORY PERMITS AND APPROVALS – Certificate of Registration” herein.

The Obligor was originally formed on July 10, 1968 as a Maryland nonstock corporation under the name “Friends Nursing Home, Inc.” Friends Nursing Home, Inc. is the successor entity to a merger with Friends House, a District of Columbia corporation which was completed on September 22, 2017. As part of the merger, Friends Nursing Home, Inc., the surviving entity, changed its name to “Friends House Retirement Community, Inc.”

The Obligor is exempt from federal income taxation under Section 501(c)(3) of the Internal Revenue Code of 1986, as amended (the “Code”). The Obligor is affiliated with no other retirement facilities. No other organization is obligated to make payment on the Series 2018 Bonds or other obligations of the Obligor. For a complete description of the operations of the Obligor see “THE EXISTING COMMUNITY” herein.

As of the date of issuance of the Series 2018 Bonds, the Obligor is the only member of an obligated group (the “Obligated Group”) established under the Master Trust Indenture dated as of August 1, 2018 (the “Master Indenture”), by and between the Obligor and Wilmington Trust, National Association, as master trustee (the “Master Trustee”). As the only member of the Obligated Group, the Obligor is the only entity currently obligated to pay the principal of and interest on the Series 2018 Bonds, the Series 2018 Obligations, and any other Obligations issued under the Master Indenture. For a description of the Master Indenture see “SECURITY FOR THE SERIES 2018 BONDS” in the forepart of this Official Statement.

The Obligor will use the proceeds of the Series 2018A Bonds, together with certain other moneys (including the proceeds of the Series 2018B Bond, which will be purchased by the Series 2018B Lender), to (i) renovate and expand the Obligor's existing commons building, demolish and remove two vacant independent living cottages, construct, furnish and equip approximately 14 new independent living cottage units (the "Project Independent Living Cottages") and approximately 33 independent living apartment units (the "Project Independent Living Apartments," and together with the Project Independent Living Cottages, the "Project Independent Living Units") to be located in approximately three buildings, and complete other associated site work and development (the "Project" and collectively with the Existing Community, the "Community"); (ii) pay a portion of the interest on the Series 2018A Bonds during the construction of the Project through December 1, 2019*; (iii) fund a debt service reserve fund for the benefit of the Series 2018A Bonds; and (iv) pay certain costs of issuance of the Series 2018A Bonds. See "PLAN OF FINANCE" in the forepart of this Official Statement for additional information.

This Appendix A is intended to provide information about the Obligor and the Project that is not presented elsewhere in this Official Statement. For additional information about the Obligor, potential investors should refer to the audited financial statements for the fiscal years ended June 30, 2016 and 2017 attached as APPENDIX B hereto. Prior to September 2017, the Obligor operated as two entities, Friends House and Friends Nursing Home, Inc. The financial activity of the two entities has been combined along with elimination of inter-company allocations in the financial reports set forth in "HISTORICAL FINANCIAL PERFORMANCE" herein. Additional information about the Obligor and the Project can be found in the "FINANCIAL FEASIBILITY STUDY" which is included as Appendix C to this Official Statement. The materials included in this Appendix A and the other appendices to this Official Statement should be read in their entirety.

Capitalized terms used and not otherwise defined herein have the meanings assigned to such terms in the Master Trust Indenture, the Bond Indenture or the Loan Agreement in Appendix D – "COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS"

GOVERNANCE AND MANAGEMENT

The Obligor is managed under the direction of a 16 volunteer member Board of Directors (the "Board") of which one volunteer Board member is a Community resident. The Bylaws of the Obligor (the "Bylaws") require that at least 60% of the members of the Board must be members of The Religious Society of Friends. Although a majority of the Board are required to be members of The Religious Society of Friends, no organization or constituent body of the Religious Society of Friends has a contractual or financial responsibility for the obligations of the Obligor. The Bylaws also require one Board member to be a resident of the Community. Pursuant to the Bylaws, Baltimore Yearly Meeting of the Religious Society of Friends ("BYM") is invited to appoint three members of the Board. All other Directors are appointed by the sitting Directors. The Board member who is a resident is appointed by the sitting Directors. There are at least four regular meetings of the Board of Directors yearly. Day-to-day management of the Community is under the direction of Kevin Harrington, Executive Director. Mr. Harrington has been employed by the Obligor since November 30, 2009.

Directors are appointed for three-year terms and begin their service at the annual meeting, held in September. Interim appointments to vacancies on the Board caused for any reason are made by the sitting Directors. Persons so appointed commence serving upon appointment and serve for the remainder of the term for which they are chosen. No Director is eligible to serve for more than six consecutive years or to be re-appointed to the Board for a full term after having served more than one full term until having been off the Board for at least one year.

Prospective new Directors are recommended to the Board by the Nominating Committee, as further described below.

The Board has established the following committees:

* Preliminary, subject to change.

- Development Committee – responsible for building a base of dedicated and engaged donors, increasing donations, and developing new funding streams in order to advance the Obligor’s mission and values;
- Executive and Finance Committee – responsible for ensuring the near-term financial stability and long-term financial viability and growth of the Obligor through financial reviews, financial policy updates and budgetary oversight;
- Governance Committee – responsible for ongoing review of the Board’s functioning and recommendations to enhance the quality and future viability of the Board;
- Health Care Quality Committee – responsible to report to the Board, recommend policy changes, as needed, regarding the quality of life for residents in the Community’s assisted living and skilled nursing facilities, and minimize risk exposure;
- Nominating Committee – responsible for recommending to the Board candidates to serve as Directors and members of Board committees and to nominate Directors for positions as officers of the Board;
- Personnel Committee – responsible for approving personnel policies and establishing procedures to evaluate the Executive Director;
- Project Steering Committee – responsible for interfacing with Eventus Strategic Partners, LLC and Homes for America in obtaining information and making decisions about development plans for the Project and the proposed HFA Building; and
- Strategic Planning Committee – responsible for coordinating with management to develop a strategic plan for the entire Community, consistent with the Obligor’s mission and values.

The Board may also establish any other standing committees that it considers necessary and may dissolve them when it considers them no longer to be needed.

Board of Directors

The current members of the Board, their term of office and their affiliation are set forth below:

<u>Name</u>	<u>Board Terms</u>	<u>Affiliation/Occupation</u>	<u>Committee Assignments</u>
Kendall Anthony, Resident*	09/15-08/18	Retired Educator	Governance
Jim Bell	09/16-08/19	Retired from Peace Corps	Executive and Finance, Development
Ramona Buck*	09/15-08/18	Meditator Commissioner	Nominating; Development
Ross Capon, Treasurer	09/16-08/19	Transportation Consultant	Executive and Finance
Barbara Gibian	09/16-08/19	Attorney	Executive and Finance, Project Steering, Investment Banking Subcommittee
Frederick Finelli	09/17-08/20	Physician/Attorney	Health Care Quality
Mosi Harrington	09/15-08/20	Retired Real Estate Developer	Project Steering
Carlotta Joyner, Alternate Recording Clerk	09/13-08/19	Retired Federal Worker	Governance, Nominating
Michael Levi	09/17-08/20	Federal Employee, IT Specialist	Personnel
Rachel Messenger	09/14-08/20	Accountant	Executive and Finance
Meg Meyer, Assistant Clerk & Recording Clerk**	09/15-08/18	Retired	Development, Executive and Finance, Governance, Health Care Quality, Personnel
Linda Pardoe, Clerk	09/13-08/19	Federal Employee, IT Specialist	Development, Executive and Finance, Governance, Health Care Quality, Nominating, Project Steering
Megan Shook	09/14-08/20	Retired MBA from State of Maryland Medicare program	Development
John Smallwood	09/14-08/20	Retired Attorney	Governance, Project Steering, Investment Banking

<u>Name</u>	<u>Board Terms</u>	<u>Affiliation/Occupation</u>	<u>Committee Assignments</u>
			Subcommittee
Eileen Stanzione**	09/15-08/18	Retired Socialworker	Personnel

* These Directors will each serve another three-year term upon its expiration, pending Board approval.

** These Directors will be replaced upon expiration of their terms. The successors have been identified and their respective appointments are pending Board approval.

Senior Management Team

Kevin Harrington, Executive Director, has 28 years of experience in healthcare, nine of which have been with the Obligor. Mr. Harrington previously served in leadership roles at Marriott Senior Living and Sunrise Senior Living. Mr. Harrington serves as the Vice Chair of LeadingAge Maryland and also has served as Treasurer of Friends Mutual Health Group. Mr. Harrington is a graduate of Mount Saint Mary's University with a Bachelor of Science in Accounting.

Virginia Ruff, Chief Financial Officer, has six years of experience in healthcare, all of which have been with the Obligor. Ms. Ruff is a licensed CPA and has over 20 years of prior experience in commercial rental real estate and six years in a public accountant firm. Ms. Ruff is a graduate of Virginia Tech with a Bachelor of Arts in Accounting.

Elizabeth Nicely, Human Resources Director, has over 22 years of experience in healthcare with over six years with the Obligor. Ms. Nicely previously served as Human Resources Manager for Marriott Senior Living Services, as well as the Operations Manager for HouseWorks. Ms. Nicely is a current member of the Board for Friends Services for the Aging. Ms. Nicely is currently pursuing a bachelors' degree in Human Resources Management and minor in Health Care Administration at University of Maryland University College. Ms. Nicely also serves as Compliance Official and Risk Manager for the Obligor.

Barbara Brubeck, Resident Director, has been working in residential property management since 1986 and with the Obligor since 2013. Prior to joining the Obligor, Ms. Brubeck worked for the Housing Opportunities Commission of Montgomery County as a Regional Property Manager. Ms. Brubeck currently serves as a Commissioner for the Montgomery County Commission on Aging, as a Board Member for Friends Mutual Health Group and is a past Vice-President of Friends Non-Profit Housing. Ms. Brubeck holds an Associate of the Arts degree in Mathematics from Montgomery College.

Tim Sanna, Nursing Home Administrator, has been a licensed Nursing Home Administrator in Maryland for 15 years. Mr. Sanna has been in the profession of caring for seniors for over 30 years. Prior to that, Mr. Sanna served in the United States Coast Guard. Mr. Sanna graduated from University of Maryland University College with a bachelor's degree in Health Management and a master's degree in International Management. Mr. Sanna currently serves as the Administrator of the skilled nursing and assisted living facilities at Friends House.

Bob Hill, Maintenance Director, serves as the maintenance director at the Community and has been with the Obligor for over 20 years. Prior to joining the Obligor, Mr. Hill had over 20 years of experience in construction and is certified in HVAC repair.

THE EXISTING COMMUNITY

General

The Existing Community is located on an approximately 62-acre campus in Sandy Spring, Maryland. Just north of Silver Spring and east of Olney, the Existing Community is close to medical care, shopping and museums. The campus is currently comprised of 26 buildings (see diagram below). The Existing Community includes 25 Existing Independent Living Cottages, five Existing Independent Living Apartments, 21 Assisted Living Units and 82 Skilled Nursing Beds within the Health Center.

The zoning approvals for the Existing Community include the approval of 46 low-income apartments, 195 independent living units, 48 assisted living units and 82 skilled nursing beds. The Project comprises only a portion of the approved facilities. Subject to compliance with certain financial covenants to be specified in the bond documents, the Obligor may seek subsequent bond financing for all or a portion of the balance of the approved facilities. Notwithstanding the foregoing, any such future development of the Existing Community will require additional approvals of the MDOA. See “REGULATORY PERMITS AND APPROVALS – Certificate of Registration” herein.

The commons building of the Existing Community currently includes resident activity space, a production kitchen and dining room, the Miller center auditorium, a library, a gift shop, a convenience store, a computer lab, the Art Center and the administrative offices. The Existing Community also has additional common areas which include a pharmacy, a barber/beauty shop and therapy room. The Low-Income Housing Building is built in four wings, each connecting to the commons building. Resident meeting spaces and common living rooms are also dispersed throughout each of the Low-Income Housing Building wings. As described herein, a portion of the Low-Income Housing Building will be replaced with the HFA Building with one wing remaining in operation for current Residents that will not income qualify for the HFA Building. See “THE EXISTING COMMUNITY – Homes for America Building” herein.

The Health Center consists of two primary wings: Stabler Hall, for long-term care patients, and Thomas Hall, for Memory Care and rehabilitation patients. Services in the Health Center include: 24-hour skilled nursing services; intravenous therapy; in-house pharmacy; full-time dietician; medical and mental health consulting; partnership with MedStar Physicians Group for follow-up care after a hospital discharge; physical therapy; occupational therapy and speech therapy.

The Obligor operates the Existing Community on the continuing care concept, which recognizes the changing needs of the aged along a continuum from independent residence to increased dependence as healthcare needs increase. Under the terms of the resident’s contract, residents pay an initial entrance fee (“Entrance Fee”) and monthly fees (“Monthly Fees”), in exchange for the right to occupancy at the Existing Community and a comprehensive range of services. See “Entrance Fee and Monthly Fees” below for further information on the Entrance Fees and Monthly Fees.

History of the Existing Community

The Obligor was originally formed on July 10, 1968 as a Maryland nonstock corporation under the name “Friends Nursing Home, Inc.” Friends Nursing Home, Inc. is successor entity to a merger with Friends House, a District of Columbia corporation which was completed on September 22, 2017. As part of the merger, Friends Nursing Home, Inc., the surviving entity, changed its name to “Friends House Retirement Community, Inc.”

Since 1967, the Obligor has operated independent living cottages and apartments and low-income housing at the Existing Community. The licensed health care facility was added to the Existing Community in 1972 and the assisted living component was added in 2005. In December 2016, the Obligor ended its participation in the HUD Section 202 Program; however, the Obligor continues to operate the Low-Income Housing Building and continues to rent the 75 Prior HUD Units at HUD level rental rates. The Obligor intends to replace the 75 Prior HUD units as described in “Homes for America Building” below.

Mission

The Obligor's mission is to create a caring community that connects residents and other seniors, volunteers and staff in a way that nurtures the physical, mental, emotional and spiritual well-being of each of its members. The Obligor seeks to offer an affordable and fulfilling lifestyle for older persons of diverse backgrounds, economic means and abilities in a safe and caring environment.

Accreditation

In 2009, the Obligor enrolled with the Peace Church Compliance Program (the "PCCP"), a program managed by Friends Services for the Aging. The PCCP provides services to faith-based, non-profit senior care and behavioral health organizations to assist with implementation and support of compliance, privacy, security and risk management programs. The PCCP visits the Existing Community quarterly to test various compliance programs and to ensure that the programs implemented by the Obligor meet the required standards. The PCCP then reports its findings to the Board on an annual basis. The Obligor received a 100% rating when the PCCP last reported at the February 14, 2018 Executive and Finance Committee meeting. The Obligor is committed to developing programs which meet or exceed the standards set by the PCCP.

Homes for America Building

The Existing Community currently includes the Low-Income Housing Building, which was previously utilized for low-income housing under the HUD Section 202 Program. In December 2016, the Obligor ended its participation in the HUD Section 202 Program; however, the Obligor continues to operate the Low-Income Housing Building and rents the remaining 75 Prior HUD Units at HUD-level rental rates. One wing of the Low-Income Housing Building will remain after construction of the HFA Building as rental housing.

The Obligor plans to construct a new 80-unit low-income housing tax credit financed HFA Building through a partnership with Homes for America, Inc., who will operate the HFA Building. When the HFA Building opens, eight of those units will be market rate and 72 will be low-income. It is anticipated that the HFA Building will be located on the Community site on a separate ownership unit (the "HFA Parcel"), approval of which is pending and under review by the County. It is anticipated that the HFA Parcel will be a separately subdivided parcel within the County's subdivision procedures. At closing of the Series 2018 Bonds, the creation of the HFA Parcel will not have been completed and the HFA Parcel will be subject to the lien of the Deed of Trust, Security Agreement and Fixture Filing dated as of August 1, 2018 between the Obligor and the individual trustees named therein, for the benefit of the County (the "Deed of Trust"), as assigned to the Master Trustee. Upon completion of the creation of the HFA Parcel and recording thereof among the land records of the County and satisfaction of the other conditions set forth in the Deed of Trust and the Master Trust Indenture, the HFA Parcel will be released from the lien of the Deed of Trust. It is possible that the County may require that the creation of the HFA Parcel as a separately subdivided parcel to be accomplished other than by means of an ownership unit procedure, such as by way of land condominium. The Master Trust Indenture provides a procedure by which such alternative procedure can be used to create the HFA Parcel with the consent of the Series 2018B Lender and the consent or deemed consent of not less than 66.6% on principal amount of the Holders of Outstanding Master Obligations (including the Series 2018B Lender). See Appendix D – COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS – Master Trust Indenture, Section 4.20(f) (Permitted Transfers or Dispositions of Properties).

The HFA Building will not be part of the Project, and none of the proceeds of the Series 2018 Bonds will be used to finance the HFA Building or its site improvements. Development of the HFA Building will include shared easements and utility connections with the Community pursuant to a Declaration of Covenants to be filed among the land records of the County. Pursuant to such Declaration of Covenants, the Obligor and Homes for America, Inc. will be sharing certain costs related to such easements and utilities.

Approximately 55 of the Residents of the Prior HUD Units will be transferred to the HFA Building. The remaining approximately 20 current Residents of the Prior HUD Units will remain in the remaining wing of the Low-Income Housing Building in order to serve those Residents who are unable to qualify for a unit in the HFA Building due to income restrictions.

Entrance Fee and Monthly Fees

Residents pay both an Entrance Fee and Monthly Fees for their residence in the Existing Independent Living Units. Residents pay only a Monthly Fee for the Assisted Living Units. Beginning in early 2017, the Obligor started converting certain Existing Independent Living Cottages to a rental contract to provide the Obligor with flexibility to renovate and redevelop the Existing Independent Living Cottages. The Obligor's contract is known as a "fee-for-service contract." No health care is provided as part of the residential fees. The remaining 75 Prior HUD Units are currently operated as rental contract units. All but approximately 20 of the current Residents of the remaining 75 Prior HUD Units will be moved to the HFA Building upon its completion. The current Entrance Fees and Monthly Fees for the Existing Community are set forth below. Currently, there are no second person Monthly Fees for the Existing Independent Living Units. Historically, rate changes for Entrance Fees and Monthly Fees are established by the Board of Directors and become effective annually. However, increases in such fees can be approved by the Board at any time.

The Obligor currently offers a 90% refundable Entrance Fee plan type upon entry into the 32 Existing Independent Living Units pursuant to which the entrance fee is amortized at 1.2% per month (or portion thereof) through the date that 90% of the entrance fee remains.

The rate structure, effective July 1, 2017, for Entrance Fees and Monthly Fees by type of Existing Independent Living Units for fiscal years ended June 30, 2013 through June 30, 2017 is as follows:

ENTRANCE FEES EXISTING INDEPENDENT LIVING UNITS

(Effective as of July 1)
Entrance Fees are 90% Refundable

Refundable Cottages

The cottages located on Quaker Lane and Quaker Knoll are in the process of being converted from entrance fee units to a rental contract as the cottages turnover. Prior to their conversion to a rental contract, the cottages had entrance fees ranging from \$46,000 to \$69,000 for each of 2013, 2014 and 2015. Prior to conversion of a cottage from an entrance fee unit to a rental contract, residents of the cottage will continue to pay a monthly fee as set forth in "Monthly Fees Existing Independent Living Units" below.

Duplexes

Unit	2017	2016*	2015	2014	2013
Friends House Road 3 Bedroom Duplex (4 units total)	\$260,000	\$260,000	\$130,000	\$130,000	\$130,000
Friends House Road 2 Bedroom Duplex (4 units total)	\$230,000	\$230,000	\$116,000	\$116,000	\$116,000

* In 2016, the Board determined to increase the entrance fees chargeable to these units; such increase reflects capital improvements that will be performed on such units prior to making them available for occupancy.

Cottage Apartments in Friends House – Units C26-C30*

Unit	2017	2016	2015	2014	2013
Studio	\$49,500	\$49,500	\$49,500	\$49,500	\$49,500
One Bedroom	\$65,000	\$65,000	\$65,000	\$65,000	\$65,000

* As these units are being turned over, they are converting to rental fee units and are expected to be completely converted to rental fee units prior to October 1, 2019 at which time the residents of these units are expected to move to the remaining market-rate apartment building and these units are expected to be removed from the unit mix for the Community.

**MONTHLY FEES
EXISTING INDEPENDENT LIVING UNITS
(Effective as of July 1)**

Refundable Cottages

Prior to conversion of the Quaker Lane and Quaker Knoll cottages from an entrance fee unit to a rental contract, residents of the cottage will continue to pay a monthly fee. The following chart illustrates the range of monthly fees chargeable to residents of the cottages as well as the average monthly fee chargeable to residents of the cottages for the period from 2013 to 2017:

	2017*	2016*	2015*	2014*	2013*
Monthly Fee Range	\$1,288-\$2,328	\$1,263-2,282	\$1,214-2,193	\$1,214-2,193	\$1,179-2,129
Monthly Fee Average	\$1,893	\$1,871	\$1,801	\$1,803	\$1,749

* Monthly Fees do not include utilities.

The following chart sets forth the range of monthly rental fees chargeable to residents of the Quaker Lane and Quaker Knoll cottages after such units have been converted from an entrance fee unit to a rental contract. Rental fees vary based upon location of the cottage, size and configuration of the cottage, and other finishes available in each unit.

Unit	Rental Only (as cottages turnover)
Quaker Lane Cottages	\$1,400 - \$2,275
Quaker Knoll Rd. Cottages	\$2,260 - \$2,749

Duplexes

Unit	2017*	2016*	2015*	2014*	2013*
Friends House Road 3 Bedroom Duplex (4 units total)	\$2,214	\$2,171	\$2,086	\$2,086	\$2,025
Friends House Road 2 Bedroom Duplex (4 units total)	\$1,988	\$1,949	\$1,874	\$1,874	\$1,819

* Monthly Fees do not include utilities.

Cottage Apartments in Friends House – Units C26-C30

Unit	2017*	2016*	2015*	2014*	2013*
Studio	\$1,518	\$1,488	\$1,429	\$1,429	\$1,387
One Bedroom:					
Single Occupancy	\$1,812	\$1,777	\$1,707	\$1,707	\$1,657
Double Occupancy	\$2,128	\$2,086	\$2,004	\$2,004	\$1,945

*Monthly Fee includes cost of dinner meal and all utilities except for telephone and cable television.

**MONTHLY FEES
ASSISTED LIVING UNITS
HAVILAND HALL
(Effective as of July 1)**

	2017	2016	2015	2014	2013
Semi-Private	\$4,065	\$3,985	\$3,907	\$3,812	\$3,683
Private	\$5,081	\$4,981	\$4,883	\$4,764	\$4,603

**DAILY RATES
SKILLED NURSING/REHABILITATION UNIT
STABLER HALL
(Effective as of July 1)**

	2017	2016	2015	2014	2013
Semi-Private	\$306	\$300	\$294	\$288	\$278
Private	\$366	\$359	\$352	\$345	\$333

**DAILY RATES
SKILLED NURSING/DEMENTIA UNIT
THOMAS HALL
(Effective as of July 1)**

	2017	2016	2015	2014	2013
Semi-Private	\$366	\$359	\$352	\$345	\$333
Private with Shared Bath	\$402	\$394	\$386	\$378	\$365
Private with Private Bath	\$419	\$411	\$403	\$395	\$382

Rate Increases

The Board reviews Entrance and Monthly Fee options annually, raising fees when appropriate for reasons ranging from inflation to covering certain identifiable expenses necessary to successfully operate the Community. The following table illustrates historical rate increases for the Existing Community's Existing Independent Living Units, Assisted Living Units and Skilled Nursing Beds for the fiscal years ended June 30, 2014 through June 30, 2017 and for the eleven-month period ended on May 31, 2018:

Historical Rate Increases

	<u>Fiscal Years ended June 30,</u>				<u>Eleven months ended May 31,</u>
	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>
Independent Living:					
Monthly Fee – Fee for Service	2.2%	3.0%	2.5%	0.0%	3.0%
Entrance Fee	3.0%	4.0%	4.0%	4.0%	3.5%
Assisted Living					
Private Pay Daily Rate	3.5%	3.5%	2.5%	2.0%	2.0%
Skilled Living					
Private Pay Daily Rate	3.5%	3.5%	2.0%	2.0%	2.0%

Occupancy

The Existing Community

The following table summarizes the average historical occupancy of the Existing Community in number of units and average occupancy for Existing Independent Living Units, Assisted Living Units and Skilled Nursing Beds for fiscal years ended June 30, 2014 through June 30, 2017 and for the eleven-month period ended May 31, 2018.

	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018 (11 months)</u>
Independent Living:					
Cottages Occupied	29.8	30	27.9	28.6	28.8
Average Occupancy	99%	100%	96%	99%	99%
HUD/Rental occupied	93.5	89.9	85.7*	74.7*	68.4
Average Occupancy	93%	90%	85%*	100%*	91%
Assisted Living:					
Units occupied	19.7	20.5	19.2	19.8	19.2
Average Occupancy	94%	98%	91%	94%	91%
Skilled Nursing:					
Units occupied	71	67.8	74.5	72.5	64
Average Occupancy	87%	83%	91%	88%**	78.2%**

* HUD was reduced from 100 units to 75 units starting in fiscal year 2016 and completed in fiscal year 2017.

** The decline in census was due to high resident turnover during this period of time.

Entrance Fee Turnover

The following table sets forth an entrance fee turnover analysis for the Existing Independent Living Units for fiscal years ended June 30, 2014 through June 30, 2017 and the eleven-month period through May 31, 2018.

Existing Independent Living Units Turnover

	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018 (11 months)</u>
Beginning Occupancy	30	30	29	29	28
Transfers	1	2	2	--	--
Death/Move Out	1	4	3	3	1
Move In	1	3	--	--	1
Conversion to Rental	--	--	3	2	--
Entry Fees Received (Net of Refunds)	\$4,000	\$10,000	(\$159,500)*	(\$111,000)*	--

* Entrance fees are negative due to conversion of certain units to a rental contract.

Upon selection of the desired living unit, prospective residents sign a Reservation Agreement, including a confidential data profile and full financial disclosure. When prospects are approved for residency, a move-in date is scheduled and the Entrance Fee balance is paid prior to move-in.

Payor Mix – Nursing

The following table summarizes the average historical mix of payor classes for the Health Center for fiscal years ended June 30, 2014 through June 30, 2017 and the eleven-month period ended May 31, 2018. Assisted Living Units are all private pay.

	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018 (11 months)</u>
Private Pay	36%	31%	40%	36%	31%
Medicaid	47%	44%	35%	43%	46%
Medicare	17%	25%	25%	21%	23%
Total	100%	100%	100%	100%	100%

RESIDENCE AND SERVICES AGREEMENT

The Obligor offers fee-for-service (Type C) contracts for its continuing care independent living Residents, and a separate fee-for-service agreement for assisted living and comprehensive nursing care Residents. In addition, the Obligor offers assisted living and comprehensive nursing care services to individuals who are not continuing care Residents. These individuals may be admitted directly into Assisted Living Units or Skilled Nursing Beds and pay the monthly fee or daily rate, as applicable.

When a Resident with a Type C contract meets specified transfer criteria for care in assisted living or comprehensive care and transfers temporarily, the Resident will sign a separate agreement for either assisted living or comprehensive nursing care services and pay the monthly fee or daily rate for such services plus the monthly fee for the independent living or assisted living residence that the Resident has temporarily vacated. After a permanent transfer to assisted living or comprehensive nursing care services, the Resident is responsible for payment of the per diem rate for such services and the monthly fee for the independent living residence only until the residence is released.

Under the Type C contract, Residents of the Project Independent Living Units will have the option of three types of entrance fee refund programs:

- 50% Refund Contract: Entrance fee is amortized at 1.2% per month (or portion thereof) through the date that 50% of the entrance fee remains.
- 90% Refund Contract: Entrance fee is amortized at 1.2% per month (or portion thereof) through the date that 90% of the entrance fee remains.
- Declining Plan Contract: Entrance fee is amortized at 4% for the first month (or portion thereof) and starting with the second month, amortized at 1.2% per month (or portion thereof) until fully amortized.

Refunds of unamortized entrance fees under the Type C contract are payable upon the Obligor receiving a new entrance fee for the vacated independent living residence. Residents transferring to Assisted Living Units or Skilled Nursing Beds on a permanent basis are not, at the time of such transfer, entitled to a refund of the entrance fees.

Admission to the Existing Independent Living Units and the Project Independent Living Units is open to anyone who can safely live independently and has sufficient financial resources to pay the entrance fee, if applicable, monthly fees and other daily living expenses. Before accepting a resident, the Obligor undertakes a review of the applicant's age and financial resources. An applicant must be at least 62 years of age. Under certain circumstances the Obligor may accept an applicant who is under 62 years of age (e.g., a spouse, sister, etc.). The admission policies of the Obligor are non-discriminatory (except as to age) and the Resident list includes both married and single men and women and members of different races and religious denominations.

If the Obligor determines that a Resident cannot reasonably be cared for in their independent living residence, with the Resident's permission it may relocate that Resident on a temporary or permanent basis, based upon recommendations by the Admissions Committee to an Assisted Living Unit or Skilled Nursing Bed. The

Assisted Living Units and Skilled Nursing Bed accommodations are available to the general public to the extent not required to accommodate continuing care Residents. Services provided to Residents of Assisted Living Units and Skilled Nursing Beds include, but are not limited to: three meals per day, nursing care services (as needed), maintenance of medical records, assistance with activities of daily living (bathing, dressing, transferring, etc.), emergency call system, housekeeping, social and recreational activities and use of all common areas.

There are two types of residency fees required of all continuing care residents who execute a Residence and Services Agreement – an Entrance Fee and Monthly Fee. The Entrance Fee is a lump sum, one-time payment based on the type of Independent Living Unit to be occupied by the Resident and the type of Entrance Fee plan selected. The Monthly Fee is based on the type of Independent Living Unit selected by the Resident and the number of individuals living in the residence. The Project Independent Living Units will have a second person Monthly Fee in the event that two persons occupy such a unit, while the Existing Independent Living Units do not currently charge a second person Monthly Fee.

Monthly Fees and Entrance Fees for the Project Independent Living Units are shown in July 2018 dollars in the three charts that follow.

Declining Plan

Independent Living Unit	Entrance Fee	Single Monthly Fee	Couple Monthly Fee
Lodge – 1 Bedroom	\$158,000	\$2,600	\$2,960
Lodge – 1 Bedroom/Den	\$191,000	\$2,800	\$3,160
Lodge – 2 Bedrooms	\$221,000	\$2,950	\$3,310
Lodge – 2 Bedrooms/Den	\$238,000	\$3,050	\$3,410
Cottages – Duplexes 1	\$259,000	\$2,550	\$2,550
Cottages – Duplexes 2	\$297,000	\$2,650	\$2,650

50% Refundable Plan

Independent Living Unit	Entrance Fee	Single Monthly Fee	Couple Monthly Fee
Lodge – 1 Bedroom	\$221,000	\$2,600	\$2,960
Lodge – 1 Bedroom/Den	\$267,000	\$2,800	\$3,160
Lodge – 2 Bedrooms	\$309,000	\$2,950	\$3,310
Lodge – 2 Bedrooms/Den	\$333,000	\$3,050	\$3,410
Cottages – Duplexes 1	\$363,000	\$2,550	\$2,550
Cottages – Duplexes 2	\$416,000	\$2,650	\$2,650

90% Refundable Plan

Independent Living Unit	Entrance Fee	Single Monthly Fee	Couple Monthly Fee
Lodge – 1 Bedroom	\$300,000	\$2,600	\$2,960
Lodge – 1 Bedroom/Den	\$363,000	\$2,800	\$3,160
Lodge – 2 Bedrooms	\$420,000	\$2,950	\$3,310
Lodge – 2 Bedrooms/Den	\$452,000	\$3,050	\$3,410
Cottages – Duplexes 1	\$492,000	\$2,550	\$2,550
Cottages – Duplexes 2	\$564,000	\$2,650	\$2,650

Individuals admitted directly to an Assisted Living Unit or Skilled Nursing Bed pay either a monthly fee or a daily rate. The monthly fee currently in effect for Assisted Living Units is \$4,065 for a semi-private room and \$5,081 for a private room. The daily rates for Skilled Nursing Beds in Stabler Hall are \$306 for a semi-private suite and \$366 for a private suite. The daily rates for Skilled Nursing Beds in Thomas Hall are \$366 for a semi-private suite, \$402 for a private suite with a shared bath and \$419 for a private suite with a private bath. Medicare reimburses for Skilled Nursing Beds for those individuals who have met specific Medicare guidelines for certification. The Obligor also participates in the Medicaid program for those individuals who meet the financial and medical eligibility requirements established by the Maryland Medicaid Program and Maryland Department of

Health. There are no admission restrictions on the Obligor's ability to admit individuals directly into Assisted Living Units or Skilled Nursing Beds, other than availability of accommodations and medical criteria for admission. In addition, ancillary services such as miscellaneous health services, guest services and supplies are available on a fee-for-service basis and provide additional revenues to the Obligor.

Summary of Services

The Resident's rights under the Residence and Services Agreements are not proprietary and do not include any right, title or interest in the real or personal property of the Obligor, nor does any resident have the right to transfer, convey, assign or divide his or her rights under the Residence and Services Agreements. The Resident's rights are primarily for services with a contractual right of occupancy.

Independent Living. The Obligor will furnish floor coverings, neutral-colored walls, stove, sink, dishwasher, refrigerator in kitchen area, washer, dryer, individual thermostatic control for heating and air conditioning, pre-wiring for telephone jacks and pre-wiring for a TV outlet.

The following benefits and services are available for the Monthly Fee to all residents residing in either the Existing Independent Living Cottages or the Project Independent Living Cottages:

- Parking space;
- General supervision and maintenance of buildings, grounds, and equipment;
- Insurance of building, grounds and equipment;
- Maintenance, repairs and/or replacement of furnished appliances;
- Trash removal;
- Snow removal and lawn maintenance;
- Water, sewer, electric and gas;
- Administrative management and services;
- Property tax;
- Individual mailboxes; and
- Use of all public rooms and common areas

Residents in the Project Independent Living Apartments will also receive internet, basic cable television services, housekeeping once per month and one meal per day. Residents in the Project Independent Living Cottages will receive housekeeping once per month.

Additional Services. Services or items not listed above are not included as part of the services and items received under the Monthly Fee. The following services are available to Residents at additional cost on an individual basis:

- Housekeeping or additional housekeeping services;
- Cable television for those Residents not residing in the Project Independent Living Apartments;
- Meals, dining room meals or carry-out, including delivery of meals;
- Off-campus transportation services;
- Scheduled routine nursing services (i.e. blood pressure checks);
- Physical, speech and occupational therapy;
- Copier use;
- Beauty shop services; and
- Additional maintenance and/or grounds services

Health Related Services

Assisted Living and Nursing Care. If a Resident relocates to an Assisted Living Unit or to a Skilled Nursing Bed on a temporary basis, the Resident will sign another agreement and pay the Monthly Fee for the independent living accommodation in addition to the Monthly Fee or Daily Rate for the new accommodation and for any additional services that are required. If the Resident transfers on a permanent basis to an Assisted Living Unit or Skilled Nursing Bed, the Resident will enter into a new agreement for the type of accommodation that he or she is

entering, be responsible for the Monthly Fee or Daily Rate for the new accommodation and for any additional services that are required, and will release the independent living cottage or apartment.

Nursing Care. The Obligor participates in the Medicare and Medicaid programs. The items and services included in the Daily Rate for nursing care include room, board, nursing care (except of itemized charges), emergency call and response, bathing and grooming supplies, personal laundry, linen and bedding service, social services, and use of walkers and other assistive devices as needed. Some of the items and services available in the Skilled Nursing Beds are not included in the Daily Rate and are listed below. Residents are notified of items charged at an additional rate.

- Supplies and care related to specialized services provided in addition to the Daily Rate such as catheter care, decubitus care, tube feeding, etc.;
- Laboratory services;
- Oxygen services;
- Radiology services;
- Physician services;
- Medications;
- Medical equipment and supplies;
- Dental and other specialized physician services;
- Beautician and barber services;
- Transportation services;
- Private television and cable;
- Private telephone; and
- Physical, speech and occupational therapy services

Financial Assistance

The Resident Assistance Fund is available to assist Residents with the cost of rent, medical expenses, hearing aids, dental work, transportation, exercise programs and other expenses deemed necessary and important for quality of Resident life. The Resident Assistance Fund is funded from donations from within and outside of the Community. The Resident Assistance Fund is utilized for Residents who demonstrate the need for rental assistance and help with medical expenses. A Resident must complete an application and submit it to the Director of Resident Services. If the application is accept, the Executive Director then coordinates with the Resident to provide assistance. The balance of the Resident Assistance Fund as of March 31, 2018 was \$217,491. The Resident Assistance Fund has provided \$17,395 in support through March 31, 2018.

THE PROJECT

Project Summary

The Obligor wishes to position the Community for growth and ongoing service to its senior-aged Residents and the surrounding community by renewing, renovating, and expanding its existing structures and by creating new living units and infrastructure. The Project is expected to significantly improve common gathering spaces, dining and provide high energy efficiency buildings.

The proceeds from the sale of the Series 2018 Bonds will be used by the Obligor, together with advances of the Series 2018B Bond, to finance, refinance or reimburse the costs of improvements to the Community including, but not limited to, (a) the renovation and expansion of the Obligor's existing commons building, (b) the demolition and removal of two vacant cottages, (c) the construction, furnishing and equipping of approximately 14 new residential cottage independent living units (the "Project Independent Living Cottages") and approximately 33 independent living apartment units (the "Project Independent Living Apartments," and together with the Project Independent Living Cottages, the "Project Independent Living Units") and approximately 33 residential apartment independent living units to be located in approximately three buildings, and (d) other associated site work and development (the "Project"). The Project will position the Community to attract potential Residents with a wide range of income providing distinct offerings for seniors.

The 47 Project Independent Living Units have been designed to meet the LEED Gold Standard, and the Obligor intends to certify all 47 Project Independent Living Units with the LEED for Homes Gold Program following completion of construction. Upon completion of the Project, the Community is expected to include 195 total living units, consisting of 72 independent living cottages or apartments, 20 rental apartments, 21 assisted living units, and 82 skilled nursing beds, together with common facilities that serve the entire Community.

The Obligor plans to construct the HFA Building through a partnership with Homes for America, Inc., who will operate the HFA Building. The HFA Building will not be part of the Project, and none of the proceeds of the Series 2018 Bonds will be used to finance the HFA Building or its site improvements. It is not expected that any substantial portion of the revenues from the HFA Building will be distributed to the Obligor and available for repayment of the Series 2018 Bonds.

The following table highlights the number of units at each level of care at the Community before, during, and after, completion of the Project:

Level of care	Current Mix	Removed	Added	Mix Upon Completion
Low Income Apartments	75	55	0	20
Independent Living Units	30*	5†	47	72
Assisted Living Units	21	0	0	21
Nursing Beds	82	0	0	82
Total	208	60	47	195

* This number consists of 25 Existing Independent Living Cottages and 5 Existing Independent Living Apartments. From the time that management of the Obligor delivered the assumptions to the Feasibility Consultant in connection with the Feasibility Study (which included an Existing Independent Living Cottage count of 24), an additional Existing Independent Living Cottage became available for resident use. Therefore the Feasibility Study reflects an Existing Independent Living Unit count of 24 while this chart reflects 25 Existing Independent Living Cottages. Furthermore, the current licensing from Maryland Department of Aging authorizes 32 independent living units (other than the Project Independent Living Units). The Obligor has two additional independent living units that are not currently being utilized for resident use – the former executive director’s cottage and the cottage being utilized for marketing of the Project such that the two independent living units not available for residents plus the 30 currently available for residents equals the 32 total approved and built independent living units presently located at the Community.

† This number represents the existing “Cottage Apartments in Friends House – Units C26-C30,” the residents of which are expected to be transferred to the market-rate Low Income Apartments after completion of the HFA Building.

Advance Work Underway

In order to facilitate construction of the Project, a portion of the Project has commenced and as follows:

- The General Contractor (defined below) has been released to proceed with a select amount of procurement work in advance of the closing of the Series 2018 Bonds. It primarily entails ‘best and final’ negotiations with low-bid subcontractors as well as submittals and materials ordering for long-lead items or materials that will be needed onsite immediately after receiving Notice to Proceed #2, upon closing of the Series 2018 Bonds.
- Washington Gas has been released to proceed with critical gas line relocation activities on the site. This work has been completed and was invoiced and paid in January 2018.
- The Obligor, with support from the Development Consultant (defined below) and the Homebuilder (defined below), is proceeding with the resident options and upgrades selection process (flooring finishes, countertop colors, etc.).

- The Obligor is proceeding with a temporary gas line installation in the commons building to accelerate progress toward the Washington Gas easement quitclaim with respect to the HFA Building.

Pre-Finance Funding

As of August 10, 2018, the Obligor has spent approximately \$4,705,853 on planning, design approvals and marketing for the Project, which was funded from the Obligor's cash reserves and a \$2 million line of credit from a commercial bank, which will be repaid in full prior to or concurrent with the issuance of the Series 2018 Bonds. Upon issuance of the Series 2018 Bonds, the Obligor intends to be reimbursed from proceeds of the Series 2018A Bonds for all such qualifying expenditures.

Reservation Agreement

In order to reserve a Project Independent Living Unit, a prospective Resident must execute a Reservation Agreement ("Reservation Agreement"), provide self-disclosure of his/her health and finances, and place a refundable deposit equal to at least 10% of the Entrance Fee on the selected Project Independent Living Unit (a "Reservation Deposit"). The Obligor utilizes a financial screening software to financially qualify prospective Residents. To qualify based on health parameters, a prospective Resident must have the ability to live independently with reasonable support services and be at least 62 years old. The Reservation Agreement allows the prospective Resident to choose the selected Project Independent Living Unit and indicate his or her intent to execute a Residence and Services Agreement. Upon payment of the full Entrance Fee, a resident is provided priority direct admission to the Project Independent Living Unit depending on availability.

THE PROJECT TEAM

The Architect

The Obligor has selected Lenhardt Rodgers Architecture + Interiors of Fort Washington, Pennsylvania (the "Architect") as the architect for the Project. The Architect provides planning and design services, specializing in senior living and non-profit organizational support. In connection with the Project, the Architect has and will provide services for both aspects of the Project. With respect to the Homebuilder Work (defined below), the Architect provided initial master planning and schematic design services (the "Schematic Design Drawings"). The Architect has not had any further involvement with the Homebuilder Work since October 2017 and will not going forward. With respect to the Commons Work (defined below), the Architect has provided design services. During the course of the Commons Work, the Architect will also review progress payment applications submitted by the General Contractor as they relate to the building scope of the Commons Work.

A representative list of the Architect's senior housing projects consisting of new construction, repositioning, expansion and renovation projects includes, the following:

Project Name and Location	Project Type	Construction Costs	Completion Date
Shepherd's Crossing at Christ's Home, Warminster, PA	New CCRC including commons, skilled nursing, assisted living, independent living and cottages	\$39,000,000	2013
The Cornerstone at Simpson House, Philadelphia, Pennsylvania	Independent living addition and renovation of existing building, including bistro, fine dining, auditorium, fitness, theater, salon and other spaces	\$14,000,000	2018

Project Name and Location	Project Type	Construction Costs	Completion Date
WEL Upper Moreland, Hatboro, Pennsylvania	New senior living community including commons, assisted living, independent living, cottages and renovations to historic building	\$18,000,000	2003 and 2010
The Hickman Anna Jeanes Building, West Chester, Pennsylvania	New personal care/assisted living and memory care building including commons, dining and other spaces	\$13,000,000	2018
Methodist Manor House, Seaford, Delaware	Cottages and new entrance, expansion of common areas, new apartment wing, nursing, assisted living and dining renovations	\$10,000,000	2006

The Civil Engineer

The Obligor has selected Macris, Hendricks & Glascock, P.A. of Montgomery Village, Maryland (the “Civil Engineer”) as the civil engineer for the Project. The Civil Engineer provides comprehensive civil design and regulatory permitting and approvals management. The Civil Engineer has provided design services with respect to the Civil and Sitework Work (as defined below). During the course of the Civil and Sitework Work, the Civil Engineer will also review progress payment applications submitted by the General Contractor.

The following is a representative list of the Civil Engineer’s experience:

Project Name	Location	Construction Costs	Completion Date
Olney Assisted Living	Olney, Maryland	\$5,500,000	Fall 2014
Alfred House Symphony	Derwood, Maryland	\$6,000,000	Fall 2017
Arts Senior Living – Potomac	Potomac, Maryland	\$14,000,000	Begins Summer 2018
Tribute at Black Hill	Germantown, Maryland	\$25,000,000	Fall 2019
Victory Court	Rockville, Maryland	\$20,000,000	Fall 2013

The Design Support Consultant

The Obligor has engaged Architectural Support Group (the “Design Support Consultant”) to provide design review services. The Design Support Consultant has provided design review services with respect to the design of the Project Independent Living Units. The Design Support Consultant will also advise the Obligor during the course of construction regarding the progress and quality of the Homebuilder Work.

The following is a representative list of the Design Support Consultant’s experience:

Project Name	Location	Scope of Work	Completion Date
N Street Condominiums	Washington, D.C.	Third party document review; waterproofing consulting and construction oversight	Ongoing
Lutheran Village at Miller’s Grant	Ellicott City, Maryland	Exterior waterproofing consulting and construction oversight	2017

Project Name	Location	Scope of Work	Completion Date
Carroll Lutheran Village	Westminster, Maryland	Analyze water infiltration structure; solicit bids and oversee reconstruction of structures	2016
Ingleside at King Farm	Gaithersburg, Maryland	Analyze water infiltration issues and work with builder to resolve	2013
Waters Edge Condominium	Belcamp, Maryland	Analyze water infiltration issues; develop solutions	2016

The General Contractor

The Obligor has engaged Warfel Construction Company (the “General Contractor”) to provide general contractor services with respect to the renovations of the existing commons building (the “Commons Work”) and the civil and sitework portion of the Project (the “Civil and Sitework Work”). Founded in 1911, the General Contractor provides construction management and general contracting services in many market segments including continuing care facilities, commercial, municipal and non-profit. The General Contractor is headquartered in East Petersburg, Pennsylvania. The General Contractor has a bonding capacity of \$200 million.

The following is a representative list of the General Contractor’s experience:

Sponsor	Project	Status	Project Cost
Liberty Lutheran	Village at Penn State Community Building	In Progress	\$2.8 Million
Masonic Village at Elizabethtown	Home Health Office Renovations	In Progress	\$1.2 Million
Capitol Seniors Housing	Assisted Living Facility	In Progress	\$18.4 Million
Presbyterian Senior Living	Cathedral Village Renovations	In Progress	\$7.3 Million
Kendal, Collington	Bistro Renovations	Complete	\$2.7 Million
Menno Haven	Penn Hall Renovations	Complete	\$2.9 Million

The Obligor and the General Contractor entered into a Guaranteed Maximum Price for Preconstruction and Construction Services Agreement dated June 6, 2018, with respect to the Commons Work and the Civil and Sitework Work scope of the Project for a guaranteed maximum price of \$9,529,966 (the “Warfel Construction Contract”).

The substantial completion dates listed below are based upon the construction schedule in the General Contractor’s proposal, Exhibit R to the Warfel Construction Contract, and a July 16, 2018 Notice to Proceed #2. As a result, the Obligor expects to enter into change orders with the General Contractor to account for adjustments to the below schedule. Currently, substantial completion dates with respect to the Commons Work and the Civil and Sitework Work are as follows:

- Rear of Commons Sitework: October 2018
- Front of Commons Sitework: September 2018
- New Entrance Sitework: October 2018
- Cottages & Lodges Sitework: November 2018
- Temp Kitchen: October 2018
- Main Kitchen: February 2019
- Kitchen Expansion: May 2019
- Commons Renovation: July 2019
- Commons Addition: March 2019

In the event the General Contractor does not substantially complete certain construction components of the Commons Work within the specified substantial completion period, based on the dates provided in the paragraph above and subject to adjustment as set forth therein, the General Contractor will be liable to the Obligor for liquidated damages as follows:

- Per diem Liquidated Damages of \$125 for the Inner Loop Cottage Building Pads (#1, #3, #5, and #7) after October 30, 2018
- Per diem Liquidated Damages of \$90 for the Outer Loop Cottage Building Pads (#2, #4 and #6) after December 1, 2018
- Per diem Liquidated Damages of \$200 for the Lodge #7 Building Pad after September 20, 2018
- Per diem Liquidated Damages of \$300 for the Lodge #13 and #14 Building Pads after November 20, 2018
- Per diem Liquidated Damages of \$100 for the HFA Site after October 26, 2018

Except as set forth above, the General Contractor shall not be liable to the Obligor for liquidated damages with respect to any other delay in achieving substantial completion of the Civil and Sitework Work or the Commons Work. The General Contractor will procure and provide a performance and payment bond for the full amount of the Warfel Construction Contract at a not to exceed cost of \$59,477 to the Obligor, which will cover the entire amount of the Warfel Construction Contract.

A limited Notice to Proceed authorizing early procurement was given by the Obligor to the General Contractor on May 17, 2018.

The Home Builder

The Obligor has engaged Williamsburg Group, LLC (the “Homebuilder”) to provide design-build services for the Project Independent Living Units portion of the Project (the “Homebuilder Work”). The Homebuilder has engaged its own architect, DW Taylor Associates, Inc. (the “Homebuilder’s Architect”), to complete the design drawings. The completed design drawings have met the general intent of the Schematic Design Drawings provided to the Homebuilder and have been approved by the Obligor.

The Homebuilder is a private builder operating in Columbia, Maryland, ranked in 2014 by Hanley Wood as the tenth largest builder in the Baltimore metropolitan area. The Homebuilder began operations in 1983 and has operated successfully for over 34 years.

The following is a representative list of the Homebuilder’s experience:

Sponsor	Project	Status	Project Cost
Carroll Lutheran Village	Lutheran Village at Miller’s Grant	Complete	\$10.1 million
Williamsburg Homes	Estates at Clarksville	Complete	\$12.1 million
Williamsburg Homes	Creekside & Osprey Landing	In Progress	\$41.4 million
Williamsburg Homes	Stanmore	In Progress	\$14.3 million
Williamsburg Homes	Morgan Creek	In Progress	\$27.1 million

The Obligor has entered into that certain Agreement Between Friends House Retirement Community and Williamsburg Group, LLC, dated as of December 18, 2017, as amended by Change Order #1 dated June 11, 2018 (together, the “Williamsburg Construction Contract”), in connection with the Homebuilder Work portion of the Project for a guaranteed maximum price of \$10,048,486.34 (the “Contract Price”). The Williamsburg Construction Contract also provides for design development preconstruction services in the amount of \$302,620 to be paid by the Obligor to the Homebuilder (the “Preconstruction Services Fee”), of which \$229,600 has been paid as of May 31, 2018. The Preconstruction Services Fee are not included in the Contract Price.

The Williamsburg Construction Contract requires the Homebuilder to substantially complete construction of its respective portion of the Project on or before the following dates:

- Cottages: 150 days from a notice to proceed, provided that the General Contractor has turned the site pad over to the Homebuilder not less than five days prior to first construction activity. Each subsequent cottage shall be completed within 14 days after the required substantial completion of the prior duplex
- Lodge #13: 260 days based on a notice to proceed, provided the General Contractor has turned the site pad over to the Homebuilder not less than five days prior to first construction activity
- Lodge #14: 260 days based on a notice to proceed, provided the General Contractor has turned the site pad over to the Homebuilder not less than five days prior to first construction activity
- Lodge #7: 320 days based on a notice to proceed, provided the General Contractor has turned the site pad over to the Homebuilder not less than five days prior to first construction activity

In the event the Homebuilder does not achieve substantial completion in accordance with the dates set forth above, the Homebuilder will be liable to the Obligor for liquidated damages for each day that the relevant portion work extends beyond the substantial completion date set forth above. Per diem liquidated damages for the cottages and lodges are as follows:

- Cottages \$200 per day per unit
- Lodges \$1,000 per day, per 10-unit building
- Lodges \$1,400 per day, per 13-unit building

For purposes of calculating the per diem liquidated damages, substantial completion is the date, as proposed by the Homebuilder and approved by the Obligor, when the work on a group of cottages and lodges, as grouped in the Williamsburg Construction Contract, satisfies all of the following conditions (except to the extent the same shall be specifically waived or modified in writing by the Obligor). The Homebuilder is solely responsible for all of the Homebuilder Work necessary to accomplish these conditions:

- The Homebuilder Work or designated portion thereof has been completed in accordance with the Williamsburg Construction Contract documents (except for minor punch list work in accordance with a punch list prepared by the Homebuilder, in consultation with the Obligor);
- All heating, plumbing, ventilating and air conditioning systems included in the Homebuilder Work, or designated portions thereof, are fully operational and functioning in accordance with the Williamsburg Construction Contract documents;
- All life safety systems or designated portions thereof, included in the Homebuilder Work are fully operational and functioning in accordance with the Williamsburg Construction Contract documents;
- The Homebuilder Work, or designated portion thereof, is suitable for its intended use; and
- A final Certificate of Occupancy or a Temporary Certificate of Occupancy (as may be appropriate for a designated portion) for each of the cottages and lodges in the group has been issued by the governmental authorities having jurisdiction thereof.

Under the Williamsburg Construction Contract, the Homebuilder will procure a performance bond and/or a labor and material payment bond naming the Obligor as obligee thereunder prior to or contemporaneously with the closing of the Series 2018A Bonds, with respect to the Homebuilder's performance under the Williamsburg Construction Contract. At a minimum, the penal sum for each such bond shall be in an amount equal to one hundred percent of (100%) the Contract Price. The cost to the Obligor of any such bond shall be \$140,908.67, which is 1.56% of the total building costs portion of the Contract Price.

A Notice to Proceed will be issued by the Obligor to the Homebuilder upon closing on the Series 2018 Bonds.

The Development Consultant

On December 7, 2015, the Obligor executed a contract with Eventus Strategic Partners, LLC (“Eventus”), a project development and financial consulting firm specializing in continuing care retirement communities, to review the revised Project’s expected development costs, financial projections, and the status of the Obligor’s marketing and sales efforts. Prior to that time Eventus worked on a consulting basis with the Obligor and those costs are not included in the project costs. A representative list of Eventus’ current and prior projects includes the following:

Project Name and Location	Project Type	Completion Date
Lutheran Haven Retirement Community Oviedo, FL	Repositioning of independent living units, overseeing the development of marketing plans and design for the initial phase of replacement independent living and new community space.	Ongoing
Lutheran Haven Oviedo, Florida	42 unit residential expansion and addition of Common areas. Presently under construction- completion December 2018.	Ongoing
Whitney Center Hamden, CT	Planning for major independent living addition and healthcare facility replacement; 88 apartments in a new seven-story building; a 218-seat Cultural Arts Center, a bistro/marketplace and expanded and redesigned main dining room, new parking garage, and a glass-walled interior promenade called Main Street that includes an art gallery, salon/spa, and expanded library.	2011
Lutheran Village at Miller’s Grant Ellicott City Maryland	Served as Development Manager for the planning and Construction of a new retirement community, 241 independent living units and 32 health care beds and common areas. \$161M project.	2016
Gurwin Jewish Healthcare Foundation Commack, NY	Gurwin purchased land contiguous to its existing nursing and assisted living campus with the intention of expanding its campus to include independent living. Project is in Marketing stage.	Ongoing
Christian Health Care Center Wyckoff, NJ	Eventus completed revised development plans for a campus expansion to include the addition independent living units adjacent to its existing skilled nursing and assisted living healthcare facilities. The revised development plan includes 150 apartments and an approximate 40,000 sf commons area. Expected to begin construction in Spring of 2019.	Ongoing

The Obligor and Eventus entered into that certain Project Coordination Agreement dated December 7, 2015, as amended by that certain Amendment 1 to Project Coordination Agreement dated September 1, 2016 and that certain Amendment 2 to Project Coordination Agreement dated May 1, 2018 (collectively, the “PC Agreement”). The PC Agreement requires the Obligor to pay Eventus \$1,300,000 for Eventus’ provision of development consulting services related to the Project. Eventus’ responsibilities under the PC Agreement include its overall management of the Project’s development and timeline; development planning; development team engagement and management; coordination of architectural, construction, and interior plans; and the coordination and oversight of the approved operating and construction budget, as well as the Project’s financing activities. Eventus is related to Aegis Property Group, which is a project management firm serving health care, education and general business clients. Eventus further pledged the involvement of its President, Alan B. Wells, its Partners, William T. Yost and James L. Price, its Associate, Jack A. Garrett, and its Development Manager, Beth Smith and

other support staff as required. A summary list of these individuals' credentials and experiences includes the following:

- Alan B. Wells, CPA (President): Mr. Wells focuses on strategic and financial planning, as well as financing. Mr. Wells' experience includes 28 years with KPMG, where he served as partner-in-charge of KPMG's senior living consulting practice, and six years as an investment banker with Wheat First Securities.
- William T. Yost (Partner): Mr. Yost focuses on strategic planning, operations and financial modeling and financing. He has been an Eventus partner for 12 years. Mr. Yost's experience includes 26 years with Kendal®, where he served as director of finance and project development.
- James L. Price (Partner): Mr. Price focuses on master planning, budgeting, scheduling and construction. Mr. Price's experience includes 25 years with Aegis Property Group with a sole focus on senior living projects under Eventus since 2005. Mr. Price has a background in Construction and Project Management prior to joining Aegis.
- Besides the Principals, who are involved in the development of the Obligor, the following individuals are also active on the Project:
 - Jack A Garrett, Development Manager, focuses on budgeting, scheduling, permitting, design and construction. Mr. Garrett's experience includes two years with Aegis Property Group in senior living and healthcare; prior experience includes more than ten years as project manager in the healthcare sector as both owner and contractor. Mr. Garrett has a Masters of Business Administration with a concentration in Corporate Finance and Leadership from the University of San Diego and a Bachelors of Science in Construction Management from Drexel University. Mr. Garrett's professional certifications include LEED and DBIA.
 - Beth Smith, Assistant Development Manager focuses on design and construction. Ms. Smith's experience includes a year and a half with Aegis Property Group and Eventus Strategic Partners. Previously, Ms. Smith worked as a project manager for clients such as The Baldwin School, The Barnes Foundation, and numerous corporate and private residential projects. Ms. Smith has a BFA in Art History with a minor in Interior Design from Moore College of Art and Design.

Additional Eventus staff members will be appointed to assist with the Project as needed. The PC Agreement is comprised of three phases: (1) entitlement and planning phase; (2) implementation phase; (3) construction (ending upon the Obligor's receipt of a certificate of occupancy from Montgomery County, Maryland and the MDOA); through the duration of the PC Agreement's three phases, the Obligor is obligated make the following payments to Eventus:

- | | |
|----------|---|
| Phase 1: | Six payments of \$25,000 and one payment of \$13,000 for a total of \$163,000, which has been paid; |
| Phase 2: | a total of \$550,000, to be paid over the preparation and implementation period, in three monthly payments of \$12,500, 12 monthly payments of \$35,000 and one final payment of \$92,500 (which payments may be adjusted in the event that the implementation period is shorter or longer than 12 months so that the total payments equal \$550,000). \$427,500 of which has been paid as of June 1, 2018; |
| Phase 3: | a total of \$587,000, to be paid over the construction period plus three months close out period, 18 months in 17 equal payments of \$32,600 and one final payment of \$32,800. |

In addition to the fees described above, Eventus is also entitled to reimbursement for all travel expenses incurred in connection with the Project.

The Construction Monitor

jhme Real Estate Advisors, LLC (the “Construction Monitor”) has been selected as the construction monitor for the Project. The Construction Monitor is a fully integrated national consulting and due diligence firm. The Construction Monitor has worked on various projects with its clients for all asset classes and has represented its clients in over \$44 billion of acquisition, debt, mezzanine equity and construction capitalization strategies over the past ten years. The Construction Monitor was formed twenty-eight years ago with a focus on engineering and architectural services.

Pursuant to the Construction Disbursement and Monitoring Agreement dated as of August 1, 2018 (the “Construction Disbursement Agreement”), between the Obligor, the Construction Monitor, the Master Trustee and Compass Mortgage Corporation (the “Series 2018B Lender”), the Construction Monitor has been engaged to review disbursement requests made by the Obligor with respect to proceeds of the Series 2018 Bonds. Such disbursement requests shall be in the form attached to the Construction Disbursement Agreement and shall be supported by documentation and information required by the Construction Monitor. The Obligor shall be entitled to an advance only in an amount approved by the Construction Monitor in accordance with the terms of the Construction Monitoring Agreement. The Construction Monitor shall also make monthly site visits to review each disbursement request and provide summaries of such visits in an Inspection Services Report, containing the information required by the Construction Monitoring Agreement.

MARKETING

Marketing efforts for the Project began in May 2017. With a waitlist of approximately 50 prospective Residents for the 32 Existing Independent Living Units at the outset of the planning process, the leadership of the Obligor proceeded with the Project with the expectation that a redevelopment and expansion project would serve not only those prospective Residents on the waitlist but others in the local market as well. To test this assumption, in 2015, a national market research firm specializing in senior living was engaged for market research and testing of the waitlist. The results of focus groups convened with a combination of waitlist members and local age and income qualified prospective Residents (including a number from a list of Quaker prospective Residents) indicated support for an expansion project at the Existing Community that would include new independent living units and renovated and expanded community spaces and dining.

As the planning, design and local approval process for the Project began, GlynnDevins (“GD”) was engaged to provide marketing and sales support to the Obligor for the Project, as well as assistance with branding, website design and development of updated collateral materials, all coordinated as part of a strategy of preparing for the kick-off of the marketing program. GD developed a marketing budget and specific strategies for bringing the Project to market.

An approval from the MDOA is required before a continuing care retirement community can begin marketing new independent living units in the State of Maryland. The Obligor submitted an application with respect to the Project Independent Living Units to MDOA in 2016, with an approval received in April 2017. The Obligor officially began its marketing program for the Project Independent Living Units with its first Priority Program event at the end of May 2017. Over the remainder of 2017 and into 2018, 14 events attended by over 450 people were held in support of the Priority Program, called the Circle of Friends program (“COF”).

During the fall of 2017, GD assisted the Obligor in the selection of additional marketing staff for the Project, including training and oversight. A cottage at the Existing Community was renovated into the current marketing office in anticipation of the start of the conversion from COF priority deposits to 10% deposits.

Reservation of Independent Living Units

Beginning in November 2017, the conversion to reservations process began with existing Residents, followed by the original priority list depositors and then with new COF members.

Waitlist Circle of Friends Program and 10% Deposits

By joining the COF, prospective Residents were asked to make a \$500 deposit and get a priority number for the future selection of a Project Independent Living Unit. Prospective Residents on the waitlist were transferred to the COF, followed by those who had attended focus groups during the market research phase and the general public. A \$500 refundable pre-residency deposit secures placement on a waiting list for either an Existing Independent Living Unit or a Project Independent Living Unit. Unit preference is submitted with the waitlist deposit. The waitlist deposit is held in a non-interest bearing account, refundable at any time prior to execution of a Reservation Agreement. The original 65 priority depositors had paid a fee of \$700 plus a \$300 application fee. When deposits started in May 2017 for the Project Independent Living Units, the COF program was changed to require a \$500 deposit. The Obligor continues to accept prospective Residents to the COF program while taking 10% deposits for the Project Independent Living Units. Of the 100 net COF participants, 32 (net of refunds) have converted their COF deposit to 10% deposits as of July 11, 2018.

The following table shows the number of 10% deposits starting in November 2017.

	Gross Depositors	Gross Cancellations	Net Depositors	Cumulative Depositors	Percentage of Total Units
2017					
November	3	--	3	3	6%
December	2	--	2	5	11
2018					
January	12	--	12	17	36
February	5	--	5	22	47
March	11	1	10	32	68
April	7	1	6	38	81
May	--	3	-3	35	74
June	2	4	-2	33	70
July	--	1	-1	32	68
August*	--	--	--	32	68
Totals	42	10	32	32	68%

* Through August 10, 2018

Of the 47 Project Independent Living Units, 32 have been reserved with 10% deposits as of August 10, 2018. Between May 2018 and July 2018, there were eight refunds of the 10% deposits. Five refunds were the result of couples that decided to remain in their own homes; one refund was due to financial reasons; one refund was due to health reasons; and one refund resulted from a prospective resident selecting a less-costly competitor. In June and July, staff conducted information presentations at the Existing Community yielding five new COF members. Sales staff and sales support consultants also increased calling efforts during this time. Sales information and retention events are planned for late summer and early fall of 2018, including, but not limited to, direct mail invitations.

The below table shows the unit selection from the 10% depositors:

Home Type	Total Deposits	Units Planned
Willow - 1 BR Lodge	3	4
Hickory - 2 BR Lodge	2	8
Maple - 2 BR with Den Lodge	11	14
Oak - 2 BR w/ Den Cottage	9	11
Cedar - 1 BR with Den Lodge	5	7
Magnolia - 1 BR w/Den Cottage	2	3
Totals:	32	47

REGULATORY PERMITS AND APPROVALS

As with all major construction projects, the Obligor must obtain numerous licenses, permits, or approvals from various governmental agencies indicating design compliance with applicable codes and regulations, for actual construction work, and additionally to operate various portions of the Community after completion. Applications for certain approvals may not be made until certain Project site work and detailed administrative review to ensure compliance with approvals already obtained or payment of a fee in other cases approvals may involve the exercise of discretion by governmental authorities.

The various approvals and permits necessary for the Obligor to begin construction and operations of the Project are outlined below as of the date of this Official Statement.

Certificate of Registration

By the terms of the Continuing Care Act and the regulations promulgated thereunder, no provider of continuing care is permitted to offer or enter into a contract for continuing care in the State of Maryland without having obtained a preliminary certificate of registration from the MDOA, and no provider is allowed to operate a continuing care facility without having obtained an initial certificate of registration. After having secured an initial certificate of registration, a provider of continuing care must annually file an application for a renewal certificate within 120 days after the end of the previous fiscal year. The Obligor has a current Certificate of Registration which expires on December 31, 2018, and has a Preliminary Certificate of Registration for the Project Independent Living Units. The Obligor is in the process of filing for an Initial Certificate of Registration to provide continuing care in the new Project Independent Living Units. MDOA has issued an Initial Certificate of Registration dated July 18, 2018, indicating that MDOA has received and reviewed the Application for Initial Certificate of Registration and the draft Financial Feasibility Study prepared by Baker Tilly Virchow Krause, LLP, the final copy of which is attached as Appendix C to this Official Statement.

Any renovation, expansion or development of a facility subject to the Continuing Care Act requires the approval of the MDOA.

In applying for a renewal certificate of registration, a provider is required to provide, among other information, certain financial statements and any changes or additions to the information filed in connection with the initial certificate of registration. Upon review of an application for a renewal certificate, the MDOA may refer the application to the Financial Review Committee established under the Continuing Care Act. The Financial Review Committee will review the matter to determine whether it finds the provider in financial difficulty and whether the financial difficulty includes a significant risk of financial failure and will notify the MDOA of its findings, whereupon the MDOA will make a final determination as to whether the provider is in financial difficulty. If the MDOA finds the provider to be in financial difficulty, the provider is required to cooperate with the MDOA to develop a five-year financial plan to correct causes of the financial difficulty, which must be approved by the MDOA. "Financial difficulty" is defined under the Continuing Care Act to mean current or impending financial conditions that impair or may impair the ability of the provider to meet existing or future obligations. The MDOA may also refer a finding of possible financial difficulty to the Financial Review Committee at any other time.

Project Drawings

Necessary drawings and specifications for pricing, permitting, and construction of the project have been completed by the Architect of record.

Permits and Approvals

The Obligor along with the Architect, the General Contractor, the Homebuilder, the Civil Engineer and the Design Support Consultant (the "Design and Construction Team") are demonstrating compliance with all applicable authorities regarding the design and pre-construction approvals and permits of the Project. In Sandy Spring, Maryland, these include the Maryland-National Capital Park and Planning Commission, the State of Maryland,

Montgomery County, Maryland and the regional water authority, the Washington Suburban Sanitary Commission. The Obligor has also received or applied for all necessary civil-related approvals.

The Obligor has identified, secured and/or is securing the following approvals as required by indicated regulatory authorities:

Approvals received or expected to be received prior to closing on the Series 2018 Bonds (“Closing”):

Maryland Department of Aging

- Initial Certificate of Registration, received.

Zoning

- Montgomery County Board of Appeals Special Exception (Zoning), received.

Sitework and Building Permits

- Montgomery County Department of Permitting Services (“MCDPS”) Soil Erosion, Sediment Control & SWM, Sitework Permit, **technical approval received, final approvals in process, expected prior to Closing**
- MCDPS Cottages, Building Permit, one of each building type approved, **remaining submissions in process**
- MCDPS Lodges, Building Permit, one approval expected prior to Closing, **remaining submissions in process**
- MCDPS Commons Renovation, Building Permit, all approvals expected prior to Closing
- MCDPS Commons Addition, Building Permit, all approvals expected prior to Closing
- MCDPS Maintenance Building, Building Permit, **approved, release pending MCDPS SESC & SWM permit issuance**
- MCDPS Maintenance Shed, Building Permit, **approved, release pending MCDPS SESC & SWM permit issuance**
- Montgomery County Department of Health & Human Services Food Service Facility Renovation, **approved**

Civil Engineering Approvals

- Maryland National Capital Park and Planning Commission (“MNCPPC”) Forest Conservation
- MNCPPC Zoning/Land Development
- MNCPPC Forest Conservation Plan
- MNCPPC Forest Conservation Plan Amendment
- MCDPS Fire Lane Establishment Order
- Maryland Department of Transportation (“MDOT”) State Highway Administration Right-of-Way
- MCDPS County Right-of-Way
- MCDPS Stormwater Management Concept
- WSSC Hydraulic Planning Analysis

Additionally, the General Contractor will secure and/or will obtain remaining necessary trade permits for the Project with the respective regulatory authorities by the start of the related work.

Environmental Study

A Phase I Environmental Site Assessment, which included on-site visual observations of the accessible areas of the Existing Community, was completed by ECS Mid-Atlantic, LLC (“ECS”) on November 1, 2017, as supplemented by that Phase I Addendum dated June 6, 2018 (together, the “Phase I”). The Phase I determined that the Existing Community historically utilized nine underground storage tanks (“UST”). As recommended by the Phase I, a subsurface investigation (the “Phase II”) dated July 17, 2018 was conducted by ECS. As part of the Phase II, ECS collected 11 soil samples, one groundwater sample and three vapor samples from the sites of the USTs. The Phase II provided that two of the samples exceeded screening levels and recommended the following:

- Groundwater under E-Building (future HFA site) tested positive for diesel organics. Remediation would be required if there was human contact with said groundwater, but no wells or springs exist on or adjacent to site. The Phase II further recommends that groundwater encountered during the course of construction be tested for contaminants and, if found, disposed of according to Maryland Department of Energy guidelines.
- Vapor at ED Cottage (future lodge #7 site) tested positive for naphthalene (primary component of mothballs). The Phase II further recommends the inclusion of a hydrocarbon vapor barrier under the slab of the future lodge #7. The Homebuilder has confirmed that the vapor barrier is included in the design per recommendation, also due to compliance with US Green Building Council's Leadership in Energy and Environmental Design for Homes Gold certification requirements.

The Obligor and the Series 2018B Lender will enter into an Environmental Undertaking Agreement dated as of August 1, 2018, whereby the Obligor will agree to undertake certain actions to address certain environmental conditions at the Existing Community identified in the (i) Hazardous Materials Study (defined below) and the (ii) Phase II. The Obligor expects that it will be able to comply with the requirements in the Environmental Undertaking Agreement in due course without any material impact to the schedule for or cost of the Project. For additional discussion of environmental matters see “CERTAIN BONDHOLDERS’ RISKS – Environmental Matters” in the forepart of this Official Statement.

Geotechnical Study

A Subsurface Exploration and Geotechnical Engineering Analysis of the Existing Community was completed as of May 5, 2016. The report provides comments on soil bearing pressures, foundation settlement estimates, placement and compaction of new fills, drainage, and other factors which may influence construction at the site. The recommendation in such analysis for Project design and construction have been incorporated by the Design and Construction Team.

Hazardous Materials Study

A Hazardous Materials Survey was completed by ECS on January 6, 2017 (the “Hazardous Materials Study”) to identify suspect Asbestos-Containing Material. ECS is a United States Environmental Protection Agency accredited inspector. A total of 240 samples were obtained and tested. Sixty-six of the samples tested positive for asbestos varying in levels of friable material ranging from 1.25% to 75% Chrysotile requiring abatement.

ECS has bid out the necessary abatement work and the Obligor has identified a preferred abatement contractor for such work. Access Demolition & Environmental (“ADE”) has been identified as the preferred abatement contractor. ADE has submitted an estimate for the services in the amount of \$124,216. Notwithstanding the foregoing, the Obligor may identify a different preferred abatement contractor once demolition begins. As such, the Obligor has not entered into any contractual agreement with ADE. ECS has also provided a proposal to provide third-party monitoring and certification services in an amount not to exceed \$42,400.

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HISTORICAL FINANCIAL PERFORMANCE

Financial Statements

The Obligor maintains its financial records on the basis of a fiscal year ending June 30. The audited financial statements of the Obligor and related disclosures for the two fiscal years ended June 30, 2016 and 2017, together with the independent auditors' report thereon, are set forth in Appendix B to this Official Statement.

Summary Financial Information

The following are summary statements of operations and changes in net assets of the Obligor for the four years ended June 30, 2014, 2015, 2016, and 2017, which were derived from the audited financial statements of Friends House and Friends Nursing Home, Inc. Prior to September 2017, the Obligor operated as two entities, Friends House and Friends Nursing Home. The financial activity of the two entities has been combined along with elimination of inter-company allocations. Interim financial information is included for the eleven-month period ended May 31, 2018 with comparison to the eleven-month period ended May 31, 2017.

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Selected Statement of Operations Sheet

	June 30				May 31	
	2014	2015	2016	2017	2017	2018
REVENUE, GAINS, AND OTHER SUPPORT						
Patient Service Revenue	9,626,950	10,016,243	11,426,457	10,924,445	9,827,113	8,859,169
Rental Income	1,653,358	1,676,093	1,611,854	1,526,791	1,424,123	1,353,082
Investment gains, net of expenses	582,554	251,078	(244,819)	558,266	519,287	432,268
Net Assets released from restriction	81,363	62,717	44,356	63,329	53,534	58,584
Other revenue	14,908	45,104	36,564	42,956	17,746	88,034
Total revenue, gains and other support	11,959,133	12,051,235	12,874,412	13,115,787	11,841,803	10,791,137
EXPENSES						
Health Care	7,484,559	7,845,053	8,287,727	8,170,263	7,188,787	7,029,296
Administration	1,244,480	1,328,152	1,807,790	1,692,097	1,767,858	1,790,775
Maintenance and Grounds	636,538	685,302	780,954	716,068	500,209	514,000
Utilities	367,962	386,496	380,245	351,626	336,017	374,738
Taxes and insurance	317,637	327,875	319,846	332,681	306,291	289,090
Bad Debt	169,268	137,335	674,938	412,573	242,573	201,667
Interest	15,773	4,161	2,195	545	546	45
Depreciation and amortization	566,407	523,749	490,386	412,287	353,128	310,265
Other	70,703	65,834	56,740	75,043	53,534	58,584
Total Expenses	10,873,327	11,303,957	12,800,821	12,163,183	10,748,942	10,568,460
TEMPORARILY RESTRICTED NET ASSETS						-
Contributions	67,286	81,619	160,939	196,710	184,236	185,120
Assets released from restriction	(81,363)	(62,717)	(44,356)	(63,329)	(53,534)	(58,584)
Total change in temporarily restricted net assets	(14,077)	18,902	116,583	133,381	130,702	126,536
TOTAL CHANGE IN NET ASSETS	1,071,729	766,180	190,174	1,085,985	1,223,563	349,214

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Selected Balance Sheet Information

	ASSETS					
	June 30				May 31	
	2014	2015	2016	2017	2017	2018
CURRENT ASSETS						
Cash and cash equivalents	4,378,227	4,553,478	3,782,134	3,525,386	3,569,300	3,189,180
Accounts receivable, net of allowance	1,323,795	1,915,994	2,261,386	2,651,631	2,864,863	2,613,952
Prepaid expenses	144,007	44,732	64,984	41,254	26,562	26,980
Other current assets	24,285	20,369	12,543	17,996	797,267	-
Total Current Assets	5,870,314	6,534,573	6,121,047	6,236,267	7,257,992	5,830,112
PROPERTY AND EQUIPMENT - NET	7,314,894	7,184,119	7,881,891	8,682,781	8,522,022	10,718,177
OTHER ASSETS						
Investments	3,625,763	3,905,716	3,642,562	4,196,322	4,099,771	4,562,789
Tenant Security & Entry Fee Deposits	112,075	97,015	64,709	65,127	64,916	1,148,904
Deferred Marketing Costs	-	-	-	23,660	-	85,959
Reserves	132,472	142,522	170,147	165,657	199,250	214,260
	3,870,310	4,145,253	3,877,418	4,450,766	4,363,937	6,011,912
TOTAL ASSETS	17,055,518	17,863,945	17,880,356	19,369,814	20,143,951	22,560,200
LIABILITIES AND NET ASSETS						
CURRENT LIABILITIES						
Current portion of notes payable	20,300	4,749	4,749	390,473	-	-
Current portion of mortgage payable	51,935	53,514	23,873	-	4,749	-
Accounts payable and accrued expenses	801,013	904,958	951,734	1,119,486	1,058,282	1,147,991
Other current liabilities	120,751	117,379	21,827	27,279	852,327	2,783
Total Current Liabilities	993,999	1,080,600	1,002,183	1,537,238	1,915,358	1,150,774
NON-CURRENT LIABILITIES						
Notes payable, net of current	15,435	10,686	5,938	1,187	323,428	2,156,383
Mortgage payable, net of current	77,387	23,873	-	-	-	-
Tenant security deposits	71,378	74,187	69,983	65,668	65,882	70,880
Application fees payable	46,900	49,000	46,200	44,100	43,400	41,300
Refundable entry fees	2,061,000	2,070,000	2,010,279	1,889,863	1,826,550	2,959,898
Total non current liabilities	2,272,100	2,227,746	2,132,400	2,000,818	2,259,260	5,228,461
TOTAL LIABILITIES	3,266,099	3,308,346	3,134,583	3,538,056	4,174,618	6,379,235
NET ASSETS						
Permanently Restricted	185,862	185,862	185,862	185,862	185,862	185,862
Temporarily Restricted	118,071	103,994	253,556	386,937	130,702	-
Unrestricted	13,485,486	14,265,743	14,306,355	15,258,959	15,652,770	15,995,103
Total net assets	13,789,419	14,555,599	14,745,773	15,831,758	15,969,333	16,180,965
TOTAL LIABILITIES AND NET ASSETS	17,055,518	17,863,945	17,880,356	19,369,814	20,143,951	22,560,200

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Debt Service Coverage and Days Cash on Hand

	June 30				May 31	
	2014	2015	2016	2017		
Debt Service Coverage Ratio						
Revenue						
Total unrestricted Revenues	11,959,133	12,051,235	12,874,412	13,115,787	11,841,803	10,791,137
Entrance Fee Amortization	-	-	-	-	-	-
Plus Net Entrance Fees	3,600	9,000	(149,914)	(120,416)		
Total Revenue Available for Debt Service	11,962,733	12,060,235	12,724,498	12,995,371	11,841,803	10,791,137
Expenses						
Total Operating Expenses	10,873,327	11,303,957	12,800,821	12,163,183	10,748,942	10,568,460
Less Depreciation/Amortization	(566,407)	(523,749)	(490,386)	(412,287)	(353,128)	(310,265)
Less Interest Expense	(15,773)	(4,161)	(2,195)	(545)	(546)	(45)
Loss on Disposal of Assets	(493)	-	-	-	-	-
Total Adjusted Operating Expenses	10,290,654	10,776,047	12,308,240	11,750,351	10,395,268	10,258,149
Income Available for Debt Service	1,672,079	1,284,188	416,258	1,245,020	1,446,535	532,988
Debt Service						
Principal	63,398	60,273	58,262	28,623		
Interest	15,773	4,161	2,195	545		
Total Debt Service	79,171	64,434	60,457	29,168		
Debt Service Coverage	21.12	19.93	6.89	42.68		
Days Cash on Hand Ratio						
Unrestricted Cash and Investments	8,003,990	8,459,194	7,424,696	7,721,708	7,669,071	7,751,970
Daily Cash Expenses	28,194	29,523	33,721	32,193	31,031	30,621
Days Cash on Hand	284	287	220	240	247	253

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Management's Discussion of Financial Performance

The following paragraphs discuss the results of operations for the four fiscal years ended June 30, 2014 through June 30, 2017 and for the eleven-month periods ended May 31, 2018 and May 31, 2017.

Fiscal Year 2014

In fiscal year 2014, the operating profit was \$1,071,729. Average occupancy was 99% in independent living, 94% in assisted living, and 92% in skilled nursing. Operating revenue in fiscal year 2014 decreased 3.61% from fiscal year 2013 levels, and operating expenses decreased 3.3% from fiscal year 2013. For the fiscal year ended December 31, 2014, the Obligor had a debt service coverage ratio of 21.12 and 284 Days Cash on Hand.

Fiscal Year 2015

In fiscal year 2015, the operating profit was \$766,180. Average occupancy was 100% in independent living, 98% in assisted living, and 89% in skilled nursing. Operating revenue in fiscal year 2015 increased 0.77% from fiscal year 2014. Operating expenses increased 3.96% from fiscal year 2014. For the fiscal year ended December 31, 2015, the Obligor had a debt service coverage ratio of 19.93, and 287 Days Cash on Hand.

Fiscal Year 2016

In fiscal year 2016, the operating profit was \$190,174. Average occupancy was 96% in independent living, 91% in assisted living, and 89% in skilled nursing. Operating revenue in fiscal year 2016 increased 6.83% from fiscal year 2015. Operating expenses increased 13.24% from fiscal year 2015. For the fiscal year ended December 31, 2016, the Obligor had a debt service coverage ratio of 6.89, and 220 Days Cash on Hand.

Fiscal Year 2017

In fiscal year 2017, the operating profit was \$1,085,985. Average occupancy was 99% in independent living, 94% in assisted living, and 94% in skilled nursing. Operating revenue in fiscal year 2017 increased 1.87% from fiscal year 2016. Operating expenses decreased 4.98% from fiscal year 2017. For the fiscal year ended December 31, 2017, the Obligor had a debt service coverage ratio of 42.68, and 240 Days Cash on Hand.

Unaudited Eleven-Month Period Ended May 31, 2018

For the eleven-month period ended May 31, 2018, the operating profit was \$349,214 compared to operating profit of \$1,223,563 for the eleven-month period ended May 31, 2017. The approximately \$874,349 decrease in operating income as of May 31, 2018 compared to May 31, 2017 is mainly driven by an overall decline in the census across all units. The decline in census is attributable to certain factors. With respect to independent living, the Obligor removed eight units from operation in order to convert those units into administrative space and offices. All eight of the units are contained within the Low-Income Housing Building and are being converted for use as space for additional resident services not available in the common areas. The assisted living units saw a slight decrease in census, 0.6%, due to a higher than normal number of discharges. With respect to skilled nursing, there has been an increase in the number of prospective Residents that elect to complete rehabilitation at home rather than at a facility such as the Obligor's, which has contributed to the decrease in census. All of these factors led to a decline in census days at the respective associate rates, which resulted in a decrease in revenue during this period of time. Average occupancy was 99% in independent living, 91% in assisted living, and 78.2% in skilled nursing. For the eleven-month period ended May 31, 2018, the Obligor had 253 Days Cash on Hand. The Obligor did not have any debt service payments for the eleven-month period ended May 31, 2018.

Management Strategy, Future Plans

The Obligor sees its "market niche" as a community with a "Quaker Ethos," elegantly simple and designed to take care of its own residents, including those with limited income and resources.

By Opinion adopted April 12, 2017 and effective May 8, 2017, the Board of Appeals for Montgomery County granted the Obligor's application for a modification of the Friends House, Inc., special exception to permit application pursuant to Section 59-G-2.35 (*Housing, Elderly & Handicapped*) and Section 59-G-2.37 (*Nursing Home or Domiciliary Care Home*) of the Zoning Ordinance to permit a total of 361 new living units for seniors with various care needs as well as a wide range of income levels, to be comprised of 126 new independent living apartment units, 163 lodge independent living apartment units, 24 independent living cottage dwelling units, and 48 assisted living units, subject to certain conditions stated therein. Upon completion of all phases of the development plan, the total units at the Community could be 451 living units (126 independent living apartments; as many as 163 lodge apartments; 32 cottage duplex units; 48 assisted living units; and 82 skilled nursing beds.

Near term development plans include a potential incremental expansion of independent living units through the addition of cottages on undeveloped land in the Existing Community; such incremental expansion would require approval by the Maryland Department of Aging and any indebtedness incurred to develop such incremental expansion would require compliance with the additional debt tests set for the in the Master Indenture. See "REGULATORY PERMITS AND APPROVALS – Certificate of Registration" herein and see Appendix D – COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS – Master Trust Indenture, Section 4.18 (Additional Indebtedness).

Licensures, Certifications and Memberships

The Obligor is licensed as a nursing home by the Maryland Department of Health and Mental Hygiene, Office of Health Care Quality and is certified under the federal Medicare and Medicaid programs. The Obligor maintains membership in professional organizations, including LeadingAge, Friends Services for the Aging (FSA), Peace Church Compliance Program (PCCP) and LeadingAge of Maryland. The Obligor is also licensed with the MDOA under their Continuing Care program.

Employees and Benefits

Currently, the Obligor employs approximately 177 employees, and it does not have any employees represented by a union. The Obligor currently is experiencing no significant problems in hiring or retaining suitable employees.

Investment Policy

The Obligor's current investment guidelines were adopted in 2001 and are outlined below. The account was opened on November 13, 2001. The account was unitized on July 1, 2009, combining two previously separate funds: the Development Fund and the General Fund. The current name of the fund is Friends House Consolidated Fund (the "Fund") and is managed by Trillium Asset Management.

Investment Objectives.

The Fund's major objective is long-term capital appreciation in excess of inflation and investment management fees. The risk and reward tradeoff is characteristic of a balance fund, but will lean slightly toward growth. Long-term competitiveness with representative market averages is desired.

Performance Measures.

The Obligor's fiscal year ends on June 30th. The total return of the Fund will be compared to a combination of 70% of the return on the S&P 1500 index and 30% of the return on the Barclays Government/Corporate Intermediate Index. Investment performance will be evaluated on both a fiscal year and calendar-year basis.

Asset Allocation.

Exposure to both equity and fixed income investments is desired. The investment allocation for the Fund will range between 15% and 35% in fixed income and/or cash equivalent instruments, and between 60% and 80% in equities, in line with Trillium's Aggressive Balanced portfolio model. The portfolio manager has discretion to vary the allocation within these ranges based on market expectations and the relative attractiveness of each investment class.

The equity portion of the Fund will be invested consistent with an All Cap Core style, benchmarked to the S&P 500. The portfolio manager has full discretion over the industry sector weightings. Domestic equities (including preferred stock, convertibles, warrants, and rights) and ADRs are permitted. Exchange traded funds (ETF's) and international mutual funds may be used from time to time to accommodate desired levels of global diversification.

Budgeting

Annually, the Obligor's management team prepares a budget for the following fiscal year. The assumptions used are based on industry trends, best practices and management experience. The CFO compiles the budget for review by the Executive and Finance Committee. The Executive and Finance Committee recommends that the budget be accepted by the Board of Directors.

Service Contracts

The Obligor has multiple service contracts. The three largest service contracts are: (i) food services provided through a contract with Culinary Services Group, LLC, (ii) rehabilitation therapy services, including occupational, physical and speech therapy provided through a contract with HealthPRO Heritage, LLC and (iii) pharmacy services provided through a contract with Friends House Pharmacy, LTD.

Environmental Matters

The Obligor is subject to a wide variety of federal, state and local environmental and occupational health and safety laws and regulations which address, among other things, health care operations, facilities and properties owned and operated by health care providers. At the present time, management of the Obligor is not aware of any pending environmental matters or threatened claims, investigations, or enforcement actions regarding such matters which, if determined adversely to the Obligor, would have a material adverse effect on its operations of financial conditions. Please see "Environmental Study" and "Hazardous Materials Study" above for a description of certain remedial action being undertaken with respect to underground storage tanks located on the property of the Existing Community.

Property Tax

Pursuant to an Agreement by and between the Obligor and the County dated August 4, 1978 (the "PILOT Agreement"), the Obligor agreed to make certain payments to the County in lieu of the County portion of ad valorem real property taxes. The sum that is payable by the Obligor is based upon the portion of the Existing Community that is occupied by residents of the Low-Income Housing Building. At the time the PILOT Agreement was executed, the Existing Community was subject to ad valorem real property taxes payable to the County and State. Since the execution of the PILOT Agreement, the Maryland State Department of Assessments and Taxation ("SDAT") determined that the Existing Community is exempt from the State portion of ad valorem real property taxes. By virtue of the exemption from State ad valorem real property taxes, the Existing Community would also be exempt from County ad valorem real property taxes. As part of the creation of the HFA Parcel, the tax account associated with the PILOT Agreement is expected to be modified by SDAT to reduce the total area and improvements to exclude that portion which will comprise the HFA Parcel, the tax account and the adjusted remainder of the Existing Community will retain its existing exemptions from both State and County ad valorem real property taxes.

Insurance

The Obligor is a member of Peace Church Risk Retention Group (“PCRRG”). Membership with PCRRG represents a strategic opportunity in contrast to an annual insurance buying decision. Members are the owners and policyholders of the company that provides their professional, general and excess liability insurance protection. In addition, the Obligor has and partakes in exclusive access to a Property & Auto Insurance Program specifically designed for PCRRG Members; these programs are insured by A-rated national insurers.

Members “invest in” and “own” PCRRG exclusively with other nonprofit, aging services providers who are members of the Mennonite Health Services Alliance (MHS Alliance), Friends Services for the Aging (FSA) and the Fellowship of Brethren Homes (FBH). These organizations have common interests, commitments and incentives, and share in the profits of PCRRG, based upon performance.

The Obligor is a member of the Peace Church Property Insurance Trust (“PCPIT”). PCPIT has 11 member campuses in several states and \$482,066,140 in total insurable values. PCPIT also has a Cyber Risk Policy through Travelers. The Obligor maintains a commercial property policy with AIG, with a policy limit of \$482,066,140. Such insurance is the Obligor’s maximum liability coverage in any one occurrence because of all covered loss or damage regardless of the number of covered locations.

The Obligor participates in an employee health plan through Friends Mutual Health Group. Member organizations commit to cooperate with each other in administering and providing a health benefit programs for the employees and eligible dependents of member organizations.

The Obligor is covered by a commercial workers compensation policy from the MEMIC Group. FHRC has a dividend that can be earned based on claims.

All coverage, exposure and deductible limits are reviewed and updated through an annual insurance policy renewal process.

Litigation

There is currently no litigation pending or, to the knowledge of the Obligor, threatened which in the opinion of the Obligor’s management will materially adversely affect the financial conditions or operations of the Obligor.

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APPENDIX B
FINANCIAL STATEMENTS

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FRIENDS HOUSE, INC.
FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2016 AND 2015

**FRIENDS HOUSE, INC.
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INDEPENDENT AUDITORS' REPORT

Board of Directors
Friends House, Inc.
Sandy Spring, Maryland

Report on the Financial Statements

We have audited the accompanying financial statements of Friends House, Inc. (a nonprofit organization) which comprise the statement of financial position as of June 30, 2016, and the related statements of activities and cash flows for the year then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on the financial statements based on our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Board of Directors
Friends House, Inc.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Friends House, Inc. as of June 30, 2016, and the results of its operations, changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matter

The 2015 financial statements of Friends House, Inc. were audited by other auditors whose report dated October 16, 2015, expressed an unmodified opinion on those statements.

A handwritten signature in cursive script that reads "CliftonLarsonAllen LLP".

CliftonLarsonAllen LLP

Baltimore, Maryland
October 19, 2016

FRIENDS HOUSE, INC.
STATEMENT OF FINANCIAL POSITION
JUNE 30, 2016 AND 2015

	<u>2016</u>	<u>2015</u>
ASSETS		
CURRENT ASSETS		
Cash and Cash Equivalents	\$ 1,766,576	\$ 2,359,427
Accounts Receivable	14,988	3,762
Due from Related Party	12,543	15,837
Prepaid Expenses	45,366	34,842
Other Current Assets	-	2,266
Total Current Assets	<u>1,839,473</u>	<u>2,416,134</u>
PROPERTY AND EQUIPMENT - NET	3,846,164	3,294,172
OTHER ASSETS		
Investments	3,605,203	3,868,427
Tenant Security Deposits	64,709	64,709
Reserve for Replacements	88,582	78,627
Other Reserves	64,293	63,895
Total Other Assets	<u>3,822,787</u>	<u>4,075,658</u>
TOTAL ASSETS	<u><u>\$ 9,508,424</u></u>	<u><u>\$ 9,785,964</u></u>
LIABILITIES AND NET ASSETS		
CURRENT LIABILITIES		
Current Portion of Note Payable	\$ 4,749	\$ 4,749
Current Portion of Mortgage Payable	23,874	53,514
Accounts Payable and Accrued Expenses	203,771	173,696
Other Current Liabilities	9,283	9,283
Total Current Liabilities	<u>241,677</u>	<u>241,242</u>
NONCURRENT LIABILITIES		
Note Payable, Net of Current Portion	5,937	10,686
Mortgage Payable, Net of Current Portion	-	23,873
Tenant Security Deposits	69,983	74,187
Application Fees Payable	46,200	49,000
Entry Fees Payable	2,010,279	2,160,193
Total Noncurrent Liabilities	<u>2,132,399</u>	<u>2,317,939</u>
Total Liabilities	2,374,076	2,559,181
NET ASSETS		
Permanently Restricted	185,862	185,862
Temporarily Restricted	253,556	136,973
Unrestricted	6,694,930	6,903,948
Total Net Assets	<u>7,134,348</u>	<u>7,226,783</u>
TOTAL LIABILITIES AND NET ASSETS	<u><u>\$ 9,508,424</u></u>	<u><u>\$ 9,785,964</u></u>

See accompanying Notes to Financial Statements.

**FRIENDS HOUSE, INC.
STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2016**

	Unrestricted	Temporarily Restricted	Permanently Restricted	Total
REVENUE, GAINS AND OTHER SUPPORT				
Rental and Monthly Fee Income	\$ 1,611,854	\$ -	\$ -	\$ 1,611,854
Interest and Dividends, Less				
Investment Expense of \$16,925	37,924	-	-	37,924
Realized Gains on Investments	130,946	-	-	130,946
Contributions	-	160,939	-	160,939
Retail Sales and Services	1,139,796	-	-	1,139,796
Application Fees	1,200	-	-	1,200
Entry Fees	13,524	-	-	13,524
Net Assets Released from Restrictions	44,356	(44,356)	-	-
Total Revenue, Gains and Other Support	2,979,600	116,583	-	3,096,183
EXPENSES				
Administrative and General	1,091,820	-	-	1,091,820
Fundraising	3,380	-	-	3,380
Program Assistance	44,356	-	-	44,356
Utilities	189,425	-	-	189,425
Insurance	109,289	-	-	109,289
Housekeeping	104,981	-	-	104,981
Dietary	284,984	-	-	284,984
Maintenance	668,311	-	-	668,311
Taxes	61,424	-	-	61,424
Interest	2,195	-	-	2,195
Depreciation	201,311	-	-	201,311
Other	9,004	-	-	9,004
Total Expenses	2,770,480	-	-	2,770,480
EARNED INCOME	209,120	116,583	-	325,703
Unrealized Losses on Investments	(418,138)	-	-	(418,138)
CHANGE IN NET ASSETS	(209,018)	116,583	-	(92,435)
NET ASSETS - BEGINNING OF YEAR	6,903,948	136,973	185,862	7,226,783
NET ASSETS - END OF YEAR	\$ 6,694,930	\$ 253,556	\$ 185,862	\$ 7,134,348

See accompanying Notes to Financial Statements.

**FRIENDS HOUSE, INC.
STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2015**

	Unrestricted	Temporarily Restricted	Permanently Restricted	Total
REVENUE, GAINS AND OTHER SUPPORT				
Rental and Monthly Fee Income	\$ 1,676,093	\$ -	\$ -	\$ 1,676,093
Interest and Dividends, Less				
Investment Expense of \$24,197	29,348	-	-	29,348
Realized Gains on Investments	311,726	-	-	311,726
Contributions	(7,242)	81,619	-	74,377
Retail Sales and Services	879,439	-	-	879,439
Application Fees	3,600	-	-	3,600
Entry Fees	15,509	-	-	15,509
Net Assets Released from Restrictions	62,717	(62,717)	-	-
Total Revenue, Gains and Other Support	2,971,190	18,902	-	2,990,092
EXPENSES				
Administrative and General	725,089	-	-	725,089
Fundraising	4,099	-	-	4,099
Program Assistance	55,474	-	-	55,474
Utilities	179,874	-	-	179,874
Insurance	111,627	-	-	111,627
Housekeeping	103,445	-	-	103,445
Dietary	290,625	-	-	290,625
Maintenance	546,504	-	-	546,504
Taxes	59,693	-	-	59,693
Interest	3,848	-	-	3,848
Depreciation	224,468	-	-	224,468
Other	10,360	-	-	10,360
Total Expenses	2,315,106	-	-	2,315,106
EARNED INCOME	656,084	18,902	-	674,986
Unrealized Losses on Investments	(94,274)	-	-	(94,274)
CHANGE IN NET ASSETS	561,810	18,902	-	580,712
NET ASSETS - BEGINNING OF YEAR	6,342,138	118,071	185,862	6,646,071
NET ASSETS - END OF YEAR	\$ 6,903,948	\$ 136,973	\$ 185,862	\$ 7,226,783

See accompanying Notes to Financial Statements.

FRIENDS HOUSE, INC.
STATEMENT OF CASH FLOWS
YEARS ENDED JUNE 30, 2016 AND 2015

	2016	2015
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in Net Assets	\$ (92,435)	\$ 580,712
Adjustments to Reconcile Change in Net Assets to		
Net Cash Provided by Operating Activities:		
Depreciation	201,311	224,468
Net Realized Gains on Investments	(130,946)	(311,726)
Net Unrealized Losses on Investments	418,138	94,274
(Increase) Decrease in Assets:		
Accounts Receivable	(11,226)	13,032
Prepaid Expenses	(8,258)	6,997
(Decrease) Increase in Liabilities:		
Accounts Payable and Accrued Expenses	30,075	(8,676)
Refundable Advances	-	7,243
Other Current Liabilities	-	12,641
Tenant Security Deposits	(4,204)	2,809
Application Fees Payable	(2,800)	2,100
Entry Fees Payable	(149,914)	9,000
Net Cash Provided by Operating Activities	<u>249,741</u>	<u>632,874</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of Property and Equipment	(753,303)	(218,246)
Net Purchase of Investments	(23,968)	(62,457)
Repayment of Advances to Related Party	3,294	3,916
Deposits to Reserve for Replacements	(9,955)	(9,772)
Deposits to Other Reserves	(398)	(278)
Net Cash Used in Investing Activities	<u>(784,330)</u>	<u>(286,837)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments on Capital Lease Obligations	-	(15,551)
Payments on Note Payable	(4,749)	(4,749)
Payments on Mortgage Payable	(53,513)	(51,935)
Net Cash Used in Financing Activities	<u>(58,262)</u>	<u>(72,235)</u>
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(592,851)	273,802
CASH AND CASH EQUIVALENTS - BEGINNING OF YEAR	<u>2,359,427</u>	<u>2,085,625</u>
CASH AND CASH EQUIVALENTS - END OF YEAR	<u><u>\$ 1,766,576</u></u>	<u><u>\$ 2,359,427</u></u>
SUPPLEMENTAL DISCLOSURE OF CASH FLOW INFORMATION		
Cash Paid During the Year For:		
Interest	<u><u>\$ 2,195</u></u>	<u><u>\$ 3,848</u></u>

See accompanying Notes to Financial Statements.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015

NOTE 1 NATURE OF ORGANIZATION

Friends House, Inc. (the Company) is a not-for-profit corporation incorporated in the District of Columbia (Washington, D.C.). The Company's facilities are located in Sandy Spring, Maryland, a suburb of Washington, D.C. The Company provides housing and other related services as a full service retirement community consisting of 100 apartments and 32 cottages. The apartments and cottages provide independent living and offer the benefits of a full service retirement community. The apartment complex operates under Section 202 of the National Housing Act. Such projects are regulated by HUD as to rent charges and operating methods.

The apartments and cottages are subject to agreements. Leases convert to month-to-month agreements after the initial year. The apartment lease agreements require a refundable security deposit and monthly payments of rent. The cottage agreements require an entry fee, of which 90% is refundable, and monthly payments of rent.

The Company and a related party, Friends Nursing Home, Inc., currently operate as Friends House Retirement Community (the Community). The Company is related through a common board of directors to Friends Nursing Home, Inc. Friends Nursing Home, Inc. is a provider of long-term healthcare services and currently consists of comprehensive care and assisted-living beds. The Community is certified as a continuing care retirement community. The Community operates with the utilization of continuing care resident agreements that are subject to the jurisdiction of the Maryland Department of Aging.

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Method of Accounting

The financial statements are prepared on the accrual basis of accounting.

Financial Statement Presentation

The Company is required to report information regarding its financial position and activities according to three classes of net assets: unrestricted net assets, temporarily restricted net assets, and permanently restricted net assets.

Use of Estimates

Management uses estimates and assumptions in preparing financial statements. Those estimates and assumptions affect the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities, and the reported amounts of revenues and expenses. Actual results could differ from those estimates.

Cash and Cash Equivalents

For purposes of the statements of cash flows, the Company considers all short-term debt securities purchased with an initial maturity of three months or less to be cash equivalents.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Accounts Receivables

All customers are subject to credit review, which determines future credit policies, in the ordinary course of business the Company provides credit to customers under standard terms without collateral. A receivable is considered past due if payments have not been received within the agreed upon invoice terms. The Company utilizes the allowance method of accounting for doubtful accounts. The allowance is based on experience, third-party contracts and other circumstances, which may affect the ability of customers to meet their obligations. It is the Company's policy to charge off uncollectible accounts when management determines the receivable will not be collected. Management has determined all accounts receivable to be fully collectable. Therefore, no allowance for doubtful accounts is considered necessary as of June 30, 2016 and 2015.

Property and Equipment

All acquisitions of property and equipment are stated at historical cost, less accumulated depreciation. The Company capitalizes all expenditures for property and equipment costing \$1,000 or more and having useful lives greater than one year. Depreciation is computed on the straight-line method over the estimated useful lives of the depreciable assets. Upon sale or retirement, the cost and related accumulated depreciation are eliminated from the respective accounts, and the resulting gain or loss is included in the change in net assets. Repairs and maintenance charges which do not increase the useful lives of the assets are charged to expense as incurred.

The Company records impairment losses on property and equipment when events and circumstances indicate that it is probable that the assets are impaired and the undiscounted cash flows estimated to be generated by those assets are less than the carrying amount of those assets. Based on management's estimation process, no impairment losses have been recorded as of June 30, 2016 and 2015.

Investments and Investment Income

Investments in marketable securities with readily determinable fair values and all investments in debt securities are reported at their fair values in the statements of financial position. Unrealized gains and losses are included in the change in net assets in the accompanying Statements of Activities. Investment income and gains restricted by a donor, or by law, are reported as increases in unrestricted net assets if the restrictions are met (either by passage of time or by use) in the reporting period in which the income and gains are recognized.

Compensated Absences

Employees of the Company are entitled to compensated absences depending on job classification, length of service, and other factors. The Company's policy is to accrue liabilities for compensated absences as earned.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Loss Contingencies

In the course of its business affairs and operations, the Company is subject to possible loss contingencies arising from federal, state and local environmental, health and safety laws and regulations and third-party litigation. The Company has purchased insurance for medical malpractice on an occurrence based basis. There are no matters that, in the opinion of management, will have a material adverse effect on the financial position, results of operations or cash flows of the Company.

Rental Income

Rental income is recognized as rentals become due. Rental payments received in advance are deferred until earned. All leases between the Company and the tenants of the property are considered to be operating leases. Leases for certain units, fall under the HUD regulatory agreement, and are restricted as to rental increases without prior HUD approval. Rental income, from resident fees, are derived entirely from private pay residents and include monthly rentals of apartments and cottages and additional service charges for dining facilities, other activities and services.

Income Taxes

Friends House is a nonprofit organization that is exempt from income taxes under Section 501(c)(3) of the Internal Revenue Code and is exempt from federal income taxes on related income pursuant to Section 509(a) of the Code.

The Company follows the provisions of the income tax standard regarding the recognition and measurement of uncertain tax positions. Management has determined that this standard does not have a material impact on the financial statements.

The Company is not aware of any activities that would jeopardize its tax-exempt status.

Performance Indicator

The statements of activities include a performance indicator that is shown as "earned income." Changes in net assets which are excluded from such amount, consistent with industry practice, include unrealized gains and losses.

Donated Cash Contributions

Contributions received are recorded as unrestricted, temporarily restricted, or permanently restricted net assets depending on the existence or nature of any donor imposed restrictions on the contributions.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Donated Assets

Donations of marketable securities and other noncash donations are recorded as contributions at fair value as of the date of donation. Such donations are reported as increases in unrestricted net assets unless the donor has restricted the donated asset to a specific purpose. Assets donated with explicit restrictions regarding their use and contributions of cash that must be used to acquire property and equipment are reported as restricted contributions. Absent donor stipulations regarding how long those donated assets must be maintained, the Company reports expirations of donor restrictions when the donated or acquired assets are placed in service as instructed by the donor. The Company reclassifies temporarily restricted net assets to unrestricted net assets at that time.

Donated Services

No amounts have been reflected in the financial statements for donated services. The Company generally pays for services requiring specific expertise. However, individuals volunteer their time and perform a variety of tasks that assist the Company. These services are not material and do not meet the criteria for recognition as contributed services.

Promises to Give

Contributions are recognized when the donor makes a promise to give to the Company that is, in substance, unconditional. Contributions that are restricted by the donor are reported as increases in unrestricted net assets if the restrictions expire in the fiscal year in which the contributions are recognized. All other donor-restricted contributions are reported as increases in temporarily or permanently restricted net assets depending on the nature of the restrictions. When a restriction expires, temporarily restricted net assets are reclassified to unrestricted net assets.

The Company uses the allowance method to determine uncollectible unconditional promises receivable. The allowance is based on the prior years' experience and management's analysis of specific promises made. Management has deemed all the unconditional promises to give to be collectible. Therefore, no allowance for doubtful accounts is considered necessary as of June 30, 2016 and 2015.

Functional Expense Allocation

Directly identifiable expenses are charged to service programs. Expenses related to more than one function are charged to service programs on the basis of periodic time and expense studies. General and administrative expenses include those expenses that are not directly identifiable with any specific program function but provide the overall support and direction of the Company. General and administrative expenses are charged to service programs on the basis of periodic time and expense studies.

Reclassification

Certain items in the 2015 financial statements have been reclassified to conform with the 2016 financial statement presentation.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015

NOTE 3 INVESTMENTS AND INVESTMENT INCOME

The Company follows FASB ASC 820-10 for a single definition of fair value and a framework for measuring fair value in generally accepted accounting principles (GAAP) that is intended to result in increased consistency and comparability in fair value measurements and disclosures. FASB ASC 820-10 also expands disclosures about fair value measurements and applies whenever other authoritative literature requires (or permits) certain assets or liabilities to be measured at fair value, but does not expand the use of fair value.

Items carried at fair value on a non-recurring basis generally consist of assets held for sale. The Company also uses fair value concepts to test various long-lived assets for impairment.

FASB ASC 820-10 requires that fair value be determined by providing a fair value hierarchy consisting of three levels, generally ranging from the most objective determination of fair value to the most subjective. The levels vary depending on the objectivity of the information used in valuation techniques to determine fair value. GAAP refers to the levels as categories of input into those techniques. The three general valuation levels that may be used to measure fair value are as described below:

Level 1: Inputs are quoted prices in active markets for identical assets or liabilities;

Level 2: Inputs to the valuation methodology include: inputs generally are available indirect information, such as quoted prices for similar assets or liabilities in active markets, or quoted prices for identical or similar assets or liabilities in markets that are not active. Additional level 2 inputs may be other than quoted prices that are observable for the asset or liability or inputs derived principally from or corroborated by observable market data by correlation or other means; and

Level 3: Inputs are the most subjective, are generally based on the entity's own assumptions on how knowledgeable parties would price assets or liabilities, and are developed using the best information available in the circumstances.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015

NOTE 3 INVESTMENTS AND INVESTMENT INCOME (CONTINUED)

The following table sets forth, by level, within the fair value hierarchy, the Company's assets, liabilities and fair value as of June 30, 2016 and 2015:

2016				
	Level 1	Level 2	Level 3	Total
Assets				
Investments	\$ 2,851,966	\$ 708,182	\$ -	\$ 3,560,148
Partnership in Interest	-	-	45,055	45,055
	<u>\$ 2,851,966</u>	<u>\$ 708,182</u>	<u>\$ 45,055</u>	<u>\$ 3,605,203</u>
2015				
	Level 1	Level 2	Level 3	Total
Assets				
Investments	\$ 3,052,403	\$ 770,242	\$ -	\$ 3,822,645
Partnership in Interest	-	-	45,782	45,782
	<u>\$ 3,052,403</u>	<u>\$ 770,242</u>	<u>\$ 45,782</u>	<u>\$ 3,868,427</u>

Gains and losses (realized and unrealized) included in changes in unrestricted net assets for the year are reported in the Statements of Activities as investment gains or (losses) for the years ended June 30, 2016 and 2015 as follows:

	2016	2015
Total Gains (Losses) included in Unrestricted Net Assets	<u>\$ 130,946</u>	<u>\$ 311,726</u>
Change in Unrealized Gains (Losses) Relating to Assets Held at Year End	<u>\$ (418,138)</u>	<u>\$ (94,274)</u>

All assets have been valued using a market approach. There have been no changes in valuation techniques and related inputs.

NOTE 4 CASH

At times during the year, the Company maintains cash balances at financial Institutions which exceed the Federal Deposit Insurance Corporation (FDIC) and the Securities Investor Protection Corporation (SIPC) insurance limits. Management believes the risk in these situations to be minimal.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015

NOTE 5 PROPERTY AND EQUIPMENT

Property and equipment consists of the following as of June 30:

	2016	2015
Land	388,196	388,196
Land Improvements	48,656	48,656
Construction in Progress	1,002,576	362,357
Building and Building Improvements	5,987,570	5,887,995
Furniture, Fixtures and Equipment	2,413,969	2,402,848
Vehicles	13,440	13,440
Software	5,756	3,366
Property and Equipment Total	9,860,163	9,106,858
Less: Accumulated Depreciation	6,013,999	5,812,686
	<u>\$ 3,846,164</u>	<u>\$ 3,294,172</u>

Depreciation expense totaled \$201,311 and \$224,468 for the years ended June 30, 2016 and 2015, respectively.

Construction in progress at June 30, 2016 and 2015 consisted of interior design, engineering, and planning and feasibility costs associated with the plans to expand the Company's current campus.

NOTE 6 INVESTMENTS

Investments are reported at the aggregate fair value based upon quoted market prices for those investments, unrealized gains and (losses) are included in the change in net assets in the accompanying Statements of Activities. Investments held by the Company consist of the following:

	Fair Value	Cost	Unrealized Gain/(Loss)
<u>June 30, 2016</u>			
Bonds - Corporate	682,624	674,363	8,261
Bonds - Agency Securities	25,558	25,010	548
Preferred Stocks	60,736	58,947	1,789
Common Stocks	2,791,230	2,539,760	251,470
Partnership Interest in Insurance Company	45,055	45,055	-
Total Investments	<u>\$ 3,605,203</u>	<u>\$ 3,343,135</u>	<u>\$ 262,068</u>

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015

NOTE 6 INVESTMENTS (CONTINUED)

	Fair Value	Cost	Unrealized Gain/(Loss)
<u>June 30, 2015</u>			
Bonds - Corporate	745,211	734,657	10,554
Bonds - Agency Securities	25,031	25,010	21
Preferred Stocks	46,563	14,187	32,376
Common Stocks	3,005,840	2,368,796	637,044
Partnership Interest in Insurance Company	45,782	45,782	-
Total Investments	<u>\$ 3,868,427</u>	<u>\$ 3,188,432</u>	<u>\$ 679,995</u>

Income (loss) on investments included in the change in net assets, consisted of the following at June 30:

	2016	2015
Interest and Dividends	54,849	55,189
Realized Gains (Losses) on Investments	130,946	311,726
Unrealized Gains (Losses) on Investments	(418,138)	(94,274)
Investment Expense	(16,925)	(25,841)
Total Investment Income (Loss)	<u>\$ (249,268)</u>	<u>\$ 246,800</u>

NOTE 7 LINE OF CREDIT

The Company has an unsecured \$30,000 line of credit with a bank. The line of credit requires that the principal outstanding plus any unpaid accrued interest be paid on demand. As of June 30, 2016 and 2015, there were no outstanding draws on the line of credit. Interest is payable on any outstanding draws at a variable interest rate, which was 3.75% as of June 30, 2016 and 2015. For the years ended June 30, 2016 and 2015, there was no interest expense.

NOTE 8 NOTE PAYABLE

The note payable consists of the following at of June 30:

	2016	2015
Note Payable - Payable in monthly installments of \$395, with no interest, matures September 2018. The note is collateralized by certain equipment.	\$ 10,686	\$ 15,435
Less: Current Portion	4,749	4,749
Long-term Portion	<u>\$ 5,937</u>	<u>\$ 10,686</u>

There was no interest expense for both years ended June 30, 2016 and 2015.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015

NOTE 8 NOTE PAYABLE (CONTINUED)

Aggregate annual maturities of the note payable are as follows:

<u>Year Ending June 30,</u>	
2017	\$ 4,749
2018	4,749
2019	1,188
	<u>\$ 10,686</u>

NOTE 9 MORTGAGE PAYABLE

The mortgage is payable to the Department of Housing and Urban Development (HUD) and is collateralized by a deed of trust on the rental property of the Company, plus amounts on deposit with the lender. The note bears interest at the rate of 3.00% per annum. Principal and interest are payable by the Company in monthly installments of \$4,592, through maturity, on January 1, 2017. In addition, monthly deposits for replacement of depreciable assets are required. The Company is subject to restrictions regarding operating policies, rental charges, operating expenditures and distributions as described in the HUD regulatory agreement. The balances consist of the following as of June 30:

	<u>2016</u>	<u>2015</u>
Total Mortgage Note Payable	\$ 23,874	\$ 77,387
Less: Current Portion	<u>23,874</u>	<u>53,514</u>
Long-term Portion	<u>\$ -</u>	<u>\$ 23,873</u>

Total interest expense on the mortgage payable was \$1,590 and \$3,169 for the years ended June 30, 2016 and 2015, respectively.

Aggregate annual maturities of the mortgage payable are as follows:

<u>Years Ending June 30,</u>	
2017	\$ 23,874

**FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015**

NOTE 10 RESIDENT DEPOSIT RESERVES

Resident deposit reserves (included in non-current liabilities) represent funds that are on deposit with, and controlled by, the Company during the period that residents reside at Friends House, Inc. These funds are restricted until termination of the related contracts, at which time they are refunded to the resident less any withholdings prescribed by the related contracts. Resident deposit reserves consist of the following at June 30:

	2016	2015
Tenant Security Deposits	\$ 69,983	\$ 74,187
Application Fees Payable	46,200	49,000
Nonrefundable Entry Fee - Deferred Revenue	83,829	82,950
Entry Fees Payable	1,926,450	2,077,243
	<u>\$ 2,126,462</u>	<u>\$ 2,283,380</u>

Tenant security deposits are refundable to the extent that there are no damages to the related tenant's living unit. Application fees are derived from an initial \$1,000 application fee charged during the admission process of which 70% is refundable. Entry fees are for the Company's cottage program and vary depending upon the unit type and size. The entry fee represents a residency deposit on the value of the living unit. The Company refunds 90% of the entry fee upon termination of the related contract. The fees vary according to the unit to be occupied. The resident deposit reserves do not earn, nor accrue interest during the deposit period. The non-refundable portion of the resident deposit reserves are recorded to revenue as earned.

As of June 30, 2016 and 2015, there are no resident deposit reserves receivables.

NOTE 11 RESTRICTED DEPOSITS

Under the terms of the regulatory agreement, the Company is required to set aside specified amounts for the replacement of property and other project expenditures as approved by HUD. These HUD-restricted deposits equated \$152,875 and \$142,522 for replacement and other reserves (included in other assets), as of June 30, 2016 and 2015, respectively. These amounts are held in separate accounts and are generally not available for operating purposes.

NOTE 12 RELATED PARTY TRANSACTIONS

Due from Related Party

The Company has a related party receivable (included in current assets) in the amounts of \$12,543 and \$15,837 as of June 30, 2016 and 2015, respectively, due from Friends Nursing Home, Inc. The related party receivable is related to working capital advances and is payable upon demand.

**FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015**

NOTE 13 RETIREMENT PLAN

The Company has a contributory 401(k) savings plan covering all employees. Employer contributions to the plan are based upon participant eligibility and amount to a maximum of 2% of eligible compensation. The Company also makes a Safe Harbor contribution to eligible employees of 3% of their compensation. Contributions to the plan were \$25,497 and \$43,702 for the years ended June 30, 2016 and 2015, respectively.

NOTE 14 NET ASSETS

The Company's equity is comprised of permanently restricted, temporarily restricted and unrestricted net assets.

Temporarily restricted net assets consisted of contributions received by the Company that are restricted by the donor.

Temporarily restricted net assets at June 30, 2016 and 2015 consisted of the following:

	2016	2015
Resident Assistance	\$ 167,652	\$ 111,476
Aging Well with Friends	33,627	-
Building	18,970	3,550
Fitness Fund	11,990	-
Other	21,317	21,947
	<u>\$ 253,556</u>	<u>\$ 136,973</u>

Permanently restricted net assets at June 30, 2016 and 2015 consisted of the following:

	2016	2015
Resident Assistance - General	\$ 70,039	\$ 70,039
Resident Assistance - Quakers	36,425	36,425
Nursing Home Activities	5,170	5,170
Friends House Resident Moving to Friends Nursing Home	74,228	74,228
	<u>\$ 185,862</u>	<u>\$ 185,862</u>

Interpretation of Relevant Law

The State of Maryland adopted the Maryland Uniform Prudent Management of Institutional Funds Act (the "Act") effective April 14, 2009. The Board of Directors of the Company has interpreted the Act as requiring the preservation of the fair value of the original gift as of the gift date of the donor-restricted endowment funds absent explicit donor stipulations to the contrary.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015

NOTE 14 NET ASSETS (CONTINUED)

As a result of this interpretation, the Organization classifies as permanently restricted net assets (1) the original value of gifts donated to the permanent endowment, (2) the original value of subsequent gifts to the permanent endowment, and (3) accumulations to the permanent endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund.

The remaining portion of the donor-restricted endowment fund that is not classified in permanently restricted net assets is classified as temporarily restricted net assets until those amounts are appropriated for expenditure by the Organization in a manner consistent with the standard of prudence prescribed in the Act. In accordance with the Act, the Organization considers the following factors in making a determination to appropriate or accumulate donor restricted endowment funds:

- The duration and preservation of the fund
- The purposes of the organization and the donor-restricted endowment fund
- General economic conditions
- The possible effect of inflation and deflation
- The expected total return from income and the appreciation of investments
- Other resources of the organization
- The investment policies of the organization

The endowment assets have not had positive investment return in years 2016 and 2015. Thus, the Organization has not spent or distributed any portion of the endowments.

NOTE 15 EXPENSES BY FUNCTION

As described in Note 2, the Company provides two distinct types of services. However, since all the services are managed through one entity, which utilizes common employees and vendors, estimates must be used in developing allocations of expenses by function. These allocations are based on resident census information and the square footage of the facility utilized. Although these allocation estimates are reasonable, actual expenses by function may differ.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015

NOTE 15 EXPENSES BY FUNCTION (CONTINUED)

Expenses by function for the years ended June 30, 2016 and 2015 are as follows:

	2016		
	Apartment	Cottage	
	Living	Living	Total
Dietary	\$ 284,984	\$ -	\$ 284,984
Housekeeping	104,981	-	104,981
Facilities	167,075	501,236	668,311
Utilities	154,409	35,016	189,425
Insurance	73,424	35,865	109,289
Resident Programs	21,359	22,997	44,356
General and Admin	1,056,502	44,322	1,100,824
Depreciation and Amortization	95,241	106,070	201,311
Fundraising	3,380	-	3,380
Interest Expense	2,195	-	2,195
Taxes - Real Property	5,289	56,135	61,424
	<u>\$ 1,968,839</u>	<u>\$ 801,641</u>	<u>\$ 2,770,480</u>

	2015		
	Apartment	Cottage	
	Living	Living	Total
Dietary	\$ 290,625	\$ -	\$ 290,625
Housekeeping	103,445	-	103,445
Facilities	511,928	34,576	546,504
Utilities	147,082	32,792	179,874
Insurance	74,051	37,576	111,627
Resident Programs	31,702	34,132	65,834
General and Admin	695,654	29,435	725,089
Depreciation and Amortization	116,148	108,320	224,468
Fundraising	4,099	-	4,099
Interest Expense	3,848	-	3,848
Taxes - Real Property	5,333	54,360	59,693
	<u>\$ 1,983,915</u>	<u>\$ 331,191</u>	<u>\$ 2,315,106</u>

The following are expenses by functional classification for 2016 and 2015:

	2016	2015
Program	\$ 1,751,776	\$ 1,615,880
Management and General	1,015,324	692,209
Fundraising	3,380	7,017
Total	<u>\$ 2,770,480</u>	<u>\$ 2,315,106</u>

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2016 AND 2015

NOTE 16 CURRENT VULNERABILITY DUE TO CERTAIN CONCENTRATIONS

The Company's operations are concentrated in the multifamily real estate market. In addition, the Project operates in a heavily regulated environment. The operations of the Project are subject to the administrative directives, rules and regulations of federal, state, and local regulatory agencies, including, but not limited to, HUD. Such administrative directives, rules, and regulations are subject to change by an act of Congress or an administrative change mandated by HUD. Such changes may occur with little notice or inadequate funding to pay for the related cost, including the additional administrative burden, to comply with a change.

NOTE 17 COMMITMENTS AND CONTINGENCIES

Operating Reserve

The Company and a related party, Friends Nursing Home, Inc., currently operate as Friends House Retirement Community (the Community). The Community became certified as a Continuing Care Retirement Community (CCRC) on June 2, 2010. In accordance with Maryland law governing continuing care retirement communities, the Community is required to set aside as operating reserves, 15% of the Community's net operating expenses (as defined), for the most recent fiscal year. The Community shall have up to ten full fiscal years after June 2, 2010 to meet the funding requirements with minimum annual contributions increasing on a pro rata basis.

The Company holds its portion of the operating reserve in cash equivalents in the name of the Community. The calculation of the required minimum statutory operating reserve is as follows for the year ended June 30, 2016:

Total Operating Expenses for the Year Ended June 30, 2015	\$ 2,315,106
Less Depreciation and Amortization	(224,468)
Less Interest Expense	<u>(3,848)</u>
Adjusted Operating Expenses	2,086,790
	<u>15%</u>
Required Minimum Statutory Operating Reserve Balance (15% of Adjusted operating Expenses)	<u><u>\$ 313,019</u></u>

NOTE 18 SUBSEQUENT EVENTS

In preparing these financial statements, the Organization has evaluated events and transactions for potential recognition or disclosure through October 19, 2016, the date the financial statements were issued. The results of this evaluation indicated that there are no subsequent events or transactions that are required to be disclosed in these financial statements.

**INDEPENDENT AUDITORS' REPORT
ON SUPPLEMENTARY INFORMATION**

Board of Directors
Friends House, Inc.
Sandy Spring, Maryland

We have audited the financial statements of Friends House, Inc. (a nonprofit organization) as of and for the year ended June 30, 2016, and our report thereon dated October 19, 2016, which expressed an unmodified opinion on those financial statements. Our audit was conducted for the purpose of forming an opinion on the financial statements as a whole. The supplementary information included in the schedules of Financial Position by Fund and Activities by Fund, which is the responsibility of management, is presented for purposes of additional analysis and is not a required part of the financial statements. Such information has not been subjected to the auditing procedures applied in the audit of the financial statements, and, accordingly, we do not express an opinion or provide any assurance on it.

CliftonLarsonAllen LLP

CliftonLarsonAllen LLP

Baltimore, Maryland
October 19, 2016

FRIENDS HOUSE, INC.
SCHEDULE OF FINANCIAL POSITION BY FUND
JUNE 30, 2016

	Development Fund (UNAUDITED)	General Fund (UNAUDITED)	Revenue Fund (UNAUDITED)	Total
ASSETS				
CURRENT ASSETS				
Cash and Cash Equivalents	\$ 288,409	\$ 1,130,582	\$ 347,585	\$ 1,766,576
Accounts Receivable	-	9,559	5,429	14,988
Due from Related Party	(95,793)	150,811	(42,475)	12,543
Prepaid Expenses	-	15,134	30,232	45,366
Total Current Assets	192,616	1,306,086	340,771	1,839,473
PROPERTY AND EQUIPMENT - NET	119,082	2,492,615	1,234,467	3,846,164
OTHER ASSETS				
Investments	1,398,863	2,179,574	26,766	3,605,203
Tenant Security Deposits	-	-	64,709	64,709
Reserve for Replacements	-	-	88,582	88,582
Other Reserves	-	-	64,293	64,293
Total Other Assets	1,398,863	2,179,574	244,350	3,822,787
TOTAL ASSETS	<u>\$ 1,710,561</u>	<u>\$ 5,978,275</u>	<u>\$ 1,819,588</u>	<u>\$ 9,508,424</u>
LIABILITIES AND NET ASSETS				
CURRENT LIABILITIES				
Current Portion of Note Payable	\$ -	4,749	\$ -	\$ 4,749
Current Portion of Mortgage Payable	-	-	23,874	23,874
Accounts Payable and Accrued Expenses	5,869	17,193	180,709	203,771
Other Current Liabilities	-	-	9,283	9,283
Total Current Liabilities	5,869	21,942	213,866	241,677
NONCURRENT LIABILITIES				
Note Payable, Net of Current Portion	-	5,937	-	5,937
Tenant Security Deposits	-	5,689	64,294	69,983
Application Fees Payable	-	46,200	-	46,200
Entry Fees Payable	-	2,010,279	-	2,010,279
Total Noncurrent Liabilities	-	2,068,105	64,294	2,132,399
Total Liabilities	5,869	2,090,047	278,160	2,374,076
NET ASSETS				
Permanently Restricted	185,862	-	-	185,862
Temporarily Restricted	253,556	-	-	253,556
Unrestricted	1,265,274	3,888,228	1,541,428	6,694,930
Total Net Assets	1,704,692	3,888,228	1,541,428	7,134,348
TOTAL LIABILITIES AND NET ASSETS	<u>\$ 1,710,561</u>	<u>\$ 5,978,275</u>	<u>\$ 1,819,588</u>	<u>\$ 9,508,424</u>

FRIENDS HOUSE, INC.
SCHEDULE OF ACTIVITIES BY FUND
YEAR ENDED JUNE 30, 2016

	Development Fund (UNAUDITED)	General Fund (UNAUDITED)	Revenue Fund (UNAUDITED)	Subtotal (UNAUDITED)	Eliminations (UNAUDITED)	Total
REVENUE, GAINS AND OTHER SUPPORT						
Rental and Monthly Fee Income	\$ -	\$ 613,609	\$ 998,245	\$ 1,611,854	\$ -	\$ 1,611,854
Interest and Dividends, Less						
Investment Expense	12,426	24,829	669	37,924	-	37,924
Realized Gains on Investments	98,300	32,646	-	130,946	-	130,946
Contributions	160,939	-	-	160,939	-	160,939
Retail Sales and Services	-	(2,043)	1,141,839	1,139,796	-	1,139,796
Application Fees	-	1,200	-	1,200	-	1,200
Entry Fees	-	13,524	-	13,524	-	13,524
Total Revenue, Gains and Other Support	271,665	683,765	2,140,753	3,096,183	-	3,096,183
EXPENSES						
Administrative and General	104,542	210,645	776,633	1,091,820	-	1,091,820
Fundraising	-	-	3,380	3,380	-	3,380
Program Assistance	44,356	-	-	44,356	-	44,356
Utilities	-	35,016	154,409	189,425	-	189,425
Insurance	-	35,865	73,424	109,289	-	109,289
Housekeeping	-	-	104,981	104,981	-	104,981
Dietary	-	-	284,984	284,984	-	284,984
Maintenance	-	167,075	501,236	668,311	-	668,311
Taxes	18	56,117	5,289	61,424	-	61,424
Interest	-	-	2,195	2,195	-	2,195
Depreciation	845	105,225	95,241	201,311	-	201,311
Other	-	-	9,004	9,004	-	9,004
Total Expenses	149,761	609,943	2,010,776	2,770,480	-	2,770,480
EARNED INCOME	121,904	73,822	129,977	325,703	-	325,703
Unrealized Losses on Investments	(164,168)	(253,970)	-	(418,138)	-	(418,138)
CHANGE IN NET ASSETS	<u>\$ (42,264)</u>	<u>\$ (180,148)</u>	<u>\$ 129,977</u>	<u>\$ (92,435)</u>	<u>\$ -</u>	<u>\$ (92,435)</u>

FRIENDS NURSING HOME, INC.
FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2016 AND 2015

FRIENDS NURSING HOME, INC.
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INDEPENDENT AUDITORS' REPORT

Board of Directors
Friends Nursing Home, Inc.
Sandy Spring, Maryland

Report on the Financial Statements

We have audited the accompanying financial statement of Friends Nursing Home, Inc. (a nonprofit organization) which comprise the statement of financial position as of June 30, 2016, and the related statements of activities and cash flows for the year then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on the financial statements based on our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Board of Directors
Friends Nursing Home, Inc.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Friends Nursing Home, Inc. as of June 30, 2016, and the results of its operations, changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matter

The 2015 financial statements of Friends Nursing Home, Inc. were audited by other auditors whose report dated October 16, 2015, expressed an unmodified opinion on those statements.

A handwritten signature in cursive script that reads "CliftonLarsonAllen LLP".

CliftonLarsonAllen LLP

Baltimore, Maryland
October 19, 2016

FRIENDS NURSING HOME, INC.
STATEMENTS OF FINANCIAL POSITION
JUNE 30, 2016 AND 2015

	<u>2016</u>	<u>2015</u>
ASSETS		
CURRENT ASSETS		
Cash and Cash Equivalents	\$ 2,015,558	\$ 2,194,051
Accounts Receivable, Net of Allowance for Doubtful Accounts of \$506,046 and \$501,000	2,246,398	1,912,232
Prepaid Expenses	<u>19,618</u>	<u>12,156</u>
Total Current Assets	4,281,574	4,118,439
PROPERTY AND EQUIPMENT - NET	4,035,727	3,889,947
OTHER ASSETS		
Investments	37,359	37,289
Deposits	<u>17,272</u>	<u>32,306</u>
Total Other Assets	<u>54,631</u>	<u>69,595</u>
TOTAL ASSETS	<u><u>\$ 8,371,932</u></u>	<u><u>\$ 8,077,981</u></u>
LIABILITIES AND NET ASSETS		
CURRENT LIABILITIES		
Accounts Payable and Accrued Expenses	\$ 747,963	\$ 731,262
Due to Related Party	<u>12,544</u>	<u>17,903</u>
Total Current Liabilities	760,507	749,165
NET ASSETS		
Unrestricted	<u>7,611,425</u>	<u>7,328,816</u>
TOTAL LIABILITIES AND NET ASSETS	<u><u>\$ 8,371,932</u></u>	<u><u>\$ 8,077,981</u></u>

See accompanying Notes to Financial Statements.

FRIENDS NURSING HOME, INC.
STATEMENTS OF ACTIVITIES
YEARS ENDED JUNE 30, 2016 AND 2015

	<u>2016</u>	<u>2015</u>
REVENUE, GAINS AND OTHER SUPPORT		
Patient Service Revenue	\$ 10,761,657	\$ 9,561,796
Investment Gains, Net of Investment Expense	4,449	4,278
Other Revenue	21,840	33,237
Total Revenue, Gains and Other Support	<u>10,787,946</u>	<u>9,599,311</u>
EXPENSES		
Nursing	\$ 5,869,817	\$ 5,545,074
Administration	1,140,095	1,005,515
Dietary	974,306	898,801
Housekeeping	505,126	532,476
Maintenance	503,467	520,416
Activities	214,800	188,516
Depreciation	289,075	299,281
Secretarial	135,588	132,808
Bad Debt Expense	674,938	137,335
Social Services	172,760	136,611
Interest	-	313
Laundry	25,365	16,697
Total Expenses	<u>10,505,337</u>	<u>9,413,843</u>
EARNED INCOME AND CHANGE IN NET ASSETS	282,609	185,468
NET ASSETS - BEGINNING OF YEAR	<u>7,328,816</u>	<u>7,143,348</u>
NET ASSETS - END OF YEAR	<u><u>\$ 7,611,425</u></u>	<u><u>\$ 7,328,816</u></u>

See accompanying Notes to Financial Statements.

FRIENDS NURSING HOME, INC.
STATEMENTS OF CASH FLOWS
YEARS ENDED JUNE 30, 2016 AND 2015

	<u>2016</u>	<u>2015</u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in Net Assets	\$ 282,609	\$ 185,468
Adjustments to Reconcile Change in Net Assets to		
Net Cash Provided by Operating Activities:		
Depreciation	289,075	299,281
Bad Debt Expense	674,938	137,335
(Increase) Decrease in Assets		
Accounts Receivable	(1,009,105)	(757,626)
Prepaid Expenses	(7,462)	92,278
(Decrease) Increase in Liabilities		
Accounts Payable and Accrued Expenses	16,702	112,621
Net Cash Provided by Operating Activities	<u>246,757</u>	<u>69,357</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of Property and Equipment	(434,855)	(159,668)
Purchases of Investments	(70)	(44)
Deposits	15,034	15,060
Net Cash Used in Investing Activities	<u>(419,891)</u>	<u>(144,652)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Principal Payments on Capital Lease Obligations	-	(15,551)
Principal Payments on Note Payable	-	(3,589)
Repayments of Advances from Related Parties	(5,359)	(4,116)
Net Cash Used in Financing Activities	<u>(5,359)</u>	<u>(23,256)</u>
NET DECREASE IN CASH AND CASH EQUIVALENTS	(178,493)	(98,551)
CASH AND CASH EQUIVALENTS - BEGINNING OF YEAR	<u>2,194,051</u>	<u>2,292,602</u>
CASH AND CASH EQUIVALENTS - END OF YEAR	<u><u>\$ 2,015,558</u></u>	<u><u>\$ 2,194,051</u></u>
SUPPLEMENTAL DISCLOSURE OF CASH FLOW INFORMATION		
Cash Paid During the Year For:		
Interest	<u><u>\$ -</u></u>	<u><u>\$ 313</u></u>

See accompanying Notes to Financial Statements.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2016 AND 2015

NOTE 1 NATURE OF ORGANIZATION

Friends Nursing Home, Inc. (the "Company") is a nonprofit corporation incorporated in the State of Maryland. The Company's facilities are located in Sandy Spring, Maryland, a suburb of Washington, D.C. The Company provides long-term healthcare services and currently is licensed and equipped for 82 comprehensive care beds and 24 assisted-living beds. Under a standard service agreement, the Company provides each resident with board, lodging, maintenance, and certain nursing and medical care in exchange for a monthly fee. This type of contract may be terminated by either Friends Nursing Home, Inc. or the resident upon the giving of proper notice.

The Company and a related party, Friends House, Inc., currently operate as Friends House Retirement Community (the "Community"). The Company is related through a common board of directors to Friends House, Inc. Friends House, Inc. is a full service retirement community consisting of apartments and cottages to provide independent living and offer the benefits of a full service retirement community. The Community is certified as a continuing care retirement community. The Community operates with the utilization of continuing care resident agreements that are subject to the jurisdiction of the Maryland Department of Aging.

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Method of Accounting

The financial statements are prepared on the accrual basis of accounting.

Financial Statement Presentation

The Company is required to report information regarding its financial position and activities according to three classes of net assets: unrestricted net assets, temporarily restricted net assets, and permanently restricted net assets.

Use of Estimates

Management uses estimates and assumptions in preparing financial statements. Those estimates and assumptions affect the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities, and the reported amounts of revenues and expenses. Actual results could differ from those estimates.

Cash and Cash Equivalents

For purposes of the statements of cash flows, the Company considers all short-term debt securities purchased with an initial maturity of three months or less to be cash equivalents.

Accounts Receivables

Approximately 58% and 55% of accounts receivable was derived from private-pay residents for the years ended June 30, 2016 and 2015, respectively. The remainder of accounts receivable was derived from Federal and State third-party reimbursement programs.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2016 AND 2015

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Accounts Receivables (Continued)

All customers are subject to credit review, which determines future credit policies. In the ordinary course of business, the Company provides credit to customers under standard terms without collateral. A receivable is considered past due if payments have not been received within the agreed upon invoice terms. The Company utilizes the allowance method of accounting for doubtful accounts. The allowance is based on experience, third-party contracts and other circumstances, which may affect the ability of customers to meet their obligations. It is the Company's policy to charge off uncollectible accounts when management determines the receivable will not be collected.

Property and Equipment

All acquisitions of property and equipment are stated at historical cost, less accumulated depreciation. The Company capitalizes all expenditures for property and equipment costing \$1,000 or more and having useful lives greater than one year. Depreciation is computed on the straight-line method over the estimated useful lives of the depreciable assets. Upon sale or retirement, the cost and related accumulated depreciation are eliminated from the respective accounts, and the resulting gain or loss is included in the change in net assets. Repairs and maintenance charges which do not increase the useful lives of the assets are charged to expense as incurred.

The Company records impairment losses on property and equipment when events and circumstances indicate that it is probable that the assets are impaired and the undiscounted cash flows estimated to be generated by those assets are less than the carrying amount of those assets. Based on management's estimation process, no impairment losses have been recorded as of June 30, 2016 and 2015.

Investments and Investment Income

Investments in marketable securities with readily determinable fair values and all investments in debt securities are reported at their fair values in the statements of financial position. Unrealized gains and losses are included in the change in net assets in the accompanying Statements of Activities, Investment income and gains restricted by a donor, or by law, are reported as increases in unrestricted net assets if the restrictions are met (either by passage of time or by use) in the reporting period in which the income and gains are recognized.

Compensated Absences

Employees of the Company are entitled to compensated absences depending on job classification, length of service, and other factors. The Company's policy is to accrue liabilities for compensated absences as earned.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2016 AND 2015

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Loss Contingencies

In the course of its business affairs and operations, the Company is subject to possible loss contingencies arising from federal, state and local environmental, health and safety laws and regulations and third-party litigation. The Company has purchased insurance for medical malpractice on an occurrence based basis. There are no matters that, in the opinion of management, will have a material adverse effect on the financial position, results of operations or cash flows of the Company.

Rental and Service Revenue

Rental and service revenue is recognized as rentals become due and services are rendered. A majority of the rental and service revenue is derived under private pay and federal and state third-party reimbursement programs, which operate at established billing rates or at the net realizable amounts under agreement with the facility. Revenue under the third-party payer's agreement is subject to examination and retroactive adjustment. A provision for estimated third-party payor settlements is provided in the period the related services are rendered. Differences between the amounts accrued and subsequent settlements are included in the results of operations in the year of settlement.

Income Taxes

Friends Nursing Home, Inc. is a nonprofit organization that is exempt from income taxes under Section 501(c)(3) of the Internal Revenue Code and is exempt from federal income taxes on related income pursuant to Section 509(a) of the Code.

The Company follows the provisions of the income tax standard regarding the recognition and measurement of uncertain tax positions. Management has determined that this standard does not have a material impact on the financial statements.

The Company is not aware of any activities that would jeopardize its tax-exempt status.

Performance Indicator

The statements of activities include a performance indicator that is shown as "earned income and changes in net assets." Earned income and changes in net assets reports the income from continuing operations of the Company.

Donated Cash Contributions

Contributions received are recorded as unrestricted, temporarily restricted, or permanently restricted net assets depending on the existence or nature of any donor imposed restrictions on the contributions.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2016 AND 2015

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Donated Assets

Donations of marketable securities and other noncash donations are recorded as contributions at fair value as of the date of donation. Such donations are reported as increases in unrestricted net assets unless the donor has restricted the donated asset to a specific purpose. Assets donated with explicit restrictions regarding their use and contributions of cash that must be used to acquire property and equipment are reported as restricted contributions. Absent donor stipulations regarding how long those donated assets must be maintained, the Company reports expirations of donor restrictions when the donated or acquired assets are placed in service as instructed by the donor. The Company reclassifies temporarily restricted net assets to unrestricted net assets at that time.

Donated Services

No amounts have been reflected in the financial statements for donated services. The Company generally pays for services requiring specific expertise. However, individuals volunteer their time and perform a variety of tasks that assist the Company. These services are not material and do not meet the criteria for recognition as contributed services.

Promises to Give

Contributions are recognized when the donor makes a promise to give to the Company that is, in substance, unconditional. Contributions that are restricted by the donor are reported as increases in unrestricted net assets if the restrictions expire in the fiscal year in which the contributions are recognized. All other donor-restricted contributions are reported as increases in temporarily or permanently restricted net assets depending on the nature of the restrictions. When a restriction expires, temporarily restricted net assets are reclassified to unrestricted net assets.

The Company uses the allowance method to determine uncollectible unconditional promises receivable. The allowance is based on the prior years' experience and management's analysis of specific promises made. Management has deemed all the unconditional promises to give to be collectible. Therefore, no allowance for doubtful accounts is considered necessary as of June 30, 2016 and 2015.

Functional Expense Allocation

The Company operates as a long-term healthcare services facility. All expenses are directly identifiable to that primary function of providing long-term health care services. General and administrative supporting expenses of Friends Nursing Home, Inc. include those expenses that are not directly identifiable with the specific function of providing long-term health care services, but provide the overall support and direction of the Company.

Reclassification

Certain items in the 2015 financial statements have been reclassified to conform with the 2016 financial statement presentation.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2016 AND 2015

NOTE 3 INVESTMENTS AND INVESTMENT INCOME

The Company follows FASB ASC 820-10 for a single definition of fair value and a framework for measuring fair value in generally accepted accounting principles (GAAP) that is intended to result in increased consistency and comparability in fair value measurements and disclosures. FASB ASC 820-10 also expands disclosures about fair value measurements and applies whenever other authoritative literature requires (or permits) certain assets or liabilities to be measured at fair value, but does not expand the use of fair value.

Items carried at fair value on a non-recurring basis generally consist of assets held for sale. The Company also uses fair value concepts to test various long-lived assets for impairment.

FASB ASC 820-10 requires that fair value be determined by providing a fair value hierarchy consisting of three levels, generally ranging from the most objective determination of fair value to the most subjective. The levels vary depending on the objectivity of the information used in valuation techniques to determine fair value. GAAP refers to the levels as categories of input into those techniques. The three general valuation levels that may be used to measure fair value are as described below:

Level 1: Inputs are quoted prices in active markets for identical assets or liabilities;

Level 2: Inputs to the valuation methodology include: inputs generally are available indirect information, such as quoted prices for similar assets or liabilities in active markets, or quoted prices for identical or similar assets or liabilities in markets that are not active. Additional level 2 inputs may be other than quoted prices that are observable for the asset or liability or inputs derived principally from or corroborated by observable market data by correlation or other means; and

Level 3: Inputs are the most subjective, are generally based on the entity's own assumptions on how knowledgeable parties would price assets or liabilities, and are developed using the best information available in the circumstances.

See Note 6 for further fair value measurement consideration of the Company's investments in marketable securities.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2016 AND 2015

NOTE 3 INVESTMENTS AND INVESTMENT INCOME (CONTINUED)

The following table sets forth, by level, within the fair value hierarchy, the Company's assets, liabilities and fair value as of June 30, 2016 and 2015:

		2016			
		Level 1	Level 2	Level 3	Total
Assets					
Investments		\$ 12,707	\$ -	\$ -	\$ 12,707
Partnership in Interest		-	-	24,652	24,652
		<u>\$ 12,707</u>	<u>\$ -</u>	<u>\$ 24,652</u>	<u>\$ 37,359</u>
		2015			
		Level 1	Level 2	Level 3	Total
Assets					
Investments		\$ 12,637	\$ -	\$ -	\$ 12,637
Partnership in Interest		-	-	24,652	24,652
		<u>\$ 12,637</u>	<u>\$ -</u>	<u>\$ 24,652</u>	<u>\$ 37,289</u>

Gains and losses (realized and unrealized) included in changes in unrestricted net assets for the year are reported in the Statements of Activities as investment gains or (losses). There were no gains and losses for the years ended June 30, 2016 and 2015.

All assets have been valued using a market approach. There have been no changes in valuation techniques and related inputs.

NOTE 4 CASH AND CASH EQUIVALENTS

At times during the year, the Company maintains cash balances at financial Institutions which exceed the Federal Deposit Insurance Corporation (FDIC) and the Securities Investor Protection Corporation (SIPC) insurance limits. The Company uses a daily repurchase agreement for excess cash funds to buy securities issued by the United States government. These repurchase agreements are not insured and involve investment risk. Management believes the risk in these situations to be minimal.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2016 AND 2015

NOTE 5 PROPERTY AND EQUIPMENT

Property and equipment consists of the following as of June 30:

	2016	2015
Land	\$ 100,218	\$ 100,218
Land Improvements	21,842	21,842
Construction in Progress	393,322	109,293
Building and Building Improvements	6,912,162	6,912,162
Furniture, Fixtures and Equipment	2,584,113	2,445,239
Vehicles	72,520	72,520
Software	41,409	29,459
Property and Equipment Total	<u>10,125,586</u>	<u>9,690,733</u>
Less: Accumulated Depreciation	<u>6,089,859</u>	<u>5,800,786</u>
	<u><u>\$ 4,035,727</u></u>	<u><u>\$ 3,889,947</u></u>

Depreciation expense totaled \$289,075 and \$299,281 for the years ended June 30, 2016 and 2015, respectively.

Construction in progress at June 30, 2016 and 2015 consisted of interior design, engineering, and planning and feasibility costs associated with the plans to expand the Company's current campus.

NOTE 6 INVESTMENTS

Investments are reported at the aggregate fair value based upon quoted market prices for those investments. Unrealized gains and (losses) are included in the change in net assets in the accompanying Statements of Activities. Investments held by the Company consist of the following:

	Fair Value	Cost	Unrealized Gain/(Loss)
<u>June 30, 2016</u>			
Certificates of Deposit	\$ 12,706	\$ 12,706	\$ -
Partnership Interest in Insurance Company	24,653	24,653	-
Total Investments	<u><u>\$ 37,359</u></u>	<u><u>\$ 37,359</u></u>	<u><u>\$ -</u></u>
<u>June 30, 2015</u>			
Certificates of Deposit	\$ 12,637	\$ 12,637	\$ -
Partnership Interest in Insurance Company	24,652	24,652	-
Total Investments	<u><u>\$ 37,289</u></u>	<u><u>\$ 37,289</u></u>	<u><u>\$ -</u></u>

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2016 AND 2015

NOTE 6 INVESTMENTS (CONTINUED)

Income (loss) on investments included in the change in net assets, consisted of the following at June 30:

	2016	2015
Interest and Dividends	\$ 4,449	\$ 4,278
Investment Expense	-	-
Total Investment Income	<u>\$ 4,449</u>	<u>\$ 4,278</u>

NOTE 7 LINE OF CREDIT

The Company has an unsecured \$30,000 line of credit with a bank. The line of credit requires that the principal outstanding plus any unpaid accrued interest be paid on demand. As of June 30, 2016 and 2015, there were no outstanding draws on the line of credit. Interest is payable on any outstanding draws at a variable interest rate, which was 3.75% as of June 30, 2016 and 2015. For the years ended June 30, 2016 and 2015, there was no interest expense.

NOTE 8 RELATED PARTY TRANSACTIONS

Due to Related Party

The Company has a net related party payable (included in current liabilities) in the amounts of \$12,544 and \$17,903 as of June 30, 2016 and 2015, respectively, due to Friends House, Inc. The related party payable is related to working capital advances and are due upon demand.

NOTE 9 RETIREMENT PLAN

The Company has a contributory 401(k) savings plan covering all employees. Employer contributions to the plan are based upon participant eligibility and amount to a maximum of 2% of eligible compensation. The Company also makes a Safe Harbor contribution to eligible employees of 3% of their compensation. Contributions to the plan were \$121,274 and \$163,635 for the years ended June 30, 2016 and 2015, respectively.

**FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2016 AND 2015**

NOTE 10 NET ASSETS

The Company's equity is comprised of permanently restricted, temporarily restricted and unrestricted net assets. Permanently restricted net assets consisted of funds contributed and restricted by the donor. For these restricted funds, the Company must keep the principal intact and the income can be spent as specified by the donor. Temporarily restricted net assets generally consist of contributions received by the Company that are restricted by the donor to a specific program. As of June 30, 2016 and 2015, the Company's net assets only included unrestricted net assets.

NOTE 11 COMMITMENTS AND CONTINGENCIES

Operating Reserve

The Company and a related party, Friends House, Inc., currently operate as Friends House Retirement Community (the Community). The Community became certified as a Continuing Care Retirement Community (CCRC) on June 2, 2010. In accordance with Maryland law governing continuing care retirement communities, the Community is required to set aside as operating reserves, 15% of the Community's net operating expenses (as defined), for the most recent fiscal year. The Community shall have up to ten full fiscal years after June 2, 2010 to meet the funding requirements with minimum annual contributions increasing on a pro rata basis.

The Company holds its portion of the operating reserve in cash equivalents in the name of the Community. The calculation of the required minimum statutory reserve is as follows for the year ended June 30, 2016:

Total Operating Expenses for the Year Ended June 30, 2015	\$ 9,413,843
Less Depreciation	(299,281)
Less Interest Expense	<u>(313)</u>
Adjusted Operating Expenses	9,114,249
	<u>15%</u>
Required Minimum Statutory Operating Reserve Balance (15% of Adjusted operating Expenses)	<u><u>\$ 1,367,137</u></u>

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2016 AND 2015

NOTE 12 FUNCTIONAL EXPENSES

The Company provides various services to its residents. Expenses related to providing these services consist of the following for the years ended June 30:

	<u>2016</u>	<u>2015</u>
Program	\$ 8,566,608	\$ 9,461,192
Management and General	<u>847,235</u>	<u>1,044,145</u>
Total	<u>\$ 9,413,843</u>	<u>\$ 10,505,337</u>

NOTE 13 SUBSEQUENT EVENTS

Management has evaluated subsequent events through October 19, 2016, the issuance date of the financial statements.

FRIENDS HOUSE, INC.
FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2017 AND 2016

**FRIENDS HOUSE, INC.
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YEARS ENDED JUNE 30, 2017 AND 2016**

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INDEPENDENT AUDITORS' REPORT

Board of Directors
Friends House, Inc.
Sandy Spring, Maryland

Report on the Financial Statements

We have audited the accompanying financial statements of Friends House, Inc. (a nonprofit organization) (the Company) which comprise the statements of financial position as of June 30, 2017 and 2016, and the related statements of activities and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on the financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Board of Directors
Friends House, Inc.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Friends House, Inc. as of June 30, 2017 and 2016, and the results of its operations, changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

CliftonLarsonAllen LLP

CliftonLarsonAllen LLP

Baltimore, Maryland
November 22, 2017

FRIENDS HOUSE, INC.
STATEMENTS OF FINANCIAL POSITION
JUNE 30, 2017 AND 2016

ASSETS	<u>2017</u>	<u>2016</u>
CURRENT ASSETS		
Cash and Cash Equivalents	\$ 1,600,851	\$ 1,766,576
Accounts Receivable	11,836	14,988
Due from Related Party	17,996	12,543
Prepaid Expenses	<u>27,186</u>	<u>45,366</u>
Total Current Assets	1,657,869	1,839,473
PROPERTY AND EQUIPMENT - NET	4,669,249	3,846,164
OTHER ASSETS		
Investments	4,183,533	3,605,203
Tenant Security Deposits	65,127	64,709
Reserve for Replacements	98,871	88,582
Deferred Marketing Costs	23,660	-
Other Reserves	<u>64,520</u>	<u>64,293</u>
Total Other Assets	<u>4,435,711</u>	<u>3,822,787</u>
Total Assets	<u><u>\$ 10,762,829</u></u>	<u><u>\$ 9,508,424</u></u>
LIABILITIES AND NET ASSETS		
CURRENT LIABILITIES		
Current Portion of Note Payable	\$ 390,473	\$ 4,749
Current Portion of Mortgage Payable	-	23,874
Accounts Payable and Accrued Expenses	463,471	203,771
Other Current Liabilities	<u>9,283</u>	<u>9,283</u>
Total Current Liabilities	863,227	241,677
NONCURRENT LIABILITIES		
Note Payable, Net of Current Portion	1,187	5,937
Tenant Security Deposits	65,668	69,983
Application Fees Payable	44,100	46,200
Entry Fees Payable	<u>1,889,863</u>	<u>2,010,279</u>
Total Noncurrent Liabilities	<u>2,000,818</u>	<u>2,132,399</u>
Total Liabilities	2,864,045	2,374,076
NET ASSETS		
Permanently Restricted	185,862	185,862
Temporarily Restricted	386,937	253,556
Unrestricted	<u>7,325,985</u>	<u>6,694,930</u>
Total Net Assets	<u>7,898,784</u>	<u>7,134,348</u>
Total Liabilities and Net Assets	<u><u>\$ 10,762,829</u></u>	<u><u>\$ 9,508,424</u></u>

See accompanying Notes to Financial Statements.

**FRIENDS HOUSE, INC.
STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2017**

	Unrestricted	Temporarily Restricted	Permanently Restricted	Total
REVENUE, GAINS AND OTHER SUPPORT				
Rental and Monthly Fee Income	\$ 1,526,791	\$ -	\$ -	\$ 1,526,791
Interest and Dividends, Less Investment Expense of \$28,300	52,351	-	-	52,351
Realized Gains on Investments	168,016	-	-	168,016
Contributions	-	196,710	-	196,710
Retail Sales and Services	1,119,417	-	-	1,119,417
Application Fees	600	-	-	600
Entry Fees	20,516	-	-	20,516
Net Assets Released from Restrictions	63,329	(63,329)	-	-
Total Revenue, Gains and Other Support	2,951,020	133,381	-	3,084,401
EXPENSES				
Administrative and General	1,068,845	-	-	1,068,845
Fundraising	4,334	-	-	4,334
Program Assistance	63,329	-	-	63,329
Utilities	174,141	-	-	174,141
Insurance	105,097	-	-	105,097
Housekeeping	100,889	-	-	100,889
Dietary	267,699	-	-	267,699
Maintenance	609,690	-	-	609,690
Taxes	66,642	-	-	66,642
Interest	545	-	-	545
Depreciation	185,145	-	-	185,145
Other	7,380	-	-	7,380
Total Expenses	2,653,736	-	-	2,653,736
EARNED INCOME	297,284	133,381	-	430,665
Unrealized Gains on Investments	333,771	-	-	333,771
CHANGE IN NET ASSETS	631,055	133,381	-	764,436
Net Assets - Beginning of Year	6,694,930	253,556	185,862	7,134,348
NET ASSETS - END OF YEAR	<u>\$ 7,325,985</u>	<u>\$ 386,937</u>	<u>\$ 185,862</u>	<u>\$ 7,898,784</u>

See accompanying Notes to Financial Statements.

**FRIENDS HOUSE, INC.
STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2016**

	Unrestricted	Temporarily Restricted	Permanently Restricted	Total
REVENUE, GAINS AND OTHER SUPPORT				
Rental and Monthly Fee Income	\$ 1,611,854	\$ -	\$ -	\$ 1,611,854
Interest and Dividends, Less Investment Expense of \$16,925	37,924	-	-	37,924
Realized Gains on Investments	130,946	-	-	130,946
Contributions	-	160,939	-	160,939
Retail Sales and Services	1,139,796	-	-	1,139,796
Application Fees	1,200	-	-	1,200
Entry Fees	13,524	-	-	13,524
Net Assets Released from Restrictions	44,356	(44,356)	-	-
Total Revenue, Gains and Other Support	2,979,600	116,583	-	3,096,183
EXPENSES				
Administrative and General	1,091,820	-	-	1,091,820
Fundraising	3,380	-	-	3,380
Program Assistance	44,356	-	-	44,356
Utilities	189,425	-	-	189,425
Insurance	109,289	-	-	109,289
Housekeeping	104,981	-	-	104,981
Dietary	284,984	-	-	284,984
Maintenance	668,311	-	-	668,311
Taxes	61,424	-	-	61,424
Interest	2,195	-	-	2,195
Depreciation	201,311	-	-	201,311
Other	9,004	-	-	9,004
Total Expenses	2,770,480	-	-	2,770,480
EARNED INCOME	209,120	116,583	-	325,703
Unrealized Losses on Investments	(418,138)	-	-	(418,138)
CHANGE IN NET ASSETS	(209,018)	116,583	-	(92,435)
Net Assets - Beginning of Year	6,903,948	136,973	185,862	7,226,783
NET ASSETS - END OF YEAR	<u>\$ 6,694,930</u>	<u>\$ 253,556</u>	<u>\$ 185,862</u>	<u>\$ 7,134,348</u>

See accompanying Notes to Financial Statements.

FRIENDS HOUSE, INC.
STATEMENTS OF CASH FLOWS
YEARS ENDED JUNE 30, 2017 AND 2016

	<u>2017</u>	<u>2016</u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in Net Assets	\$ 764,436	\$ (92,435)
Adjustments to Reconcile Change in Net Assets to		
Net Cash Provided by Operating Activities:		
Depreciation	185,145	201,311
Net Realized Gains on Investments	(168,016)	(130,946)
Net Unrealized Losses on Investments	333,771	418,138
(Increase) Decrease in Assets:		
Accounts Receivable	3,152	(11,226)
Prepaid Expenses	(5,480)	(8,258)
(Decrease) Increase in Liabilities:		
Accounts Payable and Accrued Expenses	259,700	30,075
Tenant Security Deposits	(4,315)	(4,204)
Application Fees Payable	(2,100)	(2,800)
Entry Fees Payable	(120,416)	(149,914)
Net Cash Provided by Operating Activities	<u>1,245,877</u>	<u>249,741</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of Property and Equipment	(1,008,230)	(753,303)
Net Purchase of Investments	(744,085)	(23,968)
(Advance) / Repayment to Related Party	(5,871)	3,294
Deposits to Reserve for Replacements	(10,289)	(9,955)
Deposits to Other Reserves	(227)	(398)
Net Cash Used by Investing Activities	<u>(1,768,702)</u>	<u>(784,330)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments on Note Payable	(4,749)	(4,749)
Proceeds from Commercial Loan	385,723	-
Payments on Mortgage Payable	(23,874)	(53,513)
Net Cash Provided (Used) by Financing Activities	<u>357,100</u>	<u>(58,262)</u>
NET DECREASE IN CASH AND CASH EQUIVALENTS	(165,725)	(592,851)
Cash and Cash Equivalents - Beginning of Year	<u>1,766,576</u>	<u>2,359,427</u>
CASH AND CASH EQUIVALENTS - END OF YEAR	<u><u>\$ 1,600,851</u></u>	<u><u>\$ 1,766,576</u></u>
SUPPLEMENTAL DISCLOSURE OF CASH FLOW INFORMATION		
Cash Paid During the Year For:		
Interest	<u><u>\$ 545</u></u>	<u><u>\$ 2,195</u></u>

See accompanying Notes to Financial Statements.

**FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016**

NOTE 1 NATURE OF ORGANIZATION

Friends House, Inc. (the Company) is a not-for-profit corporation incorporated in the District of Columbia (Washington, D.C.). The Company's facilities are located in Sandy Spring, Maryland, a suburb of Washington, D.C. The Company provides housing and other related services as a full service retirement community consisting of 100 apartments and 32 cottages. The apartments and cottages provide independent living and offer the benefits of a full service retirement community.

The apartments and cottages are subject to agreements. Leases convert to month-to-month agreements after the initial year. The apartment lease agreements require a refundable security deposit and monthly payments of rent. The cottage agreements require an entry fee, of which 90% is refundable, and monthly payments of rent.

The Company and a related party, Friends Nursing Home, Inc., currently operate as Friends House Retirement Community (the Community). The Company is related through a common board of directors to Friends Nursing Home, Inc. Friends Nursing Home, Inc. is a provider of long-term healthcare services and currently consists of comprehensive care and assisted-living beds. The Community is certified as a continuing care retirement community. The Community operates with the utilization of continuing care resident agreements that are subject to the jurisdiction of the Maryland Department of Aging.

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Method of Accounting

The financial statements are prepared on the accrual basis of accounting.

Financial Statement Presentation

The Company is required to report information regarding its financial position and activities according to three classes of net assets: unrestricted net assets, temporarily restricted net assets, and permanently restricted net assets.

Use of Estimates

Management uses estimates and assumptions in preparing financial statements. Those estimates and assumptions affect the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities, and the reported amounts of revenues and expenses. Actual results could differ from those estimates.

Cash and Cash Equivalents

For purposes of the statements of cash flows, the Company considers all short-term debt securities purchased with an initial maturity of three months or less to be cash equivalents.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Accounts Receivables

All customers are subject to credit review, which determines future credit policies, in the ordinary course of business the Company provides credit to customers, under standard terms without collateral. A receivable is considered past due if payments have not been received within the agreed upon invoice terms. The Company utilizes the allowance method of accounting for doubtful accounts. The allowance is based on experience, third-party contracts and other circumstances, which may affect the ability of customers to meet their obligations. It is the Company's policy to charge off uncollectible accounts when management determines the receivable will not be collected. Management has determined all accounts receivable to be fully collectable. Therefore, no allowance for doubtful accounts is considered necessary as of June 30, 2017 and 2016.

Property and Equipment

All acquisitions of property and equipment are stated at historical cost, less accumulated depreciation. The Company capitalizes all expenditures for property and equipment costing \$1,000 or more and having useful lives greater than one year. Depreciation is computed on the straight-line method over the estimated useful lives of the depreciable assets. Upon sale or retirement, the cost and related accumulated depreciation are eliminated from the respective accounts, and the resulting gain or loss is included in the change in net assets. Repairs and maintenance charges which do not increase the useful lives of the assets are charged to expense as incurred.

The Company records impairment losses on property and equipment when events and circumstances indicate that it is probable that the assets are impaired and the undiscounted cash flows estimated to be generated by those assets are less than the carrying amount of those assets. Based on management's estimation process, no impairment losses have been recorded as of June 30, 2017 and 2016.

Investments and Investment Income

Investments in marketable securities with readily determinable fair values and all investments in debt securities are reported at their fair values in the statements of financial position. Unrealized gains and losses are included in the change in net assets in the accompanying Statements of Activities. Investment income and gains restricted by a donor, or by law, are reported as increases in unrestricted net assets if the restrictions are met (either by passage of time or by use) in the reporting period in which the income and gains are recognized.

Deferred Marketing Costs

Direct-marketing costs were associated with acquiring initial residential contracts and are deferred and amortized using the straight-line method over the estimated life expectancy of the initial residents. Additions to deferred marketing costs were \$23,660 and \$0 for the years ended June 30, 2017 and 2016, respectively.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Compensated Absences

Employees of the Company are entitled to compensated absences depending on job classification, length of service, and other factors. The Company's policy is to accrue liabilities for compensated absences as earned.

Loss Contingencies

In the course of its business affairs and operations, the Company is subject to possible loss contingencies arising from federal, state and local environmental, health and safety laws and regulations and third-party litigation. The Company has purchased insurance for medical malpractice on an occurrence based basis. There are no matters that, in the opinion of management, will have a material adverse effect on the financial position, results of operations or cash flows of the Company.

Rental Income

Rental income is recognized as rentals become due. Rental payments received in advance are deferred until earned. All leases between the Company and the tenants of the property are considered to be operating leases. Leases for certain units, fall under the HUD regulatory agreement, and are restricted as to rental increases without prior HUD approval. Rental income from resident fees are derived entirely from private pay residents and include monthly rentals of apartments and cottages and additional service charges for dining facilities, other activities and services.

Income Taxes

Friends House is a nonprofit organization that is exempt from income taxes under Section 501(c)(3) of the Internal Revenue Code and is exempt from federal income taxes on related income pursuant to Section 509(a) of the Code.

The Company follows the provisions of the income tax standard regarding the recognition and measurement of uncertain tax positions. Management has determined that this standard does not have a material impact on the financial statements.

The Company is not aware of any activities that would jeopardize its tax-exempt status.

Performance Indicator

The statements of activities include a performance indicator that is shown as "earned income." Changes in net assets which are excluded from such amount, consistent with industry practice, include unrealized gains and losses.

Donated Cash Contributions

Contributions received are recorded as unrestricted, temporarily restricted, or permanently restricted net assets depending on the existence or nature of any donor imposed restrictions on the contributions.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Donated Assets

Donations of marketable securities and other noncash donations are recorded as contributions at fair value as of the date of donation. Such donations are reported as increases in unrestricted net assets unless the donor has restricted the donated asset to a specific purpose. Assets donated with explicit restrictions regarding their use and contributions of cash that must be used to acquire property and equipment are reported as restricted contributions. Absent donor stipulations regarding how long those donated assets must be maintained, the Company reports expirations of donor restrictions when the donated or acquired assets are placed in service as instructed by the donor. The Company reclassifies temporarily restricted net assets to unrestricted net assets at that time.

Donated Services

No amounts have been reflected in the financial statements for donated services. The Company generally pays for services requiring specific expertise. However, individuals volunteer their time and perform a variety of tasks that assist the Company. These services are not material and do not meet the criteria for recognition as contributed services.

Promises to Give

Contributions are recognized when the donor makes a promise to give to the Company that is, in substance, unconditional. Contributions that are restricted by the donor are reported as increases in unrestricted net assets if the restrictions expire in the fiscal year in which the contributions are recognized. All other donor-restricted contributions are reported as increases in temporarily or permanently restricted net assets depending on the nature of the restrictions. When a restriction expires, temporarily restricted net assets are reclassified to unrestricted net assets.

The Company uses the allowance method to determine uncollectible unconditional promises receivable. The allowance is based on the prior years' experience and management's analysis of specific promises made. Management has deemed all the unconditional promises to give to be collectible. Therefore, no allowance for doubtful accounts is considered necessary as of June 30, 2017 and 2016.

Functional Expense Allocation

Directly identifiable expenses are charged to service programs. Expenses related to more than one function are charged to service programs on the basis of periodic time and expense studies. General and administrative expenses include those expenses that are not directly identifiable with any specific program function but provide the overall support and direction of the Company. General and administrative expenses are charged to service programs on the basis of periodic time and expense studies.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016

NOTE 3 INVESTMENTS AND INVESTMENT INCOME

The Company follows FASB ASC 820-10 for a single definition of fair value and a framework for measuring fair value in generally accepted accounting principles (GAAP) that is intended to result in increased consistency and comparability in fair value measurements and disclosures. FASB ASC 820-10 also expands disclosures about fair value measurements and applies whenever other authoritative literature requires (or permits) certain assets or liabilities to be measured at fair value, but does not expand the use of fair value.

Items carried at fair value on a non-recurring basis generally consist of assets held for sale. The Company also uses fair value concepts to test various long-lived assets for impairment.

FASB ASC 820-10 requires that fair value be determined by providing a fair value hierarchy consisting of three levels, generally ranging from the most objective determination of fair value to the most subjective. The levels vary depending on the objectivity of the information used in valuation techniques to determine fair value. GAAP refers to the levels as categories of input into those techniques. The three general valuation levels that may be used to measure fair value are as described below:

Level 1: Inputs are quoted prices in active markets for identical assets or liabilities;

Level 2: Inputs to the valuation methodology include: inputs generally are available indirect information, such as quoted prices for similar assets or liabilities in active markets, or quoted prices for identical or similar assets or liabilities in markets that are not active. Additional level 2 inputs may be other than quoted prices that are observable for the asset or liability or inputs derived principally from or corroborated by observable market data by correlation or other means; and

Level 3: Inputs are the most subjective, are generally based on the entity's own assumptions on how knowledgeable parties would price assets or liabilities, and are developed using the best information available in the circumstances.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016

NOTE 3 INVESTMENTS AND INVESTMENT INCOME (CONTINUED)

The following table sets forth, by level, within the fair value hierarchy, the Company's assets, liabilities and fair value as of June 30, 2017 and 2016:

2017				
	Level 1	Level 2	Level 3	Total
Assets				
Investments	\$ 2,974,708	\$ 1,163,770	\$ -	\$ 4,138,478
Partnership in Interest	-	-	45,055	45,055
	<u>\$ 2,974,708</u>	<u>\$ 1,163,770</u>	<u>\$ 45,055</u>	<u>\$ 4,183,533</u>
2016				
	Level 1	Level 2	Level 3	Total
Assets				
Investments	\$ 2,851,966	\$ 708,182	\$ -	\$ 3,560,148
Partnership in Interest	-	-	45,055	45,055
	<u>\$ 2,851,966</u>	<u>\$ 708,182</u>	<u>\$ 45,055</u>	<u>\$ 3,605,203</u>

Gains and losses (realized and unrealized) included in changes in unrestricted net assets for the year are reported in the Statements of Activities as investment gains or (losses) for the years ended June 30, 2017 and 2016 as follows:

	2017	2016
Total Gains (Losses) included in Unrestricted Net Assets	<u>\$ 168,016</u>	<u>\$ 130,946</u>
Change in Unrealized Gains (Losses) Relating to Assets Held at Year End	<u>\$ 333,771</u>	<u>\$ (418,138)</u>

All assets have been valued using a market approach. There have been no changes in valuation techniques and related inputs.

NOTE 4 CASH

At times during the year, the Company maintains cash balances at financial Institutions which exceed the Federal Deposit Insurance Corporation (FDIC) and the Securities Investor Protection Corporation (SIPC) insurance limits. Management believes the risk in these situations to be minimal.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016

NOTE 5 PROPERTY AND EQUIPMENT

Property and equipment consists of the following as of June 30:

	2017	2016
Land	\$ 388,196	\$ 388,196
Land Improvements	48,656	48,656
Construction in Progress	1,992,638	1,002,576
Building and Building Improvements	5,987,570	5,987,570
Furniture, Fixtures and Equipment	2,432,139	2,413,969
Vehicles	13,440	13,440
Software	5,756	5,756
Property and Equipment Total	10,868,395	9,860,163
Less: Accumulated Depreciation	6,199,146	6,013,999
Total	<u>\$ 4,669,249</u>	<u>\$ 3,846,164</u>

Depreciation expense totaled \$185,145 and \$201,311 for the years ended June 30, 2017 and 2016, respectively.

Construction in progress at June 30, 2017 and 2016 consisted of interior design, engineering, and planning and feasibility costs associated with the plans to expand the Company's current campus.

NOTE 6 INVESTMENTS

Investments are reported at the aggregate fair value based upon quoted market prices for those investments, unrealized gains and (losses) are included in the change in net assets in the accompanying Statements of Activities. Investments held by the Company consist of the following:

	Fair Value	Cost	Unrealized Gain/(Loss)
<u>June 30, 2017</u>			
Bonds - Corporate	\$ 939,520	\$ 928,093	\$ 11,427
Bonds - Agency Securities	224,250	224,917	(667)
Preferred Stocks	102,938	106,938	(4,000)
Common Stocks	2,871,770	2,217,286	654,484
Partnership Interest in Insurance Company	45,055	45,055	-
Total Investments	<u>\$ 4,183,533</u>	<u>\$ 3,522,289</u>	<u>\$ 661,244</u>

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016

NOTE 6 INVESTMENTS (CONTINUED)

	<u>Fair Value</u>	<u>Cost</u>	<u>Unrealized Gain/(Loss)</u>
<u>June 30, 2016</u>			
Bonds - Corporate	\$ 682,624	\$ 674,363	\$ 8,261
Bonds - Agency Securities	25,558	25,010	548
Preferred Stocks	60,736	58,947	1,789
Common Stocks	2,791,230	2,539,760	251,470
Partnership Interest in Insurance Company	45,055	45,055	-
Total Investments	<u>\$ 3,605,203</u>	<u>\$ 3,343,135</u>	<u>\$ 262,068</u>

Income (loss) on investments included in the change in net assets, consisted of the following at June 30:

	<u>2017</u>	<u>2016</u>
Interest and Dividends	\$ 80,731	\$ 54,849
Realized Gains (Losses) on Investments	168,016	130,946
Unrealized Gains (Losses) on Investments	333,771	(418,138)
Investment Expense	(28,380)	(16,925)
Total Investment Income (Loss)	<u>\$ 554,138</u>	<u>\$ (249,268)</u>

NOTE 7 LINE OF CREDIT

The Company has an unsecured \$30,000 line of credit with a bank. The line of credit requires that the principal outstanding plus any unpaid accrued interest be paid on demand. As of June 30, 2017 and 2016, there were no outstanding draws on the line of credit. Interest is payable on any outstanding draws at a variable interest rate, which was 4.5% and 3.75% as of June 30, 2017 and 2016, respectively. For the years ended June 30, 2017 and 2016, there was no interest expense.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016

NOTE 8 NOTE PAYABLE

The note payable consists of the following at of June 30:

	<u>2017</u>	<u>2016</u>
Note Payable - Payable in monthly installments of \$395, with no interest, matures September 2018. The note is collateralized by certain equipment.	\$ 1,187	\$ 10,686
Promissory Note - Revolving line of credit in the maximum principal amount of \$2,000,000, interest payable at a variable rate equal to the Lender's prime rate per annum, to be adjusted as and when the prime rate changes, maturing February 28, 2018.	390,473	-
Less: Current Portion	<u>390,473</u>	<u>4,749</u>
Long-term Portion	<u>\$ 1,187</u>	<u>\$ 5,937</u>

There was no interest expense for both years ended June 30, 2017 and 2016.

Aggregate annual maturities of the note payable are as follows:

<u>Year Ending June 30,</u>	
2018	\$ 390,473
2019	<u>1,187</u>
	<u>\$ 391,660</u>

NOTE 9 MORTGAGE PAYABLE

The mortgage is payable to the Department of Housing and Urban Development (HUD) and is collateralized by a deed of trust on the rental property of the Company, plus amounts on deposit with the lender. The note bears interest at the rate of 3.00% per annum. Principal and interest are payable by the Company in monthly installments of \$4,592, through maturity, on January 1, 2017. In addition, monthly deposits for replacement of depreciable assets are required. The Company is subject to restrictions regarding operating policies, rental charges, operating expenditures and distributions as described in the HUD regulatory agreement. The balances consist of the following as of June 30:

	<u>2017</u>	<u>2016</u>
Total Mortgage Note Payable	\$ -	\$ 23,874
Less: Current Portion	<u>-</u>	<u>23,874</u>
Long-term Portion	<u>\$ -</u>	<u>\$ -</u>

Total interest expense on the mortgage payable was \$1,590 for the years ended June 30, 2016.

**FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016**

NOTE 10 RESIDENT DEPOSIT RESERVES

Resident deposit reserves (included in non-current liabilities) represent funds that are on deposit with, and controlled by, the Company during the period that residents reside at the Company. These funds are restricted until termination of the related contracts, at which time they are refunded to the resident less any withholdings prescribed by the related contracts. Resident deposit reserves consist of the following at June 30:

	2017	2016
Tenant Security Deposits	\$ 65,668	\$ 69,983
Application Fees Payable	44,100	46,200
Nonrefundable Entry Fee - Deferred Revenue	63,313	83,829
Entry Fees Payable	1,826,550	1,926,450
	<u>\$ 1,999,631</u>	<u>\$ 2,126,462</u>

Tenant security deposits are refundable to the extent that there are no damages to the related tenant's living unit. Application fees are derived from an initial \$1,000 application fee charged during the admission process of which 70% is refundable. Entry fees are for the Company's cottage program and vary depending upon the unit type and size. The entry fee represents a residency deposit on the value of the living unit. The Company refunds 90% of the entry fee upon termination of the related contract. The fees vary according to the unit to be occupied. The resident deposit reserves do not earn, nor accrue interest during the deposit period. The non-refundable portion of the resident deposit reserves are recorded to revenue as earned.

As of June 30, 2017 and 2016, there are no resident deposit reserves receivables.

NOTE 11 RESTRICTED DEPOSITS

Under the terms of the regulatory agreement, the Company is required to set aside specified amounts for the replacement of property and other project expenditures as approved by HUD. These HUD-restricted deposits equated \$163,391 and \$152,875 for replacement and other reserves (included in other assets), as of June 30, 2017 and 2016, respectively. These amounts are held in separate accounts and are generally not available for operating purposes.

NOTE 12 RELATED PARTY TRANSACTIONS

Due from Related Party

The Company has a related party receivable (included in current assets) in the amounts of \$17,996 and \$12,543 as of June 30, 2017 and 2016, respectively, due from Friends Nursing Home, Inc. The related party receivable is related to working capital advances and is payable upon demand.

**FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016**

NOTE 13 RETIREMENT PLAN

The Company has a contributory 401(k) savings plan covering all employees. Employer contributions to the plan are based upon participant eligibility and amount to a maximum of 2% of eligible compensation. The Company also makes a Safe Harbor contribution to eligible employees of 3% of their compensation. Contributions to the plan were \$44,105 and \$25,497 for the years ended June 30, 2017 and 2016, respectively.

NOTE 14 NET ASSETS

The Company's equity is comprised of permanently restricted, temporarily restricted and unrestricted net assets.

Temporarily restricted net assets consisted of contributions received by the Company that are restricted by the donor.

Temporarily restricted net assets at June 30, 2017 and 2016 consisted of the following:

	2017	2016
Resident Assistance	\$ 199,501	\$ 167,652
Aging Well with Friends	41,412	33,627
Building	79,320	18,970
Fitness Fund	12,240	11,990
Other	54,464	21,317
	<u>\$ 386,937</u>	<u>\$ 253,556</u>

Permanently restricted net assets at June 30, 2017 and 2016 consisted of the following:

	2017	2016
Resident Assistance - General	\$ 70,039	\$ 70,039
Resident Assistance - Quakers	36,425	36,425
Nursing Home Activities	5,170	5,170
Friends House Resident Moving to Friends Nursing Home	74,228	74,228
	<u>\$ 185,862</u>	<u>\$ 185,862</u>

Interpretation of Relevant Law

The State of Maryland adopted the Maryland Uniform Prudent Management of Institutional Funds Act (the "Act") effective April 14, 2009. The Board of Directors of the Company has interpreted the Act as requiring the preservation of the fair value of the original gift as of the gift date of the donor-restricted endowment funds absent explicit donor stipulations to the contrary.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016

NOTE 14 NET ASSETS (CONTINUED)

As a result of this interpretation, the Organization classifies as permanently restricted net assets (1) the original value of gifts donated to the permanent endowment, (2) the original value of subsequent gifts to the permanent endowment, and (3) accumulations to the permanent endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund.

The remaining portion of the donor-restricted endowment fund that is not classified in permanently restricted net assets is classified as temporarily restricted net assets until those amounts are appropriated for expenditure by the Organization in a manner consistent with the standard of prudence prescribed in the Act. In accordance with the Act, the Organization considers the following factors in making a determination to appropriate or accumulate donor restricted endowment funds:

- The duration and preservation of the fund
- The purposes of the organization and the donor-restricted endowment fund
- General economic conditions
- The possible effect of inflation and deflation
- The expected total return from income and the appreciation of investments
- Other resources of the organization
- The investment policies of the organization

The endowment assets have not had positive investment return in years 2016 and 2015. Thus, the Organization has not spent or distributed any portion of the endowments.

NOTE 15 EXPENSES BY FUNCTION

As described in Note 2, the Company provides two distinct types of services. However, since all the services are managed through one entity, which utilizes common employees and vendors, estimates must be used in developing allocations of expenses by function. These allocations are based on resident census information and the square footage of the facility utilized. Although these allocation estimates are reasonable, actual expenses by function may differ.

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016

NOTE 15 EXPENSES BY FUNCTION (CONTINUED)

Expenses by function for the years ended June 30 are as follows:

	2017		
	Apartment	Cottage	Total
	Living	Living	
Dietary	\$ 267,699	\$ -	\$ 267,699
Housekeeping	100,889	-	100,889
Facilities	167,214	442,476	609,690
Utilities	140,068	34,073	174,141
Insurance	69,965	35,132	105,097
Resident Programs	30,495	32,834	63,329
General and Admin	1,033,191	43,034	1,076,225
Depreciation and Amortization	86,552	98,593	185,145
Fundraising	4,334	-	4,334
Interest Expense	545	-	545
Taxes - Real Property	6,156	60,486	66,642
	<u>\$ 1,907,108</u>	<u>\$ 746,628</u>	<u>\$ 2,653,736</u>

	2016		
	Apartment	Cottage	Total
	Living	Living	
Dietary	\$ 284,984	\$ -	\$ 284,984
Housekeeping	104,981	-	104,981
Facilities	167,075	501,236	668,311
Utilities	154,409	35,016	189,425
Insurance	73,424	35,865	109,289
Resident Programs	21,359	22,997	44,356
General and Admin	1,056,502	44,322	1,100,824
Depreciation and Amortization	95,241	106,070	201,311
Fundraising	3,380	-	3,380
Interest Expense	2,195	-	2,195
Taxes - Real Property	5,289	56,135	61,424
	<u>\$ 1,968,839</u>	<u>\$ 801,641</u>	<u>\$ 2,770,480</u>

The following are expenses by functional classification for the years ended June 30 are as follows:

	2017	2016
Program	\$ 1,603,553	\$ 1,751,776
Management and General	1,045,849	1,015,324
Fundraising	4,334	3,380
Total	<u>\$ 2,653,736</u>	<u>\$ 2,770,480</u>

FRIENDS HOUSE, INC.
NOTES TO FINANCIAL STATEMENT
JUNE 30, 2017 AND 2016

NOTE 16 CURRENT VULNERABILITY DUE TO CERTAIN CONCENTRATIONS

The Company's operations are concentrated in the multifamily real estate market. In addition, the Project operates in a heavily regulated environment. The operations of the Project are subject to the administrative directives, rules and regulations of federal, state, and local regulatory agencies, including, but not limited to, HUD. Such administrative directives, rules, and regulations are subject to change by an act of Congress or an administrative change mandated by HUD. Such changes may occur with little notice or inadequate funding to pay for the related cost, including the additional administrative burden, to comply with a change.

NOTE 17 COMMITMENTS AND CONTINGENCIES

Operating Reserve

The Company and a related party, Friends Nursing Home, Inc., currently operate as Friends House Retirement Community (the Community). The Community became certified as a Continuing Care Retirement Community (CCRC) on June 2, 2010. In accordance with Maryland law governing continuing care retirement communities, the Community is required to set aside as operating reserves, 15% of the Community's net operating expenses (as defined), for the most recent fiscal year. The Community shall have up to ten full fiscal years after June 2, 2010 to meet the funding requirements with minimum annual contributions increasing on a pro rata basis.

The Company holds its portion of the operating reserve in cash equivalents in the name of the Community. The calculation of the required minimum statutory operating reserve is as follows for the year ended June 30, 2017:

Total Operating Expenses for the Year Ended June 30, 2016	\$ 2,770,480
Less Depreciation	(201,311)
Less Interest Expense	(2,195)
Adjusted Operating Expenses	2,566,974
	15%
Required Minimum Statutory Operating Reserve Balance (15% of Adjusted operating Expenses)	
	\$ 385,046

NOTE 18 SUBSEQUENT EVENTS

In preparing these financial statements, the Company has evaluated events and transactions for potential recognition or disclosure through November 22, 2017, the date the financial statements were issued. The results of this evaluation indicated that there are no subsequent events or transactions that are required to be disclosed in these financial statements.

**INDEPENDENT AUDITORS' REPORT
ON SUPPLEMENTARY INFORMATION**

Board of Directors
Friends House, Inc.
Sandy Spring, Maryland

We have audited the financial statements of Friends House, Inc. (a nonprofit organization) (the Company) as of and for the year ended June 30, 2017, and our report thereon dated November 22, 2017, which expressed an unmodified opinion on those financial statements. Our audit was conducted for the purpose of forming an opinion on the financial statements as a whole. The supplementary information included in the schedules of Financial Position by Fund and Activities by Fund, which is the responsibility of management, is presented for purposes of additional analysis and is not a required part of the financial statements. Such information has not been subjected to the auditing procedures applied in the audit of the financial statements, and, accordingly, we do not express an opinion or provide any assurance on it.

CliftonLarsonAllen LLP

CliftonLarsonAllen LLP

Baltimore, Maryland
November 22, 2017

FRIENDS HOUSE, INC.
SCHEDULE OF FINANCIAL POSITION BY FUND
JUNE 30, 2017

	Development Fund (UNAUDITED)	General Fund (UNAUDITED)	Revenue Fund (UNAUDITED)	Total
ASSETS				
CURRENT ASSETS				
Cash and Cash Equivalents	\$ 438,765	\$ 1,018,974	\$ 143,112	\$ 1,600,851
Accounts Receivable	-	7,146	4,690	11,836
Due from Related Party	(259,400)	100,051	177,345	17,996
Prepaid Expenses	-	10,852	16,334	27,186
Total Current Assets	179,365	1,137,023	341,481	1,657,869
PROPERTY AND EQUIPMENT - NET	118,238	3,290,873	1,260,138	4,669,249
OTHER ASSETS				
Investments	1,587,336	2,569,431	26,766	4,183,533
Tenant Security Deposits	-	-	65,127	65,127
Reserve for Replacements	-	-	98,871	98,871
Deferred Marketing Costs	-	-	23,660	23,660
Other Reserves	-	-	64,520	64,520
Total Other Assets	1,587,336	2,569,431	278,944	4,435,711
Total Assets	\$ 1,884,939	\$ 6,997,327	\$ 1,880,563	\$ 10,762,829
LIABILITIES AND NET ASSETS				
CURRENT LIABILITIES				
Current Portion of Note Payable	\$ -	\$ 390,473	\$ -	\$ 390,473
Current Portion of Mortgage Payable	-	-	-	-
Accounts Payable and Accrued Expenses	-	318,630	144,841	463,471
Other Current Liabilities	-	-	9,283	9,283
Total Current Liabilities	-	709,103	154,124	863,227
NONCURRENT LIABILITIES				
Note Payable, Net of Current Portion	-	1,187	-	1,187
Tenant Security Deposits	-	7,444	58,224	65,668
Application Fees Payable	-	44,100	-	44,100
Entry Fees Payable	-	1,889,863	-	1,889,863
Total Noncurrent Liabilities	-	1,942,594	58,224	2,000,818
Total Liabilities	-	2,651,697	212,348	2,864,045
NET ASSETS				
Permanently Restricted	185,862	-	-	185,862
Temporarily Restricted	386,937	-	-	386,937
Unrestricted	1,312,140	4,345,630	1,668,215	7,325,985
Total Net Assets	1,884,939	4,345,630	1,668,215	7,898,784
Total Liabilities and Net Assets	\$ 1,884,939	\$ 6,997,327	\$ 1,880,563	\$ 10,762,829

FRIENDS HOUSE, INC.
SCHEDULE OF ACTIVITIES BY FUND
YEAR ENDED JUNE 30, 2017

	Development Fund (UNAUDITED)	General Fund (UNAUDITED)	Revenue Fund (UNAUDITED)	Subtotal (UNAUDITED)	Eliminations (UNAUDITED)	Total
REVENUE, GAINS AND OTHER SUPPORT						
Rental and Monthly Fee Income	\$ -	\$ 651,668	\$ 875,123	\$ 1,526,791	\$ -	\$ 1,526,791
Interest and Dividends, Less Investment Expense	15,484	35,709	1,158	52,351	-	52,351
Realized Gains on Investments	55,445	112,571	-	168,016	-	168,016
Contributions	196,710	-	-	196,710	-	196,710
Retail Sales and Services	-	1,239	1,118,178	1,119,417	-	1,119,417
Application Fees	-	600	-	600	-	600
Entry Fees	-	20,516	-	20,516	-	20,516
Total Revenue, Gains and Other Support	267,639	822,303	1,994,459	3,084,401	-	3,084,401
EXPENSES						
Administrative and General	133,346	193,072	742,427	1,068,845	-	1,068,845
Fundraising	-	-	4,334	4,334	-	4,334
Program Assistance	63,329	-	-	63,329	-	63,329
Utilities	-	34,073	140,068	174,141	-	174,141
Insurance	-	35,132	69,965	105,097	-	105,097
Housekeeping	-	-	100,889	100,889	-	100,889
Dietary	-	-	267,699	267,699	-	267,699
Maintenance	-	167,635	442,055	609,690	-	609,690
Taxes	18	60,858	5,766	66,642	-	66,642
Interest	-	8	537	545	-	545
Depreciation	843	97,750	86,552	185,145	-	185,145
Other	-	-	7,380	7,380	-	7,380
Total Expenses	197,536	588,528	1,867,672	2,653,736	-	2,653,736
EARNED INCOME	70,103	233,775	126,787	430,665	-	430,665
Unrealized Gains on Investments	110,145	223,626	-	333,771	-	333,771
CHANGE IN NET ASSETS	<u>\$ 180,248</u>	<u>\$ 457,401</u>	<u>\$ 126,787</u>	<u>\$ 764,436</u>	<u>\$ -</u>	<u>\$ 764,436</u>

FRIENDS NURSING HOME, INC.
FINANCIAL STATEMENTS
YEARS ENDED JUNE 30, 2017 AND 2016

FRIENDS NURSING HOME, INC.
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INDEPENDENT AUDITORS' REPORT

Board of Directors
Friends Nursing Home, Inc.
Sandy Spring, Maryland

Report on the Financial Statements

We have audited the accompanying financial statements of Friends Nursing Home, Inc. (a nonprofit organization) (the Company) which comprise the statements of financial position as of June 30, 2017 and 2016, and the related statements of activities and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on the financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Board of Directors
Friends Nursing Home, Inc.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Friends Nursing Home, Inc. as of June 30, 2017 and 2016, and the and the results of its operations, changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

CliftonLarsonAllen LLP

CliftonLarsonAllen LLP

Baltimore, Maryland
November 22, 2017

FRIENDS NURSING HOME, INC.
STATEMENTS OF FINANCIAL POSITION
JUNE 30, 2017 AND 2016

	<u>2017</u>	<u>2016</u>
ASSETS		
CURRENT ASSETS		
Cash and Cash Equivalents	1,924,535	\$ 2,015,558
Accounts Receivable, Net of Allowance for Doubtful Accounts of \$729,569 and \$506,046	2,639,795	2,246,398
Prepaid Expenses	<u>14,068</u>	<u>19,618</u>
Total Current Assets	4,578,398	4,281,574
PROPERTY AND EQUIPMENT - NET	4,013,532	4,035,727
OTHER ASSETS		
Investments	12,789	37,359
Deposits	<u>2,266</u>	<u>17,272</u>
Total Other Assets	<u>15,055</u>	<u>54,631</u>
Total Assets	<u><u>\$ 8,606,985</u></u>	<u><u>\$ 8,371,932</u></u>
LIABILITIES AND NET ASSETS		
CURRENT LIABILITIES		
Accounts Payable and Accrued Expenses	\$ 656,015	\$ 747,963
Due to Related Party	<u>17,996</u>	<u>12,544</u>
Total Current Liabilities	674,011	760,507
NET ASSETS		
Unrestricted	<u>7,932,974</u>	<u>7,611,425</u>
Total Liabilities and Net Assets	<u><u>\$ 8,606,985</u></u>	<u><u>\$ 8,371,932</u></u>

See accompanying Notes to Financial Statements.

FRIENDS NURSING HOME, INC.
STATEMENTS OF ACTIVITIES
YEARS ENDED JUNE 30, 2017 AND 2016

	<u>2017</u>	<u>2016</u>
REVENUE, GAINS AND OTHER SUPPORT		
Patient Service Revenue	\$ 10,307,024	\$ 10,761,657
Investment Gains, Net of Investment Expense	4,128	4,449
Other Revenue	21,840	21,840
Total Revenue, Gains and Other Support	<u>10,332,992</u>	<u>10,787,946</u>
EXPENSES		
Nursing	5,816,598	5,869,817
Administration	1,084,194	1,140,095
Dietary	976,655	974,306
Housekeeping	466,791	505,126
Maintenance	485,859	503,467
Activities	211,129	214,800
Depreciation	227,142	289,075
Secretarial	160,470	135,588
Bad Debt Expense	412,573	674,938
Social Services	148,210	172,760
Laundry	21,822	25,365
Total Expenses	<u>10,011,442</u>	<u>10,505,337</u>
EARNED INCOME AND CHANGE IN NET ASSETS	321,549	282,609
Net Assets - Beginning of Year	<u>7,611,425</u>	<u>7,328,816</u>
NET ASSETS - END OF YEAR	<u><u>\$ 7,932,974</u></u>	<u><u>\$ 7,611,425</u></u>

See accompanying Notes to Financial Statements.

**FRIENDS NURSING HOME, INC.
STATEMENTS OF CASH FLOWS
YEARS ENDED JUNE 30, 2017 AND 2016**

	<u>2017</u>	<u>2016</u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in Net Assets	\$ 321,549	\$ 282,609
Adjustments to Reconcile Change in Net Assets to		
Net Cash Provided by Operating Activities:		
Depreciation	227,142	289,075
Bad Debt Expense	412,573	674,938
(Increase) Decrease in Assets		
Accounts Receivable	(805,970)	(1,009,105)
Prepaid Expenses	5,550	(7,462)
(Decrease) Increase in Liabilities		
Accounts Payable and Accrued Expenses	(91,948)	16,702
Net Cash Provided by Operating Activities	<u>68,897</u>	<u>246,757</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of Property and Equipment	(204,947)	(434,855)
(Purchase) Sale of Investments	24,570	(70)
Deposits	15,006	15,034
Net Cash Used by Investing Activities	<u>(165,371)</u>	<u>(419,891)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Advances from (Repaymentenets to) Related Parties	<u>5,451</u>	<u>(5,359)</u>
NET DECREASE IN CASH AND CASH EQUIVALENTS	(91,023)	(178,493)
Cash and Cash Equivalentents - Beginning of Year	<u>2,015,558</u>	<u>2,194,051</u>
CASH AND CASH EQUIVALENTS - END OF YEAR	<u><u>\$ 1,924,535</u></u>	<u><u>\$ 2,015,558</u></u>
SUPPLEMENTAL DISCLOSURE OF CASH FLOW INFORMATION		
Cash Paid During the Year For:		
Interest	<u><u>\$ -</u></u>	<u><u>\$ -</u></u>

See accompanying Notes to Financial Statements.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2017 AND 2016

NOTE 1 NATURE OF ORGANIZATION

Friends Nursing Home, Inc. (the "Company") is a nonprofit corporation incorporated in the State of Maryland. The Company's facilities are located in Sandy Spring, Maryland, a suburb of Washington, D.C. The Company provides long-term healthcare services and currently is licensed and equipped for 82 comprehensive care beds and 24 assisted-living beds. Under a standard service agreement, the Company provides each resident with board, lodging, maintenance, and certain nursing and medical care in exchange for a monthly fee. This type of contract may be terminated by either Friends Nursing Home, Inc. or the resident upon the giving of proper notice.

The Company and a related party, Friends House, Inc., currently operate as Friends House Retirement Community (the "Community"). The Company is related through a common board of directors to Friends House, Inc. Friends House, Inc. is a full service retirement community consisting of apartments and cottages to provide independent living and offer the benefits of a full service retirement community. The Community is certified as a continuing care retirement community. The Community operates with the utilization of continuing care resident agreements that are subject to the jurisdiction of the Maryland Department of Aging.

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Method of Accounting

The financial statements are prepared on the accrual basis of accounting.

Financial Statement Presentation

The Company is required to report information regarding its financial position and activities according to three classes of net assets: unrestricted net assets, temporarily restricted net assets, and permanently restricted net assets.

Use of Estimates

Management uses estimates and assumptions in preparing financial statements. Those estimates and assumptions affect the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities, and the reported amounts of revenues and expenses. Actual results could differ from those estimates.

Cash and Cash Equivalents

For purposes of the statements of cash flows, the Company considers all short-term debt securities purchased with an initial maturity of three months or less to be cash equivalents.

Accounts Receivables

Approximately 50% and 58% of accounts receivable was derived from private-pay residents for the years ended June 30, 2017 and 2016, respectively. The remainder of accounts receivable was derived from Federal and State third-party reimbursement programs.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2017 AND 2016

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Accounts Receivables (Continued)

All customers are subject to credit review, which determines future credit policies. In the ordinary course of business, the Company provides credit to customers under standard terms without collateral. A receivable is considered past due if payments have not been received within the agreed upon invoice terms. The Company utilizes the allowance method of accounting for doubtful accounts. The allowance is based on experience, third-party contracts and other circumstances, which may affect the ability of customers to meet their obligations. It is the Company's policy to charge off uncollectible accounts when management determines the receivable will not be collected.

Property and Equipment

All acquisitions of property and equipment are stated at historical cost, less accumulated depreciation. The Company capitalizes all expenditures for property and equipment costing \$1,000 or more and having useful lives greater than one year. Depreciation is computed on the straight-line method over the estimated useful lives of the depreciable assets. Upon sale or retirement, the cost and related accumulated depreciation are eliminated from the respective accounts, and the resulting gain or loss is included in the change in net assets. Repairs and maintenance charges which do not increase the useful lives of the assets are charged to expense as incurred.

The Company records impairment losses on property and equipment when events and circumstances indicate that it is probable that the assets are impaired and the undiscounted cash flows estimated to be generated by those assets are less than the carrying amount of those assets. Based on management's estimation process, no impairment losses have been recorded as of June 30, 2017 and 2016.

Investments and Investment Income

Investments in marketable securities with readily determinable fair values and all investments in debt securities are reported at their fair values in the statements of financial position. Unrealized gains and losses are included in the change in net assets in the accompanying Statements of Activities, Investment income and gains restricted by a donor, or by law, are reported as increases in unrestricted net assets if the restrictions are met (either by passage of time or by use) in the reporting period in which the income and gains are recognized.

Compensated Absences

Employees of the Company are entitled to compensated absences depending on job classification, length of service, and other factors. The Company's policy is to accrue liabilities for compensated absences as earned.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2017 AND 2016

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Loss Contingencies

In the course of its business affairs and operations, the Company is subject to possible loss contingencies arising from federal, state and local environmental, health and safety laws and regulations and third-party litigation. The Company has purchased insurance for medical malpractice on an occurrence based basis. There are no matters that, in the opinion of management, will have a material adverse effect on the financial position, results of operations or cash flows of the Company.

Rental and Service Revenue

Rental and service revenue is recognized as rentals become due and services are rendered. A majority of the rental and service revenue is derived under private pay and federal and state third-party reimbursement programs, which operate at established billing rates or at the net realizable amounts under agreement with the facility. Revenue under the third-party payer's agreement is subject to examination and retroactive adjustment. A provision for estimated third-party payor settlements is provided in the period the related services are rendered. Differences between the amounts accrued and subsequent settlements are included in the results of operations in the year of settlement.

Income Taxes

The Company is a nonprofit organization that is exempt from income taxes under Section 501(c)(3) of the Internal Revenue Code and is exempt from federal income taxes on related income pursuant to Section 509(a) of the Code.

The Company follows the provisions of the income tax standard regarding the recognition and measurement of uncertain tax positions. Management has determined that this standard does not have a material impact on the financial statements.

The Company is not aware of any activities that would jeopardize its tax-exempt status.

Performance Indicator

The statements of activities include a performance indicator that is shown as "earned income and changes in net assets." Earned income and changes in net assets reports the income from continuing operations of the Company.

Donated Cash Contributions

Contributions received are recorded as unrestricted, temporarily restricted, or permanently restricted net assets depending on the existence or nature of any donor imposed restrictions on the contributions.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2017 AND 2016

NOTE 2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Donated Assets

Donations of marketable securities and other noncash donations are recorded as contributions at fair value as of the date of donation. Such donations are reported as increases in unrestricted net assets unless the donor has restricted the donated asset to a specific purpose. Assets donated with explicit restrictions regarding their use and contributions of cash that must be used to acquire property and equipment are reported as restricted contributions. Absent donor stipulations regarding how long those donated assets must be maintained, the Company reports expirations of donor restrictions when the donated or acquired assets are placed in service as instructed by the donor. The Company reclassifies temporarily restricted net assets to unrestricted net assets at that time.

Donated Services

No amounts have been reflected in the financial statements for donated services. The Company generally pays for services requiring specific expertise. However, individuals volunteer their time and perform a variety of tasks that assist the Company. These services are not material and do not meet the criteria for recognition as contributed services.

Promises to Give

Contributions are recognized when the donor makes a promise to give to the Company that is, in substance, unconditional contributions that are restricted by the donor are reported as increases in unrestricted net assets if the restrictions expire in the fiscal year in which the contributions are recognized. All other donor-restricted contributions are reported as increases in temporarily or permanently restricted net assets depending on the nature of the restrictions. When a restriction expires, temporarily restricted net assets are reclassified to unrestricted net assets.

The Company uses the allowance method to determine uncollectible unconditional promises receivable. The allowance is based on the prior years' experience and management's analysis of specific promises made. Management has deemed all the unconditional promises to give to be collectible. Therefore, no allowance for doubtful accounts is considered necessary as of June 30, 2017 and 2016.

Functional Expense Allocation

The Company operates as a long-term healthcare services facility. All expenses are directly identifiable to that primary function of providing long-term health care services. General and administrative supporting expenses of the Company include those expenses that are not directly identifiable with the specific function of providing long-term health care services, but provide the overall support and direction of the Company.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2017 AND 2016

NOTE 3 INVESTMENTS AND INVESTMENT INCOME

The Company follows FASB ASC 820-10 for a single definition of fair value and a framework for measuring fair value in generally accepted accounting principles (GAAP) that is intended to result in increased consistency and comparability in fair value measurements and disclosures. FASB ASC 820-10 also expands disclosures about fair value measurements and applies whenever other authoritative literature requires (or permits) certain assets or liabilities to be measured at fair value, but does not expand the use of fair value.

Items carried at fair value on a non-recurring basis generally consist of assets held for sale. The Company also uses fair value concepts to test various long-lived assets for impairment.

FASB ASC 820-10 requires that fair value be determined by providing a fair value hierarchy consisting of three levels, generally ranging from the most objective determination of fair value to the most subjective. The levels vary depending on the objectivity of the information used in valuation techniques to determine fair value. GAAP refers to the levels as categories of input into those techniques. The three general valuation levels that may be used to measure fair value are as described below:

Level 1: Inputs are quoted prices in active markets for identical assets or liabilities;

Level 2: Inputs to the valuation methodology include: inputs generally are available indirect information, such as quoted prices for similar assets or liabilities in active markets, or quoted prices for identical or similar assets or liabilities in markets that are not active. Additional level 2 inputs may be other than quoted prices that are observable for the asset or liability or inputs derived principally from or corroborated by observable market data by correlation or other means; and

Level 3: Inputs are the most subjective, are generally based on the entity's own assumptions on how knowledgeable parties would price assets or liabilities, and are developed using the best information available in the circumstances.

See Note 6 for further fair value measurement consideration of the Company's investments in marketable securities.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2017 AND 2016

NOTE 3 INVESTMENTS AND INVESTMENT INCOME (CONTINUED)

The following table sets forth, by level, within the fair value hierarchy, the Company's assets, liabilities and fair value as of June 30, 2017 and 2016:

		2017			
		Level 1	Level 2	Level 3	Total
Assets					
Investments		\$ 12,789	\$ -	\$ -	\$ 12,789
		<u>\$ 12,789</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 12,789</u>
		2016			
		Level 1	Level 2	Level 3	Total
Assets					
Investments		\$ 12,707	\$ -	\$ -	\$ 12,707
Partnership in Interest		-	-	24,652	24,652
		<u>\$ 12,707</u>	<u>\$ -</u>	<u>\$ 24,652</u>	<u>\$ 37,359</u>

Gains and losses (realized and unrealized) included in changes in unrestricted net assets for the year are reported in the Statements of Activities as investment gains or (losses). There were no gains and losses for the years ended June 30, 2017 and 2016.

All assets have been valued using a market approach. There have been no changes in valuation techniques and related inputs.

NOTE 4 CASH AND CASH EQUIVALENTS

At times during the year, the Company maintains cash balances at financial Institutions which exceed the Federal Deposit Insurance Corporation (FDIC) and the Securities Investor Protection Corporation (SIPC) insurance limits. The Company uses a daily repurchase agreement for excess cash funds to buy securities issued by the United States government. These repurchase agreements are not insured and involve investment risk. Management believes the risk in these situations to be minimal.

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2017 AND 2016

NOTE 5 PROPERTY AND EQUIPMENT

Property and equipment consists of the following as of June 30:

	2017	2016
Land	\$ 100,218	\$ 100,218
Land Improvements	21,842	21,842
Construction in Progress	498,516	393,322
Building and Building Improvements	6,921,260	6,912,162
Furniture, Fixtures and Equipment	2,674,769	2,584,113
Vehicles	72,520	72,520
Software	41,409	41,409
Property and Equipment Total	10,330,534	10,125,586
Less: Accumulated Depreciation	6,317,002	6,089,859
	<u>\$ 4,013,532</u>	<u>\$ 4,035,727</u>

Depreciation expense totaled \$227,142 and \$289,075 for the years ended June 30, 2017 and 2016, respectively.

Construction in progress at June 30, 2017 and 2016 consisted of interior design, engineering, and planning and feasibility costs associated with the plans to expand the Company's current campus.

NOTE 6 INVESTMENTS

Investments are reported at the aggregate fair value based upon quoted market prices for those investments. Unrealized gains and (losses) are included in the change in net assets in the accompanying Statements of Activities. Investments held by the Company consist of the following:

	Fair Value	Cost	Unrealized Gain/(Loss)
<u>June 30, 2017</u>			
Certificates of Deposit	\$ 12,789	\$ 12,789	\$ -
Total Investments	<u>\$ 12,789</u>	<u>\$ 12,789</u>	<u>\$ -</u>
<u>June 30, 2016</u>			
Certificates of Deposit	\$ 12,706	\$ 12,706	\$ -
Partnership Interest in Insurance Company	24,653	24,653	-
Total Investments	<u>\$ 37,359</u>	<u>\$ 37,359</u>	<u>\$ -</u>

FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2017 AND 2016

NOTE 6 INVESTMENTS (CONTINUED)

Income (loss) on investments included in the change in net assets, consisted of the following at June 30:

	2017	2016
Interest and Dividends	\$ 4,128	\$ 4,449
Investment Expense	-	-
Total Investment Income	<u>\$ 4,128</u>	<u>\$ 4,449</u>

NOTE 7 LINE OF CREDIT

The Company has an unsecured \$30,000 line of credit with a bank. The line of credit requires that the principal outstanding plus any unpaid accrued interest be paid on demand. As of June 30, 2017 and 2016, there were no outstanding draws on the line of credit. Interest is payable on any outstanding draws at a variable interest rate, which was 4.5% and 3.75% as of June 30, 2017 and 2016, respectively. For the years ended June 30, 2017 and 2016, there was no interest expense.

NOTE 8 RELATED PARTY TRANSACTIONS

Due to Related Party

The Company has a net related party payable (included in current liabilities) in the amounts of \$17,996 and \$12,544 as of June 30, 2017 and 2016, respectively, due to the Friends House, Inc. The related party payable is related to working capital advances and are due upon demand.

NOTE 9 RETIREMENT PLAN

The Company has a contributory 401(k) savings plan covering all employees. Employer contributions to the plan are based upon participant eligibility and amount to a maximum of 2% of eligible compensation. The Company also makes a Safe Harbor contribution to eligible employees of 3% of their compensation. Contributions to the plan were \$166,935 and \$121,274 for the years ended June 30, 2017 and 2016, respectively.

NOTE 10 NET ASSETS

The Company's equity is comprised of permanently restricted, temporarily restricted and unrestricted net assets. Permanently restricted net assets consisted of funds contributed and restricted by the donor. For these restricted funds, the Company must keep the principal intact and the income can be spent as specified by the donor. Temporarily restricted net assets generally consist of contributions received by the Company that are restricted by the donor to a specific program. As of June 30, 2017 and 2016, the Company's net assets only included unrestricted net assets.

**FRIENDS NURSING HOME, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2017 AND 2016**

NOTE 11 COMMITMENTS AND CONTINGENCIES

Operating Reserve

The Company and a related party, Friends House, Inc., currently operate as Friends House Retirement Community (the Community). The Community became certified as a Continuing Care Retirement Community (CCRC) on June 2, 2010. In accordance with Maryland law governing continuing care retirement communities, the Community is required to set aside as operating reserves, 15% of the Community's net operating expenses (as defined), for the most recent fiscal year. The Community shall have up to ten full fiscal years after June 2, 2010 to meet the funding requirements with minimum annual contributions increasing on a pro rata basis.

The Company holds its portion of the operating reserve in cash equivalents in the name of the Community. The calculation of the required minimum statutory reserve is as follows for the year ended June 30, 2017:

Total Operating Expenses for the Year Ended June 30, 2016	\$ 10,505,337
Less Depreciation	(289,075)
Less Interest Expense	-
Adjusted Operating Expenses	<u>10,216,262</u>
	<u>15%</u>
Required Minimum Statutory Operating Reserve Balance (15% of Adjusted operating Expenses)	<u><u>\$ 1,532,439</u></u>

NOTE 12 FUNCTIONAL EXPENSES

The Company provides various services to its residents. Expenses related to providing these services consist of the following for the years ended June 30:

	<u>2017</u>	<u>2016</u>
Program	\$ 9,041,211	\$ 9,461,192
Management and General	970,231	1,044,145
Total	<u><u>\$ 10,011,442</u></u>	<u><u>\$ 10,505,337</u></u>

NOTE 13 SUBSEQUENT EVENTS

Management has evaluated subsequent events through November 22, 2017, the issuance date of the financial statements.

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APPENDIX C
FINANCIAL FEASIBILITY STUDY

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Friends House Retirement Community, Inc.

Financial Feasibility Study
for the Five Years Ending
June 30, 2023
and
Independent Accountants' Report



Candor. Insight. Results.

Friends House Retirement Community, Inc.

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Independent Accountants' Report

Board of Directors
Friends House Retirement Community, Inc.

We have prepared a financial feasibility study of the plans of Friends House Retirement Community, Inc. (the Community) to finance a major renovation and repositioning project (the Project) on the Community's campus in Sandy Spring, Maryland. The Community currently owns and operates a continuing care retirement community that consists of 82 skilled nursing (SN) beds (16 private and 66 semi-private), 21 assisted living (AL) units, 24 independent living (IL) cottages, and 105 IL apartments. The IL apartments consist of 105 IL rental apartments (4 connected buildings of 25 apartments each, and 5 apartments connected to one of the buildings). The Project is assumed to primarily consist of the construction of 14 IL cottage units and 33 IL apartment units in 3 small buildings (Lodges), the renovation of 20 existing IL apartments and repurposing 5 existing IL apartments, and the renovation of common areas. In addition, the Community will be taking 80 of the 105 IL apartments out of service. Upon completion of the Project, the Community will consist of 82 SN beds, 21 AL units, 53 IL apartments, and 38 IL cottages.

Management of the Community (Management) anticipates construction of the Project will be completed in September 2019. The estimated total cost of the Project, excluding the costs related to the renovation of the 20 existing IL apartments and repurposing 5 existing IL apartments and including costs associated with the proposed issuance of bonds that are assumed to be the primary source of financing for the Project, is disclosed in Table 3 in the section titled "Summary of Significant Forecast Assumptions and Accounting Policies."

The study was undertaken to evaluate the ability of the Community to generate sufficient funds to meet its operating expenses, working capital needs, and other financial requirements, including the debt service requirements associated with the proposed \$30,320,000 Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project), Series 2018 (Series 2018 Bonds). The Series 2018 Bonds are assumed to be issued in two separate components: \$17,120,000 of non-rated, tax-exempt fixed rate bonds, Series 2018A (Series 2018A Bonds) and a \$13,200,000 non-rated, tax-exempt variable rate bank-held bond, Series 2018B (Series 2018B Bond). The Series 2018 Bonds are assumed to be outstanding throughout the forecast period, less scheduled principal repayments.

The terms of the proposed Series 2018A Bonds are assumed to be as follows:

- \$2,500,000 term bonds due in varying annual installments beginning July 2029 through July 2033, issued at an average annual interest rate of 5.0 percent;
- \$3,740,000 term bonds due in varying annual installments beginning July 2034 through July 2038, issued at an average annual interest rate of 5.0 percent; and
- \$10,880,000 term bonds due in varying annual installments beginning July 2039 through July 2048, issued at an annual average interest rate of 5.0 percent.

The Series 2018A Bonds are assumed to be issued at a premium of \$95,000.

The proposed Series 2018B Bond is assumed be purchased directly by a commercial bank and issued on a draw-down basis during the construction period. Draws on the Series 2018B Bond are assumed to begin in January 2019 and end in September 2019 when the Project is forecasted to be completed. The Series 2018B Bond is forecasted to be partially repaid in 2020 with \$10,200,000 of proceeds from entry fees for the new IL units; the remaining \$3,000,000 is assumed to be repaid in varying annual installments from 2023 (July 1, 2022) to 2030 (July 1, 2029). The Series 2018B Bond is assumed to bear interest at an average annual interest rate of 4.054 percent.

The proceeds from the sale of the Series 2018 Bonds, together with other available funds described below, will be used to:

- Pay for design, construction, and other costs associated with the Project, except for the costs related to the renovation of the 20 existing IL apartments and repurposing 5 existing IL apartments;
- Fund interest on the Series 2018A Bonds from August 2018 through December 2019;
- Fund interest on the Series 2018B Bond from January 2019 through March 2020;
- Fund a debt service reserve fund for the Series 2018A Bonds;
- Pay marketing costs associated with acquiring initial continuing-care contracts for the new IL units; and
- Pay for certain costs associated with the issuance of the Series 2018 Bonds.

An equity contribution of approximately \$2,200,000 will also be utilized for the Project.

The responsibility for payment of debt service on the Series 2018 Bonds is solely that of the Community.

Our procedures included analysis of the following:

- The Community's history, objectives, timing, and financing;
- The future demand for the Community's IL services, including consideration of:
 - Economic and demographic characteristics of the Community's primary market area;
 - Local real estate trends;
 - Locations, capacities, and competitive information pertaining to other existing and planned housing and services for seniors in the primary market area; and
 - Historical utilization levels.
- Construction and equipment costs, debt service requirements, and estimated financing costs;
- Staffing patterns and other operating considerations;
- Revenue, expense, and occupancy relationships; and
- Applicable legislation and regulations currently in effect.

We also participated in gathering other information, assisted Management in identifying and formulating its assumptions, and assembled the accompanying financial forecast based upon those assumptions.

The accompanying financial forecast for each of the five years ending June 30, 2023 is based on assumptions that were provided by, or reviewed with and approved by, Management. The financial forecast includes:

- Forecasted Balance Sheets;
- Forecasted Statements of Operations and Changes in Net Assets; and
- Forecasted Statements of Cash Flows.

We have examined the accompanying financial forecast of the Community based on the guidelines for the presentation of a forecast established by the American Institute of Certified Public Accountants (AICPA). Management is responsible for preparing and presenting the forecast in accordance with the guidelines for the presentation of a forecast established by the AICPA. Our responsibility is to express an opinion on the forecast based on our examination.

Our examination was conducted in accordance with attestation standards established by the AICPA. Those standards require that we plan and perform the examination to obtain reasonable assurance about whether the forecast is presented in accordance with the guidelines for the presentation of a forecast established by the AICPA, in all material respects. An examination involves performing procedures to obtain evidence about the forecast. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risks of material misstatement of the forecast, whether due to fraud or error. We believe that the evidence we obtained is sufficient and appropriate to provide a reasonable basis for our opinion.

Legislation and regulations at all levels of government have affected and may continue to affect the revenues and expenses of the Community. The financial forecast is based on legislation and regulations currently in effect. If future legislation or regulations affecting the Community are subsequently enacted, such legislation or regulations could have a material effect on future operations.

The interest rates, principal payments, Project costs, and other financing assumptions are described in the section titled "Summary of Significant Forecast Assumptions and Accounting Policies." If actual interest rates, principal payments, or funding requirements are different from those assumed, the amount of the Series 2018 Bonds and debt service requirements would need to be adjusted accordingly from those indicated in the forecast. If such interest rates, principal payments, and funding requirements are lower than those assumed, such adjustments would not adversely affect the forecast.

Our conclusions are presented below:

- In our opinion, the accompanying financial forecast is presented, in all material respects, in accordance with guidelines for presentation of a financial forecast established by the AICPA.
- In our opinion, the underlying assumptions are suitably supported and provide a reasonable basis for Management's forecast. However, there will usually be differences between the forecasted and actual results because events and circumstances frequently do not occur as expected, and those differences may be material.
- The accompanying financial forecast indicates sufficient funds could be generated to meet the Community's operating expenses, working capital needs, and other financial requirements, including the debt service requirements associated with the proposed Series 2018 Bonds during the forecast period. However, the achievement of any financial forecast is dependent upon future events, the occurrence of which cannot be assured.

The accompanying forecasted schedule of debt service coverage ratio, interest coverage ratio, and days cash on hand is presented for purposes of additional analysis and is not a required part of the financial forecast. This information is the representation of management. Such information has been subjected to procedures applied in the examination of the financial forecast, and in our opinion, is fairly stated in all material respects in relation to the financial forecast taken as a whole. However, there will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

We have no responsibility to update this report for events and circumstances occurring after the date of this report.

Baker Tilly Virchow Krause, LLP

Philadelphia, Pennsylvania
July 25, 2018

Friends House Retirement Community, Inc.

Forecasted Schedule of Debt Service Coverage Ratio, Interest Coverage Ratio, and Days Cash on Hand

As of and For Each of the Years Ending June 30, 2019 - 2023

(In thousands of dollars)

	2019	2020	2021	2022	2023
Debt Service Coverage Ratio					
Revenues available for debt service:					
Revenues, gains and other support less than expenses and losses		\$ (446)	\$ (82)	\$ (172)	\$ (193)
Depreciation		1,378	1,418	1,452	1,485
Interest		1,012	1,027	1,027	1,014
Proceeds from entry fees, existing units, net		94	177	319	403
Amortization of entry fees		(493)	(785)	(735)	(699)
Revenues available for debt service		<u>\$ 1,545</u>	<u>\$ 1,755</u>	<u>\$ 1,891</u>	<u>\$ 2,010</u>
Maximum annual debt service				<u>\$ 1,411</u>	<u>\$ 1,411</u>
Debt service coverage ratio - Master Trust Indenture (1)				<u>1.34</u>	<u>1.42</u>
Annual debt service			<u>\$ 978</u>	<u>\$ 978</u>	<u>\$ 1,280</u>
Debt service coverage ratio - Series 2018B Bond Loan and Financing Agreement (2)			<u>1.79</u>	<u>1.93</u>	<u>1.57</u>
Interest Coverage Ratio					
Annual interest obligations, net of funded interest:					
Series 2018A Bonds		\$ 71			
Series 2018B Bond		<u>27</u>			
Annual interest obligations		<u>\$ 98</u>			
Interest coverage ratio (3)		<u>15.77</u>			
Days Cash on Hand					
Total expenses	\$ 12,310	\$ 14,361	\$ 14,790	\$ 15,121	\$ 15,455
Less:					
Provision for doubtful collections	(183)	(186)	(191)	(194)	(199)
Depreciation	(426)	(1,378)	(1,418)	(1,452)	(1,485)
Amortization of debt issuance costs	-	(35)	(52)	(52)	(52)
Accretion of bond premium	-	<u>2</u>	<u>3</u>	<u>3</u>	<u>3</u>
Total cash operating expenses	11,701	12,764	13,132	13,426	13,722
365/366 days	<u>365</u>	<u>366</u>	<u>365</u>	<u>365</u>	<u>365</u>
Daily cash operating expenses	<u>\$ 32</u>	<u>\$ 35</u>	<u>\$ 36</u>	<u>\$ 37</u>	<u>\$ 38</u>
Unrestricted cash and investments:					
Cash and cash equivalents	\$ 3,256	\$ 3,311	\$ 3,382	\$ 3,463	\$ 3,550
Investments (4)	<u>4,680</u>	<u>7,275</u>	<u>7,683</u>	<u>7,818</u>	<u>8,152</u>
Total unrestricted cash and investments	<u>\$ 7,936</u>	<u>\$ 10,586</u>	<u>\$ 11,065</u>	<u>\$ 11,281</u>	<u>\$ 11,702</u>
Days cash on hand (5)	<u>248</u>	<u>302</u>	<u>307</u>	<u>305</u>	<u>308</u>

Notes:

- (1) The debt service coverage ratio requirement per the Master Trust Indenture is expected to be calculated by dividing revenues available for debt service by maximum annual debt service, as defined. Management has assumed that the adoption of Accounting Standards Update No. 2016-02, *Leases*, in 2020 will not have any impact on the calculation of the debt service coverage ratio for the years ending June 30, 2020 - 2023.
- (2) The debt service coverage ratio requirement for the Series 2018B Bond as required by the Series 2018B Bond Loan and Financing Agreement is expected to be calculated by dividing revenues available for debt service by annual debt service.
- (3) The interest coverage ratio is expected to be calculated by dividing revenues available for debt service by interest paid, less interest paid using proceeds from the Series 2018 Bonds.
- (4) Investments exclude donor-restricted net assets.
- (5) Days cash on hand is calculated by dividing unrestricted cash and investments by daily cash operating expenses.

See summary of significant forecast assumptions and accounting policies

Friends House Retirement Community, Inc.

Forecasted Consolidated Balance Sheets

June 30, 2019 - 2023

(In thousands of dollars)

	2019	2020	2021	2022	2023
Assets					
Current Assets					
Cash and cash equivalents	\$ 3,256	\$ 3,311	\$ 3,382	\$ 3,463	\$ 3,550
Assets whose use is limited	2,428	428	428	743	758
Accounts receivable, residents, net	2,357	2,521	2,618	2,673	2,738
Prepaid expenses	68	66	68	70	71
Total current assets	8,109	6,326	6,496	6,949	7,117
Assets Whose Use Is Limited					
Debt service reserve fund	1,411	1,411	1,411	1,411	1,411
Funded interest fund	346	-	-	-	-
Entry fee fund	1,837	-	-	-	-
Investments	5,398	8,083	8,581	8,806	9,230
Property and Equipment, Net	32,158	33,817	32,636	31,536	30,309
Other Noncurrent Assets	235	235	235	235	235
Total assets	<u>\$ 49,494</u>	<u>\$ 49,872</u>	<u>\$ 49,359</u>	<u>\$ 48,937</u>	<u>\$ 48,302</u>
Liabilities and Net Assets					
Current Liabilities					
Current maturities of long-term debt	\$ 2,000	\$ -	\$ -	\$ 315	\$ 330
Accounts payable	542	526	544	557	571
Accrued interest	428	428	428	428	428
Accrued expenses and other liabilities	555	571	591	605	621
Total current liabilities	3,525	1,525	1,563	1,905	1,950
Long-Term Debt, Net of Debt Issuance Costs	24,961	19,270	19,319	19,053	18,772
Resident Deposits	811	-	-	-	-
Refundable Entry Fees and Deposits	2,594	5,477	5,325	5,323	5,332
Deferred Revenue from Entry Fees	1,883	8,236	7,780	7,366	7,061
Other Noncurrent Liabilities	267	267	267	267	267
Total liabilities	34,041	34,775	34,254	33,914	33,382
Net Assets					
Net assets without donor restrictions	14,735	14,289	14,207	14,035	13,842
Net assets with donor restrictions	718	808	898	988	1,078
Total net assets	15,453	15,097	15,105	15,023	14,920
Total liabilities and net assets	<u>\$ 49,494</u>	<u>\$ 49,872</u>	<u>\$ 49,359</u>	<u>\$ 48,937</u>	<u>\$ 48,302</u>

See summary of significant forecast assumptions and accounting policies

Friends House Retirement Community, Inc.

Forecasted Statements of Operations and Changes in Net Assets

For Each of the Years Ending June 30, 2019 - 2023

(In thousands of dollars)

	2019	2020	2021	2022	2023
Net Assets Without Donor Restrictions					
Revenues, Gains, and Other Support					
Net resident service revenues	\$ 10,337	\$ 10,540	\$ 10,786	\$ 10,982	\$ 11,232
Rental and monthly fee income	1,528	2,327	2,587	2,667	2,750
Amortization of entry fees	97	493	785	735	699
Other services	428	316	279	287	295
Investment income	108	155	186	193	200
Other revenues	23	24	25	25	26
Net assets released from restrictions	60	60	60	60	60
Total revenues, gains, and other support	12,581	13,915	14,708	14,949	15,262
Expenses and Losses					
Nursing	5,876	6,020	6,172	6,318	6,473
Administrative and general	2,401	2,288	2,355	2,412	2,472
Dietary	1,325	1,268	1,302	1,332	1,365
Housekeeping and laundry	664	676	693	711	728
Maintenance	1,052	1,140	1,229	1,262	1,296
Social services and activities	383	393	403	413	423
Provision for doubtful collections	183	186	191	194	199
Depreciation	426	1,378	1,418	1,452	1,485
Interest	-	1,012	1,027	1,027	1,014
Total expenses and losses	12,310	14,361	14,790	15,121	15,455
Revenues, gains, and other support in excess of (less than) expenses and losses and change in net assets without donor restrictions	271	(446)	(82)	(172)	(193)
Net Assets With Donor Restrictions					
Contributions	150	150	150	150	150
Net assets released from restrictions	(60)	(60)	(60)	(60)	(60)
Change in net assets with donor restrictions	90	90	90	90	90
Change in net assets	361	(356)	8	(82)	(103)
Net Assets, Beginning	15,092	15,453	15,097	15,105	15,023
Net Assets, Ending	\$ 15,453	\$ 15,097	\$ 15,105	\$ 15,023	\$ 14,920

See summary of significant forecast assumptions and accounting policies

Friends House Retirement Community, Inc.

Forecasted Statements of Cash Flows

For Each of the Years Ending June 30, 2019 - 2023

(In thousands of dollars)

	<u>2019</u>	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>
Cash Flows from Operating Activities					
Change in net assets	\$ 361	\$ (356)	\$ 8	\$ (82)	\$ (103)
Adjustments to reconcile change in net assets to net cash provided by operating activities:					
Depreciation	426	1,378	1,418	1,452	1,485
Amortization of debt issuance costs	-	35	52	52	52
Accretion of bond premium	-	(2)	(3)	(3)	(3)
Proceeds from nonrefundable entry fees, existing units	-	257	714	518	533
Amortization of advance fees	(97)	(493)	(785)	(735)	(699)
Changes in assets and liabilities:					
Accounts receivable, residents	257	(164)	(97)	(55)	(65)
Prepaid expenses	(41)	2	(2)	(2)	(1)
Accounts payable	48	(16)	18	13	14
Accrued expenses and other liabilities	(103)	444	20	14	16
Net cash provided by operating activities	<u>851</u>	<u>1,085</u>	<u>1,343</u>	<u>1,172</u>	<u>1,229</u>
Cash Flows from Investing Activities					
Net (purchases) sales of investments and assets whose use is limited	(5,793)	1,498	(498)	(540)	(439)
Purchase of property and equipment	<u>(22,337)</u>	<u>(3,449)</u>	<u>(237)</u>	<u>(352)</u>	<u>(258)</u>
Net cash used in investing activities	<u>(28,130)</u>	<u>(1,951)</u>	<u>(735)</u>	<u>(892)</u>	<u>(697)</u>
Cash Flows from Financing Activities					
Proceeds from long-term debt, including bond premium	27,955	2,460	-	-	-
Payment of long-term debt	-	(10,200)	-	-	(315)
Repayment of revolving line of credit	(2,000)	-	-	-	-
Payment of debt issuance costs	(1,034)	-	-	-	-
Proceeds from refundable entry fees, existing units	-	293	183	374	385
Proceeds from entry fees, new units	2,484	8,824	-	-	-
Refunds of entry fees	<u>(59)</u>	<u>(456)</u>	<u>(720)</u>	<u>(573)</u>	<u>(515)</u>
Net cash provided by (used in) financing activities	<u>27,346</u>	<u>921</u>	<u>(537)</u>	<u>(199)</u>	<u>(445)</u>
Net increase in cash and cash equivalents	67	55	71	81	87
Cash and Cash Equivalents, Beginning	<u>3,189</u>	<u>3,256</u>	<u>3,311</u>	<u>3,382</u>	<u>3,463</u>
Cash and Cash Equivalents, Ending	<u>\$ 3,256</u>	<u>\$ 3,311</u>	<u>\$ 3,382</u>	<u>\$ 3,463</u>	<u>\$ 3,550</u>
Supplemental Disclosure of Cash Flow Information					
Interest paid, net of capitalized interest	<u>\$ -</u>	<u>\$ 551</u>	<u>\$ 978</u>	<u>\$ 978</u>	<u>\$ 965</u>
Noncash Investing and Financing Activities					
Accrued interest, capitalized	<u>\$ 428</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Amortization of debt issuance costs capitalized	<u>\$ 43</u>	<u>\$ 17</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Accretion of bond premium capitalized	<u>\$ 3</u>	<u>\$ 1</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>

See summary of significant forecast assumptions and accounting policies

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Basis of Presentation

The accompanying financial forecast presents, to the best of the knowledge and belief of management of Friends House Retirement Community, Inc. (Management), the expected financial position, results of operations, changes in net assets, and cash flows of Friends House Retirement Community, Inc. (the Community) as of and for each of the five years ending June 30, 2023. Accordingly, the forecast reflects Management's judgment as of July 25, 2018, the date of this forecast, of the expected conditions and Management's expected course of action during the forecast period. The assumptions disclosed herein are those Management believes are significant to the financial forecast. There will usually be differences between the forecasted and actual results because events and circumstances frequently do not occur as expected, and those differences may be material.

Background of the Community

Friends Nursing Home, Inc. (the Nursing Home) was a not-for-profit corporation organized and existing under the laws of the State of Maryland. Friends House, Inc. (Friends House) was a not-for-profit corporation organized in the District of Columbia (Washington, D.C.). The Nursing Home and Friends House were related parties through a common Board of Directors. Together, they operated a continuing care retirement community known as Friends House Retirement Community, which obtained certification as a continuing care retirement community from the Maryland Department of Aging in 2010. The continuing care laws for the State of Maryland are found in Title 10, Subtitle 4, of the Human Services Article, Annotated Code of Maryland, and at Code of Maryland Regulations 32.02.01.

The Nursing Home and Friends House merged in September 2017. As part of the merger, the Nursing Home the surviving entity, filed Articles of Amendment and Restatement with the State of Maryland which, in part, changed its name to Friends House Retirement Community, Inc.

The Community is a not-for-profit corporation organized and existing under the laws of the State of Maryland. The Community owns and operates a continuing care retirement community on an approximately 62-acre campus located in Sandy Spring, Maryland, a suburb of Washington DC. The Community consists of 82 skilled nursing (SN) beds (16 private and 66 semi-private), 21 assisted living (AL) units, 24 independent living (IL) cottages, and 105 IL rental apartments (4 connected buildings of 25 apartments each, and 5 apartments connected to one of the buildings); through December 2016, 100 of the 105 IL apartments were operated as federally subsidized rental units subject to a regulatory agreement with the U.S. Department of Housing and Urban Development (HUD). During 2017, 25 of the 100 apartments were closed.

The Community is governed by a Board of Directors (the Board) consisting of 16 members who serve up to two 3-year terms. At least 60 percent of the Board must be members of the Religious Society of Friends (Quakers). One member shall be a resident of the Community.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Description of the Project

Management has planned a major renovation and repositioning project (the Project) on its campus. The Project primarily consists of the following elements:

- Construction of 14 IL cottage units;
- Construction of 33 IL apartment units in 3 small buildings (Lodges);
- Renovation of 20 existing IL apartments and repurposing 5 existing IL apartments; and
- Renovation of the common areas.

In addition, the Community will be taking 80 of the 105 IL apartments out of service in October 2019. In connection with this, the Community plans to replace the units taken out of service with a new 80-unit low income housing tax credit (LIHTC) financed apartment building through a partnership with Homes for America (HFA). Management has represented that this building will be located on the Community's campus and developed and owned by the partnership and will not be under the control of the Community. Accordingly, the forecasted activity for the partnership is not included in the forecasted financial statements.

Management has represented that approximately 55 residents in the units forecasted to be taken out of service will move into the new LIHTC apartment building in October 2019, while approximately 20 residents in the units forecasted to be taken out of service will move into the renovated IL apartments, also in October 2019.

Unit Complement

The table below illustrates the changes in the Community's unit complement by level of care as a result of the Project.

Table 1
Unit Complement by Level of Care

	Prior to Project	Project Changes	After Project
IL:			
Cottages	24	14	38
Existing Apartments ⁽¹⁾⁽²⁾	105	(85)	20
New Apartments	-	33	33
Assisted Living	21	-	21
Skilled Nursing:			
Private	16	-	16
Semi-private	66	-	66
Total	232	(38)	194

Source: Management.

Notes:

- (1) In October 2019, it is assumed that the Community will take 80 of the 105 IL apartments out of service.
- (2) It is assumed that 20 existing IL apartments will be renovated and 5 existing IL apartments will be repurposed as part of the Project.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Timing of the Project

Management has projected the following timetable for the new IL units:

Table 2
Project Timetable

Event	Date	Number of Months
New IL Units:		
Begin construction of 14 new IL cottages and 3 Lodges containing 33 new IL apartments	August 2018	-
Complete construction of 8 new IL cottages	April 2019	9
Complete construction of 6 new IL cottages	June 2019	11
Move-ins begin for new IL cottages	May 2019	-
New IL cottages reach 93% occupancy	July 2019	3
Complete construction of first Lodge containing 13 new IL apartments	July 2019	12
Complete construction of second Lodge containing 10 new IL apartments	August 2019	13
Complete construction of third Lodge containing 10 new IL apartments	September 2019	14
Move-ins begin for new IL apartments	August 2019	-
New apartments reach 94% occupancy	June 2020	11
First year of stabilized operations	2021	-

Source: Management.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Project Financing

Management assumes that, on or around August 21, 2018, Montgomery County, Maryland (the Issuer) will issue, on behalf of the Community, \$30,320,000 Economic Development Revenue Bonds (Friends House Retirement Community Project), Series 2018 (Series 2018 Bonds). The Series 2018 Bonds are assumed to be issued in two separate components: \$17,120,000 of non-rated, tax-exempt fixed rate bonds, Series 2018A (Series 2018A Bonds), issued at premium of \$95,000, and a \$13,200,000 non-rated, tax-exempt variable rate bond, Series 2018B (Series 2018B Bond). The proposed Series 2018B Bond is assumed be purchased directly by a commercial bank. The proceeds from the Series 2018 Bonds are assumed to be used as a source of funds to finance the construction and equipping of the Project, except for the renovation of the 20 existing IL apartments and repurposing 5 existing IL apartments.

A summary of the estimated sources and uses of funds to finance the Project, as provided by Management and Herbert J. Sims & Co., Inc. (the Underwriter), is presented in the following table.

Table 3
Estimated Project Sources and Uses of Funds
(in thousands of dollars)

Sources of Funds	
Series 2018A Bonds ⁽¹⁾	\$ 17,215
Series 2018B Bond ⁽²⁾	13,200
Equity contribution ⁽³⁾	2,200
Total source of funds	<u>\$ 32,615</u>
Uses of Funds	
Capital expenditures:	
Construction costs: ⁽⁴⁾	
Common area renovations	\$ 5,109
IL Cottages and Lodges	10,048
Maintenance building	303
Site work	5,095
Architect and engineering ⁽⁵⁾	4,036
Furniture and equipment ⁽⁵⁾	376
Additional Project contingency ⁽⁶⁾	1,159
Other ⁽⁵⁾	1,547
Total capital expenditures	<u>27,673</u>
Other uses of funds:	
Financing costs ⁽⁷⁾	1,034
Funded interest ⁽⁸⁾	1,397
Debt Service Reserve Fund ⁽⁹⁾	1,411
Marketing costs ⁽¹⁰⁾	1,100
Total other uses of funds	<u>4,942</u>
Total use of funds	<u>\$ 32,615</u>

Source: Management and Underwriter.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Notes:

- (1) The Series 2018A Bonds are assumed to be issued at a premium of \$95,000 and yield an average annual interest rate of 5.0 percent.
- (2) The Series 2018B Bond is assumed to yield an average annual interest rate of 4.054 percent. The proposed Series 2018B Bond is assumed to be issued on a draw-down basis during the construction period. Construction draws on the Series 2018B Bond are assumed to begin in January 2019 and end in September 2019 when the Project is forecasted to be completed. The Series 2018B Bond is forecasted to be partially repaid in 2020 with \$10,200,000 of proceeds from entry fees for the new IL units; the remaining \$3,000,000 is assumed to be repaid in varying annual installments from 2023 (July 1, 2022) to 2030 (July 1, 2029).
- (3) The Community will use \$2,200,000 of its cash and cash equivalents and investments as a source of funding for the Project.
- (4) Construction costs for IL Cottages and Lodges and the maintenance building are based on a construction contract, including change orders, with a guaranteed maximum price (GMP) of \$10,351,000, as provided by Williamsburg Group, LLC, and include a project contingency of \$175,000 (approximately 1.7 percent of the GMP). Construction costs for the common area renovations and site work are based on a construction contract with a GMP of \$9,530,000, as provided by Warfel Construction Company, and include a project contingency of \$267,000 (approximately 2.8 percent of the GMP). Construction costs for the common area renovations and site work also include additional costs for environmental and other site work of approximately \$674,000.
- (5) Architect and engineering, furniture and equipment, and other costs represent estimates by Management based on discussions with the architect, engineer, construction manager, development manager, and construction contractors and are not included in the GMP.
- (6) Management has included an additional Project contingency for additional unexpected costs. The additional Project contingency is estimated to be approximately 4 percent of the construction costs, architect and engineering, furniture and equipment, and other costs.
- (7) Financing costs include underwriting fees, legal fees, financial feasibility study fees, and other fees related to issuance of the Series 2018 Bonds.
- (8) Funded interest primarily represents interest costs forecasted to be incurred on the Series 2018A Bonds from August 2018 through December 2019 and on the Series 2018B Bond from January 2019 through March 2020.
- (9) The balance to be deposited in the Debt Service Reserve Fund represents the aggregate maximum annual debt service (principal and interest) on the Series 2018A Bonds for each bond year ending July 1.
- (10) Marketing costs represent estimated costs incurred and to be incurred to acquire initial continuing care contracts for the new IL units.

Description of the Residence and Services Agreement and IL, AL, and SN Services

Residence and Services Agreement

In order to be accepted for residency in one of the Community's IL units, prospective residents must be at least 62 years of age and complete an application, including disclosure of financial information. Upon acceptance of the application, a prospective resident is required to execute a Residence and Services Agreement (the Agreement) and pay an initial deposit in an amount equal to 10 percent of the entry fee (if applicable), with the balance due and payable no later than the occupancy date.

Upon payment of the full entry fee (if applicable), plus payment of a monthly service fee as defined in the Agreement, the resident is entitled to occupancy of the IL unit and a comprehensive range of services. The Community's Agreements are fee-for-service arrangements. IL residents are provided access to the continuum of care offered by the Community. Under the Agreement, healthcare services, such as AL and SN services are paid by the resident on a fee-for-service basis at the time the services are rendered.

Residents may terminate the Agreement for any reason prior to occupancy by providing written notice to the Community. The Community is expected to refund the entry fee paid (if applicable) by the resident, less any costs incurred, at the request of the resident. Refunds for termination prior to the date of occupancy are paid within 30 days following a written request.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

If a resident paid an entry fee and terminates the Agreement within the first 90 days of occupancy at the Community, the resident shall be paid any refund of the entry fee owed within 30 days of the earlier to occur of: 1) replacement entry fee for the vacant unit is received; or 2) the later to occur: (a) the ninetieth (90th) day after the date of written termination notice given or death; or (b) the day the IL units at the Community have operated at ninety-five (95) percent of capacity for the previous six months.

If a resident paid an entry fee and terminates the Agreement after the first 90 days of occupancy at the Community, the resident shall be paid any refund owed within 60 days if the following conditions exist: 1) resident resides in an accommodation at a higher level of care than when first entering the Community and 2) replacement entry fee has been received for the unit the resident last occupied at the level of care in which the resident initially resided upon entering the Community. If the preceding conditions do not exist, the refund owed shall be deferred until a replacement entry fee for the vacant unit is received.

The Community has historically received entry fees for the 24 existing IL cottage units. Beginning in early 2017, as certain existing cottages turn over, they are being converted from an entry fee contract to a rental contract.

The Community will offer 3 entry fee options to residents of the 47 new IL units: a 90 percent refundable option, a 50 percent refundable option, and a declining balance option. Historically, the Community has only offered a 90 percent refundable entry fee option.

- 90 percent refundable option: Entry fee has a 90 percent guaranteed refund component; the remaining 10 percent is refundable on a decreasing basis for a period of approximately 8 months.
- 50% refundable option: Entry fee has a 50% guaranteed refund component; the remaining 50% is refundable on a decreasing basis for a period of approximately 42 months.
- Declining Balance option: Entry fee has no guaranteed refund component; however, resident is entitled to a refund of the entry fee paid less a sum equal to 4 percent of the entry fee for the first month and, starting with the second month of occupancy, 1.2 percent per month (or portion thereof) until the entry fee has been fully amortized.

All ancillary services and miscellaneous charges not covered or included in the monthly fee are charged to and shall be paid by residents. A description of the ancillary services not covered or included in the monthly fee is provided to residents upon admission.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

IL Services

Cottages

The following benefits and services are available to all residents residing in IL cottages:

- Garage and parking space;
- General supervision and maintenance of buildings, grounds, and equipment;
- Insurance of building, grounds and equipment;
- Maintenance, repairs and/or replacement of furnished appliances;
- Trash removal;
- Snow removal and lawn maintenance;
- Water and sewer services;
- Administrative management and services;
- Property tax; and
- Use of all public rooms and common areas.

Apartments

The following benefits and services are available to all residents residing in IL apartments:

- Parking space;
- General supervision and maintenance of buildings, grounds, and equipment;
- Insurance of building, grounds and equipment;
- Maintenance, repairs and/or replacement of furnished appliances;
- Trash removal;
- Snow removal and lawn maintenance;
- Water, sewer, electric and gas;
- Administrative management and services;
- Property tax;
- Individual mailboxes; and
- Use of all public rooms and common areas.

Residents in the Lodge apartments under construction will also receive internet, basic cable television services, housekeeping once per month, and one meal per day.

Services including additional housekeeping, meals, off-campus transportation, beauty shop, and other ancillary services not covered by the Agreement are available to IL residents for an additional fee.

AL and SN Services

The Community offers AL and SN services on a fee-for-service basis. The monthly service fee for AL residents includes: room, board, assistance with activities of daily living (ADLs), which include bathing, dressing, grooming, toileting, transferring, and eating, emergency call and response, personal laundry, linen and bedding service, and use of walkers and other assisted devices as needed. Daily fees for SN residents include all the services provided to AL residents with additional assistance with ADLs and nursing care. The Community participates in the Medicare program and state Medicaid program for those residents that meet eligibility requirements.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

In addition to the monthly and daily fees for AL and SN residents, certain ancillary services are available to residents at an additional fee.

Characteristics of the Market Area

Assumptions for the future utilization of the Community is based on an analysis of the following factors which may affect the demand for accommodations and services:

- Site description and general area analysis;
- Defined primary market area (PMA) for the Community;
- Demographic and economic characteristics of the PMA;
- Estimated number of age-and-income eligible households within the defined PMA;
- Description and utilization of existing and proposed comparable retirement communities within the defined PMA;
- Management's ability to market the Project units; and
- Penetration rates for IL services within the defined PMA.

Each of the above factors and the resulting assumed utilization of the Community are described in the following sections.

Site Description

The Community is located on 62 acres in a country setting in Sandy Spring, Montgomery County, Maryland. Residential homes are located on the north and west sides of the property and an elementary school is located to the south of the property. The Northwest Branch Stream Valley Park is located to the east of the property. The Community is accessed primarily from Norwood Road, located to the north of the property. The location is set in a suburban area outside of the downtown Sandy Springs community.

General Area Analysis

This section of the report describes the characteristics of Montgomery County, Maryland as they pertain to the Community.

Highways

Maryland Route 28 (MD 28), also known as Norbeck Road, is located within two miles to the south of the Community. MD 28 is a state highway that runs 37 miles from US Route 15 in Point of Rocks to Norwood, a community just south of the Community.

Maryland Route 97 (MD 97), also known as Georgia Avenue, is located within two miles to the west of the Community. MD 97 is a state highway that runs through the eastern portion of Montgomery County, Maryland. The route runs 55 miles from US Route 29 in Silver Spring to the Pennsylvania border where it continues as Pennsylvania Route 97.

Maryland Route 108 (MD 108), also known as Olney Sandy Spring Road, is located within one mile to the north of the Community. MD 108 is a state highway that runs 34 miles from MD 27 in Damascus to MD 175 in Columbia. The highway connects the Montgomery County community of Sandy Spring to several villages in Howard County.

Maryland Route 650 (MD 650), also known as New Hampshire Avenue, is located within two miles to the east of the Community. MD 650 is a state highway that runs 26 miles from the Washington, DC border north to MD 108 in Etchison, Maryland.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Public Transportation

Fixed-route public transportation throughout Montgomery County is provided by Metrobus and Montgomery County Ride On. Seniors ages 65 or over are eligible to ride the services for free Monday through Friday, 9:30am to 3pm and Saturday 8:30am to 4pm. Fares are half-price at all other times. The closest bus stop serviced by MetroBus, a service of the Washington Metropolitan Area Transit Authority, is located in front of the Community on Norwood Road. Montgomery County Ride On, a service of the Montgomery County Department of Transportation, provides shuttle service for residents of the Community every Wednesday to local shopping venues. The shuttle picks up and returns residents to the Community's front entry.

MetroAccess Paratransit provides shared-ride, door-to-door transportation for individuals who are unable to use fixed-route transportation. Daily service is provided throughout the Transit Zone in the Washington Metropolitan region, including Montgomery County. Rides are offered in the same service areas and during the same hours of operation as Metrobus.

Five taxi services are available within Montgomery County, including Action Taxi, Barwood Taxi, Orange Taxi, Regency Taxi, and Sun Cab. The community is also serviced by Uber and Lyft, and GoGoGrandparent, a newer service that helps individuals connect with Uber and Lyft without a smart phone. GoGoGrandparent is available 24/7 for individuals to hire a ride using a touch tone phone.

Connect-A-Ride Transportation Resource Center is a free resource for people of all ages in Montgomery County to find transportation services. The center can assist callers with transportation schedules, benefits, and eligibility requirements. Additional transportation services for seniors that are accessible through the Resource Center are low-cost escorted options for individuals who need someone to travel with them and Call-n-Ride discounted taxi rides for low-income seniors.

Airport

The Community is located within approximately 20 miles of Baltimore Washington International Airport (BWI) and Ronald Reagan Washington National Airport (DCA). DCA provides both domestic and international service on nine airlines, including nonstop service to destinations across the United States and the Caribbean. BWI provides both domestic and international service on 17 airlines, including nonstop service to more than 92 destinations across the United States, Canada, Europe, and the Caribbean.

The Washington Dulles International Airport (IAD) is located approximately 25 miles southwest of the Community. The airport provides both domestic and international service on 37 airlines, including nonstop service to over 125 destinations globally.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Health Care Profile

The five closest hospitals and medical centers to the Community are shown in the following table, as included in the American Hospital Directory.

Table 4			
Hospital and Medical Centers Near the Community			
Provider	Distance (miles) from The Community	Location (Zip code)	Number of Staffed Beds
MedStar Montgomery Medical Center	1.6	20832	122
Holy Cross Hospital	8.7	20910	455
University of Maryland Laurel Regional Hospital	8.8	20707	134
Howard County General Hospital	9.2	21044	264
Adventist HealthCare Shady Grove Medical Center	9.7	20850	304

Source: American Hospital Directory and internet research.

Primary Market Area for the Community

The PMA is represented by the geographic area from which the majority of Residents resided prior to assuming occupancy and where the majority of the Depositors currently reside. Depositors have paid a Deposit equal to at least 10 percent of the entry fee for the Project IL unit selected at the Community and have signed a Residence and Services Agreement.

Based on the zip code origin of Residents and Depositors, Management defined the PMA for the Community to be an 18 zip code area within Maryland. The following table profiles the 18 zip codes comprising the PMA, which measures 25 miles west to east and 21 miles north to south at the longest points and is located approximately 17 miles north of Washington, DC.

Table 5	
PMA Zip Codes	
Zip code	City/Town
20777	Highland
20832	Olney
20833	Brookeville
20850	Rockville
20851	Rockville
20852	Rockville
20853	Rockville
20860	Sandy Spring
20861	Ashton
20862	Brinklow
20895	Kensington
20902	Silver Spring
20904	Silver Spring
20905	Silver Spring
20906	Silver Spring
20910	Silver Spring
21029	Clarksville
21044	Columbia

Source: Management.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Management provided addresses of origin for IL residents, excluding the residents occupying the 75 affordable IL apartments, and current addresses of Depositors and Circle of Friends from the lead list. Circle of Friends include individuals who have paid a \$500 deposit to receive priority access to available Project IL units. Circle of Friends are converted to ten percent Depositors in order of priority number. The table below profiles the Origin Analysis for the Community.

Table 6
Origin Analysis of Residents and Depositors

Area of Origin	IL Residents	% Total	Depositors	% Total	Circle of Friends Depositors	% Total
PMA [a]	11	41%	15	47%	35	57%
Outside PMA but local community connection [b] ⁽¹⁾	2	7%	5	16%	--	0%
Total in PMA ([a]+[b])	13	48%	20	63%	35	57%
Other areas in Maryland	8	30%	8	25%	17	28%
Out of State	6	22%	4	12%	9	15%
Total	27	100%	32	100%	61	100%

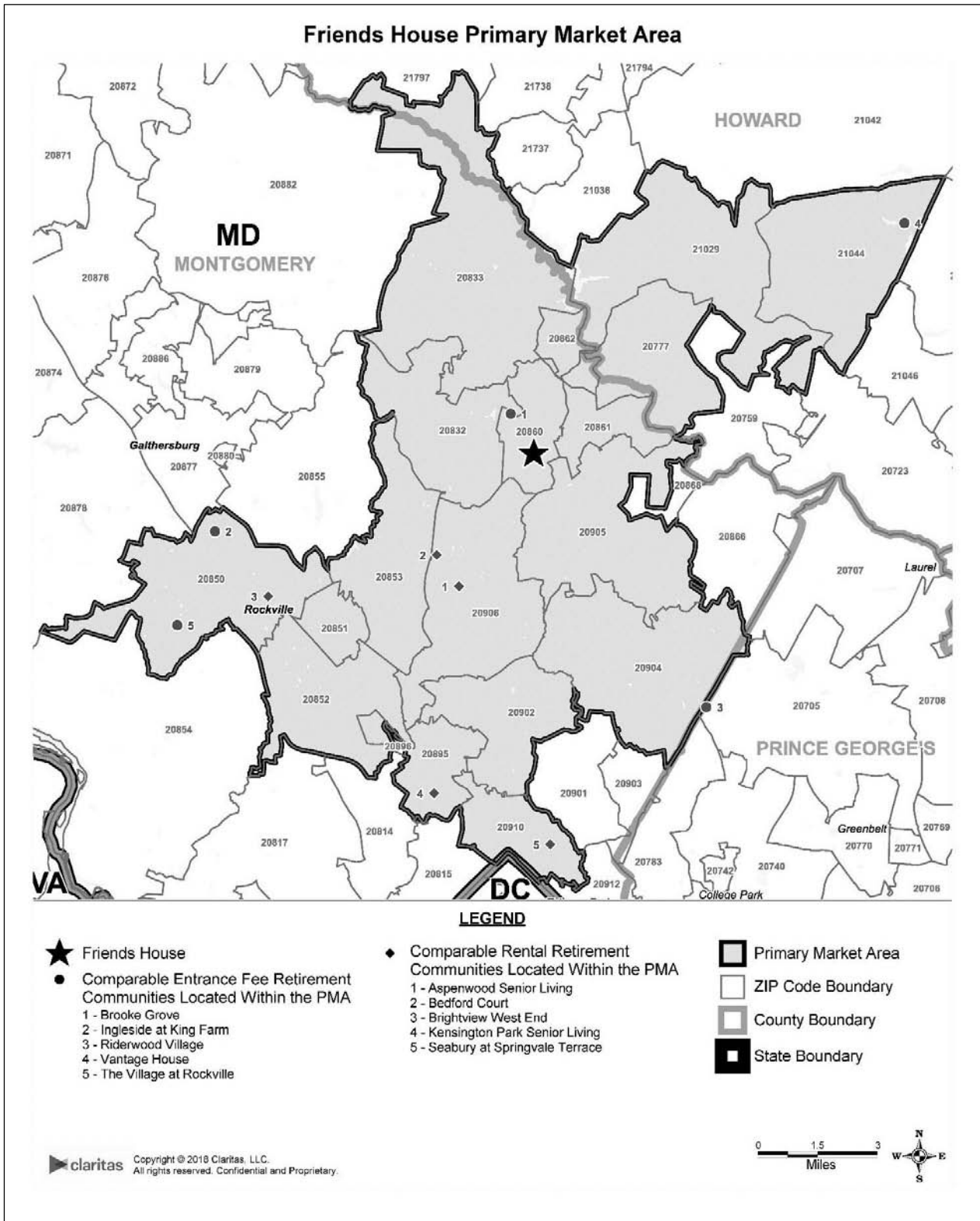
Source: Management. IL resident data as of May 2018. Depositor data as of July 11, 2018.

Note: (1) Addresses of origin for Residents and current addresses for Depositors are located outside of the PMA, however, individuals have a local community connection including a family member and/or prior residence and are included in determination of the PMA.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

The following map depicts the PMA and location of the Community and the most competitive retirement communities within the PMA.



Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Economic Profile of the Surrounding Area

Because certain statistical information is accumulated by various governmental offices and agencies, economic data is presented, as available, by county, city, or metropolitan region. For the purposes of this study, economic data is presented for Montgomery County, Maryland.

Unemployment Rates

The average unemployment rates for Montgomery County, the state of Maryland, and the United States are shown in the following table, as recorded by the Bureau of Labor Statistics.

Table 7				
Unemployment Trends				
	2015	2016	2017	2018⁽¹⁾
Montgomery County	3.9%	3.4%	3.3%	3.6%
Maryland	5.1%	4.4%	4.1%	4.6%
United States	5.3%	4.9%	4.4%	4.3%

Source: U.S. Department of Labor, Bureau of Labor Statistics.

Note: (1) Data through March 31, 2018 (most recent available).

Major Employers

The following are the top ten employers within Montgomery County, as recorded by the Maryland Department of Labor, Licensing & Regulation.

Table 8	
Top Ten Employers within Montgomery County	
Employer	Industry
Discovery Communications Inc.	Information
Giant Food	Retail Trade
Lockheed Martin Corp.	Manufacturing
Long & Foster Realtors	Real Estate and Rental and Leasing
Marriott	Accommodation and Food Services
McDonald's	Accommodation and Food Services
National Institute of Standards & Technology	Professional and Technical Services
National Institutes of Health	Healthcare
Safeway	Retail Trade
Ussi Inc.	Administrative and Waste Services

Source: Maryland Department of Labor, Licensing & Regulation, Division of Workforce Development and Adult Learning.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Market Area Real Estate Trends

Management assumes that the majority of future residents will sell their primary residence prior to move-in, based on historical experience. The ability of future residents to sell their homes timely and at expected prices may have an impact on the occupancy levels at the Community. The following table summarizes real estate trends for 2016 through 2018 for the zip codes that comprise the PMA.

Table 9
Real Estate Trends for the PMA⁽¹⁾

Zip Code	2016			2017			2018 ⁽²⁾		
	Homes Sold	Av.\$	DOM	Homes Sold	Av.\$	DOM	Homes Sold	Av.\$	DOM
20777, Highland	26	\$765,693	59	35	\$722,499	86	11	\$667,414	103
20832, Olney	341	\$440,635	52	307	\$452,947	42	86	\$434,730	27
20833, Brookeville	74	\$595,222	82	75	\$585,203	60	25	\$615,380	54
20850, Rockville	514	\$545,319	45	546	\$550,047	50	109	\$579,691	51
20851, Rockville	141	\$368,187	27	149	\$386,953	23	40	\$399,229	14
20852, Rockville	541	\$482,974	44	531	\$498,327	44	165	\$534,473	49
20853, Rockville	320	\$456,444	41	337	\$462,579	33	87	\$466,086	25
20860, Sandy Spring	10	\$634,844	173	12	\$737,165	75	4	\$545,233	37
20861, Ashton	27	\$573,560	79	23	\$639,662	120	3	\$667,667	84
20862, Brinklow	5	\$854,492	87	5	\$643,631	129	0	--	--
20895, Kensington	288	\$596,145	52	311	\$620,402	44	59	\$676,280	60
20902, Silver Spring	456	\$376,788	39	451	\$384,009	32	141	\$403,343	35
20904, Silver Spring	388	\$386,538	43	392	\$397,174	42	93	\$374,402	46
20905, Silver Spring	201	\$496,884	68	201	\$511,345	41	51	\$531,787	61
20906, Silver Spring	870	\$293,063	45	968	\$308,379	37	258	\$297,026	54
20910, Silver Spring	370	\$488,909	41	355	\$506,634	40	101	\$523,772	43
21029, Clarksville	142	\$784,807	39	147	\$690,882	64	35	\$691,605	102
21044, Columbia	561	\$351,169	57	582	\$372,428	40	181	\$366,357	51
Average for all Zip Codes	293	\$527,315	60	302	\$526,126	56	81	\$516,146	53

Source: Sunshine Properties Inc., Multi Listing System (MLS).

Notes:

- (1) The Community is located in zip code 20860, Sandy Spring.
DOM: Average days on the market.
Av. \$: Average sales price.
- (2) Data through April 30, 2018.

Additionally, the median home value within the PMA is expected to increase from an owner estimated value of \$445,122 in 2017 to a projected value of \$460,253 in 2022 according to data provided by ESRI, a nationally recognized provider of census data and related forecasts.

In addition to real estate values, Management considers Net Worth as another indicator of ability to pay the required entry and monthly fees at the Community. The average Net Worth for individuals age 75-plus within the PMA is \$1,257,489 as compared to the average for Maryland, \$927,404, and the United States, \$698,061.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Demographic Characteristics Within the PMA

The age distribution of the population in a geographic area is a key factor in the determination of the area's retirement housing needs. Population data regarding numbers of senior adults are presented in Tables 10 and 11.

The 2017 and 2022 data are estimates and projections (most recently available) as provided by ESRI. ESRI bases its estimated 2017 and projected 2022 data on a combination of 2010 census data and the American Community Survey.

As shown in the following tables, there are 532,251 persons projected to be residing in the PMA in 2022. Of the total population in 2022, 46,020 residents, or approximately 8.6 percent, will be 75 years of age and older, while 15,447 residents, or approximately 2.9 percent, will be 85 years of age or older.

The total population in the PMA is projected to increase 1.0 percent, the 75 and older population is projected to increase 3.1 percent, and the 85 and older population is projected to increase 1.0 percent compounded annually from 2017 through 2022.

The following table presents population data by age group and the average annual compounded percentage change projected between 2017 and 2022 within the PMA.

Table 10			
Demographic Trends – Population Change			
	2017 (Estimated) Population	2022 (Projected) Population	Average Annual Compounded Percentage Change 2017-2022
PMA			
Total Population	505,755	532,251	1.0%
Age 65 to 74 Population	45,665	54,311	3.5%
Age 75 to 84 Population	24,745	30,573	4.3%
Age 85 plus Population	14,730	15,447	1.0%
Total 65 plus	85,140	100,331	3.3%
Total 75 plus	39,475	46,020	3.1%

Source: ESRI.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

The following table presents the percentage of total population by age group for the senior population in the PMA, Maryland, and the United States.

Table 11			
Demographic Trends – Percentage of Total Population			
2017 (Estimated) Population			
	PMA	MD	US
<u>Age Group</u>			
65 plus	16.8%	15.2%	15.6%
75 plus	7.8%	6.2%	6.4%
85 plus	2.9%	2.0%	2.0%
2022 (Projected) Population			
	PMA	MD	US
<u>Age Group</u>			
65 plus	18.9%	17.4%	17.6%
75 plus	8.6%	7.2%	7.3%
85 plus	2.9%	2.0%	2.0%

Source: ESRI.

Estimated Eligible Households within the PMA

In order to qualify for residency in the apartments or cottages at the Community or the Project, a prospective resident must be at least 62 years of age and be able to demonstrate sufficient financial resources to meet the entry fee and monthly fee requirements for the accommodation selected.

Management uses FinAID, an actuarial model designed to estimate potential future fee subsidies by evaluating the risk associated with each prospective resident. The program is tailored specifically to the fee structure, contracts, entry fee refund arrangements, services, and costs of the Community or the Project. It also takes into account the applicant's age, gender, couple status, health status and choice of IL accommodation (apartment or cottage).

Historical experience of the Community and industry experience indicates that the majority of prospective IL residents would be at least 75 years or older at the time of move-in. The average age of the Depositors is 77 years. This includes primary depositors as well as spouses.

Table 12	
Depositor Age Composition	
Age Group	Percent of Depositors
62-75	38%
76-85	55%
86 plus	7%
Total	100%

Source: Management.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

For purposes of quantifying the number of eligible households in the PMA, Management assumes that households with the following characteristics would generally be eligible for IL residency at the Community or the Project, based upon demographic age cohorts available as of the date of this analysis:

- The householder is age 75 or older; and
- Annual household income is \$50,000 or more.

The definition of households includes not only homeowners, but also individuals and families who rent. According to information provided by ESRI, in the census year 2010, 67 percent of the householders 75 and older within the PMA were reported to own their own homes.

The following table presents the age-and-income eligible households within the PMA for the estimated year 2017, interpolated year 2019 (the year in which the majority of the IL units at the Project are expected to be occupied), and the projected year 2022, as provided by ESRI.

Table 13
Age-and-Income Eligible Households Within the PMA

	2017 (Estimated)	2019 (Interpolated)	2022 (Projected)
Total Households Age 75+	24,616	25,896	27,816
Households – Income under \$50,000	10,862	10,993	11,189
Age-and-Income Eligible Households:			
\$50,000 – \$74,999	5,149	5,253	5,408
\$75,000 – \$99,999	2,745	2,887	3,101
\$100,000 plus	5,860	6,763	8,118
Total Age-and-Income Eligible Households	13,754	14,903	16,627
Percentage of Age-and-Income Eligible Households to Total Households	55.9%	57.5%	59.8%

Source: ESRI.

Continuing Care Regulatory Requirements

The Maryland Department of Aging regulates CCRCs in the State of Maryland. The continuing care laws for the State of Maryland are found in Title 10, Subtitle 4, of the Human Services Article (“HAS”), Annotated Code of Maryland (“Code”), and at Code of Maryland Regulations (“COMAR”) 32.02.01.

Competitive Retirement Communities

Comparable retirement communities may include several types of communities, including Type A life care communities; Type B modified life care communities; Type C fee-for-service communities; or rental communities. Retirement communities offer apartments and/or cottages/villas for residents who are able to live independently, in addition to offering healthcare services. IL residents enjoy access to common area amenities which typically include central dining rooms, a library, lounge areas, and other community areas.

For the purposes of this analysis, a comparable retirement community offers IL apartments or cottages/villas, at least one healthcare level of care on campus such as AL or SN services, common areas and amenities, and competes for similar age-and-income qualified households.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

The life care concept offers IL housing and various levels of healthcare to accommodate a resident's changing needs as he or she ages. Life care arrangements typically include an entry fee and a monthly service fee. In a Type A life care community, residents may receive AL or SN services at little or no extra charge beyond the monthly service fees paid in the IL units or pay a reduced monthly fee that is below market rates. In a Type B modified life care community, residents typically receive a limited benefit for AL or SN services; the benefits vary widely from community to community.

The Type C fee-for-service community offers a variation from the traditional life care concept. While continuing care and similar services are available, the payment structure is based on per-diem or per-month market rates. Therefore, residents generally pay entry fees and monthly service fees for IL services and full market per-diem or per-month rates for AL and SN services. The Community offers fee-for-service contracts.

A rental retirement community offers IL housing and may offer a type of health care such as AL or SN services. Residents are not typically required to pay an entry fee. The resident signs a lease for the IL unit selected and pays for various services on a per-diem or per-month basis.

The following tables profile the Community, the Project, and existing comparable retirement communities located within the PMA.

- Table 14 includes retirement communities within the PMA offering IL and at least one level of care on campus with entry fee plans that are considered to be competitive with the Community.
- Table 15 includes retirement communities within the PMA offering rental plans that are considered to be competitive with the Community.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Table 14
Comparable Retirement Communities Located Within the PMA – Entry Fee

	Friends House	The Project	Brooke Grove
Location	Sandy Spring	Sandy Spring	Sandy Spring
Driving Miles from Community	--	--	2.1
Sponsor/Developer	Religious Society of Friends	Religious Society of Friends	Brooke Grove Foundation
Year Opened	1967	2019	1950
Type of Contract	Type C	Type C	Type C
IRS Status	Not-for-Profit	Not-for-Profit	Not-for-Profit
Number of IL Units			
Studio apartments	2	15 ⁽¹⁾	NA
One-bedroom apartments	3	11	NA
Two-bedroom apartments	NA	22	NA
Homes/Cottages	24	14	40
Total IL Units	29 ⁽¹⁾	62 ⁽¹⁾	40
Licensed AL Beds	24 ⁽²⁾	NA	112
Licensed SN Beds	82	NA	190
Planned IL Units	62 ⁽³⁾	NA	NA
IL			
<i>Square Footage</i>			
Studio apartments	540	NA	NA
One-bedroom apartments	720	920 - 1,105	NA
Two-bedroom apartments	NA	1,290 - 1,375	NA
Homes/Cottages	604 - 1,914	1,314 - 1,540	1,350 - 2,090 ⁽¹⁾
<i>Entry Fees</i>			
Available Plans	90% Refundable	Declining Refund and Refundable (50% and 90%)	Declining Refund and Refundable (50% and 90%)
Entry Fee Refund Profiled	90% Refundable	90% Refundable	90% Refundable
Studio apartments	NA	NA	NA
One-bedroom apartments	NA	\$300,000 - \$363,000	NA
Two-bedroom apartments	NA	\$420,000 - \$452,000	NA
Homes/Cottages	\$237,000 - \$268,000	\$492,000 - \$564,000	\$521,600 - \$891,900
Entry Fee Refund Profiled	NA	Declining Refund	Declining Refund
Studio apartments	NA	NA	NA
One-bedroom apartments	NA	\$158,000 - \$191,000	NA
Two-bedroom apartments	NA	\$221,000 - \$238,000	NA
Homes/Cottages	NA	\$259,000 - \$297,000	\$260,800 - \$462,100
<i>Monthly Fees</i>			
Studio apartments	\$1,238 ⁽⁴⁾	NA	NA
One-bedroom apartments	\$1,541 ⁽⁴⁾	\$2,600 - \$2,800	NA
Two-bedroom apartments	NA	\$2,950 - \$3,050	NA
Homes/Cottages	\$1,327 - \$2,398	\$2,550 - \$2,650	\$2,500 - \$3,505
Second person monthly fee	NA	\$371 ⁽²⁾	\$850
Occupancy rate	100%	NA	95%
AL			
Base Monthly Fee Range	\$4,187 - \$5,284 ⁽⁵⁾	NA	\$7,722 - \$8,998 ⁽²⁾
Occupancy Rate	88%	NA	80%
SN			
Daily Fee Range	\$317 - \$434 ⁽⁶⁾	NA	\$374 - \$467 ⁽³⁾
Occupancy Rate	74%	NA	89%

Source: Management, telephone surveys, disclosure statements, NIC MAP, and internet research.

NA: Not applicable.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Table 14 (continued)
Comparable Retirement Communities Located Within the PMA – Entry Fee

	Riderwood Village	Ingleside at King Farm	The Village at Rockville
Location	Silver Spring	Rockville	Rockville
Driving Miles from Community	10.0	12.0	12.5
Sponsor/Developer	Erickson Living	Ingleside	National Lutheran Communities & Services
Year Opened	2000	2009	1980
Type of Contract	Type C	Type C	Type C
IRS Status	Not-for-Profit	Not-for-Profit	Not-for-Profit
Number of IL Units			
Studio apartments	27	4	NA
One-bedroom apartments	605	70	NA
Two-bedroom apartments	1,306	159 ⁽¹⁾	NA
Homes/Cottages	NA	NA	140
Total IL Units	1,938	245	140
Licensed AL Beds	275	46	57
Licensed SN Beds	117	45	160
Planned IL Units	NA	121 ⁽²⁾	103 ⁽¹⁾
IL			
<i>Square Footage</i>			
Studio apartments	568	549	NA
One-bedroom apartments	701 - 1,040	845 - 1,250	NA
Two-bedroom apartments	924 - 1,497	1,244 - 1,894	NA
Homes/Cottages	NA	NA	737 - 1,786
<i>Entry Fees</i>			
Available Plans	90% Refundable	Declining Refund and Refundable (50% and 90%) ⁽³⁾	Declining Refund and Refundable (50% and 90%)
Entry Fee Refund Profiled	90% Refundable	90% Refundable	90% Refundable
Studio apartments	\$130,000 - \$142,000	\$350,000	NA
One-bedroom apartments	\$178,000 - \$301,000	\$665,000 - \$820,000	NA
Two-bedroom apartments	\$250,000 - \$590,000	\$870,000 - \$920,000 ⁽⁴⁾	NA
Homes/Cottages	NA	NA	\$308,850 - \$553,900 ⁽²⁾
Entry Fee Refund Profiled	NA	NA	NA
Studio apartments	NA	NA	NA
One-bedroom apartments	NA	NA	NA
Two-bedroom apartments	NA	NA	NA
Homes/Cottages	NA	NA	NA
<i>Monthly Fees</i>			
Studio apartments	\$1,968	\$2,400	NA
One-bedroom apartments	\$2,139 - \$2,613	\$3,600	NA
Two-bedroom apartments	\$2,405 - \$3,171	\$3,800 - \$4,000 ⁽⁴⁾	NA
Homes/Cottages	NA	NA	\$1,245 - \$1,606 ⁽²⁾
Second person monthly fee	\$912	\$1,200 - \$1,300 ⁽⁵⁾	\$524 ⁽²⁾
Occupancy rate	96%	100%	99% ⁽³⁾
AL			
Base Monthly Fee Range	\$5,574 - \$9,001 ⁽¹⁾	\$6,600 - \$11,000 ⁽⁶⁾	\$6,249 - \$10,078 ⁽⁴⁾
Occupancy Rate	97%	100%	96% ⁽⁵⁾
SN			
Daily Fee Range	\$412	NA ⁽⁷⁾	\$392
Occupancy Rate	86%	100%	100% ⁽⁶⁾

Source: Management, telephone surveys, disclosure statements, NIC MAP, and internet research.

NA: Not applicable.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Table 14 (continued)	
Comparable Retirement Communities Located Within the PMA – Entry Fee	
	Vantage House
Location	Columbia
Driving Miles from Community	14.2
Sponsor/Developer	Columbia Vantage House Corporation ⁽¹⁾
Year Opened	1990
Type of Contract	Type A/Type C ⁽²⁾
IRS Status	Not-for-Profit
Number of IL Units	
Studio apartments	
One-bedroom apartments	Unavailable ⁽³⁾
Two-bedroom apartments	
Homes/Cottages	NA
Total IL Units	205
Licensed AL Beds	26
Licensed SN Beds	44
Planned IL Units	NA
IL	
<i>Square Footage</i>	
Studio apartments	560
One-bedroom apartments	560 - 756
Two-bedroom apartments	1,000 - 1,032
Homes/Cottages	NA
<i>Entry Fees</i>	
Available Plans	Declining and 90% Refundable ⁽⁴⁾
Entry Fee Refund Profiled	90% Refundable
Studio apartments	\$199,737
One-bedroom apartments	\$215,428 - \$288,876
Two-bedroom apartments	\$390,737 - \$394,758
Homes/Cottages	NA
Entry Fee Refund Profiled	Declining Refund
Studio apartments	\$140,188
One-bedroom apartments	\$151,210 - \$202,795
Two-bedroom apartments	\$274,324 - \$277,149
Homes/Cottages	NA
<i>Monthly Fees</i>	
Studio apartments	\$2,460
One-bedroom apartments	\$2,665- \$3,085
Two-bedroom apartments	\$3,905
Homes/Cottages	NA
Second person monthly fee	\$1,681
<i>Occupancy rate</i>	Unavailable ⁽⁵⁾
AL	
Base Monthly Fee Range	Unavailable ⁽³⁾
Occupancy Rate	Unavailable ⁽³⁾
SN	
Daily Fee Range	NA ⁽⁶⁾
Occupancy Rate	100%

Source: Management, telephone surveys, disclosure statements, NIC MAP, and internet research.

NA: Not applicable.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Notes:

Friends House

- (1) The Community also offers 75 affordable studio and one-bedroom IL apartments. These units are not considered comparable to the Project and are not included in the penetration rates that follow. The 5 IL apartment units profiled in Table 14 are currently market rate apartments.
- (2) The Community operates 21 of the 24 licensed AL beds.
- (3) The Project includes the construction of 47 new IL units (33 apartments and 14 cottages). In addition, the Community is planning to take the 5 existing IL apartment units profiled in Table 14 out of service in October 2019. The Community is also planning to renovate 20 existing affordable IL apartments into 20 market rate IL apartments and repurpose 5 existing affordable IL apartments as part of the Project. In summary, the Community will be adding 67 market rate IL units, and taking 5 existing market rate IL apartment units out of service, for a net increase of 62 market rate IL units on its campus as a result of the Project.
- (4) The Community charges an additional monthly fee for dinner for studio and one-bedroom apartment residents.
- (5) The monthly fee reflects the rate for a semi-private (\$4,187) or private (\$5,284) residence. The base rate includes room, board, and assistance with ADLs (except itemized charges).
- (6) The daily fees for SN services range from \$317 for a semi-private bed to \$434 for a private bed.

The Project

- (1) The information profiled in Table 14 for the Project includes the 47 new IL units (33 apartments and 14 cottages). As indicated above, the Community is also planning to renovate and convert 25 existing affordable IL apartments into 20 market rate IL apartments and eliminate the existing 5 apartments (47+20-5). The weighted average monthly fee (in 2019 dollars) for the 20 market rate IL apartments is \$1,265 (\$1,238 for 12 units and \$1,305 for 8 units).
- (2) The second person fee of \$371 per month applies only to apartments.

Brooke Grove

- (1) All cottages offer two or three bedrooms with two or three bathrooms. Optional rooms include a screened porch, sunroom, or den.
- (2) Monthly fees for AL reflect daily rates of \$254 for a private suite and \$283 for an efficiency suite with kitchenette at The Wood Assisted Living, and \$296 for a private suite at The Meadows Assisted Living. The fees include all care services and levels of care. Memory care daily rates range from \$278 - \$309 for a private suite. A one-time community fee of \$3,600 is assessed to each resident.
- (3) The daily fee reflects long-term care rates for a companion suite (\$374) and a private suite (\$425), and rehabilitation rates of \$417 per day for a companion suite and \$467 per day for a private suite. The fees include a hospitality dining program supervised by a registered dietician.

Riderwood Village

- (1) The base monthly fee range includes pricing for The Glen at Orchard Point, a new (2016) AL facility at the community, and the original AL building. Monthly fees for The Glen at Orchard Point range from \$6,417 for a studio to \$9,001 for a deluxe two-bedroom unit. Base monthly fees for "Original" AL units at the community range from \$5,574 for a studio to \$7,722 for a two-bedroom unit. The community offers four additional levels of care; fees are between \$866 and \$1,277 per level, and vary depending on unit type. The AL base monthly second person fee is \$2,392. The memory care rate is \$8,880 per month, all-inclusive. The community also charges a 90% refundable entry fee for AL services ranging from \$101,000 - \$205,000 for "Original" units and \$175,000 - \$205,000 for The Glen at Orchard Point.

Ingleside at King Farm

- (1) The community also offers 12 three-bedroom apartments for a total of 245 IL units. Three bedroom apartments offer 2,309 square feet.
- (2) Ingleside at King Farm is expanding its campus with the addition of "Gardenside," a 121-unit apartment community. The community will offer one- to three-bedroom options ranging from 917 - 2,150 square feet. Gardenside is anticipated to open in 2019 or 2020.
- (3) The community offers three entry fee plans (Declining Refund and 50% or 90% Refundable). The 90% refundable plan is the most commonly selected plan by residents. Management did not provide rates for the declining refund or 50% refundable plans. Entry and monthly fee ranges provided by management include the Gardenside expansion project.
- (4) The entry fee for three-bedroom apartments ranges from \$1,140,000 - \$1,220,000. The monthly fee for three-bedroom apartments is \$4,500.
- (5) The community charges a second person entry fee of \$44,000 for original IL units and \$46,000 for Gardenside units. The monthly second person fee is \$1,200 for original IL units and \$1,300 for Gardenside units.
- (6) The monthly fee reflects the full range of potential AL rates – the rates vary per level, and there are three levels of care. Management did not share more specific details about the level of care fees.
- (7) Ingleside at King Farm does not accept nursing residents from outside of the community; a private pay SN rate is not available.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

The Village at Rockville

- (1) The Village at Rockville is expanding its campus with the addition of "Glenmere," a 130-unit apartment community. The community will offer one- and two-bedroom IL apartment homes and is anticipated to open in late 2020 or early 2021. The community is expected to demolish nine existing tri-plexes, which include 27 IL units, as part of the construction of Glenmere. The net expansion will include 103 additional IL units.
- (2) Management did not disclose rates for IL units at the community. Rates reflect fees reported in the Ingleside at King Farm Financial Feasibility Study dated November 2017.
- (3) Management did not disclose occupancy for IL services. The occupancy rate reflects the rate reported in the Ingleside at King Farm Financial Feasibility Study dated November 2017.
- (4) The base monthly fee range is inclusive of all care services. Memory care monthly fees range from \$6,802 - \$9,979. A one-time, non-refundable community fee of \$2,500 is assessed to each resident.
- (5) As of May 22, 2018, Management indicated that the community operates 50 AL apartments (18 memory care and 32 traditional AL), and there were "some available." Since Management could not share the number of beds available, the occupancy rate reflects the rate reported in the Ingleside at King Farm Financial Feasibility Study dated November 2017.
- (6) The community operates 94 private long-term care units. The occupancy is based on the number of operating beds.

Vantage House

- (1) The community is managed by Life Care Services, LLC (LCS) based in Des Moines, Iowa.
- (2) Vantage House is the only not-for-profit CCRC in Howard County that offers life care and fee-for-service contracts.
- (3) Management did not respond to a request for this information.
- (4) The community charges a second person entry fee of \$18,446 under both the 90% and declining refund plans for one-bedroom deluxe and two-bedroom apartments. Second occupants are not accepted for the 560 square foot studio or one-bedroom apartment.
- (5) The community has a wait-list for two-bedroom apartments, but a few one-bedroom apartments available. Management did not disclose an exact occupancy rate.
- (6) Vantage House does not accept nursing residents from outside of the community; a private pay SN rate was not available.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Table 15
Comparable Retirement Communities Located Within the PMA – Rental

	Bedford Court	Aspenwood Senior Living	Brightview West End
Location	Silver Spring	Silver Spring	Rockville
Driving Miles from Community	4.8	5.0	9.6
Sponsor/Developer	Sunrise Senior Living	Five Star Senior Living	Brightview Senior Living
Year Opened	1992	1989	2017
Type of Contract	Rental ⁽¹⁾	Rental ⁽¹⁾	Rental ⁽¹⁾
IRS Status	For-Profit	For-Profit	For-Profit
Number of IL Units			
Studio apartments	NA	NA	NA
One-bedroom apartments	164 ⁽²⁾	Unavailable ⁽²⁾	100 ⁽²⁾
Two-bedroom apartments	54 ⁽²⁾		
Homes/Cottages	NA	NA	NA
Total IL Units	218	90	100
Licensed AL Beds	76	55	98
Licensed SN Beds	60	NA	NA
Planned IL Units	NA	NA	NA
IL			
<i>Square Footage</i>			
Studio apartments	NA	NA	NA
One-bedroom apartments	Unavailable ⁽³⁾	456 - 660	Unavailable
Two-bedroom apartments		760 - 800	
Homes/Cottages	NA	NA	NA
<i>Monthly Fees</i>			
Studio apartments	NA	NA	NA
One-bedroom apartments	\$3,300+	\$3,862	\$4,100 - \$8,050 ⁽³⁾
Two-bedroom apartments	\$4,000+	\$4,995	
Homes/Cottages	NA	NA	NA
Second person monthly fee	\$800	\$1,000	Unavailable
<i>Occupancy rate</i>	93%	96%	Unavailable ⁽⁴⁾
AL			
<i>Base Monthly Fee Range</i>	\$6,500 - \$8,500 ⁽⁴⁾	\$4,165 - \$6,171 ⁽³⁾	Unavailable
<i>Occupancy Rate</i>	100%	97%	Unavailable ⁽⁴⁾
SN			
<i>Daily Fee Range</i>	\$385 - \$404 ⁽⁵⁾	NA	NA
<i>Occupancy Rate</i>	75% ⁽⁶⁾	NA	NA

Source: Management, telephone surveys, disclosure statements, NIC MAP, and internet research.

NA: Not applicable.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Table 15 (continued)		
Comparable Retirement Communities Located Within the PMA – Rental		
	Kensington Park Senior Living	Seabury at Springvale Terrace
Location	Kensington	Silver Spring
Driving Miles from Community	11.3	11.7
Sponsor/Developer	Kensington Senior Living	Seabury Resources for Aging
Year Opened	1993	1924
Type of Contract	Rental	Rental
IRS Status	For-Profit	Not-for-Profit
Number of IL Units		
Studio apartments		73
One-bedroom apartments	61 ⁽¹⁾	27
Two-bedroom apartments		NA
Homes/Cottages	NA	NA
Total IL Units	61	100
Licensed AL Beds	160	59
Licensed SN Beds	NA	NA
Planned IL Units	NA	NA
IL		
<i>Square Footage</i>		
Studio apartments		280
One-bedroom apartments	Unavailable	480 - 580
Two-bedroom apartments		NA
Homes/Cottages	NA	NA
<i>Monthly Fees</i>		
Studio apartments	\$3,700	\$1,005
One-bedroom apartments	\$5,200	\$1,327 - \$1,346
Two-bedroom apartments	\$7,000	NA
Homes/Cottages	NA	NA
Second person monthly fee	\$1,250	NA
<i>Occupancy rate</i>	100%	97%
AL		
<i>Base Monthly Fee Range</i>	\$4,560 - \$6,384 ⁽²⁾	\$3,392 ⁽¹⁾
<i>Occupancy Rate</i>	98%	85% ⁽²⁾
SN		
<i>Daily Fee Range</i>	NA	NA
<i>Occupancy Rate</i>	NA	NA

Source: Management, telephone surveys, disclosure statements, NIC MAP, and internet research.

NA: Not applicable.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Notes:

Bedford Court

- (1) The community charges a 100% refundable fee of \$13,000 regardless of resident level of care or unit type.
- (2) Management provided estimated unit counts. The estimate is based on three-quarters of the units being comprised of one-bedroom apartments and one-quarter of the units being comprised of two-bedroom apartments.
- (3) Management disclosed that the 218 IL units are comprised of one- and two-bedroom apartments, but did not disclose the square footage of the units. The community offers 16 one- and two-bedroom floor plans.
- (4) The monthly fee reflects the base rate for the smallest AL unit. Management did not disclose rates for other AL units. The community charges additional level of care and medication management fees (undisclosed).
- (5) The daily fee reflects rates for a semi-private unit (\$385) and a private unit (\$404).
- (6) Bedford Court is mandated by the state to accept a percentage of Medicaid insured residents and a certain number of residents from within the CCRC. SN at the community is not fully occupied due to the mandate.

Aspenwood Senior Living

- (1) The community charges a one-time, non-refundable community fee of \$4,000.
- (2) Management did not disclose the IL unit count by unit type. The community offers one- and two-bedroom apartments.
- (3) Monthly fees reflect base rates for studio and semi-private rooms (\$137 per day) and one-bedroom rooms (\$203 per day).

Brightview West End

- (1) The community charges a one-time, non-refundable community fee of \$5,000.
- (2) Management did not disclose the IL unit count by unit type. The community offers 30 different one- and two-bedroom apartment floor plans.
- (3) Management did not disclose rates for IL units at the community. Rates reflect fees reported in the Ingleside at King Farm Financial Feasibility Study dated November 2017.
- (4) Management did not disclose occupancy by level of care. The community opened in October 2017 and is currently 50% occupied. Management anticipates reaching full occupancy after 18 months of operation.

Kensington Park Senior Living

- (1) Management did not disclose the IL unit count by unit type. The community offers studio, one-, and two-bedroom apartments.
- (2) Monthly fees reflect base rates for semi-private (\$150 per day), studio (\$180 per day), and one-bedroom (\$210 per day) units.

Seabury at Springvale Terrace

- (1) The monthly fee reflects the base rate with care ("level II"). The level III rate is \$4,071 per month. Residents that do not require care services are still considered IL residents.
- (2) There are 46 AL units, all studios. The occupancy is based on the number of filled units.

Planned IL Communities

According to interviews with representatives from Montgomery County, existing communities within the PMA, and certain municipalities and townships surrounding the Community, as well as internet research, the following planned IL activity has been identified.

- Ingleside at King Farm is expanding its campus with the addition of "Gardenside," a 121-unit apartment community. The community will offer one- to three-bedroom options ranging from 917 to 2,150 square feet. The community will also offer a state-of-the art Center for Healthy Living and 32 private memory support residences. Gardenside is anticipated to open in 2019 or 2020.
- The Village at Rockville is expanding its campus with the addition of "Glenmere," a 130-unit apartment community. The community will offer one- and two-bedroom IL apartment homes, an aquatic center with spa and lap pool, and an enclosed pedestrian link to the Health Center. Glenmere is anticipated to open in late 2020 or early 2021. The community is expected to demolish nine existing tri-plexes, which include 27 IL units, to as part of the construction of Glenmere. The net expansion will include 103 additional IL units.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Summary of Comparable IL Units Within the PMA

The table below summarizes the retirement communities within the PMA that are considered to be comparable to and competitive with the Community for purposes of the penetration rate analyses that follow.

Table 16			
Summary of Comparable IL Units Located Within the PMA			
Comparable Retirement Communities	Existing	Planned	Total
<i>Entry Fee Units:</i>			
Brooke Grove	40	--	40
Riderwood Village	1,938	--	1,938
Ingleside at King Farm	245	121	366
The Village at Rockville	140	103	243
Vantage House	205	--	205
Subtotal for Entry Fee Units	2,568	224	2,792
<i>Rental Units:</i>			
Bedford Court	218	--	218
Aspenwood Senior Living	90	--	90
Brightview West End	100	--	100
Kensington Park Senior Living	61	--	61
Seabury at Springvale Terrace	100	--	100
Subtotal for Rental Units	569	--	569
The Community and Project	29	62	91
Total IL Units in the PMA	3,166	286	3,452

Source: Management, telephone surveys and internet research.

IL Penetration Analysis

Penetration rates are one indicator of demand for services and should be evaluated in conjunction with other marketplace dynamics, such as occupancy levels among providers, ability of new inventory to presell or prelease in accordance with projections, ability of a market to draw residents from areas outside of traditional boundaries, ability to sustain competitive pricing among like providers and the overall acceptance levels for senior housing.

The project penetration rate reflects the percentage of age-and-income qualified households in the PMA the Project would need to capture in the year of opening or majority fill.

The gross market penetration rate reflects the percentage of age-and-income qualified households in the PMA that the total market must absorb to achieve and maintain stabilized occupancy.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

The following table presents the project penetration rate for the PMA in the interpolated year 2019, the year in which the majority of the Project IL units are forecasted to be occupied.

Table 17	
IL Project Penetration Analysis	
	2019 (Interpolated)
	Age-and-Income Eligible Households (75 Plus with Income \$50,000 Plus)
Planned IL units at the Project	62
Percentage of units to be filled from the PMA ⁽¹⁾	63%
Units to be filled from the PMA	39
Project IL units to be occupied at 100% occupancy from the PMA [a]	39
Estimated number of age-and-income eligible households ⁽²⁾	14,903
Less: existing inventory at the Community ⁽³⁾	14
Less: existing inventory of available comparable units ⁽⁴⁾	2,086
Less: planned inventory of comparable units ⁽⁵⁾	--
Net number of age-and-income eligible households [b]	12,803
Project Penetration Rate ([a]/[b])	0.3%

Source: Management and ESRI.

Notes:

- (1) Based on the Origin Analysis of Residents and Depositors, Depositor origin, Table 6.
- (2) The number of age-and-income eligible households within the PMA is profiled in Table 13, and includes households age 75+ earning in excess of \$50,000 annually in the interpolated year 2019, the year in which the majority of the Project IL units are forecasted to be occupied.
- (3) Reflects 29 existing IL units at the Community based on a 100 percent assumed occupancy and 48 percent draw from within the PMA, based on the Origin Analysis of Residents and Depositors, Resident origin, Table 6 (29 units X 100 percent occupancy X 48 percent draw = 14 units).
- (4) Reflects the 3,137 existing comparable units in the PMA (excluding the Community) (2,568 entry fee units + 569 rental units = 3,137 units) based on a 95 percent occupancy and 70 percent draw, assumed based on industry standards (3,137 units X 95 percent assumed occupancy X 70 percent assumed draw = 2,086 units).
- (5) There are no comparable planned IL units anticipated to be open by the interpolated year 2019.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

The following table presents the gross market penetration rates for the PMA for the comparative years 2017 and 2022.

Table 18
IL Gross Market Penetration Analysis

	2017 (Estimated)	2022 (Projected)
	Age-and-Income Eligible Households (75 Plus with Income \$50,000 Plus)	Age-and-Income Eligible Households (75 Plus with Income \$50,000 Plus)
Market inventory of retirement communities in the PMA:		
The Community:		
Existing IL units	29	29
Project IL units	--	62
Total IL units at the Community	29	91
Units to be occupied from the PMA [a]	14 ⁽¹⁾	53 ⁽¹⁾
Comparable retirement communities:		
Existing IL units	3,137	3,137
Planned IL units ⁽²⁾	--	224 ⁽²⁾
Total IL units at the comparable retirement communities	3,137	3,361
Units to be occupied from the PMA [b]	2,196 ⁽³⁾	2,353 ⁽³⁾
Total units to be occupied from the PMA ([a]+ [b])	2,210	2,406
Total units to be filled at 95% occupancy ⁽⁴⁾ [c]	2,100	2,286
Number of age-and-income eligible households ⁽⁵⁾ [d]	13,754	16,627
Market Penetration Rate ([c]/[d])	15.3%	13.7%

Source: Management and ESRI.

Notes:

- (1) Reflects 29 existing IL units at the Community at 48 percent draw from within the PMA (14 units) and 62 planned IL units at the Project at 63 percent draw (39 units) (14 existing + 39 planned = 53 IL units at the Community to be filled within the PMA), based on the Origin Analysis of Residents and Depositors, Table 6.
- (2) Reflects the planned units at Ingleside at King Farm (121) and The Village at Rockville (103), for a total of 224 planned comparable units within the PMA.
- (3) It is assumed that 70 percent of the comparable IL units included in the analysis will be filled with residents from within the PMA based on industry standards. Reflects the 3,137 existing comparable units within the PMA (excluding the Community) (2,568 entry fee units + 569 rental units = 3,137 units) and 70 percent assumed draw from within the PMA (3,137 IL units X 70 percent assumed draw = 2,196 IL units). The year 2022 includes the addition of all planned projects within the PMA (224 IL units X 70 percent assumed draw = 157 planned IL units) (2,196 + 157 = 2,353).
- (4) Assumes 95 percent occupancy for all existing and planned properties, for purposes of this analysis.
- (5) See Table 13.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Marketing the Project IL Units

The marketing and promotional strategy for the Project IL units focuses primarily around a printed advertising campaign and ongoing community events. The event themes center around educational and informational sessions for the Project, dinners, and events on campus.

The success of the Community is dependent, in part, on Management's ability to achieve specified pre-sales, fill-up rates and turnover rates for the Project IL units. Management began collecting ten percent deposits for the Project IL units in November 2017.

As of July 11, 2018, 32 Depositors had reserved 32 IL units (net of cancellations) out of 47 Project IL units, or approximately 68 percent of the Project IL units.

Table 19
Marketing the Project IL Units

	Gross Depositors	Gross Cancellations	Net Depositors	Cumulative Depositors	Percentage of Total Units
2017:					
November	3	--	3	3	6%
December	2	--	2	5	11%
2018:					
January	12	--	12	17	36%
February	5	--	5	22	47%
March	11	1	10	32	68%
April	7	1	6	38	81%
May	--	3	-3	35	74%
June	2	4	-2	33	70%
July	--	1	-1	32	68%
Totals	42	10	32	32	68%

Source: Management.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

The following table presents the total number and type of Project IL units reserved as of July 11, 2018.

Table 20				
Inventory of Project IL Units				
Type of Unit	Square Footage	Available Inventory	Reserved Units	Percentage Reserved By Unit Type
Cedar (lodge) – 1 bedroom, 1 bath, den	1,105	7	5	71%
Willow (lodge) – 1 bedroom, 1 bath	920	4	3	75%
Maple (lodge) – 2 bedroom, 2 bath, den	1,375	14	11	79%
Hickory (lodge) – 2 bedroom, 2 bath	1,290	8	2	25%
Magnolia (cottage) – 1 bedroom, 1 bath, den	1,314	3	2	67%
Oak (cottage) – 2 bedroom, 2 bath, den	1,540	11	9	82%
Totals		47	32	68%

Source: Management.

Independent Depositor Confirmation

An independent confirmation process was performed by Baker Tilly Virchow Krause, LLP utilizing a mail survey instrument, sent to the 32 Depositors on June 4, 2018. A telephone survey was conducted for new Depositors after June 4, 2018, and for any surveys not received by July 2, 2018. As of July 11, 2018, 32 of the 32 Depositors (100 percent) had completed and returned the survey via mail or responded to the survey through a telephone interview process. The following information was compiled for the 32 completed surveys. Not all respondents answered each survey question, therefore, the percentages profiled below are based on the number of actual responses to individual survey questions.

- 32 (100 percent) indicated that they had paid a Deposit equal to at least 10 percent of the entry fee for the IL unit selected at the Community.
- 32 (100 percent) indicated that they had signed a Residence and Services Agreement.
- 29 (100 percent) indicated that they intend to reside at the Community when their IL unit becomes available (three Depositors did not answer this question).
- 9 (28 percent) indicated that they expect to reside alone and 23 (72 percent) indicated that they expect to reside with a spouse.
- 27 (84 percent) indicated that they currently own their home.
- 8 (25 percent) indicated they had reserved an IL unit or were on a waiting list at another retirement community. Of these, 5 intend to reside at the Community, 1 stated it depends on timing, 1 is unsure, and 1 did not answer this question.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

The following table indicates which retirement communities the respondents have placed a deposit and the corresponding deposit amount. One respondent has placed numerous deposits at various communities, and one respondent did not specify at which other community a deposit was submitted.

Table 21
Deposits at Other Retirement Communities

Community	Location	Amount of Deposit		
		Less than \$5,000	\$5,000 to \$25,000	Amount not Specified
Collington	Mitchelville, MD	1		
Goodwin House	Alexandria, VA	1		
Riderwood	Silver Spring, MD	1		
Brooke Grove	Sandy Spring, MD	1		
Spiritrust Lutheran	Gettysburg, PA			1
Carroll Lutheran Village	Westminster, MD	1		
The Village at Rockville	Rockville, MD			1
Lake Ridge	Occoquan, VA		1	
Total		5	1	2

The following table profiles how respondents intend to pay the balance of their entry fee. Some respondents chose more than one answer:

Table 22
Payment on Balance of Entry Fee

	Number of Respondents	Percentage of Respondents
Using cash reserves or savings	8	22%
Using proceeds from the sale of investments	10	28%
Using proceeds from the sale of a home	3	8%
Combination of several of these options	15	42%
Total	36	100%

Respondents indicated the following as to how soon they intended to move into their IL unit after it becomes available. Some respondents chose more than one answer, and some respondents did not answer at all:

Table 23
Move-in Timeframe After Unit Becomes Available

	Number of Respondents	Percentage of Respondents
1 to 30 days	16	50.0%
30 to 60 days	8	25.0%
60 to 90 days	4	12.5%
Other	4	12.5%
Total	32	100.0%

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Respondents indicated their primary reason(s) for choosing the Community were as follows:

Table 24		
Community Suitability		
	Number of Respondents	Percentage of Respondents
Reputation of the Community	23	15%
Social activities and fellowship	22	14%
Access to assisted living and nursing care	21	13%
Unit amenities/size	19	12%
Security (financial/physical)	18	12%
Proximity to friends/family	16	10%
Proximity to healthcare services	14	9%
Location in Sandy Spring	14	9%
Other	9	6%

Depositor File Test Work

Baker Tilly Virchow Krause, LLP read Management's policies and procedures for accepting Deposits and confirmed through a series of test work procedures that each Depositor met Management's financial screening criteria. Baker Tilly Virchow Krause, LLP performed the following procedures for each of the 32 Depositors for the Project IL units as of July 11, 2018:

- Confirmed 100 percent to have a Residence and Services Agreement executed by both the Depositor(s) and Management;
- Confirmed 100 percent to include copies of a deposit check or wire transfer equal to or above the ten percent entry fee deposit for the selected Project IL unit and selected refund plan;
- Confirmed 100 percent of the entry and monthly fees match for the Project IL units under the chosen refund plan; and
- Based on reported income and asset levels, confirmed that 100 percent of the Depositors either met Management's asset and income qualification test utilizing the FinAid program, or displayed sufficient financial resources, as approved by Management.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

The following table presents information regarding the self-reported net worth (including home values) before payment of the entry fee and estimated annual income of the 32 Depositors as of July 11, 2018.

Table 25					
Reported Annual Income and Net Worth of Depositors⁽¹⁾					
Annual Income	Net Worth				
	Less than \$250,000	\$250,001 to \$500,000	\$500,001 to \$1,000,000	\$1,000,001 to \$2,000,000	\$2,000,001 or Greater
\$25,001 to \$50,000			2	2	
\$50,001 to \$75,000	1	1	1		1
\$75,001 to \$100,000	3	3	1		
\$100,001 or Greater	6		4	4	3
Total	10	4	8	6	4

Notes:

- (1) The average annual income and net worth of the 32 Depositors was \$110,122 and \$937,943, respectively, according to information reported by Management from the FinAid financial application process.

Summary of Market Analysis

The future utilization of the existing and planned accommodations and services offered at the Community depends on various factors, including:

- Certain economic and demographic factors which could affect the future utilization of the Community;
- The ability of prospective residents to sell their residences to pay the entry fees and monthly fees associated with the IL, AL, and SN accommodations and services at the Community;
- Management's ability to effectively market and promote the benefits of the Community over the IL, AL, and SN accommodations and services offered at the competitive properties, which includes Management's ability to distinguish the Community from the variety of senior living options available in the local marketplace; and
- Future turnover of IL accommodations due to mortality, transfers to/from the various levels of care, and the ability of the Community to resell the IL units as they become available.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Forecasted Utilization

The following tables summarize the utilization of services for each level of care:

Table 26
Utilization of Existing IL Cottage Units and Certain Existing IL Apartment Units⁽¹⁾

	Average Available Units	Average Occupied Units	Total Average % Occupancy
Historical:			
2016 ⁽²⁾	30	28	93%
2017	29	29	99%
2018	29	29	99%
Forecasted:			
2019	29	28	96%
2020 ⁽³⁾	25	24	96%
2021 – 2023 ⁽³⁾	24	23	96%

Source: Management.

Notes:

- (1) Includes 24 existing IL cottages and 5 existing IL apartments that were not previously regulated by HUD.
- (2) Prior to 2017, the Community operated 25 IL cottages, but took one of the cottages out of service in 2017.
- (3) It is assumed that 5 existing IL apartments will be taken out of service in October 2019.

Management assumed no second occupant on existing IL units during the forecast period; historically, there has been no additional fee for second persons in existing IL units.

Table 27
Utilization of IL Apartment Units Previously Regulated by HUD⁽¹⁾

	Average Available Units	Average Occupied Units	Total Average % Occupancy
Historical:			
2016	100	85	85%
2017 ⁽²⁾	75	75	100%
2018	75	71	94%
Forecasted:			
2019	75	69	92%
2020 ⁽³⁾⁽⁴⁾	19	17	92%
2021-2023	-	-	-

Source: Management.

Notes:

- (1) Contract with HUD ended in December 2016.
- (2) In 2017, 25 apartments were taken out of service. The remaining 75 apartments are currently under a rental contract.
- (3) The remaining 75 apartments are assumed to be available through September 2019, at which point the units will be taken out of service. In connection with this, the Community plans to replace the units taken out of service with a new 80-unit LIHTC financed apartment building through a partnership with HFA. Management has represented that this building will be located on the Community's campus and developed and owned by the partnership and will not be under the control of the Community. Accordingly, the forecasted activity for the partnership is not included in the forecasted financial statements.
- (4) Management has represented that the residents in the units forecasted to be taken out of service will move into the new LIHTC apartment building and the renovated and converted IL apartments (Table 28) in October 2019.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Table 28
Utilization of Renovated IL Apartments

	Average Available Units	Average Occupied Units	Total Average % Occupancy
Forecasted:			
2020 ⁽¹⁾	15	14	92%
2021 - 2023	20	18	92%

Source: Management.

Note:

- (1) It is assumed that 20 existing IL apartments that were previously regulated by HUD will be renovated and 5 existing IL apartments will be repurposed as part of the Project. Residents in the existing IL apartment units (Table 27) are forecasted to move into the renovated apartment units.

Management assumed no second occupant on the renovated and converted IL apartments during the forecast period.

Table 29
Utilization of New IL Units

	Average Available Units	Average Occupied Units	Total Average % Occupancy
Forecasted:			
2019 ⁽¹⁾	1	1	69%
2020 ⁽²⁾	42	34	82%
2021 - 2023	47	44	94%

Source: Management.

Notes:

- (1) It is assumed that 8 of the new IL cottages become available for occupancy on May 1, 2019.
(2) It is assumed that 6 of the new IL cottages become available for occupancy on July 1, 2019. It is also assumed that 13, 10, and 10, of the new IL apartments become available for occupancy on August 1, 2019, September 1, 2019, and October 1, 2019, respectively.

Management assumed double occupancy for approximately 60 percent of the Project IL apartments and approximately 66 percent of the Project IL cottages during the forecast period.

Table 30
Utilization of AL Units

	Average Available Beds	Average Occupied Units	Total Average % Occupancy
Historical:			
2016	21	19	91%
2017	21	20	94%
2018	21	19	92%
Forecasted,			
2019 - 2023	21	19	91%

Source: Management.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Table 31
Utilization of SN Beds

	Average Available Beds	Average Occupied Beds	Total Average % Occupancy
Historical:			
2016	82	74	91%
2017	82	72	88%
2018	82	63	77%
Forecasted, 2019 - 2023	82	70	85%

Source: Management.

Forecasted Move-Ins

The following table summarizes the forecasted move-in schedule for the new IL units:

Table 32
New IL Units
Move-In Schedule

Month / Year	Number of Move-Ins	Total Move-Ins	Occupancy %
2019			
May ⁽¹⁾	3	3	6%
June	5	8	17%
July ⁽²⁾	5	13	28%
August ⁽³⁾	6	19	40%
September ⁽⁴⁾	6	25	53%
October ⁽⁵⁾	6	31	66%
November	6	37	79%
December	1	38	81%
2020			
January	1	39	83%
February	1	40	85%
March	1	41	87%
April	1	42	89%
May	1	43	92%
June	1	44	94%

Source: Management.

Notes:

- (1) It is assumed that 8 of the new IL cottages become available for occupancy on May 1, 2019.
- (2) It is assumed that 6 of the new IL cottages become available for occupancy on July 1, 2019.
- (3) It is assumed that 13 of the new IL apartments become available for occupancy on August 1, 2019.
- (4) It is assumed that 10 of the new IL apartments become available for occupancy on September 1, 2019.
- (5) It is assumed that 10 of the new IL apartments become available for occupancy on October 1, 2019.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Forecasted Resident Attrition and Related Entry Fee Proceeds and Refunds

Forecasted resident attrition for existing and new IL entry fee units and the related forecasted entry fee proceeds and refunds each year during the forecast period are presented in the tables below.

Table 33
Resident Attrition
Existing IL Cottage Units

Month/Year	New Admissions	Entry Fee Proceeds	Number of Refunds ⁽¹⁾	Entry Fee Refunds	Net Entry Fee Proceeds (Refunds)
Forecasted:					
2019	-	\$ -	1	\$ 59,000	\$ (59,000)
2020	1	260,000	2	177,000	83,000
2021	-	-	1	59,000	(59,000)
2022	1	276,000	2	177,000	99,000
2023	1	284,000	2	177,000	107,000

Source: Management.

Note:

(1) Refunds each year include 1 conversion to a rental plan with no new entry fee on certain existing cottage units.

Table 34
Resident Attrition
New IL Units

Month/Year	New Admissions	Entry Fee Proceeds	Number of Refunds	Entry Fee Refunds ⁽¹⁾	Net Entry Fee Proceeds
Forecasted:					
2020	1	\$ 290,000	1	\$ 279,000	\$ 11,000
2021	3	897,000	3	661,000	236,000
2022	2	616,000	2	396,000	220,000
2023	2	634,000	2	338,000	296,000

Source: Management.

Note:

(1) 72 percent, 12 percent, and 16 percent of the initial residents in the new IL units are forecasted to select the nonrefundable, 50 percent refundable, and 90 percent refundable entry fee plans, respectively. These same percentages were used to forecast proceeds and refunds of entry fees each year during the forecast period.

Revenues and Entry Fees

Revenues are primarily generated from monthly and daily fees received from residents and others for IL, AL, and SN services. Revenues have been forecasted based on historical operating experience and future expectations.

Management assumes that monthly revenues for IL and AL units will increase 3.0 percent each year during the forecast period. Management assumes that daily private pay fees for SN services will increase 3.5 percent each year during the forecast period. Management assumes that Medicaid daily rates for SN services will increase 1.0 percent each year during the forecast period. Management assumes that Medicare Part A daily rates will increase 0.4 percent in 2019, 1.2 percent in 2020, and 1.5 percent each year in 2021 through 2023.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Management assumes that entry fees for all independent living units will increase 3.0 percent each year during the forecast period.

Management also assumes that ancillary and other resident service revenues will increase 3.0 percent each year during the forecast period.

Entry Fees

Entry fees will only be paid by prospective residents on 8 existing IL cottages under the 90 percent refundable entry fee plan during the forecast period; the remaining 16 existing IL cottages are under a rental plan for all new residents effective in 2017. Management assumes entry fees on the 8 IL cottages will range from \$237,000 to \$268,000, with a weighted average rate of \$252,000 (in 2019 dollars).

Forecasted entry fees for Project IL units are based on the following price schedule provided by Management.

Table 35
Entry Fees – New IL Units⁽¹⁾
(in 2019 Dollars)

Type of Unit	# Units	Non-Refundable Entry Fees	50% Refundable Entry Fees	90% Refundable Entry Fees
Apartments:				
One Bedroom	4	\$ 158,000	\$ 221,000	\$ 300,000
One Bedroom w/ Den	7	191,000	267,000	363,000
Two Bedroom	8	221,000	309,000	420,000
Two Bedroom w/ Den	14	238,000	333,000	452,000
Total/Weighted Average Fees ⁽¹⁾	33	\$ 214,000	\$ 300,000	\$ 407,000
Cottages:				
Cottage Duplex - 1	3	\$ 259,000	\$ 363,000	\$ 492,000
Cottage Duplex - 2	11	\$ 297,000	\$ 416,000	\$ 564,000
Total/Weighted Average Fees ⁽¹⁾	14	\$ 289,000	\$ 405,000	\$ 549,000

Source: Management.

Note:

- (1) 72 percent, 12 percent, and 16 percent of the initial residents in the new IL units are forecasted to select the nonrefundable, 50 percent refundable, and 90 percent refundable entry fee plans, respectively.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Monthly Fees

IL Units

Forecasted monthly fees for the Community's existing IL units are based on the following price schedule provided by Management.

Table 36
Monthly Fees – Existing IL Units
(in 2019 Dollars)

Type of Unit	Square Footage	# Units	Monthly Fees ⁽¹⁾⁽²⁾
Cottages:			
Quaker Lane	604 – 1,914	11	\$1,327-\$2,255
Quaker Knoll	1,362 – 1,661	5	\$1,979-\$2,398
Friends House	1,533 – 1,695	8	\$2,048-\$2,280
Total/Weighted Average Fees		24	\$2,031
IL Apartments Previously Regulated by HUD :			
One Bedroom	576	30	\$1,177
Studios	384	45	\$908
Total/Weighted Average Fees		75	\$1,016
Other IL Apartments	540 - 720	5	\$1,238-\$1,541
Total/Weighted Average Fees		5	\$1,420

Source: Management.

Note:

- (1) The monthly fees above for the IL cottages represent fees paid under the 90 percent refundable entry fee plan. Effective in 2017, the Community is offering 16 of the 24 IL cottages to prospective residents under a rental plan only; the remaining 8 IL cottages will continue to be sold to prospective residents under the 90 percent refundable entry fee plan. The monthly fees under the rental plan are forecasted to be 10 percent higher than the monthly fees under the entry fee plan.
- (2) The Community does not charge a second person monthly fee for the existing IL units.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Forecasted monthly fees for new IL units are based on the following price schedule provided by Management.

Table 37
Monthly Fees- New IL Units
(in 2019 Dollars)

Type of Unit	Square Footage	# Units	Monthly Fees ⁽¹⁾
Apartments:			
One Bedroom	920	4	\$ 2,600
One Bedroom w/ Den	1,105	7	2,800
Two Bedroom	1,290	8	2,950
Two Bedroom w/ Den	1,375	14	3,050
Total/Weighted Average Fees - Apartments		33	\$ 2,918
Cottages:			
Duplex - 1	1,314	3	\$ 2,550
Duplex - 2	1,540	11	2,650
Total/Weighted Average Fees - Cottages		14	\$ 2,629

Source: Management.

Note:

- (1) Second person monthly fee for new IL apartments is \$371 (in 2019 dollars). There is no second person monthly fee for new IL cottages. Management assumes 60% and 66% double occupancy throughout the forecast period for the Project IL apartments and cottages, respectively.

AL Units

Forecasted monthly fees for AL units are \$5,284 (in 2019 dollars). These fees are for a private AL unit. All AL days during the forecast period were assumed to be private days.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Daily Fees - SN

Forecasted daily fees for SN services are based on the following pricing schedule provided by Management:

Table 38
SN - Daily Fees
(in 2019 Dollars)

Type of Unit	# Beds	Daily Fees
Stabler Hall:		
Private	4	\$ 379
Semi-Private	50	317
Thomas Hall:		
Private	12	434
Private with shared bath	8	416
Semi-Private	8	379
Total/Weighted Average Fees	82	\$ 353
Medicare		\$544
Medicaid		\$244

Source: Management.

SN Payor Mix

The historical and forecasted payor mix for the SN beds is presented in the following tables.

Table 39
SN Payor Mix

	Private Pay	Medicaid	Medicare
Historical:			
2016	40%	35%	25%
2017	36%	43%	21%
2018	33%	45%	22%
Forecasted,			
2019 - 2023	34%	44%	22%

Source: Management.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Contributions

Management assumes that \$150,000 of contributions restricted by donors for resident support and operations will be received each year based on historical operating experience and future expectations. Management also assumes that the Community would meet certain donor restrictions in the same year the contributions are received, and as such, \$60,000 of net assets released from restrictions are reported in the forecasted statements of operations and net assets each year during the forecast period.

Investment Return

Management assumes that investment return will equal 2.0 percent of the average balance in investments each year during the forecast period. Management also assumes that investment return will equal 1.5 percent of the average balance in the Debt Service Reserve Fund for the Series 2018A Bonds each year during the forecast period.

Expenses

Operating expenses have been forecasted based upon Management's anticipated costs at the forecasted occupancy levels, historical operating experience, and anticipated costs of the Project.

Salaries and Wages

Management assumes that the Project will require the addition of approximately 0.4 full-time equivalent (FTE) employee. Salaries and wages, which were forecasted based on historical operating experience and the additional Project FTE, were assumed to increase at a rate of 2.5 percent per year during the forecast period.

The following is a schedule of forecasted FTEs, by department, and the average salary per FTE for 2019 and 2023:

Table 40
Forecasted Staffing Levels (FTEs)

	FTEs 2019	Incremental FTEs	FTEs 2023
Healthcare	75.2	-	75.2
Dietary	0.3	-	0.3
Housekeeping and laundry	15.8	(0.6)	15.2
Social services and activities	6.1	-	6.1
Maintenance	6.2	0.8	7.0
Administrative and general	15.3	-	15.3
	118.9	0.2	119.1
Average salary per FTE	\$46,196		\$51,536

Source: Management

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Payroll Taxes and Employee Benefits

Payroll taxes and employee benefit costs, which were forecasted based on historical operating experience and future expectations, were assumed to equal 23 percent of salaries and wages in 2019 through 2023.

Other Operating Expenses

All other operating expenses, excluding utilities expense and the provision for doubtful collections, were generally assumed to increase 2.5 percent each year during the forecast period. Management assumes that utilities expense will increase 3.0 percent each year during the forecast period. Other operating expenses were forecasted by Management based on historical operating experience with consideration given to anticipated changes as a result of the Project.

Provision for Doubtful Collections

The provision for doubtful collections was assumed to be 1.75 percent of net resident service revenues, less amortization of entry fees, each year during the forecast period.

Summary of Significant Accounting Policies

Cash and Cash Equivalents

For purposes of the forecasted financial statements, cash and cash equivalents includes investments in highly liquid debt instruments purchased with an original maturity of three months or less, excluding assets whose use is limited and investments.

Accounts Receivable, Residents

Accounts receivable, residents are reported at net realizable value. Accounts are written off when deemed uncollectible based upon a periodic review by Management. The allowance for doubtful collections is estimated based upon a periodic review of individual accounts.

Assets Whose Use is Limited

Assets whose use is limited are assumed to include funds held under a trust indenture, including the Debt Service Reserve Fund, Debt Service Fund, Project Fund, Funded Interest Fund, and Entry Fee Fund. Amounts available to meet current liabilities are classified as current assets in the forecasted balance sheets.

Investments

Investments with readily determinable fair values and all investments in debt securities are measured at fair value in the forecasted balance sheets. Investment income (primarily interest and dividends) is included in the determination of revenues, gains, and other support in excess of (less than) expenses and losses unless the income is restricted by donor or law. Management has not forecasted any unrealized or realized gains or losses on investments in the forecasted financial statements.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

The Community's investments are comprised of a variety of financial instruments. The fair values reported in the forecasted balance sheets are subject to various market risks including changes in the equity markets, the interest rate environment, and economic conditions. Due to the level of risk associated with investment securities and the level of uncertainty related to changes in the fair value of investment securities, it is reasonably possible that the fair value of investments reported in the forecasted balance sheets could change materially during the forecast period.

Property and Equipment

Property and equipment acquisitions are recorded at cost. Depreciation is computed using the straight-line method over the estimated useful lives of the assets.

Interest costs incurred on borrowed funds during the period of construction of capital assets is capitalized as part of the cost of acquiring those assets.

Impairment of Property and Equipment

Property and equipment will be evaluated for impairment whenever events or changes in circumstances indicate the carrying value of an asset may not be recoverable from the estimated future cash flows expected to result from its use and eventual disposition. If expected cash flows are less than the carrying value, an impairment loss is recognized equal to an amount by which the carrying value exceeds the fair value of the assets. Management has not forecasted any impairment losses during the forecast period.

Debt Issuance Costs

Debt issuance costs include costs incurred in connection with the Series 2018 Bonds. Debt issuance costs are presented in the forecasted balance sheets as a direct reduction of the Community's long-term debt. The debt issuance costs are amortized over the term of the related debt using the straight-line method, which approximates the effective interest method. Amortization of debt issuance costs is forecasted to be \$43,000 in 2019, and \$52,000 in 2020 through 2023, of which \$43,000 and \$17,000 is forecasted to be capitalized as a component of property and equipment in 2019 and 2020, respectively.

Entry Fees

The guaranteed refund component of entry fees received is classified as refundable entry fees in the forecasted balance sheets. The balance of entry fees received is amortized to income using the straight-line method over the annually adjusted estimated remaining life expectancies of the residents and is classified as deferred revenue from entry fees in the forecasted balance sheets.

Net Assets With Donor Restrictions

Net assets with donor restrictions are those whose use by the Corporation has been limited by donors to specific purposes or time periods and those that have been restricted by donors to be maintained by the Community in perpetuity

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Net Resident Service Revenues

Net resident service revenues are reported at the amount that reflects the consideration the Community expects to receive in exchange for goods and services provided. These amounts are due from residents or third-party payors and include variable consideration for retroactive adjustments, if any, under reimbursement programs. Performance obligations are determined based on the nature of the goods and services provided. Net resident service revenues are recognized as performance obligations are satisfied.

The Community receives revenue for services under third-party payor programs, including Medicare and Medicaid. Settlements with third-party payors for retroactive adjustments due to audits, reviews, or investigations are included in the determination of the estimated transaction price for providing services. The Community estimates the transaction price based on the terms of the contract with the payor, correspondence with the payor, and historical payment trends, and retroactive adjustments are recognized in future periods as final settlements are determined.

Net resident service revenues include amortization of entry fees of \$97,000 in 2019, \$493,000 in 2020, \$785,000 in 2021, and \$735,000 in 2022 and \$699,000 in 2023.

Donor-Restricted Gifts

The Community reports gifts of cash and other assets as restricted support if they are received with donor stipulations that limit the use of the donated assets. When a donor restriction expires, that is, when a stipulated time restriction ends or purpose restriction is accomplished, net assets with donor restrictions are reclassified as net assets without donor restrictions and reported in the forecasted statements of operations and changes in net assets as net assets released from restrictions.

Income Taxes

The Community is a not-for-profit corporation as described in Section 501(c)(3) of the Internal Revenue Code ("IRC") and is exempt from federal income taxes on its exempt income under Section 501(a) of the IRC.

Revenues, Gains, and Other Support In Excess of (Less Than) Expenses and Losses

The forecasted statements of operations and changes in net assets include the determination of revenues, gains, and other support in excess of (less than) expenses and losses. Changes in net assets without donor restrictions which are excluded from revenues, gains, and other support in excess of (less than) expenses and losses, consistent with industry practice, include contributions of long-lived assets (including assets acquired using contributions which by donor restriction were to be used for the purposes of acquiring such assets) and contributions received from donors to be maintained by the Community in perpetuity.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

New Accounting Pronouncements

In 2016, the Financial Accounting Standards Board issued Accounting Standards Update (ASU) No. 2016-02, *Leases (Topic 842)*. ASU No. 2016-02 was issued to increase transparency and comparability among organizations by recognizing lease assets and lease liabilities on the balance sheet and disclosing key information about leasing arrangements. Under the provisions of ASU No. 2016-02, a lessee is required to recognize a right-to-use asset and lease liability, initially measured at the present value of the lease payments, in the balance sheet. In addition, lessees are required to provide qualitative and quantitative disclosures that enable users to understand more about the nature of its leasing activities. The guidance will not become effective until 2020. Management has not yet determined the impact of adoption of ASU No. 2016-02 on the Community's financial statements. Accordingly, the forecast continues the entity's current accounting principles related to leases throughout the forecast period.

Assets Whose Use is Limited

Assets whose use is limited assumed to be held by a bond trustee under a trust indenture for the Series 2018A Bonds are listed below.

Debt Service Reserve Fund

At closing, a portion of the proceeds of the Series 2018A Bonds are forecasted to be deposited into a Debt Service Reserve Fund. The Debt Service Reserve Fund requirement is assumed to be equal to the maximum annual debt service on the Series 2018A Bonds, which is \$1,411,000.

Debt Service Fund

The Corporation is required to make monthly deposits into the respective bond principal and interest funds at an amount approximately equal to one-sixth of the next semi-annual interest payment and one-twelfth of the next annual principal payment for the Series 2018 Bonds. The funding of the interest payments on the Series 2018 Bonds will commence after funds in the Funded Interest Fund are expended.

Project Fund

At closing, a portion of the proceeds of the Series 2018A Bonds are forecasted to be deposited into the Project Fund to pay a portion of the construction and equipping of the Project. Management assumed the Project Fund was fully utilized during 2019.

Funded Interest Fund

At closing, a portion of the proceeds from the Series 2018A Bonds are forecasted to be deposited into the Funded Interest Fund to fund interest costs incurred on the Series 2018A Bonds for the period August 2018 through December 2018. Funded interest on the Series 2018B Bond is expected to be drawn down on a monthly basis to fund interest costs on the Series 2018B Bond beginning in January 2019 through March 2020.

Entry Fee Fund

A portion of the proceeds from the entry fees on the new IL units are forecasted to be set aside and utilized to make varying monthly principal payments on the Series 2018B Bond through June 2020.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Maryland Department of Aging Reserve Requirements

The Maryland Department of Aging requires providers of continuing care to maintain certain operating reserves that equal 15 percent of the facility's net operating expenses for the preceding fiscal year, as defined, relating to continuing care contracts. Beginning July 1, 2023, the reserve requirement will be equal to 25 percent of the facility's net operating expenses, as defined, relating to continuing care contracts.

As a result of obtaining certification as a continuing care retirement community from the Maryland Department of Aging in 2010, the Community is required to set aside 80 percent, 90 percent, and 100 percent of the calculated reserve as of June 30, 2019, 2020, and 2021 through 2023, respectively. The reserves must be kept in reasonably liquid form in the judgment of the provider.

The operating reserve requirement shall be computed as of the end of the preceding fiscal year. The forecasted operating reserve requirement is \$1,423,000, \$1,749,000, \$2,001,000, \$2,046,000, and \$2,091,000 as of June 30, 2019, 2020, 2021, 2022 and 2023, respectively. The Community has sufficient cash and cash equivalents and investment balances available to satisfy the reserve requirement each year during the forecast period.

For purposes of calculating the above reserve amounts, Management included all of the Community's operating expenses, less depreciation.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Property and Equipment

Management assumes the useful lives of depreciable assets range from 5 to 30 years. For purposes of the forecast, Management assumed weighted average useful lives of approximately 27 years and 10 years for Project related assets and other capital expenditures, respectively. Property and equipment, capital expenditures, and depreciation expense are forecasted as follows:

Table 41
Property and Equipment, Capital Expenditures, and Depreciation Expense
(in thousands of dollars)

	2019	2020	2021	2022	2023
Property and equipment:					
Land and land improvements	\$ 594	\$ 594	\$ 594	\$ 594	\$ 594
Buildings and building improvements	24,195	41,058	41,058	41,058	41,058
Furniture and Equipment	6,016	6,676	6,913	7,265	7,523
Construction in Progress	14,631	-	-	-	-
Subtotal	45,436	48,328	48,565	48,917	49,175
Accumulated depreciation	(13,278)	(14,511)	(15,929)	(17,381)	(18,866)
Property and equipment, net	<u>\$ 32,158</u>	<u>\$ 33,817</u>	<u>\$ 32,636</u>	<u>\$ 31,536</u>	<u>\$ 30,309</u>
Capital expenditures:					
Project related assets	\$ 22,330	\$ 2,553	\$ -	\$ -	\$ -
Other capital expenditures	475	484	237	352	258
Total	<u>\$ 22,805</u>	<u>\$ 3,037</u>	<u>\$ 237</u>	<u>\$ 352</u>	<u>\$ 258</u>
Depreciation expense	<u>\$ 426</u>	<u>\$ 1,378</u>	<u>\$ 1,418</u>	<u>\$ 1,452</u>	<u>\$ 1,485</u>

Source: Management.

Management assumes that interest expense capitalized into property and equipment approximates \$877,000 in 2019 and \$105,000 in 2020. Management assumes capitalized amortization of debt issuance costs approximates \$43,000 in 2019 and \$17,000 in 2020. Management assumes capitalized accretion of bond premium approximates \$3,000 in 2019 and \$1,000 in 2020.

Project related assets are assumed to be transferred out of construction in progress and placed in service in May 2019 for 8 new IL cottages, July 2019 for 6 new IL cottages, August 2019 for the first Lodge IL apartment building (13 apartments), September 2019 for the second Lodge IL apartment building (10 units), and October 2019 for the third Lodge IL apartment building (10 units). All other renovations are assumed to be transferred out of construction in progress and placed in service in October 2019. Depreciation expense in 2020 is assumed to include a \$145,000 write down of assets taken out of service.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Line of Credit, Long-Term Debt, and Interest Expense

Line of Credit

The Community has an unsecured \$30,000 line of credit with a bank. The line of credit requires that the principal outstanding plus any unpaid accrued interest be paid on demand. No borrowings are forecasted on the line of credit during the forecast period.

Revolving Construction Line of Credit (Promissory Note)

The Community entered into a Promissory Note with a commercial bank during 2017 to fund pre-construction costs associated with the Project. The maximum amount of the Promissory Note, \$2,000,000, was drawn down on the line of credit through June 30, 2018. The Promissory Note is assumed to be repaid upon issuance of the Series 2018 Bonds in 2019. Interest on the Promissory Note is payable monthly at 4.75 percent.

Series 2018 Bonds

Management assumes that Montgomery County, Maryland will issue, on behalf of the Community, the Series 2018 Bonds totaling \$30,320,000. The Series 2018 Bonds are assumed to be issued in two components: Series 2018A Bonds totaling \$17,120,000 and a \$13,200,000 Series 2018B Bond. The proposed Series 2018B Bond is assumed be purchased directly by a commercial bank.

Series 2018A Bonds

The proceeds from the Series 2018A Bonds will be used to finance the construction and equipping of the Project, except for the costs related to the renovation of the 20 existing IL apartments and repurposing 5 existing IL apartments, fund interest on the Series 2018A Bonds through December 2019, fund the Debt Service Reserve Fund, and pay a portion of the costs of issuing the Series 2018A Bonds. The terms of the proposed Series 2018A Bonds are assumed to be as follows:

- \$2,500,000 term bonds due in varying annual installments beginning July 2029 through July 2033, issued at an average annual interest rate of 5.0 percent;
- \$3,740,000 term bonds due in varying annual installments beginning July 2034 through July 2038, issued at an average annual interest rate of 5.0 percent; and
- \$10,880,000 term bonds due in varying annual installments beginning July 2039 through July 2048, issued at an annual average interest rate of 5.0 percent.

The Series 2018A Bonds are assumed to be issued at a premium of \$95,000. Amortization of the bond premium is assumed to be \$3,000 in 2019 through 2023, of which \$3,000 and \$1,000 is forecasted to be capitalized as a component of property and equipment in 2019 and 2020, respectively.

Series 2018B Bond

The proceeds from the Series 2018B Bond will be used to finance the construction and equipping of the Project, fund interest on the Series 2018B Bond through March 2020, and pay certain costs in connection with the issuance of the Series 2018B Bond. It is assumed the proceeds from the Series 2018B Bond will be drawn down on a monthly basis during the construction period. Construction draws are assumed to begin in January 2019 and end in September 2019 when the Project is forecasted to be completed.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

It is assumed the Series 2018B Bond will bear interest at an average annual rate of 4.054 percent. Proceeds from the entry fees on new IL units of \$10,200,000 will be utilized to make varying monthly principal payments beginning in July 2019 through June 2020. However, only \$2,000,000 of the Series 2018B Bond is required to be paid in 2020. As such, the \$2,000,000 is reported as a current liability at June 30, 2019. Beginning on July 1, 2022, principal payments on the Series 2018B Bond will be made annually in varying installments through July 1, 2029.

Security

It is assumed the Series 2018 Bonds will be secured by a pledge of the Community's revenues and a mortgage on the Community's campus.

Long-Term Debt Summary

The following is a summary of long-term debt as of June 30:

Table 42
Summary of Long-Term Debt
(in thousands of dollars)

	2019	2020	2021	2022	2023
Series 2018A Bonds	\$ 17,120	\$ 17,120	\$ 17,120	\$ 17,120	\$ 17,120
Series 2018B Bond	10,740	3,000	3,000	3,000	2,685
Total-long term debt	27,860	20,120	20,120	20,120	19,805
Add: Series 2018A Bonds premium	92	89	86	83	80
Less: Debt issuance costs, net	(991)	(939)	(887)	(835)	(783)
Less: Current portion of long-term debt	(2,000)	-	-	(315)	(330)
Long- term debt	<u>\$ 24,961</u>	<u>\$ 19,270</u>	<u>\$ 19,319</u>	<u>\$ 19,053</u>	<u>\$ 18,772</u>

Source: Management.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Annual Principal and Interest Payments

The following table presents the forecasted annual principal and interest payments on long-term debt.

Table 43
Forecasted Annual Debt Service
(in thousands of dollars)

	Principal	Interest	Total Debt Service
Years Ending June 30:			
2019 ⁽¹⁾	\$ -	\$ 449	\$ 449
2020 ⁽²⁾	10,200	1,084	11,284
2021	-	978	978
2022	-	978	978
2023	315	965	1,280
Thereafter	19,805	15,344	35,149
Total	\$ 30,320	\$ 19,798	\$ 50,118

Source: Management.

Notes:

- (1) All of the interest payments in 2019 were capitalized.
- (2) \$533,000 of the interest payments in 2020 were capitalized.

Commitments and Contingencies

Homes for America Parcel

The Community currently operates a 75-unit IL apartment building which was previously utilized for federally subsidized housing under the HUD Section 202 Program. In December 2016, the Community ended its participation in the Section 202 Program. The Community continues to operate the IL apartment building and rents the 75 units at HUD level rental rates. HFA plans to construct a new 80-unit LIHTC financed building (the HFA Building) during the forecast period on land owned by the Community. However, the building and related operation is not expected to be owned or controlled by the Community. Approval for the LIHTC project is pending and under review by Montgomery County. HFA has also executed a Letter of Intent of Lease with the Community for a 60-year ground lease for the approximate 2 acre site in exchange for consideration of \$100.

Management assumes that approximately 55 of the IL apartment residents will be transferred to the HFA Building when it is assumed to be placed in service in October 2019. The remaining IL apartment residents are assumed to be transferred to the renovated and converted IL apartments that are a component of the Project, also in October 2019. It is assumed any transactions between HFA and the Community during the forecast period are immaterial to the forecasted financial statements.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Senior Living Services Industry

The senior living services industry is subject to numerous laws, regulations, and administrative directives of federal, state, and local governments and agencies. Compliance with these laws, regulations, and administrative directives is subject to future government review and interpretation as well as regulatory actions unknown or unasserted at this time. Government activity continues to increase with respect to investigations and allegations concerning possible violations by healthcare providers of fraud and abuse statutes and regulations, which could result in the imposition of significant fines and penalties as well as significant repayments for resident services previously billed. Management is not aware of any material incidents of noncompliance; however, the possible future effects of this matter on the Community, if any, are not presently determinable.

Regulatory Considerations

With the enactment of Patient Protection and Affordable Care Act (H.R. 3590) and Health Care and Education Affordability Reconciliation Act of 2010 (H.R. 4872) (collectively referred to herein as HC Reform), there are a number of potential future changes to the current care delivery and reimbursement systems which may have a significant impact on the utilization of long-term care services.

In addition to the numerous potential impacts of HC Reform, budgetary pressures at both the State and Federal levels have the potential to limit funding for Medicaid and Medicare reimbursement for nursing services. While there is anecdotal information available on the potential impacts to the industry in general as a result of HC Reform, and the potential impacts resulting from government budgetary pressures, very little specific information is available as of the date of this report to estimate the specific impact on an individual provider or entity. Therefore, Management has relied upon historical operating experience to project future demand for SN and AL services and future reimbursement rates for services rendered to Medicaid and Medicare program beneficiaries.

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Sensitivity Analyses

Management provided the following sensitivity analyses related to certain assumptions that are believed to be sensitive:

Sensitivity Analysis I

Sensitivity Analysis I reflects a fill-up period of 20 months for the Project IL units (as compared to 14 months in the forecasted financial statements). See Table 45 below for the revised fill-up schedule. For purposes of this sensitivity analysis, Management assumes that substantially all expenses remained unchanged.

Table 44
Sensitivity Analysis I
For the Years Ending June 30, 2022 and 2023

	Forecast		Sensitivity Analysis I	
	2022	2023	2022	2023
Revenues, gains, and other support less than expenses	\$ (172)	\$ (193)	\$ (166)	\$ (189)
Debt service coverage ratio – Master Trust Indenture	1.34	1.42	1.33	1.42
Days cash on hand	305	308	293	296

Source: Management

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

The following table summarizes the revised move-ins for the Project IL units.

Table 45
New IL Units
Move-In Schedule

Month / Year	Number of Move-Ins	Total Move-Ins	Occupancy %
2019			
May	3	3	6%
June	3	6	13%
July	3	9	19%
August	3	12	26%
September	3	15	32%
October	3	18	38%
November	3	21	45%
December	3	24	51%
2020			
January	2	26	55%
February	2	28	60%
March	2	30	64%
April	2	32	68%
May	2	34	72%
June	2	36	77%
2021			
July	2	38	81%
August	2	40	85%
September	1	41	87%
October	1	42	89%
November	1	43	91%
December	1	44	94%

Source: Management

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Sensitivity Analysis II

Sensitivity Analysis II reflects a decrease in forecasted stabilized occupancy for the Project IL apartment units from 94 percent to 60 percent, which results in a debt service coverage ratio (as calculated in accordance with the Master Trust Indenture) of approximately 1.0 in 2022 and 2023. For purposes of this sensitivity analysis, the number of move-ins each month was forecasted to be consistent with the move-ins in Table 33 until 60 percent occupancy was achieved. As a result of limiting occupancy at 60 percent, \$5,205,000 of the Series 2018B Bond remains outstanding at June 30, 2020 and 2021. Further, the Community will be using unrestricted cash and investments to repay \$2,205,000 of the Series 2018B Bond on July 1, 2021, in accordance with the mandatory repayment provisions in the Series 2018B Bond Loan and Financing Agreement, which require the Series 2018B Bond to have no more than \$3,000,000 outstanding as of July 1, 2021. For purposes of this sensitivity analysis, Management assumes that substantially all expenses remained unchanged.

Table 46
Sensitivity Analysis II
For the Years Ending June 30, 2022 and 2023

	Forecast		Sensitivity Analysis I	
	2022	2023	2022	2023
Revenues, gains, and other support less than expenses	\$ (172)	\$ (193)	\$ (959)	\$ (999)
Debt service coverage ratio – Master Trust Indenture	1.34	1.42	1.00	1.03
Days cash on hand	305	308	161	153

Source: Management

Friends House Retirement Community, Inc.

Summary of Significant Forecast Assumptions and Accounting Policies

Sensitivity Analysis III

Sensitivity Analysis III reflects a decrease in forecasted occupancy for the Community's SN beds from 85 percent to 78 percent, which results in a debt service coverage ratio (as calculated in accordance with the Master Trust Indenture) of approximately 1.0 in 2022 and 2023. For purposes of this sensitivity analysis, Management assumes that salaries and wages and payroll taxes and employee benefits remained unchanged, while certain other expenses decreased as a result of the change in SN occupancy.

Table 47
Sensitivity Analysis III
For the Years Ending June 30, 2022 and 2023

	Forecast		Sensitivity Analysis I	
	2022	2023	2022	2023
Revenues, gains, and other support less than expenses	\$ (172)	\$ (193)	\$ (731)	\$ (772)
Debt service coverage ratio – Master Trust Indenture	1.34	1.42	0.94	1.01
Days cash on hand	305	308	258	247

Source: Management

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APPENDIX D
COPIES OF PROPOSED FORMS OF PRINCIPAL FINANCING DOCUMENTS

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MASTER TRUST INDENTURE

between

FRIENDS HOUSE RETIREMENT COMMUNITY, INC.,
as the Initial Obligated Group Member
and as the Obligated Group Representative,
and

WILMINGTON TRUST, NATIONAL ASSOCIATION,
as Master Trustee

Dated as of August 1, 2018

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EXHIBIT A – EXISTING LIENS
EXHIBIT B – EXCLUDED PROPERTY

MASTER TRUST INDENTURE

THIS MASTER TRUST INDENTURE, dated as of August 1, 2018 (this “Master Indenture”), is between FRIENDS HOUSE RETIREMENT COMMUNITY, INC., a nonstock corporation organized and existing under the laws of the State of Maryland, as the initial Obligated Group Member and as the Obligated Group Representative (the “Obligor”), and WILMINGTON TRUST, NATIONAL ASSOCIATION, a national banking association, as master trustee (the “Master Trustee”).

WITNESSETH:

WHEREAS, the Obligor is authorized and deems it necessary and desirable to enter into this Master Indenture for the purpose of providing for the issuance from time to time by the Obligor or other Persons electing to become Obligated Group Members (as defined herein) of Master Obligations (as defined herein) to finance or refinance the acquisition or betterment of retirement facilities, including independent living, assisted living and skilled nursing facilities or other facilities or for other lawful and proper purposes; and

WHEREAS, all acts and things necessary to constitute this Master Indenture a valid indenture and agreement according to its terms have been done and performed, the Obligor has duly authorized the execution and delivery of this Master Indenture, and the Obligor, in the exercise of the legal right and power invested in it, executes this Master Indenture and proposes to make, execute, issue and deliver Master Obligations hereunder; and

WHEREAS, the Master Trustee agrees to accept and administer this Master Indenture upon the terms set forth herein.

GRANTING CLAUSES

NOW, THEREFORE, THIS MASTER INDENTURE WITNESSETH that, to secure the payment of the principal of (and premium, if any) and interest on the Outstanding Master Obligations (hereinafter defined) and the performance of the covenants therein and herein contained and to declare the terms and conditions on which the Outstanding Master Obligations are secured, and in consideration of the premises, of the purchase of the Master Obligations by the Holders thereof, and of the sum of One Dollar (\$1.00) to the Initial Obligated Group Member in hand paid by the Master Trustee at or before the execution and delivery hereof, the receipt and sufficiency of which are hereby acknowledged, the Initial Obligated Group Member by these presents and the Deed of Trust (as defined herein) does hereby grant, bargain, sell, alien, remise, release, convey, assign, transfer, mortgage, hypothecate, pledge, set over and confirm to the Master Trustee, forever, all and singular the following described properties, and grant a security interest therein for the purposes herein expressed, to wit:

GRANTING CLAUSE FIRST

All revenue, accounts receivable and Gross Revenues of the Obligated Group Members, including, without limitation, rights to receive payments from third party payors such as Medicare and Medicaid, but except and excluding all such items, whether now owned or hereafter acquired by the Obligated Group Members, which by their terms or by reason of

applicable law would become void or voidable if granted, assigned or pledged hereunder by the Obligated Group Members, or which cannot be granted, pledged or assigned hereunder without the consent of other parties whose consent is not secured, or without subjecting the Master Trustee to a liability not otherwise contemplated by the provisions hereof, or which otherwise may not be, or are not, hereby lawfully and effectively granted, pledged and assigned by the Obligated Group Members, provided that the Obligated Group Members may subject to the lien hereof any such excepted property, whereupon the same shall cease to be excepted property; and

GRANTING CLAUSE SECOND

The Mortgaged Property (as defined herein);

GRANTING CLAUSE THIRD

All of the rights, titles, interests and estates, now owned or hereafter acquired by the Obligated Group Members, in and to any and all present and future accounts, chattel paper, goods, documents, instruments, general intangibles, foods, contracts, trademarks, patents, copyrights, intercompany obligations, stock, securities, notes, certificates of need, deposit accounts, investment property, equipment, inventory, fixtures and any and all other personal property of any kind or character defined in and subject to the provisions of the Uniform Commercial Code of the State of Maryland, including the supporting obligations thereof, proceeds and products of and from any and all of such personal property used in connection with or arising out of the operation and use of the improvements located on the Premises and any substitutions or replacements thereof; and

GRANTING CLAUSE FOURTH

Any amounts on deposit from time to time in any fund or account created hereunder, subject to the provisions of this Master Indenture permitting the application thereof for the purposes and on the terms and conditions set forth herein; and

GRANTING CLAUSE FIFTH

Any and all property that may, from time to time hereinafter, by delivery or by writing of any kind, be subjected to the lien and security interest hereof by the Obligated Group Members or by anyone on its behalf (and the Master Trustee is hereby authorized to receive the same at any time as additional security hereunder), which property provided as additional security may be made subject to any reservations, limitations or conditions which shall be set forth in a written instrument executed by the grantor or the person so acting in its behalf or by the Master Trustee respecting the use and disposition of such property or the proceeds thereof;

TO HAVE AND TO HOLD, IN TRUST, all said property, rights, privileges and franchises of every kind and description, real, personal, or mixed, hereby and by the Deed of Trust and hereafter (by supplemental instrument or otherwise) granted, bargained, sold, aliened, remised, released, conveyed, assigned, transferred, mortgaged, hypothecated, pledged, set over or confirmed as aforesaid, or intended, agreed or covenanted so to be, together with all the appurtenances thereto appertaining (said properties, rights, privileges and franchises, including any cash and securities hereafter deposited or required to be deposited with the Master Trustee

(other than any such cash which is specifically stated herein not to be deemed part of the Trust Estate), being herein collectively referred to as the "Trust Estate") unto the Master Trustee and its successors and assigns forever;

SUBJECT, HOWEVER, to the Permitted Liens (as defined herein);

BUT IN TRUST, NEVERTHELESS, for the equal and proportionate benefit and security of the Holders from time to time of all the Outstanding Master Obligations without any priority of any such Master Obligations over any other such Master Obligations except as herein otherwise expressly provided;

UPON CONDITION that, if the Obligated Group Members or their successors or assigns shall well and truly pay, or cause to be paid, the principal of (and premium, if any) and interest on the Outstanding Master Obligations according to the true intent and meaning thereof, or there shall be deposited with the Master Trustee such amounts in such form in order that none of the Master Obligations shall remain Outstanding as herein defined and provided, and shall pay or cause to be paid to the Master Trustee all sums of money due or to become due to it in accordance with the terms and provisions hereof, then upon the full and final payment of all such sums and amounts secured hereby or upon such deposit, the rights, titles, liens, security interests and assignments herein granted shall cease, determine and be void and this grant shall be released by the Master Trustee in due form at the expense of the Obligated Group Members, except only as herein provided; otherwise this grant to be and shall remain in full force and effect;

UPON FURTHER CONDITION as to any property included in the Trust Estate that, upon Request of the Obligated Group Representative accompanied by an Officer's Certificate and an Opinion of Counsel to the effect that the conditions precedent for the disposition of such property set forth in Section 4.20 hereof have been satisfied, the rights, titles, liens, security interests and assignments herein granted shall cease, determine and be void as to such property only and this grant shall be released by the Master Trustee as to such property in due form at the expense of the Obligated Group Members;

ALL THINGS NECESSARY to make this Master Indenture a valid agreement and contract for the security of the Master Obligations in accordance with the terms of such Master Obligations and this Master Indenture have been done;

IT IS HEREBY COVENANTED AND DECLARED that the Trust Estate is to be held and applied by the Master Trustee, subject to the further covenants, conditions and trusts hereinafter set forth, and the Obligated Group Members do hereby covenant and agree to and with the Master Trustee, for the equal and proportionate benefit of all Holders of the Master Obligations except as herein otherwise expressly provided; and

THIS MASTER INDENTURE FURTHER WITNESSETH and it is expressly declared that all Master Obligations issued and secured hereunder are to be issued, authenticated and delivered and all said rights hereby pledged and assigned are to be dealt with and disposed of under, upon and subject to the terms, conditions, stipulations, covenants, agreements, trusts, uses and purposes as hereinafter expressed and the Obligated Group Members have agreed and

covenanted, and do hereby agree and covenant, with the Master Trustee for the equal and proportionate benefit of the respective holders from time to time of the Master Obligations except as herein otherwise expressly provided as follows:

ARTICLE I DEFINITION OF TERMS, CONSTRUCTION AND CERTAIN GENERAL PROVISIONS

Section 1.01 Definition of Terms. For all purposes of this Master Indenture, except as otherwise expressly provided or unless the context otherwise requires:

(i) “This Indenture” or “this Master Indenture” means this instrument as originally executed or as it may from time to time be supplemented or amended by one or more indentures supplemental hereto entered into pursuant to the applicable provisions hereof;

(ii) All references in this instrument designated “Articles,” “Sections” and other subdivisions are to the designated Articles, Sections and other subdivisions of this instrument as originally executed. The words “herein,” “hereof” and “hereunder” and other words of similar import refer to this Master Indenture as a whole and not to any particular Article, Section or other subdivision;

(iii) The terms defined in this Article have the meanings assigned to them in this Article and include the plural as well as the singular number;

(iv) The use of the masculine, feminine or neuter gender is for convenience only and will be deemed and construed to include correlative words of the masculine, feminine or neuter gender, as appropriate; and

(v) All accounting terms not otherwise defined herein have the meanings assigned to them in accordance with GAAP applied in accordance with Section 1.02 of this Master Indenture.

“Accountant” means a certified public accountant, or a firm of certified public accountants, who or which is “independent” as that term is defined in Rule 101 and related interpretations of the Code of Professional Ethics of the American Institute of Certified Public Accountants, of recognized standing, who or which does not devote his or its full time to any Member or its Affiliates (but who or which may be regularly retained by a Member or its Affiliates).

“Act” when used with respect to any Holder of Obligations has the meaning specified in Section 1.04.

“Additional Indebtedness” means Indebtedness incurred by any Member subsequent to the issuance of the Initial Master Obligations and subject to the limitations set forth in Section 4.18.

“Additional Master Obligation” means any evidence of Indebtedness or evidence of any payment obligation under any Hedge Agreement issued after the issuance of the Initial Master

Obligations, which is authorized to be issued by a Member pursuant to this Master Indenture and which has been authenticated by the Master Trustee pursuant to Section 2.03 hereof.

“Administrative Expenses” means (i) all costs, charges and expenses incurred by any Related Issuer with respect to the implementation and administration of any Related Bond Indenture and any transaction or event to be effected by any series of Related Bonds, including reasonable attorneys’ fees, and (ii) the compensation of, reimbursement of expenses to, the reasonable attorneys’ fees of, and advances payable to, the Master Trustee.

“Affiliate” of any specified Person means any other Person directly or indirectly controlling or controlled by or under direct or indirect common control with such specified Person. For purposes of this definition, “control” when used with respect to any specified Person means the power to direct the policies of such Person, directly or indirectly, whether through the power to appoint and remove a voting majority of its directors, the ownership of voting securities, by contract or otherwise; and the terms “controlling” and “controlled” have meanings correlative to the foregoing.

“Affiliate Payments” means regularly scheduled periodic fees payable by the Obligor or any other Member of the Obligated Group pursuant to any agreements from time to time between any Obligated Group Member and an Affiliate that is not otherwise part of the Obligated Group, provided that Affiliate Payments do not include (i) fees and expenses due and owing by the Obligor or any other Member of the Obligated Group to an Affiliate that is acting as a manager of the Obligor or such Member and payable pursuant to a management agreement or (ii) other payments for overhead and shared expenses made in the ordinary course of business to the Affiliate.

“Affiliate Subordinated Indebtedness” means the Subordinated Obligations, fees and other amounts due to an Affiliate of a Member of the Obligated Group for money borrowed, credit extended or payments which are deferred pursuant to Section 3.05(a) hereof or not yet payable at the time of calculation and which are subordinate to payments due on all Master Obligations issued hereunder in accordance with the written agreements between the Member of the Obligated Group and the Affiliates made in favor of the Master Trustee.

“Annual Budget” means the annual budget of the Obligated Group required to be provided by the Obligated Group Representative pursuant to Section 4.22 hereof.

“Authorized Representative” means, with respect to the Obligated Group Representative and each Obligated Group Member, its respective chief executive officer or president or any other person or persons designated an Authorized Representative thereof by an Officer’s Certificate of the Obligated Group Representative or the Obligated Group Member signed by the respective Designated Officer and delivered to the Master Trustee.

“Balloon Indebtedness” means Long-Term Indebtedness, 25% or more of the original principal of which matures during any consecutive 12 month period, if such maturing principal amount is not required to be amortized below such percentage by mandatory redemption or prepayment prior to such 12 month period. Balloon Indebtedness does not include Indebtedness that would otherwise qualify as Put Indebtedness.

“Board Resolution” of any specified Person means a copy of a resolution certified by the Person responsible for maintaining the records of the Governing Body of such Person to have been duly adopted by the Governing Body of such Person and to be in full force and effect on the date of such certification and delivered to the Master Trustee.

“Bond” means any bond, note or similar debt instrument, the payment of the principal of and interest and redemption premium (if any) on which is secured by a Master Obligation.

“Bond Counsel” means Venable LLP, as bond counsel in connection with the Series 2018 Bonds, or any other attorney at law or firm of attorneys of nationally recognized experience in matters pertaining to the validity of, and exclusion from gross income for federal income tax purposes of interest on, the obligations of states and their political subdivisions as may be selected by the Obligated Group Representative but is reasonably acceptable to each issuer of the Related Bonds.

“Bond Trustee” means Wilmington Trust, National Association, as trustee under the Series 2018 Bond Indenture, and any successor in trust appointed pursuant to the Series 2018 Bond Indenture.

“Book Value” means, when used with respect to Property of a Member, the value of such Property, net of accumulated depreciation and amortization, as reflected in the most recent audited financial statements of such Member that have been prepared in accordance with GAAP, and, when used with respect to Property of all Members, the aggregate of the values of such Property, net of accumulated depreciation and amortization, as reflected in the most recent audited combined financial statements of the Obligated Group prepared in accordance with GAAP, provided that such aggregate shall be calculated in such a manner that no portion of the value of any Property of any Member is included more than once.

“Business Day” means any day other than (a) a Saturday, a Sunday or, in the City of New York, New York, or in the State of Maryland (or, if different, in the city in which the designated corporate trust office of the Related Bond Trustee is located), a day on which banking institutions are authorized or required by law or executive order to close, or (b) a day on which the New York Stock Exchange is closed.

“Capital Additions” means all property or interests in property, real, personal and mixed, (a) which constitute additions, improvements or extraordinary repairs to or replacements of all or any part of the Mortgaged Property and (b) the cost of which is properly capitalized under GAAP.

“Capitalized Lease” means any lease of real or personal property which, in accordance with GAAP, is required to be capitalized on the balance sheet of the lessee.

“Capitalized Rentals” means, as of the date of determination, the amount at which the aggregate Net Rentals due and to become due under a Capitalized Lease under which a Person is a lessee would be reflected as a liability on a balance sheet of such Person.

“Cash and Investments” means the sum of cash, cash equivalents, marketable securities of the Obligated Group Members, including without limitation board-designated assets, but

excluding (a) trustee-held funds other than those described above, (b) donor-restricted funds that preclude use of funds for project costs or debt service and (c) any funds pledged or otherwise subject to a security interest for debt other than the Master Obligations, as shown on the most recent audited or unaudited financial statements of the Obligated Group. For the purposes of calculations hereunder, an Unrestricted Contribution from an Affiliate shall be treated as being made during the period of such calculation so long as the Unrestricted Contribution is made prior to the date the applicable certificate is required to be delivered with respect to such calculation.

“Closing Date” means the date of the initial delivery of the Initial Master Obligations.

“Code” means the Internal Revenue Code of 1986, as amended from time to time and the corresponding provisions, if any, of any successor internal revenue laws of the United States.

“Collateral” shall have the meaning set forth in Section 7.03(b).

“Collateral Assignment of Contracts” means the Collateral Assignment of Contracts dated as of August 1, 2018, between the Obligor and the Master Trustee.

“Commitment Indebtedness” means the obligation of any Obligated Group Member to repay amounts disbursed pursuant to a commitment from a financial institution to refinance or purchase when due, when tendered or when required to be purchased (a) other Indebtedness of such Obligated Group Member or (b) Indebtedness of a Person who is not an Obligated Group Member, which Indebtedness is guaranteed by a Guaranty of such Obligated Group Member or secured by or payable from amounts paid on Indebtedness of such Obligated Group Member, in either case which Indebtedness or Guaranty of such Obligated Group Member was incurred in accordance with the provisions of Section 4.26(c) hereof, and the obligation of any Obligated Group Member to pay interest payable on amounts disbursed for such purposes, plus any fees, costs or expenses payable to such financial institution for, under or in connection with such commitment, in the event of disbursement pursuant to such commitment or in connection with enforcement thereof, including, without limitation, any penalties payable in the event of such enforcement.

“Community” means the Existing Community, as renovated and expanded by the Project.

“Consent,” “Order” and “Request” of any specified Person mean, respectively, a written consent, order or request signed in the name of such Person by the Chairwoman of the Governing Body, the President, a Vice President, the Treasurer, an Assistant Treasurer or the Chief Financial Officer of such Person or any other person or persons designated by an Officer’s Certificate and delivered to the Master Trustee.

“Construction Index” means the most recent issue of the “Dodge Construction Index for U.S. and Canadian Cities” with reference to the city in which the subject property is located (or, if such Index is not available for such city, with reference to the city located closest geographically to the city in which the subject property is located) or, if such Index is no longer published or used by the federal government in measuring costs under Medicare or Medicaid programs, such other index which is certified to be comparable and appropriate by the Obligated Group Representative in an Officer’s Certificate delivered to the Master Trustee and which other index is acceptable to the Master Trustee.

“Construction Monitor” means the entity serving in that capacity under the Disbursement Agreement.

“Consultant” means a professional consulting, accounting, investment banking or commercial banking firm or individual selected by the Obligated Group Representative having the skill and experience necessary to render the particular report required and having a favorable reputation for such skill and experience, which firm or individual does not control any Member of the Obligated Group or any Affiliate thereof and is not controlled by or under common control with any Member of the Obligated Group or an Affiliate thereof.

“Continuing Disclosure Certificate” means the Continuing Disclosure Certificate dated as of the date hereof by the Obligor, as amended from time to time.

“Contributions” means the aggregate amount of all contributions, grants, gifts, bequests and devises actually received in cash or marketable securities by any Person in the applicable Fiscal Year of such Person and any such contributions, grants, gifts, bequests and devises originally received in a form other than cash or marketable securities by any Person which are converted in such Fiscal Year to cash or marketable securities.

“Corporate Trust Office” of the Master Trustee shall be the office of the Master Trustee at which this Master Indenture shall be principally administered, which at the date hereof is Wilmington Trust, National Association, 25 South Charles Street, Baltimore, Maryland 21201, or such other address as to which the Master Trustee may give notice to the Obligated Group.

“Credit Facility” means any Liquidity Facility, letter of credit, bond insurance policy, standby purchase agreement, guaranty, line of credit, surety bond or similar credit or liquidity facility securing any Indebtedness of any Obligated Group Member.

“Credit Facility Agreement” means any agreement between the Obligated Group Representative and the provider of a Credit Facility relating to the issuance of a Credit Facility.

“Days’ Cash on Hand” means 365 times (i) the aggregate unrestricted cash and unrestricted marketable securities (including board-designated funds) of the Obligated Group as of the date of computation, excluding cash and unrestricted marketable securities attributable to indebtedness of the Obligated Group, divided by (ii) the total Operating Expenses of the Obligated Group for the immediately preceding Fiscal Year, excluding depreciation and amortization, as shown on the audited financial statements of the Obligated Group for such Fiscal Year. All securities shall be valued at fair market value for purposes of this definition.

“Debt Service Coverage Ratio” means, for any period, the ratio of (a) Income Available for Debt Service received during such period to (b) Maximum Annual Debt Service; provided, however, that in making such calculation, (a) the principal amount of any Indebtedness included in such calculation shall be excluded to the extent such principal amount is paid from the proceeds of other Indebtedness incurred in accordance with the provisions of this Master Indenture, (b) to the extent a Hedge Agreement has been entered into in connection with any particular Indebtedness, the actual debt service paid after the effect of payments made to or received from the provider of the Hedge Agreement shall be used in the calculation, (c) any Subordinated Indebtedness shall be excluded except when making such calculation for the

purpose of determining whether payments on Subordinated Indebtedness can be made pursuant to Section 4.27 hereof and (d) such calculation shall be based on unaudited financial statements (and adjusted retroactively for any material changes reflected in audited financial statements for the fourth quarter of a Fiscal Year) for the four consecutive quarters ending for the period of time tested.

“Debt Service Requirement” means, with respect to the period of time for which calculated, the aggregate of the payments required to be made during such period in respect of principal (whether at maturity, as a result of mandatory sinking fund redemption, mandatory prepayment or otherwise) and interest on outstanding Long-Term Indebtedness of each Person or a group of Persons with respect to which such requirements are calculated; provided that: (a) the amount of such payments for a future period shall be calculated in accordance with the assumptions contained in Sections 4.18 and 4.26 hereof; (b) interest shall be excluded from the determination of the Debt Service Requirements to the extent that Funded Interest is available to pay such interest; (c) principal of Indebtedness shall be excluded from the determination of Debt Service Requirements to the extent that amounts are on deposit in an irrevocable escrow and such amounts (including, where appropriate, the earnings or other increment to accrue thereon) are required to be applied to pay such principal and such amounts so required to be applied are sufficient to pay such principal; (d) principal of Indebtedness due in its final year shall be excluded from the determination of Debt Service Requirements to the extent moneys were initially deposited and are on deposit as of the date of calculation in a debt service reserve fund which required that moneys on deposit in the debt service reserve fund be used to pay a principal payment in the final year of such Indebtedness and, except for the payment to be received from such debt service reserve fund, the Indebtedness would have had approximately level debt service; (e) any annual fees payable in respect of a Credit Facility (other than annual fees to be paid from proceeds of a bond issue escrowed for such purpose) shall be included in the determination of Debt Service Requirements.

“Debt Service Reserve Fund” means the debt service reserve fund established in any Related Bond Indenture to secure payment of any series of Related Bonds.

“Deed of Trust” means, initially, the Deed of Trust, Security Agreement and Fixture Filing dated as of August 1, 2018, from the Obligor for the benefit of the Related Issuer and its assigns, including (without limitation) the Master Trustee, together with any similar deeds of trust to secure debt executed and delivered in connection with any Additional Indebtedness or admission of any Obligated Group Member.

“default” means any event which is, or after notice or lapse of time or both would become, an Event of Default.

“Defeasance Obligations” means:

(a) Direct obligations of the United States of America or obligations to the full and prompt payment of which the full faith and credit of the United States of America is pledged or evidences of ownership of proportionate interests in future interest and principal payments on such obligations held by a bank or trust company as custodian, under which the owner of the investment is the real party in interest and has the right to proceed directly and individually

against the obligor on such obligations, and which underlying obligations are not available to satisfy any claim of the custodian or any Person claiming through the custodian or to whom the custodian may be obligated;

(b) Obligations issued or guaranteed by the following instrumentalities or agencies of the United States of America:

- (i) Federal Home Loan Bank System;
- (ii) Export-Import Bank of the United States;
- (iii) Federal Financing Bank;
- (iv) Federal Home Loan Mortgage Company;
- (v) Federal Housing Administration;
- (vi) Federal National Mortgage Association; and

(vii) Any other agency or instrumentality of the United States of America created by an Act of Congress which is substantially similar to the foregoing in its legal relationship to the United States of America; and

(c) Obligations described in Section 103(a) of the Code, provision for the payment of the principal of (and premium, if any) and interest on which shall have been made by the irrevocable deposit at least 123 days preceding the date of determination with a bank or trust company acting as a trustee or escrow agent for holders of such obligations of money, or obligations described in clause (a) above, the maturing principal of and interest on which, when due and payable, without reinvestment will provide money, sufficient to pay when due the principal of (and premium, if any) and interest on such obligations, and which money, or obligations described in clause (a) above, are not available to satisfy any other claim, including any claim of the trustee or escrow agent or any claim of any Person claiming through the trustee or escrow agent or any claim of any Person to whom the Person on whose behalf such irrevocable deposit was made, the trustee or the escrow agent may be obligated, whether arising out of the insolvency of the Person on whose behalf such irrevocable deposit was made, the trustee or escrow agent or otherwise.

“Derivative Indebtedness” means all or any portion of Indebtedness meeting the requirements set forth in clauses (a) and (b) below:

(a) a Person has issued or entered into a Hedge Agreement with respect to all or such portion of such Indebtedness, and

(b) (i) if such Indebtedness constitutes Variable Rate Indebtedness, such Hedge Agreement provides that, during the Hedge Period, such Person will pay a fixed rate (the “Hedged Fixed Rate”) and the provider of the Hedge Agreement will pay a variable rate approximately equal to the variable rate borne by such Indebtedness or portion thereof subject to the Hedge Agreement on a notional amount equal to the outstanding principal amount of such

Indebtedness or portion thereof subject to the Hedge Agreement, or (ii) if such Indebtedness or portion thereof subject to the Hedge Agreement does not constitute Variable Rate Indebtedness, such Hedge Agreement provides that, during the Hedge Period, such Person will pay a variable rate (the “Hedged Variable Rate”) and the provider of the Hedge Agreement will pay a fixed rate equal to the fixed rate borne by such Indebtedness or portion thereof subject to the Hedge Agreement on a notional amount equal to the outstanding principal amount of such Indebtedness or portion thereof subject to the Hedge Agreement.

“Designated Officer” means the Chairperson of the Governing Body, President, any Vice President, the Treasurer, the CFO, Assistant Treasurer, Secretary or Assistant Secretary of the Obligated Group Representative or any other person or persons so designated by an Officer’s Certificate delivered to the Master Trustee.

“Disbursement Agreement” means the Construction Disbursement and Monitoring Agreement dated as of August 1, 2018 among the Obligor, the Master Trustee, the Series 2018B Lender and the Construction Monitor.

“Electronic Means” means the following communications methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys issued by the Master Trustee, or another method or system specified by the Master Trustee as available for use in connection with its services hereunder.

“EMMA” means the Electronic Municipal Market Access System maintained by the Municipal Securities Rulemaking Board.

“Entrance Fee Fund” means the fund created by Section 2.01 of the Initial Supplemental Master Indenture.

“Entrance Fees” means fees, other than security deposits, monthly rentals or monthly service charges, paid to a Member by residents of Independent Living Units for the purpose of obtaining the right to reside in those units, including, without limitation, any refundable resident deposits described in any lease or similar Residency Agreements with respect to those units, but shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any such agreement prior to the occupancy of the unit covered by such Residency Agreement (which amounts shall be included if and when occupancy occurs and such set-aside is no longer required).

“Environmental Laws” means the Comprehensive Environmental Response, Compensation and Liability Act of 1980, Public Law No. 96-510, 94 Stat. 1613, the Resource Conservation and Recovery Act, the National Environmental Policy Act of 1969 (42 U.S.C. § 4321 et seq.), the Solid Waste Disposal Act (42 U.S.C. § 6901 et seq.), the Hazardous Material Transportation Act (49 U.S.C. § 1801 et seq.), the Federal Insecticide, Fungicide and Rodenticide Act (7 U.S.C. § 136 et seq.), the Toxic Substance Control Act (15 U.S.C. § 2601 et seq.), the Clean Water Act, the Clean Air Act (42 U.S.C. § 7401 et seq.), the Federal Water Pollution Control Act (33 U.S.C. § 1251 et seq.), the Federal Coastal Zone Management Act (16 U.S.C. § 1451 et seq.), the Occupational Safety and Health Act (29 U.S.C. § 651 et seq.), the Safe Drinking Water Act (42 U.S.C. § 300(f) et seq.) and any other federal, state or local law,

statute, ordinance and regulation, now or hereafter in effect, and in each case as amended or supplemented from time to time, and any applicable judicial or administrative interpretation thereof, including, without limitation, any applicable judicial or administrative order, consent decree or judgment applicable to the Premises relating to the regulation and protection of human health and safety and/or the environment and natural resources (including, without limitation, ambient air, surface water, groundwater, wetlands, land surface or subsurface strata, wildlife, aquatic species and/or vegetation), including all amendments to such Acts, and any and all regulations promulgated thereunder, and all analogous local or state counterparts or equivalents, and any transfer of ownership notification or approval statutes, and any federal, state or local statute, law, ordinance, code, rule, regulation, order or decree, regulating, relating to or imposing liability or standards of conduct concerning any petroleum, petroleum byproduct (including, but not limited to, crude oil, diesel oil, fuel oil, gasoline, lubrication oil, oil refuse, oil mixed with other waste, oil sludge and all other liquid hydrocarbons, regardless of specific gravity), natural or synthetic gas, products and/or hazardous substance or material, toxic or dangerous waste, substance or material, pollutant or contaminant, as may now or at any time hereafter be in effect.

“Event” shall have the meaning set forth in Section 1(a) of the Continuing Disclosure Certificate.

“Event of Default” has the meaning set forth in Section 7.01 hereof.

“Excluded Property” means the property, if any, of the Obligated Group described in Exhibit B.

“Existing Community” means the continuing care retirement community known as “Friends House” under development since 1968 and operated by the Obligor on approximately 62 acres in Montgomery County, Maryland. The Existing Community provides housing, healthcare, and other related services to residents on a campus containing 32 independent living units, 21 assisted living units, and 82 skilled nursing beds.

“Existing Independent Living Units” means the 32 independent living units in the Existing Community.

“Expenses” means, for any period, the aggregate of all expenses calculated under GAAP, including, without limitation, any accrual for taxes, assessments and insurance, incurred by the Person or group of Persons involved during such period, but excluding (a) interest on Long-Term Indebtedness, (b) depreciation and amortization, (c) extraordinary expenses, losses on the sale of assets other than in the ordinary course of business and losses on the extinguishment of debt or termination of pension plans, (d) any expenses resulting from a forgiveness of or the establishment of reserves against Indebtedness of an Affiliate which does not constitute an extraordinary expense, (e) losses resulting from any reappraisal, revaluation or write down of assets other than bad debts, (f) non-cash expenses or losses, including but not limited to any expenses related to derivative instruments, other than periodic payments thereon, (g) any expenses paid with proceeds of any Related Bonds, and (h) any development, marketing, operating or management fees that have been deferred from the year in which they were originally due. If such calculation of Expenses is being made with respect to the Obligated

Group, any such expenses attributable to transactions between any Member and any other Member shall be excluded.

“Facilities” means all land, leasehold interests and buildings and all fixtures and equipment (as defined in the Uniform Commercial Code of the State of Maryland or equivalent statute in effect in the state where such fixtures or equipment are located) of a Person, but excluding Excluded Property.

“Feasibility Report” means a report prepared and signed by a Consultant, who is an Accountant, setting forth for a forecast period not exceeding five Fiscal Years from the later of the date of the issuance of the Long-Term Indebtedness in question, or the completion of the Capital Additions financed with such Long-Term Indebtedness: (a) forecasted financial statements prepared on the same basis as the Obligated Group’s audited financial statements; and (b) a full explanation of the assumptions and rationale used in preparing such forecasts, including that such forecasts have taken into account the projected utilization of the Obligated Group’s Facilities, the rates and charges to patients and residents and such other data and information as may be necessary to support the forecasted financial statements; such report shall be accompanied by an opinion of such Consultant that the underlying assumptions provide a reasonable basis for such forecast.

“Financial Statements” means the audited consolidated or combined financial statements covering the Obligated Group’s operations for the applicable Fiscal Year that are prepared under GAAP and certified by a firm of qualified independent certified public accountants selected by the Obligated Group Representative and if not required to be audited, the financial statement of the Members of the Obligated Group for the required period certified by an Officer’s Certificate; provided, however, that if the Members of the Obligated Group consist only of the Obligor and some or all of the Affiliates of the Obligor, the audited consolidated or combined financial statements may cover the Obligor and all of its consolidated or combined Affiliates (which must include all of the Affiliates of the Obligor in the Obligated Group) and may contain only certain summarized consolidated or combined financial information concerning the Obligated Group.

“Fiscal Year” means any 12-month period beginning on July 1 of any calendar year and ending on June 30 of the following calendar year, or such other consecutive 12-month period selected by the Obligated Group Representative as the fiscal year for the Members.

“Fitch” means Fitch Ratings, a corporation organized and existing under the laws of the State of Delaware, its successors and assigns, and if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Fitch” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group, with written notice to the Master Trustee.

“Funded Interest” means amounts irrevocably deposited in an escrow or other trust account to pay interest on Long-Term Indebtedness or Related Bonds and interest earned on amounts irrevocably deposited in an escrow or other trust account to the extent such interest earned is required to be applied to pay interest on Long-Term Indebtedness or Related Bonds.

“GAAP” means, subject to the provisions of Section 1.02, those principles of accounting set forth in pronouncements of the Financial Accounting Standards Board and its predecessors or pronouncements of the American Institute of Certified Public Accountants or those principles of accounting which have other substantial authoritative support and are applicable in the circumstances as of the date of application, as such principles are from time to time supplemented or amended.

“Governing Body” means, with respect to a Member, the board of directors, the board of trustees or similar group in which the right to exercise the powers of corporate directors or trustees is vested.

“Government Obligations” means direct obligations of the United States of America or obligations the full and timely payment of the principal of and interest on which is unconditionally guaranteed by the United States of America.

“Gross Revenues” means all receipts, revenues, rentals, income, insurance proceeds (including, without limitation, all Medicaid, Medicare and other third party payments), condemnation awards, Entrance Fees and other moneys received by or on behalf of any Obligated Group Member, including, without limitation, revenues derived from (a) the ownership, operation or leasing of any portion of the Facilities (including, without limitation, fees payable by or on behalf of residents of the Facilities) and all rights to receive the same (other than the right to receive Medicaid and Medicare payments), whether in the form of accounts, general intangibles or other rights, and the proceeds of such accounts, general intangibles and other rights, whether now existing or hereafter coming into existence or whether now owned or held or hereafter acquired, and (b) gifts, grants, bequests, donations and contributions heretofore or hereafter made that are legally available to meet any of the obligations of the Obligated Group Member incurred in the financing, operation, maintenance or repair of any portion of the Facilities; provided, however, that there shall be excluded from Gross Revenues (i) any amounts received by an Obligated Group Member as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations and contributions to an Obligated Group Member heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use as payments required under this Master Indenture, (iii) any moneys received by any Obligated Group Member from prospective residents or commercial tenants in order to pay for customized improvements to those Independent Living Units or other areas of the Facilities to be occupied or leased to such residents or tenants, and (iv) all deposits and/or advance payments made in connection with any leases of the Independent Living Units and received prior to receipt a certificate of occupancy and any required licenses.

“Guaranty” means all obligations of a Person guaranteeing, or in effect guaranteeing, any Indebtedness, dividend or other obligation of any Primary Obligor in any manner, whether directly or indirectly, including, without limitation, obligations incurred through an agreement, contingent or otherwise, by such Person: (a) to purchase such Indebtedness or obligation or any Property constituting security therefor; (b) to advance or supply funds: (i) for the purchase or payment of such Indebtedness or obligation, or (ii) to maintain working capital or other balance sheet condition; (c) to purchase securities or other Property or services primarily for the purpose of assuring the owner of such Indebtedness or obligation of the ability of the Primary Obligor to

make payment of the Indebtedness or obligation; or (d) otherwise to assure the owner of such Indebtedness or obligation against loss in respect thereof.

“Hedge Agreement” means an interest rate swap, cap, collar, floor, forward, option, put, call or other agreement, arrangement or security, however denominated, entered into in order to hedge interest rate fluctuations, which may be with respect to all or a portion of any Indebtedness, or to change the payments to be made by the borrower with respect to any Indebtedness from fixed to variable or from variable to fixed with the goal of achieving lower interest costs. A Hedge Agreement shall not constitute Indebtedness hereunder.

“Hedge Period” means the period during which a Hedge Agreement is in effect.

“HFA Parcel” means either (i) the real property identified on Exhibit B to the Deed of Trust or (ii) the real property identified in a plat provided by the Obligor to the Master Trustee, as approved by the Holders of Master Obligations by virtue of the procedures set forth in Section 4.20(f)(ii) of this Master Indenture.

“Holder” means a bearer of any Master Obligation issued in bearer form, and the registered owner of any Master Obligation issued in registered form.

“Income Available for Debt Service” means, for any period, the excess of Revenues over Expenses of the Person or group of Persons involved.

“Indebtedness” means (i) all indebtedness of Members for borrowed money, and (ii) all installment sales and capital lease obligations incurred or assumed by any Member, (iii) all Guaranties (other than any Guaranty by any Member of Indebtedness of any other Member) whether constituting Long-Term Indebtedness or Short-Term Indebtedness. Indebtedness shall not include (a) obligations of any Member to another Member, (b) for any period of time during which such are secured by cash or Defeasance Obligations, as described in this clause (b), any portion of any indebtedness of any Member or any Related Bonds for which there is on deposit with the Master Trustee, or a third party escrow agent meeting the requirements of Section 8.08, cash or Defeasance Obligations registered in the name of the Master Trustee or such third party escrow agent, as appropriate, that are irrevocably pledged to payment of either or both principal of and interest on the indebtedness of such Member and that are sufficient, together with investment earnings thereon, to provide for payment for that portion of the indebtedness for which they are pledged, or (c) obligations of any Member under a line of credit, letter of credit, standby bond purchase agreement or similar facility (and any reimbursement agreement relating thereto) established in connection with the issuance of any indebtedness of a Member or Related Bonds to the extent that such facilities have not been used or drawn upon and to the extent that they have been used or drawn upon to purchase, but not retire, Related Bonds. The facilities described in (c) above shall not be excluded from Indebtedness to the extent amounts are due thereunder without regard to a draw under such facility or to the extent that after a draw on such facility to purchase Related Bonds the amounts due on such Related Bonds pursuant to the provisions of such facility exceed the amounts stated in the Related Bonds. If such liquidity facility is used or drawn upon to retire, but not purchase, indebtedness of a Member or Related Bonds, then the liability incurred by such use or draw by the Member shall be included in Indebtedness.

“Independent Living Units” means collectively, the Existing Independent Living Units, the Project Independent Living Units and any additional independent living units added by the Obligated Group.

“Initial Entrance Fees” means Entrance Fees received upon the initial occupancy of any Project Independent Living Unit not previously occupied.

“Initial Master Obligations” means collectively, Master Obligations No. 1 and No. 2, each dated as of August 1, 2018, issued by the Obligated Group pursuant to and described in the Initial Supplemental Master Indenture.

“Initial Supplemental Master Indenture” means Supplemental Master Indenture Number 1, dated as of August 1, 2018, between the Obligated Group Representative and the Master Trustee.

“Initial Testing Year” means the first full Fiscal Year following the earlier to occur of (1) June 30, 2024 or (2) the first full Fiscal Year following Stable Occupancy.

“Initial Underwriter” means Herbert J. Sims & Co., Inc., as the initial underwriter of the Series 2018A Bonds.

“Insurance Consultant” means a person or firm who, in the case of an individual, is not an employee or officer of any Member and which, in the case of a firm, does not control any Member of the Obligated Group or any Affiliate thereof and is not controlled by or under common control with any Member of the Obligated Group or an Affiliate thereof, appointed by the Obligated Group Representative, qualified to survey risks and to recommend insurance coverage for continuing care and retirement communities and services of the type involved, and having a favorable reputation for skill and experience in such surveys and such recommendations, and which may include a broker or agent with whom any Member transacts business.

“Lien” means any mortgage, pledge or lease of, security interest in or lien, charge or encumbrance on any Property of the Person involved in favor of, or which secures any obligation to, any Person other than any Member, and any Capitalized Lease under which any Member is lessee and the lessor is not another Member.

“Liquidity Facility” means a written commitment to provide money to purchase or retire any Indebtedness if (a) on the date of delivery of such Liquidity Facility, the unsecured Long-Term Indebtedness or claims paying ability of the provider of such Liquidity Facility or its parent holding company or other controlling entity is rated at least “A” by at least one of the Rating Agencies and (b) as of any particular date of determination, no amount realized under such Liquidity Facility for the payment of the principal or the purchase or redemption price of such Indebtedness (exclusive of amounts realized for the payment of accrued interest on such Indebtedness) shall be required to be repaid by the obligor on such Long-Term Indebtedness for a period of at least one year.

“Liquidity Requirement” has the meaning given such term in Section 4.13 hereof.

“Liquidity Testing Date” means June 30 and December 31 of each Fiscal Year, beginning on December 31, 2018.

“Long-Term Indebtedness” means, with respect to any Person, (a) all Indebtedness of such Person for money borrowed or credit extended, incurred or assumed which is not Short Term; (b) all Short Term Indebtedness incurred by the Person which is of the type described in Section 4.26(e) hereof; (c) the Person’s Guaranties of Indebtedness which are not Short Term (but including Guaranties of Short Term Indebtedness described in Section 4.18(e) hereof); and (d) Capitalized Rentals under Capitalized Leases entered into by the Person; provided, however, that Indebtedness that could be described by more than one of the foregoing categories shall not in any case be considered more than once for the purpose of any calculation made pursuant to this Master Indenture.

“Majority Holders” means Holders of more than 50% in principal amount of the Outstanding Master Obligations.

“Management Consultant” means a professional consulting, accounting, investment banking or commercial banking firm or individual retained in accordance with Section 4.16 and having the skill and experience necessary to render the particular report required hereunder and having a favorable reputation for such skill and experience, which firm or individual does not control any Member of the Obligated Group or any Affiliate thereof and is not controlled by or under common control with any Member of the Obligated Group or an Affiliate thereof.

“Marketing Consultant” means any Consultant assuming such responsibilities in regard to the Project as further described in Section 4.15.

“Marketing Requirements” has the meaning given such term in Section 4.14 hereof.

“Master Indenture” means this Master Trust Indenture, as supplemented or amended by all Supplemental Master Indentures authorized and executed pursuant to the terms of this Master Trust Indenture, including, without limitation, the Initial Supplemental Master Indenture.

“Master Obligation” means any promissory note, guaranty, lease, contractual agreement to pay money or other obligation of any Obligated Group Member which is authenticated and delivered pursuant to this Master Indenture and which is entitled to the benefits of this Master Indenture.

“Master Obligation Register” means the register of ownership of the Master Obligations to be maintained pursuant to this Master Indenture.

“Master Trustee” means Wilmington Trust, National Association, a national banking association, as master trustee hereunder, until a successor replaces it in accordance with the applicable provisions of Article VIII hereof, and thereafter any successor in trust appointed pursuant to Article VIII hereof.

“Maturity” when used with respect to any Indebtedness means the date on which the principal of such Indebtedness or any installment thereof becomes due and payable as therein

provided, whether at the Stated Maturity thereof or by declaration of acceleration, call for redemption or otherwise.

“Maximum Annual Debt Service” means the largest Debt Service Requirement for any current or succeeding Fiscal Year, excluding Debt Service for Qualifying Intermediate-Term Indebtedness (provided, however, if the expansion or additional Facilities financed with such Qualifying Intermediate-Term Indebtedness has not achieved Stable Occupancy within 5 years of the issuance of such Qualifying Intermediate-Term Indebtedness, the foregoing exclusion shall no longer apply).

“Moody’s” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and assigns, and, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Moody’s” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group, with written notice to the Master Trustee.

“Mortgaged Property” means the Community, the Project, and all other real property and personal property of the Members of the Obligated Group which is subject to the Deed of Trust and does not include Excluded Property.

“Needs Assessment Analysis” shall have the meaning set forth in any Supplemental Master Indenture.

“Net Rentals” means all fixed rents (including as such all payments which the lessee is obligated to make to the lessor on termination of the lease or surrender of the leased Property other than upon termination of the lease for a default thereunder) payable under a lease or sublease of real or personal Property excluding any amounts required to be paid by the lessee (whether or not designated as rents or additional rents) on account of maintenance, repairs, insurance, taxes and similar charges. Net Rentals for any future period under any so called “percentage lease” shall be computed on the basis of the amount reasonably estimated to be payable thereunder for such period, but in any event not less than the amount paid or payable thereunder during the immediately preceding period of the same duration as such future period; provided that the amount estimated to be payable under any such percentage lease shall in all cases recognize any change in the applicable percentage called for by the terms of such lease.

“New Member” shall have the meaning set forth in Section 6.01(a).

“Non-Mortgaged Facilities” means any Facilities which do not constitute Mortgaged Property.

“Non-Recourse Indebtedness” means any Indebtedness secured by a Lien, the liability for which is effectively limited to a security interest in or lien on Property purchased, improved or acquired utilizing the proceeds of such Non-Recourse Indebtedness with no recourse, directly or indirectly, to any Member or any other Property of such Member.

“Obligated Group” means, collectively, all of the Obligated Group Members.

“Obligated Group Member” or “Member” means the Obligor and any other Person who has satisfied the requirements set forth in this Master Indenture for becoming an Obligated Group Member and its successors until any such Person or a successor or transferee Person satisfies the requirements set forth in this Master Indenture for ceasing to be an Obligated Group Member.

“Obligated Group Representative” means the Obligor, or any successor Obligated Group Representative appointed pursuant to Section 6.04 hereof.

“Obligated Group Representative Request” means a written order or request of the Obligated Group or any Member signed by an Authorized Representative and delivered to the Master Trustee.

“Occupancy Quarter” shall have the meaning set forth in Section 4.14.

“Occupancy Requirements” shall have the meaning set forth in Section 4.14.

“Occupied” means an Independent Living Unit for which a Residency Agreement has been executed and all related Entrance Fees have been paid.

“Officer’s Certificate” means a certificate signed, in the case of a certificate delivered by a Member of the Obligated Group, by the Chief Executive Officer, the Executive Director, the Chief Financial Officer, the Chief Operating Officer, the President, any Vice President, the Director of Finance or any other Authorized Representative of any Member of the Obligated Group or, in the case of a certificate delivered by any other corporation, by the President, any Vice President, the Director of Finance or any other officer or agent authorized to sign by resolution of the Governing Body of such corporation or, in the case of a certificate delivered by any other Person, the chief executive or the chief financial officer of such other Person, in either case whose authority to execute such certificate shall be evidenced to the satisfaction of the Master Trustee.

“Operating Data” shall have the meaning set forth in Section 1(a) of the Continuing Disclosure Certificate.

“Operating Expenses” means, for any period, the aggregate of all expenses calculated under GAAP, including, without limitation, any accrual for taxes, assessments and insurance, incurred by the Person or group of Persons involved during such period, but excluding (a) depreciation and amortization, (b) extraordinary expenses, losses on the sale of assets other than in the ordinary course of business and losses on the extinguishment of debt or termination of pension plans, (c) any expenses resulting from a forgiveness of or the establishment of reserves against Indebtedness of an Affiliate which does not constitute an extraordinary expense, (d) losses resulting from any reappraisal, revaluation or write down of assets other than bad debts, (e) non-cash expenses or losses and (f) any development, marketing, operating or management fees that have been deferred from the year in which they were originally due. If such calculation of Operating Expenses is being made with respect to the Obligated Group, any such expenses attributable to transactions between any Member and any other Member shall be excluded.

“Opinion of Bond Counsel” means an opinion in writing signed by Bond Counsel.

“Opinion of Counsel” means a written opinion of counsel who may (except as otherwise expressly provided herein) be counsel to any Obligated Group Member or other counsel reasonably acceptable to the Master Trustee.

“Outstanding” when used with respect to Master Obligations means, as of the date of determination, all Master Obligations theretofore authenticated and delivered under this Master Indenture, except:

(a) Master Obligations theretofore cancelled and delivered to the Master Trustee or delivered to the Master Trustee for cancellation;

(b) Master Obligations, or portions thereof, for whose payment or redemption money (or Defeasance Obligations to the extent permitted by Section 10.02 of this Master Indenture) shall have theretofore been deposited with the Master Trustee or any Paying Agent for such Master Obligations in trust for the Holders of such Master Obligations pursuant to this Master Indenture; provided, that, if such Master Obligations are to be redeemed, notice of such redemption has been duly given or waived pursuant to this Master Indenture or irrevocable provision for the giving of such notice satisfactory to the Master Trustee has been made pursuant to this Master Indenture;

(c) Master Obligations upon transfer of or in exchange for or in lieu of which other Master Obligations have been authenticated and delivered pursuant to this Master Indenture; and

(d) that portion of the principal amount of a Master Obligation that corresponds to the unadvanced portion (if any) of a Related Bond as of any date of determination;

provided, however, that in determining whether the Holders of the requisite principal amount of Outstanding Master Obligations have given any request, demand, authorization, direction, notice, consent or waiver hereunder, Master Obligations owned by any Obligated Group Member or any Affiliate of any Obligated Group Member shall be disregarded and deemed not to be Outstanding, except that, in determining whether the Master Trustee shall be protected in relying upon any such request, demand, authorization, direction, notice, consent or waiver, only Master Obligations that the Master Trustee knows to be so owned shall be so disregarded. Master Obligations so owned that have been pledged in good faith may be regarded as Outstanding if the pledgee establishes to the satisfaction of the Master Trustee the pledgee’s right to act with respect to such Master Obligations and that the pledgee is not an Obligated Group Member or an Affiliate of any Obligated Group Member.

“Partial Release Conditions” means the delivery of the following items to the Master Trustee:

(a) a copy of the recorded plat with respect to the HFA Parcel, together with such other evidence, if any, as the Master Trustee or the Series 2018B Lender may reasonably require to demonstrate that the Grantor has received all governmental consents and approvals required to create an ownership unit, or such other estate available in Montgomery County, Maryland as permitted in accordance with Section 4.20(f)(ii) hereof, to separate the HFA Parcel from the remaining Mortgaged Property (the “Remaining Property”) and that the HFA Parcel and the

Remaining Property shall each be a separate tax lot and shall be a separate parcel of land for all zoning and tax purposes;

(b) an endorsement to the title insurance policy for the Property, that continues to insure the Deed of Trust as a first priority lien against the Remaining Property, as of the date the title insurance policy was originally issued; and

(c) a certificate executed by an authorized representative of the Obligated Group Representative, stating that (i) such release will not cause or result in an Event of Default under any Bond Document, (ii) the Remaining Property will continue to be in compliance with the terms of the Deed of Trust and the other Bond Documents, (iii) the Remaining Property separately conforms to and will continue to be in compliance with all applicable Laws, including, but not limited to, building codes, land use, zoning, and subdivision laws, subject only to recordation of the HFA Parcel (if not yet recorded), and (iv) the HFA Parcel is not necessary for the use and operation of the Remaining Property, including without limitation, for support, access, driveways, parking, utilities, drainage flows or any other purpose, except as is provided by an easement encumbering the HFA Parcel and appurtenant to the Remaining Property providing for such rights.

“Paying Agent” means any Person authorized by the Obligated Group Representative to pay the principal of, premium, if any, or interest on any Master Obligations on behalf of the Obligated Group.

“Permitted Investments” means dollar denominated investments, to the extent permitted by law, in any of the following:

(a) Government Obligations;

(b) Debt obligations which are (i) issued by any state or political subdivision thereof or any agency or instrumentality of such state or political subdivision, and (ii) at the time of purchase, rated by any Rating Agency in one of the three highest categories assigned by such Rating Agency (without regard to any refinement or gradation of rating category by numerical modifier or otherwise);

(c) Any bond, debenture, note, participation certificate or other similar obligation which is either (i) issued or guaranteed by the Federal National Mortgage Association, the Federal Home Loan Bank System, the Federal Home Loan Mortgage Corporation or the Federal Farm Credit Bank Association, or (ii) backed by the full faith and credit of the United States of America;

(d) U.S. denominated deposit accounts, certificates of deposit, banker’s acceptances with domestic commercial banks, including the Master Trustee or its affiliates, or other bank products, which have a rating on their short-term certificates of deposit on the date of purchase of “A-1” by Standard & Poor’s, “F-1” by Fitch or “P-1” by Moody’s, and which mature not more than 360 days after the date of purchase;

(e) Commercial paper which is rated at the time of purchase within the classification or higher “A-1” by Standard & Poor’s, “F-1” by Fitch or “P-1” by Moody’s, and which matures not more than 270 days after the date of purchase;

(f) Bonds, notes, debentures or other evidences of indebtedness issued or guaranteed by a corporation which are, at the time of purchase, rated by any Rating Agency in any of the three highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise);

(g) Investment agreements with banks that at the time such agreement is executed are rated by any Rating Agency in one of the three highest rating categories assigned by such Rating Agency (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) or investment agreements with non-bank financial institutions which, (i) all of the unsecured, direct long-term debt of either the non-banking financial institution or the related guarantor of such non-bank financial institution is rated by any Rating Agency at the time such agreement is executed in one of the three highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) for obligations of that nature; or (ii) if such non-bank financial institutions have no outstanding long-term debt that is rated, all of the short-term debt of either the non-banking financial institution or the related guarantor of such non-bank financial institution is rated by any Rating Agency in the highest rating category (without regard to any refinement or gradation of the rating category by numerical modifier or otherwise) assigned to short term indebtedness by such Rating Agency; provided that if at any time after purchase the provider of the investment agreement drops below the three highest rating categories assigned by such Rating Agency, the provider of the investment agreement must immediately notify the Master Trustee and the investment agreement must, within 30 days, either (A) be assigned to a provider rated in one of the three highest rating categories or (B) be secured by the provider with collateral securities the fair market value of which, in relation to the amount of the investment agreement including principal and interest, is equal to at least 102%; investment agreements with banks or non-bank financial institutions shall not be permitted if no rating is available with respect to debt of the investment agreement provider or the related guarantor of such provider;

(h) Repurchase agreements with respect to and secured by Government Obligations or by obligations described in clauses (b) or (c) above, which agreements may be entered into with a bank (including, without limitation, a Related Bond Trustee or the Master Trustee), a trust company, financial services firm or a broker dealer, provided that (i) the Master Trustee or a custodial agent of the Master Trustee has possession of the collateral and the collateral is, to the knowledge of the Master Trustee, free and clear of third-party claims, (ii) a master repurchase agreement or specific written repurchase agreement governs the transaction, (iii) the collateral securities are valued no less frequently than weekly, and (iv) the fair market value of the collateral securities in relation to the amount of the repurchase obligation, including principal and interest, is equal to at least 103%, and (v) such obligations must be held in the custody of a Related Bond Trustee or the Master Trustee’s agent;

(i) Accounts with the Series 2018B Lender; and

(j) Shares of a money market mutual fund or other collective investment fund registered under the federal Investment Company Act of 1940, whose shares are registered under the Securities Act of 1933, having assets of at least \$100,000,000 and having a rating AAAM or AAAM-G by a Rating Agency, including money market mutual funds from which the Master Trustee or its affiliates derive a fee for investment advisory or other services to the fund.

The Master Trustee shall be entitled to assume that any investment which at the time of purchase is a Permitted Investment remains a Permitted Investment thereafter (even if any rating is downgraded), absent receipt by a Responsible Officer of the Master Trustee of written notice or actual information to the contrary. To the extent such investment is no longer a Permitted Investment, the Obligated Group Representative shall promptly provide the Master Trustee an Obligated Group Representative Request with respect to any such investment pursuant to Section 3.02 herein, providing instructions for its sale and the reinvestment of the proceeds resulting therefrom.

“Permitted Liens” shall have the meaning given in Section 4.21 hereof.

“Person” means any individual, corporation, partnership, limited liability company, firm, joint venture, association, joint stock company, trust, unincorporated organization, government or any agency or political subdivision thereof or any other entity.

“Place of Payment” for a series of Master Obligations means a city or political subdivision designated as such pursuant to this Master Indenture or a Supplemental Master Indenture.

“Premises” means the real property described in Exhibit A to the Deed of Trust, as it may be amended from time to time.

“Primary Obligor” means the Person who is primarily obligated on an obligation which is guaranteed by another Person.

“Project” means the renovation and expansion of the Existing Community, as more fully identified in the Series 2018 Loan Agreement.

“Project Independent Living Units” means the 47 independent living units that are part of the Project.

“Projected Rate” means the rate set forth in the most recent Revenue Bond Index, published by The Bond Buyer, or if such index is not published, such published index determined by the Obligated Group Representative with the consent of the Master Trustee, as of the date of the calculation or if such is not a Business Day, the immediately preceding Business Day.

“Property” means any and all rights, titles and interests in and to any and all property, whether real or personal, tangible (including cash) or intangible, wherever situated and whether now owned or hereafter acquired by a Person, but not including Excluded Property.

“Property, Plant and Equipment” means all Property of each Member which is classified as property, plant and equipment under GAAP.

“Put Date” means (a) any date on which an owner of Put Indebtedness may elect to have such Put Indebtedness paid, purchased or redeemed by or on behalf of the underlying obligor prior to its stated maturity date or (b) any date on which Put Indebtedness is required to be paid, purchased or redeemed from the owner by or on behalf of the underlying obligor (other than at the option of the owner) prior to its stated maturity date, other than pursuant to any mandatory sinking fund or other similar fund or other than by reason of acceleration upon the occurrence of an event of default.

“Put Indebtedness” means Indebtedness which is (a) payable or required to be purchased or redeemed by or on behalf of the underlying obligor, at the option of the owner thereof, prior to its stated maturity date or (b) payable or required to be purchased or redeemed from the owner by or on behalf of the underlying obligor (other than at the option of the owner) prior to its stated maturity date, other than pursuant to any mandatory sinking fund or other similar fund or other than by reason of acceleration upon the occurrence of an event of default.

“Qualifying Intermediate-Term Indebtedness” means (a) the Indebtedness evidenced by the Series 2018B Bond in excess of \$3,000,000, and (b) all or any part of any Indebtedness that (i) the average life of which is not expected to be greater than seven years, and (ii) is, according to a certificate of the Obligated Group Representative delivered to the Master Trustee, issued or incurred to finance Capital Additions, the Initial Entrance Fees from which (based solely on prospective residents from whom the Obligated Group has received a deposit of at least 10% of the projected Entrance Fee for such resident) are required to be deposited into a separate account and will equal or exceed the aggregate of the principal amount of such Qualifying Intermediate-Term Indebtedness.

“Rating Agency” means Moody’s, Standard & Poor’s or Fitch.

“Related Bond Indenture” means the Series 2018A Bond Indenture, the Series 2018B Financing Agreement, and any other indenture, bond resolution, financing agreement or other comparable instrument pursuant to which a series of Related Bonds is issued.

“Related Bond Trustee” means the Bond Trustee and the trustee and its successor in the trust created under any other Related Bond Indenture.

“Related Bonds” means the Series 2018 Bonds and any other Bonds issued by any state, territory or possession of the United States or any municipal corporation or political subdivision formed under the laws thereof or any constituted authority or agency or instrumentality of any of the foregoing empowered to issue obligations on behalf thereof (“governmental issuer”), pursuant to a single Related Bond Indenture, the proceeds of which are loaned or otherwise made available to any Obligated Group Member in consideration of the execution, authentication and delivery of an Obligation to or for the order of such governmental issuer.

“Related Issuer” means the governmental issuer of any Related Bonds.

“Related Loan Agreement” means the Series 2018A Loan Agreement, the Series 2018B Financing Agreement and any other loan agreement, financing agreement, credit agreement or other comparable instrument entered into in connection with a series of Related Bonds.

“Required Information Recipient” means the Master Trustee, each Related Bond Trustee, the Initial Underwriter and EMMA.

“Reserved” means an Independent Living Unit (a) which is Occupied or (b) for which a Member of the Obligated Group has received a deposit equal to not less than 10% of the Entrance Fee related to such Independent Living Unit.

“Residency Agreement” means each and every contract, including, without limitation, any “Reservation Agreement” or “Residency Agreement”, as amended from time to time, between an Obligated Group Member and a resident of the Obligated Group’s Facilities, including the Project, giving the resident certain rights of occupancy in the Facilities, including, without limitation, the Independent Living Units, assisted living units or skilled nursing beds and providing for certain services to such resident.

“Responsible Officer” when used with respect to the Master Trustee means the officer in the corporate trust department or comparable department of the Master Trustee at its Corporate Trust Office having direct responsibility for administration of this Master Indenture and also means, with respect to a particular corporate trust matter, any other officer of the Master Trustee to whom such matter is referred because of such person’s knowledge of and familiarity with the particular subject.

“Revenue Fund” means the fund created by Section 3.01 hereof.

“Revenues” means, for any period, (a) in the case of any Person providing health care services and/or senior living services, the sum of (i) net patient service revenues and resident service revenues, plus (ii) other operating revenues, plus (iii) non-operating revenues (other than Contributions, income derived from the sale of assets not in the ordinary course of business, any gain from the extinguishment of debt or other extraordinary item, earnings which constitute Funded Interest or earnings on amounts which are irrevocably deposited in escrow to pay the principal of or interest on Indebtedness, but including investment income), plus (iv) Unrestricted Contributions, plus (v) Entrance Fees (other than Initial Entrance Fees to the extent such Initial Entrance Fees have been designated to be used to repay Short-Term Indebtedness or Qualifying Intermediate-Term Indebtedness related to the Facilities in receipt of such Initial Entrance Fees) received, minus (A) Entrance Fees amortized during such period and (B) Entrance Fees refunded to residents; and (b) in the case of any other Person, gross revenues less sale discounts and sale returns and allowances, as determined in accordance with GAAP; but excluding in either case (i) any unrealized gain or loss resulting from changes in the valuation of investment securities or unrealized changes in the value of derivative investments, (ii) any gains on the sale or other disposition of fixed or capital assets not in the ordinary course, (iii) earnings resulting from any reappraisal, revaluation or write up of fixed or capital assets, (iv) any revenues recognized from deferred revenues related to Entrance Fees and (v) insurance (other than business interruption) and condemnation proceeds; provided, however, that if such calculation is being made with respect to the Obligated Group, such calculation shall be made in such a manner so as to exclude any revenues attributable to transactions between any Member and any other Member. For purposes of calculations under this Master Indenture, an Unrestricted Contribution from an Affiliate shall be treated as being made during the period of such calculation so long as the

Unrestricted Contribution is made prior to the date the applicable certificate is required to be delivered with respect to such calculation.

“Senior Bonds” means, collectively, the Series 2018 Bonds, and any other bonds issued pursuant to a Related Bond Indenture that are not a Subordinated Indebtedness.

“Series 2018 Bonds” means, collectively, the Series 2018A Bonds and the Series 2018B Bond.

“Series 2018A Bond Indenture” means the Bond Trust Indenture dated as of August 1, 2018, between Montgomery County, Maryland and the Bond Trustee, relating to the Series 2018A Bonds.

“Series 2018A Bonds” means the Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community, Inc.) Series 2018A issued pursuant to the Series 2018A Bond Indenture.

“Series 2018A Loan Agreement” means the Loan Agreement dated as of August 1, 2018, between Montgomery County, Maryland and the Obligated Group Representative, relating to the Series 2018A Bonds.

“Series 2018B Bond” means the Montgomery County, Maryland Economic Development Revenue Bond (Friends House Retirement Community, Inc.) Series 2018B issued pursuant to the Series 2018B Financing Agreement.

“Series 2018B Financing Agreement” means the Loan and Financing Agreement dated as of August 1, 2018, by and among Montgomery County, Maryland, the Obligor and the Series 2018B Lender.

“Series 2018B Lender” means Compass Mortgage Corporation.

“Short-Term Indebtedness” means all Indebtedness, other than the current portion of Long-Term Indebtedness, incurred or assumed by one or more Members with respect to any of the following:

(a) payments of principal and interest with respect to money borrowed for an original term, or renewable at the option of the borrower for a period from the date originally incurred, of one year or less;

(b) payments under leases that are capitalized in accordance with generally accepted accounting principles having an original term, or are renewable at the option of the lessee for a period from the date originally incurred, of one year or less; and

(c) payments under installment purchase or conditional sale contracts having an original term of one year or less.

“Stable Occupancy” means the first full month following the first full Fiscal Year in which all these conditions have been met: (a) the aggregate average annual occupancy of the

Project Independent Living Units is equal to or greater than 85%, and (b) the Series 2018B Bond is outstanding in a principal amount not in excess of \$3,000,000.

“Standard & Poor’s” means S&P Global Ratings, a division of Standard & Poor’s Financial Services LLC, a corporation organized and existing under the laws of the State of New York, its successors and assigns, and, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Standard & Poor’s” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative, with written notice to the Master Trustee.

“Stated Maturity” when used with respect to any Indebtedness or any installment of interest thereon means any date specified in the instrument evidencing such Indebtedness or such installment of interest as a fixed date on which the principal of such Indebtedness or any installment thereof or the fixed date on which such installment of interest is due and payable.

“Subordinated Indebtedness” means (a) Affiliate Subordinated Indebtedness, (b) any promissory note, guaranty, lease, contractual agreement to pay money or other obligation meeting the requirements of Section 4.27, and (c) any Related Bonds (other than Senior Bonds) issued or to be issued pursuant to a Related Bond Indenture as bonds subordinate in priority to the Senior Bonds.

“Subordinated Obligation” means any Master Obligation that evidences Subordinated Indebtedness.

“Supplemental Master Indenture” means an indenture supplemental to, and authorized and executed pursuant to the terms of, this Master Indenture.

“Tax-Exempt Organization” means a Person organized under the laws of the United States of America or any state thereof which is an organization described in Section 501(c)(3) of the Code and which is exempt from federal income taxes under Section 501(a) of the Code or corresponding provisions of federal income tax laws from time to time in effect.

“Tax-Exempt Related Bonds” means Related Bonds for which an Opinion of Bond Counsel that interest thereon is excludable from gross income for federal income tax purposes was delivered upon initial issuance delivery of such Related Bonds.

“Threshold Amount” means \$750,000.

“Total Operating Revenues” means, with respect to the Obligated Group, as to any period of time, total operating revenues, as determined in accordance with GAAP applied.

“Trust Estate” has the meaning given such term in the Granting Clauses hereof.

“Unrestricted Contributions” means Contributions which are not restricted in any way that would prevent their application to the payment of debt service on Indebtedness of the Person receiving such Contributions.

“Unsecured Indebtedness” means any Indebtedness not secured by any mortgage, deed of trust, including the Deed of Trust, pledge of, security interest in or encumbrance or other lien on any Property of any Member and any other Indebtedness not secured in any manner.

“Variable Rate Indebtedness” means any portion of Indebtedness the interest rate on which is not established at the time of incurrence at a fixed or constant rate.

Section 1.02 Compliance Certificates and Reports.

Whenever the amount or date of any of the following is a condition to the taking of any action permitted hereby,

(a) Estimated Revenues, Expenses, Cash and Investments and Income Available for Debt Service of any Person for any future Fiscal Year shall be established by a certificate or report of a Consultant stating the amount of such estimated item based upon assumptions provided by such Person and stating that such assumptions are, in the opinion of the Consultant, reasonable;

(b) Any of:

(i) Revenues, Expenses, Cash and Investments and Income Available for Debt Service of any Person for any prior Fiscal Year or period,

(ii) Maximum Annual Debt Service of any Person, and

(iii) principal of and interest on any Indebtedness

shall be established by an Officer’s Certificate of the Obligated Group Representative stating the amount of such item and that such amounts have been derived from either the most recent financial statements of the Obligated Group delivered to the Master Trustee pursuant to Section 4.22 hereof or, for any period other than a prior Fiscal Year, from the internally prepared financial statements of the Obligated Group for such period;

(c) The anticipated date of completion of any construction project of any Person shall be established by an Officer’s Certificate of the Obligated Group Representative; and

(d) Securities shall include any amounts invested in marketable securities, whether classified as short term or long term assets.

All calculations required to be made hereunder with respect to the Obligated Group shall be made after elimination of intercompany items among the Obligated Group but would not exclude Unrestricted Contributions from other Persons. The character or amount of any asset, liability or item of income or expense required to be determined or any consolidation, combination or other accounting computation required to be made for the purposes hereof shall be determined or made in accordance with GAAP in effect on the date hereof or, at the option of the Obligated Group Representative, at the time in effect (provided that such GAAP are applied consistently with the requirements existing either on the date hereof or at the time in effect) as applied to the Obligated Group, on a consistent basis by its accountants in the preparation of its

previous annual financial statements, and unless otherwise indicated, all accounting terms and covenants shall be applied on a consolidated basis, except that assets, liabilities, items of income and expenses of Affiliates which are not included in the Obligated Group shall not be taken into account, and except where such principles are inconsistent with the requirements of this Master Indenture; provided, however, that there shall not be included in any calculation any item otherwise required to be included in such calculation with respect to any Person which has withdrawn or is withdrawing from the Obligated Group.

Section 1.03 Form of Documents Delivered to Master Trustee.

Upon any request or application by the Obligated Group to the Master Trustee to take any action under this Master Indenture, other than an action authorized to be taken pursuant to an Obligated Group Representative Request, the Obligated Group shall furnish to the Master Trustee (a) an Officer’s Certificate stating that, in the opinion of the signer, all conditions precedent and covenants, if any, provided for in this Master Indenture relating to the proposed action have been satisfied; and (b) an Opinion of Counsel stating that, in the opinion of such counsel (who may rely upon an Officer’s Certificate as to matters of fact), all such conditions precedent and covenants have been satisfied.

In any case where several matters are required to be certified by, or covered by an opinion of, any specified Person, it is not necessary that all such matters be certified by, or covered by the opinion of, only one such Person, or that they be so certified or covered by only one document, but one such Person may certify or give an opinion with respect to some matters and one or more other such Persons as to other matters, and any such Person may certify or give an opinion as to such matters in one or several documents.

Any certificate or opinion of any officer of a Person may be based, insofar as it relates to legal matters, upon a certificate or opinion of, or representations by, counsel, unless such officer knows, or in the exercise of reasonable care should know, that the certificate or opinion or representations with respect to the matters upon which his certificate or opinion is based are erroneous. Any such certificate or Opinion of Counsel or Opinion of Bond Counsel may be based, in so far as it relates to factual matters, upon a certificate or opinion of, or representations by, an officer or officers of a specified Person stating that the information with respect to such factual matters is in the possession of such Person, unless such counsel knows, or in the exercise of reasonable care should know, that the certificate or opinion or representations with respect to such matters are erroneous.

Where any Person is required to make, give or execute two or more applications, requests, consents, certificates, statements, opinions or other instruments under this Master Indenture, they may, but need not, be consolidated and form one instrument.

Section 1.04 Acts of Holders of Master Obligations.

(a) Any request, demand, authorization, direction, notice, consent, waiver or other action provided by this Master Indenture to be given or taken by Holders of Master Obligations may be embodied in and evidenced by one or more instruments of substantially similar tenor signed by such Holders of Master Obligations in person or by agent duly appointed in writing;

and, except as herein otherwise expressly provided, such action shall become effective when such instrument or instruments are delivered to the Master Trustee, and, where it is hereby expressly required, to the Obligated Group Representative. Such instrument or instruments (and the action embodied therein and evidenced thereby) are herein sometimes referred to as the “Act” of the Holders of Master Obligations signing such instrument or instruments. Proof of execution of any such instrument or of a writing appointing any such agent, or of the holding by any Person of unregistered Obligations, shall be sufficient for any purpose of this Master Indenture and conclusive in favor of the Master Trustee and the Obligated Group Members, if made in the manner provided in this Section. The Obligated Group may establish a record date for purposes of determining the identity of Holders entitled to vote or consent to any action by vote or consent authorized or permitted under this Master Indenture.

(b) The fact and date of the execution by any Person of any such instrument or writing may be proved by the affidavit of a witness of such execution or by the certificate of any notary public or other officer authorized by law to take acknowledgments of deeds, certifying that the individual signing such instrument or writing acknowledged to him the execution thereof. Where such execution is by an officer of a corporation or a member of a partnership, on behalf of such corporation or partnership, such certificate or affidavit shall also constitute sufficient proof of his authority.

The amount of Master Obligations in bearer form held by any Person executing any such instrument or writing as a Holder of Master Obligations, the numbers of such Master Obligations, and the date of his holding the same, may be proved by the production of such Master Obligations or by a certificate executed, as depository, by any trust company, bank, banker or member of a national securities exchange (wherever situated), if such certificate is in form satisfactory to the Master Trustee, showing that at the date therein mentioned such Person had on deposit with such depository, or exhibited to it, the Master Obligations held in bearer form therein described; or such facts may be proved by the certificate or affidavit of the Person executing such instrument or writing as a Holder of Master Obligations, if such certificate or affidavit is in form satisfactory to the Master Trustee. The Master Trustee and the Obligated Group Members may assume that such ownership of any Master Obligation held in bearer form continues until (i) another certificate bearing a later date issued in respect of the same Master Obligation is produced, or (ii) such Master Obligation is produced by some other Person, or (iii) such Master Obligation is registered as to principal or is surrendered in exchange for a Master Obligation in registered form, or (iv) such Master Obligation is no longer Outstanding.

(c) The fact and date of execution of any such instrument or writing and the amount and numbers of Master Obligations in bearer form held by the Person so executing such instrument or writing may also be proved in any other manner which the Master Trustee deems sufficient; and the Master Trustee may in any instance require further proof with respect to any of the matters referred to in this Section.

(d) The ownership of Master Obligations in registered form shall be proved by the Master Obligation Register.

(e) Any request, demand, authorization, direction, notice, consent, waiver or other action by the Holder of any Master Obligation shall bind every future Holder of the same Master

Obligation and the Holder of every Master Obligation issued upon the transfer thereof or in exchange therefor or in lieu thereof, in respect of anything done or suffered to be done by the Master Trustee or the Obligated Group Members in reliance thereon, whether or not notation of such action is made upon such Master Obligation.

Section 1.05 Notices, etc. to Master Trustee and Obligated Group Members. Any request, demand, authorization, direction, notice, consent, waiver or Act of Holders of Master Obligations or other document provided or permitted by this Master Indenture to be made upon, given or furnished to, or filed with:

(a) The Master Trustee by any Holder of Master Obligations or by any specified Person shall be sufficient for every purpose hereunder if actually received by Wilmington Trust, National Association, 25 South Charles Street, Baltimore, Maryland 21201, or at any other address previously furnished in writing to the Obligated Group Representative by the Master Trustee;

(b) The Obligated Group Members by the Master Trustee or by any Holder of Master Obligations shall be sufficient for every purpose hereunder if in writing and mailed, registered or certified first class postage prepaid, to the Obligated Group Representative addressed to it c/o Friends House Retirement Community, 17340 Quaker Lane, Sandy Spring, Maryland 20860, Attention: Executive Director, or at any other address previously furnished in writing to the Master Trustee by the Obligated Group Representative.

The Master Trustee shall have the right to accept and act upon instructions, including funds transfer instructions (“Instructions”) given pursuant to this Master Indenture and delivered using Electronic Means; provided, however, that the Obligated Group Representative shall provide to the Master Trustee an incumbency certificate listing officers of the Members of the Obligated Group with the authority to provide such Instructions (“Authorized Officers”) and containing specimen signatures of such Authorized Officers, which incumbency certificate shall be amended by the Obligated Group Representative whenever a person is to be added or deleted from the listing. If the Obligated Group Representative elects to give the Master Trustee Instructions using Electronic Means and the Master Trustee in its discretion elects to act upon such Instructions, the Master Trustee’s understanding of such Instructions shall be deemed controlling. The Members of the Obligated Group understand and agree that the Master Trustee cannot determine the identity of the actual sender of such Instructions and that the Master Trustee shall conclusively presume that directions that purport to have been sent by an Authorized Officer listed on the incumbency certificate provided to the Master Trustee have been sent by such Authorized Officer. The Obligated Group Representative shall be responsible for ensuring that only Authorized Officers transmit such Instructions to the Master Trustee and that the Obligated Group and all Authorized Officers are solely responsible to safeguard the use and confidentiality of applicable user and authorization codes, passwords and/or authentication keys upon receipt by the Obligated Group. The Master Trustee shall not be liable for any losses, costs or expenses arising directly or indirectly from the Master Trustee’s reliance upon and compliance with such Instructions notwithstanding such directions conflict or are inconsistent with a subsequent written instruction. The Members of the Obligated Group agree: (i) to assume all risks arising out of the use of Electronic Means to submit Instructions to the Master Trustee, including without limitation the risk of the Master Trustee acting on unauthorized Instructions,

and the risk of interception and misuse by third parties; (ii) that it is fully informed of the protections and risks associated with the various methods of transmitting Instructions to the Master Trustee and that there may be more secure methods of transmitting Instructions than the method(s) selected by the Obligated Group Representative; (iii) that the security procedures (if any) to be followed in connection with its transmission of Instructions provide to it a commercially reasonable degree of protection in light of its particular needs and circumstances; and (iv) to notify the Master Trustee immediately upon learning of any compromise or unauthorized use of the security procedures.

Section 1.06 Notices to Holders of Obligations; Waiver. Where this Master Indenture provides for notice to Holders of Master Obligations of any event, such notice shall be sufficiently given (unless otherwise herein expressly provided) if in writing and mailed, first class postage prepaid, to each Holder of such Master Obligations, at its address as it appears on the Master Obligation Register, not later than the latest date, and not earlier than the earliest date, prescribed for the transmission of such notice; provided, however, if notice is permitted by the terms of this Master Indenture to be sent by electronic mail, the provisions of Section 1.05 hereof shall apply. Where this Master Indenture provides for notice in any manner, such notice may be waived in writing by the Person entitled to receive such notice, either before or after the event, and such waiver shall be the equivalent of such notice. Waivers of notice by Holders of Master Obligations shall be filed with the Master Trustee, but such filing shall not be a condition precedent to the validity of any action taken in reliance upon such waiver.

Section 1.07 Notices to Rating Agencies. If any of the Bonds are then rated by a Rating Agency, the Obligated Group Representative shall give prompt notice to such Rating Agency of any of the following events:

- (a) any Event of Default hereunder;
- (b) the incurrence by any Obligated Group Member of any Long-Term Indebtedness;
- (c) any addition to or withdrawal from the Obligated Group; and
- (d) any Hedge Agreement entered into by any Obligated Group Member.

Section 1.08 Effect of Headings and Table of Contents. The Article and Section headings herein and the Table of Contents are for convenience only and shall not affect the construction hereof.

Section 1.09 Successors and Assigns. All covenants and agreements in this Master Indenture by the Obligated Group Members shall bind their respective successors and assigns, whether so expressed or not.

Section 1.10 Severability Clause. In case any provision in this Master Indenture or in the Master Obligations shall be invalid, illegal or unenforceable, the validity, legality and enforceability of the remaining provisions shall not in any way be affected or impaired thereby.

Section 1.11 Governing Law. This Master Indenture shall be construed in accordance with and governed by the laws of the State of Maryland.

Section 1.12 U.S.A. PATRIOT Act. The Obligated Group acknowledges that, in accordance with Section 326 of the U.S.A. PATRIOT Act, the Master Trustee, like all financial institutions and in order to help fight the funding of terrorism and money laundering, is required to obtain, verify and record information that identifies each person or legal entity that establishes a relationship or opens an account with the Master Trustee. The parties to this Master Indenture agree that they will provide the Master Trustee with such information as it may request in order for the Master Trustee to satisfy the requirements of the U.S.A. PATRIOT Act.

[End of Article I]

**ARTICLE II
THE MASTER OBLIGATIONS**

Section 2.01 Series and Amount of Master Obligations.

(a) Master Obligations shall be issued under this Master Indenture in series created by Supplemental Master Indentures permitted hereunder. Each series shall be designated to differentiate the Master Obligations of such series from the Master Obligations of any other series. No Master Obligation issued hereunder shall be secured on a basis senior to other Master Obligations (other than Master Obligations which constitute Subordinated Obligations); provided, however, that the provision of a Hedge Agreement, a Credit Facility or the establishment of a debt service reserve fund or account for the benefit of the Holders of certain Master Obligations shall not be considered as the providing of security for such Master Obligations. The number of series of Master Obligations that may be created under this Master Indenture is not limited. The aggregate principal amount of Master Obligations of each series that may be created under this Master Indenture is not limited except as restricted by Supplemental Master Indenture and the provisions of Article IV of this Master Indenture.

(b) Any Obligated Group Member proposing to incur Indebtedness, other than the Initial Master Obligations, whether evidenced by Master Obligations issued pursuant to a Supplemental Master Indenture or by evidences of Indebtedness issued pursuant to documents other than this Master Indenture, shall give written notice of its intention to incur such Indebtedness, including in such notice the amount of Indebtedness to be incurred, to the Obligated Group Representative and the other Obligated Group Members. The Obligated Group Representative shall provide the Master Trustee with a copy of any such notice it receives prior to the date such Indebtedness is to be incurred. Any such Obligated Group Member, other than the Obligated Group Representative, proposing to incur such Indebtedness other than the Initial Master Obligations shall obtain the written consent of the Obligated Group Representative, which consent shall be evidenced by an Officer's Certificate of the Obligated Group Representative filed with the Master Trustee or an endorsement to such Indebtedness signed by the Obligated Group Representative, a copy of which shall be filed with the Master Trustee. The Initial Master Obligations are issued simultaneously with the execution and delivery hereof.

Section 2.02 Appointment of Obligated Group Representative. Each Obligated Group Member, by becoming an Obligated Group Member, irrevocably appoints the Obligated Group Representative as its agent and true and lawful attorney in fact and grants to the Obligated Group Representative (a) full and exclusive power to execute Supplemental Master Indentures authorizing the issuance of Master Obligations or series of Master Obligations, (b) full and exclusive power to execute Master Obligations for and on behalf of the Obligated Group and each Obligated Group Member, (c) full and exclusive power to execute Supplemental Master Indentures on behalf of the Obligated Group and each Obligated Group Member pursuant to Sections 9.01 and 9.02 hereof and (d) full power to prepare, or authorize the preparation of, any and all documents, certificates or disclosure materials reasonably and ordinarily prepared in connection with the issuance of Master Obligations hereunder, or Related Bonds associated therewith, and to execute and deliver such items to the appropriate parties in connection therewith.

Section 2.03 Execution and Authentication of Master Obligations. All Master Obligations shall be executed for and on behalf of the Obligated Group and the Obligated Group Members by an Authorized Representative of the Obligated Group Representative. The signature of any such Authorized Representative may be manual or may be mechanically or photographically reproduced on the Master Obligation. If any Authorized Representative whose signature appears on any Master Obligation ceases to be such Authorized Representative before delivery thereof, such signature shall remain valid and sufficient for all purposes as if such Authorized Representative had remained in office until such delivery. Each Master Obligation shall be manually authenticated by an authorized officer of the Master Trustee, without which authentication no Master Obligation shall be entitled to the benefits hereof.

The Master Trustee's authentication certificate shall be substantially in the following form:

MASTER TRUSTEE'S AUTHENTICATION CERTIFICATE

This [Master Obligation] is one of the Master Obligations referred to in the aforementioned Master Indenture.

Date of Authentication: Wilmington Trust, National Association, as Master Trustee

By: _____
Authorized Signatory

Section 2.04 Supplemental Master Indenture Creating Master Obligations. The Obligated Group Representative (on behalf of the Obligated Group and the Obligated Group Members) and the Master Trustee may from time to time enter into a Supplemental Master Indenture in order to create Master Obligations hereunder. Each Supplemental Master Indenture authorizing the issuance of Master Obligations shall specify and determine the date of the Master Obligations, the principal amount thereof, the purposes for which such Master Obligations are being issued, the form, title, designation and the manner of numbering or denominations, if applicable, of such Master Obligations, the date or dates of maturity of such Master Obligations, the rate or rates of interest (or method of determining the rate or rates of interest) and premium, if any, borne by such Master Obligations, the arrangement for place and medium of payment and any other provisions deemed advisable or necessary. Each Master Obligation shall be issuable, shall be transferable and exchangeable and shall be subject to redemption as specified in this Master Indenture and in the Supplemental Master Indenture. Any Master Obligation to be held by a Related Bond Trustee in connection with the issuance of Related Bonds shall be in the principal amount equal to the aggregate principal amount of such Related Bonds and shall be registered in the name of the Related Bond Trustee as assignee of the issuer of the Related Bonds. Unless a Master Obligation has been registered under the Securities Act of 1933, as amended (or similar legislation subsequently enacted), each such Master Obligation shall be endorsed with a legend which shall read substantially as follows: "This [describe Master Obligation] has not been registered under the Securities Act of 1933 or any state securities law (or any such similar subsequent legislation);" provided, however, such legend shall not be

required if the Master Trustee is provided with an Opinion of Counsel to the effect that such legend is not required.

A Supplemental Master Indenture and the Master Obligations issued thereunder may contain, as applicable, provisions relating to a Credit Facility, as well as any and all compatible provisions necessary in order to make the Master Obligations meet the requirements of the provider of such Credit Facility. Similarly, a Supplemental Master Indenture may provide for Master Obligations to be issued in fixed or variable rate forms, as the case may be, with such tender and redemption provisions as may be deemed necessary for the issuance thereof and provide for the execution of required documents necessary for such purposes, and may specifically subordinate payment, remedies and any other provisions of the Master Obligations issued thereunder to the provisions of any other Master Obligations.

Section 2.05 Conditions to Issuance of Master Obligations Hereunder. With respect to Master Obligations created hereunder, simultaneously with or prior to the execution, authentication and delivery of Master Obligations pursuant to this Master Indenture:

(a) The Obligated Group Representative (on behalf of the Obligated Group and the Obligated Group Members) shall have delivered to the Master Trustee an Obligated Group Representative Request for the authentication of any such Master Obligation, the Master Trustee shall have entered into a Supplemental Master Indenture as provided in Section 2.04 hereof, and all requirements and conditions to the issuance of such Master Obligations set forth in the Supplemental Master Indenture and in this Master Indenture, including, without limitation, the provisions of Section 4.18 hereof (provided that such provisions shall not be applicable to the Initial Master Obligations), shall have been complied with and satisfied, as provided in an Officer's Certificate of the Obligated Group Representative, a copy of which shall be delivered to the Master Trustee;

(b) The Obligated Group Representative shall have delivered to the Master Trustee an Opinion of Counsel to the effect that (i) registration of such Master Obligations under the Securities Act of 1933, as amended, and qualification of this Master Indenture or the Supplemental Master Indenture under the Trust Indenture Act of 1939, as amended, is not required, or, if such registration or qualification is required, that all applicable registration and qualification provisions of said acts have been complied with, and (ii) this Master Indenture, any Supplemental Master Indenture and the Master Obligations are valid, binding and enforceable obligations of each of the Obligated Group Members in accordance with their terms, except as enforceability may be limited by bankruptcy, insolvency, fraudulent conveyance and other laws affecting creditors' rights generally, usual equity principles and other customary exclusions, including an exclusion for indemnification by the Obligated Group for a party's own negligence;

(c) Prior to the initial issuance of any Master Obligations, (i) the Deed of Trust shall have been delivered to a title insurance company acceptable to the Master Trustee, to be recorded among the land records of the jurisdiction in which the Facilities to be financed and the Mortgaged Property are located, and (ii) the Obligated Group Members shall have delivered to the Master Trustee a mortgagee title insurance policy (on the current ALTA edition) in the aggregate amount of all Master Obligations secured by the Deed of Trust (and the title insurance company shall have agreed to insure the "gap"). Such policy must insure that good and marketable fee

simple title to the property covered thereby is vested of record in the Obligor, that the lien of the Deed of Trust is a first lien on the Mortgaged Property, and that title to such Mortgaged Property is subject only to those covenants, conditions, restrictions, easements, rights of way and other matters of record that are acceptable to the Master Trustee. The Obligated Group Members must provide to the Master Trustee, for the Master Trustee's approval, copies of all documents described or referred to in the title insurance policy. Such policy must insure affirmatively against any mechanics' and materialmen's liens and must contain such additional affirmative coverages and endorsements as the Master Trustee may reasonably require (including, without limitation, comprehensive, same as survey, access, subdivision, separate tax lot, interest rate swap and zoning endorsements) and otherwise must be satisfactory to the Master Trustee in all respects.

(d) Prior to the issuance of any Master Obligations under any Supplemental Master Indenture following the first Supplemental Master Indenture, the Obligated Group Members shall have executed and delivered to the Master Trustee (i) an amendment or supplement to or other modification of the Deed of Trust, or a new Deed of Trust, as necessary to increase the amount secured thereby to include the Master Obligations being issued pursuant to such Supplemental Master Indenture or to add the financed facilities as Mortgaged Property, together with evidence of delivery thereof to the title company, and (ii) an endorsement to the mortgagee title insurance policy increasing the amount insured thereby to the aggregate amount of all Master Obligations secured by the Deed of Trust, insuring the "gap" with respect to the amendment or supplement to or other modification of the Deed of Trust, and confirming that the lien of the Deed of Trust is a first lien on the Mortgaged Property, and that title to such Mortgaged Property is vested in the Obligor subject only to those covenants, conditions, restrictions, easements, rights of way and other matters of record that are acceptable to the Master Trustee;

(e) The Obligated Group Representative shall have delivered to the Master Trustee copies of Uniform Commercial Code of the State of Maryland financing statements filed (or delivered to the title company for filing) pursuant to Section 4.03, and the Master Trustee will have received evidence satisfactory to it that there are no conflicting financing statements or security interests; and

(f) Such other documents as the Master Trustee may reasonably request.

Section 2.06 List of Holders of Master Obligations. The Master Trustee shall keep on file at its office the Master Obligation Register which shall consist of a list of the names and addresses of the Holders of all Master Obligations. After reasonable notice to the Master Trustee, at reasonable times and under reasonable regulations established by the Master Trustee, the Master Obligation Register may be inspected and copied by any Obligated Group Member, the Holder of any Master Obligation or the authorized representative thereof, provided that the ownership by such Holder and the authority of any such designated representative shall be evidenced to the satisfaction of the Master Trustee.

Section 2.07 Optional and Mandatory Redemption. Master Obligations of each series shall be subject to optional and mandatory redemption in whole or in part and may be redeemed prior to maturity, as provided in the Supplemental Master Indenture creating such series, but not otherwise.

Section 2.08 Mutilated, Destroyed, Lost and Stolen Master Obligations. If (a) any mutilated Master Obligation is surrendered to the Master Trustee, or the Obligated Group Representative and the Master Trustee receive evidence to their satisfaction of the destruction, loss or theft of any Master Obligation, and (b) there is delivered to the Master Trustee such security or indemnity as may be required by the Master Trustee to save it and the Obligated Group Representative harmless, then, in the absence of notice to the Obligated Group Representative or the Master Trustee that such Master Obligation has been acquired by a bona fide purchaser, the Obligated Group Representative shall execute and upon its request the Master Trustee shall authenticate and deliver in exchange for or in lieu of any such mutilated, destroyed, lost or stolen Master Obligation a new Master Obligation of like tenor, series, interest rate and principal amount, bearing a number not contemporaneously outstanding.

In case any such mutilated, destroyed, lost or stolen Master Obligation has become or is about to become due and payable, the Obligated Group Representative in its discretion may, instead of issuing a new Master Obligation, pay such Master Obligation. Upon the issuance of any new Master Obligation under this Section, the Obligated Group Representative and the Master Trustee may require the payment of a sum sufficient to cover any tax or other governmental charge that may be imposed in relation thereto and any other expenses (including the fees and expenses of the Master Trustee) connected therewith. Every new Master Obligation issued pursuant to this Section in lieu of any destroyed, lost or stolen Master Obligation shall constitute an original additional contractual obligation of the maker thereof, whether or not the destroyed, lost or stolen Master Obligation shall be at any time enforceable by anyone, and shall be entitled to all the benefits and security of this Master Indenture equally and proportionately with any and all other Master Obligations duly issued hereunder.

The provisions of this Section are exclusive and shall preclude (to the extent lawful) all other rights and remedies with respect to the replacement or payment of mutilated, destroyed, lost or stolen Master Obligations.

Section 2.09 Cancellation. All Master Obligations surrendered for payment, redemption, transfer or exchange shall, if delivered to any Person other than the Master Trustee, be delivered to the Master Trustee and, if not already canceled or required to be otherwise delivered by the terms of the Supplemental Master Indenture authorizing the series of Master Obligations of which such Master Obligation is a part, shall be promptly canceled by it. The Obligated Group Representative may at any time deliver to the Master Trustee for cancellation any Master Obligations previously authenticated and delivered hereunder, which the Obligated Group Representative may have acquired in any manner whatsoever, and all Master Obligations so delivered shall be promptly canceled by the Master Trustee. No Master Obligations shall be authenticated in lieu of or in exchange for any Master Obligations canceled as provided in this Section, except as expressly permitted by this Master Indenture. All canceled Master Obligations held by the Master Trustee shall be treated by the Master Trustee in accordance with its current document retention policies.

[End of Article II]

ARTICLE III FUNDS AND ACCOUNTS

Section 3.01 Revenue Fund.

(a) If an Event of Default under Section 7.01(a) of this Master Indenture shall occur and continue for a period of five days, the Master Trustee shall open a fund called "Revenue Fund – Friends House Retirement Community Project" and each Obligated Group Member shall deposit or cause to be deposited with the Master Trustee all Gross Revenues of such Obligated Group Member and any set-off amounts from any Holder pursuant to Section 7.18 during each succeeding month, beginning on the first day thereof and on each day thereafter, until no default under Section 7.01(a) of this Master Indenture or in the payment of any other Master Obligations then exists.

(b) On the fifth (5th) Business Day preceding the end of each month in which any Obligated Group Member has made payments to the Master Trustee for deposit into the Revenue Fund or such earlier date as directed by the Holders of the majority of Outstanding Master Obligations (other than Subordinated Obligations), the Master Trustee shall withdraw and pay or deposit from the amounts on deposit in the Revenue Fund the following amounts in the order indicated:

FIRST: To the payment of refunds owed to residents of the Community, as demonstrated by an Officer's Certificate;

SECOND: To the payment of all Administrative Expenses;

THIRD: To an operating account designated by the Obligated Group Representative (which shall not be subject to the lien of this Master Indenture), the amount necessary to pay the Expenses due or expected to become due in the month following the month in which such transfer is made, all as set forth in the then-current Annual Budget and including any rebate amounts due and to be deposited in any rebate fund established under any Related Bond Indenture; provided that if the principal of all the Master Obligations has been declared to be due and payable immediately, and if, as an alternative to payment under the preceding clause, in its sole discretion, the Master Trustee determines payment under this proviso is in the best interest of the Holders of the Outstanding Master Obligations or is directed by the Holders of not less than 25% in principal amount of the Outstanding Master Obligations except the Subordinated Obligations to proceed under this proviso, to pay the amounts required by paragraph FOURTH below;

FOURTH: To the payment of the amounts then due and unpaid upon the Master Obligations other than Subordinated Obligations for principal, premium, if any, and interest in respect of which or for the benefit of which such money has been collected, ratably, without preference or priority of any kind (except as may otherwise be provided in a Supplemental Master Indenture with respect to withdrawals from the Debt Service Reserve Fund), according to the amounts due

and payable on such Master Obligations for principal, premium, if any, and interest, respectively;

FIFTH: To restore any deficiency in the Debt Service Reserve Fund;

SIXTH: If the amounts then due and unpaid upon all Master Obligations other than Subordinated Obligations have been paid in full, to the payment of the amounts then due and unpaid upon any Subordinated Obligations for principal, premium, if any, and interest, without preference or priority of any kind except as provided in the Supplemental Master Indenture pursuant to which such Subordinated Obligations were issued; and

SEVENTH: any amounts remaining shall be deposited in the Surplus Account of the Revenue Fund.

(c) The moneys held in the Surplus Account of the Revenue Fund (i) may be used to pay any of items FIRST through SIXTH above and (ii) may be released to the Obligated Group so long as (A) there are no deficiencies in the Debt Service Reserve Fund, (B) the Obligated Group met the Debt Service Coverage Ratio covenant under Section 4.12, the Liquidity Requirement under Section 4.13, and the Marketing Requirements and the Occupancy Requirements under Section 4.14 for the most recent Fiscal Year, if applicable for such Fiscal Year, and (C) no Event of Default has then occurred and is continuing.

If the Revenue Fund is in effect and there are not sufficient funds to pay items FIRST through FOURTH, or if the Revenue Fund is not in effect and the Obligated Group does not have sufficient Revenues in its operating account to pay items FIRST through FOURTH, money will be withdrawn from the Debt Service Reserve Fund.

(d) The money deposited to the Revenue Fund, together with all investments thereof and investment income therefrom, shall be held in trust and applied solely as provided in this Section and in Section 7.08 hereof. Pending disbursements of the amounts on deposit in the Revenue Fund, the Master Trustee shall promptly invest and reinvest such amounts in accordance with Section 3.02 hereof. All such investments shall have a maturity not greater than 91 days from date of purchase.

(e) Except as described in Section 3.01(a) herein, each Obligated Group Member shall be entitled to full possession and use of its Gross Revenues other than Entrance Fees required to be transferred to the Master Trustee for deposit in the Entrance Fee Fund.

Section 3.02 Investment of Funds.

Any moneys held by the Master Trustee hereunder as part of any fund or account established under this Master Indenture shall be invested or reinvested by the Master Trustee in Permitted Investments upon the receipt of an Obligated Group Representative Request (upon which the Master Trustee is entitled to rely). Any such investments shall be held by or under the control of the Master Trustee and shall mature, or be redeemable at the option of the Master Trustee, at such times as it is anticipated by the Obligated Group Representative that moneys from the particular fund will be required for the purposes of this Master Indenture. For the

purpose of any investment or reinvestment under this Section, investments shall be deemed to mature at the earliest date on which the obligor is, on demand, obligated to pay a fixed sum in discharge of the whole of such obligation. Any Permitted Investments may be purchased from or sold to the Master Trustee or any of its respective affiliates. The Master Trustee shall have no responsibility to monitor the ratings of investments after the initial purchase of such investments. The Master Trustee may make any and all such investments through its own investment department or that of its affiliates or subsidiaries and may charge its ordinary and customary fees for such trades. In the absence of written investment instructions from the Obligated Group Representative, the Master Trustee shall hold funds on deposit without investment and without liability for interest or other compensation thereon and shall not be responsible or liable for keeping the moneys held by it hereunder fully invested. Confirmations of investments are not required to be issued by the Master Trustee for each month in which a monthly statement is rendered.

The Master Trustee shall keep or cause to be kept proper and detailed books of record and account containing complete and correct entries of all transactions relating to the receipt, investment, disbursement, allocation and application of the moneys held under this Master Indenture. The Master Trustee shall make copies of such records available to the Obligated Group Representative upon its reasonable written request.

Section 3.03 Allocation and Transfers of Investment Income. Any investments in any fund or account shall be held by or under the control of the Master Trustee and shall be deemed at all times a part of the fund or account from which the investment was made. Any loss resulting from such investments shall be charged to such fund or account.

Section 3.04 Master Trustee Relieved From Responsibility. The Master Trustee shall be fully protected in relying upon any Obligated Group Representative Request relating to investments in any fund, shall not be liable for any losses or prepayment penalties as a result of complying with any such Obligated Group Representative Request and shall not be required to ascertain any facts with respect to such Request.

[End of Article III]

**ARTICLE IV
COVENANTS OF THE OBLIGATED GROUP MEMBERS**

Section 4.01 Title to Trust Estate and Lien of this Instrument and Deed of Trust.

Each Obligated Group Member has good and indefeasible title to its portion of the Trust Estate free and clear of any liens, charges, encumbrances, security interests and adverse claims whatsoever except Permitted Liens. Each Obligated Group Member represents that it has the right to mortgage or grant a security interest in its portion of the Trust Estate and will warrant and defend to the Master Trustee the title and the lien of this Master Indenture and the Deed of Trust as valid and enforceable liens thereon or security interests therein. This Master Indenture and the Deed of Trust constitute valid and subsisting liens on the Trust Estate, all in accordance with the terms hereof.

Section 4.02 Further Assurances. Each Obligated Group Member, upon the request of the Master Trustee, will execute, acknowledge, deliver and record and/or file such further instruments and do such further acts as may be necessary, desirable or proper to carry out more effectively the purpose of this Master Indenture and the Deed of Trust to subject the Trust Estate to the liens and security interests of this Master Indenture and the Deed of Trust. Each Obligated Group Member, to the extent that Gross Revenues are not on deposit with the Master Trustee pursuant to the provisions of this Master Indenture, shall take such actions as are necessary to cause the Master Trustee to have and maintain "control" (within the meaning of Section 8-106 and 9-104 of the Uniform Commercial Code) of all deposit accounts with any depository institution maintaining such accounts in which any Gross Revenues are on deposit such that the security interests granted by this Master Indenture will constitute valid and perfected security interests in such Gross Revenues in favor of the Master Trustee, enforceable in accordance with the terms hereof, against all creditors of such Obligated Group Members and is and will be prior to all other liens or security interests on such Gross Revenues under applicable law.

Section 4.03 Recording and Filing. The Obligated Group Members shall cause the Deed of Trust and all other instruments necessary to create, perfect and/or preserve the liens and security interests granted hereunder and all amendments and supplements thereto and substitutions therefor to be recorded, filed, re-recorded and refiled in such manner and in such places as are necessary to protect the lien on and security interests in the Trust Estate and will pay all such recording, filing, re-recording and refiling taxes, fees and other charges. In addition to the rights granted under Section 11.06 hereof, each Obligated Group Member hereby authorizes the Master Trustee at any time and from time to time to file any amendments to financing statements and any continuation statements as authorized by applicable law to maintain the perfection of the security interest in the Trust Estate granted to the Master Trustee. For purposes of such filings, each Obligated Group Member agrees to furnish any information requested by the Master Trustee promptly upon request by the Master Trustee. Each Obligated Group Member hereby irrevocably constitutes and appoints the Master Trustee and any officer or agent of the Master Trustee, with full power of substitution, as its true and lawful attorneys in fact with full irrevocable power and authority in the place and stead of such Obligated Group Member or in the Obligated Group Member's own name to execute in the Obligated Group Member's name any documents and otherwise to carry out the purposes of this Section 4.03, to the extent that the Obligated Group Member's authorization above is not sufficient. To the extent permitted by law, each Obligated Group Member hereby ratifies all acts said attorneys in

fact have lawfully done in the past or shall lawfully do or cause to be done in the future by virtue hereof. This power of attorney is coupled with an interest and shall be irrevocable. Information concerning the security interest herein granted may be obtained at the addresses of the Obligated Group Representative as set forth in Section 1.05 of this Master Indenture.

Section 4.04 Payment of Principal, Premium and Interest. The Obligated Group Representative will duly and punctually pay the principal of, premium, if any, and interest on the Master Obligations in accordance with the terms of the Master Obligations and this Master Indenture.

Each Obligated Group Member hereby jointly and severally unconditionally guarantees the full and timely payment of the principal of, premium, if any, and interest on all Outstanding Master Obligations which such Person has not created or otherwise made (and on which such Person is not otherwise primarily liable) in accordance with the terms thereof, whether at Stated Maturity, declaration of acceleration, call for redemption or otherwise. Such guaranty shall not be affected, modified or impaired upon the happening from time to time of any event, other than the payment of such Master Obligations (or provision therefor), including, without limitation, any of the following, whether or not with notice to, or the consent of, the guarantor:

- (a) The waiver, compromise, settlement, release or termination by any Person of the obligations evidenced by such Master Obligations or any covenant or security in support thereof;
- (b) The failure to give notice to the guarantor of the occurrence of an event of default under the terms and provisions of this Master Indenture or any agreement under which such Master Obligations are created, assumed, guaranteed or secured;
- (c) Any failure, omission or delay on the part of the Master Trustee or the Holder of such Master Obligations to enforce, assert or exercise any right, power or remedy conferred on the Master Trustee or such Holder in this Master Indenture or any other agreement under which such Master Obligations are created, assumed, guaranteed or secured;
- (d) The voluntary or involuntary liquidation, dissolution, sale or other disposition of all or substantially all the assets, marshaling of assets and liabilities, receivership, insolvency, bankruptcy, assignment for the benefit of creditors, reorganization or arrangement under bankruptcy or similar laws, composition with creditors or readjustment of or other similar proceedings affecting any such guarantor or any other obligor on Master Obligations;
- (e) The invalidity, irregularity, illegality, unenforceability or lack of value of or any defect in any of the Master Obligations so guaranteed or any collateral security therefor; or
- (f) To the extent permitted by law, any event or action that would, in the absence of this Section, result in the release or discharge by operation of laws of such guarantor from the performance or observance of any obligation, covenant or agreement contained in this Master Indenture.

Section 4.05 Payment of Taxes and Other Claims. Each Obligated Group Member will pay or discharge or cause to be paid or discharged, before the same shall become delinquent, (a) all taxes, assessments and other governmental charges lawfully levied or assessed or imposed

upon it or upon its income, profits or property and (b) all lawful claims for labor, materials and supplies which, if unpaid, might by law become a lien upon its property; provided, however, that no such Person shall be required to pay and discharge or cause to be paid and discharged any such tax, assessment, governmental charge or claim to the extent that the amount, applicability or validity thereof shall currently be contested in good faith by appropriate proceedings and such Person shall have established and shall maintain adequate reserves on its books for the payment of the same.

Section 4.06 Maintenance of Properties. Each Obligated Group Member will cause all its properties used or useful in the conduct of its business to be maintained and kept in good condition, repair and working order and supplied with all necessary equipment, ordinary wear and tear, casualty, condemnation and acts of God excepted. Each Obligated Group Member will cause to be made all necessary repairs, renewals, replacements, betterments and improvements thereof, all as in the judgment of the Obligated Group Representative may be necessary so that the business carried on in connection therewith may be properly and advantageously conducted at all times; provided, however, that nothing in this Section shall prevent any such Person from discontinuing the operation and maintenance of any of its properties if such discontinuance is, in the judgment of such Person (and in the opinion of the Governing Body of such Person if the property involved is any substantial part of the properties of such Person taken in the aggregate), desirable in the conduct of its business and not disadvantageous in any material respect to the Holders of the Master Obligations.

Section 4.07 Corporate Existence; Status of Obligated Group.

(a) Subject to Section 5.01, each Obligated Group Member will do or cause to be done all things necessary to preserve and keep in full force and effect its corporate existence, rights (charter and statutory) and franchises; provided, however, that no Person shall be required to preserve any right or franchise if the Governing Body of such Person shall determine that the preservation thereof is no longer desirable in the conduct of its business and that the loss thereof is not disadvantageous in any material respect to the Holders of the Master Obligations.

(b) The Obligor's exact legal name is correctly set forth at the beginning of this Master Indenture, and the Obligor is an organization of the type specified in the first paragraph of this Master Indenture. The Obligor is formed or incorporated in or organized under the laws of the State of Maryland and is duly authorized to conduct business in the State of Maryland. The Obligor will not cause or permit any change to be made in its name or identity unless the Obligor shall have first notified the Master Trustee in writing of such change at least 30 days prior to the effective date of such change and shall have first taken all action required by the Master Trustee for the purpose of perfecting or protecting the lien and security interest of the Master Trustee. The place where the Obligor keeps its books and records, including recorded data of any kind or nature, regardless of the medium or recording, including software, writings, plans, specifications and schematics, has been for the preceding two months and will continue to be the address of the Obligor set forth in Section 1.05 hereof (unless the Obligor notifies the Master Trustee in writing at least 30 days prior to the date of such change).

(c) Each Obligated Group Member covenants and agrees to take all action necessary to preserve its status as a Tax-Exempt Organization.

Section 4.08 Preservation of Qualifications. Each Obligated Group Member will not allow any permit, right, license, franchise or privilege, so long as it is necessary for the ownership or operation of the Trust Estate as a continuing care retirement community, to lapse or be forfeited. If an Obligated Group Member is or becomes a provider of services under and a participant in the Medicare or Medicaid program or any successor program thereto or any program by a federal, state or local government providing for payment or reimbursement for services rendered for health care, such Obligated Group Member shall use its commercially reasonable efforts to remain fully qualified as a provider of services and a participant in such program; provided, however, that no Obligated Group Member shall be required to maintain any such qualification if (a) the Governing Board of such Person shall determine that the maintenance of such qualification is not in the best economic interest of such Person and (b) at least 30 days prior to the discontinuance of such qualification, such Person shall notify the Initial Underwriter of such proposed discontinuance and shall provide the Initial Underwriter with a written explanation of the basis for such determination.

Section 4.09 Additions to Facilities. Any additions, improvements and extensions to the Facilities of any Member and repairs, renewals and replacements thereof, including, without limitation, any capital improvements, shall upon their acquisition become part of such Facilities.

Section 4.10 Insurance. Each Member of the Obligated Group shall maintain insurance covering such risks and in such amounts as, in its reasonable judgment, is adequate to protect it and its properties and operations. Each Member of the Obligated Group which owns or operates health care facilities shall also maintain insurance covering the risk of professional and medical malpractice in such amounts as, in its reasonable judgment, is adequate to protect the Obligated Group and its operations. The Master Trustee shall be an additional insured under Obligated Group insurance policies other than those related to malpractice liability insurance. The insurance required to be maintained pursuant hereto shall be subject to the review and approval of an Insurance Consultant as provided in this Section 4.10, and the Obligated Group shall follow any recommendations of the Insurance Consultant.

The Obligated Group may, upon resolution adopted in good faith by its Governing Body, which resolution shall be delivered to the Master Trustee, and upon the recommendations of an Insurance Consultant, adopt alternative risk management programs which shall be in compliance with applicable governmental rules and regulations including, without limitation, the right: to self-insure in whole or in part; to organize either solely or in connection with others, captive insurance companies; to participate in programs of captive insurance companies organized by others; to establish self-insurance trust funds; to participate in mutual or other cooperative insurance or other risk management programs with others; to participate in or enter into agreements with local, state or Federal governments in order to achieve such insurance; to take advantage of state or Federal statutes or laws now or hereinafter in existence limiting medical and malpractice liability; or to participate in other alternative risk management programs as shall be recommended by said Insurance Consultant.

The Obligated Group Representative shall annually review the insurance each Member maintains as to whether such insurance is customary and adequate. In addition, the Obligated Group Representative shall, at least once every two Fiscal Years with respect to commercial insurance and at least once every Fiscal Year with respect to self-insurance (commencing with its

Fiscal Year ending two Fiscal Years following the completion of the Project), cause a certificate of an Insurance Consultant or Insurance Consultants to be delivered to the Master Trustee within 120 days after the end of the applicable Fiscal Year which indicates that the insurance then being maintained by the Members meets the standards described above. The Obligated Group Representative shall cause copies of its review, or the certificates of the Insurance Consultant or Insurance Consultants, as the case may be, to be delivered promptly to the Master Trustee. The Obligated Group or any Member may self-insure if the Insurance Consultant or Insurance Consultants determine(s) that such self-insurance meets the standards set forth in the first sentence of this paragraph and is prudent under the circumstances; provided, however, that no Member of the Obligated Group shall self-insure any of its Property, Plant and Equipment.

Naming of the Master Trustee as a loss payee or additional insured under any insurance policy, or the furnishing to the Master Trustee of information relating thereto, shall not impose upon the Master Trustee any responsibility or duty to approve the form of such policy, the qualifications of the company issuing same or any other matters relating thereto.

Section 4.11 Insurance Proceeds and Condemnation Awards. Amounts received by any Member as insurance proceeds or as condemnation awards will be applied to the reconstruction, repair or replacement of the damaged or taken property, provided that if the amount is more than \$1,000,000, the Obligated Group must deliver to the Master Trustee (a) contracts showing that the repair or replacement can be completed based on funds available from insurance proceeds, condemnation awards or otherwise, and (b) a forecast that no monetary default will occur prior to completion of such repair or replacement. If the Obligated Group fails to deliver the required forecast, architect's certificate, construction contract, surety bonds or evidence of sufficient funds to the Master Trustee, the net insurance proceeds or condemnation awards will be applied, at the direction of the Obligated Group, to the prepayment of Master Obligations, pro rata; to the redemption of Bonds; or to the open-market purchase of Bonds; or any combination thereof. If the Master Trustee receives a report that the Obligated Group facilities can continue to operate with less than full repair or replacement of damage caused by casualty and demonstrating that the Obligated Group will continue to satisfy the Debt Service Coverage Ratio and the Days' Cash on Hand requirements and other Master Indenture covenants (including maintenance of the Debt Service Reserve Fund), then insurance proceeds may be used to redeem Bonds and any other Indebtedness evidenced by Master Obligations that financed the Property to which such insurance proceeds or condemnation awards relate, to the extent not used to make partial repairs and replacements.

Section 4.12 Debt Service Coverage Ratio Covenant.

(a) Each Member agrees to operate its facilities on a revenue producing basis and to charge such rates and charges for its facilities and services and to exercise such skill and diligence as to provide income from its Property together with other available funds sufficient to pay promptly all payments of principal and interest on its Indebtedness, all expenses of operation, maintenance and repair of its Property and all other payments required to be made by it hereunder to the extent permitted by law. In addition, each Member agrees to, from time to time as often as necessary and to the extent permitted by law, revise its rates, fees and charges in such manner as may be necessary or proper to comply with the provisions of this Section.

(b) Each Member agrees to operate its facilities on a revenue producing basis and to charge such rates and charges for its facilities and services and to exercise such skill and diligence such that the Debt Service Coverage Ratio is at least 1.20 for each Fiscal Year commencing with the Initial Testing Year. The Members agree that the Obligated Group Representative will calculate the Debt Service Coverage Ratio for each fiscal quarter, for the period of four consecutive fiscal quarters ending on the last day of such fiscal quarter, commencing with the Initial Testing Year. The calculations of the Debt Service Coverage Ratio for the first three fiscal quarters of each Fiscal Year are for informational purposes only.

(c) (i) If the Debt Service Coverage Ratio as of the end of any Fiscal Year is less than 1.20 (but not less than 1.00), the Obligated Group Representative shall, within 30 days after delivery of the Officer's Certificate delivered in accordance with Section 4.22 disclosing such deficiency, deliver a report of an Authorized Representative of the Obligated Group Representative making recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group's methods of operation and other factors affecting its financial condition in order to increase the Debt Service Coverage Ratio to at least 1.20 in the future. A copy of such report and recommendations, if any, shall be filed with each Member and each Required Information Recipient promptly upon the delivery thereof.

(ii) If the Debt Service Coverage Ratio as of the end of any Fiscal Year is less than 1.00, or if the Debt Service Coverage Ratio as of the end of any two consecutive Fiscal Years is less than 1.20, the Obligated Group Representative shall, within 30 days after delivery of the Officer's Certificate delivered in accordance with Section 4.22 disclosing such deficiency, engage a Consultant to make recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group's methods of operation and other factors affecting its financial condition in order to increase the Debt Service Coverage Ratio to at least 1.20 in the future. A copy of the Consultant's report and recommendations, if any, shall be filed with each Member and each Required Information Recipient within 60 days after the date the Consultant is engaged.

(iii) Each Obligated Group Member shall use the recommendations delivered pursuant to clause (i) or (ii) of this Section 4.12(c) that are applicable to it to the extent feasible (as determined in the judgment of the Governing Body of the Member) and to the extent permitted by applicable law. This Section 4.12 shall not be construed to prohibit any Member from serving indigent residents to the extent required for such Member to continue its qualification as a Tax-Exempt Organization or from serving any other class or classes of residents without charge or at reduced rates so long as such service does not prevent the Obligated Group from satisfying the other requirements of this Section. The foregoing provisions notwithstanding, if the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year does not meet the levels required above, the Obligated Group shall not be obligated to engage a Consultant to make such recommendations if a Consultant's report was prepared for the previous Fiscal Year (unless the Holders of a majority in principal amount of the Outstanding Master Obligations request a new Consultant's report).

(d) If the Obligated Group fails to achieve a Debt Service Coverage Ratio of 1.20, but achieves a Debt Service Coverage Ratio of at least 1.00 for any Fiscal Year, such failure shall

not constitute an Event of Default under this Master Indenture so long as the Obligated Group takes all action necessary to comply with the procedures set forth above for preparing a report and adopting a plan and complies with the recommendations contained in such report to the extent feasible (as determined in the judgment of the Governing Body of the Obligated Group Representative) and to the extent permitted by law. The foregoing provisions notwithstanding, it shall constitute an Event of Default if either (i) the Debt Service Coverage Ratio for any two consecutive Fiscal Years is less than 1.00, or (ii) the Debt Service Coverage Ratio for any Fiscal Year is less than 1.00 and the Obligated Group has less than 150 Days' Cash on Hand as of the last day of such Fiscal Year. Notwithstanding the foregoing, if the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00 and such failure does not otherwise constitute an Event of Default, the Obligated Group shall, within 15 days of discovery by the Obligated Group of such failure, coordinate with the Master Trustee, the Series 2018B Lender (if the Series 2018B Bond is then outstanding), and the Bond Trustee for any series of Related Bonds to schedule a meeting with the Master Trustee and investors in any series of Related Bonds, which meeting shall be held within 60 days of discovery by the Obligated Group of such failure to discuss the financial results of the preceding Fiscal Year and such other matters as are relevant or are reasonably requested by the holders of the Related Bonds and the Master Trustee. The Obligated Group shall post notice of such meeting to EMMA at least two weeks prior to the scheduled date of such meeting, but shall provide such notice to the Master Trustee.

(e) Notwithstanding any other provisions of this Master Indenture and subject to the conditions set forth in subsection (f) below, in the event that any Obligated Group Member incurs any Additional Indebtedness for any Capital Addition, the Debt Service on such Additional Indebtedness and the Revenues and Expenses relating to the Capital Addition financed with the proceeds of such Additional Indebtedness shall be excluded from the calculation of the Debt Service Coverage Ratio of the Obligated Group for the purposes of complying with this Section 4.12 until the first full Fiscal Year following the earlier of (i) the estimated completion of the Capital Addition being paid for with the proceeds of such Additional Indebtedness provided that such completion occurs no later than six months following the completion date for such Capital Addition set forth in the Consultant's report or Officer's Certificate described in paragraph (f)(A) below, or (ii) if the Capital Addition being paid for with the proceeds of such Additional Indebtedness includes independent living, assisted living, personal care or skilled nursing facilities, (1) the first full Fiscal Year in which Stable Occupancy is achieved, or (2) if sooner than (1), the end of the fifth full Fiscal Year after the incurrence of such Additional Indebtedness.

(f) The following conditions apply to the exclusion set forth in the foregoing subsection (e):

(A) there shall be delivered to the Master Trustee a report or opinion of a Consultant (which shall be a part of any report provided to incur indebtedness under Section 4.18 hereof) to the effect that the Debt Service Coverage Ratio for the first full Fiscal Year (taking into account the Additional Indebtedness to be incurred) following the later of (1) the estimated completion of the Capital Addition being paid for with the proceeds of such Additional Indebtedness, or (2) if the Capital Addition being paid for with the proceeds of such Additional Indebtedness includes independent living, assisted

living, personal care or skilled nursing facilities, the first full Fiscal Year following the year in which Stable Occupancy is achieved, which Stable Occupancy shall be projected to occur no later than during the fifth full Fiscal Year following the incurrence of such Additional Indebtedness, will be not less than 1.20 after giving effect to the incurrence of such Additional Indebtedness and the application of the proceeds thereof; provided further, however, that in the event a Consultant's report is not required to incur such Additional Indebtedness, the Obligated Group may deliver an Officer's Certificate to the Master Trustee in lieu of the Consultant's report described in this paragraph (A); and

(B) there is delivered to the Master Trustee an Officer's Certificate on the date on which financial statements are required to be delivered to the Master Trustee pursuant to Section 4.18 hereof until the first Fiscal Year in which the exclusion from the calculation of the Debt Service Coverage Ratio no longer applies, calculating the Debt Service Coverage Ratio of the Obligated Group at the end of each Fiscal Year and certifying that such Debt Service Coverage Ratio is not less than 1.00, such Debt Service Coverage Ratio to be computed without taking into account (1) the Additional Indebtedness to be incurred if (x) the interest on such Additional Indebtedness during such period is funded from proceeds thereof or other funds of the Member then on hand and available therefor, and (y) no principal of such Additional Indebtedness is payable during such period, and (2) the Revenues to be derived from the Capital Addition to be financed from the proceeds of such Additional Indebtedness.

Section 4.13 Liquidity Covenant. The Obligated Group shall calculate the Days' Cash on Hand of the Obligated Group as of each Liquidity Testing Date. Each Obligated Group Member shall conduct its business so that on each Liquidity Testing Date the Obligated Group shall have no less than 100 Days' Cash on Hand for the Liquidity Testing Dates of December 31, 2018, June 30, 2019 and December 31, 2019, and 120 Days' Cash on Hand for each Liquidity Testing Date thereafter (collectively, the "Liquidity Requirement"). If the number of Days' Cash on Hand as of a Liquidity Testing Date is less than the Liquidity Requirement, the Obligated Group Representative shall, not later than 30 days after receipt of the financial statements disclosing such deficiency, deliver to the Master Trustee a management report setting forth in reasonable detail the reasons for such deficiency and adopting a specific plan setting forth the steps to be taken to achieve the required Days' Cash on Hand by the end of the third full fiscal quarter immediately following the Liquidity Testing Date on which the Days' Cash on Hand was less than the Liquidity Requirement. If the Obligated Group has not achieved the Liquidity Requirement by the end of the third full fiscal quarter following the issuance of the management report, the Obligated Group Representative shall, not later than 60 days after receipt of the financial statements disclosing such deficiency, as applicable, obtain a Management Consultant's recommendations setting forth in detail the reasons for such deficiency and a specific plan setting forth the steps designed to achieve the Liquidity Requirement by the end of the third Liquidity Testing Date immediately following the Liquidity Testing Date on which the Days' Cash on Hand was less than the Liquidity Requirement.

Notwithstanding any other provision of this Master Indenture, failure of the Obligated Group to achieve the Liquidity Requirement for any Fiscal Year shall not constitute an Event of Default hereunder if the Obligated Group (i) takes all action necessary to comply with the procedures in this Master Indenture for retaining a Management Consultant and (ii) follows the

recommendation of the Management Consultant to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Obligated Group Representative) and permitted by law.

This Section shall not be construed to prohibit any Member from serving indigent residents to the extent required for such Member to continue its qualification as a Tax-Exempt Organization or from serving any other class or classes of residents without charge or at reduced rates so long as such service does not prevent the Obligated Group from satisfying the other requirements of this Section.

Section 4.14 Marketing and Occupancy Requirements.

Beginning with the first fiscal quarter ending September 30, 2018, and ending with the first full fiscal quarter following Stable Occupancy, the Obligated Group shall use its best efforts to maintain the percentage of Project Independent Living Units that are reserved with 10% deposits, or for which all related Entrance Fees have been paid, so as to meet the Marketing Requirements (defined below). Commencing with the first fiscal quarter that ends not less than 60 days following the issuance of the first certificate of occupancy for the first building containing Project Independent Living Units, and ending with the first full fiscal quarter following Stable Occupancy (each an “Occupancy Quarter”), the Obligated Group shall use its best efforts to have occupied (i.e. all related Entrance Fees have been paid) the percentage of the total number of all Project Independent Living Units, so as to be in compliance with the Occupancy Requirements (defined below).

Marketing Covenant. Beginning with the first fiscal quarter ending September 30, 2018 and ending at the beginning of the first full fiscal quarter following Stable Occupancy, the Obligated Group will use its best efforts to maintain the percentage of Project Independent Living Units that are Reserved (the “Percentage of Reserved Independent Living Units”) at or above the applicable levels set forth in the table below, which determinations will be measured as of the last day of the applicable quarter (the “Marketing Requirements”).

Quarter Ending	Percentage of Reserved Project Independent Living Units (%)	
	# Units	Percent
September 30, 2018	29	62%
December 31, 2018	31	66
March 31, 2019	33	70
June 30, 2019	36	77
September 30, 2019	39	83
December 31, 2019 and thereafter	41	87

If the Percentage of Reserved Independent Living Units for any fiscal quarter is less than the applicable Marketing Requirement set forth above for that fiscal quarter, the Obligor is required to submit to the Master Trustee, within 30 days of the end of such fiscal quarter, a marketing report prepared by or on behalf of the Obligor (a “Management Marketing Report”)

that includes the following information: (a) the Percentage of Reserved Independent Living Units, including the number of reservations and cancellations of Project Independent Living Units during the immediately preceding fiscal quarter and on an aggregate basis; (b) a forecast, prepared by management of the Obligor, of the number of reservations of Project Independent Living Units expected in the fiscal quarter immediately succeeding the fiscal quarter with respect to which the Management Marketing Report is being prepared; and (c) a description of the sales and marketing plan of the Obligor.

If the Percentage of Reserved Independent Living Units is less than the Marketing Requirement for two successive fiscal quarters, the Obligor is required to retain a Management Consultant within 30 days thereafter to make recommendations regarding the actions to be taken to increase the Percentage of Reserved Independent Living Units to the Marketing Requirements set forth herein for future periods. Notwithstanding anything in this Master Indenture to the contrary, upon the first covenant breach described herein the Obligor is not required to obtain a Management Consultant and instead may itself provide the recommendations provided for in the previous sentence. Within 60 days of retaining any such Management Consultant, the Obligor is required to cause a copy of the Management Consultant’s report and recommendations, if any, to be filed with each Member and each Required Information Recipient. Each Member is required to follow each recommendation of the Management Consultant to the extent feasible (as determined in the reasonable judgment of the Governing Board of such Member) and permitted by law. The Obligated Group will not be required to obtain a Management Consultant’s report in any two consecutive fiscal quarters.

Failure of the Obligated Group to achieve the Marketing Requirements for any fiscal quarter will not constitute an Event of Default under the Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth above for preparing a Management Marketing Report or obtaining a Management Consultant’s report and adopting a plan and follows each recommendation contained in such Management Consultant’s report to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Obligor) and permitted by law.

Occupancy Covenant. The Obligated Group covenants that for each Occupancy Quarter, the Obligated Group will use its best efforts to have Occupied the percentage of the total number of all Project Independent Living Units (the “Percentage of Units Occupied”) at or above the requirements set forth in the table below, which levels are required to be measured as of the last day of the applicable Occupancy Quarter (the “Occupancy Requirements”).

Occupancy Requirements		
Occupancy Quarter	# Units	Percent
1	3	6%
2	13	28
3	25	53
4	38	81
5 and thereafter	41	87

If the Percentage of Units Occupied for any Occupancy Quarter is less than the Occupancy Requirement set forth above for that Occupancy Quarter, the Obligor is required to submit to the Master Trustee, within 30 days of the end of such fiscal quarter, (a) an occupancy report (a “Management Occupancy Report”) that includes the following information: (i) the Percentage of Units Occupied and (ii) the number of reservations and cancellations of Project Independent Living Units during the immediately preceding fiscal quarter and on an aggregate basis; (b) a forecast, prepared by management of the Obligor, of the number of Project Independent Living Units expected to be Occupied in the fiscal quarter immediately succeeding the fiscal quarter with respect to which the Management Occupancy Report is being prepared; and (c) a description of the sales and marketing plan of the Obligor.

If the Percentage of Units Occupied for any two consecutive fiscal quarters is less than the Occupancy Requirement set forth above for those fiscal quarters, the Obligor is required to retain a Management Consultant within thirty (30) days thereafter to make recommendations regarding the actions to be taken to increase the Percentage of Units Occupied to the Occupancy Requirement set forth above for future periods. Notwithstanding anything in this Master Indenture to the contrary, the Obligor may provide the recommendations provided for in the previous sentence upon the first covenant breach described herein. Within 60 days of retaining any such Management Consultant, the Obligor is required to cause a copy of the Management Consultant’s report and recommendations, if any, to be filed with each Member and each Required Information Recipient. Each Member is required to follow each recommendation of the Management Consultant to the extent feasible (as determined in the reasonable judgment of the Governing Board of such Member) and permitted by law. The Obligated Group will not be required to obtain a Management Consultant’s report in any two consecutive fiscal quarters.

Failure of the Obligated Group to achieve the Occupancy Requirements for any Occupancy Quarter will not constitute an Event of Default under this Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth above for preparing a Management Occupancy Report or obtaining a Management Consultant’s report and adopting a plan and follows each recommendation contained in such Management Consultant’s report to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Obligor) and permitted by law.

Section 4.15 Engagement of Marketing Consultant. Except as provided below, the Members of the Obligated Group shall be required to retain a new, independent Marketing Consultant, if (a) the Obligated Group fails to make any payment on the Master Obligations when due; or (b) the Obligated Group fails to maintain a Debt Service Coverage Ratio of at least 1.00 as shown on any two (2) successive quarterly unaudited financial statements; or (c) the Obligated Group fails to meet the required Debt Service Coverage Ratio by the end of the second fiscal quarter following the date the Management Consultant’s report is required; or (d) the Obligated Group fails to meet the Marketing Requirements by the end of the second fiscal quarter following the date a report and plan are required; or (e) the Obligated Group fails to meet the Occupancy Requirement by the end of the second Occupancy Quarter following the date a report and plan are required; or (f) the Obligated Group fails to meet the Liquidity Requirement by the end of the second fiscal quarter following the date a consultant’s (not management) report and plan are required.

Whenever the Obligated Group is required to retain a new Marketing Consultant, as described above, the Obligated Group Representative shall immediately retain a Consultant who shall, within 30 days of the event requiring appointment of a new Marketing Consultant, submit to the Master Trustee and Majority Holders, a list of two or more Persons experienced in the marketing of continuing care retirement communities of a type and size similar to the Community. If the Obligated Group is required to retain a new Marketing Consultant under the circumstances described above, the Obligated Group shall retain as Marketing Consultant a Person from the list submitted by the Consultant. In the event that a new Marketing Consultant is appointed by the Obligated Group Representative at any time when the Debt Service Coverage Ratio or the Occupancy Requirements is less than the level required pursuant to this Master Indenture, the provisions of this Master Indenture shall not be applied to require the further appointment of another Marketing Consultant until the new Marketing Consultant has been employed for at least twelve months.

(a) Upon engaging a Marketing Consultant as required under the provisions of this Master Indenture, the Obligated Group will provide written notice to the Master Trustee of such engagement. The Master Trustee shall, as soon as practicable but in no case longer than five (5) Business Days after receipt of notice, send a copy of such notice to the Holders of all Master Obligations Outstanding under this Master Indenture. Such notice prepared by the Obligated Group shall (i) include the name of the Marketing Consultant and a brief description of the Marketing Consultant, (ii) state the reason that the Marketing Consultant is being engaged, including a description of the covenant(s) of this Master Indenture that require the Marketing Consultant to be engaged, and that the engagement of the Marketing Consultant is authorized by this Master Indenture, and (iii) state that the Holder of the Master Obligation will be deemed to have consented to the selection of the Marketing Consultant named in such notice unless such Holder submits an objection to the engaged Marketing Consultant in writing to the Master Trustee within 15 days of the date that the notice is sent to the Holders. No later than two (2) Business Days after the end of the 15-day objection period, the Master Trustee shall notify the Obligated Group of the number of any objections. If 66.6% or more in aggregate principal amount of the Holders of the Outstanding Obligations have consented or been deemed to have consented to the engagement of the Marketing Consultant or have not responded to the request for consent, the Obligated Group shall engage the Marketing Consultant within three (3) Business Days. If 33.4% or more in aggregate principal amount of the Holders of the Master Obligations Outstanding have objected to the Marketing Consultant engaged, the Obligated Group shall select another Marketing Consultant which may be engaged upon compliance with the procedures of this section.

(b) When the Master Trustee notifies the Holders of Master Obligations of such engagement, the Master Trustee will also request any Related Bond Trustee to send a notice containing the information required by subsection (a) above to the owners of all of the Related Bonds outstanding within five (5) Business Days after actual receipt of notice from the Master Trustee. Such Related Bond Trustee shall, as the owner of a Master Obligation securing such Related Bonds, consent or object to the engagement of the Marketing Consultant in accordance with the response of the owners of such Related Bonds. If 66.6% or more in aggregate principal amount of the owners of the Related Bonds have consented or been deemed to have consented to the engagement of the Marketing Consultant or have not responded to the request for consent, the Obligated Group shall engage the Marketing Consultant within three (3) Business Days. If

33.4% or more in aggregate principal amount of the owners of the Related Bonds outstanding have objected to the Marketing Consultant engaged, the Obligated Group shall select another Marketing Consultant which may be engaged upon compliance with the procedures of this Section.

(c) The 15-day notice period described above may be extended by the Master Trustee in order to permit each Related Bond Trustee to give the owners of the Related Bonds 15 days to respond to the notice given by the Related Bond Trustee. By acceptance of a Master Obligation securing any Related Bonds, the Related Bond Trustee agrees to comply with the provisions of this Section.

(d) A copy of any recommendations of any Marketing Consultant must be filed with the Master Trustee within ninety (90) days after the date the Marketing Consultant is selected unless the Master Trustee extends, by prior written consent of the Master Trustee, the time within which such recommendations must be so filed. The Obligated Group shall cause each set of recommendations from a Marketing Consultant to be posted on EMMA.

Notwithstanding the foregoing, the Obligated Group shall not be required to retain a new Marketing Consultant if the Master Trustee receives, within 30 days of the event requiring appointment of a new Marketing Consultant: (i) written or deemed consent of Majority Holders to the continued retention of the existing Marketing Consultant as provided in subsections (a) and (b) above; (ii) a written report (prepared by a Consultant, but not by the Marketing Consultant) containing sufficient detail to support the conclusions made therein and concluding (x) that the failure of the Obligated Group to comply with the Debt Service Coverage Ratio covenant, the Occupancy Requirement, the Liquidity Requirement, and/or the Marketing Requirements is primarily due to factors outside the control of the present Marketing Consultant, or (y) that retaining a new Marketing Consultant is not likely to materially improve the Obligated Group's ability to comply with such requirements; and (iii) a certificated copy of the Governing Body of each Member of the Obligated Group stating that the performance by the Marketing Consultant of its duties is satisfactory and setting forth the reasons supporting retention of the present Marketing Consultant.

Section 4.16 Approval of Management Consultants. If at any time the Obligated Group is required to engage a Management Consultant under this Master Indenture, such Management Consultant shall be engaged in the manner set forth below:

(a) Upon engaging a Management Consultant as required under the provisions of this Master Indenture, the Obligated Group will provide written notice to the Master Trustee of such engagement. The Master Trustee shall, as soon as practicable but in no case longer than five (5) Business Days after receipt of notice, send a copy of such notice to the Holders of all Master Obligations Outstanding under this Master Indenture. Such notice prepared by the Obligated Group shall (i) include the name of the Management Consultant and a brief description of the Management Consultant, (ii) state the reason that the Management Consultant is being engaged, including a description of the covenant(s) of this Master Indenture that require the Management Consultant to be engaged, and that the engagement of the Management Consultant is authorized by this Master Indenture, and (iii) state that the Holder of the Master Obligation will be deemed to have consented to the selection of the Management Consultant named in such notice unless

such Holder submits an objection to the engaged Management Consultant in writing to the Master Trustee within 15 days of the date that the notice is sent to the Holders. No later than two (2) Business Days after the end of the 15-day objection period, the Master Trustee shall notify the Obligated Group of the number of any objections. If 66.6% or more in aggregate principal amount of the Holders of the Outstanding Obligations have consented or been deemed to have consented to the engagement of the Management Consultant or have not responded to the request for consent, the Obligated Group shall engage the Management Consultant within three (3) Business Days. If 33.4% or more in aggregate principal amount of the Holders of the Master Obligations Outstanding have objected to the Management Consultant engaged, the Obligated Group shall select another Management Consultant which may be engaged upon compliance with the procedures of this section.

(b) When the Master Trustee notifies the Holders of Master Obligations of such engagement, the Master Trustee will also request any Related Bond Trustee to send a notice containing the information required by subsection (a) above to the owners of all of the Related Bonds outstanding. Such Related Bond Trustee shall, as the owner of a Master Obligation securing such Related Bonds, consent or object to the engagement of the Management Consultant in accordance with the response or deemed consent of the owners of such Related Bonds. If 66.6% or more in aggregate principal amount of the owners of the Related Bonds consent or have been deemed to have consented to the engagement of the Management Consultant or have not responded to the request for consent, the Obligated Group shall engage the Management Consultant within three (3) Business Days. If 33.4% or more in aggregate principal amount of the owners of the Related Bonds outstanding have objected to the Management Consultant engaged, the Obligated Group shall select another Management Consultant which may be engaged upon compliance with the procedures of this Section.

(c) The 15-day notice period described above may be extended by the Master Trustee in order to permit each Related Bond Trustee to give the owners of the Related Bonds 15 days to respond to the notice given by the Related Bond Trustee. By acceptance of a Master Obligation securing any Related Bonds, the Related Bond Trustee agrees to comply with the provisions of this Section.

(d) A copy of any recommendations of any Management Consultant must be filed with the Master Trustee within ninety (90) days after the date the Management Consultant is selected unless the Master Trustee extends, by prior written consent of the Master Trustee, the time within which such recommendations must be so filed. The Obligated Group shall cause each set of recommendations from a Management Consultant to be posted on EMMA.

Section 4.17 Rating Solicitation Covenant. The Obligated Group shall seek a rating of the Series 2018A Bonds from any Rating Agency each year after a determination is made by the Obligor in consultation with the Initial Underwriter that an investment grade rating is reasonably obtainable, until achievement of an investment grade rating, provided that if during any such year the Obligor receives a preliminary indication from any Rating Agency that the Series 2018A Bonds will not be assigned an investment grade rating, the Obligor is required to withdraw any request for such year to have such Rating Agency assign a rating to the Series 2018A Bonds.

Section 4.18 Additional Indebtedness. So long as any Master Obligations are Outstanding, the Obligated Group will not incur any Additional Indebtedness (whether or not incurred through the issuance of Additional Master Obligations) other than:

(a) *Long-Term Indebtedness.* If no Event of Default shall have occurred and then be continuing, the Obligated Group may incur or assume additional Long-Term Indebtedness, including without limitation, Long-Term Indebtedness to refund outstanding Long-Term Indebtedness, for such lawful purposes of the Obligated Group as shall be specified in reasonable detail in a certified resolution of the Obligated Group Representative; provided that, on or before the date on which any Long-Term Indebtedness, whether secured or unsecured, is to be incurred or assumed, the Obligated Group shall deliver to the Master Trustee:

(i) *Historical Pro Forma Test.* Except as provided in paragraphs (ii) through (viii) below, an Officer's Certificate stating that the Debt Service Coverage Ratio of the Obligated Group for the immediately preceding Fiscal Year (taking into account the Long-Term Indebtedness to be incurred and excluding any Long-Term Indebtedness to be refunded) was not less than 1.20:1 and the Obligated Group was in compliance with the Liquidity Requirement as of the most recent Liquidity Testing Date.

(ii) *Historical Test and Forecast.* In lieu of the requirements of paragraph (i) above,

(A) An Officer's Certificate stating that the Debt Service Coverage Ratio of the Obligated Group for the immediately preceding Fiscal Year (without taking into account the Long-Term Indebtedness to be incurred) was not less than 1.20:1 and the Obligated Group was in compliance with the Liquidity Requirement as of the most recent Liquidity Testing Date, and

(B) A Feasibility Report stating that (a) the Debt Service Coverage Ratio of the Obligated Group (taking into account the Long-Term Indebtedness to be incurred and excluding any Long-Term Indebtedness to be refunded) is expected to be not less than 1.25:1 for (i) the first complete Fiscal Year following the Fiscal Year during which the Capital Addition financed with such Long-Term Indebtedness is expected to be placed into service, or (ii) if the Long-Term Debt will finance a Capital Addition that includes additional Independent Living Units or health care beds the earlier of (1) the first complete Fiscal Year for which the additional units achieve average occupancy of 85% or (2) the first full Fiscal Year immediately succeeding the fifth anniversary of the beginning of construction of such capital improvements, and (b) the Obligated Group is forecasted to be compliance with the Liquidity Requirement.

(iii) *Pro Forma Test.* In lieu of the requirements of paragraphs (i) and (ii) above, a Feasibility Report stating that the Debt Service Coverage Ratio of the Obligated Group (taking into account the Long-Term Indebtedness to be incurred and the Long-Term Indebtedness to be refunded, if any) is expected to be not less than 1.30 for (i) the first complete Fiscal Year following the Fiscal Year during which the Capital Addition financed with such Long-Term Indebtedness is expected to be placed into service, or (ii)

if the Long-Term Debt will finance a Capital Addition that includes additional Independent Living Units or health care beds the earlier of (1) the first complete Fiscal Year for which the additional units achieve average occupancy of 85% or (2) the first full Fiscal Year immediately succeeding the fifth anniversary of the beginning of construction of such capital improvements, and the Obligated Group is forecasted to be in compliance with the Liquidity Requirement as of the first Liquidity Testing Date in the first complete Fiscal Year following the Fiscal Year during which the Capital Addition financed with such Long-Term Indebtedness is expected to be placed in service.

(iv) *Limit Based on Revenues.* In lieu of the requirements of paragraphs (i) through (iii) above, an Officer's Certificate showing that the proposed Long-Term Indebtedness, together with all Long-Term Indebtedness incurred pursuant to this paragraph (iv) which is then outstanding and which is not covered by an Officer's Certificate or Feasibility Report delivered pursuant to paragraphs (i) through (iii) above, does not exceed 10% of Revenues of the Obligated Group for the immediately preceding Fiscal Year.

(v) *Completion Long-Term Indebtedness.* In the case of Completion Long-Term Indebtedness, in lieu of the requirements of paragraphs (i) through (iv) above, so long as the scope of such Capital Addition is not being changed, either (A) an Officer's Certificate showing that the principal amount of the proposed Long-Term Indebtedness does not exceed 10% of the principal amount of the Long-Term Indebtedness originally incurred to finance such Capital Addition or (B) a Feasibility Report stating that the forecasted Debt Service Coverage Ratio of the Obligated Group (taking into account the proposed additional Long-Term Indebtedness and excluding any Long-Term Indebtedness expected to be refunded as part of such issuance of additional Long-Term Indebtedness) for each of the two Fiscal Years immediately following the completion of such Capital Addition will be not less than what such Debt Service Coverage Ratio would have been without the incurrence of such Indebtedness. In addition, the Obligated Group Representative shall provide a certificate of an independent architect or a Consultant with skill and experience in construction or renovation matters that the Completion Long-Term Indebtedness incurred to finance the completion of the Facilities will be sufficient to complete the Facilities.

(vi) *Refunding Indebtedness.* As an alternative to satisfying the requirements of paragraphs (i) through (v) above, in the case of Long-Term Indebtedness incurred to refinance outstanding Long-Term Indebtedness, an Officer's Certificate showing that the Maximum Annual Debt Service on the proposed Long-Term Indebtedness does not exceed 110% of the Maximum Annual Debt Service on the Long-Term Indebtedness to be refinanced.

(b) *Subordinated Indebtedness.* Subordinated indebtedness may be incurred without limit. Payment of interest or principal on such indebtedness shall subject to the provisions of Section 3.05 hereof.

(c) *Short Term Indebtedness.* The Obligated Group may, from time to time, incur, assume or allow to remain Outstanding at any time Short Term Indebtedness in any amount up to

ten percent (10%) of Revenues of the Obligated Group for the preceding Fiscal Year. Any such Short Term Indebtedness must, for a period of at least 15 consecutive days during each Fiscal Year, be less than 5% of Revenues of the Obligated Group for the preceding Fiscal Year. Short Term Indebtedness in excess of such 5% limit shall be permitted to remain Outstanding only if permitted to exist under this Master Indenture as Long-Term Indebtedness.

(d) *Indebtedness Secured by Accounts Receivable.* Indebtedness secured by accounts receivable may be incurred up to, but not in excess of, an aggregate of 20% of net accounts receivable of the Obligated Group as reported in the audited financial statements for the preceding Fiscal Year. To the extent accounts receivable are sold or pledged in accordance with the preceding sentence, such receivables shall be released from the Gross Revenue pledge. If accounts receivable are sold or pledged with recourse to the Obligated Group, the resulting obligations constitute indebtedness subject to the applicable tests described elsewhere in this section.

(e) *Credit Facility Debt.* Obligations may be incurred in connection with a Credit Facility issued with respect to indebtedness incurred in accordance with any other provision set forth in this section, provided that any indebtedness in favor of the Credit Facility provider shall not exceed 110% of the related indebtedness.

(f) *Indebtedness Among Members of the Obligated Group.* Indebtedness among Members of the Obligated Group is permitted without limit.

(g) *Non-Recourse Indebtedness.* Non-recourse Indebtedness is permitted without limit.

(h) *Guaranties.* The Obligated Group may guarantee Indebtedness of another party, the Debt Service Requirements with respect to which shall be calculated in accordance with the provisions of Section 4.26(e).

(i) *Additional Requirements.*

(i) Each Member agrees that, prior to incurring Additional Indebtedness for money borrowed from or credit extended by entities other than issuers of Related Bonds, sellers of real or personal property for purchase money debt, lessors of such property or banks or other institutional lenders, it will provide the Master Trustee with an Opinion of Counsel to the effect that, to such Independent Counsel's knowledge, such Member has complied in all material respects with all applicable state and federal laws regarding the sale of securities in connection with the incurrence of such Additional Indebtedness (including the issuance of any securities or other evidences of indebtedness in connection therewith) and such Independent Counsel has no reason to believe that a right of rescission under such laws exists on the part of the entities to which such Additional Indebtedness is to be incurred.

(ii) In the case of any Additional Indebtedness being incurred to finance Capital Additions or new Facilities, there shall be provided to the Master Trustee an Officer's Certificate stating that the amount of Additional Indebtedness to be incurred will be sufficient to complete the Capital Additions or Facilities to be financed.

Section 4.19 Security for Permitted Debt.

(a) Additional Indebtedness, including Additional Master Obligations, may be secured on a parity first lien basis with the outstanding Master Obligations by the issuance of a Master Obligation to the holder of such indebtedness.

(b) Additional Indebtedness may also be secured by (i) a lien on property not constituting Mortgaged Property, (ii) a purchase money security interest (first lien) on new or replacement equipment and fixtures, or (iii) Permitted Liens.

(c) Short-Term Indebtedness and Long-Term Indebtedness to provide working capital indebtedness may be financed by a Master Obligation.

Section 4.20 Permitted Transfers or Dispositions of Property.

Each Member agrees that it will not sell, lease, donate, transfer or otherwise dispose (including, without limitation, any involuntary disposition) of Property (either real or personal property, including Cash and Investments) unless the Obligated Group Representative determines that the Property has been sold, leased, donated, transferred or otherwise disposed of in one or more of the following transfers or other dispositions of Property:

(a) Transfers among Members of the Obligated Group are permitted without limit.

(b) Dispositions of Property which has been replaced or determined to be obsolete, inadequate, or not useful in the ordinary course of business, whether or not such Member receives cash or other Property substantially equivalent in value.

(c) Other than transfers pursuant to (a) or (b) above, the Property sold, leased, donated, transferred or otherwise disposed of does not, for any Fiscal Year, exceed 5% of the total Book Value of all Property of the Obligated Group as of the most recent Fiscal Year end; provided, however, that Days' Cash on Hand shall not be less than 120 days after giving effect to such sale, lease, donation, transfer or other disposition of assets; provided, further, if the Historical Debt Service Coverage Ratio as calculated above is not less than 1.20:1, the foregoing percentage of the total Book Value may be increased as follows under the following conditions:

(i) to 7.5%; provided, however, Days' Cash on Hand shall not be less than 250 after the effect of such sale, lease, donation, transfer or other disposition of assets; or

(ii) to 10%; provided, however, Days' Cash on Hand shall not be less than 300 after the effect of such sale, lease, donation, transfer or other disposition of assets.

(d) Transfers aggregating in any Fiscal Year to not more than 5% of net property, plant and equipment, as reported in the prior Fiscal Year's audit, whether or not such Member receives cash or other property substantially equivalent in value.

(e) Cash and Investments may not be transferred outside the Obligated Group, except that current assets may be: (i) transferred and used in payment for property or services of

substantially equivalent value; (ii) used for Obligated Group capital expenditures; or (iii) be invested as an investment of the Obligated Group funds on arms' length terms.

(f) The Obligated Group shall have the right to sell or transfer the HFA Parcel upon the satisfaction of the following conditions at which time the HFA Parcel shall be deemed to become Excluded Property:

(i) to the extent that the final metes and bounds of the HFA Parcel conform with the metes and bounds description set forth on Exhibit B to the Deed of Trust and that the HFA Parcel has been legally separated from the Remaining Property as an "ownership unit," the Partial Release Conditions have been satisfied; or

(ii) to the extent that (1) the final metes and bounds of the HFA Parcel differ from those set forth on Exhibit B to the Deed of Trust, such that the square footage of the HFA Parcel increases by more than 10% (provided, however, that such variation of the metes and bounds shall not be permitted if the revised metes and bounds results in the HFA Parcel overlapping the footprint of the buildings that are part of the Existing Community other than Building E, which is to be demolished and replaced by the planned affordable housing building to be developed on the HFA Parcel) and/or (2) that the HFA Parcel has been legally separated from the Remaining Property by virtue of some other mechanism available in Montgomery County, Maryland (for example a land condominium or subdivision) (either or both of (1) or (2), an "HFA Parcel Modification"), the Partial Release Conditions shall have been satisfied AND:

(A) if the Series 2018B Bond is Outstanding, the Series 2018B Lender has provided its consent to such modification to the HFA Parcel;

(B) with respect to all other Master Obligations, the Master Trustee has provided its consent thereto after receiving consent or deemed consent from the Holders of the Master Obligations as follows:

(x) Within five (5) Business Days after receipt of a request by the Obligated Group Representative for an HFA Parcel Modification, the Master Trustee shall send a copy of such notice to the Holders of all Master Obligations Outstanding under this Master Indenture, which will be prepared by the Obligated Group and shall include (i) a copy of a description of the HFA Parcel Modification sought, (ii) a plat of the HFA Parcel, as modified, (iii) a plat of the HFA Parcel, as originally intended (if different), (iv) state the reason for the HFA Parcel Modification, (v) confirm that the Partial Release Conditions have been met, (vi) state that, if the Series 2018B Bond is Outstanding, the consent of the Series 2018B Lender will be a condition to the approval of the HFA Parcel Modification, and (vii) state that the Holder of the Master Obligation will be deemed to have consented to the HFA Parcel Modification described in such notice unless such Holder submits an objection to the Master Trustee in writing within 30 days of the date that the notice is sent to the Holders.

(y) No later than two (2) Business Days after the end of the 30-day objection period, the Master Trustee shall notify the Obligated Group of the number of any objections. If 66.6% or more in aggregate principal amount of the Holders (including the Series 2018B Lender) of the Outstanding Obligations (including the Series 2018B Bond) have consented or been deemed to have consented to the HFA Parcel Modification or have not responded to the request for consent, the HFA Parcel Modification shall be deemed to have been approved. If 33.4% or more in aggregate principal amount of the Holders of the Master Obligations Outstanding (including the Series 2018B Lender) have objected to the HFA Parcel Modification, the HFA Parcel Modification shall not be deemed to have been approved and the requested release will not occur.

It is understood that this Section 4.20 does not prohibit any transfer of cash by a Member in payment of any of its obligations, indebtedness and liabilities the incurrence of which obligation, indebtedness or liability did not or would not, either immediately or with the giving of notice, the passage of time or both, result in the occurrence of an Event of Default.

For purposes of this Section 4.20, payments by the Obligated Group of any development, marketing, operating or other subordinated fees that have been deferred from the year in which they were originally due as a result of subordination will not be treated as a disposition of Property.

In connection with any sale, lease or other disposition of Property, to the extent the Obligated Group Member receives Property in return for such sale, lease or disposition, the Property which is sold, leased or disposed of shall be treated, for purposes of the provisions of this Section 4.20, as having been transferred in satisfaction of the provisions of subsection (a) above to the extent of the fair market value of the Property received by the Obligated Group Member. The Member shall be required, however, to satisfy the conditions contained in one of the other provisions of this Section 4.20 with respect to the remaining value of such Property in excess of the fair market value of the Property received by the Member in return therefor prior to any such sale, lease or other disposition.

Each Member further agrees that it will not sell, lease, donate or otherwise dispose of Property (A) which could reasonably be expected at the time of such sale, lease, donation or disposition to result in a reduction of the Historical Debt Service Coverage Ratio for the Obligated Group such that the Master Trustee would be obligated to require the Obligated Group to retain a Consultant pursuant to Section 4.12 or (B) if a Consultant has been retained in the circumstances described in Section 4.12, such action, in the opinion of such Consultant, will have an adverse effect on the Income Available for Debt Service of the Obligated Group. The rendering of any service, the making of any loan or gift, the extension of any credit or any other transaction with any Affiliate shall be permitted if there is compliance with any of subsections (a) through (f) above or if such transaction is pursuant to the reasonable requirements of such Member's activities and upon fair and reasonable terms no less favorable to it than would obtain in a comparable arm's length transaction with a person not an Affiliate.

Upon Request of the Obligated Group Representative accompanied by an Officer's Certificate and an Opinion of Counsel to the effect that the conditions precedent for the disposition of Property set forth in this Master Trust Indenture have been satisfied, (i) the rights, title, liens, security interests and assignments herein granted shall cease, determine and be void as to such Property only and the lien of this Master Trust Indenture shall be released without recourse, representation or warranty by the Master Trustee as to such Property in due form at the expense of the Obligated Group Members, and (ii) with respect to Property which includes real property subject to the Deed of Trust, the Master Trustee shall execute and deliver such documents as the Obligated Group Representative may request in writing to release such Property from the lien of the Deed of Trust.

Section 4.21 Permitted Liens. No Member shall create or suffer to be created, or permit the existence of, a Lien upon Property now owned or hereafter acquired by it other than Permitted Liens.

"Permitted Liens" shall consist of the following:

(a) The Deed of Trust and any encumbrance on title to any Property created by the Master Indenture and otherwise directly securing the Master Obligations;

(b) Liens arising by reason of good faith deposits in connection with leases of real estate, bids or contracts (other than contracts for the payment of money), deposits to secure public or statutory obligations, Liens to secure, or in lieu of, surety, stay or appeal bonds, and deposits as security for the payment of taxes or assessments or other similar charges;

(c) Any Lien arising by reason of deposits with, the giving of any form of security to or the restriction of the use of funds at the order of any governmental agency or anybody created or approved by law or governmental regulation for any purpose at any time as required by law or governmental regulation as a condition to the transaction of any business or the exercise of any privilege or license, or to enable any Member to maintain self-insurance or to participate in any funds established to cover any insurance risks or in connection with workers compensation, unemployment insurance, pension or profit sharing plans or other social security, or to share in the privileges or benefits required for companies participating in such arrangements;

(d) Any judgment lien against any Member so long as such judgment is being contested in good faith and execution thereon is stayed, or provision for payment in full of the judgment has been made in accordance with applicable law or by the deposit with the Master Trustee or with a commercial bank or trust company acceptable to the Master Trustee of cash, security or other property acceptable to the Master Trustee;

(e) (i) Rights reserved to or vested in any municipality or public authority by the terms of any right, power, franchise, grant, license, permit or provision of zoning or other law, affecting any Property; (ii) any Liens on any Property for taxes, assessments, levies, fees, water and sewer rents, and other governmental and similar charges and any Liens of mechanics, materialmen, laborers, suppliers or vendors for work or services performed or materials furnished in connection with such Property that are not due and payable or that are not delinquent, the amount or validity of which are being contested and execution thereon is stayed

or, with respect to Liens of mechanics, materialmen, laborers, suppliers or vendors that have been due for less than 90 days; and (iii) easements, rights-of-way, servitudes, restrictions, oil, gas or other mineral reservations and other minor defects, encumbrances, and irregularities in the title to any Property as normally exist on Property of a character similar to that of the Property and that, as set forth in an Officer's Certificate do not materially interfere with or impair the use of such Property for the purposes intended;

(f) Any Lien hereto existing on the date of authentication and delivery of the Initial Master Obligations issued under this Master Indenture provided that no such Lien may be increased, extended, renewed or modified to apply to any Property of any Member not subject to such Lien on such date or to secure Indebtedness not Outstanding on such date, unless such Lien as extended, renewed or modified otherwise qualifies as a Permitted Lien hereunder;

(g) Any Lien on Property acquired by a Member securing Indebtedness permitted under the provisions of Additional Indebtedness above that was assumed in connection with the acquisition of such Property, provided that the total of the Indebtedness secured by Liens described in subsections (f) and (g) may not exceed the greater of \$500,000 and 10% of the Total Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;

(h) Purchase Money Liens securing Indebtedness permitted by Additional Indebtedness above, provided that the total of the Indebtedness secured by Liens described in subsections (f) and (g) may not exceed the greater of \$500,000 and 10% of the Total Operating Revenues for the most recent Fiscal Year for which audited Financial Statements are available;

(i) Liens securing Non-Recourse Indebtedness permitted by Additional Indebtedness above so long as the Book Value (the value of such property using the reproduction cost method without any adjustment for depreciation) of the Property pledged in aggregate under all such Liens allowed pursuant to this subsection is less than 15% of the Book Value of all Property, Plant and Equipment of the Obligated Group;

(j) Any Lien in favor of a creditor or a trustee on the proceeds of Indebtedness and any earnings thereon prior to the application of such proceeds and such earnings;

(k) Any Lien securing on a "parity basis," as defined below, all Obligations Outstanding at the time of creation of the Lien (subsequently issued Obligations need not be secured by such Lien). "Parity basis," when referring to security for any Obligation, shall mean that such security is available to all Holders of Obligations to provide for payment thereof, to be shared pro rata based on the Indebtedness to each such Holder;

(l) Any Liens subordinate to the Lien described in clause (k) above; provided, however, that any instrument creating a subordinate Lien shall contain language to the effect that the exercise of any remedies thereunder shall only be permitted only upon receipt of written consent of the Master Trustee;

(m) Liens on moneys deposited by residents or others with any Member as security for or as prepayment for the cost of care;

(n) Liens on Property received by any Member through gifts, grants or bequests, such Liens being due to restrictions on such gifts, grants or bequests of Property or the income thereon;

(o) Any Lien on inventory that does not exceed 25% of the book value thereof;

(p) Liens on Property due to rights of third party payors for recoupment of amounts paid by any Member;

(q) Any Lien arising by reason of any escrow established to pay debt service with respect to Indebtedness;

(r) Any obligations or liabilities of a Member under residence and care agreements or similar contracts with residents of a facility of a Member to residents thereof;

(s) Liens on Excluded Property (except to the extent prohibited by a Supplemental Master Indenture); and

(t) Any lien on real property of the Member that is not "Property" within the meaning of that term, as defined herein, which lien may or may not be secured by Non-Recourse Indebtedness.

Section 4.22 Financial and Other Information. The Obligated Group will provide the following reports to the Master Trustee, each Related Bond Trustee, the Initial Underwriter and EMMA:

(a) A monthly statement of the Obligated Group as soon as practicable after the information is available but in no event more than 45 days after the completion of such month, including:

(i) Prior to the issuance of a certificate of occupancy for the first building containing the Project Independent Living Units, (A) a calculation of the marketing levels for the Project Independent Living Units as of the end of such month, including the number of Project Independent Living Units that have been sold or cancelled during that month and on an aggregate basis; (B) a copy of the report prepared by the Construction Monitor; (C) a report by the Obligated Group on the progress of the construction, showing the dollar amount and percentage of completion for each stage of construction of the Project, comparing such amounts to the amounts estimated in the schedule of values and the construction progress schedule delivered at closing, estimating the amount of funds required to complete the Project, and certifying that the amount available in the Construction Fund, together with anticipated investment earnings, will be sufficient to pay the costs of completing the Project; (D) unaudited financial reports on the development costs of the Project incurred during that month and on an aggregate basis, showing a comparison to the development budget; (E) statements of the balances for each fund and account required to be established under this Master Indenture or under any Related Bond Indenture as of the end of such month (obtained from the applicable trustee), all in reasonable detail and certified by an officer of the Obligated Group, and

(F) if such month is the last month of a fiscal quarter, a calculation of compliance with the Liquidity Requirement, for such fiscal quarter if required to be calculated by this Master Indenture, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligated Group. Such report shall also include a calculation of the Debt Service Coverage Ratio for reporting purposes only.

(ii) After the issuance of a certificate of occupancy for the first building containing Project Independent Living Units, (I) a calculation of the marketing levels for the Project as of the end of such month, including the number of Project Independent Living Units that have been sold or cancelled during that month and on an aggregate basis; (II) occupancy levels of the Project as of the end of such month including the number of Independent Living Units that were occupied and vacated during that month and on an aggregate basis; (III) a summary statement on the status of construction of the Project until the issuance of the last certificate of occupancy for the Project; (IV) unaudited financial reports on the development costs incurred during that month and on an aggregate basis until the issuance of the last certificate of occupancy for the Project; (V) an unaudited statement of revenues and expenses and statement of cash flows of the Obligated Group for such month and an unaudited balance sheet of the Obligated Group as of the end of such month, showing a comparison to the current Annual Budget; (VI) statements of the balances for each fund and account required to be established hereunder or under any Related Bond Indenture as of the end of such month (obtained from the applicable trustee or other financial institution), all in reasonable detail and certified by an officer of the Obligated Group; and (VII) a calculation of compliance with the Marketing Requirements and the Occupancy Requirements, and the Liquidity Requirement for such fiscal quarter if required to be calculated hereunder, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligated Group. A calculation of the Debt Service Coverage Ratio will also be included for reporting purposes only.

The Obligated Group does not need to deliver any monthly statement of the Obligated Group described in (a)(ii) after Stable Occupancy;

(b) (i) Quarterly unaudited financial statements of the Obligated Group as soon as practicable after they are available but in no event more than 45 days after the completion of such fiscal quarter, including (1) a combined and combining statement of operations and changes in net assets (deficit) and statement of cash flows of the Obligated Group during such period and a combined and combining balance sheet of the Obligated Group as of the end of each such fiscal quarter, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligated Group Representative, (2) a statement of Initial Entrance Fees received during such fiscal quarter, and (3) a statement of the Obligor's payor mix during such fiscal quarter. Such financial statements and calculations shall be accompanied by a comparison to the Annual Budget.

Notwithstanding the foregoing, if the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year is less than 1.20 and the Days' Cash on Hand is less than the Liquidity Requirement on the most recent Testing Date as provided in this Master Indenture, the Obligated Group will deliver the financial information and calculations described in the above paragraph

on a monthly basis within 45 days of the end of each month until the Debt Service Coverage Ratio of the Obligated Group is at least 1.20 and the Days' Cash on Hand is at least equal to the applicable Liquidity Requirement.

(ii) On or before the date of delivery of the financial reports referred to in subsection (b)(i) above, a management's discussion and analysis of results for the applicable fiscal period, together with an Officer's Certificate of the Obligated Group (1) stating that the Obligated Group is in compliance with all of the terms, provisions and conditions hereof or, if not, specifying all such defaults and the nature thereof, (2) calculating and certifying the Days' Cash on Hand, if required to be calculated for such fiscal period or as of the end of such fiscal period, as appropriate, calculating and certifying the Debt Service Coverage Ratio for such fiscal quarter, subject to year-end adjustment, and attaching (I) information about occupancy levels of the Community as of the end of such quarter including the number of Independent Living Units, assisted living units and skilled nursing beds occupied and vacated for such fiscal quarter on an aggregate basis, and the affordable housing units occupied and vacated for such fiscal quarter, (II) sources of revenue for the skilled nursing beds, (III) turnover statistics with respect to Independent Living Units, (IV) changes in services offered at the Community, (V) stating that the Community is in compliance with regulations and statutes in each jurisdiction in which the Community is located; (VI) the rating from the Center for Medicare and Medicaid Services relating to the Five Star Quality Rating System, and (VII) if Master Obligations have been issued in connection with any construction project, reports with respect to the progress of construction of such project.

(c) Within 150 days of the end of each Fiscal Year, an annual audited financial report of the Obligated Group prepared by an Accountant, including (1) a combined and combining balance sheet as of the end of such Fiscal Year and combined and combining statements of cash flows and changes in net assets (deficit) for such Fiscal Year (together with any required supplemental information), and (2) a statement of Initial Entrance Fees received during such Fiscal Year, showing in each case in comparative form the financial figures for the preceding Fiscal Year, together with a separate written statement of the Accountant preparing such report (or another Accountant) containing calculations of the Obligated Group's Debt Service Coverage Ratio and Days' Cash on Hand of the Obligated Group at the end of such Fiscal Year, and a statement that such Accountant has no knowledge of any default under this Master Indenture insofar as it relates to accounting matters or to the Obligated Group's financial covenants, or if such Accountant shall have obtained knowledge of any such default or defaults, it shall disclose in such statement the default or defaults and the nature thereof (but such Accountant shall not be liable directly or indirectly to anyone for failure to obtain knowledge of any default). Such financial statements and calculations shall be accompanied by a comparison to the Annual Budget.

(d) On or before the date of delivery of the annual financial reports referred to in subsection (c) above, a management's discussion and analysis of results for the applicable fiscal period, together with an Officer's Certificate of the Obligated Group Representative (1) stating that the Obligated Group is in compliance with all of the terms, provisions and conditions hereof or, if not, specifying all such defaults and the nature thereof and (2) attaching (I) information about the fee structure for and the occupancy of the Independent Living Units, assisted living units and skilled nursing beds and the affordable housing component of the Community,

including a comparison to the prior year's occupancy, (II) sources of revenue for the skilled nursing beds, (III) turnover statistics with respect to Independent Living Units, (IV) changes in services offered at the Community, (V) a statement of the Obligor's payor mix during such Fiscal Year, and (VI) stating that the Community is in compliance with regulations and statutes in each jurisdiction in which the Community is located.

(e) [Intentionally left blank]

(f) Copies of (i) any board approved revisions to the summary of the Annual Budget or (ii) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of any Obligor as a Tax-Exempt Organization or with respect to the tax-exempt status of any Related Bonds, promptly upon receipt.

(g) Subject to industry standards relating to the financing of facilities similar to the Community, the Obligated Group shall use its best efforts to make available one or more representatives for a quarterly telephone conference call if the Related Bonds are not then rated by a Rating Agency and semiannual telephone conference call if the Related Bonds are then rated by a Rating Agency (or more frequently if requested by the holders of a majority of the Related Bonds) with the holders of the Related Bonds and the Master Trustee to discuss the financial results of the preceding quarter and such other matters as are relevant or are reasonably requested by the holders of the Related Bonds and the Master Trustee. The Obligated Group shall post notice of such calls to EMMA at least two weeks prior to the scheduled date of each call, but shall provide such notice to the Master Trustee.

(h) In a timely manner not in excess of ninety (90) calendar days after incurrence, details regarding Additional Indebtedness incurred by the Obligated Group, including the terms of the borrowing, the debt service schedule for such borrowing and a certificate indicating ongoing compliance with the documents executed in connection with such borrowing.

(i) In a timely manner not in excess of 90 days after the incurrence by the Obligated Group of any Indebtedness, a chart that shows the annual debt service requirements for all Indebtedness of the Obligated Group then Outstanding.

(j) To the extent not filed pursuant to subsection (i) above, in a timely manner not in excess of 90 days after the incurrence by the Obligated Group of any Long-Term Indebtedness, a chart showing the annual debt service requirements for such Long-Term Indebtedness.

(k) No later than 30 days after the last day of each Fiscal Year, the Obligated Group Representative will prepare the Annual Budget (consisting of a statement of income and expenses) for the following Fiscal Year. If the Obligated Group Representative fails to prepare the Annual Budget for any Fiscal Year, the Annual Budget for the preceding Fiscal Year will continue until the Annual Budget is prepared for the remainder of the applicable Fiscal Year. The Annual Budget shall be provided to each Required Information Recipient no later than 30 days after the start of each Fiscal Year, and any amendment to the Annual Budget shall be provided to each Required Information Recipient within 30 days after its completion.

(l) In a timely manner and no later than 10 business days after the occurrence of an Event, the Obligated Group Representative will disseminate or cause to be disseminated to EMMA, notice of the occurrence of such Event.

(m) Upon any failure of the Obligor to provide annual financial information pursuant to subsection (c) above or any Operating Data by the date required by this Master Indenture or the Continuing Disclosure Certificate, the Obligor will disseminate or cause to be disseminated to EMMA, notice of the occurrence of such failure.

(n) No later than 10 business days after the occurrence of any draw on the Obligor's statutorily mandated operating reserve fund, the Obligor will disseminate or cause to be disseminated to EMMA, notice of the occurrence of such draw.

Section 4.23 Actuarial Study. Commencing with the Fiscal Year ending June 30, 2021 and at least once every three Fiscal Years thereafter, the Obligated Group shall provide a management summary of the actuarial study described below to each Member and each Required Information Participant. The actuarial study shall be prepared by a Consultant and include the following information: (i) projected occupancy levels of the Community for each of the next 10 fiscal years including the member of Independent Living Units, assisted living units, skilled nursing beds and affordable housing units occupied and vacated and (ii) projected Entrance Fee Receipts and Refunds for each of the next 10 fiscal years.

Section 4.24 [reserved]

Section 4.25 [reserved]

Section 4.26 Calculation of Debt Service Requirements and Debt Service Coverage.

(a) *Certain General Provisions.* The various calculations of the amount of Indebtedness of a Person, the amortization schedule of such Indebtedness and the Debt Service Requirements with respect to such Indebtedness required under certain provisions of this Master Indenture shall be made in a manner consistent with that adopted in Section 4.18 hereof and in this Section 4.26. In the case of Balloon or Put Indebtedness issued pursuant to subsection (a) of Section 4.18 hereof, unless such Indebtedness is reclassified pursuant to this Section 4.26 as having been issued pursuant to another subsection of Section 4.18, the amortization schedule of such Indebtedness and the Debt Service Requirements with respect to such Indebtedness for future periods shall be calculated on the assumption that such Indebtedness is being issued simultaneously with such calculation. With respect to Put Indebtedness, if the option of the holder to require that such Indebtedness be paid, purchased or redeemed prior to its stated maturity date, or if the requirement that such Indebtedness be paid, purchased or redeemed prior to its stated maturity date (other than at the option of such holder and other than pursuant to any mandatory sinking fund or any similar fund), has expired or lapsed as of the date of calculation, such Put Indebtedness shall be deemed payable in accordance with its terms.

Master Obligations issued to secure Indebtedness permitted to be incurred under Section 4.18 shall not be treated separately as Additional Indebtedness from the Indebtedness secured

thereby in a manner which would require such Indebtedness to be included more than one time in the calculations performed under this Master Indenture.

Each Member may elect to have Indebtedness issued pursuant to one provision of Section 4.18 reclassified as having been incurred under another provision of Section 4.18 by certifying compliance with such other provision on the assumption that such Indebtedness is being reissued on the date of delivery of the materials required to be delivered under such other provision including the certification of any applicable Projected Rate. From and after such demonstration, such Indebtedness shall be deemed to have been incurred under the provision with respect to which such compliance has been demonstrated until any subsequent reclassification of such Indebtedness.

(b) *Indebtedness Bearing Interest at a Variable Rate.* In determining the amount of Debt Service Requirements on Indebtedness in the course of the various calculations required under certain provisions of this Master Indenture, if the terms of the Indebtedness being considered are such that interest thereon for any future period of time is expressed to be calculated at a varying rate per annum, a formula rate or a fixed rate per annum based on a varying index, then for the purpose of making such determination of debt service, interest on such Indebtedness for such period (the "Determination Period") shall be computed by assuming that the rate of interest applicable to the Determination Period is equal to the average of the rate of interest (calculated in the manner in which the rate of interest for the Determination Period is expressed to be calculated) which was in effect on the last date of each of the 12 full calendar months immediately preceding the month in which such calculation is made; provided that if the index or other basis for calculating such interest was not in existence for at least 12 full calendar months next preceding the date of calculation, the rate of interest for such period shall be deemed to be the average rate of interest that was in effect on the last day of each full calendar month next preceding the date of calculation; and if the average rate of interest borne by such Indebtedness for such shorter period cannot be calculated, the rate of interest for such period shall be deemed to be the Projected Rate.

No Additional Indebtedness shall be deemed to arise when Indebtedness which bears interest at a variable rate of interest is converted to Indebtedness which bears interest at a fixed rate or the method of computing the variable rate on such Indebtedness is changed or the terms upon which Indebtedness, if Put Indebtedness, may be or is required to be tendered for purchase are changed, if such conversion or change is in accordance with the provisions applicable to such variable rate Indebtedness or Put Indebtedness in effect immediately prior to such conversion or change.

(c) *Commitment Indebtedness.* Except as set forth below, no debt service shall be deemed payable with respect to Commitment Indebtedness until such time as funding occurs under the commitment which gave rise to such Commitment Indebtedness. From and after such funding, the amount of such debt service shall be calculated in accordance with the actual amount required to be repaid on such Commitment Indebtedness and the actual interest rate and amortization schedule applicable thereto. No Additional Indebtedness shall be deemed to arise when any funding occurs under any such commitment or any such commitment is renewed upon terms which provide for substantially the same terms of repayment of amounts disbursed pursuant to such commitment as obtained prior to such renewal.

(d) *Balloon Indebtedness.* Balloon Indebtedness incurred as provided under subsection (a) of Section 4.18, unless reclassified pursuant to Section 4.26(a), shall be deemed to be payable in accordance with the assumption that (i) the portion of Balloon Indebtedness coming due in such Fiscal Year matures over 30 years from the date of issuance of the Balloon Indebtedness, bears interest on the unpaid balance at the Projected Rate and is payable on a level annual debt service basis over a period of no more than 30 years or (ii) the portion of Balloon Indebtedness coming due in such Fiscal Year matures according to its actual principal amortization schedule, bears interest on the unpaid balance at the Projected Rate, but this subsection (ii) shall only be used if the amortization of all Indebtedness of the Obligated Group outstanding, when the Balloon Indebtedness Debt Service Requirement being calculated is calculated, varies no more 10% per year. Put Indebtedness incurred as provided under subsection (a) of Section 4.18, unless reclassified pursuant to Section 4.26(a), if issued, shall be deemed to be payable in accordance with the terms of such Indebtedness.

(e) *Guaranties.* Subject to the provisions hereinbelow, a Guaranty of an obligation of another Person (for purposes of this definition, the "Obligated Person") qualifying as Long-Term Indebtedness hereunder shall be deemed Long-Term Indebtedness of the Obligated Group in accordance with the following schedule:

Long-Term Debt Service Coverage Ratio of the Obligated Person (calculated as set forth herein for the most recent fiscal year of the Obligated Person for which audited financial statements are available)	Percentage of the principal amount of the guaranteed indebtedness deemed to be Long-Term Indebtedness of the Obligated Group
greater than 2.0	0%
to and including 2.0	20
to and including 1.49	50
to and including 1.24	75
less than 1.10 (or no available financial statements)	100

Notwithstanding the foregoing, (a) for the purpose of calculating any historical Debt Service Requirements, the guarantor's Debt Service Requirements under a Guaranty shall be deemed to be the actual amount paid on such Guaranty by the guarantor, and (b) if any Member of the Obligated Group is required to make a debt service payment pursuant to any Guaranty, one hundred percent (100%) of the principal amount of the guaranteed indebtedness shall be deemed Long-Term Indebtedness of the Obligated Group for a period of twenty-four (24) months following the most recent payment on the Guaranty.

(f) *Capitalized Leases.* For purposes of the various calculations required under this Master Indenture for Capitalized Leases, the Capitalized Rentals under a Capitalized Lease at the time of such calculation shall be deemed to be the principal payable thereon.

(g) *Hedge Agreements.* Anything herein to the contrary notwithstanding, any portion of any Indebtedness of any Member for which a Hedge Agreement has been obtained by such Member shall be deemed to bear interest for the period of time that such Hedge Agreement is in effect at a net rate which takes into account the interest payments made by such Member on such Indebtedness and the payments made or received by such Member on such Hedge Agreement; provided that the long term credit rating of the provider of such Hedge Agreement (or any

guarantor thereof) is in one of the three highest rating categories of any Rating Agency (without regard to any refinements of gradation of rating category by numerical modifier or otherwise) or is at least as high as that of the Obligated Group. In addition, so long as any Indebtedness is deemed to bear interest at a rate taking into account a Hedge Agreement, any payments made by a Member on such Hedge Agreement shall be excluded from Expenses, and any payments received by a Member on such Hedge Agreement shall be excluded from Revenues, in each case, for all purposes of this Master Indenture.

Section 4.27 Payment of Affiliate Payments and Subordinated Indebtedness.

(a) An Obligated Group Member will not make Affiliate Payments or payments on Subordinated Indebtedness unless the following conditions are satisfied:

(i) if the proposed payment had occurred as of the last day of the most recent fiscal quarter for which financial statements have been delivered under Section 4.22 hereof or otherwise posted to EMMA, the Obligated Group would have had 200 Days' Cash on Hand, after giving effect to such payment, as of such date;

(ii) if the proposed payment had occurred during the most recent fiscal quarter for which financial statements have been delivered under Section 4.22 hereof or otherwise posted to EMMA, the Historical Debt Service Coverage Ratio calculated as of the end of such fiscal quarter would have been not less than 1.30; and

(iii) there is no deficiency in the bond fund or the debt service reserve fund established under a Supplemental Master Indenture with respect to any Outstanding Master Obligation or established under a Related Indenture with respect to any Related Bonds, and there is no event existing that constitutes, or with the giving of notice or the passing of time or both would constitute, an Event of Default under this Master Indenture.

(b) All Affiliate Payments and payments on Subordinated Indebtedness in a fiscal period shall be subordinated to all payments due on any Master Obligations Outstanding in such period. Subordinated Indebtedness may not be accelerated without the prior written consent of the holder of each Master Obligation.

(c) Payments of principal and interest on Subordinated Indebtedness which are not permitted to be paid pursuant to the foregoing requirements shall be deferred but, unless otherwise provided in the loan documents governing such Subordinated Indebtedness, shall be subject to accrual of interest during the period of deferral.

[End of Article IV]

ARTICLE V
MERGER, CONSOLIDATION, SALE OR CONVEYANCE

Section 5.01 Merger, Consolidation, Sale or Conveyance.

(a) No Member shall merge or consolidate with, or sell or convey all or substantially all of its assets or common stock to any Person that is not a Member unless:

(i) The transferee or surviving corporation in the case of a merger, consolidation or transfer, or the new Member, is an organization described under Section 501(c)(3) of the Code, or the transferee or surviving corporation or the new Member shall have delivered to the Master Trustee an Opinion of Bond Counsel that the addition of such non-501(c)(3) Member will not adversely affect the tax-exempt status of any Related Bonds or the exemption from federal securities laws of any of the Master Obligations; and

(ii) no Member would be immediately in default in the performance or observance of any covenant or condition of this Master Indenture as a result of such merger or consolidation, or such sale or conveyance;

(iii) if the successor corporation is not a Maryland corporation, it either qualifies to do business in the State of Maryland or files with the Master Trustee a consent to service of process acceptable to the Master Trustee;

(iv) if all amounts due or to become due on any Tax-Exempt Related Bonds have not been fully paid to the holder thereof, there shall have been delivered to the Master Trustee an Opinion of Bond Counsel, to the effect that under then existing law the consummation of such merger, consolidation, sale or conveyance would not adversely affect the exemption from Federal income taxation of interest payable on such Tax-Exempt Related Bonds; and

(v) The transferee or surviving corporation or the new Member shall have delivered to the Master Trustee either (A) an Officer's Certificate certifying and concluding that if such merger, consolidation, sale or conveyance had taken place on the first day of the last Fiscal Year for which audited financial statements are available, the Debt Service Coverage Ratio for such Fiscal Year would have been at least 80 percent of the actual Debt Service Coverage Ratio for such Fiscal Year and at least 1.20:1, and Days' Cash on Hand would have been not less than 80 percent of the actual Days' Cash on Hand and at least equal to the then-applicable Liquidity Requirement; or (B) a Consultant's report showing that for the next two Fiscal Years the Debt Service Coverage Ratio is forecasted to be at least 80 percent of the actual Debt Service Coverage Ratio for the preceding Fiscal Year and at least 1.20:1, and Days' Cash on Hand is forecasted to be at least 80 percent of the actual Days' Cash on Hand for the preceding Fiscal Year and at least equal to the then-applicable Liquidity Requirement at the end of each Fiscal Year during the forecast period; and

(vi) there shall be delivered evidence from each Rating Agency (if any) then maintaining a rating on any series of Related Bonds to the effect that such merger,

consolidation, sale or conveyance will not result in a below investment-grade rating on such series of Related Bonds, provided, however, that the holders of a majority of the principal amount of such series of Related Bonds may consent to waive such requirement.

(b) In case of any such consolidation, merger, sale or conveyance and upon any such assumption by the successor corporation, such successor corporation shall succeed to and be substituted for its predecessor, with the same effect as if it had been named admission into Obligated Group below as the Obligor or had become a Member pursuant to admission into Obligated Group below, as the case may be. Such successor corporation thereupon may cause to be signed, and may issue in its own name Obligations; and upon the order of such successor corporation and subject to all the terms, conditions and limitations in this Master Indenture prescribed, the Master Trustee shall authenticate and shall deliver Master Obligations that such successor corporation shall have caused to be signed and delivered to the Master Trustee. All Outstanding Master Obligations so issued by such successor corporation under this Master Indenture shall in all respects have the same security position and benefit under this Master Indenture as Outstanding Master Obligations theretofore or thereafter issued in accordance with the terms of this Master Indenture as though all of such Master Obligations had been issued hereunder without any such consolidation, merger, sale or conveyance having occurred.

(c) In case of any such consolidation, merger, sale or conveyance and upon any such assumption by the successor corporation, such successor corporation shall succeed to and be substituted for its predecessor, with the same effect as if it had been named herein as such Member, pursuant to a Supplemental Master Indenture. Each successor, assignee, surviving, resulting or transferee corporation of a Member must agree to become, and satisfy the conditions described herein to becoming, an Obligated Group Member prior to any such succession, assignment or other change in such Member's corporate status. Any successor corporation to such Member thereupon may cause to be signed and may issue in its own name Master Obligations hereunder and the predecessor corporation shall be released, without recourse, representation or warranty, from its obligations hereunder and under any Outstanding Master Obligations, if such predecessor corporation shall have conveyed all Property owned by it (or all such Property shall be deemed conveyed by operation of law) to such successor corporation. All Master Obligations so issued by such successor corporation hereunder shall in all respects have the same legal rank and benefit hereunder as Master Obligations theretofore or thereafter issued in accordance with the terms hereof as though all of such Master Obligations had been issued hereunder by such prior Member without any such consolidation, merger, sale or conveyance having occurred.

(d) In case of any such consolidation, merger, sale or conveyance, such changes in phraseology and form (but not in substance) may be made in Master Obligations thereafter to be issued as may be appropriate.

(e) The Obligated Group Representative shall deliver to the Master Trustee, and the Master Trustee may conclusively rely upon, an Officer's Certificate and an Opinion of Counsel as conclusive evidence that any such consolidation, merger, sale or conveyance, and any such assumption, complies with the provisions hereof summarized under this section and that it

is proper for the Master Trustee under the provisions hereof to join in the execution of any Supplemental Master Indenture required to be executed and delivered by the Master Trustee.

(f) Notwithstanding anything to the contrary in the foregoing, any Member may establish separate divisions and may cause such divisions to be separately incorporated or otherwise organized or reorganized, but all such divisions, whether separately incorporated or not, shall remain bound hereby and all Master Obligations issued hereunder, and shall be jointly and severally liable with the other Obligated Group Members with respect thereto; provided, however, prior to effecting any such reorganization, such Members shall deliver to the Master Trustee (i) an Opinion of Counsel to the effect that after such reorganization all separately incorporated divisions will be jointly and severally liable with the other Members hereunder and all Master Obligations issued hereunder, and (ii) an Opinion of Bond Counsel that such reorganization will not affect the validity of any Related Bonds or other obligations secured hereby or, with respect to any tax-exempt Related Bonds or other tax-exempt obligations secured hereby, the exclusion from gross income under Section 103 of the Code of interest paid on such tax-exempt Related Bonds or obligations. Such reorganizing Member shall preserve all of its rights and licenses to the extent necessary or desirable in the operation of its business affairs; provided, that such Members shall not be obligated to retain or preserve any rights or licenses no longer used or, in the judgment of the Governing Body no longer useful in the conduct of its business.

(g) Notwithstanding anything to the contrary in the foregoing, the Obligor may enter into agreements with other institutions for shared services. Such agreements shall not be prohibited by the terms of this section.

[End of Article V]

ARTICLE VI MEMBERSHIP IN THE OBLIGATED GROUP

Section 6.01 Admission of Obligated Group Members. In addition to corporations that are successor corporations to any Member of the Obligated Group through a merger or consolidation permitted under Section 5.01, Affiliates that are not Members may become Members, if:

(a) the Affiliate or successor corporation that is to become a Member (the “New Member”) is a business entity;

(b) the New Member shall execute and deliver to the Master Trustee a Supplemental Master Indenture in a form acceptable to the Master Trustee which shall be executed by the Master Trustee and the Obligated Group Representative, containing the agreement of such New Member (i) to become an Obligated Group Member and thereby to become subject to compliance with all provisions hereof and (ii) unconditionally and irrevocably (subject to the right of such Person to cease its status as an Obligated Group Member pursuant to the terms and conditions hereof) to jointly and severally make payments upon each Master Obligation and any amounts due the Master Trustee hereunder;

(c) The Obligated Group Representative shall deliver to the Master Trustee (i) either (A) an Officer’s Certificate certifying that if such addition to the Obligated Group had taken place on the first day of the last Fiscal Year for which audited financial statements are available, the Debt Service Coverage Ratio for such Fiscal Year would have been at least 80 percent of the actual Debt Service Coverage Ratio for such Fiscal Year and at least 1.20:1, and Days’ Cash on Hand would have been not less than 80 percent of the actual Days’ Cash on Hand and at least equal to the then-applicable Liquidity Requirement; or (B) a Consultant’s report showing that for the next two Fiscal Years the Debt Service Coverage Ratio is forecasted to be at least 80 percent of the actual Debt Service Coverage Ratio for the preceding Fiscal Year and at least 1.20:1, and Days’ Cash on Hand is forecasted to be at least 80 percent of the actual Days’ Cash on Hand for the preceding Fiscal Year and at least equal to the then-applicable Liquidity Requirement at the end of each Fiscal Year during the forecast period; (ii) an Opinion of Counsel acceptable to the Master Trustee to the effect that (x) the Supplemental Master Indenture described in (b) above has been duly authorized, executed and delivered and constitutes a legal, valid and binding agreement of such Person, enforceable in accordance with its terms, subject to customary exceptions for bankruptcy, insolvency and other laws generally affecting enforcement of creditors’ rights and application of general principles of equity, and an exception for indemnification by the Person to indemnify a party for its own negligence, and all action has been taken in order to cause the Lien of the Master Trustee in the Trust Estate to be perfected or recorded in accordance herewith and applicable law, and (y) the addition of such Person to the Obligated Group will not adversely affect the status as a Tax-Exempt Organization of any Member which otherwise has such status; (iii) evidence from each Rating Agency then maintaining a rating on any series of Related Bonds to the effect that the admission of such Person to the Obligated Group will not result in a below investment-grade rating on such series of Related Bonds; provided, however, that the holders of a majority of the principal amount of such series of Related Bonds may consent to waive such requirement; (iv) if all amounts due or to become due on all Related Bonds have not been paid to the holders thereof and provision for

such payment has not been made in such manner as to have resulted in the defeasance of all Related Bond Indentures, an Opinion of Bond Counsel to the effect that under then existing law the consummation of such transaction would not, in and of itself, adversely affect the validity of any Related Bonds or any exemption from federal or state income taxation of interest payable on such Related Bonds otherwise entitled to such exemption; and (v) Exhibit A to the Deed of Trust shall be amended, or a new Deed of Trust provided, to include a description of the real property of the Person becoming a Member upon which the primary operations of such Person are conducted, and the Person becoming a Member shall execute and deliver to the Master Trustee a Supplemental Master Indenture encumbering such real property; provided, that in making the calculation called for by subsection (c)(i) above, (x) there shall be excluded from Revenues any Revenues generated by Property of such Person transferred or otherwise disposed of by such Person since the beginning of the Fiscal Year during which such Person's entry into the Obligated Group occurs, and (y) there shall be excluded from Expenses any Expenses related to Property of such Person transferred or otherwise disposed of by such Person since the beginning of the Fiscal Year during which such Person's entry into the Obligated Group occurs; and

(d) the Master Trustee shall have received a certificate of the Obligated Group Representative evidencing that all then current Members of the Obligated Group approve the admission of the New Member into the Obligated Group.

Section 6.02 Obligated Group Members. Upon becoming an Obligated Group Member as provided in Section 6.01:

(a) The Master Trustee may pursue any remedies consequent upon an Event of Default against any Obligated Group Member, or all of them, without notice to, demand upon or joinder of (and without in any way releasing) any of the others, or against any one or more or all of them at the same time or at different times;

(b) Any right of contribution or right acquired by subrogation by any Obligated Group Member against any other Obligated Group Member arising out of the payment of Indebtedness shall be subordinated to the rights of the Master Trustee and the Holders of Master Obligations; and

(c) Each Obligated Group Member shall designate the Obligated Group Representative as its attorney in fact with full power of substitution to perform, satisfy and discharge every obligation, covenant, duty or liability to be performed on the part of the Obligated Group Member hereunder.

Section 6.03 Withdrawal of Obligated Group Members. The Obligor may not withdraw from the Obligated Group for as long as any Related Bonds remain outstanding. Any other Obligated Group Member may withdraw from the Obligated Group and be discharged of all indebtedness hereunder, if the Obligated Group Representative shall deliver to the Master Trustee an Officer's Certificate and an Opinion of Counsel as conclusive evidence that any such withdrawal and related release comply with the provisions hereof, together with:

(a) (i) either (A) an Officer's Certificate certifying that if such withdrawal had taken place on the first day of the last Fiscal Year for which audited financial statements are available,

the Debt Service Coverage Ratio for such Fiscal Year would have been at least 80 percent of the actual Debt Service Coverage Ratio for such Fiscal Year and at least 1.20:1, and Days' Cash on Hand would have been at least 80 percent of the actual Days' Cash on Hand at the end of such Fiscal Year and at least equal to the then-applicable Liquidity Requirement; or (B) a Consultant's report showing that for the next two Fiscal Years, the Debt Service Coverage Ratio is forecasted to be at least 80 percent of the actual Debt Service Coverage Ratio for the preceding Fiscal Year and at least 1.20:1, and Days' Cash on Hand is forecasted to be at least 80 percent of the actual Days' Cash on Hand for the preceding Fiscal Year and at least equal to the then-applicable Liquidity Requirement at the end of each Fiscal Year during the forecast period; provided, however, that a Member may withdraw from the Obligated Group without delivering the documents referred to in subsection (A) or (B) above, if the Obligated Group Representative shall deliver to the Master Trustee an Officer's Certificate certifying that either (x) the Debt Service Coverage Ratio for such Obligated Group Member (calculated by eliminating all financial transactions with other Members of the Obligated Group) would have been less than 1.00, or (y) if the proposed withdrawal had been made on the first day of the last Fiscal Year for which audited financial statements are available, (1) the Historical Pro Forma Debt Service Coverage Ratio for the Obligated Group, after giving effect to any indebtedness which is proposed to be retired, repaid or otherwise discharged following such withdrawal, would have been at least equal to the actual Historical Debt Service Coverage Ratio for such Fiscal Year, and (2) the Obligated Group's Days' Cash on Hand, after giving effect to the proposed withdrawal, would have been equal to or greater than the actual Days' Cash on Hand at the end of such Fiscal Year; and (ii) evidence from each Rating Agency then maintaining a rating on any series of Related Bonds to the effect that the admission of such Person to the Obligated Group will not result in a below investment-grade rating on such series of Related Bonds; provided, however, that the holders of a majority of the principal amount of such series of Related Bonds may consent to waive such requirement;

(b) Prior to cessation of such status, there is delivered to the Master Trustee an Opinion of Counsel to the effect that the cessation by such Member of its status as a Member is permitted hereunder and will not, in and of itself, adversely affect the status as a Tax-Exempt Organization of any Member which otherwise has such status;

(c) Any Liens in favor of the withdrawing Member on the Property of a remaining Member is released and satisfied unless such Lien constitutes a Permitted Encumbrance after the withdrawing Member is no longer a Member; and

(d) Prior to cessation of such status, the Obligated Group Representative and each Member consents in writing to the withdrawal by such Member.

(e) Upon withdrawal from the Obligated Group, the withdrawing Member shall be discharged of all Indebtedness under this Master Indenture.

Section 6.04 Successor Obligated Group Representative. The Obligor shall serve as the Obligated Group Representative until such time as the Obligor either (a) withdraws from the Obligated Group in accordance with this Article VI or (b) delivers to the Master Trustee its resignation as the Obligated Group Representative. The Obligor covenants to fulfill all of the duties of the Obligated Group Representative under this Master Indenture. The Obligor agrees

that it shall not withdraw from the Obligated Group or resign as Obligated Group Representative until the Obligor has appointed another Obligated Group Representative and such successor Obligated Group Representative has accepted its duties in writing. Each Obligated Group Member by becoming an Obligated Group Member acknowledges that the Obligated Group Representative has certain powers and duties under this Master Indenture, including, without limitation, to bind all Obligated Group Members to joint and several liability on all Master Obligations issued hereunder, and authorizes the Obligated Group Representative to exercise such powers and carry out such duties.

[End of Article VI]

ARTICLE VII REMEDIES OF THE MASTER TRUSTEE AND HOLDERS OF SECURED OBLIGATIONS IN EVENT OF DEFAULT

Section 7.01 Events of Default. Event of Default, as used herein, shall mean any of the following events, whatever the reason for such Event of Default and whether it shall be voluntary or involuntary or come about or be effected by operation of law or pursuant to or in compliance with any judgment, decree or order of any court or any order, rule or regulation of any administrative or governmental body:

(a) Default in the payment of the principal of, or premium, if any, or interest on any Master Obligation (other than Subordinated Obligations) when it becomes due and payable and the continuance of such default beyond the period of grace, if any, provided in the instrument creating such Master Obligation; or

(b) Any Obligated Group Member shall fail duly to observe or perform any other covenant or agreement (other than a covenant or agreement whose performance or observance is elsewhere in this Section specifically dealt with) on the part of such Person contained in this Master Indenture for a period of 45 days after the date on which written notice of such failure, requiring the same to be remedied, shall have been given to the Obligated Group Representative by the Master Trustee, or to the Obligated Group Representative and the Master Trustee by the Holders of at least 25% in aggregate principal amount of Master Obligations then Outstanding; provided that if any such default can be cured by such Obligated Group Member but cannot be cured within the 45 day curative period described above, it shall not constitute an Event of Default if corrective action is instituted by such Obligated Group Member within such 45 day period and diligently pursued until the default is corrected; or

(c) A decree or order by a court having jurisdiction in the premises shall have been entered adjudging any Obligated Group Member a bankrupt or insolvent, or approving as properly filed a petition seeking reorganization or arrangement of any Obligated Group Member under the federal Bankruptcy Code or any other similar applicable federal or state law, and such decree or order shall have continued undischarged and unstayed for a period of 90 days; or a decree or order of a court having jurisdiction in the premises for the appointment of a receiver or trustee or assignee in bankruptcy or insolvency of any Obligated Group Member or of its property, or for the winding up or liquidation of its affairs, shall have been entered, and such decree or order shall have remained in force undischarged and unstayed for a period of 90 days; or

(d) Any Obligated Group Member shall institute proceedings to be adjudicated a voluntary bankrupt, or shall consent to the institution of a bankruptcy proceeding against it, or shall file a petition or answer or consent seeking reorganization or arrangement under the federal Bankruptcy Code or any other similar applicable federal or state law, or shall consent to the filing of any such petition, or shall consent to the appointment of a receiver or trustee or assignee in bankruptcy or insolvency of it or of the Trust Estate, or shall make an assignment for the benefit of creditors, or shall admit in writing its inability to pay its debts generally as they become due, or action shall be taken by the Governing Body of any Obligated Group Member in furtherance of any of the aforesaid purposes; or

(e) any Obligated Group shall fail to pay or make provision for payment of any recourse Indebtedness (other than Subordinated Indebtedness owed to an Affiliate of the Obligated Group) having a principal balance of not less than \$750,000 and the continuance of such failure beyond the applicable grace period, if any, such that the Obligated Group's obligation to repay such Indebtedness is accelerated; or

(f) The Master Trustee has received written notice that an event of default, as therein defined, under any instrument under which Master Obligations may be incurred or which are secured by Master Obligations, or under any Related Bond Indentures, Related Loan Agreements, Credit Facilities, the Deed of Trust or other documents delivered in connection with the issuance of Related Bonds, has occurred and is continuing beyond the applicable period of grace, if any; or

(h) Either (i) the Debt Service Coverage Ratio for any two consecutive Fiscal Years is less than 1.00, or (ii) the Debt Service Coverage Ratio for any Fiscal Year is less than 1.00 and the Obligated Group has less than 150 Days' Cash on Hand as of the last day of such Fiscal Year.

If an Event of Default occurs and is continuing, then and in every such case the Master Trustee or the Holders of not less than 25% in principal amount of the Outstanding Master Obligations except the Subordinated Obligations (or, in the case of any Event of Default described in subparagraph (f) of Section 7.01 above resulting in the loss of any exclusion from gross income of interest on, or the invalidity of, any Indebtedness secured by a pledge of Master Obligations, the Holders of not less than 25% in principal amount of the Outstanding Master Obligations of the affected series) may declare the principal of all the Master Obligations to be due and payable immediately, by a notice in writing to the Obligated Group and all of the Holders of Master Obligations (and to the Master Trustee if given by Holders of Master Obligations), and upon any such declaration such principal shall become immediately due and payable.

Section 7.02 Acceleration of Maturity; Rescission and Annulment. If an Event of Default occurs and is continuing, then and in every such case the Master Trustee may and, upon the written direction of (a) the Holders of not less than 25% in principal amount of the Outstanding Master Obligations except the Subordinated Obligations, or (b) any Person properly exercising the right given to such Person under any Supplemental Master Indenture to require acceleration of a Master Obligation held by such Person that was issued pursuant to such Supplemental Master Indenture, shall, declare the principal of all the Master Obligations to be due and payable immediately, by a notice in writing to the Obligated Group Representative and all of the Holders of Master Obligations, and upon any such declaration such principal shall become immediately due and payable; provided, however, that if the terms of any Supplemental Master Indenture give a Person the right to consent to acceleration of a Master Obligation issued pursuant to said Supplemental Master Indenture, such Master Obligation may not be accelerated by the Master Trustee unless such consent is delivered to the Master Trustee pursuant to the terms of such Supplemental Master Indenture.

Unless otherwise prohibited from doing so by any Supplemental Master Indenture, at any time after such a declaration of acceleration has been made and before a judgment or decree for payment of the money due has been obtained by the Master Trustee as hereinafter in this Article

provided, the Majority Holders of the Outstanding Master Obligations except Subordinated Obligations, by written notice to the Obligated Group Representative and the Master Trustee, may rescind and annul such declaration and its consequences if:

(a) One or more Obligated Group Members has paid or deposited with the Master Trustee a sum sufficient to pay:

(i) All overdue installments of interest on all Master Obligations,

(ii) The principal of and premium, if any, on any Master Obligations which have become due otherwise than by such declaration of acceleration and interest thereon at the rate borne by the Master Obligations, and

(iii) All sums paid or advanced by the Master Trustee hereunder and the reasonable compensation, expenses, disbursements and advances of the Master Trustee, its agents and counsel; and

(b) All Events of Default, other than the nonpayment of the principal of Master Obligations which have become due solely by such acceleration, have been cured or waived as provided in Section 7.15.

No such rescission shall affect any subsequent default or impair any right consequent thereon.

Section 7.03 Transfer, Assignment, Lease and Other Dispositions; Suits for Enforcement.

In case an Event of Default shall occur and be continuing, the Master Trustee, in its discretion may, subject to the provisions of Section 7.16:

(a) Protect and enforce its rights and the rights of the Master Trustee under this Master Indenture by a suit, action or proceeding in equity or at law or otherwise, whether for the specific performance of any covenant or agreement contained in this Master Indenture or in aid of the execution of any power granted in this Master Indenture or for the enforcement of any other legal, equitable or other remedy, as the Master Trustee, being advised by counsel, shall deem most effectual to protect and enforce any of the rights of the Master Trustee, or

(b) As to all or part of the personal property (tangible or intangible) and fixtures included in the Trust Estate (such portion of the Trust Estate herein referred to as the "Collateral"),

(i) Proceed under the Uniform Commercial Code of the State of Maryland and exercise with respect to the Collateral all the rights, remedies and powers of a secured party under the Uniform Commercial Code of the State of Maryland, including, without limitation, the right and power to sell, at public or private sale, or otherwise dispose of, lease or utilize, the Collateral and any part or parts thereof in any manner authorized or permitted under the Uniform Commercial Code of the State of Maryland after default by a debtor, and, to the extent permitted by law, the Obligor and each other

Member expressly waives any notice of sale or other disposition of the Collateral and any other rights and remedies of a debtor or formalities prescribed by law relative to sale or disposition of the Collateral or exercise of any other right or remedy of the Master Trustee existing after default hereunder, and, to the extent any such notice is required and cannot be waived, the Obligor and each other Member agree that if such notice is mailed, postage prepaid, to the Master Trustee at its address set out in Section 1.05 hereof at least ten days before the time of the sale or disposition, such notice shall be deemed reasonable and shall fully satisfy any requirement for giving of said notice,

(ii) Take possession of the Collateral and enter upon any premises where the same may be situated for such purpose without being deemed guilty of trespass and without liability for damages thereby occasioned and take any action deemed necessary or appropriate or desirable by the Master Trustee, at its option and in its discretion, to repair, refurbish or otherwise prepare the Collateral for sale, lease or other use or disposition as herein authorized,

(iii) Transfer at any time to itself or to its nominee the Collateral, or any part thereof, and receive the money, income proceeds or benefits attributable or accruing thereto and hold the same as security for the Outstanding Master Obligations or apply same as herein provided, and

(iv) Require the Members to assemble the Collateral and make it available to the Master Trustee at a place to be designated by the Master Trustee that is reasonably convenient to all parties.

The Master Trustee shall be fully subrogated to the rights of all vendor's lienholders and other lienholders whose indebtedness is paid in whole or in part from proceeds of Master Obligations.

The filing of a suit to foreclose any lien, mortgage or security interest hereunder or under the Deed of Trust shall never be considered an election so as to preclude foreclosure under any power of sale contained herein or in the Deed of Trust after dismissal of such a suit.

Section 7.04 Incidents of Sale.

Upon any sale of any of the Trust Estate, whether pursuant to judicial proceedings or otherwise, to the extent permitted by law:

(a) Any Holder or Holders of Master Obligations or the Master Trustee or its designee, provided that the Master Trustee has been properly directed by the requisite percentage of holders of Master Obligations and indemnified to its satisfaction and subject to all the protections of Section 8.03(n), may bid for and purchase the property offered for sale, and upon compliance with the terms of sale may hold, retain, possess and dispose of such property, without further accountability, and may, in paying the purchase money therefor, deliver any Outstanding Master Obligations or claims for interest thereon in lieu of cash to the amount which shall, upon distribution of the net proceeds of such sale, be payable thereon, and such Master Obligations, in case the amounts so payable thereon shall be less than the amount due thereon,

shall be returned to the Holders thereof after being appropriately stamped to show partial payment;

(b) The Master Trustee may make and deliver to the purchaser or purchasers a good and sufficient deed, bill of sale and instrument of assignment and transfer of the property sold;

(c) The Master Trustee is hereby irrevocably appointed the true and lawful attorney of each Member, in its name and stead, to make all necessary deeds, bills of sale and instruments of assignment and transfer of the property thus sold; and for that purpose it may execute all necessary deeds, bills of sale and instruments of assignment and transfer and may substitute one or more persons, firms or corporation with like power, each Member hereby ratifying and confirming all that its said attorney or such substitute or substitutes shall lawfully do by virtue hereof; but if so requested by the Master Trustee or by any purchaser, any Member shall ratify and confirm any such sale or transfer by executing and delivering to the Master Trustee or to such purchaser or purchasers all proper deeds, bills of sale and instruments of assignment and transfer and release as may be designated in any such request;

(d) Rights, titles, interests, claims and demands whatsoever, either at law or in equity or otherwise, of the Members of, in and to the property so sold shall be divested and such sale shall be a perpetual bar both at law and in equity against each of the Members and their respective successors and assigns, and against any and all persons claiming or who may claim the property sold or any part thereof by, through or under the Members or their respective successors and assigns; and

(e) Receipt of the Master Trustee or of the officer making such sale shall be a sufficient discharge to the purchaser or purchasers at such sale for his or their purchase money and such purchaser or purchasers and his or their assigns or personal representative shall not, after paying such purchase money and receiving such receipt, be obligated to see to the application of such purchase money or be in any way answerable for any loss, misapplication or nonapplication thereof.

Upon a sale of substantially all the Trust Estate, whether made under the power of sale hereby granted or pursuant to judicial proceedings, the Obligated Group Representative will permit, to the extent permitted by law, the purchaser thereof and its successors and assigns to take and use the names of the Members and to carry on business under such name or any variant thereof and to use and employ any and all other trade names, brands and trademarks of the Members; and in such event, upon written request of such purchaser, its successors or its assigns, any Member will, at the expense of the purchaser, change its name in such manner as to eliminate any similarity.

Section 7.05 Collection of Indebtedness and Suits for Enforcement by Master Trustee. The Obligated Group Members covenant (subject to any notice and grace periods contained herein) that if:

(a) Default is made in the payment of any installment of interest on any Master Obligation when such interest becomes due and payable, or

(b) Default is made in the payment of the principal of, or premium, if any, on any Master Obligation at the maturity thereof,

each Obligated Group Member will, upon demand of the Master Trustee, pay to it, for the benefit of the Holders of such Master Obligations, the whole amount then due and payable on such Master Obligations for principal, premium, if any, and interest, with interest at the rate borne by or otherwise set forth in the Master Obligations upon the overdue principal and premium, if any; and, in addition thereto, such further amount as shall be sufficient to cover the costs and expenses of collection, including the reasonable compensation, expenses, disbursements and advances of the Master Trustee, its agents and counsel.

If the Obligated Group Members fail to pay any of the foregoing amounts forthwith upon demand, the Master Trustee, in its own name and as trustee of an express trust, may institute a judicial proceeding for the collection of the sums so due and unpaid, may prosecute such proceeding to judgment or final decree, and may enforce the same against the Obligated Group Members or any other obligor upon the Master Obligations and collect the moneys adjudged or decreed to be payable in the manner provided by law out of the property of the Obligated Group Members or any other obligor upon the Master Obligations, wherever situated.

If an Event of Default occurs and is continuing, the Master Trustee may in its discretion proceed to protect and enforce its rights and the rights of the Holders of Master Obligations by such appropriate judicial proceedings as the Master Trustee shall deem most effectual to protect and enforce any such rights, whether for the specific enforcement of any covenant or agreement in this Master Indenture or in aid of the exercise of any power granted herein, or to enforce any other proper remedy.

If an Event of Default occurs and is continuing, the Master Trustee, as the beneficiary under the Deed of Trust, may in its discretion proceed to enforce its rights and seek any remedies available to it under the Deed of Trust.

Section 7.06 Master Trustee May File Proofs of Claim. In case of the pendency of any receivership, insolvency, liquidation, bankruptcy, reorganization, arrangement, adjustment, composition or other judicial proceeding relative to the Obligated Group Members or any other obligor upon the Master Obligations or the property of the Obligated Group Members or of such other obligor or their creditors, the Master Trustee (irrespective of whether the principal of the Master Obligations shall then be due and payable as therein expressed or by declaration or otherwise and irrespective of whether the Master Trustee shall have made any demand on the Obligated Group Members for the payment of overdue principal, premium, or interest) shall be entitled and empowered, by intervention in such proceeding or otherwise,

(a) To file and prove a claim for the whole amount of principal, premium, if any, and interest owing and unpaid in respect of the Master Obligations and to file such other papers or documents as may be necessary or advisable in order to have the claims of the Master Trustee (including any claim for the reasonable compensation, expenses, disbursements and advances of the Master Trustee, its agents and counsel which shall be deemed an administrative claim) and of the Holders of Master Obligations allowed in such judicial proceeding, and

(b) To collect and receive any moneys or other property payable or deliverable on any such claims and to distribute the same;

and any receiver, assignee, trustee, liquidator, sequestrator, custodian or other similar official in any such judicial proceeding is hereby authorized by each Holder of Master Obligations to make such payments to the Master Trustee, and in the event that the Master Trustee shall consent to the making of such payments directly to the Holders of Master Obligations, to pay to the Master Trustee any amount due to it for the reasonable compensation, expenses, disbursements and advances of the Master Trustee, its agents and counsel and any other amounts due the Master Trustee under this Master Indenture which shall be deemed an administrative claim. To the extent that the payment of any such compensation, expenses, disbursements and advances of the Master Trustee, its agents and counsel, and any other amounts due the Master Trustee under Section 8.07 hereof out of the estate in any such proceeding, shall be unpaid for any reason, payment of the same shall be secured by a Lien on, and shall be paid out of, any and all distributions, dividends, money, securities and other properties that the Holders of Master Obligations may be entitled to receive in such proceeding, whether in liquidation or under any plan of reorganization or arrangement or otherwise. The Master Trustee may, on behalf of the Holders of Master Obligations, vote for the election of a trustee in bankruptcy or similar official and be a member of a creditors' or other similar committee.

Nothing herein contained shall be deemed to authorize the Master Trustee to authorize or consent to or accept or adopt on behalf of any Holder of Master Obligations any plan of reorganization, arrangement, adjustment or composition affecting the Master Obligations or the rights of any Holder thereof or to authorize the Master Trustee to vote in respect of the claim of any Holder of Master Obligations in any such proceeding.

Section 7.07 Master Trustee May Enforce Claims Without Possession of Master Obligations. All rights of action and claims under this Master Indenture or the Master Obligations may be prosecuted and enforced by the Master Trustee without the possession of any of the Master Obligations or the production thereof in any proceeding relating thereto, and any such proceeding instituted by the Master Trustee shall be brought in its own name as trustee of an express trust, and any recovery of judgment shall, after provision for the payment of the reasonable compensation, expenses, disbursements and advances of the Master Trustee, its agents and counsel, be for the ratable benefit of the Holders of the Master Obligations in respect of which such judgment has been recovered.

Section 7.08 Application of Money Collected. Any money or property collected by the Master Trustee pursuant to this Article VII, any moneys or properties distributable in respect of an Obligated Group Member's obligations under this Master Indenture after any Event of Default, and any proceeds of any sale (after deducting the costs and expenses of such sale, including a reasonable compensation to the Master Trustee, its agents and counsel, and any taxes, assessments or liens prior to the lien of this Master Indenture and the Deed of Trust, except any thereof subject to which such sale shall have been made), whether made under any power of sale granted herein or in the Deed of Trust or pursuant to judicial proceedings, together with any other sums then held by the Master Trustee as part of the Trust Estate, shall be deposited in the Revenue Fund created by this Master Indenture, shall be applied in the order specified in Section 3.01, at the date or dates fixed by the Master Trustee and, in case of the

distribution of such money on account of principal or premium, if any, upon presentation of the Master Obligations and the notation thereon of the payment if only partially paid and upon surrender thereof if fully paid. The Master Trustee may fix a record date and payment date for any payment or distribution to Holders pursuant to this Section 7.08.

In the event the Master Trustee incurs expenses or renders services in any proceedings which result from the occurrence or continuance of an Event of Default under Section 7.01(c) or 7.01(d) hereof, or from the occurrence of any event which, by virtue of the passage of time, would become such Event of Default, the expenses so incurred and compensation for services so rendered are intended to constitute expenses of administration under the United States Bankruptcy Code or equivalent law.

Section 7.09 Limitation on Suits. No Holder of any Master Obligation shall have any right to institute any proceeding, judicial or otherwise, with respect to this Master Indenture, or for the appointment of a receiver or trustee, or for any other remedy hereunder, unless

(a) Such Holder has previously given written notice to the Master Trustee of a continuing Event of Default;

(b) The Holders of not less than 25% in principal amount of the Outstanding Master Obligations other than Subordinated Obligations shall have made written request to the Master Trustee to institute proceedings in respect of such Event of Default in its own name as Master Trustee hereunder;

(c) Such Holder or Holders have offered to the Master Trustee indemnity satisfactory to it against the costs, expenses and liabilities to be incurred in compliance with such request;

(d) The Master Trustee for 60 days after its receipt of such notice, request and offer of indemnity has failed to institute any such proceeding; and

(e) No direction inconsistent with such written request has been given to the Master Trustee during such 60 day period by the Holders of a majority in principal amount of the Outstanding Master Obligations other than Subordinated Obligations; it being understood and intended that no one or more Holders of Master Obligations shall have any right in any manner whatever by virtue of, or by availing of, any provision of this Master Indenture to affect, disturb or prejudice the rights of any other Holders of Master Obligations, or to obtain or to seek to obtain priority or preference over any other Holders (except Holders of Subordinated Obligations) or to enforce any right under this Master Indenture, except in the manner herein provided and for the equal and ratable benefit of all the Holders of Master Obligations (except the Holders of Subordinated Obligations).

(f) Notwithstanding any provision of this Section to the contrary, if an Event of Default occurs and is continuing, no Holder of any Subordinated Obligation shall have any right to institute any proceeding, judicial or otherwise, with respect to this Master Indenture, or for the appointment of a receiver or trustee, or for any other remedy hereunder until all Master Obligations other than Subordinated Obligations have been paid in full and the obligation of any Holder of a Master Obligation other than a Subordinated Obligation to make advances of principal under the instrument secured thereby has been terminated.

Section 7.10 Unconditional Right of Holders of Master Obligations to Receive Principal, Premium and Interest. Notwithstanding any other provision in this Master Indenture, the Holder of any Master Obligation shall have the right which is absolute and unconditional to receive payment of the principal of, premium, if any, and (subject to Section 2.07) interest on such Master Obligation on the respective Stated Maturities expressed in such Master Obligation (or, in the case of redemption, on the redemption date) and to institute suit for the enforcement of any such payment, and such rights shall not be impaired without the consent of such Holder; provided, however, that if an Event of Default occurs and is continuing, no Holder of any Subordinated Obligation shall institute suit for the enforcement of any such payment until all Master Obligations other than Subordinated Obligations have been paid in full.

Section 7.11 Restoration of Rights and Remedies. If the Master Trustee or any Holder of Master Obligations has instituted any proceeding to enforce any right or remedy under this Master Indenture and such proceeding has been discontinued or abandoned for any reason, or has been determined adversely to the Master Trustee or to such Holder of Master Obligations, then and in every such case the Obligated Group Members, the Master Trustee and the Holders of Master Obligations shall, subject to any determination in such proceeding, be restored severally and respectively to their former positions hereunder, and thereafter all rights and remedies of the Master Trustee and the Holders of Master Obligations shall continue as though no such proceeding had been instituted.

Section 7.12 Rights and Remedies Cumulative. No right or remedy herein conferred upon or reserved to the Master Trustee or to the Holders of Master Obligations is intended to be exclusive of any other right or remedy, and every right and remedy shall, to the extent permitted by law, be cumulative and in addition to every other right and remedy given hereunder or now or hereafter existing at law or in equity or otherwise. The assertion or employment of any right or remedy hereunder, or otherwise, shall not prevent the concurrent assertion or employment of any other appropriate right or remedy.

Section 7.13 Delay or Omission Not Waiver. No delay or omission of the Master Trustee or of any Holder of any Master Obligation to exercise any right or remedy accruing upon any Event of Default shall impair any such right or remedy or constitute a waiver of any such Event of Default or an acquiescence therein. Every right and remedy given by this Article or by law to the Master Trustee or to the Holders of Master Obligations may be exercised from time to time, and as often as may be deemed expedient, by the Master Trustee or by the Holders of Master Obligations, as the case may be.

Section 7.14 Control by Holders of Master Obligations. The Holders of a majority in principal amount of the Outstanding Master Obligations other than Subordinated Obligations shall have the right to direct the time, method, and place of conducting any proceeding for any remedy available to the Master Trustee or exercising any trust or power conferred on the Master Trustee, provided that:

(a) Such direction shall not be in conflict with any rule of law or with this Master Indenture or be unduly prejudicial to the rights of Holders of Master Obligations not joining in the giving of such direction (it being understood that the Master Trustee does not have an

affirmative duty to ascertain whether or not any such directions are unduly prejudicial to such Holders of Master Obligations);

(b) The Master Trustee may take any other action deemed proper by the Master Trustee which is not inconsistent with such direction; and

(c) The Master Trustee shall not be required to act on any direction given to it pursuant to this Section until indemnity as set forth in Section 8.03(e) hereof is provided to it by such Holders.

Section 7.15 Waiver of Past Defaults. The Holders of not less than a majority in principal amount of the Outstanding Master Obligations other than Subordinated Obligations may on behalf of the Holders of all the Master Obligations waive any past default hereunder and its consequences, except a default

(a) In the payment of the principal of, premium, if any, or interest on any Master Obligation, or

(b) In respect of a covenant or provision hereof which under Article IX cannot be modified or amended without the consent of the Holder of each Outstanding Master Obligation affected.

Upon any such waiver, such default shall cease to exist, and any Event of Default arising therefrom shall be deemed to have been cured, for every purpose of this Master Indenture; but no such waiver shall extend to any subsequent or other default or impair any right consequent thereon.

Section 7.16 Undertaking for Costs. All parties to this Master Indenture agree, and each Holder of any Master Obligation by his acceptance thereof shall be deemed to have agreed, that any court may in its discretion require, in any suit for the enforcement of any right or remedy under this Master Indenture, or in any suit against the Master Trustee for any action taken or omitted by it as Master Trustee, the filing by any party litigant in such suit of an undertaking to pay the costs of such suit, and that such court may in its discretion assess reasonable costs, including reasonable attorneys' fees, against any party litigant in such suit, having due regard to the merits and good faith of the claims or defenses made by such party litigant; but the provisions of this Section shall not apply to any suit instituted by the Master Trustee, to any suit instituted by any Holder of Master Obligations, or group of Holders of Master Obligations, holding in the aggregate more than 10% in principal amount of the Outstanding Master Obligations, or to any suit instituted by any Holder of Master Obligations for the enforcement of the payment of the principal of, premium, if any, or interest on any Master Obligation on or after the respective Stated Maturities expressed in such Master Obligation (or, in the case of redemption, on or after the redemption date).

Section 7.17 Waiver of Stay or Extension Laws. Each Obligated Group Member covenants (to the extent that it may lawfully do so) that it will not at any time insist upon, or plead, or in any manner whatsoever claim or take the benefit or advantage of, any stay or extension law wherever enacted, now or at any time hereafter in force, which may affect the covenants or the performance of this Master Indenture; and each Obligated Group Member (to

the extent that it may lawfully do so) hereby expressly waives all benefit or advantage of any such law and covenants that it will not hinder, delay or impede the execution of any power herein granted to the Master Trustee, but will suffer and permit the execution of every such power as though no such law had been enacted.

Section 7.18 Auto-Debit; Right of Set-Off. In addition to any rights now or hereafter granted by contract and/or under applicable law and not by way of limitation of any such rights, and subject to the terms of any Related Loan Agreement or any other agreement evidencing or securing any Indebtedness or payment obligation under any Hedge Agreement of the Obligor or Obligated Group Member that is secured by a Master Obligation, any Holder of a Master Obligation at any time, and from time to time, may automatically debit an account of the Obligor to pay amounts then due and payable to such Holder in respect of such Indebtedness or payment obligation under a Hedge Agreement, and/or may set-off and appropriate and apply any and all deposits (general or special) and any other indebtedness at any time held or owing by such Holder to or for the credit or the account of the Obligor or Obligated Group Member against and on account of the obligations and liabilities of the Obligor or Obligated Group Member to such Holder, provided that during the continuance of any Event of Default hereunder or thereunder, all amounts realized by such Holder pursuant to such auto-debit or set-off rights shall be delivered by such Holder to the Master Trustee to be applied in the same manner as Gross Revenues in accordance with Section 3.01 of this Master Indenture; and by its acceptance of a Master Obligation, any Holder of a Master Obligation is deemed to have agreed to the terms hereunder.

[End of Article VII]

**ARTICLE VIII
CONCERNING THE MASTER TRUSTEE**

Section 8.01 Duties and Liabilities of Master Trustee.

(a) Except during the continuance of an Event of Default, the Master Trustee undertakes to perform such duties and only such duties as are specifically set forth in this Master Indenture and no implied covenants or obligations shall be read into this Master Indenture against the Master Trustee. The Master Trustee shall have no duty to review any financial statements provided by the Obligated Group hereunder, nor shall the Master Trustee be considered to have notice of the content of such statements or a default based on such content. The Master Trustee shall have no duty to verify the accuracy of such financial statements.

(b) In case any Event of Default under this Master Indenture has occurred and is continuing of which a Responsible Officer of the Master Trustee has actual notice, the Master Trustee shall exercise such of the rights and powers vested in it by this Master Indenture and use the same degree of care and skill in their exercise as a prudent man would exercise or use under the circumstances in the conduct of his own affairs.

(c) No provision of this Master Indenture shall be construed to relieve the Master Trustee from liability for its own negligent action, its own negligent failure to act, or its own willful misconduct, except, that:

(i) This Subsection shall not be construed to limit the effect of Subsection (a) of this Section;

(ii) The Master Trustee shall not be liable for any error of judgment made in good faith by a Responsible Officer, unless it shall be proved that the Master Trustee was negligent in ascertaining the pertinent facts;

(iii) The Master Trustee shall not be liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the holders of not less than a majority in aggregate principal amount of Master Obligations then Outstanding other than Subordinated Obligations relating to the time, method and place of conducting any proceeding for any remedy available to the Master Trustee, or exercising any trust or power conferred upon the Master Trustee, under this Master Indenture, or the direction pursuant to Section 7.02 of (A) the Holders of not less than 25% in principal amount of the Outstanding Master Obligations except Subordinated Obligations, or (B) any Person properly exercising the right given to such Person under any Supplemental Master Indenture to require acceleration of a Master Obligation held by such Person that was issued pursuant to such Supplemental Master Indenture;

(iv) No provision of this Master Indenture shall require the Master Trustee to expend or risk its own funds or otherwise incur any financial liability in the performance of any of its duties hereunder or in the exercise of any of its rights or powers, if it shall have grounds for believing that the repayment of such funds or indemnity satisfactory to it against such risk or liability is not assured to it; and

(v) In the absence of bad faith on its part, the Master Trustee may conclusively rely, as to the truth of the statements and the correctness of the opinions expressed therein, upon any certificates or opinions furnished to the Master Trustee and conforming to the requirements of this Master Indenture; but in the case of any such certificates or opinions which by any provision hereof are specifically required to be furnished to the Master Trustee, the Master Trustee shall be under a duty to examine the same to determine whether or not they conform to the requirements of this Master Indenture (but need not confirm or investigate the accuracy of any mathematical calculations or other facts stated therein).

(d) Whether or not therein expressly so provided, every provision of this Master Indenture relating to the conduct or affecting the liability of or affording protection to the Master Trustee shall be subject to the provisions of this Section. In acting or omitting to act pursuant to the provisions of the Collateral Assignment of Contracts or any other related agreement, including any document delivered in connection with Related Bonds, the Master Trustee shall be entitled to and be protected by the rights and immunities accorded to it by the terms of this Master Indenture.

Section 8.02 Notice of Defaults. Within 90 days after the occurrence of any default hereunder of which the Master Trustee is deemed to have knowledge as provided in Section 8.03(h) hereof, the Master Trustee shall transmit by mail to all Holders of Master Obligations notice of such default, unless such default shall have been cured or waived; provided, however, that except in the case of a default in the payment of the principal of, premium, if any, or interest on any Master Obligations or in the payment of any sinking or purchase fund installment, the Master Trustee shall be protected in withholding such notice if and so long as the board of directors, the executive committee or a trust committee of directors and/or Responsible Officers of the Master Trustee in good faith determine that the withholding of such notice is in the interest of the Holders of Master Obligations; and provided, further, that in the case of any default of the character specified in Section 7.01(b) no such notice to Holders of Master Obligations shall be given until at least 30 days after the occurrence thereof. For the purpose of this Section, the term “default” means any event which is, or after notice or lapse of time or both would become, an Event of Default.

Section 8.03 Certain Rights of Master Trustee. Except as otherwise provided in Section 8.01:

(a) The Master Trustee may conclusively rely and shall be fully protected in acting or refraining from acting upon any resolution, certificate, statement, instrument, opinion, report, notice, request, direction, consent, order, approval, bond, debenture, coupon or other paper or document (whether in its original or facsimile form) believed by it to be genuine and to have been signed or presented by the proper party or parties and shall not be required to verify the accuracy of any information or calculations required to be included therein or attached thereto;

(b) Any request or direction of any Person mentioned herein shall be sufficiently evidenced by a request of such Person or any Obligated Group Representative Request; and any resolution of the Governing Body of any Person may be evidenced to the Master Trustee by a Board Resolution of such Person;

(c) Whenever in the administration of this Master Indenture the Master Trustee shall deem it desirable that a matter be proved or established prior to taking, suffering or omitting any action hereunder, the Master Trustee (unless other evidence be herein specifically prescribed) may, in the absence of bad faith on its part, conclusively rely upon an Officer's Certificate or an Opinion of Counsel, which shall conform to the provisions of Section 1.03. The Master Trustee shall not be liable for any action it takes or omits to take in good faith in reliance on such certificate or opinion;

(d) The Master Trustee may consult with counsel concerning all matters of trusts hereof and duties hereunder and may in all cases pay such reasonable compensation to any attorney, agent, receiver or employee retained or employed by it in connection herewith, or other professionals and the written advice of such counsel or other professional or any Opinion of Counsel shall be full and complete authorization and protection in respect of any action taken, suffered or omitted by it hereunder in good faith and in reliance thereon;

(e) The Master Trustee shall be under no obligation to exercise any of the rights or powers vested in it by this Master Indenture at the request or direction of any of the Holders of Master Obligations pursuant to the provisions of this Master Indenture, unless such Holders shall have provided to the Master Trustee security or indemnity satisfactory in form and substance to it against the costs, expenses and liabilities which might be incurred by it in connection with such request or direction;

(f) The Master Trustee shall not be bound to make any investigation into the facts or matters stated in any resolution, certificate, statement, instrument, opinion, report, notice, request, direction, consent, order, approval, bond, debenture, coupon or other paper or document but the Master Trustee, in its discretion, may make such further inquiry or investigation into such facts or matters as it may see fit, and, if the Master Trustee shall determine to make such further inquiry or investigation, it shall be entitled to examine the books, records and premises of the Obligated Group Members and each other obligor on the Master Obligations, personally or by agent or attorney;

(g) The Master Trustee may execute any of the trusts or powers hereunder and perform any duties hereunder either directly or by or through agents or attorneys and the Master Trustee shall not be responsible for any misconduct or negligence on the part of any agent or attorney appointed with due care hereunder;

(h) The Master Trustee shall not be required to take notice or be deemed to have knowledge of any default (as defined in Section 8.02 hereof) hereunder, except an Event of Default under Section 7.01(a) hereof, unless a Responsible Officer has actually received notice of such default in writing from any Obligated Group Member or the Holder of any Master Obligation, referencing the Master Obligations and describing such default;

(i) The permissive right of the Master Trustee to do things enumerated in this Master Indenture shall not be construed as a duty. It shall not be the duty of the Master Trustee, except as herein provided, to see that any duties or obligations herein imposed upon any Obligated Group Member or any other Person are performed, and the Master Trustee shall not be liable or responsible for the failure of any Obligated Group Member or any other Person to perform any act required of it or them by this Master Indenture;

(j) The Master Trustee is not required to give any bond or surety with respect to the performance of its duties or the exercise of its powers under this Master Indenture;

(k) In the event the Master Trustee receives inconsistent or conflicting requests and indemnity from two or more groups of holders of Master Obligations, each representing less than a majority in aggregate principal amount of the Master Obligations Outstanding other than Subordinated Obligations, the Master Trustee, in its sole discretion, may determine what action, if any, shall be taken;

(l) The Master Trustee's immunities and protections from liability in connection with the performance of its duties under this Master Indenture shall extend to the Master Trustee's officers, directors, agents and employees. Such immunities and protections, together with the Master Trustee's right to compensation, reimbursement and indemnification, shall survive the Master Trustee's resignation or removal and final payment of the Master Obligations;

(m) Except for information provided by the Master Trustee concerning the Master Trustee, the Master Trustee shall have no responsibility for any information in any offering memorandum or other disclosure material distributed with respect to the Master Obligations, and the Master Trustee shall have no responsibility for compliance with any state or federal securities laws in connection with the Master Obligations;

(n) Notwithstanding anything contained herein or in the Deed of Trust to the contrary, upon the occurrence and continuance of an Event of Default, before taking any foreclosure action or any action which may subject the Master Trustee to liability under any environmental law, statute, regulation or similar requirement relating to the environment, the Master Trustee may require that a satisfactory indemnity bond, indemnity or environmental impairment insurance be furnished for the payment or reimbursement of all expenses to which it may be put and to protect it against all liability resulting from any claims, judgments, damages, losses, penalties, fines, liabilities (including strict liability) and expenses which may result from such foreclosure or other action and the Master Trustee shall not be required to take such foreclosure or similar action if it reasonably determines that the approval of a governmental regulator that cannot be obtained is necessary for such foreclosure or similar action;

(o) The Master Trustee shall not be responsible or liable for any failure or delay in the performance of its obligations under this Master Indenture arising out of or caused, directly or indirectly, by circumstances beyond its reasonable control, including, without limitation, acts of God, earthquakes, fire, flood, hurricanes or other storms, wars, terrorism, similar military disturbances, sabotage, epidemic, pandemic, riots, interruptions, loss or malfunctions of utilities, computer (hardware or software) or communications services, accidents, labor disputes or acts of civil or military authority or governmental action, it being understood that the Master Trustee shall use commercially reasonable efforts which are consistent with accepted practices in the banking industry to resume performance as soon as reasonably practicable under the circumstances;

(p) In no event shall the Master Trustee be responsible or liable for any special, indirect, punitive or consequential loss or damage of any kind whatsoever (including, but not limited to, loss of profit), irrespective of whether the Master Trustee has been advised of the likelihood of such loss or damage and regardless of the form of action;

(q) The rights, privileges, protections, immunities and benefits given to the Master Trustee, including, without limitation, its right to be compensated, reimbursed and indemnified, are extended to, and shall be enforceable by, the Master Trustee in each of its capacities hereunder, and to each agent, custodian and other Person employed to act hereunder;

(r) The Master Trustee shall not be liable for any action it takes or omits to take in good faith that it believes to be authorized or within the rights or powers conferred upon it by this Master Indenture; and

(s) The Master Trustee may request that the Obligated Group Representative deliver an Officer's Certificate setting forth the names of individuals and/or titles of officers authorized at such time to furnish the Master Trustee with Officer's Certificates, Requests, directions, notices and any other matters or directions pursuant to this Master Indenture.

Section 8.04 Not Responsible For Recitals or Issuance of Master Obligations. The recitals contained herein and in the Master Obligations (other than the certificate of authentication on such Master Obligations) shall be taken as the statements of the Obligated Group Members, and the Master Trustee assumes no responsibility for their correctness. The Master Trustee makes no representations as to the validity or sufficiency of this Master Indenture or of the Master Obligations or of the Trust Estate or the Project. The Master Trustee shall not be accountable for the use or application by the Obligated Group Members of any of the Master Obligations or of the proceeds of such Master Obligations or any money paid to the Obligated Group Members or upon any Obligated Group Member's direction under any provision of this Master Indenture. The Master Trustee is not a party to, and is not responsible for, and makes no representation with respect to matters set forth in any preliminary official statement, official statement or similar document prepared and distributed in connection with the transactions contemplated in this Master Indenture. Notwithstanding the effective date of this Master Indenture or anything to the contrary in this Master Indenture, the Master Trustee shall have no liability or responsibility for any act or event relating to this Master Indenture which occurs prior to the date the Master Trustee formally executes this Master Indenture and commences acting as Master Trustee hereunder. The Master Trustee shall have no responsibility or liability of any kind as a result of any adverse consequence to any Holder of Master Obligations that constitute Subordinated Indebtedness as result of the terms of such Subordinated Indebtedness. The Master Trustee shall not be responsible for and makes no representation as to the tax exempt status of any Master Obligations or Related Bond.

The Master Trustee shall not be responsible for and makes no representation as to the Obligated Group's or any Member's right, title, or ownership in any of the Trust Estate and shall have no obligation for any defects therein or to inquire or investigate the same in any manner. The Master Trustee shall not be responsible for and makes no representation as to the existence or sufficiency of the Trust Estate, the creation, perfection, priority, sufficiency or protection of any Liens securing the Master Obligations and this Master Indenture, or for any failure to demand, collect, foreclose or realize upon or otherwise enforce any Lien, this Master Indenture or any document delivered in connection with a Related Bond. The Master Trustee shall not be responsible for any act or omission of any Accountant, Construction Monitor, Consultant, Marketing Consultant or Rating Agency. The Master Trustee shall not be responsible for and makes no representation as to the compliance by the Obligated Group Members with any

covenant or statutory or regulatory requirement related to the Trust Estate. The Master Trustee makes no representation as to, and shall not be responsible for, the recording or re-recording, or filing or re-filing of any financing or continuation statements or recording any documents or instruments in any public office at any time or times or otherwise perfecting or maintaining the perfection of any Lien or security interest in the Trust Estate except as expressly provided in Section 11.06. The Master Trustee shall not be liable or responsible for the failure of the Obligated Group Members to maintain insurance on the Trust Estate as provided in this Master Indenture, nor shall it be responsible for any loss due to the insufficiency of such insurance or by reason of the failure of any insurer to pay the full amount of any loss against which it may have insured any Obligated Group Member, the Master Trustee or any other Person. The Master Trustee shall have no duty hereunder with respect to any complaint, claim, demand, notice or other document it may receive or which may be alleged to have been delivered to or served upon it by third parties as a consequence of the filing or recordation of any portion of the Trust Estate; provided, however, that the Master Trustee shall use commercially reasonable efforts to deliver to the Obligated Group Representative a copy of any such complaint, claim, demand, notice or other document which is delivered to the Corporate Trust Office and contains sufficient information to enable the Master Trustee to identify such complaint, claim, demand, notice or other document as pertaining to this Master Indenture.

Section 8.05 Master Trustee or Registrar May Own Master Obligations. The Master Trustee, any Paying Agent, registrar or any other agent of the Obligated Group Members, in its individual or any other capacity, may become the owner or pledgee of Master Obligations and may otherwise deal with the Obligated Group Members with the same rights it would have if it were not Master Trustee, Paying Agent, Master Obligation registrar or such other agent.

Section 8.06 Money to Be Held in Trust. All money received by the Master Trustee shall, until used or applied as herein provided, be held in trust for the purposes for which it was received, but need not be segregated from other funds except to the extent required by law. The Master Trustee shall be under no liability for interest on any money received by it hereunder other than such interest as it expressly agrees in writing to pay.

Section 8.07 Compensation and Expenses of Master Trustee. The Obligated Group Members agree:

(a) To pay to the Master Trustee from time to time reasonable compensation for all services rendered by it hereunder in accordance with a written schedule provided by the Master Trustee to the Obligated Group Representative and the Master Trustee's compensation shall not be limited by any law on compensation of a trustee of an express trust;

(b) To reimburse the Master Trustee upon its request for all reasonable expenses, disbursements and advances incurred or made by the Master Trustee in accordance with any provision of this Master Indenture (including the reasonable compensation and the expenses and disbursements of its agents and counsel) except any such expense, disbursement or advance as may arise from its negligence or willful misconduct;

(c) Each Obligated Group Member shall, jointly and severally, indemnify the Master Trustee and its officers, directors, employees and agents for, and hold it harmless against, any

loss, liability or expense incurred by it without negligence or willful misconduct on its part, arising out of and in connection with the acceptance or administration of this trust and the performance of its duties hereunder or the exercise of its rights and powers hereunder or under the Master Obligations, including the reasonable costs and expenses (including reasonable attorney's fees, costs and expenses) of defending itself against any claim or liability and of enforcing this Master Indenture and the Master Obligations (whether asserted by any Holder of Master Obligations, any Obligated Group Member or otherwise), and such indemnification shall survive the termination of this Master Indenture, the payment in full of all Master Obligations issued hereunder or the sooner resignation or removal of the Master Trustee;

(d) In the case of any claim indemnified by the Obligated Group Members hereunder that is covered by a policy of insurance maintained by or on behalf of the Obligated Group Members, the Master Trustee agrees to cooperate, at the Obligated Group Members' expense, with the insurers in the exercise of their rights to investigate, defend or compromise such claim as may be required to retain the benefits of such insurance with respect to such claim;

(e) To secure the Obligated Group Members' payment obligations in this Section 8.07, the Master Trustee shall have a Lien prior to the Master Obligations on all money or property held or collected by the Master Trustee, except that held in trust to pay principal and interest on particular Master Obligations; such Lien shall survive the satisfaction and discharge of this Master Indenture and resignation or removal of the Master Trustee; and

(f) "Master Trustee" for the purposes of this Section 8.07 shall include any predecessor Master Trustee and the Master Trustee in each of its capacities hereunder and each agent, custodian and other person employed to act hereunder; provided, however, that the negligence or willful misconduct of any Master Trustee hereunder shall not affect the rights of any other Master Trustee hereunder.

Section 8.08 Corporate Master Trustee Required; Eligibility. There shall at all times be a Master Trustee hereunder which shall be a banking corporation, bank or trust company organized and doing business under the laws of the United States of America or of any state, authorized under such laws to exercise corporate trust powers, having a combined capital and surplus of at least \$50,000,000, subject to supervision or examination by federal, state or District of Columbia banking authority. If such corporation publishes reports of condition at least annually, pursuant to law or to the requirements of the aforesaid supervising or examining authority, then for the purposes of this Section, the combined capital and surplus of such corporation shall be deemed to be its combined capital and surplus as set forth in its most recent report of condition so published. If at any time the Master Trustee shall cease to be eligible in accordance with the provisions of this Section, it shall resign promptly in the manner and with the effect hereinafter specified in this Article.

Section 8.09 Resignation and Removal; Appointment of Successor.

(a) No resignation or removal of the Master Trustee and no appointment of a successor Master Trustee pursuant to this Article shall become effective until the acceptance of appointment by the successor Master Trustee under Section 8.10.

(b) The Master Trustee may resign at any time by giving written notice thereof to the Obligated Group Representative. If an instrument of acceptance by a successor Master Trustee shall not have been delivered to the Master Trustee within 30 days after the giving of such notice of resignation, the resigning Master Trustee may petition any court of competent jurisdiction for the appointment of a successor Master Trustee.

(c) The Master Trustee may be removed (i) if no default or Event of Default has occurred and is continuing under this Master Indenture, then by act of the Obligated Group Representative delivered to the Master Trustee and (ii) at any time by act of the Holders of a majority in principal amount of the Outstanding Master Obligations other than Subordinated Obligations delivered to the Master Trustee and to the Obligated Group Representative.

(d) If at any time:

(i) The Master Trustee shall cease to be eligible under Section 8.08 and shall fail to resign after written request therefor by the Obligated Group Representative or by any Holder of Master Obligations, or

(ii) The Master Trustee shall become incapable of acting or shall be adjudged a bankrupt or insolvent or a receiver of the Master Trustee or of its property shall be appointed or any public officer shall take charge or control of the Master Trustee or of its property or affairs for the purpose of rehabilitation, conservation or liquidation,

then, in any such case, (A) the Obligated Group Representative by written request may remove the Master Trustee, or (B) subject to Section 7.16, any Holder of Master Obligations who has been a bona fide Holder of a Master Obligation for at least 6 months may, on behalf of himself and all others similarly situated, petition any court of competent jurisdiction for the removal of the Master Trustee and the appointment of successor Master Trustee.

(e) If the Master Trustee shall resign, be removed or become incapable of acting, or if a vacancy shall occur in the office of Master Trustee for any cause, the Obligated Group Representative, by an Obligated Group Representative Request, shall promptly appoint a successor Master Trustee. If, within one year after such resignation, removal or incapability, or the occurrence of such vacancy, a successor Master Trustee shall be appointed by Act of the Holders of a majority in principal amount of the Outstanding Master Obligations other than Subordinated Obligations delivered to the Obligated Group Representative and the retiring Master Trustee, the successor Master Trustee so appointed shall, forthwith upon its acceptance of such appointment, become the successor Master Trustee and supersede the successor Master Trustee appointed by the Obligated Group Representative. If no successor Master Trustee shall have been so appointed by the Obligated Group Representative or the Holders of Master Obligations and accepted appointment in the manner hereinafter provided, any Holder of Master Obligations who has been a bona fide Holder of a Master Obligation for at least 6 months may, on behalf of himself and all others similarly situated, petition any court of competent jurisdiction for the appointment of a successor Master Trustee.

(f) The Obligated Group Representative shall give notice of each resignation and each removal of the Master Trustee and each appointment of a successor Master Trustee by

mailing written notice of such event by first class mail, postage prepaid, to the registered Holders of Master Obligations at their addresses as shown in the Master Obligation Register. Each notice shall include the name and address of the designated corporate trust office of the successor Master Trustee.

Section 8.10 Acceptance of Appointment by Successor. Every successor Master Trustee appointed hereunder shall execute, acknowledge and deliver to the Obligated Group Representative and to the retiring Master Trustee an instrument accepting such appointment, and thereupon the resignation or removal of the retiring Master Trustee shall become effective and such successor Master Trustee, without any further act, deed or conveyance, shall become vested with all the rights, powers, trusts and duties of the retiring Master Trustee; but, on the written request of the Obligated Group Representative or the successor Master Trustee, unless otherwise provided by Section 8.11 hereof, such retiring Master Trustee shall, upon payment of its charges and the amounts due to it hereunder, execute and deliver an instrument transferring to such successor Master Trustee all the rights, powers and trusts of the retiring Master Trustee (except its rights under Section 8.07 hereof or any other indemnification provided hereunder), and shall duly assign, transfer and deliver to the successor Master Trustee all property and money held by such retiring Master Trustee hereunder. Upon request of any such successor Master Trustee, the Obligated Group Representative shall execute any and all instruments for more fully and certainly vesting in and confirming to such successor Master Trustee all such rights, powers and trusts.

No successor Master Trustee shall accept its appointment unless at the time of such acceptance such successor Master Trustee shall be qualified and eligible under this Article. The indemnity provided for in Section 8.07(c) herein shall continue to be binding upon the Members of the Obligated Group for the benefit of the retiring or removed Master Trustee.

Section 8.11 Merger or Consolidation. Any entity into which the Master Trustee may be merged or with which it may be consolidated, or any entity resulting from any merger or consolidation to which the Master Trustee shall be a party, or any entity succeeding to all or substantially all of the corporate trust business of the Master Trustee, shall be the successor Master Trustee hereunder, provided such entity shall be otherwise qualified and eligible under this Article, without the execution or filing of any paper or any further act on the part of any of the parties hereto. In case any Master Obligations shall have been authenticated, but not delivered, by the Master Trustee then in office, any successor by merger or consolidation to such authenticating Master Trustee may adopt such authentication and deliver the Master Obligations so authenticated with the same effect as if such successor Master Trustee had itself authenticated such Master Obligations.

Section 8.12 Master Trustee as Related Bond Trustee. The Master Trustee may serve as Related Bond Trustee under any Related Bond Indenture so long as the Master Trustee is the Related Bond Trustee for all outstanding Related Bonds. If an entity other than the Master Trustee becomes a Related Bond Trustee, the Master Trustee hereby agrees to promptly resign from its role as Master Trustee or Related Bond Trustee, at its option, on its own motion and a successor Master Trustee or Related Bond Trustee, as appropriate, shall be appointed and qualified as set forth in Section 8.09 hereof or in the Related Bond Indenture.

Section 8.13 Co-Master Trustee. It is the purpose hereof that there shall be no violation of any law of any jurisdiction (including particularly the laws of the State of Maryland) denying or restricting the right of banking corporations or associations to transact business as trustee in such jurisdiction. It is recognized that in case of litigation hereunder and in particular in case of the enforcement of this Master Indenture upon the occurrence of an Event of Default, it may be necessary that the Master Trustee appoint an additional individual or institution as a separate Master Trustee or Co-Master Trustee. The following provisions of this Section are adapted to these ends.

Upon the incapacity or lack of authority of the Master Trustee, by reason of any present or future law of any jurisdiction, to exercise any of the rights, powers and trusts herein granted to the Master Trustee or to hold a security interest in the Trust Estate or to take any other action which may be necessary or desirable in connection therewith, each and every remedy, power, right, claim, demand, cause of action, immunity, estate, title, interest and lien expressed or intended to be exercised by or vested in or conveyed to the Master Trustee with respect thereto shall be exercisable by and vest in a separate Master Trustee or Co-Master Trustee appointed by the Master Trustee but only to the extent necessary to enable the separate Master Trustee or Co-Master Trustee to exercise such rights, powers and trusts, and every agreement and obligation necessary to the exercise thereof by such separate Master Trustee or Co-Master Trustee shall run to and be enforceable by either of them. Should any deed, conveyance or instrument in writing from any Obligated Group Member be required by the separate Master Trustee or Co-Master Trustee so appointed by the Master Trustee in order to more fully and certainly vest in and confirm to such separate Master Trustee or Co-Master Trustee such properties, rights, powers, trusts, duties and obligations, any and all such deeds, conveyances and instruments shall, on request, be executed, acknowledged and delivered by such Obligated Group Member, at the expense of the Obligated Group. In case any separate Master Trustee or Co-Master Trustee, or a successor to either, shall die, become incapable of acting, resign or be removed, all the estates, properties, rights, powers, trusts, duties and obligations of such separate Master Trustee or Co-Master Trustee, so far as permitted by law, shall vest in and be exercised by the Master Trustee until the appointment of a new Master Trustee or successor to such separate Master Trustee or Co-Master Trustee.

[End of Article VIII]

**ARTICLE IX
SUPPLEMENTS AND AMENDMENTS**

Section 9.01 Supplemental Master Indentures Without Consent of Holders of Master Obligations. Without the consent of the Holders of any Master Obligations, each Obligated Group Member, when authorized by a Board Resolution, and the Master Trustee at any time may enter into one or more Supplemental Master Indentures for any of the following purposes:

(a) To evidence the succession of another Person to an Obligated Group Member, or successive successions, and the assumption by the successor Person of the covenants, agreements and obligations of an Obligated Group Member as permitted by this Master Indenture or to evidence additions to, or withdrawals from, membership in the Obligated Group in accordance with the provisions of Article VI hereof;

(b) To add to the covenants of the Obligated Group Members for the benefit of the Holders of Master Obligations, or to surrender any right or power herein conferred upon the Obligated Group Members, or to add to the Events of Default enumerated in Section 7.01;

(c) To cure any ambiguity or to correct or supplement any provision herein that may be inconsistent with any other provision herein, or to make any other provision with respect to matters or questions arising under this Master Indenture that shall not be inconsistent with this Master Indenture, provided such action shall not adversely affect the interests of the Holders of Master Obligations;

(d) To modify or supplement this Master Indenture in such manner as may be necessary or appropriate to qualify this Master Indenture under the Trust Indenture Act of 1939 as then amended, or under any similar federal or state statute or regulation, including provisions whereby the Master Trustee accepts such powers, duties, conditions and restrictions hereunder and the Obligated Group Members undertake such covenants, conditions or restrictions additional to those contained in this Master Indenture as would be necessary or appropriate so to qualify this Master Indenture; provided, however, that nothing herein contained shall be deemed to authorize inclusion in this Master Indenture or in any Supplemental Master Indentures provisions referred to in Section 316(a)(2) of said Trust Indenture Act or any corresponding provision provided for in any similar statute hereafter in effect;

(e) To create and provide for the issuance of Master Obligations as permitted hereunder;

(f) To increase or maintain any credit rating assigned to any Series of Related Bonds by a Rating Agency so long as no Master Obligation issued hereunder shall be secured on a basis senior to other Master Obligations except Subordinated Obligations;

(g) To change Section 4.22 hereof to permit the financial statements required therein to more accurately reflect the financial position and operations of the Obligated Group; and

(h) To make any amendment to any provision of this Master Indenture or to any Supplemental Master Indenture which is only applicable to Master Obligations issued thereafter or which will not apply so long as any Master Obligation then Outstanding remains Outstanding.

Section 9.02 Supplemental Master Indentures With Consent of Holders of Master Obligations. With the consent of the Holders of not less than a majority in principal amount of the Outstanding Master Obligations other than Subordinated Obligations, by Act of said Holders delivered to the Obligated Group Representative and the Master Trustee, each Obligated Group Member, when authorized by a Board Resolution, and the Master Trustee may enter into Supplemental Master Indentures for the purpose of adding any provisions to or changing in any manner or eliminating any of the provisions of this Master Indenture or of modifying in any manner the rights of the Holders of the Master Obligations under this Master Indenture; provided, however, that no such Supplemental Master Indenture shall, without the consent of the Holder of each Outstanding Master Obligation affected thereby,

(a) Change the Stated Maturity of the principal of, or any installment of interest on, any Master Obligations or any date for mandatory redemption thereof, or reduce the principal amount thereof or the interest thereon or any premium payable upon the redemption thereof, or change any Place of Payment where, or the coin or currency in which, any Master Obligations or the interest thereon is payable, or impair the right to institute suit for the enforcement of any such payment on or after the Stated Maturity thereof (or, in the case of redemption, on or after the redemption date), or

(b) Reduce the percentage in principal amount of the Outstanding Master Obligations, the consent of whose Holders is required for any such Supplemental Master Indenture, or the consent of whose Holders is required for any waiver (of compliance with certain provisions of this Master Indenture or certain defaults hereunder and their consequences) provided for in this Master Indenture, or

(c) Modify any of the provisions of this Section or Section 7.15, except to increase any such percentage or to provide that certain other provisions of this Master Indenture cannot be modified or waived without the consent of the Holder of each Master Obligation affected thereby.

Notwithstanding the foregoing, during any period of time in which an Event of Default has occurred and is continuing, an amendment of the type described in clauses (a), (b) and (c) above may be made with respect to an Outstanding Master Obligation, with the consent of the holders of at least eighty percent (80%) in aggregate principal amount of all Outstanding Related Bonds related to such Master Obligation; provided, however, any such amendment shall not result in a change in preference or priority of any Master Obligation or Related Bonds over any other Master Obligation or Related Bonds (other than Subordinated Indebtedness and subordinated Related Bonds) and no such amendment described in clauses (a), (b) or (c) shall result in a disproportionate change, reduction or modification with respect to any Related Bonds.

It shall not be necessary for any Act of Holders of Master Obligations under this Section to approve the particular form of any proposed Supplemental Master Indenture, but it shall be sufficient if such Act shall approve the substance thereof.

Section 9.03 Execution of Supplemental Master Indentures. In executing, or accepting the additional trusts created by, any Supplemental Master Indenture permitted by this Article or the modifications thereby of the trusts created by this Master Indenture, the Master Trustee shall be entitled to receive, and shall be fully protected in conclusively relying upon, an Officer's Certificate and an Opinion of Counsel stating that the execution of such Supplemental Master Indenture is authorized or permitted by this Master Indenture and that all conditions precedent thereto have been complied with. In connection with the execution and delivery of a Supplemental Master Indenture pursuant to Section 9.01(c), the Master Trustee, in its discretion, may determine whether or not in accordance with such Section the Holders of the Master Obligations would be affected by such Supplemental Master Indenture, and any such determination shall be binding and conclusive on the Members of the Obligated Group and the Holders of the Master Obligations. The Master Trustee may receive and be entitled to conclusively rely upon an Opinion of Counsel as conclusive evidence as to whether the Holders of the Master Obligations would be so affected by any such Supplemental Master Indenture. The Master Trustee may, but shall not (except to the extent required in the case of a Supplemental Master Indenture entered into under Section 9.01(d)) be obligated to, enter into any such Supplemental Master Indenture which affects the Master Trustee's own rights, duties or immunities under this Master Indenture or otherwise.

Section 9.04 Effect of Supplemental Master Indenture. Upon the execution of any Supplemental Master Indenture under this Article, this Master Indenture shall, with respect to each series of Master Obligations to which such Supplemental Master Indenture applies, be modified in accordance therewith, and such Supplemental Master Indenture shall form a part of this Master Indenture for all purposes, and every Holder of Master Obligations thereafter or (except to the extent provided pursuant to Section 9.01(h)) theretofore authenticated and delivered hereunder shall be bound thereby.

Section 9.05 Obligations May Bear Notation of Changes. Master Obligations authenticated and delivered after the execution of any Supplemental Master Indenture pursuant to this Article may bear a notation in form approved by the Master Trustee as to any matter provided for in such Supplemental Master Indenture. If the Obligated Group Representative or the Master Trustee shall so determine, new Master Obligations so modified as to conform, in the opinion of the Master Trustee and the Obligated Group Representative, to any such Supplemental Master Indenture may be prepared and executed by the applicable Obligated Group Member and authenticated and delivered by the Master Trustee in exchange for Master Obligations then Outstanding.

[End of Article IX]

ARTICLE X SATISFACTION AND DISCHARGE OF INDENTURE; UNCLAIMED MONEYS

Section 10.01 Satisfaction and Discharge of Master Indenture. If at any time the Obligated Group Members shall have paid or caused to be paid (including being deemed to be paid in accordance with Section 10.2) the principal of, premium, if any, and interest on all the Master Obligations Outstanding hereunder, as and when the same shall have become due and payable, and if the Obligated Group Members shall also pay or provide for the payment of all other sums payable hereunder by each Obligated Group Member, then this Master Indenture shall cease to be of further effect (except as to (a) rights of registration of transfer and exchange, (b) substitution of mutilated, defaced or apparently destroyed, lost or stolen Master Obligations, (c) rights of Holders to receive payments of principal thereof, premium, if any, and interest thereon, (d) the rights, remaining obligations, if any, and immunities of the Master Trustee hereunder and (e) the rights of the Holders as beneficiaries hereof with respect to the property so deposited with the Master Trustee payable to all or any of them) and the Master Trustee, on the Obligated Group Representative's Request accompanied by an Officer's Certificate and an Opinion of Counsel (both to the effect that all conditions precedent in this Master Indenture relating to the satisfaction and discharge of this Master Indenture have been satisfied) and at the cost and expense of the Obligated Group Representative, shall execute proper instruments acknowledging satisfaction of and discharging this Master Indenture.

Notwithstanding the satisfaction and discharge of this Master Indenture, the obligations of the Obligated Group Members to the Master Trustee under Section 8.07 and, if funds shall have been deposited with the Master Trustee pursuant to Section 10.02, the obligations of the Master Trustee under Section 10.03 shall survive.

Section 10.02 Master Obligations Deemed Paid. Master Obligations of any series shall be deemed to have been paid if (a) (i) in case such Master Obligations are to be redeemed on any date prior to their Stated Maturity, the Obligated Group Representative by Obligated Group Representative Request shall have given to the Master Trustee in form satisfactory to it irrevocable written instructions to give notice of redemption of such Master Obligations on said redemption date, (ii) there shall have been deposited with the Master Trustee either money sufficient, or Defeasance Obligations the principal of and the interest on which will provide money sufficient without reinvestment (as established by an Officer's Certificate delivered to the Master Trustee accompanied by a report of an Accountant setting forth the calculations upon which such Officer's Certificate is based), to pay when due the principal of, premium, if any, and interest due and to become due on said Master Obligations on and prior to the redemption date or Stated Maturity thereof, as the case may be, and (iii) in the event said Master Obligations are not by their terms subject to redemption within the next 45 days, the Obligated Group Representative by Obligated Group Representative Request shall have given the Master Trustee in form satisfactory to it irrevocable written instructions to give a notice to the Holders of such Master Obligations that the deposit required by clause (ii) above has been made with the Master Trustee and that said Master Obligations are deemed to have been paid in accordance with this Section and stating such maturity or redemption date upon which money is to be available for the payment of the principal of, premium, if any, and interest on said Master Obligations or (b) such Master Obligations are delivered to the Master Trustee by the Related Bond Trustee together

with instructions from the Obligated Group Representative directing the Master Trustee to retire and cancel such Master Obligations.

Section 10.03 Application of Trust Money. The Defeasance Obligations and money deposited with the Master Trustee pursuant to Section 10.02 and principal or interest payments on any such Defeasance Obligations shall be held in trust, shall not be sold or reinvested and shall be applied by it, in accordance with the provisions of the Master Obligations and this Master Indenture, to the payment, either directly or through any Paying Agent (including the Obligated Group Representative acting as Paying Agent) as the Master Trustee may determine, to the Persons entitled thereto, of the principal, premium, if any, and interest for whose payment such money or Defeasance Obligations were deposited; provided that, upon delivery to the Master Trustee of an Officer's Certificate (accompanied by the report of an Accountant setting forth the calculations upon which such Officer's Certificate is based) establishing that the money and Defeasance Obligations on deposit following the taking of the proposed action will be sufficient for the purposes described in clause (ii) of Section 10.02, any money received from principal or interest payments on Defeasance Obligations deposited with the Master Trustee or the proceeds of any sale of such Defeasance Obligations, if not then needed for such purpose, shall, upon Obligated Group Representative Request be reinvested, to the extent practicable, in other Defeasance Obligations or disposed of as requested by the Obligated Group Representative. For purposes of any calculation required by this Article, any Defeasance Obligation which is subject to redemption at the option of its issuer, the redemption date for which has not been irrevocably established as of the date of such calculation, shall be assumed to cease to bear interest at the earliest date on which such obligation may be redeemed at the option of the issuer and the principal of such obligation shall be assumed to be received at its stated maturity.

Section 10.04 Payment of Related Bonds. Notwithstanding any other provision of this Article X, no Master Obligation will be considered paid or deemed to have been paid unless the Related Bonds, if any, have been paid or deemed paid pursuant to the Related Bond Indenture.

[End of Article X]

ARTICLE XI MISCELLANEOUS PROVISIONS

Section 11.01 No Personal Liability. No recourse under this Master Indenture or any Master Obligations shall be had against any officer, director, agent or employee, as such, past, present or future, of any Obligated Group Member, any Affiliate, the Master Trustee or of any successor corporation; it being expressly understood that this Master Indenture and the obligations incurred hereunder are solely obligations of the entities named herein as obligors, and that no personal liability whatever shall attach to such persons or any of them, under this Master Indenture or any Master Obligations; and that any and all such personal liability of every name and nature, either at common law or in equity or by constitution or statute, of, and any and all such rights and claims against, every such person because of the creation of the indebtedness hereby authorized, or under or by reason of the obligations, covenants or agreements contained in this Master Indenture or in any Master Obligations are hereby expressly waived and released as a condition of, and as a consideration for, the execution of this Master Indenture and the issue of such Master Obligations.

Section 11.02 State of Maryland Contract. This Master Indenture and the Master Obligations shall be deemed to be contracts made under the laws of the State of Maryland and for all purposes shall be construed in accordance with the laws of the State of Maryland applicable to contracts made and to be performed in the State of Maryland.

Section 11.03 Legal Holidays. If the date for making any payment or the last date for performance of any act or the exercising of any right, as provided in this Master Indenture, shall not be a Business Day, such payment may be made or act performed or right exercised on the next succeeding day that is a Business Day with the same force and effect as if done on the nominal date provided in this Master Indenture and, in the case of any payment, no interest shall accrue for the period.

Section 11.04 Benefits of Provisions of Master Indenture and Master Obligations. Nothing in this Master Indenture or in the Master Obligations, expressed or implied, shall give or be construed to give any Person, other than the parties hereto, and the Holders of such Master Obligations, any legal or equitable right, remedy or claim under or in respect of this Master Indenture or under any covenant, condition and provision herein contained; all its covenants, conditions and provisions being for the sole benefit of the parties hereto and of the Holders of such Master Obligations.

Section 11.05 Execution in Counterparts. This Master Indenture may be executed in any number of counterparts, each of which shall be an original; but such counterparts shall together constitute but one and the same instrument. The exchange of copies of this Master Indenture and of signature pages by facsimile or PDF transmission shall constitute effective execution and delivery of this Master Indenture as to the parties hereto and may be used in lieu of the original Master Indenture for all purposes. Signatures of the parties hereto transmitted by facsimile or PDF shall be deemed to be their original signatures for all purposes.

Section 11.06 UCC Financing Statements. The Members of the Obligated Group hereby expressly grant to the Master Trustee the full right and authority to file any Uniform

Commercial Code State of Maryland continuation statement or amendment that may be required by law or is necessary to maintain any security interest granted by the Obligated Group to the Master Trustee pursuant to this Master Indenture and shall timely provide a recorded copy of each filed original financing statement filed pursuant to Section 4.03 to the Master Trustee. Notwithstanding anything to the contrary contained herein, the Master Trustee shall not be responsible for any initial filings of any financing statements or the information contained therein (including the exhibits thereto), the perfection of any such security interests or the accuracy or sufficiency of any description of collateral in such filings, and unless the Master Trustee shall have been notified by the Obligated Group that any such initial filing or description of collateral was or has become defective, the Master Trustee shall be fully protected in conclusively relying on such initial filing and descriptions in filing any financing or continuation statement(s) pursuant to this Section. The Obligated Group shall be responsible for and shall pay any reasonable expenses, including legal fees incurred under this section. The Master Trustee agrees that it will cause to be filed all necessary continuation statements within the time prescribed by the Uniform Commercial Code of the State of Maryland – Secured Transactions in order to continue the Uniform Commercial Code State of Maryland financing statements in connection with the security interests created by this Master Indenture and the Deed of Trust that were initially filed by the Members of the Obligated Group; provided, however, no such agreement shall apply or extend to any amendment or new original filing required pursuant to Section 4.07 and any event described herein. The Obligated Group shall be responsible for and shall pay any reasonable expenses, including legal fees incurred under this Section.

[End of Article XI]

IN WITNESS WHEREOF, the parties hereto have caused this Master Indenture to be duly executed by persons thereunto duly authorized, as of the day and year first above written.

FRIENDS HOUSE

RETIREMENT COMMUNITY, INC., a Maryland nonstock corporation, as the initial Obligated Group Member and as the Obligated Group Representative

By: _____
Name: _____
Title: _____

By: _____
Name: _____
Title: _____

**WILMINGTON TRUST, NATIONAL
ASSOCIATION**, as Master Trustee

By: _____
Authorized Signatory

EXHIBIT A
EXISTING LIENS

EXHIBIT B
EXCLUDED PROPERTY

FRIENDS HOUSE RETIREMENT COMMUNITY, INC.,
as the Initial Obligated Group Member and as the Obligated Group Representative

AND

WILMINGTON TRUST, NATIONAL ASSOCIATION,
as Master Trustee

SUPPLEMENTAL MASTER INDENTURE NUMBER 1

Dated as of August 1, 2018

Montgomery County, Maryland

\$16,975,000 Economic Development Revenue Bonds
(Friends House Retirement Community Project), Series 2018A

\$13,200,000 Economic Development Revenue Bond
(Friends House Retirement Community Project), Series 2018B

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SUPPLEMENTAL MASTER INDENTURE NUMBER 1

THIS SUPPLEMENTAL MASTER INDENTURE NUMBER 1 (this “Supplemental Master Indenture”), dated as of August 1, 2018, between **FRIENDS HOUSE RETIREMENT COMMUNITY, INC.**, a Maryland nonstock corporation, as the Initial Obligated Group Member and as the Obligated Group Representative (the “Obligated Group Representative”), and **WILMINGTON TRUST, NATIONAL ASSOCIATION**, a national banking association (the “Master Trustee”),

WITNESSETH:

WHEREAS, the Obligated Group Representative and the Master Trustee have entered into a Master Trust Indenture dated as of August 1, 2018 (the “Master Indenture”); and

WHEREAS, Montgomery County, Maryland (the “Issuer”), at the request of the Obligated Group Representative, is contemporaneously issuing the Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project) Series 2018A (the “Series 2018A Bonds”) pursuant to a Bond Trust Indenture dated as of August 1, 2018 (the “Series 2018A Bond Indenture”) between the Issuer and Wilmington Trust, National Association, as bond trustee thereunder (the “Series 2018A Bond Trustee”), and the Montgomery County, Maryland Economic Development Revenue Bond (Friends House Retirement Community Project), Series 2018B (the “Series 2018B Bond”; the Series 2018A Bonds and the Series 2018B Bond are sometimes referred to collectively herein as the “Series 2018 Bonds”), pursuant to a Loan and Financing Agreement dated as of August 1, 2018 (the “Series 2018B Financing Agreement”) by and among the Issuer, the Obligated Group Representative and Compass Mortgage Corporation (the “Series 2018B Lender”); and

WHEREAS, the Series 2018 Bonds are being issued for the purpose of (i) financing or refinancing additions, improvements and renovations to the Existing Community (hereinafter defined); (ii) funding a debt service reserve for the Series 2018A Bonds; (iii) paying capitalized interest on the Series 2018 Bonds; and (v) paying all or a portion of the costs associated with the issuance of the Series 2018 Bonds (the “Project”); and

WHEREAS, pursuant to the Loan Agreement dated as of August 1, 2018 (the “Series 2018A Loan Agreement” and, together with the Series 2018B Financing Agreement, the “Series 2018 Loan Agreements”), between the Issuer and the Obligated Group Representative, the Obligated Group Representative has agreed to execute and deliver to the Issuer a promissory note dated the date of issuance of the Series 2018A Bonds and corresponding to the principal amount of the Series 2018A Bonds (the “Series 2018A Note”); and

WHEREAS, pursuant to the Series 2018B Financing Agreement the Obligated Group Representative has agreed to execute and deliver to the Issuer a promissory note dated the date of issuance of the Series 2018B Bond and corresponding to the principal amount of the Series 2018B Bond (the “Series 2018B Note” and, together with the Series 2018A Note, the “Series 2018 Notes”); and

WHEREAS, to secure its obligations under the Series 2018 Notes and the Series 2018 Master Obligations (as defined herein), the Obligated Group Representative (a) will execute a Deed of Trust, Security Agreement and Fixture Filing (the “Deed of Trust”) for the benefit of the Issuer, and (b) will grant to the Issuer a security interest in the UCC Property (as defined in the Deed of Trust) as additional security; and

WHEREAS, the Issuer will assign its interests under the Series 2018A Note (except for certain reserved rights) to the Series 2018A Bond Trustee, will assign the Series 2018B Note (except for certain reserved rights) to the Series 2018B Lender, and will assign the Deed of Trust (except for certain reserved rights) to the Bond Trustee and the Series 2018B Lender; and

WHEREAS, the Series 2018A Bond Trustee will assign the Series 2018A Note and the Deed of Trust to the Master Trustee, and the Series 2018B Lender will assign the Series 2018B Note and the Deed of Trust to the Master Trustee; and

WHEREAS, simultaneously with the issuance of the Series 2018 Bonds and the delivery and assignment of the Series 2018A Note, the Series 2018B Note and the Deed of Trust, the Obligated Group Representative will (a) issue Master Obligation No. 1 created by this Supplemental Master Indenture in favor of the Series 2018A Bond Trustee in the principal amount of the Series 2018A Bonds, and cause the Master Trustee to deliver such Master Obligation to the Series 2018A Bond Trustee to provide payment for, and secure payment of, the Series 2018A Note and, thereby, the Series 2018A Bonds, and (b) issue Master Obligation No. 2 created by this Supplemental Master Indenture in favor of the Series 2018B Lender in the principal amount of the Series 2018B Bond, and cause the Master Trustee to deliver such Master Obligation to the Series 2018B Lender to provide payment for, and secure payment of, the Series 2018B Note and, thereby, the Series 2018B Bond; and

WHEREAS, the Obligated Group Representative is authorized by law and by the Master Indenture, and deems it necessary and desirable, to issue and deliver the Series 2018 Master Obligations (as defined herein) pursuant to the Master Indenture; and

WHEREAS, pursuant to the terms of the Master Indenture, each of the Obligated Group Members will be jointly and severally liable for payment of the Series 2018 Master Obligations; and

WHEREAS, all acts and things necessary to make the Series 2018 Master Obligations authorized by this Supplemental Master Indenture, when executed by the Obligated Group Representative for and on behalf of the Obligated Group and each Obligated Group Member and authenticated and delivered by the Master Trustee as provided in the Master Indenture and this Supplemental Master Indenture, the valid, binding and legal obligation of each Obligated Group Member, and to constitute these presents, together with the Master Indenture, a valid indenture and agreement according to its terms and the terms of the Master Indenture, have been done and performed and the execution of this Supplemental Master Indenture and the issuance hereunder and under the Master Indenture of the Series 2018 Master Obligations created by this Supplemental Master Indenture have in all respects been duly authorized, and the Obligated Group Representative, for and on behalf of the Obligated Group and each Obligated Group Member, in the exercise of the legal right and power vested in it, executes this Supplemental

Master Indenture and proposes to make, execute, issue and deliver the Series 2018 Master Obligations created hereby;

NOW, THEREFORE, THIS SUPPLEMENTAL MASTER INDENTURE WITNESSETH:

That in order to declare the terms and conditions upon which the Series 2018 Master Obligations authorized hereby are authenticated, issued and delivered, and in consideration of the premises and the purchase and acceptance of the Series 2018 Master Obligations created hereby by the holders thereof, the Obligated Group Representative, on behalf of the Obligated Group Members, covenants and agrees with the Master Trustee as follows:

**ARTICLE I
DEFINITION OF TERMS**

Section 1.01 Definitions.

The following terms, except where the context indicates otherwise, shall have the respective meanings set forth below. Capitalized terms used in this Supplemental Master Indenture that are not defined as set forth below or as otherwise defined herein shall have the meanings assigned to them in the Master Indenture.

“Entrance Fee Fund” means the fund created by Section 2.01 hereof.

“Entrance Fee Transfer Date” means the last Business Day of each calendar month.

“Master Obligation No. 1” means the Master Obligation created by Article III hereof relating to the Series 2018A Bonds.

“Master Obligation No. 2” means the Master Obligation created by Article IV hereof relating to the Series 2018B Bond.

“Series 2018 Master Obligations” means, collectively, Master Obligation No. 1 and, Master Obligation No. 2.

“Series 2018B Lender” means Compass Mortgage Corporation, its successors and assigns.

[End of Article I]

ARTICLE II FUNDS

Section 2.01 Entrance Fee Fund.

(a) The Master Trustee shall establish and maintain a separate fund to be known as the "Entrance Fee Fund – Friends House Retirement Community Project" (the "Entrance Fee Fund"). All moneys received by the Master Trustee and held in the Entrance Fee Fund pursuant to this Section 2.01 shall be trust funds under the terms of this Supplemental Master Indenture and the Master Indenture for the benefit of all of the Master Obligations Outstanding under the Master Indenture (except as otherwise provided) and shall not be subject to lien or attachment of any creditor of any Member of the Obligated Group. Such moneys shall be held in trust and applied in accordance with the provisions of this Supplemental Master Indenture and the Master Indenture. The investment of the moneys held in the Entrance Fee Fund shall be made pursuant to an Obligated Group Representative Request pursuant to Section 2.04, and each such request shall state that such requested investment complies with the yield restriction as provided in the Tax Agreement (as defined in the Loan Agreements) until the Obligated Group Representative delivers an Opinion of Bond Counsel to the Master Trustee to the effect that no such yield restriction is required to maintain any exemption from federal income taxation to which the interest on any Related Bonds would otherwise be entitled.

(b) The Members of the Obligated Group hereby agree that all Initial Entrance Fees received by the Members of the Obligated Group shall be transferred to the Master Trustee within five (5) Business Days of the receipt thereof and the satisfaction of all conditions under applicable law and regulations for deposit into the Entrance Fee Fund. Any Entrance Fees that are received by the Obligated Group for Independent Living Units other than the Project Independent Living Units are not required to be deposited to the Entrance Fee Fund.

(c) For so long as there shall not have occurred and be continuing an Event of Default, the Initial Entrance Fees deposited to the Entrance Fee Fund shall be applied by the Master Trustee within two (2) Business Days of receipt in the following order of priority, as follows:

FIRST: To the Obligated Group Representative to pay refunds required by Residency Agreements for which the Obligated Group Representative has not received a corresponding replacement Entrance Fee with respect to the applicable Project Independent Living Units. Such disbursements shall be made upon receipt by the Master Trustee of an Officer's Certificate of the Obligated Group Representative certifying that the Obligated Group Representative is required by a Residency Agreement to pay refunds.

SECOND: If there is no pending disbursement under FIRST, on each Entrance Fee Transfer Date to the Series 2018B Lender to prepay the Series 2018B Bond in accordance with the terms of Section 2.2 of the Series 2018B Financing Agreement.

(d) For so long as an Event of Default has occurred and is continuing, the Initial Entrance Fees deposited to the Entrance Fee Fund shall be applied by the Master Trustee within two (2) Business Days of receipt in the following order of priority, as follows:

FIRST: To the Obligated Group Representative to pay refunds required by Residency Agreements for which the Obligated Group Representative has not received a corresponding replacement Entrance Fee with respect to the applicable Project Independent Living Units. Such disbursements shall be made upon receipt by the Master Trustee of an Officer's Certificate of the Obligated Group Representative certifying that the Obligated Group Representative is required by a Residency Agreement to pay refunds.

SECOND: If there is no pending disbursement under FIRST, to secure all outstanding Obligations on a pro rata basis.

(e) Once the Series 2018B Bond is Outstanding in a principal amount not to exceed \$3,000,000, or there are moneys on deposit in the Entrance Fee Fund sufficient to redeem the Series 2018B Bond principal then Outstanding in excess of \$3,000,000 (as established by an Officer's Certificate of the Obligated Group Representative delivered to the Master Trustee), and provided no Event of Default has occurred and is continuing, the Members of the Obligated Group shall no longer be obligated to deposit any Entrance Fees into the Entrance Fee Fund. Upon delivery to the Master Trustee of the foregoing Officer's Certificate, as well as an Opinion of Counsel stating the satisfaction of such conditions, any amounts on deposit in the Entrance Fee Fund not used for redemption shall be remitted to the Obligated Group Representative and the Entrance Fee Fund shall be closed.

Section 2.02 Investment of Funds. (a) Any moneys held by the Master Trustee hereunder as part of any fund or account established under this Supplemental Master Indenture shall be invested or reinvested by the Master Trustee in Permitted Investments upon the receipt of an Obligated Group Representative Request (upon which the Master Trustee is entitled to rely). Any such investments shall be held by or under the control of the Master Trustee and shall mature, or be redeemable at the option of the Master Trustee, at such times as it is anticipated that moneys from the particular fund will be required for the purposes of this Supplemental Master Indenture. For the purpose of any investment or reinvestment under this Section, investments shall be deemed to mature at the earliest date on which the Obligated Group is, on demand, obligated to pay a fixed sum in discharge of the whole of such obligation. Any such Permitted Investments may be purchased from or sold to the Master Trustee or any of its respective affiliates.

(b) The Master Trustee shall keep or cause to be kept proper and detailed books of record and account containing complete and correct entries of all transactions relating to the receipt, investment, disbursement, allocation and application of the moneys held under this Supplemental Master Indenture. The Master Trustee shall make copies of such records available to the Obligated Group, upon its reasonable written request.

Section 2.03 Allocation and Transfers of Investment Income. Any investment earnings in the Entrance Fee Fund shall be retained in the Entrance Fee Fund until applied in accordance with the provisions of Section 2.01.

Section 2.04 Master Trustee Relieved From Responsibility.

The Master Trustee shall be fully protected in relying upon any Obligated Group Representative Request relating to investments in any fund, shall not be liable for any losses or prepayment penalties as a result of complying with any such Obligated Group Representative Request and shall not be required to ascertain any facts with respect to such Request.

Section 2.05 Place of Payment.

The place of payment for the Series 2018 Master Obligations shall be the Baltimore, Maryland corporate trust office of the Master Trustee.

[End of Article II]

**ARTICLE III
MASTER OBLIGATION NO. 1**

Section 3.01 Master Obligation No. 1.

There is hereby created as a Master Obligation under the Master Indenture a promissory note to be known and entitled "Friends House Retirement Community Project Master Obligation No. 1" ("Master Obligation No. 1"). Master Obligation No. 1, in the principal amount of \$16,975,000, shall be executed, authenticated and delivered in accordance with Article II of the Master Indenture.

Section 3.02 Form of Master Obligation No. 1.

Master Obligation No. 1 created hereby shall be in the form of a fully registered Master Obligation without coupons substantially in the form attached as Exhibit A hereto.

Section 3.03 Payment of Master Obligation No. 1.

Payments of, and prepayments on, Master Obligation No. 1 shall be made in the same manner, and with the same effect, as payments and prepayments due under the Series 2018A Note (and the Obligated Group Representative shall receive credit to the extent of such payments and prepayments made under the Series 2018A Note), and such payments and prepayments shall in all events be at such times and in such amounts as are sufficient to pay, when due (whether at stated maturity, upon redemption before maturity, upon acceleration of stated maturity or otherwise), the principal of and premium, if any, and interest payable on the Series 2018A Bonds at any time outstanding.

[End of Article III]

**ARTICLE IV
MASTER OBLIGATION NO. 2**

Section 4.01 Master Obligation No. 2.

There is hereby created as a Master Obligation under the Master Indenture a promissory note to be known and entitled "Friends House Retirement Community Project Master Obligation No. 2" ("Master Obligation No. 2"). Master Obligation No. 2, in the principal amount of \$13,200,000, shall be executed, authenticated and delivered in accordance with Article II of the Master Indenture.

Section 4.02 Form of Master Obligation No. 2.

Master Obligation No. 2 created hereby shall be in the form of a fully registered Master Obligation without coupons substantially in the form attached as Exhibit A hereto.

Section 4.03 Payment of Master Obligation No. 2.

Payments of, and prepayments on, Master Obligation No. 2 shall be made in the same manner, and with the same effect, as payments and prepayments due under the Series 2018B Note (and the Obligated Group Representative shall receive credit to the extent of such payments and prepayments made under the Series 2018B Note), and such payments and prepayments shall in all events be at such times and in such amounts as are sufficient to pay, when due (whether at stated maturity, upon redemption before maturity, upon acceleration of stated maturity or otherwise), the principal of and premium, if any, and interest payable on the Series 2018B Bond at any time outstanding.

[End of Article IV]

**ARTICLE V
MISCELLANEOUS**

Section 5.01 Concerning the Master Trustee. The recitals herein contained are made by the Obligated Group Representative and not by the Master Trustee, and the Master Trustee does not assume any responsibility for the correctness thereof. The Master Trustee makes no representation as to the validity or sufficiency of this Supplemental Master Indenture or the Series 2018 Master Obligations. All of the provisions contained in the Master Indenture in respect of the rights, privileges, immunities, powers, and duties of the Master Trustee shall be applicable in respect of this Supplemental Master Indenture as fully and with like force and effect as though fully set forth in full herein.

Section 5.02 Supplemental Master Indenture Controls. In the event of a conflict or inconsistency between the Master Indenture and this Supplemental Master Indenture, the provisions of this Supplemental Master Indenture shall control.

Section 5.03 Governing Law. THIS SUPPLEMENTAL MASTER INDENTURE SHALL BE GOVERNED AND CONSTRUED IN ACCORDANCE WITH THE LAWS OF THE STATE OF MARYLAND, WITHOUT GIVING EFFECT TO THE CONFLICT OF LAW PRINCIPLES.

Section 5.04 Multiple Originals. The parties may sign any number of copies of this Supplemental Master Indenture. Each signed copy shall be an original, but all of them together represent the same agreement. One originally signed copy is enough to prove this Supplemental Master Indenture. The exchange of copies of this Supplemental Master Indenture and of signature pages by facsimile or PDF transmission shall constitute effective execution and delivery of this Supplemental Master Indenture as to the parties hereto and may be used in lieu of the original Supplemental Master Indenture for all purposes. Signatures of the parties hereto transmitted by facsimile or PDF shall be deemed to be their original signatures for all purposes.

Section 5.05 Confirmation of Master Indenture. The Master Indenture, as supplemented and amended by this Supplemental Master Indenture, is in all respects hereby adopted, ratified and confirmed.

Section 5.06 Headings and Table of Contents. The Article and Section headings herein are for convenience only and shall not affect the construction hereof.

[End of Article V]

IN WITNESS WHEREOF, the parties hereto have caused this Supplemental Master Indenture to be duly executed by persons thereunto duly authorized, as of the day and year first written above.

**FRIENDS HOUSE RETIREMENT
COMMUNITY, INC.**, a Maryland nonstock
corporation

By: _____
Name: _____
Title: _____

By: _____
Name: _____
Title: _____

[SEAL]

**WILMINGTON TRUST, NATIONAL
ASSOCIATION**, as Master Trustee

By: _____
Authorized Signatory

[SEAL]

EXHIBIT A

FORM OF MASTER OBLIGATIONS NO. 1 AND NO. 2

**THIS MASTER OBLIGATION HAS NOT BEEN REGISTERED UNDER THE
SECURITIES ACT OF 1933 OR ANY STATE SECURITIES LAW**

\$ _____

FRIENDS HOUSE RETIREMENT COMMUNITY PROJECT MASTER OBLIGATION NO. [1][2]

FRIENDS HOUSE RETIREMENT COMMUNITY, INC., a Maryland nonstock corporation, as an obligated group member and the obligated group representative (the “Obligated Group Representative”), for value received, hereby promises to pay to WILMINGTON TRUST, NATIONAL ASSOCIATION, as bond trustee (the “Series 2018A Bond Trustee”), or registered assigns, at the Baltimore, Maryland corporate trust office of the Series 2018A Bond Trustee [Compass Mortgage Corporation, or registered assigns (the “Series 2018B Lender”), at 250 East Pratt St., Baltimore, Maryland 21201, the principal sum of \$ _____, and to pay interest thereon, at the times and in the amounts required by the [Loan Agreement relating to the Series 2018A Bonds dated as of August 1, 2018, between Montgomery County, Maryland (the “Issuer”) and the Obligated Group Representative (the “Series 2018A Loan Agreement”)] [Loan and Financing Agreement relating to the Series 2018B Bond dated as of August 1, 2018, among Montgomery County, Maryland, the Obligated Group Representative and the Series 2018B Lender (the “Series 2018B Financing Agreement”)] as evidenced by the promissory note dated the date hereof (the “[Series 2018A] [Series 2018B] Note”) from the Obligated Group Representative to the Issuer and assigned by the Issuer to the [Series 2018A Bond Trustee][Series 2018B Lender], and in any event, in the amounts and at the times necessary to repay the [Economic Development Revenue Bonds (Friends House Retirement Community Project), Series 2018A] [Economic Development Revenue Bond (Friends House Retirement Community Project), Series 2018B] (the “Bonds”) issued by the Issuer under and pursuant to the [Bond Trust Indenture relating to such Bonds dated as of August 1, 2018 (the “Bond Indenture”), between Issuer and the Series 2018A Bond Trustee] [the Series 2018B Financing Agreement]. This Master Obligation shall mature on August 1, 20__.

This Master Obligation is issued for the purpose of securing the Obligated Group Representative's payment obligations under the [Series 2018A Loan Agreement] [Series 2018B Financing Agreement] and the [Series 2018A] [Series 2018B] Note, which such payments and prepayments shall in all events be at such times and in such amounts as are sufficient to pay, when due (whether at stated maturity, upon redemption before maturity, upon acceleration of stated maturity or otherwise), the principal of and premium, if any, and interest payable on the Bonds at any time outstanding. This Master Obligation shall be subject to payment and prepayment as set forth in the Master Indenture (as defined below).

This Master Obligation is issued in the principal amount of \$ _____, is dated August __, 2018 and is designated as the “Friends House Retirement Community Project Master

Obligation No. [1][2]" (the "Master Obligation", and together with all other Master Obligations issued under the Master Indenture hereinafter defined, the "Master Obligations") issued under and pursuant to Supplemental Master Indenture Number 1 dated as of August 1, 2018 (the "Supplemental Master Indenture"), supplementing the Master Trust Indenture dated as of August 1, 2018 (the "Master Trust Indenture"), between the Obligated Group Representative and Wilmington Trust, National Association, as master trustee (the "Master Trustee"). The Master Trust Indenture, as supplemented and amended by the Supplemental Master Indenture, is herein called the "Master Indenture." Pursuant to the terms of the Master Indenture, each of the Obligated Group Members described therein will be jointly and severally liable for the payment of this Master Obligation and all other Master Obligations.

This Master Obligation is issued in consideration of the assignment to the Master Trustee by the [Series 2018A Bond Trustee] [Series 2018B Lender] of the [Series 2018A] [Series 2018B] Note.

A copy of the Master Indenture is on file at the Baltimore, Maryland corporate trust office of the Master Trustee and reference is hereby made to the Master Indenture for the provisions, among others, with respect to the nature and extent of the rights of the holder of this Master Obligation, the terms and conditions on which, and the purposes for which, this Master Obligation is issued and the rights, duties and obligations of the Obligated Group and the Master Trustee under the Master Indenture, to all of which the holder hereof, by acceptance of this Master Obligation, assents.

To the extent permitted by and as provided in the Master Indenture, modifications or changes of the Master Indenture, or of any indenture supplemental thereto, and of the rights and obligations of the Obligated Group Members (as defined in the Master Indenture) and of the holders of the Master Obligations in any particular may be made with the consent of the Master Trustee and the Obligated Group Members and, in certain circumstances, with the consent of the holders of not less than a majority in aggregate principal amount of the Master Obligations (other than Subordinated Obligations) then Outstanding under the Master Indenture. Unless an Event of Default has occurred and is continuing, no such modification or change shall be made which will reduce the percentage of the Master Obligations, the consent of the holders of which is required to consent to such Supplemental Master Indenture, or permit a preference or priority of any Master Obligation or Master Obligations over any other Master Obligation or Master Obligations, or which will effect a change in the times, amount and currency of payment of the principal of, and premium, if any, or interest on any Master Obligation or a reduction in the principal amount or redemption price of any Master Obligation or the rate of interest thereon, without the consent of the holder of such Master Obligation. Any such consent by the holder of this Master Obligation shall be conclusive and binding upon such holder and all future holders and owners hereof irrespective of whether or not any notation of such consent is made upon this Master Obligation.

Upon the occurrence of certain "Events of Default", as defined in the Master Indenture, the principal of all outstanding Master Obligations may be declared due and payable, and thereupon shall become due and payable as provided in the Master Indenture.

The holder of this Master Obligation shall have no right to enforce the provisions of the Master Indenture, or to institute any action to enforce the covenants therein, or to take any action with respect to any default under the Master Indenture, or to institute, appear in or defend any suit or other proceeding with respect thereto, except as provided in the Master Indenture.

This Master Obligation shall be registered on the register to be maintained by the Master Trustee and this Master Obligation shall be transferable only upon said register at said office by the registered owner or by his duly authorized attorney. Such transfer shall be without charge to the holder hereof, but any taxes or other governmental charges required to be paid with respect to the same shall be paid by the holder requesting such transfer as a condition precedent to the exercise of such privilege. Upon any such transfer, the Obligated Group Representative shall execute and the Master Trustee shall authenticate and deliver in exchange for this Master Obligation a new registered Master Obligation without coupons, registered in the name of the transferee.

The Obligated Group Representative and the other Obligated Group Members, the Master Trustee and any paying agent may deem and treat the person in whose name this Master Obligation is registered as the absolute owner hereof for all purposes; and none of the Obligated Group Representative and the other Obligated Group Members, the Master Trustee and any paying agent shall be affected by any notice to the contrary. All payments made to the registered owner hereof shall be valid and, to the extent of the sum or sums so paid, effectual to satisfy and discharge the liability for moneys payable on this Master Obligation.

No covenant or agreement contained in this Master Obligation or the Master Indenture shall be deemed to be a covenant or agreement of any officer, agent or employee of any of the Obligated Group Members in his individual capacity, and neither the board of directors of any of the Obligated Group Members nor any officer executing this Master Obligation shall be liable personally on this Master Obligation or be subject to any personal liability or accountability by reason of the issuance of this Master Obligation.

This Master Obligation shall not be entitled to any benefit under the Master Indenture, or be valid or become obligatory for any purpose, until this Master Obligation shall have been authenticated by execution by the Master Trustee, or its successor as Master Trustee, of the Certificate of Authentication inscribed hereon.

IN WITNESS WHEREOF, the Obligated Group Representative has caused this Master Obligation to be executed in its name and on behalf of the Obligated Group by the manual or facsimile signature of its Executive Director.

**FRIENDS HOUSE RETIREMENT
COMMUNITY, INC.**, a Maryland nonstock
corporation

By: _____
Name: _____
Title: _____

[SEAL]

[Form of Endorsement by Obligated Group Representative]

The undersigned Obligated Group Representative (as defined in the within mentioned Master Indenture) hereby certifies that, pursuant to the provisions of the Master Indenture, the Obligated Group Representative and all other Obligated Group Members referred to and defined in the Master Indenture are jointly and severally obligated hereon. The Obligated Group Members as of the date of execution and delivery of this Master Obligation are identified on Schedule I attached hereto.

Any Person (as defined in the Master Indenture) who shall satisfy the conditions set forth in the Master Indenture and become an Obligated Group Member subsequent to the date of execution and delivery of this Master Obligation shall thereupon and thereafter likewise be jointly and severally obligated on this Master Obligation, whether or not the name of such person shall appear on or be added to Schedule I.

If any Person who is on the date of execution and delivery of this Master Obligation, or who shall thereafter become, an Obligated Group Member and thus jointly and severally obligated hereon, shall satisfy the conditions set forth in the Master Indenture for withdrawal from the Obligated Group and shall withdraw from the Obligated Group pursuant to a written release executed by the Master Trustee, such Person shall thereupon and thereafter be released from any further liability or obligation on this Master Obligation and under the Master Indenture, whether or not the name of such Person shall appear on or be deleted from Schedule I.

Promptly after any such withdrawal and release, the Master Trustee shall give written notice thereof by mail to each Related Bond Trustee (as defined in the Master Indenture) and to all other Holders of Master Obligations at their last addresses as they shall appear upon the register maintained as provided in the Master Indenture. Such notice may set forth, in addition to other matters deemed by the Master Trustee to be properly included therein, a statement that Outstanding Master Obligations must be presented to the Master Trustee for notation of such withdrawal and release thereon or surrendered to the Master Trustee in exchange for one or more substitute Master Obligations delivered pursuant to the provisions of the Master Indenture.

**FRIENDS HOUSE RETIREMENT
COMMUNITY, INC.,** a Maryland nonstock
corporation

By: _____
Name: _____
Title: _____

By: _____
Name: _____
Title: _____

[SEAL]

[Form of Master Trustee's Certificate of Authentication]

This Master Obligation is one of the Master Obligations referred to in the aforementioned Master Indenture.

Date of Authentication:

WILMINGTON TRUST, NATIONAL
ASSOCIATION, as Master Trustee

By: _____
Authorized Signatory

[Form of Schedule I]

Members of the Obligated Group

Name:

Address for Notices

FRIENDS HOUSE RETIREMENT
COMMUNITY, INC.

[THIS PAGE INTENTIONALLY LEFT BLANK]

MONTGOMERY COUNTY, MARYLAND

And

WILMINGTON TRUST, NATIONAL ASSOCIATION,
as Trustee

BOND TRUST INDENTURE

Dated as of August 1, 2018

Relating to:

Montgomery County, Maryland

\$16,975,000 Economic Development Revenue Bonds
(Friends House Retirement Community Project), Series 2018A

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EXHIBIT A – FORM OF SERIES 2018A BONDS

BOND TRUST INDENTURE

THIS BOND TRUST INDENTURE, made and entered into as of August 1, 2018 (this “Bond Indenture”), between **MONTGOMERY COUNTY, MARYLAND**, a body politic and corporate and a political subdivision of the State of Maryland (the “Issuer”), and **WILMINGTON TRUST, NATIONAL ASSOCIATION**, a national banking association duly authorized and empowered to accept and execute trusts of the character herein set out, as trustee (the “Bond Trustee”);

WITNESSETH:

WHEREAS, the Issuer is authorized under the Maryland Economic Development Revenue Bond Act, consisting of Sections 12-101 through 12-118, inclusive, of the Economic Development Article of the Annotated Code of Maryland (as amended, the “Act”) to issue its revenue bonds, as its limited obligations and not upon its faith and credit or pledge of its taxing power, from time to time and to use the proceeds thereof for the purposes of financing or refinancing any costs of the acquisition of one or more facilities; and

WHEREAS, Friends House Retirement Community, Inc. (the “Obligor”) is a nonstock corporation organized under the laws of the State of Maryland for nonprofit purposes; and

WHEREAS, at the request of the Obligor, the Issuer has determined to issue its Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project) Series 2018A (the “Series 2018A Bonds”) and to lend the proceeds thereof to the Obligor for the purpose of (i) financing or refinancing additions, improvements and renovations to the Existing Community (hereinafter defined); (ii) funding a debt service reserve for the Series 2018A Bonds; (iii) paying capitalized interest on the Series 2018 Bonds; and (iv) paying all or a portion of the costs associated with the issuance of the Series 2018A Bonds (the “Project”); and

WHEREAS, the Issuer and the Obligor are entering into a Loan Agreement, dated as of the date hereof (the “Agreement”), pursuant to which (i) the Issuer will loan the proceeds of the Series 2018A Bonds to the Obligor for the purposes described above and (ii) the Obligor agrees to repay such loan at such times and in such amounts as will be required to pay the principal of, premium, if any, and interest on the Series 2018A Bonds to be issued, as and when the same become due; and

WHEREAS, the Issuer, on behalf of the Obligor, has also issued its Economic Development Revenue Bond (Friends House Retirement Community Project) Series 2018B in the aggregate principal amount of \$13,200,000 (the “Series 2018B Bond”) under a Loan and Financing Agreement (the “Series 2018B Financing Agreement”) among the Issuer, the Obligor and Compass Mortgage Corporation (the “Series 2018B Lender”), to be secured on a parity basis with the Series 2018A Bonds; and

WHEREAS, the Issuer may from time to time issue Additional Bonds (as defined herein and, together with the Series 2018A Bonds, the “Bonds”), in accordance with the provisions hereof and of the Agreement; and

WHEREAS, the Issuer is entering into this Indenture for the purpose of issuing the Bonds and securing the payment thereof; and

WHEREAS, THE BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE; THE BONDS AND ANY PREMIUM AND INTEREST THEREON ARE NOT A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY; THE BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED; and

WHEREAS, to evidence the obligation of the Obligor under the Agreement to make payments sufficient to pay the principal of, premium, if any, and interest on the Series 2018A Bonds, the Obligor will execute and deliver to the Issuer a promissory note dated the date of issuance of the Series 2018A Bonds in the principal amounts of the Series 2018A Bonds (the “Series 2018A Note”), which Series 2018A Note will be endorsed by the Issuer to the Bond Trustee as security for the Series 2018A Bonds; and

WHEREAS, the Obligor is entering into a Master Indenture (hereinafter defined), pursuant to the terms of which it will issue a certain Master Obligation No. 1 under the Master Indenture to secure the Series 2018A Bonds; and

WHEREAS, it is a condition precedent to the delivery of the Series 2018A Bonds that, *inter alia*, the Master Indenture, including Supplemental Master Indenture Number 1, are each duly executed and delivered, that a Master Obligation be issued under the Master Indenture to secure the Series 2018A Bonds, that the Obligor execute and deliver the Deed of Trust (hereinafter defined) to secure the Issuer, and that the Issuer assign the benefit of the Deed of Trust (except for the Reserved Rights) to the Bond Trustee which will in turn assign such benefit to the Master Trustee as security for the Master Obligations; and

WHEREAS, the Issuer hereby finds and determines that financing of the Project in the manner described above will further the purposes and policies of the Act; and

WHEREAS, the execution and delivery of this Bond Indenture, the Agreement and the assignment and endorsement of the Series 2018A Note (except for the Reserved Rights) to the order of the Bond Trustee, and the assignment of the Deed of Trust (except for the Reserved

Rights) to the Bond Trustee were authorized by a Resolution of the Issuer, which was duly adopted and approved; and

WHEREAS, the Series 2018A Bonds to be issued, the Bond Trustee’s Certificate of Authentication to be endorsed on the Series 2018A Bonds and the Assignment of the Series 2018A Note is to be in substantially the form attached hereto as Exhibit A; and:

WHEREAS, all things necessary to make the Series 2018A Bonds, when executed by the Issuer and when authenticated by the Bond Trustee and issued as in this Bond Indenture provided, the valid, binding and legal obligations of the Issuer according to the import thereof, to constitute this Bond Indenture a valid lien on the interests in property hereby conveyed, a valid grant of a security interest in the interests in property hereby made, and a valid assignment and pledge of the revenues and receipts hereby made to secure the payment of the principal of, premium, if any, and interest on the Series 2018A Bonds, and to constitute this Bond Indenture a valid and binding agreement for the uses and purposes herein set forth in accordance with its terms have been done and performed, and the creation, execution and delivery of this Bond Indenture and the creation, execution and issuance of the Series 2018A Bonds, subject to the terms hereof, have in all respects been duly authorized;

NOW, THEREFORE, BY THESE PRESENTS, THIS TRUST INDENTURE WITNESSETH:

That the Issuer, in consideration of the premises and of the mutual covenants herein contained and of the purchase and acceptance of the Bonds by the Owners thereof and of the sum of One Dollar to it duly paid by the Bond Trustee at or before the execution and delivery of these presents, and for other good and valuable consideration, the receipt of which is hereby acknowledged, in order to secure the payment of the principal of, premium, if any, and interest on the Bonds at any time Outstanding under this Bond Indenture, all according to their tenor and effect, and to secure the performance and observance of all the covenants and conditions in the Bonds and herein contained, and to declare the terms and conditions upon and subject to which the Bonds are issued and secured, has executed and delivered this Bond Indenture and does hereby, subject to the terms and provisions of the Agreement, grant, bargain, sell, transfer, convey, mortgage, pledge and assign, without recourse and irrevocably in trust, unto the Bond Trustee and unto its successors in trust, and to its assigns forever, and does hereby grant a continuing security interest in (to the extent permitted by law) the property, real and personal, tangible or intangible, which property is more particularly described below:

GRANTING CLAUSE FIRST

All the right, title and interest of the Issuer in and to (a) the Agreement (except for the Reserved Rights), (b) the Series 2018A Note (except for the Reserved Rights), and (c) the Series 2018A Master Obligation, if any, including, but without limiting the generality of the foregoing, the present and continuing right to make claim for, collect, receive and make receipt for payments and other sums of money payable, receivable, or to be held thereunder, to bring any actions and proceedings thereunder or for the enforcement thereof, and to do any and all other things which the Issuer is or may become entitled to do under the foregoing.

GRANTING CLAUSE SECOND

All the right, title and interest of the Issuer in and to all cash proceeds and receipts arising out of or in connection with the sale of the Bonds and all moneys and investments held by the Bond Trustee in the funds and accounts created under this Bond Indenture (except the Rebate Fund), or held by the Bond Trustee as special trust funds derived from payments on contractor's performance or payment bonds or other surety bonds, or any other source.

GRANTING CLAUSE THIRD

All the right, title and interest of the Issuer in and to all moneys and securities and interest earnings thereon from time to time delivered to and held by the Bond Trustee under the terms of this Bond Indenture (except the Rebate Fund) and all other rights of every name and nature and any and all other property from time to time hereafter by delivery or by writing of any kind conveyed, mortgaged, pledged, assigned or transferred as and for additional security hereunder by the Issuer or by anyone on its behalf or with its written consent to the Bond Trustee, which is hereby authorized to receive any and all such property at any and all times and to hold and apply the same subject to the terms hereof.

GRANTING CLAUSE FOURTH

All the right, title and interest of the Issuer in and to all proceeds (cash and noncash) of any or all of the foregoing, including, without limiting the generality of the foregoing, all inventory, accounts, chattel paper, documents, equipment, instruments, farm products, consumer goods and general intangibles constituting proceeds acquired with cash proceeds of any or all of the foregoing.

IN EACH CASE, whether now owned or hereafter acquired by the Issuer and howsoever its interest therein may arise or appear (whether by ownership, security interest, claim or otherwise) and whether due or to become due and whether or not earned by performance;

TO HAVE AND TO HOLD the same with all privileges and appurtenances hereby pledged, conveyed and assigned, or agreed or intended to be, to the Bond Trustee and its successors in such trusts and assigns forever;

IN TRUST, NEVERTHELESS, upon the terms herein set forth for the equal and proportionate benefit, security and protection of all Owners of the Bonds issued under and secured by this Bond Indenture, in all cases without privilege, priority or distinction as to the lien or otherwise of any Bonds over any other Bonds;

PROVIDED, HOWEVER, that if the Issuer, its successors or assigns, shall pay, or cause to be paid, the principal of the Bonds and the premium, if any, and the interest due or to become due thereon, at the times and in the manner stipulated in the Bonds according to the true intent and meaning thereof, and shall cause the payments to be made into the Bond Fund as hereinafter required or shall provide, as permitted hereby, for the payment thereof by depositing with the Bond Trustee the entire amount due or to become due hereon, or certain securities as herein permitted and shall keep, perform and observe all the covenants and conditions pursuant to the terms of this Bond Indenture to be kept, performed and observed by it, and shall pay or

cause to be paid to the Bond Trustee all sums of money due or to become due to it in accordance with the terms and provisions hereof, then upon such final payments this Bond Indenture and the rights hereby granted shall cease, determine and be void; otherwise this Bond Indenture to be and remain in full force and effect.

THIS BOND INDENTURE FURTHER WITNESSETH and it is expressly declared that all Bonds issued and secured hereunder are to be issued, authenticated and delivered and all said rights hereby pledged and assigned are to be dealt with and disposed of under, upon and subject to the terms, conditions, stipulations, covenants, agreements, trusts, uses and purposes as hereinafter expressed, and the Issuer has agreed and covenanted, and does hereby agree and covenant, with the Bond Trustee and with the respective Owners from time to time of the Bonds as follows:

ARTICLE I DEFINITIONS

Section 1.01. Definitions. Certain words and terms used in this Bond Indenture have the meaning given them in Article I of the Agreement which by this reference is incorporated herein. When used herein, such words and terms will have the meanings given to them by the language employed in Article I of the Agreement defining such words and terms, unless the context or use clearly indicates otherwise.

Section 1.02. Recital Incorporation. The recitals set forth in the beginning of this Bond Indenture are hereby incorporated herein.

Section 1.03. Construction of Certain Terms. For all purposes of this Bond Indenture, except as otherwise expressly provided or unless the context otherwise requires, the following rules of construction will apply:

(1) The use of the masculine, feminine or neuter gender is for convenience only and will be deemed and construed to include correlative words of the masculine, feminine or neuter gender, as appropriate.

(2) “This Bond Indenture” means this instrument as originally executed or as it may from time to time be supplemented or amended by one or more indentures supplemental hereto entered into pursuant to the applicable provisions hereof.

(3) All references in this instrument to designated “Articles,” “Sections” and other subdivisions are to the designated Articles, Sections and other subdivisions of this instrument. The words “herein,” “hereof,” “hereto,” “hereby” and “hereunder” and other words of similar import refer to this Bond Indenture as a whole and not to any particular Article, Section or other subdivision.

(4) All accounting terms not otherwise defined herein have the meanings assigned to them in accordance with GAAP or, at the option of the Obligor, at the time in effect (provided that such generally accepted accounting principles are applied consistently with the requirements existing either on the date hereof or at the time in effect) as applied to the Obligor, on a consistent basis by its accountants in the preparation of its previous annual financial statements, and unless otherwise indicated, all accounting terms and covenants shall be applied on a consolidated basis.

Section 1.04. Table of Contents; Titles and Headings.

The table of contents, the titles of the articles and the headings of the sections of this Bond Indenture are solely for convenience of reference, are not a part of this Bond Indenture and will not be deemed to affect the meaning, construction or effect of any of its provisions.

Section 1.05. Contents of Certificates or Opinions.

Upon any request or application by the Issuer or the Obligor to the Bond Trustee to take any action under this Bond Indenture, and if requested by the Bond Trustee, the Issuer or the Obligor shall furnish to the Bond Trustee (i) an Officer’s Certificate stating that, in the opinion

of the signers, all conditions precedent and covenants, if any, provided for in the Series 2018 Bond Documents relating to the proposed action have been satisfied; and (ii) an Opinion of Counsel stating that, in the opinion of such counsel (who may rely upon an Officer’s Certificate as to matters of fact), all such conditions precedent and covenants have been satisfied.

Every certificate or opinion with respect to the compliance with a condition or covenant provided for in this Bond Indenture and which is precedent to the taking of any action by the Bond Trustee under this Bond Indenture must include a statement (i) that the person or persons making or giving such certificate or opinion have read such covenant or condition and the definitions herein relating thereto, (ii) as to the nature and scope of the examination or investigation upon which the statements or opinions contained in such certificate or opinion are based, (iii) that, in the opinion of the signers, they have made or caused to be made such examination or investigation as is necessary to enable them to express an informed opinion as to whether or not such covenant or condition has been complied with, and (iv) as to whether, in the opinion of the signers, such condition or covenant has been complied with.

Any such certificate or opinion made or given by an officer of the Issuer or an officer of the Obligor may be based, insofar as it relates to legal or accounting matters, upon a certificate or an opinion of Independent Counsel or an Accountant, which certificate or opinion has been given only after due inquiry of the relevant facts and circumstances, unless such officer knows that the certificate or opinion with respect to the matters upon which his certificate or opinion may be based as aforesaid is erroneous or in the exercise of reasonable care should have known that the same was erroneous. Any such certificate or opinion made or given by Independent Counsel or an Accountant may be based (insofar as it relates to factual matters with respect to information which is in the possession of an officer of the Issuer or an officer of the Obligor or any third party) upon the certificate or opinion of or representations by an officer of the Issuer or an officer of the Obligor or any third party on whom Independent Counsel or an Accountant could reasonably rely unless such Independent Counsel or such Accountant knows that the certificate or opinion or representations with respect to the matters upon which his certificate or opinion may be based as aforesaid are erroneous or in the exercise of reasonable care should have known that the same were erroneous. The same officer of the Issuer or officer of the Obligor, or the same Independent Counsel or Accountant, as the case may be, need not certify or opine to all of the matters required to be certified or opined under any provision of this Agreement, but different officers, Independent Counsel or Accountants may certify or opine to different matters, respectively.

[End of Article I]

ARTICLE II AUTHORIZATION, TERMS, EXECUTION AND ISSUANCE OF BONDS

Section 2.01. Authorized Amount of Series 2018A Bonds. No Bonds may be issued under this Bond Indenture except in accordance with this Article. The total original principal amount of Series 2018A Bonds that may be issued hereunder is hereby expressly limited to \$16,975,000.

Section 2.02. All Bonds Secured; Bonds Not an Obligation of Issuer. All Series 2018A Bonds issued under this Bond Indenture and at any time Outstanding shall in all respects be equally and ratably secured hereby, without preference, priority or distinction on account of the date or dates or the actual time or times of the issuance or maturity of the Series 2018A Bonds, so that all Series 2018A Bonds at any time issued and Outstanding hereunder shall have the same right, lien and preference under and by virtue of this Bond Indenture and shall all be equally and ratably secured hereby.

Additional Bonds may be secured on a parity or subordinate basis with the Series 2018A Bonds as determined at the time of issuance thereof in accordance with Section 2.09 below.

The Bonds shall be payable solely out of the revenues and other security pledged hereby. The Bonds, together with interest and any premium thereon, will be limited obligations of the Issuer payable solely from the Trust Estate and will be a valid claim of the respective Owners thereof only against the Trust Estate. The Bonds are special obligations of the Issuer as more fully set forth under Section 2.16 below.

THE BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. THE BONDS AND ANY PREMIUM AND INTEREST THEREON ARE NOT A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

Section 2.03. Authorization of Series 2018A Bonds.

(a) There is hereby authorized to be issued hereunder and secured hereby an issue of bonds designated as "Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project), Series 2018A." The Series 2018A Bonds shall be numbered consecutively upward from RA-1.

(b) The Series 2018A Bonds shall bear interest from the most recent Interest Payment Date to which interest has been paid or provided for, or, if no interest has been paid, from the Delivery Date of the Series 2018A Bonds. The Series 2018A Bonds shall bear interest on the basis of a 360-day year composed of twelve 30-day months payable each January 1 and each July 1, beginning January 1, 2019, at the rates per annum and shall mature on July 1 in the years and principal amounts as follows:

<u>Year</u>	<u>Amount</u>	<u>Interest Rate (%)</u>
2033	\$2,175,000	5.000
2039	4,175,000	5.000
2048	10,625,000	5.375

(c) The principal of, premium, if any, and interest on the Series 2018A Bonds shall be payable in lawful money of the United States of America at the Corporate Trust Office of the Bond Trustee, or at the designated corporate trust office of its successor, and if such Series 2018A Bonds are not then registered in the name of DTC or its nominee, upon presentation and surrender of the Series 2018A Bonds. Payment of interest on any Series 2018A Bond shall be made to the person who is the registered owner thereof at the close of business on the Regular Record Date for such Interest Payment Date by check mailed by the Bond Trustee on such Interest Payment Date to such registered owner at his or her address as it appears on the registration records kept by the Bond Trustee or by wire transfer of same day funds upon receipt by the Bond Trustee prior to the Regular Record Date of a written request by a registered owner of \$1,000,000 or more in aggregate principal amount of Series 2018A Bonds at the time such initial request is made. The CUSIP number and appropriate dollar amounts for each CUSIP number shall accompany all payments of principal, premium, if any, and interest on the Series 2018A Bonds. Any such interest not so timely paid or duly provided for shall cease to be payable to the person who is the registered owner of such Series 2018A Bond at the close of business on the Regular Record Date and shall be payable to the person who is the registered owner thereof at the close of business on a Special Record Date for the payment of any such defaulted interest. Such Special Record Date shall be fixed by the Bond Trustee whenever moneys become available for payment of the defaulted interest, and notice of the Special Record Date shall be given to the registered owners of the Series 2018A Bonds not less than ten days prior thereto by first class postage prepaid mail or sent electronically pursuant to Applicable Procedures to each such registered owner as shown on the registration records, stating the date of the Special Record Date and the date fixed for the payment of such defaulted interest. Alternative means of payment of interest may be used if mutually agreed upon between the owners of any Series 2018A Bonds and the Bond Trustee. All such payments shall be made in lawful money of the United States of America.

Notwithstanding the foregoing, payments of the principal of and interest on any Series 2018A Bonds that are subject to the book entry system as provided in Article II of this Bond Indenture shall be made in accordance with the rules, regulations and procedures established by the securities depository in connection with the book entry system.

Section 2.04. Execution of Bonds, Signatures. The Bonds shall be executed on behalf of the Issuer by the manual or facsimile signature of the County Executive and by the manual or facsimile signature of the Director of Finance, and the official seal of the Issuer shall be impressed or reproduced thereon and attested by the manual or facsimile signature of the Clerk of the Council. The reproduction of the seal of the Issuer on the Bonds will have the same force and effect as if the seal of the Issuer had been impressed on the Bonds. In case any officer who shall have signed any of the Bonds shall cease to hold such office and any of such Bonds shall have been authenticated by the Bond Trustee or delivered or sold, such Bonds with the signatures thereto affixed may, nevertheless, be authenticated by the Bond Trustee, and delivered, and may be sold by the Issuer, as though the person or persons who signed such Bonds had remained in office.

Section 2.05. Registration and Exchange of Bonds; Persons Treated as Owners. The Bond Trustee is hereby appointed the bond registrar of the Issuer for the Bonds and shall cause books for the registration and for the transfer of the Bonds as provided in this Bond Indenture to be kept. Upon surrender for transfer of any fully registered Bond at the Corporate Trust Office of the Bond Trustee, duly endorsed for transfer or accomplished by an assignment duly executed by the registered owner or his attorney duly authorized in writing, the Issuer shall execute and the Bond Trustee shall authenticate and deliver in the name of the transferee or transferees a new fully registered Bond or Bonds of the same series for a like principal amount and maturity.

The Issuer shall execute and the Bond Trustee shall authenticate and deliver Bonds which the Bondholder making the exchange is entitled to receive, bearing numbers not contemporaneously Outstanding. The execution by the Issuer of any fully registered Bond of any denomination shall constitute full and due authorization of such denomination and the Bond Trustee shall thereby be authorized to authenticate and deliver such Bond.

The Bond Trustee shall not be required to transfer or exchange any Bond after notice calling such Bond or any portion thereof for redemption has been given as herein provided, nor during the period beginning at the opening of business fifteen days before the day the Bond Trustee gives notice of redemption and ending at the close of business on the day such notice is given.

As to any Bond, the Person in whose name the same shall be registered shall be deemed and regarded as the absolute owner thereof for all purposes, and payment of principal of or interest on any Bond shall be made only to or upon the written order of the registered owner thereof or his legal representative, but such registration may be changed as hereinabove provided. All such payments shall be valid and effectual to satisfy and discharge the liability upon such Bond to the extent of the sum or sums paid.

The Bond Trustee shall require the payment by any Bondholder requesting exchange or transfer of any tax or other governmental charge required to be paid with respect to such exchange or transfer.

Section 2.06. Lost, Stolen, Destroyed and Mutilated Bonds. Upon receipt by the Bond Trustee of evidence satisfactory to it of the ownership of and the loss, theft, destruction or mutilation of any Bond and, in the case of a lost, stolen or destroyed Bond, of indemnity

satisfactory to it, and upon surrender and cancellation of the Bond if mutilated, (i) the Issuer shall execute, and the Bond Trustee shall authenticate and deliver, a new Bond of the same series, date and maturity as the lost, stolen, destroyed or mutilated Bond in lieu of such lost, stolen, destroyed or mutilated Bond or (ii) if such lost, stolen, destroyed or mutilated Bond shall have matured or shall have been called for redemption, in lieu of executing and delivering a new Bond as aforesaid, the Issuer may pay such Bond. Any such new Bond shall bear a number not contemporaneously Outstanding. The applicant for any such new Bond may be required to pay all expenses and charges of the Issuer and of the Bond Trustee in connection with the issue of such new Bond. All Bonds shall be held and owned upon the express condition that, to the extent permitted by law, the foregoing conditions are exclusive with respect to the replacement and payment of mutilated, destroyed, lost or stolen Bonds, negotiable instruments or other securities. If, after the delivery of such new Bond, a bona fide purchaser of the original Bond in lieu of which such duplicate Bond was issued presents for payment such original Bond, the Obligor or the Bond Trustee shall be entitled to recover upon such new Bond from the person to whom it was delivered or any person taking therefrom, except a bona fide purchaser, and shall be entitled to recover upon the security or indemnity provided therefor to the extent of any loss, damage, cost or expense incurred by the Obligor or the Bond Trustee in connection therewith.

Section 2.07. Delivery of Series 2018A Bonds. Upon the execution and delivery of this Bond Indenture, the Issuer shall execute and deliver to the Bond Trustee and the Bond Trustee shall authenticate the Series 2018A Bonds and deliver them to the initial purchasers thereof as directed by the Issuer and as hereinafter in this Section provided.

Prior to the delivery by the Bond Trustee of any of the Series 2018A Bonds there shall be filed with and delivered to the Bond Trustee the following:

- (a) A Certified Resolution of the Issuer authorizing the execution and delivery of the Agreement and this Bond Indenture and the issuance of the Series 2018A Bonds.
- (b) Original executed counterparts of the Agreement and this Bond Indenture, and copies of the fully executed Master Trust Indenture, the Supplemental Master Indenture and the Deed of Trust.
- (c) The Series 2018A Master Obligation, duly executed and authenticated and duly issued and payable to the Bond Trustee.
- (d) The Series 2018A Note, duly assigned (excluding the Reserved Rights) to the Bond Trustee.
- (e) A written request and authorization to the Bond Trustee on behalf of the Issuer and signed by an Issuer Representative to authenticate and deliver the Series 2018A Bonds to the purchasers therein identified upon payment to the Bond Trustee, but for the account of the Issuer, of a sum specified in such request and authorization, together with instructions as to the disposition of the proceeds of the Series 2018A Bonds pursuant to Section 3.01.
- (f) An Opinion of Bond Counsel substantially to the effect that the Series 2018A Bonds have been duly and validly authorized, issued and delivered and constitute valid and binding obligations of the Issuer, enforceable against the Issuer in accordance with their terms,

and that each of the instruments to which the Issuer is a party has been duly and validly authorized, executed and delivered by the Issuer and constitutes the legal, valid and binding obligation of the Issuer, enforceable against the Issuer in accordance with its terms, subject to customary qualifications on enforceability.

(g) An Opinion of Bond Counsel substantially to the effect that the interest payable on the Series 2018A Bonds is excludable from gross income for federal income tax purposes.

(h) An executed counterpart of the Deed of Trust, together with an appropriate instrument executed by the Issuer assigning the benefit of the Deed of Trust (except for the Reserved Rights) to the Bond Trustee and the Series 2018B Bond Holder and assignment by them to the Master Trustee.

(i) Copies of the Uniform Commercial Code financing statements filed pursuant to Section 4.03 with evidence of filing.

(j) An Opinion of Counsel to the Obligor and such other documents as the Bond Trustee may reasonably request.

Section 2.08. Bond Trustee's Certificate of Authentication. The Bond Trustee's certificate of authentication upon the Series 2018A Bonds shall be substantially in the form and tenor set forth in Exhibit A hereto. No Bond shall be secured hereby or entitled to the benefit hereof, or shall be valid or obligatory for any purpose, unless the certificate of authentication, substantially in such form, has been duly executed by the Bond Trustee; and such certificate of the Bond Trustee upon any Bond shall be conclusive evidence and the only competent evidence that such Bond has been authenticated and delivered hereunder. The Bond Trustee's certificate of authentication shall be deemed to have been duly executed by it if manually signed by an authorized signatory of the Bond Trustee, but it shall not be necessary that the same officer sign the certificate of authentication on all of the Bonds issued hereunder.

Section 2.09. Issuance of Additional Bonds. Additional Bonds are hereby authorized to be issued hereunder for the purposes set forth in Section 4.1 of the Agreement. If the Obligor requests the issuance of any Additional Bonds, it shall file with the Issuer and the Bond Trustee a certificate specifying the amount of Additional Bonds to be issued and the purpose for such issuance.

Thereupon, the Issuer may request the authentication and delivery of such Additional Bonds; provided that the Obligor and the Issuer shall have entered into an amendment to the Agreement to provide, among other things, that the Project shall include the additional facilities, if any, being financed by the Additional Bonds, for delivery of one or more Master Obligations entitled to the benefit and security of the Master Indenture in an amount at least sufficient to pay the principal of, premium, if any, and interest on the Additional Bonds when due, for a deposit into a separate account in the Debt Service Reserve Fund relating to such Additional Bonds of additional Debt Service Reserve Fund Obligations which, together with amounts then contained in the other accounts in the Debt Service Reserve Fund, will equal the Debt Service Reserve Fund Requirement on all Bonds Outstanding at the date of issuance of such series of Additional Bonds and for such additional covenants and conditions as the Issuer and the Obligor deem

desirable. All Additional Bonds shall be secured hereunder with the Bonds then Outstanding on either a parity or subordinate basis as determined at the time of issuance thereof, and shall bear such date or dates, bear such interest rate or rates, have such maturity dates, redemption dates, options and premiums, and be issued at such prices as shall be approved in writing by the Issuer and the Obligor. Upon the execution and delivery of appropriate supplements to this Bond Indenture and the Master Indenture and amendments to the Agreement, the Issuer may execute and deliver to the Bond Trustee, and the Bond Trustee shall authenticate, such Additional Bonds and deliver them to the initial purchasers thereof as directed by the Issuer.

Section 2.10. Requirements for Authentication and Delivery of Additional Bonds. Whenever requesting the authentication and delivery under this Article II of any Additional Bonds, the Obligor shall furnish the Bond Trustee the following:

(a) Obligor's Certificate. A certificate of the Obligor stating (i) that no default exists under the Agreement, the Master Indenture or this Bond Indenture, (ii) that the Obligor approves the issuance and delivery of such Additional Bonds, (iii) that all conditions precedent to the issuance of additional debt under the Master Indenture have been satisfied, and (iv) any other matters to be approved by the Obligor pursuant to Section 4.1 of the Agreement and this Section 2.10.

(b) Certified Resolution. A Certified Resolution of the Issuer authorizing the issuance of the Additional Bonds and the execution and delivery of the amendment to the Agreement and a supplement to this Bond Indenture.

(c) Amendment to the Agreement. An original executed counterpart of the amendment to the Agreement.

(d) Supplemental Bond Indenture. An indenture supplemental hereto, designating the new series to be created and prescribing expressly or by reference with respect to the Bonds of such series:

(i) the principal amount of the Bonds of such series,

(ii) the text of the Bonds of such series,

(iii) whether such Bonds are senior or subordinate,

(iv) the maturity date or dates thereof,

(v) the place or places where principal, premium, if any, and interest are to be paid and where the Bonds are to be registerable, transferable or exchangeable,

(vi) the rate or rates of interest and the date from which, and the date or dates on which, interest is payable,

(vii) provisions as to redemption,

(viii) provisions (if any) as to exchangeability,

(ix) any other provisions necessary to describe and define such series within the provisions and limitations of this Bond Indenture, and

(x) any other provisions and agreements in respect thereof provided, or not prohibited, by this Bond Indenture.

(e) Supplement to Master Indenture. Original executed counterparts of a supplement to the Master Indenture authorizing the execution and delivery of an additional Master Obligation or Obligations.

(f) Additional Master Obligations. A Master Obligation or Obligations executed by the Obligor which shall:

(i) require payment or payments of principal of, premium, if any, and interest in amounts and at times sufficient, together with any other funds available therefor, to permit the payments of principal of, premium, if any, and interest on the Additional Bonds, taking into account any mandatory sinking fund requirements (pursuant to this Bond Indenture) which are required in respect of the related bonds, and

(ii) require each payment on the Master Obligation to be made on the due date for the corresponding payment to be made on the related bonds of the Issuer.

(g) Opinions.

(i) An Opinion of Bond Counsel substantially to the effect that such Additional Bonds have been duly and validly authorized, issued and delivered and constitute valid and binding obligations of the Issuer, enforceable against the Issuer in accordance with their terms, and that each of the instruments to which the Issuer is a party has been duly and validly authorized, executed and delivered by the Issuer and constitutes the legal, valid and binding obligation of the Issuer, enforceable against the Issuer in accordance with its terms, subject to customary qualifications on enforceability.

(ii) Such Opinions of Counsel as are delivered pursuant to Article X hereof or Section 2.05 of the Master Indenture.

(h) Debt Service Reserve Fund. For deposit into a separate account in the Debt Service Reserve Fund relating to such Additional Bonds, Debt Service Reserve Fund Obligations which will equal the Debt Service Reserve Fund Requirement on such Additional Bonds, as shall be set forth in the Supplemental Bond Indenture relating to such Additional Bonds.

Section 2.11. Cancellation and Destruction of Bonds By the Bond Trustee. Whenever any Outstanding Bonds shall be delivered to the Bond Trustee for the cancellation thereof pursuant to this Bond Indenture, upon payment of the principal amount or interest represented thereby or for replacement pursuant to Section 2.06 hereof, such Bonds shall be promptly cancelled and treated in accordance with the Bond Trustee's standard retention policies. In the event of destruction of the Bonds by the Bond Trustee, a certificate of destruction evidencing such destruction shall be furnished by the Bond Trustee to the Issuer and the Obligor upon written request.

Section 2.12. Book-Entry Only System. The Series 2018A Bonds shall be initially issued in the form of a single fully registered Series 2018A Bond for each maturity of each series and sub-series of the Series 2018A Bonds registered in the name of Cede & Co., as nominee of DTC, and except as provided in Section 2.13 hereof, all of the outstanding Series 2018A Bonds shall be registered in the name of Cede & Co., as nominee of DTC. The Bond Trustee in each of its capacities is hereby authorized to act in accordance with such letter and the Applicable Procedures.

Additional Bonds shall initially be issued in such form as may be provided in the Supplemental Bond Indenture applicable thereto.

With respect to Bonds registered in the name of Cede & Co., as nominee of DTC, the Issuer and the Bond Trustee shall have no responsibility or obligation to any participant in DTC (a "DTC Participant") or to any person on behalf of whom such a DTC Participant holds an interest in the Bonds. Without limiting the immediately preceding sentence, the Issuer and the Bond Trustee shall have no responsibility or obligation with respect to (a) the accuracy of the records of DTC, Cede & Co. or any DTC Participant with respect to any ownership interest in the Bonds, (b) the delivery to any DTC Participant or any other person, other than a Bondholder, as shown on the registration books, of any notice with respect to the Bonds, including but not limited to any notice of redemption, or (c) the payment to any DTC Participant or any other person, other than a Bondholder as shown in the registration books, of any amount with respect to principal of, premium, if any, or interest on, the Bonds. Notwithstanding any other provision of this Bond Indenture to the contrary, the Issuer and the Bond Trustee shall be entitled to treat and consider the person in whose name each Bond is registered in the registration books as the absolute and sole owner of such Bond for the purpose of payment of principal, premium, if any, and interest with respect to such Bond, for the purpose of giving notices and other matters with respect to such Bond, for the purpose of registering transfers with respect to such Bond, and for all other purposes whatsoever. The Bond Trustee shall pay all principal of, premium, if any, and interest on the Bonds only to or upon the order of the respective owners, as shown in the registration books as provided in this Bond Indenture, or their respective attorneys duly authorized in writing, and all such payments shall be valid and effective to fully satisfy and discharge the Issuer's obligations with respect to payment of principal of, premium, if any, and interest on, the Bonds to the extent of the sum or sums so paid. No person other than an Owner, as shown in the registration books, shall receive a Bond certificate evidencing the obligation of the Issuer to make payments of principal, premium, if any, and interest, pursuant to this Bond Indenture. Upon delivery by DTC to the Bond Trustee of written notice to the effect that DTC has determined to substitute a new nominee in place of Cede & Co., and subject to the provisions in this Bond Indenture with respect to payment of interest to the registered owner at the close of business on the Record Date, the word "Cede & Co." in this Bond Indenture shall refer to such new nominee of DTC.

Section 2.13. Successor Securities Depository; Transfers Outside Book-Entry Only System.

(a) In the event that the Obligor determines that DTC is incapable of discharging its responsibilities described herein and in the representation letter of the Issuer to DTC (the "DTC Letter"), or that it is in the best interest of the beneficial owners of the Bonds that they be able to

obtain certificated Bonds, the Issuer, at the direction of the Obligor, shall (i) appoint a successor securities depository, qualified to act as such under Section 17(a) of the Securities Exchange Act of 1934, as amended, notify DTC and DTC Participants, identified by DTC, of the appointment of such successor securities depository and transfer one or more separate Bonds to such successor securities depository or (ii) notify DTC and DTC Participants, identified by DTC, of the availability through DTC of Bonds and transfer one or more separate Bonds to DTC Participants, identified by DTC, having Bonds credited to their DTC accounts. In such event, the Bonds shall no longer be restricted to being registered in the registration books in the name of Cede & Co., as nominee of DTC, but may be registered in the name of the successor securities depository, or its nominee, or in whatever name or names Bondholders transferring or exchanging Bonds shall designate, in accordance with the provisions of this Bond Indenture.

(b) Upon the written consent of 100% of the beneficial owners of the Bonds of any series or sub-series, the Bond Trustee, in accordance with the DTC Letter, shall withdraw the Bonds of such series or sub-series from DTC, and authenticate and deliver Bonds of such series fully registered to the assignees of DTC or its nominee. If the request for such withdrawal is not the result of any Issuer action or inaction, such withdrawal, authentication and delivery shall be at the cost and expense (including costs of printing, preparing and delivering such Bonds) of the Persons requesting such withdrawal, authentication and delivery.

Section 2.14. Payments to Cede & Co. Notwithstanding any other provision of this Bond Indenture to the contrary, so long as any Bond is registered in the name of Cede & Co., as nominee of DTC, all payments with respect to principal of, premium, if any, and interest on, such Bond and all notices, transfers and deliveries with respect to such Bond shall be made and given, respectively, in the manner provided in the DTC Letter.

Section 2.15. CUSIP Numbers. The Issuer in issuing the Bonds may use “CUSIP” numbers (if then generally in use), and, if so, the Bond Trustee may use “CUSIP” numbers in notices as a convenience to Holders; provided that any such notice may state that no representation is made as to the correctness of such numbers either as printed on the Bonds or as contained in any notice and that reliance may be placed only on the other identification numbers printed on the Bonds, and any such notice shall not be affected by any defect in or omission of such numbers. The Obligor shall promptly notify the Bond Trustee of any change in the “CUSIP” numbers.

Section 2.16. Special Obligations. The Bonds shall be special obligations of the Issuer. The Bonds are without recourse to the Issuer. The Bonds shall not be a general obligation of the Issuer, shall not be a pledge of or involve the faith and credit or the taxing power of the Issuer, shall not constitute a debt of the Issuer. The Bonds are payable solely from the Trust Estate which shall, except as may be otherwise expressly authorized in this Indenture, be used for no other purpose than to pay the principal of, premium, if any and interest on the Bonds. The Bonds shall not give rise to any pecuniary liability of the Issuer and the Issuer shall have no obligation with respect to the purchase of the Bonds, upon the issuance, sale and delivery of the Bonds.

THE BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES

TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. THE BONDS AND ANY PREMIUM AND INTEREST THEREON ARE NOT A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

No covenant, stipulation, obligation or agreement of the Issuer in this Bond Indenture, the Bonds or any other Series 2018 Bond Documents shall be deemed to be a covenant, stipulation, obligation or agreement of any present or future elected or appointed official, officer, employee or agent of the Issuer in his or her individual capacity. Neither the officials, officers, employees or agents of the Issuer nor any person executing the Bonds or any agreement entered into by the Issuer under the Authorizing Resolution, shall be liable personally on the Bonds or agreement or be subject to any personal liability or accountability by reason of the issuance, execution and delivery thereof. Each Bond on its face, shall plainly state that it has been issued under the provisions of the Authorizing Resolution and that it does not constitute an indebtedness to which the faith and credit of the Issuer is pledged.

[End of Article II]

ARTICLE III REVENUES AND FUNDS

Section 3.01. Application of Proceeds of Series 2018A Bonds.

(a) The Issuer will sell and cause to be delivered to the Underwriters the Series 2018A Bonds and will deliver the proceeds thereof to the Bond Trustee for disbursement as follows:

(i) For deposit into the Debt Service Reserve Fund the amount specified in the request and authorization to the Bond Trustee described in Section 2.07(e);

(ii) For deposit into the Costs of Issuance Fund the amount specified in the request and authorization to the Bond Trustee described in Section 2.07(e);

(iii) For deposit into the Funded Interest Account of the Construction Fund the amount specified in the request and authorization to the Bond Trustee described in Section 2.07(e); and

(iv) For deposit into the Project Account of the Construction Fund the amount specified in the request and authorization to the Bond Trustee described in Section 2.07(e).

(b) The Issuer agrees to consider the authorization of the issuance of Additional Bonds upon the terms and conditions provided herein and in Sections 2.09 and 2.10. Additional Bonds may be issued for any purpose authorized by the Act. In the event of the issuance of Additional Bonds for any such purposes, the amount of Additional Bonds issued may include the costs of the issuance and sale of the Additional Bonds, capitalized interest for such period allowed by law, reserve funds and such other costs reasonably related to the financing as shall be agreed upon by the Obligor and the Issuer and are permissible under the Act.

(c) If the Obligor is not in default hereunder, the Issuer agrees, on request of the Obligor, from time to time, subject to satisfying the requirements of the Act, to consider issuing the amount of Additional Bonds specified by the Obligor; provided that the terms of such Additional Bonds, the purchase price to be paid therefor and the manner in which the proceeds thereof are to be disbursed shall have been approved in writing by the Obligor, and provided further that (i) the Obligor and the Issuer shall have entered into a Supplemental Bond Indenture to provide, among other things, that the Project shall include the facilities, if any, being financed by the Additional Bonds, for additional loan payments in an amount at least sufficient to pay principal of, premium, if any, and interest on the Additional Bonds when due, and, if the Supplemental Bond Indenture shall so provide, for a deposit into the Debt Service Reserve Fund of additional Debt Service Reserve Fund Obligations which, together with amounts at that time contained in the Debt Service Reserve Fund, will equal the Maximum Annual Debt Service on all Bonds Outstanding at the date of issuance of such series of Additional Bonds, and (ii) the Obligor and the Master Trustee shall have entered into a supplement to the Master Indenture whereby the Obligor issues a Master Obligation securing payment of the principal of, premium, if any, and interest on the Additional Bonds. The issuance of Additional Bonds shall be subject to Sections 2.09 and 2.10.

Section 3.02. Creation of the Bond Fund. There is hereby created by the Issuer and ordered established with the Bond Trustee a trust fund to be designated as "Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project) Bond Fund" (the "Bond Fund"). There are hereby created by the Issuer and ordered established with the Bond Trustee two separate accounts within the Bond Fund to be designated as the Principal Account and the Interest Account, respectively. Moneys on deposit in the Principal Account shall be used to pay the principal of and premium, if any, on the Series 2018A Bonds, when due and payable. Moneys on deposit in the Interest Account shall be used to pay the interest on the Series 2018A Bonds when due and payable.

Section 3.03. Payments into the Bond Fund.

(a) There shall be deposited into the Principal Account or the Interest Account, as and when received by the Bond Trustee, (i) all payments on the Series 2018A Note and Series 2018A Master Obligation, as applicable, (ii) all moneys transferred to the Bond Fund from the Debt Service Reserve Fund pursuant to Section 3.10 hereof, (iii) all other moneys required to be deposited therein pursuant to the Agreement or the Master Indenture, and (iv) all other moneys received by the Bond Trustee when accompanied by directions that such moneys are to be paid into the Principal Account or the Interest Account. There also shall be retained or deposited in the Principal Account or the Interest Account all interest and other income received on investments or moneys required to be transferred thereto in accordance with Section 6.02 hereof.

(b) On any Principal Payment Date or Interest Payment Date on the Series 2018A Bonds, if the Bond Trustee does not receive funds sufficient to make a scheduled principal (whether by mandatory redemption or at maturity) or interest payment for the Series 2018A Bonds, the Bond Trustee shall notify the Series 2018B Lender in writing of such deficiency.

(c) On the Business Day prior to any Principal Payment Date or Interest Payment Date on the Series 2018A Bonds, if the Bond Trustee shall receive timely written notice from the Series 2018B Lender that it did not receive funds sufficient to make a scheduled principal (whether by mandatory redemption or at maturity) or interest payment for the Series 2018B Bond, the Bond Trustee shall cooperate with the Series 2018B Lender regarding any transfers of funds to the Series 2018B Lender or any transfer of funds by the Series 2018B Lender to the Bond Trustee, as applicable, so that any corresponding principal and interest payments to be applied hereunder and the Series 2018B Financing Agreement, as applicable, shall be applied pro rata based on the principal amount of the Series 2018A Bonds and the Series 2018B Bond then currently outstanding.

Section 3.04. Use of Moneys in the Principal Account and Interest Account.

Except as provided in Sections 3.11, 5.01 and 8.05 hereof, moneys in the Principal Account or the Interest Account shall be used solely for the payment of the principal of, premium, if any, and interest on the Bonds on a pro rata basis based upon the outstanding principal amounts thereof.

Section 3.05. Custody of the Bond Fund. The Bond Fund shall be in the custody of the Bond Trustee but in the name of the Issuer, and the Issuer hereby authorizes and directs the Bond

Trustee to withdraw sufficient funds from the Principal Account or the Interest Account of the Bond Fund to pay the principal of, premium, if any, and interest on the Bonds as the same come due and payable, which authorization and direction the Bond Trustee hereby accepts.

Section 3.06. Construction Fund.

(a) There is hereby created and established with the Bond Trustee a trust fund designated as "Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project) Construction Fund" (the "Construction Fund"). There are hereby created by the Issuer and ordered established with the Bond Trustee two separate accounts within the Construction Fund to be designated as the Funded Interest Account and the Project Account. Moneys in the Construction Fund shall be used to pay Costs of constructing the Project or as hereinafter provided. Under no circumstances shall moneys in the Construction Fund be used to pay Costs of Issuance.

(b) The Obligor shall, at Closing, provide the Bond Trustee with a draw schedule for advances from the Funded Interest Account. The Bond Trustee shall transfer such moneys in the Funded Interest Account of the Construction Fund to the Interest Account of the Bond Fund as will be required, when added to such other moneys as are on deposit in the Interest Account of the Bond Fund, to pay interest when due. Moneys in the Funded Interest Account of the Construction Fund shall be used to pay investment management fees as set forth in a written request of the Obligor to the Bond Trustee. The Bond Trustee shall disburse moneys in the Project Account of the Construction Fund as provided in Section 4.6 of the Agreement. Subject to Section 3.06(d) hereof, all funds remaining in the Construction Fund after a Completion Certificate is filed with the Bond Trustee and payment of all other costs then due and payable shall be transferred to the Principal Account and shall be used to redeem Bonds in accordance with Section 5.12 hereof.

(c) Payments from the Construction Fund shall be made in accordance with this Article III and Article IV of the Agreement. Upon receipt of the required certificates, the Bond Trustee shall pay the amount requested to or upon the order of the Obligor.

(d) If an Event of Default occurs under this Bond Indenture, and the principal of all Bonds and the interest accrued thereon are declared due and payable, except as otherwise provided herein, no moneys may be paid out of the Project Account of the Construction Fund by the Bond Trustee during the continuance of such an Event of Default; provided, however, that if such an Event of Default shall be waived and such declaration shall be rescinded pursuant to the terms of this Bond Indenture, the full amount of any such remaining moneys in the Construction Fund may again be requisitioned by the Obligor and disbursed by the Bond Trustee in accordance with the provisions of the Agreement and this Bond Indenture.

Section 3.07. Completion Certificate. The Obligor shall provide the Bond Trustee the Completion Certificate required to be delivered under Section 4.2(b) of the Agreement.

Section 3.08. Creation of the Debt Service Reserve Fund.

(a) There is hereby created and established with the Bond Trustee a trust fund designated as the "Montgomery County, Maryland Economic Development Revenue Bonds

(Friends House Retirement Community Project) Debt Service Reserve Fund" (the "Debt Service Reserve Fund").

(b) There shall be created a Series 2018A account within the Debt Service Reserve Fund.

(c) Moneys on deposit in an account of the Debt Service Reserve Fund shall be used to provide a reserve solely for the payment of the principal of and interest on the series of Bonds to which such Reserve Account relates except as otherwise provided in this Bond Indenture.

Section 3.09. Payments into the Debt Service Reserve Fund. In addition to the deposits required by Section 3.01 hereof, there shall be deposited into the Debt Service Reserve Fund any Debt Service Reserve Fund Obligations delivered by the Obligor to the Bond Trustee pursuant to Section 5.6 of the Agreement. In addition, there shall be deposited into the Debt Service Reserve Fund all moneys required to be transferred thereto pursuant to Section 6.02 hereof, and all other moneys received by the Bond Trustee when accompanied by directions that such moneys are to be paid into the Debt Service Reserve Fund. There shall also be retained in the Debt Service Reserve Fund all interest and other income received on investments of Debt Service Reserve Fund moneys to the extent provided in Section 6.02 hereof.

Section 3.10. Use of Moneys in the Debt Service Reserve Fund.

(a) Except as provided herein and in Sections 3.15 and 8.05(c) hereof, moneys in the Debt Service Reserve Fund shall be used solely for the payment of the principal of and interest on the Bonds in the event moneys in the Bond Fund or the Funded Interest Account of the Construction Fund are insufficient to make such payments when due, whether on an Interest Payment Date, redemption date, maturity date, acceleration date or otherwise. Subject to paragraph (b) below, monies in the Series 2018A Account of the Series 2018 Debt Service Reserve Fund shall only be available to pay debt service on the Series 2018A Bonds.

(b) Upon the occurrence of an Event of Default of which the Bond Trustee is deemed to have notice hereunder and the election by the Bond Trustee of any remedy specified in Section 8.02(a) hereof, any Debt Service Reserve Fund Obligations in the Debt Service Reserve Fund shall, subject to the provisions of Section 3.16 hereof, be transferred by the Bond Trustee to the Principal Account and applied in accordance with Section 8.05 hereof. In the event of the redemption of any series of Bonds, any Debt Service Reserve Fund Obligations on deposit in the Debt Service Reserve Fund in excess of the Debt Service Reserve Fund Requirement on the Bonds to be Outstanding immediately after such redemption shall, subject to the provisions of Section 3.16 hereof, be transferred to the Principal Account and applied to the payment of the principal of the series of Bonds to be redeemed. On January 1 and July 1 in each year, any earnings on the Debt Service Reserve Fund Obligations on deposit in the Debt Service Reserve Fund that are in excess of the Debt Service Reserve Fund Requirement shall be transferred during the construction period for any Project into the Funded Interest Account of the Construction Fund created in connection with the issuance of Bonds for such Project or, if after the completion of such construction period, into the Interest Account of the Bond Fund.

(c) On the final maturity date of any series of Bonds, any Debt Service Reserve Fund Obligations in a Debt Service Reserve Fund in excess of the Debt Service Reserve Fund Requirement after giving effect to such maturity shall be used to pay the principal of and interest on such series of Bonds on such final maturity date.

(d) If at any time moneys in a Debt Service Reserve Fund are sufficient to pay the principal or redemption price of all Bonds then Outstanding, the Bond Trustee shall use the moneys on deposit in the Debt Service Reserve Fund to pay such principal or redemption price of the Bonds.

Section 3.11. Custody of the Debt Service Reserve Fund. The Debt Service Reserve Fund shall be in the custody of the Bond Trustee, and the Bond Trustee is hereby authorized and directed to transfer sufficient moneys from the Debt Service Reserve Fund to the Bond Fund to pay the principal of and interest on the Bonds for the purposes herein described, which authorization and direction the Bond Trustee hereby accepts. In the event there shall be a deficiency in the Principal Account or the Interest Account on any payment date for any series of Bonds, the Bond Trustee shall promptly make up such deficiency from the Debt Service Reserve Fund.

Section 3.12. Nonpresentment of Bonds. In the event that any Bonds shall not be presented for payment when the principal thereof or interest thereon becomes due, either at maturity, the date fixed for redemption thereof or otherwise, if funds sufficient for the payment thereof shall have been deposited into the Bond Fund or otherwise made available to the Bond Trustee for deposit therein as provided in Section 3.03 hereof, all liability of the Issuer to the owner or owners thereof for the payment of such Bonds shall forthwith cease, determine and be completely discharged, and thereupon it shall be the duty of the Bond Trustee to hold such fund or funds, without liability for interest thereon, for the benefit of the Owner or Owners of such Bonds, who shall thereafter be restricted exclusively to such fund or funds for any claim of whatever nature on his or their part under this Bond Indenture or on, or with respect to, said Bonds, and all such funds shall remain uninvested. If any Bonds shall not be presented for payment within the period of two years following the date of final maturity of such Bonds, the Bond Trustee shall, to the extent required by law, transfer such funds to the state treasury of the State of Maryland, in which case the Owner or Owners of such Bonds shall look only to such state for payment, or, in the alternative, to the extent permitted by law, the Bond Trustee shall, upon request in writing by the Obligor, return such funds to the Obligor free of any trust or lien and such Bonds shall, subject to the defense of any applicable statute of limitation, thereafter be unsecured obligations of the Obligor. In either event, the Bond Trustee shall have no further responsibility with respect to such moneys or payment of such Bonds. Thereafter, the Bondholders shall be entitled to look only to the Obligor for payment, and then only to the extent of the amount so repaid by the Bond Trustee. The Obligor shall not be liable for any interest on any sums paid to it.

Section 3.13. Bond Trustee's and Paying Agents' Fees, Charges and Expenses. Pursuant to the provisions of the Agreement, the Obligor has agreed to pay to the Bond Trustee and to each Paying Agent, commencing with the effective date of the Agreement and continuing until the principal of, premium, if any, and interest on the Bonds shall have been fully paid or provision for the payment thereof shall have been made in accordance with the provisions of this

Bond Indenture, the reasonable and necessary fees and expenses (including attorneys' fees) of the Bond Trustee and each Paying Agent, as and when the same become due, upon the submission by the Bond Trustee and each Paying Agent of a statement therefor.

Section 3.14. Moneys to be Held in Trust. All moneys required to be deposited with or paid to the Bond Trustee under any provision of this Bond Indenture (except moneys in the Rebate Fund) shall be held by the Bond Trustee in trust for the purposes specified in this Bond Indenture and, except for moneys deposited with or paid to the Bond Trustee for the redemption of Bonds for which the notice of redemption has been duly given, shall, while held by the Bond Trustee, constitute part of the Trust Estate and be subject to the lien hereof.

Section 3.15. Repayment to the Obligor from the Funds. Any amounts remaining in the Bond Fund, the Debt Service Reserve Fund or the Construction Fund after payment in full of the Bonds (or after making provision for such payment), the fees and expenses of the Bond Trustee and the Paying Agents (including attorneys' fees, if any), the Administration Expenses and all other amounts required to be paid hereunder and under the Agreement shall be paid to the Obligor upon the termination of the Agreement.

Section 3.16. Rebate Fund.

(a) There is hereby created and established with the Bond Trustee a trust fund designated as "Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project) Rebate Fund" (the "Rebate Fund"). The Rebate Fund shall be for the sole benefit of the United States of America and shall not be subject to the claim of any other Person, including without limitation the Bondholders. The Rebate Fund is established for the purpose of complying with Section 148 of the Code and the Regulations. The money deposited in the Rebate Fund, together with all investments thereof and investment income therefrom, shall be held in trust and applied solely as provided in this Section. The Rebate Fund is not a portion of the Trust Estate and is not subject to the lien of this Bond Indenture. Notwithstanding the foregoing, the Bond Trustee with respect to the Rebate Fund is afforded all the rights, protections and immunities otherwise accorded to it hereunder.

(b) Within 60 days after the close of each fifth Bond Year, the Obligor shall deliver to the Bond Trustee a computation in the form of a certificate of an officer of the Obligor of the amount of "Excess Earnings," if any, for the period beginning on the date of delivery of the Tax Exempt Bonds and ending at the close of such Bond Year, and the Obligor shall pay to the Bond Trustee for deposit into the Rebate Fund an amount equal to the difference, if any, between the amount then in the Rebate Fund and the Excess Earnings so computed. If, at the close of any Bond Year, the amount in the Rebate Fund exceeds the amount that would be required to be paid to the United States of America under paragraph (d) below if the Tax Exempt Bonds had been paid in full, such excess may, at the request of the Obligor, be transferred from funds available in the Rebate Fund and paid to the Obligor.

(c) In general, "Excess Earnings" for any period of time means the sum of

(i) the excess of --

(A) the aggregate amount earned during such period of time on all “Nonpurpose Investments” (including gains on the disposition of such Obligations) in which “Gross Proceeds” of the issue are invested (other than amounts attributable to an excess described in this subparagraph (c)(i)), over

(B) the amount that would have been earned during such period of time if the “Yield” on such Nonpurpose Investments (other than amounts attributable to an excess described in this subparagraph (c)(i)) had been equal to the yield on the issue, plus

(ii) any income during such period of time attributable to the excess described in subparagraph (c)(i) above.

The term Nonpurpose Investments, Gross Proceeds, Issue Date and Yield shall have the meanings given to such terms in Section 148 of the Code and the Regulations promulgated pursuant to such section.

(d) The Bond Trustee shall, as directed in writing by the Obligor, pay to the United States of America at least once every five years, to the extent that funds are available in the Rebate Fund or otherwise provided by the Obligor, an amount that ensures that at least 90 percent of the Excess Earnings from the date of delivery of the Tax Exempt Bonds to the close of the period for which the payment is being made will have been paid. The Bond Trustee shall pay to the United States of America not later than 60 days after the Tax Exempt Bonds have been paid in full as directed by the Obligor in writing, to the extent that funds are available in the Rebate Fund or otherwise provided by the Obligor, 100 percent of the amount then required to be paid under Section 148(f) of the Code as a result of Excess Earnings.

(e) The amounts to be computed, paid, deposited or disbursed under this Section shall be determined by the Obligor acting on behalf of the Issuer not less frequently than within thirty days after each fifth Bond Year after the date of issuance of each issue or series of Tax Exempt Bonds, but in any event in accordance with Section 148 of the Code and the Regulations. By such date, the Obligor shall also notify, in writing, the Bond Trustee and the Issuer of the determinations the Obligor has made and the payment to be made pursuant to the provisions of this Section. Upon written request of any registered owner of Tax Exempt Bonds, the Obligor shall furnish to such registered owner of Tax Exempt Bonds a certificate (supported by reasonable documentation, which may include calculation by Bond Counsel or by some other service organization) showing compliance with this Section and other applicable provisions of Section 148 of the Code.

(f) The Bond Trustee shall maintain a record of the periodic determinations by the Obligor of the Excess Earnings for a period beginning on the first anniversary date of the issuance of the Tax Exempt Bonds and ending on the date six years after the final retirement of the Tax Exempt Bonds. Such records shall state each such anniversary date and summarize the manner in which the Excess Earnings, if any, was determined.

(g) If the Bond Trustee shall declare the principal of the Tax Exempt Bonds and the interest accrued thereon immediately due and payable as the result of an Event of Default

specified in this Bond Indenture, or if the Tax Exempt Bonds are optionally or mandatorily prepaid or redeemed prior to maturity as a whole in accordance with their terms, any amount remaining in any of the trust funds hereunder shall be transferred to the Rebate Fund to the extent that the amount therein is less than the Excess Earnings computed by the Obligor as of the date of such acceleration or redemption, and the balance of such amount shall be used by the Bond Trustee for the purpose of paying principal of, redemption premium, if any, and interest on the Tax Exempt Bonds when due. In furtherance of such intention, the Issuer hereby authorizes and directs the Issuer Representative, at the request of the Obligor or the Bond Trustee, to execute any documents, certificates or reports required by the Code and to make such elections, on behalf of the Issuer, which may be permitted by the Code as are consistent with the purpose for the issuance of the Tax Exempt Bonds.

(h) The requirements contained in this Section relating to the computation and payment of Excess Earnings shall not be applicable if the Obligor delivers to the Issuer and the Bond Trustee an Officer’s Certificate stating that available exemptions apply or applicable exceptions are satisfied under Section 148 of the Code and the Regulations thereunder.

(i) Notwithstanding any of the provisions of this Section, the Bond Trustee shall have no duty or responsibility with respect to the Rebate Fund except to follow the specific written instructions of the Obligor and in no event shall the Bond Trustee have any obligation to fund any amounts payable under this Section 3.16.

Section 3.17. Costs of Issuance Fund. There is hereby created and established with the Bond Trustee a trust fund designated as “Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project) Costs of Issuance Fund” (the “Costs of Issuance Fund”). The Bond Trustee shall disburse moneys in the Costs of Issuance Fund as provided in Article IV of the Agreement. Moneys in the Costs of Issuance Fund may be used only for payment of the Costs of Issuance incurred with respect to the Series 2018A Bonds only. Within six months of the date of issuance of the Series 2018A Bonds, any moneys remaining in the Costs of Issuance Fund shall be transferred to the Construction Fund, and thereafter no such moneys shall be used to pay Costs of Issuance. The Costs of Issuance Fund shall then be closed.

[End of Article III]

**ARTICLE IV
COVENANTS OF THE ISSUER**

Section 4.01. Performance of Covenants; Authority. The Issuer covenants that it will faithfully perform at all times any and all covenants, undertakings, stipulations and provisions contained in this Bond Indenture, in any and every Bond and in all proceedings of the Issuer pertaining hereto; provided, however, that except for the covenant of the Issuer set forth in Section 4.02 hereof relating to payment of the Bonds, the Issuer shall not be obligated to take any action or execute any instrument pursuant to any provision hereof until it shall have been requested to do so by the Obligor or by the Bond Trustee, or shall have received the instrument to be executed, such action or instrument shall not be adverse to the interests of the Issuer and at the option of the Issuer shall have received from the party requesting such execution assurance satisfactory to the Issuer that the Issuer shall be reimbursed for its reasonable expenses incurred or to be incurred in connection with taking such action or executing such instrument or such expenses shall be paid in behalf of the Issuer. The Issuer covenants that it is duly authorized under the laws of the Issuer, including particularly and without limitation the Act, to issue the Series 2018A Bonds, to execute this Bond Indenture, to pledge the revenues and receipts hereby pledged, and to assign its rights under and pursuant to the Agreement and the Series 2018A Note in the manner and to the extent herein set forth, that all action on its part, to the extent herein set forth, for the issuance of the Series 2018A Bonds and the execution and delivery of this Bond Indenture has been duly and effectively taken and will be duly taken as provided herein, and that the Series 2018A Bonds in the hands of the Owners thereof are and will be valid and enforceable limited obligations of the Issuer according to the import hereof, except as enforcement thereof and hereof may be limited by bankruptcy, insolvency, moratorium, reorganization and other similar laws affecting the rights of creditors and by the application of general principles of equity, if such remedies are pursued.

Section 4.02. Payments of Principal, Premium, If Any, and Interest. The Issuer will promptly pay or cause to be paid the principal of, premium, if any, and interest on all Bonds issued hereunder according to the terms hereof; provided that the principal, premium, if any, and interest payments on the Series 2018A Bonds are payable solely from revenues and other amounts derived from the Agreement, the Series 2018A Note and the Series 2018A Master Obligation, and from the other security pledged hereby, which revenues and security are hereby specifically pledged to the payment thereof in the manner and to the extent herein specified. Nothing in the Bonds or in this Bond Indenture shall be considered or construed as pledging any funds or assets of the Issuer other than those pledged hereby or requiring or obligating the Issuer to pay the Bonds from any source other than the pledged revenues and security as provided herein.

Section 4.03. Supplemental Bond Indentures; Recordation of Bond Indenture, Supplemental Indentures and Financing Statements. The Obligor will execute and deliver all Supplemental Bond Indentures and will cause this Bond Indenture, the Agreement and all supplements hereto and thereto, as well as all security instruments, financing statements and continuation statements relating thereto, as well as any necessary supplements thereto, to be filed in each office required by law in order to perfect and maintain the liens created by this Bond Indenture and the Agreement.

Section 4.04. Lien of Bond Indenture. The Issuer hereby agrees not to create any lien having priority or preference over the lien of this Bond Indenture upon the Trust Estate or any part thereof, other than the security interest granted by it to the Bond Trustee, except as otherwise specifically provided in Article VIII hereof. The Issuer agrees that no obligations the payment of which are secured by payments or other moneys or amounts derived from the Agreement and the other sources provided herein will be issued by it except in accordance with Sections 2.09 and 2.10 of this Bond Indenture.

Section 4.05. Rights under the Agreement. The Issuer will observe all of the obligations, terms and conditions required on its part to be observed or performed under the Agreement.

The Issuer agrees that the Bond Trustee as assignee of the Agreement may enforce, in its name or in the name of the Issuer, all rights of the Issuer (except for the Reserved Rights) and all obligations of the Obligor under and pursuant to the Agreement for and on behalf of the Bondholders, whether or not the Issuer is in default hereunder.

Section 4.06. Tax Covenants.

(a) The Issuer covenants and agrees that until the final maturity of the Tax Exempt Bonds, based upon the Obligor's covenants in Section 4.9 of the Agreement, it will not, to the extent within its control, knowingly take any action, use any money on deposit in any fund or account maintained in connection with the Tax Exempt Bonds, whether or not such money was derived from the proceeds of the sale of the Tax Exempt Bonds or from any other source, in a manner that would cause the Tax Exempt Bonds to be arbitrage bonds, within the meaning of Section 148 of the Code. In the event the Obligor determines that it is necessary to restrict or limit the yield on the investment of moneys held by the Bond Trustee pursuant to this Bond Indenture or to use such moneys in any certain manner to avoid the Tax Exempt Bonds being considered arbitrage bonds, the Obligor (and, if necessary, the Issuer at the written direction and expense of the Obligor) shall deliver to the Bond Trustee appropriate written instructions of the Issuer, in which event the Bond Trustee shall take such action as instructed to restrict or limit the yield on such investment or to use such moneys in accordance with such instructions.

(b) The Issuer shall not knowingly use any proceeds of Tax Exempt Bonds or any other funds of the Issuer, directly or indirectly, in any manner, and shall not knowingly take any other action or actions, that would result in any of the Tax Exempt Bonds being treated other than as an obligation described in Section 103(a) of the Code.

(c) The Issuer will not knowingly use any portion of the proceeds of the Tax Exempt Bonds, including any investment income earned on such proceeds, directly or indirectly, to make or finance loans to Persons who are not Exempt Persons. For purposes of the preceding sentence, a loan to an organization described in Section 501(c)(3) of the Code for use with respect to an unrelated trade or business, determined according to Section 513(a) of the Code, constitutes a loan to a Person who is not an Exempt Person.

(d) The Issuer will not knowingly take any action that would result in all or any portion of the Tax Exempt Bonds being treated as federally guaranteed within the meaning of Section 149(b)(2) of the Code.

(e) For purposes of this Section, the Issuer's compliance shall be based solely on acts or omissions by the Issuer, and no acts, omissions or directions of the Obligor, the Bond Trustee or any other Persons shall be attributable to the Issuer.

Section 4.07. Change in Law. To the extent that published rulings of the Internal Revenue Service or amendments to the Code or the Regulations modify the covenants of the Issuer that are set forth in this Bond Indenture or that are necessary for interest on any issue of Tax Exempt Bonds to be excludable from gross income for federal income tax purposes, the Issuer, upon receiving the written Opinion of Bond Counsel to such effect, will comply, at the expense of the Obligor, with such modifications and direct the Bond Trustee to take such action as may be required to comply with such modifications to the extent such compliance is not prohibited under applicable law.

[End of Article IV]

ARTICLE V REDEMPTION OF BONDS

Section 5.01. Optional Redemption of Series 2018A Bonds.

The Series 2018A Bonds maturing after July 1, 2023 are subject to optional redemption prior to maturity at the direction of the Obligor in whole or in part on the dates set forth below, at a redemption price set forth below, together with accrued interest to the date of redemption:

Redemption Date	Redemption Price (% of principal amount of the Series 2018A Bonds to be redeemed)*
July 1, 2023 to June 30, 2024	104
July 1, 2024 to June 30, 2025	103
July 1, 2025 to June 30, 2026	102
July 1, 2026 to June 30, 2027	101
July 1, 2027 and thereafter	100

Notwithstanding any provision hereof to the contrary, for so long as the Series 2018B Bond remains outstanding, the Series 2018A Bonds shall not be subject to redemption pursuant to this Section 5.01 unless the Obligor shall have delivered to the Trustee an Officer's Certificate to the effect that (i) the Obligor has complied with all applicable requirements of Section 2.2(b) of the Series 2018B Financing Agreement and (ii) the principal amount of Series 2018A Bonds to be redeemed pursuant to this Section 5.01 does not exceed the principal amount permitted by Section 2.2(b) of the Series 2018B Financing Agreement.

Section 5.02. Sinking Fund Redemption.

(a) The Series 2018A Bonds maturing on July 1, 2033 are subject to mandatory sinking fund redemption from amounts deposited to the Principal Account of the Bond Fund established pursuant to the Bond Indenture, at a redemption price equal to 100% of the principal amount to be redeemed, together with accrued interest to the date fixed for redemption, on July 1 in each of the years and amounts as follows:

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<u>Year</u>	<u>Amount</u>
2030	\$505,000
2031	530,000
2032	555,000
2033‡	585,000

‡ Maturity

(b) The Series 2018A Bonds maturing on July 1, 2039 are subject to mandatory sinking fund redemption from amounts deposited to the Principal Account of the Bond Fund established pursuant to the Bond Indenture, at a redemption price equal to 100% of the principal amount to be redeemed, together with accrued interest to the date fixed for redemption, on July 1 in each of the years and amounts as follows:

<u>Year</u>	<u>Amount</u>
2034	\$615,000
2035	645,000
2036	675,000
2037	710,000
2038	745,000
2039‡	785,000

‡ Maturity

(c) The Series 2018A Bonds maturing on July 1, 2048 are subject to mandatory sinking fund redemption from amounts deposited to the Principal Account of the Bond Fund established pursuant to the Bond Indenture, at a redemption price equal to 100% of the principal amount to be redeemed, together with accrued interest to the date fixed for redemption, on July 1 in each of the years and amounts as follows:

[remainder of page intentionally left blank]

<u>Year</u>	<u>Amount</u>
2040	\$825,000
2041	870,000
2042	915,000
2043	965,000
2044	1,015,000
2045	1,070,000
2046	1,125,000
2047	1,190,000
2048‡	2,650,000

‡ Maturity

(d) On or before the thirtieth day prior to each sinking fund payment date, the Bond Trustee shall proceed to select for redemption (by lot in such manner as the Bond Trustee may determine and subject to Applicable Procedures) from all Series 2018A Bonds Outstanding subject to mandatory sinking fund redemption in accordance with the foregoing, as the case may be, a principal amount of such Series 2018A Bonds equal to the Aggregate Principal Amount of such Series 2018A Bonds redeemable with the required sinking fund payment and shall call such Series 2018A Bonds or portions thereof (\$5,000 or any integral multiple thereof) for redemption from the sinking fund on the next July 1 and give notice of such redemption in accordance with the terms hereof. At the option of the Obligor to be exercised by delivery of an Officer's Certificate to the Bond Trustee on or before the forty-fifth day next preceding any sinking fund redemption date, it may (i) deliver to the Bond Trustee for cancellation Series 2018A Bonds or portions thereof subject to mandatory sinking fund redemption, as the case may be, in an Aggregate Principal Amount desired by the Obligor or (ii) specify a principal amount of Series 2018A Bonds or portions thereof subject to mandatory sinking fund redemption, as the case may be, which prior to said date have been redeemed (otherwise than through the operation of the sinking fund) and canceled by the Bond Trustee at the request of the Issuer and not theretofore applied as a credit against any sinking fund redemption obligation. Any such Series 2018A Bonds are required to be credited against the next succeeding or any other sinking fund redemption date designated in writing by the Obligor.

Section 5.03. Method of Selection of Series 2018A Bonds in Case of Partial Redemption.

(a) In the event that less than all of the Series 2018A Bonds are to be redeemed, the Obligor may select particular maturities of such series to be redeemed. If less than all Series 2018A Bonds or portions thereof of a single maturity are to be redeemed, they shall be selected by the Securities Depository in accordance with the Applicable Procedures (as defined in the

Master Indenture) or if the Series 2018A Bonds or portions thereof to be redeemed are not held by the Securities Depository in a book-entry system by lot or in such other manner as the Bond Trustee may determine.

(b) If a Series 2018A Bond is of a denomination larger than the minimum Authorized Denomination, a portion of such Series 2018A Bond may be redeemed, but Series 2018A Bonds shall be redeemed only in the principal amount of an Authorized Denomination and no Series 2018A Bond may be redeemed in part if the principal amount to be Outstanding following such partial redemption is not an Authorized Denomination.

Section 5.04. Notice of Redemption of Series 2018A Bonds. Series 2018A Bonds shall be called for redemption by the Bond Trustee as herein provided upon receipt by the Bond Trustee at least 45 days prior to the redemption date (or such shorter period as may be acceptable to the Bond Trustee) of an Officer's Certificate of the Obligor specifying the principal amount of Series 2018A Bonds to be called for redemption, the applicable redemption price or prices and the provision or provisions of this Bond Indenture pursuant to which such Series 2018A Bonds are to be called for redemption. The provisions of the preceding sentence shall not apply to the redemption of Series 2018A Bonds pursuant to the sinking fund redemption provided in Section 5.02 hereof, and such Series 2018A Bonds shall be called for redemption pursuant to Sections 5.02 by the Bond Trustee without the necessity of any action by the Obligor or the Issuer. In case of every redemption, the Bond Trustee shall cause notice of such redemption to be given by mailing by first class mail, postage prepaid, or sending electronically pursuant to the Applicable Procedures, a copy of the redemption notice to the owners of the Series 2018A Bonds designated for redemption in whole or in part, at their addresses as the same shall last appear upon the registration books, in each case not more than 60 nor less than 30 days prior to the redemption date. In addition, notice of redemption shall be sent by first class or registered mail, return receipt requested, or by overnight delivery service (a) contemporaneously with such mailing: (i) to any owner of \$1,000,000 or more in principal amount of Series 2018A Bonds and (ii) to the Municipal Securities Rulemaking Board's Electronic Municipal Marketplace Access website; and (b) to any securities depository registered as such pursuant to the Securities Exchange Act of 1934, as amended, that is an owner of Series 2018A Bonds to be redeemed so that such notice is received at least two days prior to such mailing date. An additional notice of redemption shall be given by certified mail, postage prepaid, mailed not less than 60 nor more than 90 days after the redemption date to any owner of Series 2018A Bonds selected for redemption that has not surrendered the Series 2018A Bonds called for redemption, at the address as the same shall last appear upon the registration books.

Notwithstanding the foregoing, if so stated in the Officer's Certificate of the Obligor, the notice of redemption for optional redemption pursuant to Section 5.01 hereof shall contain a statement to the effect that the redemption of the Series 2018A Bonds is conditioned upon the receipt by the Bond Trustee, prior to the date fixed for such redemption, of amounts equal to the redemption price of the Series 2018A Bonds to be redeemed. If any such condition will not be satisfied, the Obligor will provide notice to the Bond Trustee not less than two Business Days prior to the redemption date that such condition will not be satisfied, the notice of redemption shall be rescinded and the redemption subject to the satisfaction of such condition shall not occur. The Bond Trustee shall promptly send a copy of such notice to the Holders of the Bonds.

All notices of redemption shall state:

- (a) the redemption date,
- (b) the redemption price,
- (c) the identification, including complete designation (including series) and issue date of the Series 2018A Bonds and the CUSIP number, provided that no representation is made as to the correctness or accuracy of the CUSIP number, if any, listed in such notice or printed on the Bonds (and in the case of partial redemption if the Bonds are not held by DTC in a book-entry only system, the certificate number and the respective principal amounts, interest rates and maturity dates) of the Series 2018A Bonds to be redeemed,
- (d) that on the redemption date the redemption price will become due and payable upon such Series 2018A Bonds, and that except in case of default or the redemption is rescinded interest thereon shall cease to accrue from and after said date,
- (e) the name and address of the Bond Trustee and any paying agent for such Series 2018A Bonds, including the place where such Series 2018A Bonds are to be surrendered for payment of the redemption price and the name and phone number of a contact person at such address, and
- (f) whether the redemption is conditional;

provided, however, that failure to give any such notice, or any defect therein, shall not affect the validity of any proceedings for the redemption of such Series 2018A Bonds.

In connection with any optional or extraordinary mandatory redemption hereunder, the Bond Trustee, upon being provided with the Officer's Certificate with respect to such redemption, shall promptly deliver a copy of such Officer's Certificate to the Series 2018B Lender with respect to such redemption and shall cooperate with the Series 2018B Lender in order to avoid any disparate treatment of the Series 2018B Bond and the related Master Obligation under the Master Indenture.

Section 5.05. Bonds Due and Payable on Redemption Date; Interest Ceases to Accrue. On or before the Business Day prior to the redemption date specified in any notice of optional redemption, an amount of money sufficient to redeem all Series 2018A Bonds called for redemption at the appropriate redemption price, including accrued interest to the date fixed for redemption, shall be deposited with the Bond Trustee, unless the redemption is conditional and has been rescinded. On the redemption date, the principal amount of each Series 2018A Bond to be redeemed, together with the accrued interest thereon to such date and redemption premium, if any, shall become due and payable; and from and after such date, notice having been given and deposit having been made in accordance with the provisions of this Article V, then, notwithstanding that any Series 2018A Bonds called for redemption shall not have been surrendered, no further interest shall accrue on any such Series 2018A Bonds. From and after such date of redemption (such notice having been given and such deposit having been made), the

Series 2018A Bonds to be redeemed shall not be deemed to be Outstanding hereunder, and the Issuer shall be under no further liability in respect thereof.

Section 5.06. Cancellation. All Bonds which have been redeemed shall be cancelled by the Bond Trustee and treated as provided in Section 2.11 hereof.

Section 5.07. Partial Redemption of Fully Registered Bonds. Upon surrender of any fully registered Bond for redemption in part only, the Issuer shall execute and the Bond Trustee shall authenticate and deliver to the Owner thereof, or transfer by book entry, at the expense of the Obligor, a new Bond or Bonds of the same series and of the same maturity of Authorized Denominations in an Aggregate Principal Amount equal to the unredeemed portion of the Bond surrendered.

Section 5.08. Extraordinary Optional Redemption. The Bonds shall be subject to optional redemption by the Obligor prior to their scheduled maturities, in whole or in part, at a redemption price equal to the principal amount thereof plus accrued interest from the most recent Interest Payment Date to the redemption date on any date following the occurrence of any of the following events:

(a) in case of damage or destruction to, or condemnation of, any Property (as defined in the Deed of Trust), to the extent that the net proceeds of insurance or a condemnation award exceed the Threshold Amount and the Obligor has determined not to use such net proceeds or award to repair, rebuild or replace such Property; or

(b) as a result of any changes in the Constitution or laws of the State of Maryland, the Issuer or the United States of America or of any legislative, executive or administrative action (whether state or federal) or of any final decree, judgment or order of any court or administrative body (whether state or federal), the obligations of the Obligor under the Agreement have become, as established by an Opinion of Counsel, void or unenforceable in each case in any material respect in accordance with the intent and purpose of the parties as expressed in the Agreement.

In the event that the net proceeds of insurance or condemnation award are insufficient to repay in full all Outstanding Bonds, partial redemptions shall be made on a pro rata basis based upon the outstanding principal amounts thereof.

Section 5.09. Purchase in Lieu of Redemption. If any Bond is called for optional redemption in whole or in part, the Obligor may elect to purchase such Bond in lieu of redemption.

Purchase in lieu of redemption shall be available to all Bonds called for optional redemption or for such lesser portion of such Bonds as constitute Authorized Denominations. If the Obligor shall elect to purchase all or such lesser portion of the Bonds so called for redemption, it shall notify the Bond Trustee in writing, state either that all the Bonds called for redemption are to be purchased or, if less than all of the Bonds called for redemption are to be purchased, identify those Bonds to be purchased by maturity date, series and outstanding principal amount in Authorized Denominations, comply with Applicable Procedures and DTC

requirements and be received by the Bond Trustee no later than two Business Days prior to the scheduled redemption date thereof.

Any of the Bonds called for redemption that are not purchased in lieu of redemption shall be redeemed as otherwise required by the Bond Indenture on such redemption date.

On or prior to the close of business two Business Days prior to the scheduled redemption date, any notice of purchase given to the Bond Trustee shall, at the direction of the Obligor by written notice to the Bond Trustee, be withdrawn. Subject generally to this Bond Indenture, should a purchase be withdrawn or rescinded, the scheduled redemption of such Bonds shall occur.

Settlement of the purchase shall be made by the Bond Trustee for the account of the Obligor or its designee.

The purchase price of the Bonds shall be equal to the outstanding principal of, accrued and unpaid interest on and the redemption premium, if any, which would have been payable on such Bonds on the scheduled redemption date for such redemption. The Obligor shall provide written direction to the Bond Trustee to pay the purchase price of such Bonds. The Bond Trustee may use (a) such funds deposited by the Obligor with the Bond Trustee for such purpose and (b) funds, if any, held under the Bond Indenture that the Bond Trustee would have used to pay the outstanding principal of, accrued and unpaid interest on and the redemption premium, if any, that would have been payable on the redemption of such Bonds on the scheduled redemption date. The Bonds shall not be purchased pursuant to the above provisions if, by no later than two Business Days prior to the redemption date, sufficient moneys have not been deposited with the Bond Trustee, or such moneys are deposited but are not available.

No notice of the purchase in lieu of redemption shall be required to be given to the Bondholders (other than the notice of redemption otherwise required under the Bonds).

Section 5.10. Mandatory Redemption of Series 2018A Bonds upon Determination of Taxability. The Series 2018A Bonds are subject to mandatory redemption in whole at a redemption price equal to 105% of the principal amount of the Series 2018A Bonds to be redeemed plus accrued interest thereon to, but not including, the redemption date on any Business Day within forty-five (45) days after the occurrence of a Determination of Taxability; provided, however, if, in the Opinion of Bond Counsel, a mandatory redemption on account of a Determination of Taxability of less than all of the Series 2018A Bonds would result in the interest on the Series 2018A Bonds Outstanding following such mandatory redemption not being includable in the gross income of the holders of such Outstanding Series 2018A Bonds, then, unless otherwise specified in such Opinion, the Series 2018A Bonds are subject to mandatory redemption upon the occurrence of a Determination of Taxability in Authorized Denominations on a pro rata basis among all of the Series 2018A Bonds then Outstanding.

“Determination of Taxability” means: (a) the issuance of a statutory notice of deficiency by the Internal Revenue Service (the “IRS”) which in effect holds that an Event of Taxability (as defined below) has occurred; (b) the issuance of a proposed written adverse determination by the IRS to the Obligor or the Issuer, which in effect holds that an Event of Taxability has occurred;

provided that no Determination of Taxability will be deemed to occur if the Obligor or the Issuer has initiated an administrative appeal of such determination or has begun negotiating a closing agreement with the IRS, until the earliest of (i) abandonment of the appeals process by the Obligor, (ii) the date on which such appeals process has been concluded adversely to the Obligor or the Issuer and no further appeal is permitted or (iii) twelve (12) months after the receipt by the Obligor or the Issuer of the proposed adverse determination, unless otherwise approved by the Owners of at least a majority in aggregate principal amount of the Series 2018A Bonds then Outstanding; (c) the deposit by the Obligor with the Bond Trustee of a certificate to the effect that an Event of Taxability has occurred or will occur and setting forth the date of taxability (i.e. the date on which the interest on the Series 2018A Bonds is declared taxable for federal income tax purposes); the Obligor will be obligated to deliver promptly to the Bond Trustee such a certificate upon the occurrence of an Event of Taxability; (d) the rendering of a final and unappealable decision, judgment, decree or other order by any court of competent jurisdiction to the effect that an Event of Taxability has occurred; or (e) the delivery to the Bond Trustee of an unqualified opinion of Bond Counsel to the effect that an Event of Taxability has occurred or a written statement by Bond Counsel delivered to the Bond Trustee that Bond Counsel is unable to render an opinion to the effect that interest on the Series 2018A Bonds is excluded from gross income for purposes of federal income taxation.

“Event of Taxability” means any conditions or circumstances that cause the interest on any of the Series 2018A Bonds to become includable in the gross income of the Owners thereof for purposes of federal income tax.

Section 5.11. Mandatory Redemption upon Completion of the Project. The Series 2018A Bonds are subject to mandatory redemption, on a pro rata basis, in whole or in part on any date for which timely notice of redemption can be given by the Bond Trustee following delivery of an Officer’s Certificate of the Obligor establishing the Completion Date at a redemption price equal to the aggregate principal amount of the Series 2018A Bonds to be redeemed plus accrued interest to the redemption date, without premium, to the extent Surplus Construction Fund Moneys are transferred to the Principal Account of the Bond Fund.

[End of Article V]

ARTICLE VI INVESTMENTS

Section 6.01. Investment of Bond Fund, Debt Service Reserve Fund, Construction Fund and Costs of Issuance Fund Moneys. Any moneys held as part of the Bond Fund, Debt Service Reserve Fund, Construction Fund or Costs of Issuance Fund shall be invested or reinvested by the Bond Trustee at the written request and direction of the Obligor (upon which the Bond Trustee is entitled to rely) in Permitted Investments. All Permitted Investments shall be either subject to redemption at any time at a fixed value at the option of the owner thereof or shall mature or be marketable not later than the Business Day prior to the date on which the proceeds are expected to be expended. For the purpose of any investment or replacement under this Section, the Permitted Investments shall be deemed to mature at the earliest date on which the issuer of such investment is, on demand, obligated to pay a fixed sum in discharge of the whole of such obligation. The Bond Trustee may make any and all investments permitted by the provisions of this Section through its trust department or other investment operations. In order to comply with the directions of the Obligor, the Bond Trustee may sell, at the best price obtainable, or present for redemption, or may otherwise cause liquidation prior to their maturities, any of the obligations in which funds have been invested, and the Bond Trustee shall not be liable for any loss or penalty of any nature resulting therefrom. In order to avoid loss in the event of any need for funds, the Obligor may instruct the Bond Trustee, in lieu of a liquidation or redemption of investments in the fund or account needing funds, to exchange such investment for investments in another fund or account that may be liquidated at no, or at reduced, loss. The Bond Trustee shall be under no liability for interest on any moneys received hereunder.

Section 6.02. Allocation and Transfers of Investment Income. Any investments in any Fund shall be held by or under the control of the Bond Trustee and shall be deemed at all times a part of the Fund from which the investment was made. Any loss resulting from such investments shall be charged to such Fund. The Bond Trustee shall not be liable for any loss or penalty resulting from any such investment made in accordance with any direction by the Obligor or for the Bonds becoming “arbitrage bonds” by reason of any such investment. Any interest or other gain from any fund from any investment or reinvestment pursuant to Section 6.01 hereof shall be allocated and transferred as follows:

- (a) Any interest or other gain realized as a result of any investments or reinvestments of moneys in the Costs of Issuance Fund, the Project Account of the Construction Fund or the Funded Interest Account of the Construction Fund shall be credited to the Funded Interest Account.
- (b) Any interest or other gain realized as a result of any investments or reinvestments of moneys in the Principal Account and the Interest Account of the Bond Fund shall be credited at least semiannually on each Interest Payment Date to the Interest Account unless a deficiency exists in any Reserve Account of the applicable Debt Service Reserve Fund, in which case such interest or other gain shall be paid into such Reserve Account forthwith.
- (c) Any interest or other gain realized as a result of any investments or reinvestments of moneys in the Debt Service Reserve Fund shall be credited to the Debt Service Reserve Fund

if a deficiency exists therein at that time. If a deficiency does not exist in the Debt Service Reserve Fund at that time, such interest or other gain on other amounts paid into the Debt Service Reserve Fund shall be paid during the construction period for any Project for deposit into the Project Account of the Construction Fund created in connection with the issuance of Bonds for such Project or, if after the completion of such construction period, for deposit into the Interest Account of the Bond Fund at least semiannually on each Interest Payment Date.

The Bond Trustee shall sell and reduce to cash a sufficient portion of such investments whenever the cash balance in any Fund is insufficient for the purposes of such Fund.

Section 6.03. Valuation of Permitted Investments. Accounting and valuation of Permitted Investments in any Fund or Account will be performed as follows:

(a) On a monthly basis the Bond Trustee shall furnish or make available to the Obligor a full and complete statement of all receipts and disbursements and Permitted Investments in any Fund and Account covering such period.

(b) The Bond Trustee shall also furnish on or before January 1 and July 1 of each year a statement of the assets contained in each Fund and Account. Assets will be valued at market value as of December 31 and June 30, respectively, by the Bond Trustee in such statement in accordance with the normal valuation procedures of the Bond Trustee. A separate delivery of the information will not be required if the information is displayed in the information delivered pursuant to Section 6.03(a) above.

On a monthly basis the Bond Trustee shall furnish to the Obligor a full and complete statement of all receipts of the interest earned on Permitted Investments in any Fund and Account covering such period. A separate delivery of the information will not be required if the information is displayed in the information delivered pursuant to Section 6.03(a) above.

Section 6.04. Brokerage Confirmations. The Issuer acknowledges that to the extent regulations of the Comptroller of the Currency or other applicable regulatory entity grant the Issuer the right to receive individual confirmations of security transactions at no additional cost, as they occur, the Issuer specifically waives receipt of such confirmations to the extent permitted by law. The Bond Trustee will furnish the Issuer and the Obligor periodic cash transaction statements that include detail for all investment transactions made by the Bond Trustee hereunder. A separate delivery of the information will not be required if the information is displayed in the information delivered pursuant to Section 6.03(a) above.

[End of Article VI]

ARTICLE VII DISCHARGE OF BOND INDENTURE

Section 7.01. Discharge of the Bond Indenture. If, when the Bonds secured hereby shall become due and payable in accordance with their terms or otherwise as provided in this Bond Indenture and the whole amount of the principal of, premium, if any, and interest due and payable upon all of the Bonds shall be paid, or provision shall have been made for the payment of the same, together with all other sums payable hereunder (including but not limited to the fees and expenses of the Bond Trustee and any Paying Agent, in accordance with Section 3.13 hereof and any amounts due pursuant to the Agreement), then the right, title and interest of the Bond Trustee in and to the Trust Estate and all covenants, agreements and other obligations of the Issuer to the Bondholders shall thereupon cease, terminate and become void and be discharged and satisfied. In such event, upon the written request of the Issuer or of the Obligor, and upon receipt of an Opinion of Counsel to the effect that all conditions precedent herein provided relating to the satisfaction and discharge of this Bond Indenture have been complied with, the Bond Trustee shall execute such documents as may be reasonably required by the Issuer and shall turn over to the Obligor any surplus in the Bond Fund and the Construction Fund.

All Outstanding Bonds of any one or more series shall, prior to the maturity or redemption date thereof, be deemed to have been paid within the meaning and with the effect expressed in this Section if (a) in case said Bonds are to be redeemed on any date prior to their maturity, the Obligor shall have given to the Bond Trustee in form satisfactory to it irrevocable written instructions to give on a date in accordance with the provisions of Section 5.04 hereof notice of redemption of such Bonds on said redemption date, such notice to be given in accordance with the provisions of Section 5.04 hereof, (b) there shall have been deposited with the Bond Trustee (or another Paying Agent) either moneys in an amount which shall be sufficient, and/or Government Obligations which shall not contain provisions permitting the redemption thereof at the option of the issuer thereof, or any other Person other than the holder thereof, the principal of and the interest on which when due, and without any reinvestment thereof, will provide moneys which, together with the moneys, if any, deposited with or held by the Bond Trustee or any Paying Agent at the same time (including the Bond Fund and the Debt Service Reserve Fund), shall be sufficient, in the opinion of an independent certified public accountant, to pay when due the principal of, premium, if any, and interest due and to become due on said Bonds on or prior to the redemption date or maturity date thereof, as the case may be, and (c) in the event that said Bonds are not by their terms subject to redemption within the next 45 days, the Obligor shall have given the Bond Trustee in form satisfactory to it irrevocable written instructions to give, as soon as practicable in the same manner as the notice of redemption is given pursuant to Section 5.04 hereof, a notice to the Owners of such Bonds that the deposit required by clause (b) above has been made with the Bond Trustee (or another depository) and that said Bonds are deemed to have been paid in accordance with this Section and stating such maturity or redemption date upon which moneys are to be available for the payment of the principal of, premium, if any, and interest on said Bonds. Neither the Government Obligations nor moneys deposited with the Bond Trustee pursuant to this Section nor principal or interest payments on any such Government Obligations shall be withdrawn or used for any purpose other than, and shall be held in trust for, the payment of the principal of, premium, if any, and interest on said Bonds; provided any such cash received from such principal or interest payments on such Government Obligations deposited with the Bond Trustee,

if not then needed for such purpose, shall, at the written direction of the Obligor accompanied by an Opinion of Bond Counsel and a verification report showing the adequacy of such other funds to pay principal of, premium, if any, and interest on such Bonds, either (i) be reinvested, to the extent practicable, in Government Obligations of the type described in clause (b) of this paragraph maturing at the times and in amounts sufficient to pay when due the principal of, premium, if any, and interest to become due on said Bonds on or prior to such redemption date or maturity date thereof, as the case may be, or (ii) be used to pay principal and/or interest on the Bonds. At such time as any Bond shall be deemed paid as aforesaid, it shall no longer be secured by or entitled to the benefits of this Bond Indenture, except for the purpose of any payment from such moneys or Government Obligations deposited with the Bond Trustee and the purpose of transfer and exchange pursuant to Section 2.05 hereof.

The release of the obligations of the Issuer under this Section shall be without prejudice to the rights of the Bond Trustee to be paid reasonable compensation by the Obligor for all services rendered by it hereunder and all its reasonable and necessary expenses, charges and other disbursements incurred on or about the administration of the trust hereby created and the performance of its powers and duties hereunder.

[End of Article VII]

ARTICLE VIII DEFAULTS AND REMEDIES

Section 8.01. Events of Default. If any of the following events occur, it is hereby defined as and shall be deemed an "Event of Default":

- (a) Default in the payment of the principal of or premium, if any, on any Bond when the same shall become due and payable, whether at the stated maturity thereof, upon proceedings for redemption, as required by the sinking fund provisions hereof or otherwise.
- (b) Default in the payment of any installment of interest on any Bond when the same shall become due and payable.
- (c) Declaration under the Master Indenture that the principal of, and accrued interest on, any Master Obligation issued thereunder is immediately due and payable.
- (d) Failure by the Issuer in the performance or observance of any other of the covenants, agreements or conditions on its part in this Bond Indenture or in the Bonds contained, which failure shall continue for a period of 60 days after written notice specifying such failure and requesting that it be remedied is given to the Issuer and the Obligor by the Bond Trustee or to the Issuer, the Obligor and the Bond Trustee by the Holders of not less than 25% in Aggregate Principal Amount of the Bonds Outstanding.
- (e) The occurrence and continuation of an Event of Default (as defined in the Agreement) under the Agreement.

Section 8.02. Remedies on Events of Default. Upon the occurrence of an Event of Default, (i) if so directed by the Holders of at least 25% in Aggregate Principal Amount of Bonds then Outstanding, the Bond Trustee shall notify the Master Trustee (A) pursuant to Section 7.01(c) of the Master Indenture, that an Event of Default has occurred under this Bond Indenture, and/or (B) if applicable, pursuant to Section 7.01(a) of the Master Indenture, that a default has occurred in the payment of the principal of, premium, if any, or interest on the Series 2018A Master Obligation, and (ii) the Bond Trustee also shall have the following rights and remedies:

- (a) In the event that the payment of the principal of and accrued interest on any Master Obligation has been declared due and payable immediately by the Master Trustee, the principal amount of all Bonds then Outstanding and the interest accrued thereon shall be immediately due and payable and said principal and interest shall thereupon become immediately due and payable. If any other Event of Default occurs and is continuing, the Bond Trustee or the Holders of at least 25% in Aggregate Principal Amount of Bonds then Outstanding may declare all the Bonds of such series to be due and payable immediately by a notice in writing to the Issuer and the Obligor (and to the Bond Trustee if given by Holders). Upon any declaration of acceleration hereunder, the Bonds shall become due and payable immediately.

The provisions of the preceding paragraph, however, are subject to the condition that if, after the payment of the principal of, and accrued interest on, the Master Obligations and the Bonds have been declared due and payable immediately, the declaration of the acceleration of the Master Obligations shall be annulled in accordance with the provisions of the Master

Indenture, then the declaration of the acceleration of the Bonds shall be automatically annulled, provided that the expenses of the Bond Trustee, the Issuer and the Holders of such Bonds, including attorneys' fees actually paid or incurred, have been paid or otherwise provided for; and the Bond Trustee upon receipt of notice of such annulments shall promptly give a copy of such notice to the Issuer and the Obligor and notice to Bondholders; but no such annulment shall extend to or affect any subsequent Event of Default or impair any right or remedy consequent thereon.

(b) The Bond Trustee may, by mandamus or other suit, action or proceeding at law or in equity, enforce the rights of the Bondholders and require the Issuer or the Obligor or both of them to carry out the agreements with or for the benefit of the Bondholders and to perform its or their duties under the Act, the Agreement and this Bond Indenture.

(c) The Bond Trustee may, by action or suit in equity, require the Issuer to account as if it were the trustee of an express trust for the Bondholders but any such judgment against the Issuer shall be enforceable only against the funds and accounts hereunder on deposit with the Bond Trustee.

(d) The Bond Trustee may, by action or suit in equity, enjoin any acts or things which may be unlawful or in violation of the rights of the Bondholders.

(e) The Bond Trustee may, upon the filing of a suit or other commencement of judicial proceedings to enforce the rights of the Bond Trustee and the Bondholders, have appointed a receiver or receivers of the Trust Estate upon a showing of good cause with such powers as the court making such appointment may confer.

(f) Upon the occurrence of an Event of Default, the Bond Trustee, in its own name and as trustee of an express trust, or in the name of the Issuer without the necessity of joining the Issuer, will be entitled to institute any action or proceedings at law or in equity and may prosecute any such action or proceedings to judgment or final decree and may enforce any such judgment or final decree against any obligor thereon and collect in the manner provided by law, but limited as provided in the Series 2018 Bond Documents, out of the property of any obligor thereon wherever situated the moneys adjudged or decreed to be payable for the benefit of the Bondholders, or on behalf of the Issuer.

No right or remedy is intended to be exclusive of any other right or remedy, but each and every such right or remedy shall be cumulative and in addition to any other remedy given hereunder or now or hereafter existing at law or in equity or by statute.

Subject to the provisions of subsection (a) above and Section 8.03 hereof, if any Event of Default shall have occurred and if requested by the Holders of at least 25% in Aggregate Principal Amount of Bonds then Outstanding and indemnified as provided in Section 9.01(n) hereof, the Bond Trustee shall be obligated to exercise such one or more of the rights and powers conferred by this Section as it, being advised by counsel, shall deem most expedient in the interests of such Bondholders. In the event the Bond Trustee shall receive inconsistent or conflicting requests and indemnity from two or more groups of Holders of Outstanding Bonds,

each representing less than a majority of the aggregate principal amount of the Outstanding Bonds, the Bond Trustee, in its sole discretion, may determine what action, if any, shall be taken.

Section 8.03. Majority of Bondholders May Control Proceedings. Anything in this Bond Indenture to the contrary notwithstanding, the Owners of at least a majority in Aggregate Principal Amount of the Bonds then Outstanding other than subordinate Bonds shall have the right, at any time, to the extent permitted by law, by an instrument or instruments in writing executed and delivered to the Bond Trustee, to direct the time, method and place of conducting all proceedings to be taken in connection with the enforcement of the terms and conditions of this Bond Indenture or for the appointment of a receiver and any other proceedings hereunder; provided that such direction shall not be otherwise than in accordance with applicable law and the provisions hereof and shall not be unduly prejudicial to the rights of those Owners not joining in such direction (it being understood that the Bond Trustee does not have an affirmative duty to ascertain whether or not any such directions are unduly prejudicial to such Owners). The Bond Trustee may take any other action deemed proper by the Bond Trustee which is not inconsistent with such direction. The Bond Trustee shall not be required to act on any direction given to it pursuant to this Section until indemnity as set forth in Section 9.01(n) hereof is provided to it by such Bondholders.

Section 8.04. Rights and Remedies of Bondholders. No owner of any Bond shall have any right to institute any suit, action or proceeding in equity or at law for the enforcement of this Bond Indenture or for the execution of any trust hereof or for the appointment of a receiver or any other applicable remedy hereunder, unless a default has occurred of which the Bond Trustee has been notified as provided in Section 9.01 hereof, or of which by said Section it is deemed to have notice, nor unless such default shall have become an Event of Default and the owners of at least a majority in Aggregate Principal Amount of Bonds then Outstanding that are Bonds shall have made written request to the Bond Trustee and shall have offered reasonable opportunity either to proceed to exercise the powers hereinbefore granted or to institute such action, suit or proceeding in their own names, nor unless they have also offered to the Bond Trustee indemnity as provided in Section 9.01(n) hereof, nor unless the Bond Trustee shall thereafter fail or refuse to exercise the powers hereinbefore granted or to institute such action, suit or proceeding in its own name for a period of 60 days; and such notification, request and offer of indemnity are hereby declared in every case at the option of the Bond Trustee to be conditions precedent to the execution of the powers and trusts of this Bond Indenture and to any action or cause of action for the enforcement of this Bond Indenture or for the appointment of a receiver or for any other remedy hereunder; it being understood and intended that no one or more owners of the Bonds shall have the right in any manner whatsoever to affect, disturb or prejudice the lien of this Bond Indenture by his, her, its or their action or to enforce any right hereunder except in the manner herein provided and that all proceedings at law or in equity shall be instituted, had and maintained in the manner herein provided and for the equal benefit of the owners of all Bonds then Outstanding. Nothing in this Bond Indenture contained shall, however, affect or impair the right of any Owner of Bonds to enforce the payment of the principal of, premium, if any, or interest on any Bond at and after the maturity thereof or the obligation of the Issuer to pay the principal of, premium, if any, and interest on each of the Bonds to the respective Owners of the Bonds at the time and place, from the source and in the manner herein and in the Bonds expressed.

Section 8.05. Application of Moneys.

(a) Subject to the provisions of subparagraph (c) below, upon an Event of Default and if moneys held by the Bond Trustee are insufficient to pay the principal of, premium, if any, and interest on the Bonds, all moneys or properties received and held by the Bond Trustee pursuant to this Bond Indenture (except for the Rebate Fund) and all moneys or properties received by the Bond Trustee pursuant to any right given or action taken under the provisions of this Article shall, after payment of the costs and expenses of the proceedings resulting in the collection of such moneys and the reasonable expenses, liabilities and advances incurred or made by the Bond Trustee, be deposited into the Bond Fund, and all moneys so deposited into the Bond Fund and all moneys held in or deposited into the Bond Fund during the continuance of an Event of Default and available for payment of the Bonds under the provisions of Section 3.04 hereof shall (after payment of all amounts due the Bond Trustee and the Issuer) be applied as follows:

(i) Unless the principal of all of the Bonds shall have become or shall have been declared due and payable, all such moneys shall be applied:

First: To the payment to the Persons entitled thereto of all installments of interest then due on the Bonds in the order of the maturity of the installments of such interest and, if the amount available shall not be sufficient to pay in full any particular installment, then to the payment ratably, according to the amounts due on such installment, to the Persons entitled thereto, without any discrimination or privilege; and

Second: To the payment to the Persons entitled thereto of the unpaid principal of any of the Bonds which shall have become due (other than Bonds called for redemption for the payment of which moneys are held pursuant to the provisions of this Bond Indenture), in the order of their due dates, with interest on such Bonds from the respective dates upon which they become due at the rate of interest borne by such Bonds and, if the amount available shall not be sufficient to pay in full Bonds due on any particular date, together with such interest, then to the payment ratably, according to the amount of principal due on such date, to the persons entitled thereto, without any discrimination or privilege.

(ii) If the principal of all the Bonds shall have become due or shall have been declared due and payable, all such moneys shall be applied to the payment of the principal and interest then due and unpaid upon all of the Bonds (together with interest on overdue installments of principal at the rate of interest borne by each Bond), without preference or priority of principal over interest, of interest over principal, of any installment of interest over any other installment of interest, of any Bond over any other Bond, or of any series of Bonds over any other series of Bonds ratably, according to the amounts due respectively for principal and interest, to the Persons entitled thereto, without any discrimination or privilege.

(iii) If the principal of all the Bonds shall have been declared due and payable, and if such declaration shall thereafter have been rescinded and annulled under the provisions of this Article then, subject to the provisions of paragraph (ii) of this Section

in the event that the principal of all the Bonds shall later become due or be declared due and payable, the moneys shall be applied in accordance with the provisions of the foregoing paragraph (i) of this Section.

(b) Whenever moneys are to be applied pursuant to the provisions of this Section, such moneys shall be applied at such times, and from time to time, as the Bond Trustee shall determine, having due regard to the amount of such moneys available for application and the likelihood of additional moneys becoming available for such application in the future. Whenever the Bond Trustee shall apply such moneys, it shall fix the date (which shall be an Interest Payment Date unless it shall deem another date more suitable) upon which such application is to be made and upon such date interest on the amounts of principal to be paid on such date shall cease to accrue. The Bond Trustee shall give such notice as it may deem appropriate of the deposit of any such moneys and of the fixing of any such date and shall not be required to make payment to the Owner of any unpaid Bond until such unpaid Bond shall be presented to the Bond Trustee for appropriate endorsement or for cancellation if fully paid.

(c) Notwithstanding the foregoing, any moneys transferred into any Account of the Bond Fund from any Reserve Account of the Debt Service Reserve Fund shall be (i) held by the Bond Trustee separate and apart from any other moneys in such Account of the Bond Fund and (ii) applied solely first to all amounts due to the Bond Trustee arising from the Event of Default and then to payment of principal of and interest on the series of Bonds related to such Reserve Account.

(d) Whenever all of the Bonds and interest thereon have been paid under the provisions of this Section and all expenses and fees of the Bond Trustee and the Paying Agents and all Administration Expenses have been paid, any balance remaining in any funds shall be paid to the Obligor as provided in Section 3.15 hereof.

Section 8.06. Bond Trustee May Enforce Rights Without Bonds. All rights of action and claims under this Bond Indenture or any of the Bonds Outstanding hereunder may be enforced by the Bond Trustee without the possession of any of the Bonds or the production thereof in any trial or proceedings relative thereto; and any suit or proceeding instituted by the Bond Trustee shall be brought in its name as Bond Trustee, without the necessity of joining as plaintiffs or defendants any owners of the Bonds, and any recovery of judgment shall be for the ratable benefit of the owners of the Bonds, subject to the provisions of this Bond Indenture.

Section 8.07. Bond Trustee to File Proofs of Claim in Receivership, Etc. In the case of any receivership, insolvency, bankruptcy, reorganization, arrangement, adjustment, composition or other judicial proceedings affecting the Obligor, the Bond Trustee shall, to the extent permitted by law, be entitled to file such proofs of claims and other documents as may be necessary or advisable in order to have claims of the Bond Trustee and of the Bondholders allowed in such proceedings for the entire amount due and payable by the Issuer under the Bond Indenture or by the Obligor at the date of the institution of such proceedings and for any additional amounts which may become due and payable by it after such date, without prejudice, however, to the right of any Bondholder to file a claim in his, her or its own behalf. To the extent that the payment of any such compensation, expenses, disbursements and advances of the Bond Trustee, its agents and counsel, and any other amounts due the Bond Trustee hereunder or

under the Agreement out of the estate in any such proceeding shall be unpaid for any reason, payment of the same shall be secured by a lien on, and shall be paid out of, any and all distributions, dividends, money, securities and other properties that the Holders may be entitled to receive in such proceeding whether in liquidation or under any plan of reorganization or arrangement or otherwise.

No provision of this Bond Indenture empowers the Bond Trustee to authorize, consent to, accept or adopt on behalf of any Bondholder any plan of reorganization, arrangement, adjustment or composition affecting any of the rights of any Bondholders or authorizes the Bond Trustee to vote in respect of the claim in any proceeding described in this Section. The Bond Trustee may, on behalf of the Holders, vote for the election of a trustee in bankruptcy or similar official and be a member of a creditors' committee or other similar committee.

In the event the Bond Trustee incurs expenses or renders services in any proceedings affecting the Obligor and described in this Section, the expenses so incurred and compensation for services so rendered are intended to constitute expenses of administration under the United States Bankruptcy Code or equivalent law.

Section 8.08. Delay or Omission No Waiver. No delay or omission of the Bond Trustee or of any Bondholder to exercise any right or power accruing upon any default or Event of Default shall exhaust or impair any such right or power or shall be construed to be a waiver of any such default or Event of Default or acquiescence therein; and every power and remedy given by this Bond Indenture may be exercised from time to time and as often as may be deemed expedient.

Section 8.09. Discontinuance of Proceedings on Default, Position of Parties Restored. In case the Bond Trustee shall have proceeded to enforce any right under this Bond Indenture and such proceedings shall have been discontinued or abandoned for any reason or shall have been determined adversely to the Bond Trustee, then and in every such case the Issuer and the Bond Trustee shall be restored to their former positions and rights hereunder with respect to the Trust Estate, and all rights, remedies and powers of the Bond Trustee shall continue as if no such proceedings had been taken.

Section 8.10. Enforcement of Rights. The Bond Trustee, as pledgee and assignee for security purposes of all the right, title and interest of the Issuer in and to the Agreement (except the Reserved Rights) and the Series 2018A Note, shall, upon compliance with applicable requirements of law and except as otherwise set forth in this Article VIII, be the sole real party in interest in respect of, and shall have standing, exclusive of owners of Bonds, to enforce each and every right granted to the Issuer under the Agreement and under the Master Obligations. The Issuer may take any action available at law or in equity to enforce the Reserved Rights. The Issuer and the Bond Trustee hereby agree, without in any way limiting the effect and scope thereof, that the pledge and assignment hereunder to the Bond Trustee of any and all rights of the Issuer in and to the Series 2018A Note and the Agreement shall constitute an agency appointment coupled with an interest on the part of the Bond Trustee which, for all purposes of this Bond Indenture, shall be irrevocable and shall survive and continue in full force and effect notwithstanding the bankruptcy or insolvency of the Issuer or its default hereunder or on the Bonds.

Section 8.11. Undertaking for Costs. All parties to this Bond Indenture agree, and each Holder of any Bond by his acceptance thereof shall be deemed to have agreed, that any court may in its discretion require, in any suit for the enforcement of any right or remedy under this Bond Indenture, or in any suit against the Bond Trustee for any action taken or omitted by it as Bond Trustee, the filing by any party litigant in such suit of an undertaking to pay the costs of such suit, and that such court may in its discretion assess reasonable costs, including reasonable attorneys' fees, against any party litigant in such suit, having due regard to the merits and good faith of the claims or defenses made by such party litigant; but the provisions of this Section shall not apply to any suit instituted by the Bond Trustee, to any suit instituted by any Bondholder, or group of Bondholders, holding in aggregate more than 10% in principal amount of the Outstanding Bonds, or to any suit instituted by a Bondholder for the enforcement of the payment of the principal of (or premium, if any) or interest on any Bond on or after the respective maturities thereof expressed in such Bond (or, in the case of redemption, on or after the redemption date).

Section 8.12. Waiver of Events of Default. The Owners of a majority in aggregate principal amount of the Bonds then Outstanding that are Bonds by written notice to the Bond Trustee may waive any Event of Default hereunder and its consequences; provided, however, that no Event of Default described in subparagraph (a) of Section 8.01 hereof may be waived without the written consent of the registered owners of all Bonds then Outstanding that are Bonds; and provided, further, that notwithstanding anything to the contrary in this Bond Indenture, the Issuer shall have the sole ability to waive any Event of Default in connection with the Reserved Rights.

[End of Article VIII]

**ARTICLE IX
CONCERNING THE BOND TRUSTEE AND PAYING AGENTS**

Section 9.01. Duties of the Bond Trustee. The Bond Trustee hereby accepts the trust imposed upon it by this Bond Indenture and agrees to perform said trusts, but only upon and subject to the following express terms and conditions, and no implied covenants or obligations shall be read into this Bond Indenture against the Bond Trustee:

(a) The Bond Trustee, prior to the occurrence of an Event of Default and after the curing of all Events of Default which may have occurred, undertakes to perform such duties and only such duties as are specifically set forth in this Bond Indenture and no others, and no implied covenants or obligations shall be read into this Bond Indenture against the Bond Trustee. In the absence of bad faith on its part, the Bond Trustee may conclusively rely, as to the truth of the statements and the correctness of the opinions expressed therein, upon certificates or opinions furnished to the Bond Trustee and conforming to the requirements of this Bond Indenture. However, the Bond Trustee shall examine the certificates and opinions to determine whether or not they conform to the requirements of this Bond Indenture (but need not confirm or investigate the accuracy of any mathematical calculations or other facts stated therein). Whether or not therein expressly so provided, every provision of this Bond Indenture that in any way relates to the Bond Trustee is subject to paragraphs (a), (b) and (h) of this Section 9.01.

(b) In case an Event of Default has occurred (which has not been cured or waived), the Bond Trustee shall exercise such of the rights and powers vested in it by this Bond Indenture and use the same degree of care and skill in their exercise as a prudent person would exercise or use under the circumstances in the conduct of his or her own affairs.

(c) The Bond Trustee may execute any of the trusts or powers hereof and perform any of its duties hereunder, either directly or by or through attorneys, agents, receivers, other professionals or employees, and the Bond Trustee shall not be responsible for any misconduct or negligence on the part of any receiver, agent or attorney appointed with due care by it hereunder, shall be entitled to act upon an Opinion of Counsel concerning all matters of trust hereof and the duties hereunder, and may in all cases pay such reasonable compensation to all such attorneys, agents, receivers, other professionals and employees as may reasonably be employed in connection with the trust hereof. The Bond Trustee may rely or act upon an Opinion of Counsel, an Opinion of Bond Counsel or the advice of other professionals and shall not be responsible for any loss or damage resulting from any action or nonaction taken by or omitted to be taken in good faith in reliance upon such Opinion of Counsel or the advice of other professionals.

(d) The Bond Trustee shall not be responsible for any recital herein or in the Bonds (except in respect to the certificate of authentication by the Bond Trustee endorsed on the Bonds). Notwithstanding the effective date of any Series 2018 Bond Document, the Bond Trustee shall have no liability or responsibility for any act or event relating to the Series 2018 Bond Documents which occurs prior to the date the Bond Trustee formally executes this Bond Indenture or any other Series 2018 Bond Document and commences acting as Bond Trustee hereunder or thereunder. The Bond Trustee shall not be responsible for and makes no representation as to the tax exempt status of any Bond.

(e) The Bond Trustee shall not be accountable for the use of any Bonds authenticated or delivered hereunder or the proceeds thereof or for any moneys disbursed by the Bond Trustee in accordance with this Bond Indenture or any other Series 2018 Bond Document. The Bond Trustee makes no representations as to the validity or sufficiency of this Bond Indenture, the Bonds, any other Series 2018 Bond Document, the Trust Estate or the Project. The Bond Trustee is not a party to, is not responsible for and makes no representations with respect to matters set forth in any official statement or similar document prepared and distributed in connection with the sale of the Bonds. The Bond Trustee may become the owner of the Bonds and may have relationships with the Obligor and the Obligated Group Members with the same rights which it would have if not Bond Trustee. The Bond Trustee shall not be responsible for and makes no representation as to the Issuer's or the Obligor's right, title or ownership in any of the Trust Estate and shall have no obligation for any defects therein or to inquire or investigate the same in any manner. The Bond Trustee shall not be responsible for and makes no representation as to the existence or sufficiency of the Trust Estate, the creation, perfection, priority, sufficiency or protection of any liens securing the Bonds and this Bond Indenture, or for any failure to demand, collect, foreclose or realize upon or otherwise enforce any lien or Series 2018 Bond Document. The Bond Trustee shall not be responsible for and makes no representation as to the compliance by the Issuer or the Obligor with any covenant or statutory or regulatory requirement related to the Trust Estate. The Bond Trustee makes no representation as to, and shall not be responsible for, the recording or re-recording, filing or re-filing, or filing or re-filing any financing or continuation statements or recording any documents or instruments in any public office at any time or times or otherwise perfecting or maintaining the perfection of any Lien or security interest in the Trust Estate except as expressly provided in Section 9.06. The Bond Trustee shall not be liable or responsible for the failure of the Issuer or the Obligor to maintain insurance on the Trust Estate as provided in any Series 2018 Bond Document, nor shall it be responsible for any loss due to the insufficiency of such insurance or by reason of the failure of any insurer to pay the full amount of any loss against which it may have insured to the Issuer, the Obligor, the Bond Trustee or any other Person. The Bond Trustee shall have no duty hereunder with respect to any complaint, claim, demand, notice or other document it may receive or which may be alleged to have been delivered to or served upon it by third parties as a consequence of the filing or recordation of any portion of the Trust Estate; provided, however, that the Bond Trustee shall use commercially reasonable efforts to deliver to the Issuer and the Obligor a copy of any such complaint, claim, demand, notice or other document which is delivered to the Corporate Trust Office and contains sufficient information to enable the Bond Trustee to identify such complaint, claim, demand, notice or other document as pertaining to the Series 2018 Bond Documents.

(f) The Bond Trustee shall be protected in acting upon any notice, request, consent, certificate, order, affidavit, letter, telegram, teletype, transmission or other paper or document (whether in original or facsimile form) reasonably believed to be genuine and correct and to have been signed or sent by the proper person or persons. Any request or direction of the Issuer or the Obligor mentioned herein shall be sufficiently evidenced by an Officer's Certificate, written request, order or consent signed in the name of the Issuer or the Obligor, by the Issuer Representative or the Obligated Group Representative, as the case may be. Any action taken by the Bond Trustee pursuant to this Bond Indenture upon the request or authority or consent of any person who at the time of making such request or giving such authority or consent is the Owner of any Bonds shall be conclusive and binding upon all future owners of the same Bond and upon Bonds issued in place thereof.

(g) As to the existence or nonexistence of any fact or matter or as to the sufficiency or validity of any instrument, paper or proceeding, the Bond Trustee shall be entitled to rely and shall be protected in acting or refraining to act upon an Officer's Certificate or other certificate signed on behalf of the Issuer or the Obligor by the Issuer Representative or the Obligated Group Representative or such other person as may be designated for such purpose by Certified Resolution as sufficient evidence of the facts therein contained, and prior to the occurrence of a default of which the Bond Trustee has been notified as provided in subsection (i) of this Section, or of which by said subsection it is deemed to have notice, shall also be at liberty to accept a similar certificate to the effect that any particular dealing, transaction or action is necessary or expedient, but may at its discretion secure such further evidence deemed necessary or advisable, but shall in no case be bound to secure the same.

(h) The permissive right of the Bond Trustee to do things enumerated in this Bond Indenture shall not be construed as a duty, and the Bond Trustee shall not be answerable for other than its own negligence or willful misconduct, except that:

(i) this paragraph does not limit the effect of paragraph (a) of this Section 9.01;

(ii) the Bond Trustee shall not be liable for any error of judgment made in good faith by a Responsible Officer, unless it shall be proved that the Bond Trustee was negligent in ascertaining the pertinent facts;

(iii) the Bond Trustee shall not be liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the Bondholders pursuant to Section 8.02 hereof or the direction of at least a majority in Aggregate Principal Amount of the Outstanding Bonds relating to the time, method and place of conducting any proceeding for any remedy available to the Bond Trustee, or exercising any trust or power conferred upon the Bond Trustee, under this Bond Indenture; and

(iv) the Bond Trustee shall not be liable if the Bond Trustee reasonably relies in good faith upon an Officer's Certificate delivered pursuant to this Bond Indenture or an Opinion of Counsel, an Opinion of Bond Counsel or the advice of its counsel.

(i) The Bond Trustee shall not be required to take notice or be deemed to have notice of any default or Event of Default hereunder except failure by the Issuer to cause to be made any of the payments to the Bond Trustee required to be made by Article III hereof unless the Bond Trustee shall be specifically notified in writing of such default or Event of Default by the Issuer, the Obligor or the Owners of at least a majority in Aggregate Principal Amount of Bonds then Outstanding; all notices or other instruments required by this Bond Indenture to be delivered to the Bond Trustee must, in order to be effective, be delivered to a Responsible Officer at the designated corporate trust office of the Bond Trustee, and in the absence of such notice so delivered, the Bond Trustee may conclusively assume there is no default or Event of Default except as aforesaid.

(j) All moneys received by the Bond Trustee shall, until used or applied or invested as herein provided, be held in trust in the manner and for the purposes for which they were received, but need not be segregated from other funds except to the extent required by or law.

(k) At any and all reasonable times, the Bond Trustee and its duly authorized agents, attorneys, experts, engineers, accountants and representatives shall have the right, but shall not be required, to inspect any Project, including all books, papers and records of the Issuer and the Obligor pertaining to any Project and the Bonds.

(l) The Bond Trustee shall not be required to give any bond or surety in respect of the execution of the said trusts and powers or otherwise in respect of the premises, and no provision of this Bond Indenture shall require the Bond Trustee to expend or risk its own funds or otherwise incur any financial liability in the performance of any of its duties hereunder, or in the exercise of any of its rights or powers, if it shall have grounds for believing that repayment of such funds or indemnity satisfactory against such risk or liability is not assured to it.

(m) Notwithstanding anything in this Bond Indenture contained, the Bond Trustee shall have the right, but shall not be required, to demand in respect of the authentication of any Bonds, the withdrawal of any cash or any action whatsoever within the purview of this Bond Indenture, any showings, certificates, opinion, appraisals or other information or corporate action or evidence thereof, in addition to that by the terms hereof required, as a condition of such action by the Bond Trustee deemed desirable for the purpose of establishing the right of the Issuer to the authentication of any Bonds, the withdrawal of any cash, or the taking of any other action by the Bond Trustee.

(n) Before taking any action under this Section or Article VIII hereof, the Bond Trustee may require that security or indemnity satisfactory to it be furnished to it for the reimbursement of its fees, costs, liabilities and all expenses (including attorneys' fees) which it may incur and to protect it against all liability, except liability which may result from its negligence or willful misconduct, by reason of any action so taken. The Bond Trustee shall have no duty to advance its own funds for any reason or to take any action for which it has not been adequately indemnified or which might be contrary to applicable law. The Bond Trustee shall be under no obligation to exercise any of the rights or powers vested in it by this Bond Indenture at the request or direction of any of the Bondholders pursuant to the provisions of the Series 2018 Bond Documents, unless such Holders shall have provided to the Bond Trustee security or indemnity satisfactory to it against the costs, expenses and liabilities which might be incurred by it in connection with such request or direction.

(o) Except as provided in Section 9.01(a) above, it shall not be the duty of the Bond Trustee, except as expressly provided herein, to see that any duties or obligations imposed herein or in the Agreement or any other Series 2018 Bond Document upon the Issuer, the Obligor or other Persons are performed. The Bond Trustee shall not be liable or responsible because of the failure of the Issuer, the Obligor or other Persons to perform any act required of them pursuant to the terms of this Bond Indenture or any other Series 2018 Bond Document.

(p) In acting or omitting to act pursuant to the provisions of the Agreement, the Disbursement Agreement or any other related agreement, the Bond Trustee shall be entitled to and be protected by the rights and immunities accorded to it by the terms of this Bond Indenture.

(q) In the event the Bond Trustee receives inconsistent or conflicting requests and indemnity from two or more groups of holders of Bonds, each representing less than a majority in aggregate principal amount of the Bonds Outstanding, the Bond Trustee, in its sole discretion, may determine what action, if any, shall be taken.

(r) The Bond Trustee's immunities and protections from liability in connection with the performance of its duties under this Bond Indenture shall extend to the Bond Trustee's officers, directors, agents and employees. Such immunities and protections, together with the Bond Trustee's right to compensation, reimbursement and indemnity, shall survive the Bond Trustee's resignation or removal and final payment of the Bonds.

(s) In no event shall the Bond Trustee be responsible or liable for any special, indirect, punitive or consequential loss or damage of any kind whatsoever (including, but not limited to, loss of profit), irrespective of whether the Bond Trustee has been advised of the likelihood of such loss or damage and regardless of the form of action.

(t) The Bond Trustee shall not be responsible or liable for any failure or delay in the performance of its obligations under this Bond Indenture arising out of or caused, directly or indirectly, by circumstances beyond its reasonable control, including, without limitation, acts of God, earthquakes, fire, flood, hurricanes or other storms, wars, terrorism, similar military disturbances, sabotage, epidemic, pandemic, riots, interruptions, loss or malfunctions of utilities, computer (hardware or software) or communications services, accidents, labor disputes or acts of civil or military authority or governmental action, it being understood that the Bond Trustee shall use commercially reasonable efforts which are consistent with accepted practices in the banking industry to resume performance as soon as reasonably practicable under the circumstances.

(u) The Bond Trustee shall not be liable for any action it takes or omits to take in good faith that it believes to be authorized or within the rights or powers conferred upon it by this Bond Indenture.

(v) The Bond Trustee may request that the Issuer and the Obligor deliver an Officer's Certificate setting forth the names of individuals and/or titles of officers authorized at such time to furnish the Bond Trustee with Officer's Certificates, Requests, directions, notices and any other matters or directions pursuant to the Series 2018 Bond Documents.

(w) Notwithstanding anything contained herein or in the Deed of Trust to the contrary, upon the occurrence and continuance of an Event of Default, before taking any foreclosure action or any action which may subject the Bond Trustee to liability under any environmental law, statute, regulation or similar requirement relating to the environment, the Bond Trustee may require that a satisfactory indemnity bond, indemnity or environmental impairment insurance be furnished for the payment or reimbursement of all expenses to which it may be put and to protect it against all liability resulting from any claims, judgments, damages, losses, penalties, fines, liabilities (including strict liability) and expenses which may result from

such foreclosure or other action and the Bond Trustee shall not be required to take such foreclosure or similar action if it reasonably determines that the approval of a governmental regulator that cannot be obtained is necessary for such foreclosure or similar action.

Section 9.02. Fees and Expenses of Bond Trustee and Paying Agent. The Issuer agrees, but solely from any funds received from the Obligor pursuant to the Agreement for such purpose,

(a) to pay to the Bond Trustee, each Paying Agent and all other agents their reasonable and necessary fees for services rendered hereunder as and when the same become due and all expenses (including attorneys' fees) reasonably and necessarily made or incurred by the Bond Trustee, such Paying Agent or such other agent in connection with such services as and when the same become due as provided in Section 3.09 hereof; and

(b) to reimburse the Bond Trustee upon its request for all reasonable expenses, disbursements and advances incurred or made by the Bond Trustee in accordance with any provisions of this Bond Indenture (including the reasonable compensation, expenses and disbursements of its agents and counsel), except any such expense, disbursement or advance as may be attributable to the negligence or bad faith of the Bond Trustee. The foregoing shall not affect the prescribed application of moneys after an Event of Default set forth in Section 8.05 hereof.

As security for the performance of the obligations of the Issuer under this Section, the Bond Trustee shall be secured under this Bond Indenture by a lien subject and subordinate to the Bonds, in the case of money held for the credit of the Construction Fund or the Debt Service Reserve Fund, and otherwise prior to the Bonds, and for the payment of the expenses and reimbursements due hereunder, the Bond Trustee shall have the right to use and apply any trust funds held by it hereunder, unless held or required to be held in the Construction Fund.

Section 9.03. Resignation or Replacement of Bond Trustee. The present or any future Bond Trustee may resign by giving to the Issuer, the Obligor and each Bondholder thirty days' notice of such resignation. Such resignation shall not be effective until such time as a successor Bond Trustee shall have accepted its appointment. The present or any future Bond Trustee may be removed (a) at any time by an instrument in writing executed by the Owners of at least a majority in Aggregate Principal Amount of Bonds Outstanding or (b) if an Event of Default hereunder has not occurred and is continuing, by an instrument in writing executed by the Obligor. Pursuant to the Agreement and this Bond Indenture, the Obligor shall make such payments directly to the Bond Trustee.

In case the present or any future Bond Trustee shall at any time resign or be removed or otherwise become incapable of acting, a successor may be appointed by the Owners of at least a majority in Aggregate Principal Amount of the Bonds Outstanding by an instrument or concurrent instruments signed by such Bondholders or their attorneys in fact duly appointed; provided that the Issuer may, by an instrument executed by order of the Board of Directors, appoint a successor until a new successor shall be appointed by the Bondholders as herein authorized. The Issuer upon making such appointment shall forthwith give notice thereof to each Bondholder and to the Obligor, which notice may be given concurrently with the notice of resignation given by any resigning Bond Trustee. Any successor so appointed by the Issuer shall

immediately and without further act be superseded by a successor appointed in the manner above provided by the Owners of at least a majority in Aggregate Principal Amount of the Bonds Outstanding. In the event that the Issuer does not so act within thirty days after notice of resignation, the Bond Trustee shall have the right to petition a court of competent jurisdiction to appoint a successor Bond Trustee.

Every successor Bond Trustee shall always be a bank, banking corporation or trust company with trust powers in good standing, qualified to act hereunder, and having a combined capital and surplus of not less than \$50,000,000. Any successor appointed hereunder shall execute, acknowledge and deliver to the Issuer and the predecessor Bond Trustee an instrument accepting such appointment hereunder and thereupon such successor shall, without any further act, deed or conveyance, become vested with all the estates, properties, rights, powers and trusts of its predecessor in the trust hereunder with like effect as if originally named as Bond Trustee herein; but the Bond Trustee retiring shall (except as provided in Section 9.04 hereof), nevertheless, on the written demand of its successor, execute and deliver an instrument conveying and transferring to such successor, upon the trusts herein expressed, all the estates, properties, rights, powers and trusts of the predecessor, except for the predecessor's rights to any indemnity provided to it. The predecessor Bond Trustee shall, upon payment of the expenses, charges and other disbursements which are due and owing to it pursuant to Sections 3.09 and 9.02 hereof, duly assign, transfer and deliver to the successor all properties and moneys held by it under this Bond Indenture. Should any instrument in writing from the Issuer be required by any successor for more fully and certainly vesting in and confirming to it all of such estates, properties, rights, powers and trusts, the Issuer shall, on request of such successor, make, execute, acknowledge and deliver the deeds, conveyances and necessary instruments in writing.

The notices herein provided for shall be given by mailing a copy thereof to the Obligor and the registered owners of the Bonds at their addresses as the same shall last appear on the registration books. The instruments evidencing the resignation or removal of the Bond Trustee and the appointment of a successor hereunder, together with all other instruments provided for in this Section, shall be filed and/or recorded by the successor Bond Trustee in each recording office where this Bond Indenture shall have been filed and/or recorded.

Section 9.04. Conversion, Consolidation or Merger of Bond Trustee. Any bank, banking corporation or trust company into which the Bond Trustee merges or is consolidated, or to which it (or a receiver on its behalf) may sell or transfer its corporate trust business as a whole, or substantially as a whole, shall be the successor of the Bond Trustee under this Bond Indenture with the same rights, powers, duties and obligations and subject to the same restrictions, limitations and liabilities as its predecessor, all without the execution or filing of any papers or any further act on the part of any of the parties hereto, anything herein to the contrary notwithstanding. In case any of the Bonds to be issued hereunder shall have been authenticated, but not delivered, any successor Bond Trustee may adopt the certificate of any predecessor Bond Trustee and deliver the same as authenticated; and in case any of such Bonds shall not have been authenticated, any successor Bond Trustee may authenticate such Bonds in the name of such successor Bond Trustee.

Section 9.05. Designation and Succession of Paying Agent. The Bond Trustee and any other banks or trust companies, if any, designated as Paying Agent or Paying Agents in any

Supplemental Bond Indenture providing for the issuance of Additional Bonds shall be the Paying Agent or Paying Agents for the applicable series of Bonds.

Any bank or trust company with or into which any Paying Agent may be merged or consolidated, or to which the assets and business of such Paying Agent may be sold, shall be deemed the successor of such Paying Agent for the purposes of this Bond Indenture. If the position of Paying Agent shall become vacant for any reason, the Issuer shall, within thirty days thereafter, appoint such bank or trust company as shall be specified by the Obligor and located in the same city as such Paying Agent to fill such vacancy; provided, however, that if the Issuer shall fail to appoint such Paying Agent within said period, the Bond Trustee shall make such appointment.

The Paying Agents, if any, shall enjoy the same protective provisions in the performance of their duties hereunder as are specified in Section 9.01 hereof with respect to the Bond Trustee insofar as such provisions may be applicable.

Section 9.06. Filing of Financing Statements. The Obligated Group shall file or record or cause to be filed or recorded all financing statements that are required in order fully to protect and preserve the security interests in the Trust Estate granted to the Bond Trustee herein and the priority thereof and the rights and powers of the Bond Trustee in connection therewith. The Bond Trustee shall file or record or cause to be filed or recorded all continuation statements for the purpose of continuing without lapse the effectiveness of (a) those financing statements which shall have been filed at or prior to the issuance of the Series 2018A Bonds in connection with the security for the Series 2018A Bonds and delivered to it pursuant to Section 2.07 and (b) any previously filed continuation statements to those financing statements delivered to it pursuant to Section 2.07 that shall have been filed as required pursuant to this Section 9.06. Any such filings or re-filings shall be prepared by the Obligor and delivered to the Bond Trustee (if electronic filing is not elected by the Issuer) on a timely basis, accompanied by any fees or requisite charges. Upon the filing of any such financing statement or continuation statement, the Obligor shall immediately notify the Issuer and the Bond Trustee that the same has been accomplished.

Section 9.07. Approval of Consultant. The Bond Trustee hereby acknowledges and agrees, and is hereby authorized, to comply with the provisions of Section 4.16 of the Master Indenture which, among other things, require it, upon request by the Obligated Group Representative, to send a notice to the owners of all Bonds outstanding with respect to the selection of a management consultant thereunder and to consent or object to the selection in accordance with the response of the owners of the Bonds.

[End of Article IX]

**ARTICLE X
SUPPLEMENTAL BOND INDENTURES AND AMENDMENTS TO THE
AGREEMENT**

Section 10.01. Supplemental Bond Indentures Not Requiring Consent of Bondholders. The Issuer and the Bond Trustee may, without the consent of, or notice to, the Bondholders, enter into such Supplemental Bond Indentures (which Supplemental Bond Indentures shall thereafter form a part hereof) for any one or more or all of the following purposes:

First: To add to the covenants and agreements in this Bond Indenture contained other covenants and agreements thereafter to be observed for the protection or benefit of the Bondholders.

Second: To cure any ambiguity, or to cure, correct or supplement any defect or inconsistent provision contained in this Bond Indenture, or to make any provisions with respect to matters arising under this Bond Indenture or for any other purpose if such provisions are necessary or desirable and do not, in the judgment of the Bond Trustee, adversely affect the interests of the owners of Bonds.

Third: To subject to this Bond Indenture additional revenues, properties or collateral.

Fourth: To qualify this Bond Indenture under the Trust Indenture Act of 1939, if such is hereafter required in the Opinion of Counsel.

Fifth: To set forth the terms and conditions of Additional Bonds issued pursuant to Sections 2.09 and 2.10 hereof.

Sixth: To satisfy any requirements imposed by a Rating Agency if necessary to maintain the then current rating on the Bonds.

Seventh: To maintain the extent to which the interest on any Bond is not includable in the gross income of the recipient thereof, if in the opinion of Bond Counsel such Supplemental Bond Indenture is necessary.

Section 10.02. Supplemental Bond Indentures Requiring Consent of Bondholders. Exclusive of Supplemental Bond Indentures covered by Section 10.01 hereof, the Owners of not less than a majority in aggregate principal amount of the Bonds of all series then Outstanding affected thereby, in case one or more but less than all series of Bonds then Outstanding hereunder are so affected, and not less than a majority in aggregate principal amount of each series of all other Series 2018A Bonds then outstanding and so affected, shall have the right, from time to time, to consent to and approve the execution by the Issuer and the Bond Trustee of such Supplemental Bond Indenture or Indentures as shall be deemed necessary or desirable by the Issuer for the purpose of modifying, altering, amending, adding to or rescinding, in any particular, any of the terms or provisions contained in this Bond Indenture; provided, however, that without the consent of the owners of all the Bonds at the time Outstanding nothing herein contained shall permit or be construed as permitting any of the following:

(a) A change of the maturity of, or a reduction of the principal amount of, or a reduction of the rate of, or extension of the time of payment of interest on, or a reduction of a premium payable upon any redemption of, any Bond, without the consent of the Owner of such Bond.

(b) The deprivation of the Owner of any Bond then Outstanding of the lien created by this Bond Indenture and the Master Indenture (other than as originally permitted hereby).

(c) A privilege or priority of any Bond or Bonds over any other Bond.

(d) A reduction in the aggregate principal amount of the Bonds required for consent to any Supplemental Bond Indentures.

Notwithstanding the foregoing, (i) during any period of time in which an Event of Default has occurred and is continuing, an amendment of the type described in clauses (a) and (c) above may be made with respect to an Outstanding Bond with the consent of the Holders of at least eighty percent (80%) in aggregate principal amount of all Outstanding Bonds; provided, however, any such amendment shall not result in a change in preference or priority of Bonds over any other Bonds and no such amendment described in clauses (a) and (c) above shall result in a disproportionate change, reduction or modification with respect to any Bonds, and (ii) without the consent of the owners of all other Series 2018A Bonds then outstanding, nothing herein contained shall permit or be construed as permitting (A) any reduction in any amount payable under any of such other Series 2018A Bonds without the consent of the owner of such other Series 2018A Bonds, (B) the deprivation of the owner of any other Series 2018A Bond then outstanding of the lien created by this Bond Indenture and the Master Indenture (other than as originally permitted hereby), (C) a privilege or priority of any Series 2018A Bond over any such other Series 2018A Bond, or (D) A reduction in the aggregate principal amount of such other Series 2018A Bond required for consent to any supplemental indenture.

Upon the execution of any Supplemental Bond Indenture pursuant to the provisions of this Section, this Bond Indenture shall be deemed to be modified and amended in accordance therewith, and the respective rights, duties and obligations under this Bond Indenture of the Issuer, the Bond Trustee and all Owners of Bonds then Outstanding shall thereafter be determined, exercised and enforced hereunder, subject in all respects to such modifications and amendments.

If at any time the Obligor or the Issuer shall request the Bond Trustee to enter into such Supplemental Bond Indenture for any of the purposes of this Section, the Bond Trustee shall, upon being satisfactorily indemnified by the Obligor with respect to costs, fees and expenses (including attorneys' fees), cause notice prepared by the Issuer or the Obligor of the proposed execution of such Supplemental Bond Indenture to be mailed to the registered owners of the Bonds at their addresses as the same last appear on the registration books. Such notice shall briefly set forth the nature of the proposed Supplemental Bond Indenture and shall state that copies thereof are on file at the designated office of the Bond Trustee for inspection by all Bondholders. If, within sixty days or such longer period as shall be prescribed by the Issuer or the Obligor following the giving of such notice, the Owners of not less than a majority in aggregate principal amount of the Bonds Outstanding at the time of the execution of any such

Supplemental Bond Indenture shall have consented to and approved the execution thereof as herein provided, no Owner of any Bond shall have any right to object to any of the terms and provisions contained therein, or the operation thereof, or in any manner to question the propriety of the execution thereof, or to enjoin or restrain the Bond Trustee or the Issuer from executing the same or from taking any action pursuant to the provisions thereof.

Section 10.03. Execution of Supplemental Bond Indenture. The Bond Trustee is authorized to join with the Issuer in the execution of any such Supplemental Bond Indenture and to make further agreements and stipulations which may be contained therein, but the Bond Trustee shall not be obligated to enter into any such Supplemental Bond Indenture which affects its rights, duties or immunities under this Bond Indenture. The Bond Trustee shall be entitled to receive, and shall be fully protected in relying upon, an Opinion of Bond Counsel or an Opinion of Counsel stating that the execution and delivery of a Supplemental Bond Indenture is authorized or permitted by this Bond Indenture and has been effected in compliance with the provisions hereof, and that the execution, delivery and performance of such Supplemental Bond Indenture will not adversely affect the tax-exempt status of the Tax Exempt Bonds. In connection with a Supplemental Bond Indenture entered into pursuant to clause Second of Section 10.01 hereof, the Bond Trustee may in its discretion determine whether or not in accordance with such provision the Bondholders would be adversely affected by modification or amendment of this Bond Indenture, and any such determination shall be binding and conclusive upon the Issuer, the Obligor and the Bondholders. The Bond Trustee may receive an Opinion of Counsel or an Opinion of Bond Counsel as conclusive evidence as to whether the Bondholders would be so adversely affected by any such modification or amendment to this Bond Indenture.

Any Supplemental Bond Indenture executed in accordance with the provisions of this Article shall thereafter form a part of this Bond Indenture; and all the terms and conditions contained in any such Supplemental Bond Indenture as to any provision authorized to be contained therein shall be deemed to be part of this Bond Indenture for any and all purposes. In case of the execution and delivery of any Supplemental Bond Indenture, express reference may be made thereto in the text of the Bonds issued thereafter, if any, if deemed necessary or desirable by the Bond Trustee.

Section 10.04. Consent of Obligor. Anything herein to the contrary notwithstanding, a Supplemental Bond Indenture under this Article shall not become effective unless and until the Obligor shall have consented in writing to the execution and delivery of such Supplemental Bond Indenture.

Section 10.05. Amendments, Etc. of the Agreement Not Requiring Consent of Bondholders. The Issuer (to the extent its rights, duties and immunities are not adversely affected and subject to the provisions of this Bond Indenture relating to the issuance of Additional Bonds) and the Bond Trustee shall, without the consent of or notice to the Bondholders, consent to any amendment, change or modification of the Agreement as may be required (a) by the provisions of the Agreement and this Bond Indenture, (b) for the purpose of curing any ambiguity or formal defect or omission, (c) in connection with the issuance of Additional Bonds as herein provided, (d) to satisfy any requirements imposed by a Rating Agency if necessary to maintain the then current rating on the Bonds, (e) to maintain the extent to which the interest on the Bonds is not includable in the gross income of the recipients thereof,

if in the opinion of Bond Counsel such amendment is necessary, and (f) in connection with any other change therein which does not adversely affect the Bond Trustee or the owners of the Bonds.

Section 10.06. Amendments Etc. of the Agreement Requiring Consent of Bondholders. Except for the amendments, changes or modifications as provided in Section 10.05 hereof, neither the Issuer nor the Bond Trustee shall consent to any other amendment, change or modification of the Agreement without the giving of notice to and the written approval or consent of the Owners of the Bonds at the time Outstanding, given and procured as provided in Section 10.02 hereof. If at any time the Issuer and the Obligor shall request the consent of the Bond Trustee to any such proposed amendment, change or modification of the Agreement, the Bond Trustee shall, upon being satisfactorily indemnified with respect to expenses, cause notice of such proposed amendment, change or modification prepared by the Issuer or the Obligor to be given in the same manner as provided in Section 10.02 hereof. Such notice shall briefly set forth the nature of such proposed amendment, change or modification and shall state that copies of the instrument embodying the same are on file at the designated office of the Bond Trustee for inspection by all Bondholders.

In executing any amendment, change or modification of the Agreement, the Bond Trustee shall be entitled to receive, and shall be fully protected in relying upon, an Opinion of Counsel stating that the execution and delivery of such amendment, change or modification of the Agreement is authorized or permitted by this Bond Indenture and the Agreement and has been effected in compliance with the provisions of this Bond Indenture and the Agreement. The Bond Trustee may, but shall not be obligated to, enter into any such amendment, change or modification which affects the Bond Trustee's own rights, duties or immunities. In connection with any amendment, change or modification in connection with Section 10.05(f), the Bond Trustee may in its discretion determine whether or not in accordance with such provision the Bond Trustee or the Bondholders would be prejudiced by such amendment, change or modification. Any such determination shall be binding and conclusive on the Issuer, the Obligor and the Bondholders. The Bond Trustee may receive an Opinion of Counsel as conclusive evidence as to whether the Bondholders would be so affected by any such amendment, change or modification of the Agreement.

[End of Article X]

**ARTICLE XI
MISCELLANEOUS**

Section 11.01. Evidence of Signature of Bondholders and Ownership of Bonds. Any request, consent or other instrument which the Bond Indenture may require or permit to be signed and executed by the Bondholders may be in one or more instruments of similar tenor and shall be signed or executed by such Bondholders in person or by their attorneys appointed in writing. Proof of the execution of any such instrument or of an instrument appointing any such attorney or of the ownership of Bonds shall be sufficient (except as otherwise herein expressly provided) if made in the following manner, but the Bond Trustee may, nevertheless, in its discretion, require further or other proof in cases where it deems the same desirable:

(a) The fact and date of the execution by any Bondholder or his attorney of such instrument may be proved by the certificate of any officer authorized to take acknowledgments in the jurisdiction in which he purports to act that the person signing such request or other instrument acknowledged to him the execution thereof, or by an affidavit of a witness of such execution, duly sworn to before a notary public.

(b) The ownership of any fully registered Bond and the amount and numbers of such Bonds and the date of holding the same shall be proved by the registration books of the Issuer kept by the Bond Trustee. Any request or consent of the Owner of any Bond shall bind all future Owners of such Bond in respect of anything done or suffered to be done by the Issuer or the Bond Trustee in accordance therewith.

Section 11.02. No Personal Liability. No covenant, stipulation, obligation or agreement of the Issuer in this Bond Indenture, the Bonds or any other Series 2018 Bond Documents shall be deemed to be a covenant, stipulation, obligation or agreement of any present or future elected or appointed official, officer, employee or agent of the Issuer in his or her individual capacity. Neither any person executing the Bonds or any agreement entered into by the Issuer under the Authorizing Resolution, nor any official, officer, employee or agent of the Issuer shall be liable personally on the Bonds or under the Series 2018 Bond Documents or be subject to any personal liability or accountability by reason of the issuance, execution and delivery thereof. Each Bond on its face, shall plainly state that it has been issued under the provisions of the Act and that it does not constitute an indebtedness to which the faith and credit of the Issuer is pledged.

Section 11.03. Limited Obligation. The Bonds shall be special obligations of the Issuer. The Bonds are without recourse to the Issuer. The Bonds shall not be a general obligation of the Issuer, shall not be a pledge of or involve the faith and credit or the taxing power of the Issuer, and shall not constitute a debt of the Issuer. The Bonds are payable solely from the Trust Estate which shall, except as may be otherwise expressly authorized in this Indenture, be used for no other purpose than to pay the principal of, premium, if any and interest on the Bonds. The Bonds shall not give rise to any pecuniary liability of the Issuer and the Issuer shall have no obligation with respect to the purchase of the Bonds, upon the issuance, sale and delivery of the Bonds.

THE BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES

TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. THE BONDS AND ANY PREMIUM AND INTEREST THEREON ARE NOT A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

Notwithstanding anything to the contrary in this Bond Indenture, the Issuer shall have no obligation to and instead the Bond Trustee may, without further direction from the Issuer, take any and all steps, actions and proceedings to enforce any or all rights of the Issuer (except for the Reserved Rights) under this Bond Indenture or the Agreement, including, without limitation, the rights to enforce the remedies upon the occurrence and continuation of an Event of Default and the obligations of the Obligor under the Agreement.

Section 11.04. Parties Interested Herein. With the exception of rights herein expressly conferred on the Obligor, nothing in this Bond Indenture expressed or implied is intended or shall be construed to confer upon, or to give to, any person other than the Issuer, the Bond Trustee, the Paying Agents and the Owners of the Bonds any right, remedy or claim under or by reason of this Bond Indenture, and any covenants, stipulations, promises and agreements in this Bond Indenture contained by and on behalf of the Issuer shall be for the sole and exclusive benefit of the Issuer, the Bond Trustee, the Paying Agents and the Owners of the Bonds.

Section 11.05. Titles, Headings Etc. The titles and headings of the articles, sections and subdivisions of this Bond Indenture have been inserted for convenience of reference only and shall in no way modify or restrict any of the terms or provisions hereof.

Section 11.06. Severability. In the event any provision of this Bond Indenture shall be held invalid or unenforceable by any court of competent jurisdiction, such holding shall not invalidate or render unenforceable any other provision hereof.

Section 11.07. Governing Law. This Bond Indenture shall be governed and construed in accordance with the laws of the State of Maryland, without giving effect to the conflict of law principles.

Section 11.08. Execution of Counterparts. This Bond Indenture may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument. The exchange of copies of this Bond Indenture and of signature pages by facsimile or PDF transmission shall constitute effective execution and delivery of this Bond Indenture as to the parties hereto and may be used in lieu of the original Bond Indenture for all purposes. Signatures of the parties hereto transmitted by facsimile or PDF shall be deemed to be their original signatures for all purposes.

Section 11.09. Notices. Any notice, request or other communication under this Agreement shall be given in writing and shall be deemed to have been given by either party to the other party at the addresses shown below upon any of the following dates:

- (a) The date of notice by telefax, telecopy, or similar telecommunications, which is confirmed promptly in writing;
- (b) Three Business Days after the date of the mailing thereof, as shown by the post office receipt if mailed to the other party hereto by registered or certified mail;
- (c) The date of the receipt thereof by such other party if not given pursuant to (a) or (b) above.

The address for notice for each of the parties shall be as follows:

If to the Issuer:	Montgomery County, Maryland Executive Office Building 101 Monroe Street Rockville, Maryland 20850 Attention: Director of Finance Telephone Number: (240) 777-8860
with a copy to:	Venable LLP 750 E. Pratt Street, Suite 900 Baltimore, Maryland 21202 Attention: James E. Cumbie, Esq. Telecopier Number: (410) 244-7742
To the Obligor:	Friends House Retirement Community, Inc. 17340 Quaker Lane Sandy Spring, Maryland 20860 Attention: Executive Director Telecopier Number: (301) 924-2265
With a copy to:	Whiteford Taylor & Preston L.L.P. 7 Saint Paul Street Baltimore, Maryland 21202-1636 Attention: Kimberly J. Min, Esq. Telecopier Number: (410) 223-3734
The Bond Trustee:	Wilmington Trust, National Association 25 S. Charles Street Baltimore, Maryland 21201 Facsimile Number: (410) 244-4236

Notwithstanding the foregoing, notices to the Bond Trustee shall be effective only upon receipt.

Section 11.10. Payments Due on Holidays. If the date for making any payment or the last day for performance of any act or the exercising of any right, as provided in this Bond Indenture, is not a Business Day, such payment may be made or act performed or right exercised on the next succeeding day that is a Business Day with the same force and effect as if done on the nominal date provided in this Bond Indenture.

[End of Article XI]

IN WITNESS WHEREOF, the Issuer and the Bond Trustee have caused this Bond Indenture to be executed and sealed by their duly authorized officers as of the day and year first above written.

[Seal]

MONTGOMERY COUNTY, MARYLAND

Attest:

By: _____
Name: Megan Davey Limarzi
Title: Clerk of the Council

By: _____
Name: Michael Coveyou
Title: Acting Director of Finance

**WILMINGTON TRUST, NATIONAL
ASSOCIATION**, as Bond Trustee

By: _____
Authorized Officer

[SEAL]

[Signatures and Seals Continued]

EXHIBIT A
(FORM OF SERIES 2018A BOND)
UNITED STATES OF AMERICA
MONTGOMERY COUNTY, MARYLAND
ECONOMIC DEVELOPMENT REVENUE BONDS
(FRIENDS HOUSE RETIREMENT COMMUNITY PROJECT)
SERIES 2018A

No. R-_____ \$ _____

Interest Rate	Maturity Date	Dated Date	CUSIP
_____%	July 1, 20__	August __, 2018	_____

Registered Owner: CEDE & CO.

Principal Amount: _____ DOLLARS

MONTGOMERY COUNTY, MARYLAND (the "Issuer"), for value received, promises to pay, from the sources described herein, to the Registered Owner specified above, or registered assigns, the principal amount specified above, on the maturity date specified above (unless this Series 2018A Bond shall have been called for prior redemption) and to pay, from such sources, interest on said sum on January 1 and July 1 of each year, commencing January 1, 2019, at the interest rate specified above, until payment of the principal hereof has been made or provided for. This Series 2018A Bond will bear interest from the most recent Interest Payment Date to which interest has been paid or provided for, or, if no interest has been paid, from the Dated Date set forth above. Capitalized terms used in this Series 2018A Bond and not defined herein shall have the meanings given to such terms in the Agreement identified herein.

This Series 2018A Bond is issued pursuant to the laws of the State of Maryland, including particularly Sections 12-101 through 12-118, inclusive, of the Economic Development Article of the Annotated Code of Maryland, as amended (together with all future acts supplemental thereto or amendatory thereof, the "Act"). The Issuer and Friends House Retirement Community, Inc. (the "Obligor") have entered into a Loan Agreement, dated as of August 1, 2018 (as amended and supplemented from time to time in accordance with the terms thereof, the "Agreement"), pursuant to the terms of which the Obligor must pay to the Issuer

certain loan payments which are committed and will be fully sufficient to pay the principal of and the interest on the Series 2018A Bonds as the same become due. As security for the payment of the Series 2018A Bonds and all other Bonds issued under the Bond Indenture, all right, title and interest of the Issuer in the payments, revenues and earnings to be received under the terms of the Agreement have been assigned and pledged to Wilmington Trust, National Association, as trustee (the "Bond Trustee"), for the benefit of the Registered Owner of the Bonds.

THE SERIES 2018A BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. THE SERIES 2018A BONDS AND ANY PREMIUM AND INTEREST THEREON ARE NOT A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE SERIES 2018A BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

Reference to the Bond Trust Indenture dated as of August 1, 2018 (the "Bond Indenture") by and between the Issuer and the Bond Trustee is hereby made for a description of the aforesaid Trust Estate, the nature and extent of the security, rights, duties and obligations of the Issuer, the Obligor, the Paying Agent, the bond registrar and the Bond Trustee, the rights of the Registered Owner of the Series 2018A Bonds, the terms and conditions under and upon the occurrence of which the Bond Indenture and Agreement may be modified, and the terms and conditions under and upon the occurrence of which the lien of the Bond Indenture may be defeased as to this Series 2018A Bond prior to maturity or the redemption date hereof, to all of the provisions of which the Registered Owner hereof, by the acceptance of this Series 2018A Bond, assents.

This Series 2018A Bond shall initially be issued pursuant to a book entry system administered by The Depository Trust Company (together with any successor thereto, the "Securities Depository"). The book entry system will evidence beneficial ownership of the Series 2018A Bonds with transfers of ownership effected on the register held by the Securities Depository pursuant to rules and procedures established by the Securities Depository. So long as the book entry system is in effect, transfer of principal, interest and premium payments, and provision of notices or other communications, to beneficial owners of the Series 2018A Bonds will be the responsibility of the Securities Depository as set forth in the Bond Indenture.

This Series 2018A Bond is one of a duly authorized issue of bonds of the Issuer known as "Montgomery County, Maryland Economic Development Refunding Revenue Bonds (Friends House Retirement Community Project) Series 2018A" (the "Series 2018A Bonds") and issued in an Aggregate Principal Amount (as defined in the Agreement) of \$16,975,000 for the purpose of (i) financing and refinancing the acquisition, construction and renovation of certain facilities of

the Obligor; (ii) funding a debt service reserve for the Series 2018A Bonds; funding capitalized interest on the Series 2018A Bonds; and (iv) paying all or a portion of the costs associated with the issuance of the Series 2018A Bonds.

The Series 2018A Bonds are secured by a Master Obligation issued by the Obligor (the "Series 2018A Master Obligation") pursuant to a Master Trust Indenture dated as of August 1, 2018, between the Obligor and Wilmington Trust, National Association, as master trustee (the "Master Trustee"), and a Supplemental Indenture Number 1, dated as of August 1, 2018 between the Obligor and the Master Trustee (collectively, the "Master Indenture"). To secure its obligations pursuant to the Master Indenture, the Obligor (a) has pledged and granted a security interest in the Gross Revenues to the Master Trustee, and (b) has executed and delivered the Deed of Trust on the Property in favor of the Issuer (to secure its Reserved Rights) and the Master Trustee.

The Issuer, on behalf of the Obligor, has also issued its Economic Development Revenue Bond (Friends House Retirement Community Project) Series 2018B in the aggregate principal amount of \$13,200,000 (the "Series 2018B Bond") under a Loan and Financing Agreement among the Issuer, the Obligor and Compass Mortgage Corporation, which also are secured by an obligation issued under the Master Indenture. The Series 2018B Bond is secured on a parity basis with the Series 2018A Bonds.

Additional obligations on parity with or subordinate to the Series 2018A Master Obligation may be issued pursuant to the Master Indenture subject to the conditions and terms contained therein and the payments on such additional Master Obligations will also be secured by the Deed of Trust and pledge of the Gross Revenues and other amounts pledged under the Master Indenture.

No covenant, stipulation, obligation or agreement of the Issuer in this Series 2018A Bond or any other Series 2018 Bond Documents shall be deemed to be a covenant, stipulation, obligation or agreement of any present or future elected or appointed official, officer, employee or agent of the Issuer in his or her individual capacity. Neither the members of Montgomery County, Maryland nor any person executing this Series 2018A Bond or any agreement entered into by the Issuer under the Authorizing Resolution, nor any member of Montgomery County, Maryland, official, officer, employee or agent of the Issuer shall be liable personally on the Series 2018A Bonds or under the Series 2018 Bond Documents or be subject to any personal liability or accountability by reason of the issuance, execution and delivery hereof or thereof.

Additional series of Bonds may be issued by the Issuer in accordance with the limitations and conditions of the Bond Indenture.

The Series 2018A Bonds are subject to redemption and purchase in lieu of redemption prior to maturity as set forth in the Bond Indenture.

The Series 2018A Bonds are issuable as fully registered Bonds in denominations of \$100,000 or any integral multiple of \$5,000 in excess thereof.

Series 2018A Bonds are exchangeable and transferable as provided in the Bond Indenture.

The Issuer and the Bond Trustee may deem and treat the person in whose name this Series 2018A Bond is registered as the absolute owner hereof for the purpose of making payment (except to the extent otherwise provided hereinabove and in the Bond Indenture with respect to Regular and Special Record Dates for the payment of interest) and for all other purposes, and neither the Issuer nor the Bond Trustee shall be affected by any notice to the contrary. The principal of, premium, if any, and interest on this Series 2018A Bond shall be paid free from and without regard to any equities between the Obligor and the original or any intermediate owner hereof or any setoffs or counterclaims.

The owner of this Series 2018A Bond shall have no right to enforce the provisions of the Bond Indenture or to institute action to enforce the covenants therein, or to take any action with respect to any event of default under the Bond Indenture, or to institute, appear in or defend any suit or other proceedings with respect thereto, except as provided in the Bond Indenture. In case an event of default under the Bond Indenture shall occur, the principal of all of the Series 2018A Bonds at any such time Outstanding under the Bond Indenture may be declared or may become due and payable, upon the conditions and in the manner and with the effect provided in the Bond Indenture. The Bond Indenture provides that such declaration may in certain events be waived by the Bond Trustee or the owners of a requisite principal amount of the Bonds Outstanding under the Bond Indenture.

To the extent permitted by, and as provided in, the Bond Indenture, modifications or amendments of the Bond Indenture, or of any indenture supplemental thereto, and of the rights and obligations of the Issuer and of the owners of the Bonds, may be made with the consent of the Issuer and the Bond Trustee and, in certain instances, of not less than a majority in principal amount of the Bonds of all series then Outstanding allowed hereby or 80% in aggregate principal amount of all Bonds then Outstanding. Any such consent by the owner of this Series 2018A Bond shall be conclusive and binding upon such owner and upon all future owners of this Series 2018A Bond and of any Bond issued upon the transfer or exchange of this Series 2018A Bond whether or not notation of such consent is made upon this Series 2018A Bond.

IT IS HEREBY CERTIFIED, RECITED AND DECLARED that all acts, conditions and things required to exist, happen and be performed precedent to and in the execution and delivery of the Bond Indenture and issuance of this Series 2018A Bond do exist, have happened and have been performed in due time, form and manner as required by law.

THIS SERIES 2018A BOND shall not be entitled to any benefit under the Bond Indenture, or any indenture supplemental thereto, or become valid or obligatory for any purpose until the Bond Trustee shall have manually signed the certificate of authentication hereon.

[Signature page follows.]

IN WITNESS WHEREOF, the Issuer has caused this Series 2018A Bond to be executed in its name by the manual or facsimile signature of its County Executive and its Director of Finance and its corporate seal or a facsimile thereof to be printed hereon and attested by the manual or facsimile signature of its Clerk to the Council.

[SEAL]

MONTGOMERY COUNTY, MARYLAND

By: _____
County Executive

By: _____
Director of Finance

Attest:

Clerk to the Council

(FORM OF TRUSTEE'S CERTIFICATE OF AUTHENTICATION)

This is one of the Series 2018A Bonds referred to in the within mentioned Bond Indenture.

Date of Authentication:

WILMINGTON TRUST, NATIONAL
ASSOCIATION, as Bond Trustee

_____ By: _____
Authorized Signatory

(END OF FORM OF TRUSTEE'S CERTIFICATE OF AUTHENTICATION)

[FORM OF ASSIGNMENT]

ASSIGNMENT

For value received, the undersigned hereby sells, assigns and transfers unto _____ the within Bond, and does hereby irrevocably constitute and appoint _____ attorney to transfer such Bond on the books kept for registration and transfer of the within Bond, with full power of substitution in the premises.

Date: _____ NOTICE: The signature to this Assignment must correspond with the name as it appears upon the face of the within Bond in every particular, without enlargement or alteration or any change whatsoever.

Signature Guaranteed By:

[THIS PAGE INTENTIONALLY LEFT BLANK]

Authorized Signatory

NOTE: The signature to this Assignment must be guaranteed by a financial institution that is a member of the Securities Transfer Agents Medallion Program ("STAMP"), the Stock Exchange Medallion Program ("SEMP") or the New York Stock Exchange, Inc. Medallion Signature Program ("MSP").

* * * [END OF SERIES 2018A BOND FORM] * * *

MONTGOMERY COUNTY, MARYLAND

AND

FRIENDS HOUSE RETIREMENT COMMUNITY, INC.

LOAN AGREEMENT

DATED AS OF AUGUST 1, 2018

Relating to:

Montgomery County, Maryland

\$16,975,000 Economic Development Revenue Bonds
(Friends House Retirement Community Project), Series 2018A

THE INTEREST OF THE ISSUER IN THIS LOAN AGREEMENT AND THE REVENUES AND RECEIPTS DERIVED THEREFROM, EXCEPT FOR ITS RESERVED RIGHTS, AS DEFINED HEREIN, HAVE BEEN ASSIGNED AND ARE THE SUBJECT OF A GRANT OF A SECURITY INTEREST TO WILMINGTON TRUST, NATIONAL ASSOCIATION, AS TRUSTEE, UNDER A BOND TRUST INDENTURE DATED AS OF AUGUST 1, 2018.

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EXHIBIT A – Project Description

EXHIBIT B – Form of Request for Costs of Issuance Disbursement

EXHIBIT C – Form of Series 2018A Note

LOAN AGREEMENT

THIS LOAN AGREEMENT dated as of August 1, 2018, between **MONTGOMERY COUNTY, MARYLAND**, a body politic and corporate and a political subdivision of the State of Maryland (the “Issuer”), and **FRIENDS HOUSE RETIREMENT COMMUNITY, INC.**, a nonstock corporation organized and existing under the laws of the State of Maryland (the “Obligor”),

WITNESSETH:

WHEREAS, the Issuer is authorized by the Maryland Economic Development Revenue Bond Act, being Sections 12-101 through 12-118, inclusive, of the Economic Development Article of the Annotated Code of Maryland, as amended (together with all future acts supplemental thereto or amendatory thereof, the “Act”) to issue its revenue bonds, not as its general obligations nor as a debt or pledge of the faith and credit of the State of Maryland, but payable solely from the revenues and funds pledged under the Series 2018A Bond Indenture (hereinafter defined); and

WHEREAS, the Obligor is a nonstock corporation organized for nonprofit purposes under the laws of the State of Maryland; and

WHEREAS, the Obligor owns and operates a residential retirement community located within the corporate boundaries of Montgomery County, Maryland (the “Existing Community”); and

WHEREAS, the Obligor has determined to finance new projects related to the Existing Community and has requested the Issuer to issue its economic development revenue bonds for the purposes of (1) financing or refinancing additions, improvements and renovations to the Existing Community, (2) funding certain debt service reserve funds; (3) paying capitalized interest on the Series 2018 Bonds (hereinafter defined); and (4) paying all or a portion of the costs of issuance related to the Series 2018 Bonds;

WHEREAS, the Issuer has authorized the issuance of Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project) Series 2018A (the “Series 2018A Bonds”) and Montgomery County, Maryland Economic Development Revenue Bond (Friends House Retirement Community Project) Series 2018B (the “Series 2018B Bond”) and, together with the Series 2018A Bonds, the “Series 2018 Bonds”) and the loan of the proceeds thereof to the Obligor for such purposes;

WHEREAS, the Series 2018A Bonds are being issued pursuant to a Bond Trust Indenture, dated the date hereof (the “Series 2018A Bond Indenture”), between the Issuer and Wilmington Trust, National Association, as trustee (the “Bond Trustee”);

WHEREAS, the Issuer and the Obligor are entering into this Loan Agreement to specify the terms and conditions of a loan by the Issuer to the Obligor of the proceeds of the Series 2018A Bonds and of the payment by the Obligor to the Issuer of the amounts required for the payment of the principal of and interest on the Bonds and certain related expenses;

WHEREAS, to evidence the obligation of the Obligor to make payments sufficient to pay the principal of, premium, if any, and interest on the Series 2018A Bonds, the Obligor will execute and deliver to the Issuer a promissory note dated the date of issuance of the Series 2018A Bonds in the principal amounts of the Series 2018A Bonds (the “Series 2018A Note”), which Series 2018A Note will be endorsed by the Issuer to the Bond Trustee as security for the Series 2018A Bonds;

WHEREAS, simultaneously with the issuance of the Series 2018A Bonds, the Obligor intends to enter into a Master Indenture (hereinafter defined) and issue Master Obligations under the Master Indenture to secure the Series 2018A Bonds and the Series 2018B Bond on a parity basis;

WHEREAS, it is a condition precedent to the delivery of the Series 2018A Bonds that, *inter alia*, that the Series 2018A Master Obligation (hereinafter defined) be issued under the Master Indenture, and that the Deed of Trust (hereinafter defined) be executed and delivered by the Obligor;

WHEREAS, the Issuer may from time to time issue Additional Bonds (as defined herein and, together with the Series 2018A Bonds, the “Bonds”), in accordance with the provisions hereof and of the Agreement; and

WHEREAS, the Issuer and the Obligor have each duly authorized the execution, delivery and performance of this Agreement;

NOW, THEREFORE, IN CONSIDERATION OF the respective representations and agreements hereinafter contained, the parties hereto agree as follows, provided, that in the performance of the agreements of the Issuer herein contained, any obligation the Issuer may thereby incur for the payment of money will not be a debt or charge against the general credit or taxing powers of the Issuer within the meaning of any constitutional or charter provision or statutory limitation and may not give rise to any pecuniary liability of the Issuer, but will be a limited obligation of the Issuer payable solely from the revenues, receipts and other payments derived from this Agreement, the Series 2018A Bond Indenture, the Series 2018A Note and the sale of the Series 2018A Bonds referred to herein and insurance proceeds, foreclosure proceeds, proceeds from released property and condemnation awards as herein provided:

ARTICLE I DEFINITIONS

Section 1.1. Definitions. The following terms, except where the context indicates otherwise, shall have the respective meanings set forth below.

“Account” means any account established within a Fund.

“Accountant” means a certified public accountant, or a firm of certified public accountants, who or which is “independent” as that term is defined in Rule 101 and related interpretations of the Code of Professional Ethics of the American Institute of Certified Public Accountants, of recognized standing, who or which does not devote his or its full time to the Obligor or its Affiliates (but who or which may be regularly retained by the Obligor or its Affiliates).

“Act” means the Maryland Economic Development Revenue Bond Act, being Sections 12-101 through 12-118, inclusive, of the Economic Development Article of the Annotated Code of Maryland, as amended from time to time.

“Additional Bonds” means the one or more series of additional bonds authorized to be issued by the Issuer pursuant to Sections 2.09 and 2.10 of the Series 2018A Bond Indenture.

“Administration Expenses” shall mean (i) all costs, charges and expenses incurred by the Issuer with respect to the implementation and administration of the Series 2018 Bond Documents and any transaction or event to be effected by the Series 2018 Bond Documents, including reasonable attorneys’ fees, and (ii) the compensation of, reimbursement of expenses to, the reasonable attorneys’ fees of, and advances payable to, the Trustee, the Paying Agent, the Authenticating Agent and the Registrar, including, but not limited to, the amounts described in Section 5.7 hereof.

“Affiliate” means, with respect to any Person, any Person that directly or indirectly through one or more intermediaries, controls, is controlled by or is under common control with such first Person. A Person shall be deemed to control another Person for the purposes of this definition if such Person possesses, directly or indirectly, the power to direct, or cause the direction of, the management and policies of the second Person, whether through the ownership of voting securities, common directors, trustees or officers, by contract or otherwise.

“Aggregate Principal Amount” means the outstanding principal amount plus, in the case of a security sold at a discount to the purchaser thereof the accreted value of such discount calculated in accordance with the documents authorizing such security, or if not so defined, generally accepted accounting principles.

“Agreement” or “Loan Agreement” or “Series 2018A Loan Agreement” means this Loan Agreement and any amendments and supplements hereto made in conformity herewith and with the Series 2018A Bond Indenture.

“Applicable Procedures” means, with respect to any payment, tender, redemption, transfer or exchange of or for beneficial interests in any book-entry Bond, the rules and procedures of DTC that apply to such payment, tender, redemption, transfer or exchange.

“Architect” means, initially, each of Lenhardt Rodgers Architecture + Interiors and Architectural Support Group, LLC, and thereafter an independent architect or engineer or firm of architects or engineers which is appointed by the Obligor for the purpose of passing on questions relating to the design and construction of a Project or any Capital Addition, has all licenses and certifications necessary for the performance of such services, has a favorable reputation for skill and experience in performing similar services in respect of facilities of a comparable size and nature, and is not unsatisfactory to the Underwriter, the Construction Monitor or the Bond Trustee.

“Authorized Denominations” means (a) with respect to the Series 2018A Bonds, the denominations of \$100,000 and any integral multiple of \$5,000 in excess thereof, and (b) with respect to any series of Additional Bonds, as provided in the Supplemental Bond Indenture creating such series of Additional Bonds.

“Authorizing Resolution” means Resolution No. 18-1159, adopted by the County Council of Montgomery County, Maryland on June 12, 2018.

“Authorized Obligor Representative” means the person or persons designated to act on behalf of the Obligor by written certificate furnished to the Issuer and the Bond Trustee, containing the specimen signature of such person and signed on behalf of the Obligor by the Obligated Group Representative. Such certificate or any subsequent or supplemental certificate so executed may designate an alternate or alternates.

“Available Series 2018 Construction Proceeds” has the meaning given such term in Section 4.14.

“Bond Counsel” means Venable LLP, as bond counsel in connection with the Series 2018A Bonds, or such other nationally recognized bond counsel as may be selected by the Obligor and reasonably acceptable to the Issuer.

“Bond Fund” means the Bond Fund created in Section 3.02 of the Series 2018A Bond Indenture.

“Bond Purchase Agreement” means the Bond Purchase Agreement dated August 10, 2018, by and among the Issuer, the Underwriter and the Obligor.

“Bond Trustee” means Wilmington Trust, National Association, being the registrar, a paying agent and the trustee under the Series 2018A Bond Indenture, until a successor replaces it and thereafter any successor corporate trustee appointed and serving as such under the Series 2018A Bond Indenture.

“Bond Year” means with respect to the Series 2018A Bonds each one-year period ending on the anniversary of the date of delivery of the Series 2018A Bonds (or, in the case of the last Bond Year the short period ending on the final maturity date) or such other period as may be elected by the Obligor in accordance with the Regulations and notice of which election has been given to the Bond Trustee.

“Bondholder” or “owner” of the Bonds means the Registered Owner of any fully registered Bond.

“Bonds” means the Series 2018A Bonds and any Additional Bonds issued pursuant to the Series 2018A Bond Indenture.

“Business Day” means any day other than (i) a Saturday, a Sunday or, in the City of New York, New York or the State of Maryland (or, if different, in the city in which the designated corporate trust office of the Bond Trustee is located), a day on which banking institutions are authorized or required by law or executive order to close, or (ii) a day on which the New York Stock Exchange is closed.

“Capital Additions” means all property or interests in property, real, personal and mixed (a) which constitute additions, improvements or extraordinary repairs to or replacements of all or

any part of the Mortgaged Property (as defined in the Master Indenture), and (b) the cost of which is properly capitalized under GAAP (as defined in the Master Indenture).

“Certificate of Occupancy” means a certificate of occupancy issued for the residential units in the Project.

“Certified Resolution” means a resolution duly adopted by the Governing Body, certified by an authorized signatory.

“Code” means the Internal Revenue Code of 1986, as amended.

“Completion Certificate” means a certificate of the Obligor delivered pursuant to Section 4.2(b) hereof.

“Completion Date” means the date specified in the Completion Certificate as the date of completion or termination of the Project.

“Construction Contract” means, collectively, the agreements by and between each Contractor and the Obligor.

“Construction Fund” means the construction fund created under Section 3.06 of the Series 2018A Bond Indenture and any construction fund created in connection with an issue of Additional Bonds under Section 2.09 of the Series 2018A Bond Indenture.

“Construction Monitor” means the entity serving in that capacity under the Disbursement Agreement.

“Contractor” means, collectively, Warfel Construction Company, Williamsburg Group, LLC, and any other general contractor or contractors selected by the Obligor with the reasonable approval of the Construction Monitor for the construction of the Project.

“Corporate Trust Office” of the Bond Trustee shall be the office of the Bond Trustee at which the Series 2018A Bond Indenture shall be principally administered, which at the date hereof is Wilmington Trust, National Association, 25 South Charles Street, Baltimore, Maryland 21201, or such other address as to which the Bond Trustee may give notice to the Issuer and the Obligor.

“Cost” or “Costs” as applied to a Project means and includes any and all costs of such Project, subject to the limits of the Act and, in each instance, subject to the limitations or restrictions set forth in the Tax Agreement, and, without limiting the generality of the foregoing, shall include the following:

(a) the cost of the acquisition of all land, rights of way, options to purchase land, easements, leasehold estates in land and interests of all kinds in land related to such Project;

(b) the cost of the acquisition, construction, development, repair, renovation, remodeling or improvement of all buildings and structures to be used as or in conjunction with such Project, including all acquisition, construction and installation costs required to provide utility services or other similar facilities and all labor costs relating thereto;

(c) the cost of site preparation, including the cost of demolishing or removing any buildings or structures the removal of which is necessary or incident to providing such Project;

(d) the cost of architectural, consulting, engineering, legal, accounting and related services; the cost of the preparation of plans, specifications, studies, surveys and estimates of cost and of revenue; and all other expenses necessary or incident to planning, providing or determining the feasibility and practicability of such Project;

(e) the cost of all machinery, equipment, furnishings and facilities necessary or incident to the equipping of such Project so that it may be placed in operation;

(f) the cost of financing charges and interest prior to and during construction and for a maximum of two years after completion of construction and the start up costs of such Project during construction and for a maximum of two years after completion of construction;

(g) any and all costs paid or incurred in connection with the financing of such Project, including, without limitation, the cost of financing, legal, accounting, financial advisory and appraisal fees, expenses and disbursements; the cost of any policy or policies of title insurance; the cost of printing, engraving and reproduction services; and the cost of the initial or acceptance fee of any trustee or paying agent;

(h) all direct and indirect costs of the Issuer incurred in connection with providing such Project;

(i) the cost of financing, establishing and funding a reserve fund or reserve funds for a program of self insurance and/or risk management and further including, without limitation, the cost of the preparation of studies, surveys and estimates of cost, revenue, risk and liability and all other costs and expenses necessary or incident to the planning, providing or determining the feasibility and practicability and the continuing program and operating costs of such program of self insurance and/or risk management;

(j) the cost of working capital during construction and fill up of the Project; and

(k) payment to the Obligor of such amounts, if any, as should be necessary to reimburse the Obligor in full for all advances of payments made by it for any of the items set forth in (a) through (j) above.

“Costs of Issuance” means all costs and expenses incurred by the Issuer or the Obligor in connection with the issuance and sale of the Bonds and the other Series 2018A Bonds, including without limitation (a) reasonable fees and expenses of accountants, attorneys, engineers and financial advisors, (b) materials, supplies and printing and engraving costs, (c) recording and filing fees, and (d) rating agency fees.

“Costs of Issuance Fund” means the costs of issuance fund created under Section 3.17 of the Series 2018A Bond Indenture.

“Debt Service Requirement” has the meaning given such term in the Master Indenture.

“Debt Service Reserve Fund” means (a) with respect to the Series 2018A Bonds, the Series 2018A Account of the Debt Service Reserve Fund, and (b) with respect to Additional Bonds, such debt service reserve fund as may be created pursuant to the supplemental indenture providing for the issuance of such Additional Bonds.

“Debt Service Reserve Fund Obligations” means cash and Permitted Investments.

“Debt Service Reserve Fund Requirement” means (a) with respect to the Series 2018A Bonds for deposit to the Series 2018A Account, \$1,396,750, which is equal to the least of (i) Maximum Annual Debt Service on the Series 2018A Bonds, (ii) 125% of average annual debt service on the Series 2018A Bonds and (iii) 10% of the aggregate principal amount of the Series 2018A Bonds, calculated on the basis of each Bond Year (provided, however, that if the Series 2018A Bonds have original issue discount or premium that exceeds two percent (2%) of the stated redemption price at maturity plus any original issue premium attributable exclusively to underwriters’ compensation, the issue price shall be used in lieu of the stated principal amount for purposes of the 10% limitation); and (b) with respect to Additional Bonds the amount set forth in the Supplemental Bond Indenture relating to such Additional Bonds.

“Deed of Trust” means the Deed of Trust, Security Agreement and Fixture Filing dated as of August 1, 2018, between the Obligor and the individual trustees named therein, as the same may be amended, supplemented or restated.

“Default” or “default” means any event that, with the passage of time or the giving of notice or both, would be an Event of Default.

“Delivery Date” means the date the Series 2018A Bonds are delivered to the initial purchasers against payment therefor.

“Disbursement Agreement” means the Construction Disbursement and Monitoring Agreement dated as of August 1, 2018 among the Obligor, the Bond Trustee, the Series 2018B Lender and the Construction Monitor.

“Electronic Means” means the following communications methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys issued by the Bond Trustee, or another method or system specified by the Bond Trustee as available for use in connection with its services hereunder.

“Environmental Laws” means the Comprehensive Environmental Response, Compensation and Liability Act of 1980, Public Law No. 96-510, 94 Stat. 1613, the Resource Conservation and Recovery Act, the National Environmental Policy Act of 1969 (42 U.S.C. § 4321 et seq.), the Solid Waste Disposal Act (42 U.S.C. § 6901 et seq.), the Hazardous Material Transportation Act (49 U.S.C. § 1801 et seq.), the Federal Insecticide, Fungicide and Rodenticide Act (7 U.S.C. § 136 et seq.), the Toxic Substance Control Act (15 U.S.C. § 2601 et seq.), the Clean Water Act, the Clean Air Act (42 U.S.C. § 7401 et seq.), the Federal Water Pollution Control Act (33 U.S.C. § 1251 et seq.), the Federal Coastal Zone Management Act (16 U.S.C. § 1451 et seq.), the Occupational Safety and Health Act (29 U.S.C. § 651 et seq.), the Safe Drinking Water Act (42 U.S.C. § 300(f) et seq.) and any other federal, state or local law, statute, ordinance and regulation, now or hereafter in effect, and in each case as amended or supplemented from time to time, and

any applicable judicial or administrative interpretation thereof, including, without limitation, any applicable judicial or administrative order, consent decree or judgment applicable to the Project relating to the regulation and protection of human health and safety and/or the environment and natural resources (including, without limitation, ambient air, surface water, groundwater, wetlands, land surface or subsurface strata, wildlife, aquatic species and/or vegetation), including all amendments to such Acts, and any and all regulations promulgated thereunder, and all analogous local or state counterparts or equivalents, and any transfer of ownership notification or approval statutes, and any federal, state or local statute, law, ordinance, code, rule, regulation, order or decree, regulating, relating to or imposing liability or standards of conduct concerning any petroleum, petroleum byproduct (including, but not limited to, crude oil, diesel oil, fuel oil, gasoline, lubrication oil, oil refuse, oil mixed with other waste, oil sludge and all other liquid hydrocarbons, regardless of specific gravity), natural or synthetic gas, products and/or hazardous substance or material, toxic or dangerous waste, substance or material, pollutant or contaminant, as may now or at any time hereafter be in effect.

“Equipment” means the equipment, machinery, furnishings and other personal property of the Obligor located on the Premises and all replacements, substitutions and additions thereto.

“Event of Default” with respect to the Series 2018A Bond Indenture means those defaults specified in Section 8.01 of the Series 2018A Bond Indenture, and with respect to this Agreement, means the events set forth in Section 9.1 hereof.

“Expansion” means such additions, improvements, extensions, alterations, relocations, enlargements, expansions, modifications or changes in, on or to any Project permitted under the Act as the Obligor deems necessary or desirable, provided such Expansion does not materially impair the effective use of such Project.

“Existing Community” shall have the meaning given such term in the recitals of this Agreement.

“Facilities” or “Community” means the Existing Community, as expanded, modified and improved by the Project, and as the same may be further expanded, modified or improved.

“Fitch” means Fitch Ratings, or any successor thereto maintaining a rating on the Bonds.

“Funded Interest Account” means the account of such name in the Construction Fund created in Section 3.06 of the Series 2018A Bond Indenture.

“Funds” means the Bond Fund, the Construction Fund, the Costs of Issuance Fund and the Debt Service Reserve Fund created under the Series 2018A Bond Indenture.

“Governing Body” means, with respect to the Issuer, the County Council of Montgomery County, Maryland and, with respect to the Obligor, the Board of Directors of the Obligor.

“Government Obligations” means direct obligations of, or obligations the full and timely principal of and interest on which are guaranteed by, the United States of America.

“Governmental Unit” shall have the meaning set forth in Section 150 of the Code.

“Hazardous Substances” means (a) any oil, flammable substance, explosives, radioactive materials, hazardous wastes or substances, toxic wastes or substances or any other wastes, materials or pollutants which (i) pose a hazard to the Project or to persons on or about the Project or (ii) cause the Project to be in violation of any Environmental Laws; (b) asbestos in any form which is or could become friable, urea formaldehyde foam insulation, transformers or other equipment which contain dielectric fluid containing levels of polychlorinated biphenyls or radon gas; (c) any chemical, material or substance defined as or included in the definition of “waste,” “hazardous substances,” “hazardous wastes,” “hazardous materials,” “extremely hazardous waste,” “restricted hazardous waste” or “toxic substances” or words of similar import under any Environmental Laws including, without limitation, the Comprehensive Environmental Response, Compensation and Liability Act (“CERCLA”), 42 USC §§ 9601 et seq.; the Resource Conservation and Recovery Act (“RCRA”), 42 USC §§ 6901 et seq.; the Hazardous Materials Transportation Act, 49 USC §§ 1801 et seq.; the Federal Water Pollution Control Act, 33 USC §§ 1251 et seq.; and any applicable State environmental statutes, rules and regulations; (d) any other chemical, material or substance, exposure to which is prohibited, limited or regulated by any governmental authority or agency or may or could pose a hazard to the health and safety of the occupants of the Premises or the Facilities or the owners and/or occupants of property adjacent to or surrounding the Premises or the Facilities, or any other person coming upon the Premises or the Facilities or adjacent property; or (e) any other chemical, materials or substance which may or could pose a hazard to the environment.

“Holder” or “holder” or “Owner” or “owner” means the registered owner of any Bond.

“Interest Account” means the account of such name in the Bond Fund created in Section 3.02 of the Series 2018A Bond Indenture.

“Interest Payment Date” means (a) as to the Series 2018A Bonds, each January 1 and July 1, commencing January 1, 2019; and (b) as to Additional Bonds, the periods specified in the applicable Supplemental Bond Indenture on which interest on such Additional Bonds is to be paid.

“Issuer” means Montgomery County, Maryland, a body corporate and politic and a political subdivision of the State of Maryland, and its successors and assigns.

“Issuer Representative” means the County Executive of the Issuer, the Chief Administrative Officer of the Issuer, the Director of Finance of the Issuer or such other person or persons designated by the County Executive of the Issuer by executive order or otherwise to act on behalf of the Issuer and identified by written certificate of the Issuer furnished to the Obligor and the Bond Trustee containing the specimen signature of such person and signed on behalf of the Issuer by the County Executive of the Issuer. Such certificate may designate an alternate or alternates.

“Issuer’s Annual Fee” means an amount equal to one-tenth of one percent (0.10%) of the principal amount of the Bonds Outstanding under the Series 2018A Bond Indenture as of the due date for the payment of the Issuer’s Annual Fee.

“Issuer’s Fees and Expenses” means those reasonable fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Issuer or the Bond

Trustee to prepare audits, financial statements, reports or opinions or provide such other services required under the Series 2018A Bond Indenture and this Agreement and all taxes and assessments of any type or character charged to the Issuer affecting the amount available to the Issuer from payments to be received under the Series 2018A Bond Indenture or this Agreement or in any way arising due to the transactions contemplated hereby (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments).

“Master Indenture” means the Master Trust Indenture dated as of August 1, 2018, between the Obligor and the Master Trustee, including any supplements or amendments thereto and modifications thereof.

“Master Obligations” means any promissory note, guaranty, lease, contractual agreement to pay money or other obligation of any Obligated Group Member which is authenticated and delivered pursuant to the Master Indenture and which is entitled to the benefits of the Master Indenture, including, without limitation, the Series 2018 Master Obligations.

“Master Trustee” means Wilmington Trust, National Association, as trustee under the Master Indenture, until it is replaced and thereafter its successors as master trustee thereunder.

“Maximum Annual Debt Service” means the largest Debt Service Requirement for any current or succeeding Fiscal Year, excluding the Debt Service Requirement with respect to Qualifying Intermediate-Term Indebtedness.

“Moody’s” shall mean Moody’s Investors Service, or any successor thereto maintaining a rating on the Bonds.

“Obligated Group Members” has the meaning given such term in the Master Indenture.

“Obligated Group Representative” means (a) the Obligor and (b) any surviving, resulting or transferee corporation.

“Obligor” means Friends House Retirement Community, Inc., a nonstock corporation organized and existing under the laws of the State of Maryland, and any and all successors thereto in accordance with the Master Indenture.

“Obligor’s Documents” means, collectively, this Agreement, the Series 2018B Financing Agreement, the Series 2018 Notes, the Master Indenture, the Supplemental Master Indenture, the Series 2018 Master Obligations, the Deed of Trust, the Disbursement Agreement, the Tax Agreement, the Bond Purchase Agreement and the Continuing Disclosure Certificate.

“Officer’s Certificate” means a certificate signed, in the case of a certificate delivered by the Obligor, by the President or the Executive Director or any other Authorized Obligor Representative or in the case of a certificate delivered by any other corporation, by the President, any Vice President, the Chief Operating Officer, the Chief Financial Officer, the Director of Finance or any other officer or agent authorized to sign by resolution of the Governing Body of such corporation or, in the case of a certificate delivered by any other Person, the chief executive or chief financial officer of such other Person.

“Opinion of Bond Counsel” shall mean an opinion in writing signed by Bond Counsel.

“Opinion of Counsel” means an opinion in writing signed by an attorney or firm of attorneys who may be counsel to the Obligor or other counsel acceptable to the Bond Trustee.

“Outstanding” means, as of any particular time, all Bonds which have been duly authenticated and delivered by the Bond Trustee under the Series 2018A Bond Indenture, except:

(a) Bonds theretofore cancelled by the Bond Trustee or delivered to the Bond Trustee for cancellation after purchase in the open market or because of payment at or redemption prior to maturity;

(b) Bonds for the payment or redemption of which cash funds (or Government Obligations to the extent permitted in Section 7.01 of the Series 2018A Bond Indenture) shall have been theretofore deposited with the Bond Trustee (whether upon or prior to the maturity or redemption date of any such Bonds); provided that if such Bonds are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given or arrangements satisfactory to the Bond Trustee shall have been made therefor, or waiver of such notice satisfactory in form to the Bond Trustee shall have been filed with the Bond Trustee; and provided further that prior to such payment or redemption, the Bonds to be paid or redeemed shall be deemed to be Outstanding for the purpose of transfers and exchanges under Section 2.05 of the Series 2018A Bond Indenture; and

(c) Bonds in lieu of which other Bonds have been authenticated under Section 2.06 of the Series 2018A Bond Indenture.

“Paying Agent” means any bank or trust company, including the Bond Trustee, designated pursuant to the Series 2018A Bond Indenture to serve as a paying agency or place of payment for the Bonds, and any successor designated pursuant to the Series 2018A Bond Indenture.

“Payment Office” with respect to the Bond Trustee or other Paying Agent means the office maintained by the Bond Trustee or any affiliate of the Bond Trustee or of another Paying Agent for the payment of interest and principal on the Bonds.

“Permitted Investments” has the meaning assigned to such term in the Master Indenture.

“Person” means an individual, association, unincorporated organization, corporation, limited liability company, partnership, joint venture, business trust or a government or an agency or a political subdivision thereof or any other entity.

“Plans and Specifications” means the plans and specifications for a Project prepared by an Architect.

“Premises” means the real estate described in Exhibit A attached to the Deed of Trust, as may be amended from time to time, is incorporated herein.

“Principal Account” means the account of such name in the Bond Fund created in Section 3.02 of the Series 2018A Bond Indenture.

“Principal Payment Date” means (a) as to the Series 2018A Bonds, (i) each Sinking Fund Payment Date and (ii) each maturity date established for the Series 2018A Bonds pursuant to the Series 2018A Bond Indenture; and (b) as to Additional Bonds, the dates specified in the applicable Supplemental Bond Indenture on which such Additional Bonds are stated to mature.

“Project” means the facilities to be financed or refinanced with the proceeds of the Series 2018A Bonds as described in Exhibit A hereto and any Capital Addition to be financed by Additional Bonds. References to “a Project” or “such Project” shall be deemed to refer to the components of the Project being financed from proceeds of the Bonds.

“Project Account” means the account of such name in the Construction Fund created in Section 3.06 of the Series 2018A Bond Indenture.

“Qualifying Intermediate-Term Indebtedness” has the meaning given such term in the Master Indenture.

“Rating Agency” means Fitch, Moody’s or Standard & Poor’s, and any successor thereto.

“Rebate Fund” means that fund established in the name of the Issuer with the Bond Trustee pursuant to Section 3.16 of the Series 2018A Bond Indenture.

“Registered Owner” or “Owners” means the person or persons in whose name or names a Bond shall be registered on books of the Issuer kept by the Bond Trustee for that purpose in accordance with the terms of the Series 2018A Bond Indenture.

“Regular Record Date” means (a) for the Series 2018A Bonds, the last day of the calendar month next preceding the applicable Interest Payment Date, and (b) for Additional Bonds, the day established by the supplement to the Series 2018A Bond Indenture relating to such Additional Bonds.

“Regulations” means the applicable proposed, temporary or final Income Tax Regulations promulgated under the Code or, to the extent applicable to the Code, under the Internal Revenue Code of 1954, as such regulations may be amended or supplemented from time to time.

“Reserve Account” means, (a) with respect to the Series 2018A Bonds, the Series 2018A Reserve Account created pursuant to Section 2.02 of the Series 2018A Bond Indenture, and (b) with respect to any Additional Bonds, such Accounts as may be created within the Debt Service Reserve Fund to secure such Additional Bonds.

“Reserved Rights” means the rights of the Issuer pursuant to Sections 5.2 (Repayment of Loan), 5.6 (Payment of Administration Expenses), 7.5 (Release and Indemnification), 7.9 (Fees and Expenses), 9.4 (No Remedy Exclusive) and 9.6 (Waivers) of this Agreement, the rights of the Issuer pursuant to the Tax Agreement and the rights of the Issuer pursuant to the Series 2018 Bond Documents providing for indemnification of the Issuer, the Issuer’s rights to receive certain notices, reports and other statements required to be given to the Issuer, and the Issuer’s rights to approve or consent to specified actions or requests.

“Responsible Officer” when used with respect to the Bond Trustee means an officer in the Corporate Trust Department of the Bond Trustee having direct responsibility for administration of

the Series 2018A Bond Indenture and any other officer of the Bond Trustee to whom such matter is referred because of such person's knowledge of and familiarity with the particular subject.

"Securities Depository" means The Depository Trust Company, New York, New York, and any successor thereto as permitted by the Series 2018A Bond Indenture.

"Series 2018A Bond Indenture" means the Bond Trust Indenture of even date herewith relating to the Bonds between the Issuer and the Bond Trustee, including any indentures supplemental thereto made in conformity therewith.

"Series 2018A Bonds" means the Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project) Series 2018A issued pursuant to the Series 2018A Bond Indenture.

"Series 2018A Master Obligation" means Master Obligation No. 1 relating to the Series 2018A Bonds issued by the Obligated Group pursuant to the Supplemental Master Indenture.

"Series 2018A Note" means the promissory note substantially in the form of Exhibit D hereto, appropriately completed, payable to the Issuer to evidence the obligation of the Obligor to make payments pursuant to this Agreement, which the Issuer will assign to the Bond Trustee (excluding the Reserved Rights) as security for the Series 2018A Bonds.

"Series 2018B Bond" means the Montgomery County, Maryland Economic Development Revenue Bond (Friends House Retirement Community Project) Series 2018B issued pursuant to the Series 2018B Financing Agreement.

"Series 2018B Financing Agreement" means the Loan and Financing Agreement dated as of August 1, 2018, by and among the Issuer, the Obligor and the Series 2018B Lender, including any supplements or amendments thereto made in conformity therewith, pursuant to which the Series 2018B Bond is being issued and sold.

"Series 2018B Lender" means Compass Mortgage Corporation, its successors and assigns.

"Series 2018B Master Obligation" means Master Obligation No. 2 relating to the Series 2018B Bond issued by the Obligated Group pursuant to the Supplemental Master Indenture.

"Series 2018B Note" means the promissory note substantially in the form of Exhibit D hereto, appropriately completed, payable to the Issuer to evidence the obligation of the Obligor to make payments pursuant to the Series 2018B Financing Agreement, which the Issuer will assign to the Series 2018B Lender (excluding the Reserved Rights) as security for the Series 2018B Bond.

"Series 2018 Bond Documents" means, collectively, the Master Indenture, the Supplemental Master Indenture, the Series 2018A Bond Indenture and the Obligor's Documents.

"Series 2018 Bonds" means, collectively, the Series 2018A Bonds and the Series 2018B Bond.

"Series 2018 Master Obligations" means, collectively, the Series 2018B Master Obligation and the Series 2018A Master Obligation.

"Series 2018 Notes" means, collectively, the Series 2018B Note and the Series 2018A Note.

"Sinking Fund Payment Date" means July 1 of each year when annual sinking fund redemptions and/or principal payments at maturity are required to be made on the Series 2018A Bonds under Section 5.02 of the Series 2018A Bond Indenture.

"Special Record Date" means a special date fixed to determine the names and addresses of owners of Series 2018A Bonds for purposes of paying defaulted interest on a special interest payment date, all as further provided in Section 2.03 of the Series 2018A Bond Indenture and for Additional Bonds shall be the day established by the Supplemental Bond Indenture relating to such Additional Bonds.

"Standard & Poor's" shall mean S&P Global Ratings, or any successor thereto maintaining a rating on the Bonds.

"Supplemental Bond Indenture" means any indenture amending or supplementing the Series 2018A Bond Indenture which may be entered into in accordance with the provisions of the Series 2018A Bond Indenture.

"Supplemental Master Indenture" means Supplemental Master Indenture Number 1, dated as of August 1, 2018, by the Obligor executed and delivered to the Master Trustee, supplemental to the Master Indenture, providing for the issuance of the Series 2018 Master Obligations and certain other obligations, including any supplements or amendments thereto and modifications thereof.

"Surplus Construction Fund Moneys" means all moneys (including moneys earned pursuant to the provisions of Article VI of the Series 2018A Bond Indenture) remaining in the Construction Fund after completion of a Project (as evidenced by a Completion Certificate) and payment of all other costs then due and payable from the Construction Fund.

"Tax Agreement" means the Tax Certificate and Compliance Agreement dated the Delivery Date, by and between the Obligor and the Issuer.

"Tax Exempt Bonds" means the Series 2018 Bonds and any Additional Bonds the interest on which is intended to be excludable from the gross income of the owners thereof for federal income tax purposes.

"Tax Exempt Organization" means a Person organized under the laws of the United States of America or any state thereof which is an organization described in Section 501(c)(3) of the Code and which is exempt from federal income taxes under Section 501(a) of the Code or corresponding provisions of federal income tax laws from time to time in effect.

"Trust Estate" means the property pledged and assigned to the Bond Trustee pursuant to the granting clauses of the Series 2018A Bond Indenture.

"Underwriter" means Herbert J. Sims & Co., Inc., as the Underwriter of the Series 2018A Bonds.

[End of Article I]

**ARTICLE II
REPRESENTATIONS**

Section 2.1. Representations by the Issuer. The Issuer represents that:

The Issuer hereby finds and determines that:

(a) The Issuer is a duly created and validly existing body politic and corporate and a political subdivision of the State of Maryland;

(b) The Issuer is authorized under the Act to issue the Series 2018A Bonds and loan the proceeds thereof to the Obligor, and the Issuer is duly authorized to enter into this Agreement, the Series 2018A Bond Indenture and the Series 2018A Bonds and the transactions contemplated hereby and thereby and to perform all of its obligations hereunder and thereunder;

(c) The Issuer has duly authorized the issuance of the Series 2018A Bonds and the execution and delivery of this Agreement and the Series 2018A Bond Indenture under the terms and provisions of a resolution of the Issuer. The Issuer has taken all necessary action and has complied with all provisions of the Act, including, but not limited to, the making of the findings required by the Act, required to make the Series 2018A Bonds, this Agreement and the Series 2018A Bond Indenture the valid and binding obligations of the Issuer, except to the extent limited by bankruptcy, reorganization or other laws of general application relating to or affecting the enforcement of creditors' rights;

(d) None of the Series 2018A Bond Indenture, this Agreement, the Series 2018A Bonds, the endorsement of the Series 2018 Notes (excluding the Reserved Rights) to the order of the Bond Trustee, or any payments to be received by the Issuer under the Series 2018A Bond Indenture, this Agreement, the Series 2018 Notes or the Series 2018A Bonds has been mortgaged, pledged or hypothecated by the Issuer in any manner or for any purpose or has been the subject of a grant of a security interest by the Issuer other than as provided in the Series 2018A Bond Indenture as security for the payment of the Bonds; and

(e) All acts, conditions and things required to exist, happen and be performed by the Issuer precedent to and in the execution and delivery by the Issuer of the Series 2018A Bonds do exist, have happened and have been performed in due time, form and manner as required by law; the issuance of the Series 2018A Bonds, together with all other obligations of the Issuer, do not exceed or violate any constitutional or statutory limitation.

Section 2.2. Representations by the Obligor. The Obligor represents and warrants to the Issuer that, as of the date of execution of this Agreement and as of the date of delivery of the Series 2018A Bonds to the initial purchasers thereof (such representations and warranties to remain operative and in full force and effect regardless of the issuance of the Series 2018A Bonds or any investigations by or on behalf of the Issuer or the results thereof):

(a) The Obligor is a nonstock corporation organized and existing under the laws of the State of Maryland for nonprofit purposes, is qualified to conduct business in the State of Maryland, has full legal right, power and authority to enter into the Obligor Documents, and to carry out and consummate all transactions contemplated hereby and by the other Obligor Documents, and by

proper corporate action has duly authorized the execution, delivery and performance of the Obligor Documents.

(b) The officers of the Obligor executing the Obligor Documents are duly and properly in office and fully authorized to execute the same.

(c) The Obligor Documents have been duly authorized, executed and delivered by the Obligor.

(d) The Obligor Documents, when assigned to or issued to the Bond Trustee, as applicable, pursuant to the Series 2018A Bond Indenture, will constitute the legal, valid and binding agreements of the Obligor enforceable against the Obligor by the Bond Trustee in accordance with their terms for the benefit of the Owners of the Series 2018A Bonds, and any rights of the Issuer and obligations of the Obligor not so assigned to the Bond Trustee constitute the legal, valid, and binding agreements of the Obligor enforceable against the Obligor by the Issuer in accordance with their terms; except in each case as enforcement may be limited by bankruptcy, insolvency or other laws affecting the enforcement of creditors' rights generally, by the application of equitable principles regardless of whether enforcement is sought in a proceeding at law or in equity and by public policy.

(e) The execution and delivery of the Obligor Documents, the consummation of the transactions herein and therein contemplated and the fulfillment of or compliance with the terms and conditions hereof and thereof will not conflict with or constitute a violation or breach of or default (with due notice or the passage of time or both) under the articles of incorporation of the Obligor, its bylaws, any applicable law or administrative rule or regulation, any applicable court or administrative decree or order or any indenture, mortgage, deed of trust, loan agreement, lease, contract or other agreement or instrument to which the Obligor is a party or by which it or its properties are otherwise subject or bound, or result in the creation or imposition of any lien, charge or encumbrance of any nature whatsoever upon any of the property or assets of the Obligor, which conflict, violation, breach, default, lien, charge or encumbrance might have consequences that would materially and adversely affect the consummation of the transactions contemplated by the Obligor Documents or the financial condition, assets, properties or operations of the Obligor.

(f) No consent or approval of any trustee or holder of any indebtedness of the Obligor or any guarantor of indebtedness of or other provider of credit or liquidity of the Obligor, and no consent, permission, authorization, order or license of, or filing or registration with, any governmental authority (except with respect to any state securities or "blue sky" laws) is necessary in connection with the execution and delivery of the Obligor Documents, or the consummation of any transaction herein or therein contemplated, or the fulfillment of or compliance with the terms and conditions hereof or thereof, except as have been obtained or made and as are in full force and effect.

(g) There is no action, suit, proceeding, inquiry or investigation, before or by any court or federal, state, municipal or other governmental authority, pending, or to the knowledge of the Obligor, after reasonable investigation, threatened, against or affecting the Obligor or the assets, properties or operations of the Obligor which, if determined adversely to the Obligor or its interests, would have a material adverse effect upon the consummation of the transactions contemplated by, or the validity of, the Obligor Documents, or upon the financial condition, assets, properties or operations of the Obligor, and the Obligor is not in default (and no event has occurred and is continuing which with the giving of notice or the passage of time or both could constitute a

default) with respect to any order or decree of any court or any order, regulation or demand of any federal, state, municipal or other governmental authority, which default might have consequences that would materially and adversely affect the consummation of the transactions contemplated by the Obligor Documents or the financial condition, assets, properties or operations of the Obligor. All tax returns (federal, state and local) required to be filed by or on behalf of the Obligor have been filed, and all taxes shown thereon to be due, including interest and penalties, except such, if any, as are being actively contested by the Obligor in good faith, have been paid or adequate reserves have been made for the payment thereof which reserves, if any, are reflected in the audited financial statements described therein.

(h) No written information, exhibit or report furnished to the Issuer or the Underwriter by the Obligor in connection with the delivery of the Obligor Documents contains any untrue statement of a material fact or omits to state a material fact required to be stated therein or necessary to make the statements therein, in the light of the circumstances under which they were made, not misleading.

(i) As of the date of this Agreement, (i) the Obligor is a Tax Exempt Organization, for federal income tax purposes, (ii) the Obligor has received a determination letter from the Internal Revenue Service to the effect that it is a Tax Exempt Organization, (iii) the Obligor is in full compliance with all terms, conditions and limitations, if any, contained in such determination letter, (iv) such status as a Tax Exempt Organization has not been adversely modified, limited or revoked, (v) the facts and circumstances which formed the basis for the status of the Obligor, as represented to the Internal Revenue Service in the Obligor's application for a determination letter, either substantially exist for the Obligor or differ in a manner consistent with the requirements of Section 501(c)(3) of the Code, and (vi) the financing, ownership and operation of the Project as contemplated by the Series 2018A Bond Indenture and this Agreement do not adversely affect the status of the Obligor as a Tax Exempt Organization.

(j) The Obligor has good and marketable title to the Premises and the Facilities free and clear from all encumbrances other than Existing Liens, as described on Exhibit A to the Master Indenture.

(k) The Obligor complies and covenants to comply in all material respects with all applicable Environmental Laws.

(l) Neither the Obligor nor the Project are the subject of a federal, state or local investigation evaluating whether any remedial action is needed to respond to any alleged violation of or condition regulated by Environmental Laws or to respond to a release of any Hazardous Substances into the environment.

(m) The Obligor does not have any material contingent liability in connection with any release of any Hazardous Substances into the environment.

(n) The representations, warranties and covenants of the Obligor set forth in the Tax Agreement are incorporated herein and made a part hereof by this reference thereto, as if fully set forth herein.

[End of Article II]

ARTICLE III TERM OF AGREEMENT

Section 3.1. Term of this Agreement. Subject to Section 11.12 herein and those obligations that survive by their terms, this Agreement shall remain in full force and effect from the date of delivery hereof until such time as all of the Bonds shall have been fully paid or provision made for such payment pursuant to the Series 2018A Bond Indenture and all reasonable and necessary fees and expenses of the Bond Trustee and the Issuer accrued and to accrue through final payment of the Bonds and all liabilities of the Obligor with respect to the Bonds accrued and to accrue through final payment of the Bonds have been paid.

[End of Article III]

**ARTICLE IV
ISSUANCE OF THE BONDS;
CONSTRUCTION OF THE PROJECT; DISBURSEMENTS**

Section 4.1. Agreement to Issue Bonds.

(a) In order to provide funds to pay Costs of the Project, pay Costs of Issuance and fund reserves and working capital, the Issuer agrees that it will issue, sell and deliver to the Underwriter the Series 2018A Bonds, in the aggregate principal amount of \$16,975,000. The proceeds of the Series 2018A Bonds shall be deposited as provided in Section 3.01 of the Series 2018A Bond Indenture.

(b) Additional Bonds may be issued upon the terms and conditions provided herein and in Sections 2.09 and 2.10 of the Series 2018A Bond Indenture. Additional Bonds may be issued to provide funds for any valid purpose of the Act. In the event of the issuance of Additional Bonds for any such purposes, the amount of Additional Bonds issued may include the costs of the issuance and sale of the Additional Bonds, capitalized interest for such period allowed by law, reserve funds and such other costs reasonably related to the financing as shall be agreed upon by the Obligor and the Issuer.

(c) If the Obligor is not in default hereunder, the Issuer agrees, on request of the Obligor, from time to time, to consider issuing the amount of Additional Bonds specified by the Obligor, provided that the decision to issue or not issue such Additional Bonds shall be in the sole discretion of the Issuer, and provided further that the terms of such Additional Bonds, the purchase price to be paid therefor and the manner in which the proceeds thereof are to be disbursed shall have been approved in writing by the Obligor, and provided further that (i) the Obligor and the Issuer shall have entered into an amendment to this Agreement to provide, among other things, that the Project shall include the facilities, if any, being financed by the Additional Bonds, for additional loan payments in an amount at least sufficient to pay principal of, premium, if any, and interest on the Additional Bonds when due, and for a deposit into the Debt Service Reserve Fund of additional Debt Service Reserve Fund Obligations which, together with amounts at that time contained in the Debt Service Reserve Fund, will equal the Debt Service Reserve Fund Requirement on all Bonds Outstanding at the date of issuance of such series of Additional Bonds, and (ii) the Obligor and the Master Trustee shall have entered into a supplement to the Master Indenture whereby the Obligor issues a Master Obligation securing payment of the principal of, premium, if any, and interest on the Additional Bonds. The Issuer agrees to comply with Sections 2.09 and 2.10 of the Series 2018A Bond Indenture with respect to the issuance of Additional Bonds.

Section 4.2. Agreement to Construct Project; Completion Certificate.

(a) The Obligor shall cause the Project to be acquired, constructed and improved with due diligence and pursuant to the requirements of the applicable laws of the State in all material respects.

(b) The Obligor shall deliver to the Bond Trustee within 90 days after the final completion of the Project a certificate (the "Completion Certificate") of the Obligor to the effect that:

(i) The Project has been completed substantially in accordance with the Plans and Specifications, as then amended, and the date of completion;

(ii) The Cost of the Project has been fully paid for and no claim or claims exist against the Obligor or against the Project out of which a lien based on furnishing labor or material exists or might ripen; provided, however, there may be excepted from the foregoing statement any claim or claims out of which a lien exists or might ripen in the event that the Obligor intends to contest such claim or claims in accordance with this Agreement, in which event such claim or claims shall be described; provided, further, that it shall be stated that moneys are on deposit in the Construction Fund sufficient to make payment of the full amount that might in any event be payable in order to satisfy such claim or claims; provided, further, that there may also be excepted from the foregoing statement any claim that has been insured over pursuant to an endorsement to any title insurance; and

(iii) All permits, certificates and licenses necessary for the occupancy and use of the Project have been obtained and are in full force and effect.

Section 4.3. Cost of Construction. The Obligor represents and warrants that it will use its best efforts to construct or cause the construction of each Project at a price which will permit completion of each Project within the amount of the funds to be deposited in the Construction Fund and within the amount of other available funds of the Obligor. The Obligor will not permit any mechanic's or materialman's or other liens to be filed or remain against any improvements for labor or materials furnished in connection with the construction and installation of any improvements, provided it will not constitute an Event of Default hereunder upon such lien being filed, if the Obligor promptly notifies the Bond Trustee and the Master Trustee of any such liens and the Obligor in good faith contests such liens in accordance with Section 4.7 hereof; and in such event the Obligor may permit the liens so contested to remain undischarged and unsatisfied during the period of such contest and any appeal therefrom.

Section 4.4. Plans; Modifications of a Project. The Obligor hereby covenants and agrees that no changes or modifications, substitutions, deletions or additions shall be made with respect to a Project if such change, modification, substitution, deletion or addition disqualifies such Project under the Act or otherwise under the laws of the Issuer.

Section 4.5. Compliance with Regulatory Requirements.

(a) The Obligor agrees that each Project shall be constructed strictly in accordance with all applicable ordinances and statutes and in accordance with the requirements of all regulatory authorities in all material respects and any rating or inspection organization, bureau, association or office having jurisdiction, and it will furnish to the Issuer all information necessary for the Issuer to comply with all of the foregoing and all laws, regulations, orders and other governmental requirements.

(b) The Obligor shall, at no expense to the Issuer, promptly comply in all material respects or cause compliance in all material respects with all laws, ordinances, orders, rules, regulations and requirements of duly constituted public authorities which may be applicable to the Obligor or to its facilities and operations.

Section 4.6. Requests for Disbursements.

(a) The Obligor shall be entitled to disbursements of moneys in the Project Account of the Construction Fund to pay the Costs related to the Project. The Obligor shall comply with all the requirements of the Disbursement Agreement. Disbursements from the Project Account shall be made only (i) upon the Trustee's receipt of a requisition in compliance with the Disbursement Agreement and (ii) so long as an Event of Default under this Agreement or any of the other Series 2018 Bond Documents shall not have occurred and be continuing unless such Event of Default shall have been waived pursuant to the terms hereof. The Bond Trustee shall keep a record of all requisitions submitted by the Obligor.

(b) The Obligor shall be entitled to disbursement of moneys in the Costs of Issuance Fund to pay the Costs of Issuance. The Obligor shall request disbursements from the Costs of Issuance Fund on the form attached hereto as Exhibit B to pay Costs of Issuance and to reimburse itself for Costs of Issuance paid by the Obligor upon presentation to the Bond Trustee of a request for disbursement signed by the Obligor, but in no event more often than four times a month.

(c) Notwithstanding the foregoing, the Obligor shall make no request for disbursement of moneys for payment of Costs of Issuance from any Fund other than the Costs of Issuance Fund.

Section 4.7. Contest of Liens. Section 4.3 of this Agreement permits the Obligor to contest certain liens. In order to contest any such liens, the Obligor will furnish the Master Trustee with a bond or cash deposit equal to at least the amount so contested and with an Opinion of Counsel reasonably acceptable to the Master Trustee stating that by nonpayment of any such items the lien of the Deed of Trust will not be materially endangered and neither the Premises and the Facilities nor any material part thereof will be subject to imminent loss or forfeiture. The proceeds of the bond or the cash deposit may be used by the Master Trustee to satisfy the lien if action is taken to enforce the lien and such action is not stayed. The bond or cash deposit will be returned to the Obligor if the lien is successfully contested. If the Obligor is unable or otherwise fails to obtain such a bond or provide such a cash deposit and such an Opinion of Counsel, the Obligor will cause to be satisfied and discharged promptly all such items by payment thereof.

Section 4.8. Modification of Disbursements. The making of any disbursement or any part of a disbursement shall not be deemed an approval or acceptance by the Bond Trustee of the work theretofore done. The Bond Trustee may deduct from any disbursement to be made under this Agreement any amount necessary for the payment of fees and expenses required to be paid under this Agreement and any insurance premiums, taxes, assessments, water rates, sewer rents and other charges, liens and encumbrances upon the facilities, whether before or after the making of this Agreement, and any amounts necessary for the discharge of mechanic's liens, and apply such amounts in payment of such fees, expenses, premiums, taxes, assessments, charges, liens and encumbrances. All such sums so applied shall be deemed disbursements under this Agreement.

Section 4.9. Covenants Regarding Tax Exemption. The representations, warranties and covenants of the Obligor and the Issuer set forth in the Tax Agreement are hereby incorporated herein and made a part hereof by this reference thereto, as if fully set forth herein. Without limiting the foregoing, the Obligor covenants and agrees to comply with any investment restrictions, including any yield restrictions, set forth in the Tax Agreement with respect to any funds held under any of the Series 2018 Bond Documents and to provide investment instructions or requests in connection therewith to the Master Trustee and the Bond Trustee as to funds held under the Master Indenture and the Series 2018A Bond Indenture, respectively.

Section 4.10. Tax Compliance. The Obligor hereby covenants and agrees to comply with all requirements of the Code compliance with which subsequent to the issuance of the Series 2018 Bonds is necessary for the Series 2018 Bonds to be, and to remain, Tax-Exempt Bonds and to not take any actions that would adversely affect the status of the Series 2018 Bonds as Tax-Exempt Bonds. The Obligor hereby further covenants and agrees that it will not take any action, or fail to take any action, if any such action or failure to take such action would adversely affect the exclusion from gross income of interest on the Series 2018 Bonds under Section 103(a) of the Code or cause the interest on the Series 2018 Bonds, or any portion thereof, to become an item of tax preference for purposes of the alternative minimum tax imposed on individuals and corporations under the Code.

Section 4.11. Allocation of, and Limitation on, Expenditures for the Project. The Obligor covenants to account for the expenditure of sale proceeds and investment earnings to be used for the Cost of the Project on its books and records by allocating proceeds to expenditures within 18 months of the later of the date that (i) the expenditure is made, or (ii) the Project is completed. The foregoing notwithstanding, the Obligor shall not expend sale proceeds or investment earnings thereon more than 60 days after the earlier of (iii) the fifth anniversary of the delivery of the Tax Exempt Bonds, or (iv) the date the Tax Exempt Bonds are retired, unless the Obligor delivers an Opinion of Bond Counsel to the Issuer and the Bond Trustee stating that such expenditure will not adversely affect the Tax Exempt status of the Tax Exempt Bonds. For purposes hereof, the Obligor shall not be obligated to comply with this covenant if it delivers an Opinion of Bond Counsel to the Issuer and the Bond Trustee that such failure to comply will not adversely affect the excludability of interest on the Tax Exempt Bonds.

Section 4.12. Representations and Warranties as to Tax Exempt Status of Obligor. The Obligor hereby represents and warrants as follows:

(a) The Obligor is an organization exempt from federal income taxation under Section 501(a) of the Code by virtue of being described in Section 501(c)(3) of the Code;

(b) The purposes, character, activities and methods of operation of the Obligor have not changed materially since its organization and are not materially different from the purposes, character, activities and methods of operation at the time of its receipt of a determination by the Internal Revenue Service that it is an organization described in Section 501(c)(3) of the Code (the "Determination");

(c) The Obligor has not diverted a substantial part of its corpus or income for a purpose or purposes other than the purpose or purposes for which it is organized or disclosed to the Internal Revenue Service in connection with its Determination;

(d) The Obligor has not operated since its organization in a manner that would result in it being classified as an “action” organization within the meaning of Section 1.501(c)(3)-1(c)(3) of the Regulations including, but not limited to, promoting or attempting to influence legislation by propaganda or otherwise as a substantial part of its activities;

(e) With the exception of the payment of compensation (and the payment or reimbursement of expenses) to any individual or individuals which is not excessive and is for personal services which are reasonable and necessary to carrying out the purposes of the Obligor, no person controlled by any such individual or individuals nor any person having a personal or private interest in the activities of the Obligor has acquired or received, directly or indirectly, any income or assets, regardless of form, of the Obligor during the current Fiscal Year and the period, if any, preceding the current Fiscal Year, other than as reported to the Internal Revenue Service by the Obligor;

(f) The Obligor will not be treated as a “private foundation” within the meaning of Section 509(a) of the Code or during any transition period as an “operating foundation” under Section 4943(j)(3) of the Code, which will exempt the Obligor from the tax on undistributed income;

(g) The Obligor has not received any indication or notice whatsoever to the effect that its exemption under Section 501(a) of the Code as an organization described in Section 501(c)(3) of the Code has been revoked or modified, or that the Internal Revenue Service is considering revoking or modifying such exemption, and such exemption is still in full force and effect;

(h) The Obligor has filed with the Internal Revenue Service all requests for determination, reports and returns required to be filed by it and such requests for determination, reports and returns have not omitted or misstated any material fact and have notified the Internal Revenue Service of any changes in its organization and operation since the date of its Determination;

(i) The Obligor has not devoted more than an insubstantial part of its activities in furtherance of a purpose other than an exempt purpose within the meaning of Section 501(c)(3) of the Code; and

(j) The Obligor has not taken any action, nor does it know of any action that any other person has taken, nor does it know of the existence of any condition, which would cause the Obligor to lose its exemption from taxation under Section 501(a) of the Code or cause the interest on the Tax Exempt Bonds to become taxable to the recipient thereof because such interest is not excludable from the gross income of such recipient for federal income tax purposes under Section 103(a) of the Code.

Section 4.13. Disposition of Project. The Obligor covenants that the property constituting the Project will not be sold or otherwise disposed of in a transaction resulting in the receipt by the Obligor of cash or other compensation, unless the Obligor obtains an Opinion of

Bond Counsel that such sale or other disposition will not adversely affect the Tax Exempt status of the Tax Exempt Bonds and provided that such disposition is in compliance with the provisions of the Deed of Trust and the Master Indenture.

Section 4.14. Obligor Required to Pay Costs of the Project if Construction Fund Insufficient. If the moneys in the Construction Fund and the proceeds of the Series 2018B Bond available for payment of the Costs of the Project (collectively, the “Available Series 2018 Construction Proceeds”) are not sufficient to pay the costs thereof in full, the Obligor agrees to complete the acquisition, construction, renovation, equipping and installation of the Project and to pay all that portion of Costs of the Project as may be in excess of the Available Series 2018 Construction Proceeds. The Issuer does not make any warranty, either express or implied, that the Available Series 2018 Construction Proceeds will be sufficient to pay all the costs which will be incurred in that connection. The Obligor agrees that if, after exhaustion of the Available Series 2018 Construction Proceeds, the Obligor pays any portion of the Costs of the Project pursuant to the provisions of this Section, it will not be entitled to any reimbursement therefor from the Issuer or from the Bond Trustee or from the owners of any of the Bonds, nor will it be entitled to any diminution of the loan payments payable under the Master Obligations. The obligation of the Obligor to complete the construction of the Project will survive any termination of this Agreement.

Section 4.15. Construction of the Project.

(a) *Completion of the Project.* The Obligor shall issue a notice to proceed with the Project concurrently with or prior to the issuance of the Series 2018A Bonds. The Obligor shall cause the Project to be substantially completed (with the exception of final landscaping) and a final Certificate of Occupancy therefor to be issued within thirty-eight (38) months after the date of issuance of the Series 2018A Bonds and shall cause any Capital Addition to be financed with the proceeds of Additional Bonds or other Long-Term Indebtedness (as defined in the Master Indenture) to be completed as promptly as feasible and shall at its expense do or cause to be done all things necessary or proper for such completion in accordance with applicable law and regulations.

(b) *Disbursements from Construction Fund.* Disbursements from the Construction Fund for costs of the Project shall be made pursuant to the terms and conditions of Section 4.6 of this Agreement.

(c) *Construction Contract Requirements.* The Obligor shall collaterally assign to the Master Trustee the Construction Contract for the Project and the construction contract for any Capital Addition financed with the proceeds of Additional Bonds, pursuant to which assignment, the general contractor or construction manager shall agree that if any Event of Default occurs hereunder, the Master Trustee shall thereupon have the same rights under such construction contract as the Obligor thereunder; provided, however, that the Master Trustee shall be under no obligation to perform any action under such Construction Contract and shall not be liable for failure to take any such action. Any liquidated damages payable under the Construction Contract shall be payable (i) prior to the occurrence of an Event of Default, to the Obligor who shall transfer the funds to the Bond Trustee, and (ii) after the occurrence of an Event of Default, to the Bond Trustee, in either case for deposit into the Funded Interest Account of the Construction Fund and applied as provided for capitalized interest in Section 3.02 of the Series 2018A Bond Indenture.

Concurrently with the settlement for any Additional Bonds financing a Capital Addition, the Obligor shall execute and deliver to the Master Trustee a collateral assignment of its rights under the Construction Contract and the Obligor's agreement with the Architect, such assignment or assignments to become exercisable by the Master Trustee only upon the occurrence of an Event of Default by the Obligor hereunder.

(d) *Surety Bonds.* The Obligor agrees to maintain, or cause to be maintained, in connection with any construction with respect to the Project and any Capital Addition financed with Additional Bonds, the contracted cost of which is an amount equal to or greater than \$3,000,000, a surety bond or bonds with the Master Trustee, the Issuer and the Obligor as named obligees covering (i) performance of such contracts, including coverage for correction of defects developing within one year after completion and acceptance, and (ii) payment for labor and materials. The bond or bonds shall be executed by responsible surety companies qualified to do business in the State where the Project or Capital Addition is located satisfactory to the Construction Monitor in the case of the initial Project and satisfactory to the parties providing financing in the case of Capital Additions and shall be in amounts aggregating not less than one hundred percent (100%) of the contract price. The Obligor, the Issuer or the Master Trustee, as the case may be, shall deposit in the Project Account of the Construction Fund the net amounts recovered on such bonds.

(e) *Insurance During Construction.* In connection with the Project, any Capital Addition financed with Additional Bonds and any Capital Addition costing in excess of \$500,000, the Obligor shall maintain or cause to be maintained:

(i) Builder's risk (or equivalent coverage) insurance upon any work done or materials furnished under the Construction Contract except excavations, foundations and any other structures not customarily covered by such insurance, the policy for which shall (A) be issued by a responsible insurance company qualified to do business in the State and acceptable to the Construction Monitor, (B) be written in completed value form for one hundred percent (100%) of the insurable value of the contract in the names of the Obligor and the general contractor and (C) be in an all-risk form approved by the Obligor and satisfactory to the Construction Monitor (and removing the occupancy restriction as of policy inception);

(ii) Worker's compensation insurance and employer's liability insurance underwritten by responsible companies qualified to do business in the State and satisfactory to the Construction Monitor, covering all employees of contractors and subcontractors in amounts required by law;

(iii) Public liability insurance maintained by each general contractor on an occurrence basis in an amount not less than \$1,000,000 combined single limit, such policy to cover premises and operations, independent contractors and products and completed operations, to be endorsed with a broad form comprehensive general liability endorsement or its equivalent including at least personal injury and broad form property damage coverage, provided that the contractor shall maintain completed operations coverage for at least one year after completion of the Project or such Capital Addition;

(iv) Automobile liability insurance covering owned, non-owned and hired automobiles of each contractor in an amount not less than \$1,000,000 combined single limit; and

(v) Umbrella liability coverage covering the contractor in the amount of \$1,000,000, applying in excess of the comprehensive general liability and automobile liability insurance required above.

Section 4.16. Obligor to Pursue Remedies Against Contractors and Subcontractors and Their Sureties.

In the event of default of any contractor or subcontractor under any contract made by it for acquisition, construction or installation of any Capital Additions for which Additional Bonds have been issued, the Obligor will take reasonable, appropriate measures, either separately or in conjunction with others, to exhaust the remedies of the Obligor against the contractor or subcontractor so in default and against its surety (if any) for the performance of such contract. The Obligor will advise the Master Trustee, the Bond Trustee and the Construction Monitor by written notice of the steps it intends to take in connection with any such default.

Section 4.17. Obligations under Series 2018A Bond Indenture. The Obligor acknowledges that the Series 2018A Bond Indenture contains duties and obligations on its part to be performed and agrees to comply with the same.

[End of Article IV]

ARTICLE V
LOAN OF BOND PROCEEDS; MASTER OBLIGATIONS;
PROVISION FOR PAYMENT

Section 5.1. Loan of Bond Proceeds. The Issuer hereby agrees to loan to the Obligor the proceeds of the Series 2018A Bonds to provide financing for the Costs of the Project. The Obligor hereby agrees to repay the loan pursuant to the conditions set forth in Section 5.2 hereof.

Section 5.2. Repayment of Loan. The Obligor agrees to pay to the Bond Trustee for the account of the Issuer all payments when due on the Series 2018A Note and the Series 2018A Master Obligation. In order to provide for payment when due on the Series 2018A Note and the Series 2018A Bonds, the Obligor shall deliver or cause to be delivered to the Bond Trustee in immediately available funds (a) beginning December 1, 2019 and on or prior to the first Business Day of each month thereafter, an amount equal to 1/6 of the amount of interest payable on the Series 2018A Bonds on the next Interest Payment Date, for deposit in the Interest Account of the Bond Fund (provided that if the number of months between the date on which amounts in the Funded Interest Account have been exhausted and the next Interest Payment Date, or between the last two Interest Payment Dates for all outstanding Series 2018A Bonds, is fewer than six, then the amount required to be deposited shall be the pro rata amount of interest payable on the next Interest Payment Date that is attributable to each month during such period), and (b) beginning on July 2, 2029 and on or prior to the last Business Day of each month thereafter, an amount equal to 1/12 of the amount of principal payable on the Series 2018A Bonds on the next Sinking Fund Payment Date, for deposit in the Principal Account of the Bond Fund (provided that if the number of months between July 2, 2029 and the next Sinking Fund Payment Date, or between the last two Sinking Fund Payment Dates for any Series 2018A Bond is fewer than twelve, then the amount deposited shall be the pro rata amount of principal payable on the next Sinking Fund Payment Date that is attributable to each such month during such period). If for any reason the amounts paid to the Bond Trustee by the Obligor on the Series 2018A Note and the Series 2018A Master Obligation, together with any other amounts available in the Bond Fund, are not sufficient to pay principal of, premium, if any, and interest on the Series 2018A Bonds when due, the Obligor agrees to pay the amount required to make up such deficiency.

Section 5.3. Credits. Any amount in any account of the Bond Fund at the close of business of the Bond Trustee on the day immediately preceding any payment date on the Series 2018A Bonds in excess of the aggregate amount then required to be contained in such account of the Bond Fund pursuant to Section 5.2 hereof shall be credited pro rata against the payments due by the Obligor on such next succeeding principal or interest payment date on the Series 2018A Bonds.

Any amounts contained in the Bond Fund at the close of business of the Bond Trustee on the day immediately preceding such redemption date shall be credited against the payments due by the Obligor on the Series 2018A Note and the Series 2018A Master Obligation, as provided below.

The principal amount of any purchased Series 2018A Bonds to be applied by the Bond Trustee as a credit against any sinking fund payment pursuant to Section 5.02 of the Series 2018A Bond Indenture shall be credited against the obligation of the Obligor with respect to payment of

installments of principal of the Series 2018A Master Obligation as described in the Supplemental Master Indenture.

The cancellation by the Bond Trustee of any Series 2018A Bonds purchased by the Obligor or of any Series 2018A Bonds redeemed by or on behalf of the Issuer through funds other than funds received on the Series 2018A Master Obligation shall constitute payment of a principal amount of the Series 2018A Master Obligation equal to the principal amount of the Series 2018A Bonds so cancelled. Upon receipt of written notice from the Bond Trustee of such cancellation, the Master Trustee shall at the request of the Obligor endorse on such Series 2018 Master Obligation such payment of such principal amount thereof.

Section 5.4. Master Obligation. Concurrently with the sale and delivery by the Issuer of the Series 2018A Bonds, the Obligor shall execute and deliver the Series 2018A Master Obligation substantially in the form set forth in the Supplemental Master Indenture. Concurrently with the sale and delivery by the Issuer of any Additional Bonds, the Master Indenture shall be supplemented to reflect the issuance of the additional Master Obligations referred to below, and to make any other changes, amendments or modifications which, in the opinion of the parties thereto, may be necessary or appropriate. Concurrently with the sale and delivery by the Issuer of any Additional Bonds, the Obligor shall execute and deliver one or more additional Master Obligations payable to the Bond Trustee for the account of the Issuer in substantially the form set forth in the Master Indenture. The additional Master Obligations shall:

(a) Require payment or payments of principal, premium, if any, and interest in amounts and at times sufficient, together with any other funds available therefor, to permit the payments of principal, premium, if any, and interest on the related Additional Bonds, taking into account any mandatory sinking fund requirements (pursuant to the Supplemental Bond Indenture) which are required in respect of the related Additional Bonds, and

(b) Require each payment on the Master Obligations to be made on or before the due date for the corresponding payment to be made on the related Additional Bonds of the Issuer.

Section 5.5. Payment of Bond Trustee's and Paying Agent's Fees and Expenses. The Obligor agrees to pay the reasonable fees and expenses (including attorneys' fees) of the Bond Trustee and any Paying Agents as and when the same become due, upon submission by the Bond Trustee or any Paying Agent of a statement therefor.

Section 5.6. Debt Service Reserve Fund.

(a) In the event any moneys in a Debt Service Reserve Fund are transferred to the Bond Trustee for deposit to the Bond Fund pursuant to Section 3.10 or 3.11 of the Bond Indenture, except if such moneys are transferred due to the redemption of Bonds, the Obligor agrees to deposit additional Debt Service Reserve Fund Obligations in an amount sufficient to satisfy the Debt Service Reserve Fund Requirement, such amount to be deposited in no more than 12 equal consecutive monthly installments, the first installment to be made within thirty (30) days of such transfer or receipt of written notice from the Bond Trustee of a deficiency.

(b) In the event the value of the Debt Service Reserve Fund Obligations (as determined pursuant to the statement of the Bond Trustee furnished in accordance with Section 6.03 of the

Bond Indenture) on deposit in the Debt Service Reserve Fund is less than the Debt Service Reserve Fund Requirement, the Obligor agrees to deposit additional Debt Service Reserve Fund Obligations in an amount sufficient to satisfy the Debt Service Reserve Fund Requirement, such amount to be deposited in no more than three equal consecutive monthly installments, the first installment to be made within 30 days of such receipt of such statement.

Section 5.7. Payment of Administration Expenses. In addition to the payments on the loan from the Issuer, the Obligor shall also pay to the Issuer or to the Bond Trustee, as the case may be, "Administration Expenses," as follows:

(a) All taxes and assessments of any type or character charged to the Issuer or to the Bond Trustee affecting the amount available to the Issuer or the Bond Trustee from payments to be received hereunder or in any way arising due to the transactions contemplated hereby (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments) but excluding franchise taxes based upon the capital and/or income of the Bond Trustee and taxes based upon or measured by the net income of the Bond Trustee; provided, however, that the Obligor shall have the right to protest any such taxes or assessments and to require the Issuer or the Bond Trustee, at the Obligor's expense, to protest and contest any such taxes or assessments levied upon them, and the Obligor shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Issuer or the Bond Trustee;

(b) All reasonable fees, charges and expenses of the Bond Trustee for services rendered under the Series 2018A Bond Indenture and all amounts referred to in Section 3.13 of the Series 2018A Bond Indenture, as and when the same become due and payable;

(c) The reasonable fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Issuer or the Bond Trustee to prepare audits, financial statements, reports or opinions or provide such other services required under this Agreement, the Master Indenture, the Supplemental Master Indenture, the Series 2018 Notes, the Series 2018 Master Obligations or the Series 2018A Bond Indenture;

(d) The reasonable fees and expenses of the Issuer or any agent or attorney selected by the Issuer to act on its behalf in connection with this Agreement, the Master Indenture, the Supplemental Master Indenture, the Series 2018B Financing Agreement, the Series 2018 Notes, the Series 2018 Master Obligations, the Series 2018A Bonds, the Series 2018A Bond Indenture or any other Obligor Document, including, without limitation, any and all reasonable expenses incurred in connection with the authorization, issuance, sale and delivery of any such Series 2018A Bonds or in connection with any litigation, investigation, inquiry or other proceeding which may at any time be instituted involving this Agreement, the Master Indenture, the Supplemental Master Indenture, the Series 2018B Financing Agreement, the Series 2018 Notes, the Series 2018 Master Obligations, the Series 2018A Bonds, the Series 2018A Bond Indenture or any other Obligor Document or any of the other documents contemplated thereby, or in connection with the reasonable supervision or inspection of the Obligor, its properties, assets or operations or otherwise in connection with the administration of this Agreement, the Master Indenture, the Supplemental Master Indenture, the Series 2018B Financing Agreement, the Series 2018 Notes,

the Series 2018 Master Obligations, the Series 2018A Bonds, the Series 2018A Bond Indenture or any other Obligor Document; and

(e) On or before the date of execution and delivery hereof, and on or before each anniversary of such date, in advance, the Issuer's Annual Fee.

Such Administrative Expenses shall be billed to the Obligor by the Issuer or the Bond Trustee from time to time, together with a statement certifying that the amount billed has been incurred or paid by the Issuer or the Bond Trustee for one or more of the above items. After such a demand, amounts so billed shall be paid by the Obligor within forty-five (45) days after receipt of the bill by the Obligor.

Section 5.8. Payees of Payments. The payments on the Series 2018 Master Obligations pursuant to Section 5.2 hereof shall be paid in funds immediately available at the Payment Office of the Bond Trustee, directly to the Bond Trustee for the account of the Issuer, and shall be deposited into the appropriate account of the Bond Fund. The payments to be made to the Bond Trustee and the Paying Agent under Section 5.5 hereof shall be paid directly to the Bond Trustee and the Paying Agent for their own use. The payments for Administration Expenses under Section 5.7 hereof shall be paid directly to the Issuer or to the Bond Trustee, as the case may be, for its own respective use.

Section 5.9. Obligations of Obligor Hereunder Unconditional. The obligations of the Obligor to make the payments required in Section 5.2 hereof and all other payments hereunder shall be absolute and unconditional. The Obligor will not suspend or discontinue, or permit the suspension or discontinuance of, any payments provided for in Section 5.2 hereof and all other payments hereunder for any cause including, without limiting the generality of the foregoing, any acts or circumstances that may constitute failure of consideration, eviction or constructive eviction, destruction of or damage to any Project, commercial frustration of purpose, any change in the tax or other laws or administrative rulings of or administrative actions by the United States of America, the State of Maryland, the Issuer or any political subdivision of any of them, or any failure of the Issuer to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with this Agreement, whether express or implied. Nothing contained in this Section shall be construed to release the Issuer from the performance of any agreements on its part herein contained; and in the event the Issuer shall fail to perform any such agreement, the Obligor may institute such action against the Issuer as the Obligor may deem necessary to compel performance, provided that no such action shall violate the agreements on the part of the Obligor contained herein and the Issuer shall not be required to pay any costs, expenses, damages or amounts of whatever nature except for amounts received pursuant to this Agreement. Nothing herein shall be construed to impair the Obligor's right to institute an independent action for any claim that it may have against the Issuer, the Bond Trustee, any Bondholder or any other third party, subject to the limitations on liability of the Issuer provided for in this Agreement and the Act. The Obligor may, however, at its own cost and expense and in its own name or in the name of the Issuer, prosecute or defend any action or proceedings or take any other action involving third persons which the Obligor deems reasonably necessary in order to secure or protect this right of possession, occupancy and use hereunder, and in such event the Issuer hereby agrees to cooperate fully with the Obligor.

[End of Article V]

**ARTICLE VI
MAINTENANCE AND INSURANCE**

Section 6.1. Maintenance and Modifications of Projects by Obligor. The Obligor may, at its own expense, cause to be made from time to time any additions, modifications or improvements to any Project provided such additions, modifications or improvements do not impair the character of the Project under the Act or impair the extent of the exclusion of interest on the Tax Exempt Bonds from federal income taxation.

Section 6.2. Insurance. Throughout the term of this Agreement, the Obligor will, at its own expense, provide or cause to be provided insurance against loss or damage to each Project in accordance with the terms of the Master Indenture and Section 4.15(e) hereof.

[End of Article VI]

**ARTICLE VII
SPECIAL COVENANTS**

Section 7.1. No Warranty of Merchantability, Condition or Suitability by the Issuer. The Issuer makes no warranty, either express or implied, as to the condition of any Project or that any Project will be suitable for the Obligor's purposes or needs. Without limiting the effect of the preceding sentence, it is expressly agreed that in connection with each sale or conveyance pursuant to this Agreement (a) the Issuer makes NO WARRANTY, EXPRESS OR IMPLIED, OF MERCHANTABILITY, CONDITION OR WORKMANSHIP OF ANY PART OF THE FACILITIES OR THEIR SUITABILITY FOR THE PURPOSES OF THE OBLIGOR OR THE EXTENT TO WHICH PROCEEDS DERIVED FROM THE SALE OF THE BONDS WILL PAY THE COST TO BE INCURRED IN CONNECTION THEREWITH, and (b) THERE ARE NO WARRANTIES WHICH EXTEND BEYOND THE DESCRIPTION CONTAINED HEREIN.

Section 7.2. Right of Access to each Project. The Obligor agrees that the Issuer, the Bond Trustee and any of their duly authorized agents shall have the right at all reasonable times upon reasonable notice to the Obligor to examine and inspect any Project to determine that the Obligor is in compliance with the terms and conditions of this Agreement; provided that any such inspection will be conducted in a manner that will minimize any intrusion on the operations of any Project.

Section 7.3. Nonsectarian Use. The Obligor agrees that no proceeds of the Bonds will be used to construct, acquire or install any portion of any Project which is intended to be used or which are being used for sectarian purposes.

Section 7.4. Further Assurances. The Issuer and the Obligor agree that they will, from time to time, execute, acknowledge and deliver, or cause to be executed, acknowledged and delivered, such supplements hereto and such further instruments as may reasonably be required for carrying out the intention of or facilitating the performance of this Agreement.

Section 7.5. Release and Indemnification.

(a) The Obligor releases the Issuer and its elected and appointed officials, officers, employees and agents involved in the issuance, sale and delivery of the Series 2018A Bonds and the Bond Trustee and its officers, employees and agents from any and all liability for any loss or damage that may be caused to the persons or property of the Obligor or any of their respective members, directors, trustees, employees, agents, or invitees due to any act arising out of the acquisition, operation, use, non-use, possession, occupation, condition, service, design, construction, maintenance or management of, or on, or in connection with the facility. Additionally, the Obligor releases the Issuer and its elected and appointed officials, officers, employees and agents and the Bond Trustee from any and all liability for any loss or damage that may be caused to the Obligor or any of its members, directors, trustees, employees, agents, or invitees arising out of (i) the performance of or failure to perform any term, provision or covenant contained in any of the Obligor Documents or (ii) any of the transactions provided for in any of the Obligor Documents, provided, however, that nothing contained in this Agreement shall be construed to preclude in any way any action or proceeding against the Issuer, its elected or appointed officials, officers, employees and agents involved in the issuance, sale and delivery of

the Bonds, in any court or before any governmental body, agency or instrumentality to enforce the provisions of the Series 2018 Bond Documents other than that element of any action involving a monetary claim.

(b) In the exercise of the powers of the Issuer and its elected and appointed officials, officers, employees and agents involved in the issuance, sale or delivery of the Series 2018A Bonds, including (without limiting the foregoing) the application of moneys, the investment of funds, and actions upon the occurrence of an Event of Default by the Obligor, no such person shall be accountable to the Obligor for any action taken or omitted in good faith and reasonably believed by it or them to be authorized or within the discretion or rights or powers conferred. The Issuer and any such person shall be protected in acting upon any paper or document believed to be genuine, and may conclusively rely upon the advice of counsel and may (but need not) require further evidence of any fact or matter before taking any action. No recourse shall be had by the Obligor for any claims based on this Agreement or on the Series 2018A Bond Indenture against the Issuer or any such person alleging personal liability unless such claims are based upon the willful misconduct and fraudulent conduct of any elected or appointed official, officer, employee or agent of the Issuer involved in the issuance, sale and delivery of the Series 2018A Bonds.

(c) The Obligor indemnifies and holds harmless the Issuer and its elected and appointed officials, officers, employees and agents and the Bond Trustee and its officers, employees and agents against any and all claims, losses, damages or liabilities, joint and several, to which any such person may become subject, insofar as such losses, claims, damages or liabilities (or actions in respect of such losses, claims, damages or liabilities) arise out of, or are based on: (i) the financing, refinancing or reimbursement of the Costs of the Project, including the issuance, sale and delivery of the Series 2018A Bonds, and to the extent provided in the Series 2018A Bond Indenture and Master Indenture, the performance of the Issuer and the Bond Trustee under the Series 2018A Bond Indenture and the Master Trustee under the Master Indenture, (ii) any loss or damage to property or any injury to or death of any person that may occur due to any cause whatsoever pertaining to the use, non-use, operation, possession, occupation, maintenance or management of, or on, or in connection with the Project or any part thereof during the term of this Loan Agreement or (iii) to the extent not prohibited by law, any alleged act or omission by the Issuer or the Bond Trustee in connection with the Project unless the losses, claims, damages or liabilities arise from any gross negligence, willful misconduct or fraudulent act by any elected or appointed official, officer, employee or agent of such person.

(d) The Obligor shall indemnify the Issuer and its elected and appointed officials, officers, employees and agents and the Bond Trustee and its officers, employees and agents, and hold them harmless against losses, claims, damages or liabilities to which the Issuer or the Trustee may become subject and which (i) arise out of or are based upon a breach by the Obligor of any warranty or covenant contained in this Agreement or any certificate, document or instrument delivered in connection therewith, including, but not limited to, the Tax Agreement and the Obligor's Letter of Intent dated April 11, 2018, as supplemented and amended as of the date hereof, filed with the Issuer (to the extent not superseded by the Series 2018 Bond Documents), and any other Obligor Document.

(e) The Obligor shall pay the reasonable fees and expenses of the Issuer and the Bond Trustee in connection with any litigation which may at any time be instituted involving this

Agreement, the Series 2018 Notes, the Series 2018 Bonds or any other Obligor Document or in connection with the supervision or inspection of the Obligor or the Project or otherwise in connection with the administration of this Loan Agreement. If the Issuer, the Bond Trustee or any other person entitled to indemnification under this Section 7.5 ("Indemnitee") receives notice of any claim or action against the Indemnitee with respect to which indemnification is to be sought from the Obligor under this Section 7.5, the Indemnitee will timely notify the Obligor of the claim or action in writing; timely notice shall mean at such a time so as to enable the Obligor to meaningfully participate in a defense against such a claim, and in the event of an untimely notice, the Obligor's obligation hereunder shall abate only to the extent such untimeliness was the proximate cause of a loss as to which indemnity is sought hereunder. In the event any such claim is made or action brought against any Indemnitee concerning any matters described in this Section 7.5 and the Indemnitee is entitled to indemnification thereunder, the Indemnitee may direct the Obligor to assume the defense of the claim and any action brought on the claim (with counsel reasonably satisfactory to the Indemnitee) and to pay all reasonable expenses incurred as a result of the claim; provided, however, that unless and until the Obligor assumes the defense of any such action at the request of such Indemnitee, the Obligor shall have the right to participate at its own expense in the defense of any such action. If the Obligor shall not have employed counsel to have charge of the defense of any such action (following the notice and direction specified above), or if the Obligor and an Indemnitee shall have reasonably concluded that there may be defenses available to that Indemnitee which are different from or additional to those available to the Obligor (in which case the Obligor shall not have the right to direct the defense of such action on behalf of such Indemnitee), the reasonable legal and other expenses incurred by such Indemnitee shall be borne by the Obligor. No party will be liable in respect of any settlement effected without its prior consent. The defense of any such claim or action shall include the taking of all actions necessary or appropriate to the defense. The Obligor agrees to reimburse any reasonable legal and other expenses reasonably incurred by any Indemnitee in connection with investigating or defending any such loss, claim, damage, liability or action of this Loan Agreement. The provisions of this Section 7.5 shall survive the termination of this Loan Agreement.

Section 7.6. Authority of Obligor. Whenever under the provisions of this Agreement the approval of the Obligor is required, or the Issuer or the Bond Trustee are required to take some action at the request of the Obligor, such approval or such request shall be made by the Obligor unless otherwise specified in this Agreement, and the Issuer or the Bond Trustee shall be authorized to act on any such approval or request, and the Obligor shall have no complaint against the Issuer or the Bond Trustee as a result of any action taken.

Section 7.7. Authority of Issuer Representative. Whenever under the provisions of this Agreement the approval of the Issuer is required, or the Obligor is required to take some action at the request of the Issuer, such approval or such request shall be made by the Issuer Representative unless otherwise specified in this Agreement, and the Obligor or the Bond Trustee shall be authorized to act on any such approval or request, and the Issuer shall have no complaint against the Obligor or the Bond Trustee as a result of any such action taken.

Section 7.8. Special Obligations. The Bonds shall be special obligations of the Issuer. The Bonds are without recourse to the Issuer. The Bonds shall not be a general obligation of the Issuer, shall not be a pledge of or involve the faith and credit or the taxing power of the Issuer, and shall not constitute a debt of the Issuer. The Bonds are payable solely from the Trust Estate which

shall, except as may be otherwise expressly authorized in this Indenture, be used for no other purpose than to pay the principal of, premium, if any and interest on the Bonds. The Bonds shall not give rise to any pecuniary liability of the Issuer and the Issuer shall have no obligation with respect to the purchase of the Bonds, upon the issuance, sale and delivery of the Bonds.

THE BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. THE BONDS AND ANY PREMIUM AND INTEREST THEREON ARE NOT A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

No covenant, stipulation, obligation or agreement of the Issuer in the Series 2018A Bond Indenture, the Bonds or any other Series 2018 Bond Documents shall be deemed to be a covenant, stipulation, obligation or agreement of any present or future elected or appointed official, officer, employee or agent of the Issuer in his or her individual capacity. Neither any person executing the Bonds or any agreement entered into by the Issuer under the Authorizing Resolution, nor any official, officer, employee or agent of the Issuer shall be liable personally on the Bonds or agreement or be subject to any personal liability or accountability by reason of the issuance, execution and delivery thereof. Each Bond on its face, shall plainly state that it has been issued under the provisions of the Authorizing Resolution and that it does not constitute an indebtedness to which the faith and credit of the Issuer is pledged.

Section 7.9. Fees and Expenses. The Obligor agrees to pay promptly upon demand therefor all costs paid, incurred or charged by the Issuer in connection with the Bonds, including without limitation, (a) all out of pocket expenses and Costs of Issuance (including reasonable fees and expenses of attorneys employed by the Issuer) reasonably incurred by the Issuer in connection with the issuance of the Bonds and (b) all out of pocket expenses (including reasonable fees and expenses of attorneys employed by the Issuer) reasonably incurred by the Issuer in connection with the enforcement of any of its rights or remedies or the performance of its duties under the Series 2018A Bond Indenture or this Agreement.

Section 7.10. Prohibited Uses. No portion of the proceeds of the Bonds shall be used to finance or refinance any facility, place or building to be used (a) primarily for sectarian instruction or study or as a place for devotional activities or religious worship or (b) by a person that is not an organization described in Section 501(c)(3) of the Code or a Governmental Unit or by an organization described in Section 501(c)(3) of the Code (including the Obligor) in an “unrelated trade or business” (as set forth in Section 513(a) of the Code), in such a manner or to such extent as would result in any of the Bonds being treated as an obligation not described in Section 103(a) of the Code.

Section 7.11. Related Party Transactions. The Obligor shall not enter into any transaction, including, without limitation, the purchase, sale, lease or exchange of property or the rendering of any service with any Affiliate except in accordance with the Master Trust Indenture.

Section 7.12. Continuing Disclosure. The Obligor has executed a Continuing Disclosure Certificate. While this Continuing Disclosure Certificate is in effect, the Obligor shall at all times remain party to the Continuing Disclosure Certificate, or if the Continuing Disclosure Certificate terminates, it shall enter into a similar agreement to provide for the dissemination of the financial statements and notices required by Rule 15c2-12 under the Securities Exchange Act of 1934, as amended. The Obligor agrees that while the Series 2018A Bonds are Outstanding, it will perform its obligations under the Continuing Disclosure Certificate. Notwithstanding any other provision of this Agreement, failure of the Obligor to comply with the Continuing Disclosure Certificate shall not be a Default.

Section 7.13. Environmental Matters. There have not been any violations of any of the hereinafter defined Environmental Laws with respect to the Project. Without limiting any other provisions hereof, the Obligor will indemnify and hold harmless the Issuer and the Bond Trustee from and against any and all losses, liabilities, damages, injuries, costs, expenses and claims of any kind whatsoever (including, without limitation, any losses, liabilities, damages, injuries, costs, expenses or claims asserted or arising under any of the following (collectively, “Environmental Laws”): the Comprehensive Environmental Response, Compensation, and Liability Act, the Resource Conservation and Recovery Act of 1976, any so-called “Superfund” or “Superlien” law, or any other federal, state or local statute, law, ordinance, code, rule, regulations, order or decree, now or hereafter in force, regulating, relating to or imposing liability or standards of conduct concerning any Hazardous Substances) paid, incurred, suffered by or asserted against the Issuer or the Bond Trustee as a direct or indirect result of any of the following, regardless of whether or not caused by, or within the control of, any of the Obligor: (a) the presence of any Hazardous Substances on or under, or the escape, seepage, leakage, spillage, discharge, emission, discharging or release of any Hazardous Substances from, the Project or any part thereof, (b) any liens against the Premises or the Facilities, or any part thereof, permitted or imposed by any Environmental Laws, or any actual or asserted liability or obligations of the Obligor under any Environmental Laws, or (c) any actual or asserted liability or obligations of the Issuer or the Bond Trustee under any Environmental Law relating to the Premises or the Facilities. Notwithstanding any other provision of this Agreement, the covenants, indemnities and obligations provided for in this Section shall survive the payment and performance of the other obligations of the Obligor under this Agreement and the termination of this Agreement.

Section 7.14. Membership in Obligated Group. The Obligor hereby covenants and agrees that while the Bonds are Outstanding, it will remain an Obligated Group Member.

Section 7.15. Non-Discrimination. The Obligor agrees that the Community will be open to all regardless of race, religion, sex or creed. Contractors and subcontractors engaged in the construction or alteration of the Project shall provide an equal opportunity for employment without unlawful discrimination as to race, religion, sex or creed. The Obligor covenants and agrees that it shall enforce such non-discrimination requirements.

[End of Article VII]

**ARTICLE VIII
ASSIGNMENT AND LEASING**

Section 8.1. Assignment and Leasing by Obligor. This Agreement may be assigned, and all or any portion of any Project may be leased by the Obligor, without the consent of either the Issuer or the Bond Trustee, provided that each of the following conditions is complied with:

(a) No assignment or leasing shall relieve the Obligor from primary liability for any of its obligations hereunder, and in the event of any such assignment or leasing the Obligor shall continue to remain primarily liable for payment of the loan payments and other payments specified in Article V hereof and for performance and observance of the other covenants and agreements contained herein; provided that, subject to the provisions of Section 7.14 hereof, if the Obligor withdraws from the Obligated Group (as defined in the Master Indenture) and is released from its obligations on the Master Obligations by the Master Trustee pursuant to the Master Indenture, the Obligor shall also be released from its liability for its obligations hereunder, including payment of the loan payments and other payments specified in Article V hereof and the performance and observance of the other covenants and agreements contained herein.

(b) The assignee or lessee shall assume in writing the obligations of the Obligor hereunder to the extent of the interest assigned or leased, provided that the provisions of this subsection shall not apply to a lease of a portion of any Project or an operating contract for the performance by others of health care, medical, social or commercial services on or in connection with any Project, or any part thereof.

(c) At least 30 days prior to the effective date of any such lease or assignment, the Obligor shall have delivered to the Bond Trustee an Opinion of Bond Counsel that such lease or assignment will not adversely affect the tax-exempt status of the Tax Exempt Bonds.

(d) The Obligor shall, within 30 days after the delivery thereof, furnish or cause to be furnished to the Issuer and the Bond Trustee a true and complete copy of each such assumption of obligations and assignment or lease of any Project, as the case may be.

Section 8.2. Assignment and Pledge by Issuer. The Issuer shall assign its interest in and pledge any moneys receivable under the Series 2018A Note and this Agreement (except in respect of Reserved Rights) to the Bond Trustee as security for payment of the principal of, premium, if any, and interest on the Series 2018A Bonds. The Obligor consents to such assignment and pledge.

[End of Article VIII]

**ARTICLE IX
FAILURE TO PERFORM COVENANTS AND REMEDIES THEREFOR**

Section 9.1. Failure to Perform Covenants. Any failure of the Obligor (a) to pay any deposit required by Section 5.2 within 5 days after the date due or to make any payment on the Series 2018A Note or the Series 2018A Master Obligation when due, or (b) to pay any other payment required to be made under this Agreement or to observe and perform any covenant, condition or agreement on its part to be observed or performed hereunder, and continuation of such failure to make such other payment or observe such covenant, condition agreement for a period of 60 days after written notice, specifying such failure and requesting that it be remedied, is given to the Obligor by the Issuer or the Bond Trustee, shall constitute and “Event of Default” under this Agreement and shall have the remedies provided in Section 9.2 hereof.

Section 9.2. Remedies for Failure to Perform. Subject to the terms and provisions of the Master Indenture, upon the occurrence of an Event of Default under this Agreement as provided in Section 9.1 hereof, (i) if so directed by the Holders of at least 25% in Aggregate Principal Amount of Bonds then Outstanding, the Bond Trustee shall notify the Master Trustee (A) pursuant to Section 7.01(e) of the Master Indenture, that an Event of Default has occurred under this Agreement, and/or (B) if applicable, pursuant to Section 7.01(a) of the Master Indenture, that a default has occurred in the payment of the principal of, premium, if any, or interest on the Series 2018A Master Obligation, and (ii) the Issuer or the Bond Trustee, as assignee or successor of the Issuer, upon compliance with all applicable laws, in its discretion may and, with respect to the Bond Trustee, at the direction of the Holders of at least 25% in Aggregate Principal Amount of Bonds then Outstanding shall, take any one or more of the following steps:

(a) By mandamus, or other suit, action or proceeding at law or in equity, enforce all rights of the Issuer and require the Obligor to carry out any agreements with or for the benefit of the Bondholders and to enforce performance and observance of any duty, obligation, agreement or covenant of the Obligor under the Act or this Agreement; or

(b) By action or suit in equity, require the Obligor to account as if it were the trustee of an express trust for the Issuer; or

(c) By action or suit in equity, enjoin any acts or things which may be unlawful or in violation of the rights of the Issuer; or

(d) Upon the filing of a suit or other commencement of judicial proceedings to enforce the rights of the Bond Trustee and the Bondholders, have appointed a receiver or receivers of the Trust Estate upon a showing of good cause with such powers as the court making such appointment may confer.

Section 9.3. Discontinuance of Proceedings. In case any proceeding taken by the Issuer or the Bond Trustee on account of any failure to perform under Section 9.1 shall have been discontinued or abandoned for any reason, or shall have been determined adversely to the Issuer or the Bond Trustee, then and in every case the Issuer and the Bond Trustee shall be restored to their former positions and rights hereunder, respectively, and all rights, remedies and powers of the Issuer and the Bond Trustee shall continue as though no such proceeding had been taken.

Section 9.4. No Remedy Exclusive. No remedy herein conferred upon or reserved to the Issuer or the Bond Trustee is intended to be exclusive of any other available remedy or remedies, but each and every such remedy shall be cumulative and shall be in addition to every other remedy given under this Agreement or now or hereafter existing at law or in equity or by statute. No delay or omission to exercise any right or power accruing upon any default shall impair any such right or power or shall be construed to be a waiver thereof, but any such right or power may be exercised from time to time and as often as may be deemed expedient. In order to entitle the Issuer or the Bond Trustee to exercise any remedy reserved to it in this Article, it shall not be necessary to give any notice, other than notice required in Section 9.1 hereof. Such rights and remedies given the Issuer hereunder shall also extend to the Bond Trustee and the holders of the Bonds, subject to the Series 2018A Bond Indenture.

Section 9.5. Agreement to Pay Attorneys' Fees and Expenses. In the event the Issuer or the Bond Trustee employs attorneys or incurs other expenses for the enforcement of performance or observance of any obligation or agreement on the part of the Obligor herein or in the Series 2018A Bond Indenture contained, the Obligor agrees that it will on demand therefor pay to the Issuer or the Bond Trustee, as the case may be, the reasonable fees and expenses of such attorneys and such other reasonable expenses incurred by the Issuer or the Bond Trustee.

Section 9.6. Waivers. In the event any agreement contained in this Agreement is breached by either party and thereafter waived by the other party, such waiver shall be limited to the particular breach waived and shall not be deemed to waive any other breach hereunder. In view of the assignment of the Issuer's rights in and under this Agreement to the Bond Trustee under the Series 2018A Bond Indenture, the Issuer shall have no power to waive any failure to perform under Section 9.1 hereunder without the consent of the Bondholders in accordance with the Series 2018A Bond Indenture; provided that the Issuer may exercise any remedies available at law or in equity with regard to enforcement of the Reserved Rights without the consent of the Bond Trustee or the Bondholders.

[End of Article IX]

ARTICLE X PREPAYMENT

Section 10.1. Option to Prepay Series 2018A Note. (a) Subject to compliance with the terms and provisions set forth in the Master Indenture, the Obligor shall have and is hereby granted the option exercisable at any time to prepay all or any portion of its payments due or to become due on the Series 2018A Note and any or all notes relating to any Additional Bonds by depositing with the Bond Trustee for payment into the Bond Fund or any bond fund created with respect to any series of Additional Bonds an amount of money or Government Obligations the principal and interest on which, when due, will be equal to an amount sufficient to pay the principal of, premium, if any, and interest on any portion of the related Bonds then Outstanding under the Series 2018A Bond Indenture, together with any premium or penalty payable under the Series 2018A Bond Indenture with respect to such related Bonds. The exercise of the option granted by this Section shall not be cause for redemption of Bonds unless such redemption is permitted at that time under the provisions of the Series 2018A Bond Indenture and the Obligor specifies the date for such redemption.

(b) In the event the Obligor prepays all of its payments due and to become due on the Series 2018A Note and all notes relating to any Additional Bonds in compliance with the Series 2018A Bond Indenture by exercising the option granted by this Section and upon payment of all reasonable and necessary fees and expenses of the Bond Trustee, the Issuer and any Paying Agent accrued and to accrue through final payment of the Bonds called for redemption as a result of such prepayment and of all Administration Expenses through final payment of the Bonds called for redemption as a result of such prepayment, this Agreement shall terminate; provided that no such termination shall occur unless all of the Bonds are no longer Outstanding.

Section 10.2. Conditions to Exercise of Option. To exercise the option granted in Section 10.1(a) hereof, the Obligor shall give written notice to the Issuer and the Bond Trustee which shall specify therein the date of such redemption, which date shall be not less than 45 days from the date the notice is mailed or sent (or such shorter time as may be acceptable to the Bond Trustee) and such other matters as are necessary to comply with the Series 2018A Bond Indenture.

[End of Article X]

ARTICLE XI MISCELLANEOUS

Section 11.1. Notices. Any notice, request or other communication under this Agreement shall be given in writing and shall be deemed to have been given by either party to the other party at the addresses shown below upon any of the following dates:

- (a) The date of notice by Electronic Means, which is confirmed promptly in writing;
- (b) Three Business Days after the date of the mailing thereof, as shown by the post office receipt if mailed to the other party hereto by registered or certified mail; or
- (c) The date of the receipt thereof by such other party if not given pursuant to (a) or (b) above. The address for notice for each of the parties shall be as follows:

If to the Issuer: Montgomery County, Maryland
Executive Office Building
101 Monroe Street
Rockville, Maryland 20850
Attention: Director of Finance
Telephone Number: (240) 777-8860

with a copy to: Venable LLP
750 E. Pratt Street, Suite 900
Baltimore, Maryland 21202
Attention: James E. Cumbie, Esq.
Telecopier Number: (410) 244-7742

To the Obligor: Friends House Retirement
Community, Inc.
17340 Quaker Lane
Sandy Spring, Maryland 20860
Attention: Executive Director
Telecopier Number: (301) 924-2265

With a copy to: Whiteford Taylor & Preston LLP
7 Saint Paul Street
Baltimore, Maryland 21202-1636
Attention: Kimberly J. Min, Esq.
Telecopier Number: (410) 223-3734

The Bond Trustee: Wilmington Trust, National Association
25 South Charles Street
Baltimore, Maryland 21201
Facsimile Number: (410) 244-4236

Notwithstanding the foregoing, notices to the Bond Trustee shall be effective only upon receipt.

(d) The Bond Trustee shall have the right to accept and act upon instructions, including funds transfer instructions ("Instructions") given pursuant to the Series 2018A Bond Indenture or any of the Obligor's Documents and delivered using Electronic Means; provided, however, that the Issuer and/or the Obligor, as applicable, shall provide to the Bond Trustee an incumbency certificate listing officers with the authority to provide such Instructions ("Authorized Officers") and containing specimen signatures of such Authorized Officers, which incumbency certificate shall be amended by the Issuer and/or the Obligor, as applicable, whenever a person is to be added or deleted from the listing. If the Issuer and/or the Obligor, as applicable, elects to give the Bond Trustee Instructions using Electronic Means and the Bond Trustee in its discretion elects to act upon such Instructions, the Bond Trustee's understanding of such Instructions shall be deemed controlling. The Issuer and the Obligor understand and agree that the Bond Trustee cannot determine the identity of the actual sender of such Instructions and that the Bond Trustee shall conclusively presume that directions that purport to have been sent by an Authorized Officer listed on the incumbency certificate provided to the Bond Trustee have been sent by such Authorized Officer. The Issuer and the Obligor shall be responsible for ensuring that only Authorized Officers transmit such Instructions to the Bond Trustee and that the Issuer, the Obligor and all Authorized Officers are solely responsible to safeguard the use and confidentiality of applicable user and authorization codes, passwords and/or authentication keys upon receipt by the Issuer and/or the Obligor, as applicable. The Bond Trustee shall not be liable for any losses, costs or expenses arising directly or indirectly from the Bond Trustee's reliance upon and compliance with such Instructions notwithstanding such directions conflict or are inconsistent with a subsequent written instruction. The Issuer and the Obligor agree: (i) to assume all risks arising out of the use of Electronic Means to submit Instructions to the Bond Trustee, including without limitation the risk of the Bond Trustee acting on unauthorized Instructions, and the risk of interception and misuse by third parties; (ii) that it is fully informed of the protections and risks associated with the various methods of transmitting Instructions to the Bond Trustee and that there may be more secure methods of transmitting Instructions than the method(s) selected by the Issuer and/or the Obligor, as applicable; (iii) that the security procedures (if any) to be followed in connection with its transmission of Instructions provide to it a commercially reasonable degree of protection in light of its particular needs and circumstances; and (iv) to notify the Bond Trustee immediately upon learning of any compromise or unauthorized use of the security procedures. The rights and immunities afforded the Bond Trustee in this paragraph shall also apply equally to the Master Trustee, as if this provision also appeared in the Master Indenture.

Section 11.2. Binding Effect. This Agreement shall inure to the benefit of and shall be binding upon the Issuer, the Obligor and their respective successors and assigns, subject, however, to the limitations contained in Sections 7.8, 8.1, 8.2, 11.9 and 11.12 hereof.

Section 11.3. Severability. In the event any provision of this Agreement shall be held invalid or unenforceable by any court of competent jurisdiction, such holding shall not invalidate or render unenforceable any other provision hereof.

Section 11.4. Amounts Remaining in Funds. It is agreed by the parties hereto that any amounts remaining in the Bond Fund, the Debt Service Reserve Fund and the Construction Fund upon expiration or sooner termination of this Agreement, after payment in full of the Bonds (or provision for payment thereof having been made in accordance with the provisions of the Series 2018A Bond Indenture), the fees, charges and expenses of the Bond Trustee, the Issuer and the

Paying Agent in accordance with the Series 2018A Bond Indenture, the Administration Expenses and all other amounts required to be paid under this Agreement and the Series 2018A Bond Indenture, shall belong to and be paid to the Obligor by the Bond Trustee or the Issuer.

Section 11.5. Amendments, Changes and Modifications. Except as otherwise provided in this Agreement or in the Series 2018A Bond Indenture, subsequent to the initial issuance of Bonds and prior to their payment in full (or provision for the payment thereof having been made in accordance with the provisions of the Series 2018A Bond Indenture), this Agreement may not be effectively amended, changed, modified, altered or terminated except as permitted by the Series 2018A Bond Indenture.

Section 11.6. Execution in Counterparts. This Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument. The exchange of copies of this Agreement and of signature pages by facsimile or PDF transmission shall constitute effective execution and delivery of this Agreement as to the parties hereto and may be used in lieu of the original Agreement for all purposes. Signatures of the parties hereto transmitted by facsimile or PDF shall be deemed to be their original signatures for all purposes.

Section 11.7. Payment. At such time as the principal of, premium, if any, and interest on all Series 2018A Bonds Outstanding under the Series 2018A Bond Indenture shall have been paid, or shall be deemed to be paid, in accordance with the Series 2018A Bond Indenture, and all other sums payable by the Obligor under this Agreement shall have been paid, the Series 2018A Master Obligation shall be deemed to be fully paid and shall be delivered by the Bond Trustee to the Master Trustee for cancellation pursuant to the Master Indenture.

Section 11.8. Governing Law. This Agreement shall be governed by and construed in accordance with the law of the State of Maryland, without giving effect to the conflict of law principles.

Section 11.9. No Pecuniary Liability of Issuer. The Bonds shall be special obligations of the Issuer. The Bonds are without recourse to the Issuer. The Bonds are payable solely from the Trust Estate which shall, except as may be otherwise expressly authorized in this Indenture, be used for no other purpose than to pay the principal of, premium, if any and interest on the Bonds. The Bonds shall not give rise to any pecuniary liability of the Issuer and the Issuer shall have no obligation with respect to the purchase of the Bonds, upon the issuance, sale and delivery of the Bonds.

THE BONDS AND THE PREMIUM, IF ANY, AND INTEREST THEREON, ARE LIMITED OBLIGATIONS OF THE ISSUER, THE PRINCIPAL OF, PREMIUM, IF ANY, AND INTEREST ON WHICH ARE PAYABLE SOLELY FROM THE REVENUES TO BE RECEIVED IN CONNECTION WITH THE FINANCING AND REFINANCING OF THE PROJECT OR OTHER MONEY MADE AVAILABLE TO THE ISSUER FOR SUCH PURPOSE. THE BONDS AND ANY PREMIUM AND INTEREST THEREON ARE NOT A DEBT OR CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWERS OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY WITHIN THE MEANING OF ANY CONSTITUTIONAL OR CHARTER

PROVISION OR STATUTORY LIMITATION AND MAY NOT GIVE RISE TO ANY PECUNIARY LIABILITY OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY. THE BONDS ARE NOT A DEBT TO WHICH THE FAITH OR CREDIT OF THE STATE OF MARYLAND, THE ISSUER OR ANY OTHER PUBLIC BODY IS PLEDGED.

Section 11.10. Payments Due on Holidays. If the date for making any payment or the last date for performance of any act or the exercising of any right, as provided in this Agreement, shall be a legal holiday or a day on which banking institutions in New York, New York, are authorized by law to remain closed, such payment may be made or act performed or right exercised on the next succeeding day not a legal holiday or a day on which such banking institutions are authorized by law to remain closed with the same force and effect as if done on the nominal date provided in this Agreement.

Section 11.11. Waiver of Personal Liability. No covenant, stipulation, obligation or agreement of the Issuer in the Series 2018A Bond Indenture, the Bonds or any other Series 2018 Bond Documents shall be deemed to be a covenant, stipulation, obligation or agreement of any present or future elected or appointed official, officer, employee or agent of the Issuer in his or her individual capacity. Neither any person executing the Bonds or any agreement entered into by the Issuer under the Authorizing Resolution, nor any official, officer, employee or agent of the Issuer shall be liable personally on the Bonds or agreement or be subject to any personal liability or accountability by reason of the issuance, execution and delivery thereof. Each Bond on its face, shall plainly state that it has been issued under the provisions of the Authorizing Resolution and that it does not constitute an indebtedness to which the faith and credit of the Issuer is pledged.

Section 11.12. Issuer's Performance. None of the provisions of this Agreement shall require the Issuer to expend or risk its own funds or otherwise to incur financial liability in the performance of any of its duties or in the exercise of any of its rights or powers hereunder. The Issuer, in its discretion, may determine to take any such action if assured that any costs relating thereto shall be payable from the Revenues pledged under the Series 2018A Bond Indenture, or the Issuer shall first have been adequately indemnified to its satisfaction against the cost, expense and liability which may be incurred thereby. The Issuer shall not be under any obligation hereunder to perform any administrative service with respect to the Bonds and the Facilities (including, without limitation, record keeping and legal services), it being understood that such services shall be performed or provided by the Obligor or may be performed by the Bond Trustee pursuant to the Series 2018 Bond Documents. The Issuer covenants that it will faithfully perform at all times any and all covenants, undertakings, stipulations and provisions on its part expressly contained in this Agreement, the Series 2018A Bond Indenture and any and every Bond executed, authenticated and delivered under the Series 2018A Bond Indenture; provided, however, that (a) the Issuer shall not be obligated to take any action or execute any instrument pursuant to any provision hereof until it shall have been requested to do so by the Obligor or the Bond Trustee, (b) the Issuer shall have received the instrument to be executed and (c) the provisions of such instrument shall not be adverse to the Issuer.

Section 11.13. No Individual Liability. No covenant or agreement contained in this Agreement or the Series 2018A Bond Indenture shall be deemed to be the covenant or agreement of any member of the Board of Directors or the governing body of the Obligor or the Bond Trustee

or of any officer, director, member, official, employee, attorney or agent of the Issuer, the Bond Trustee or the Obligor, in his or her individual capacity, and none of such persons shall be subject to any personal liability or accountability by reason of the execution hereof, whether by virtue of any constitution, statute or rule of law, or by the enforcement or any assessment or penalty, or otherwise.

Section 11.14. Survival of Covenants. All covenants, agreements, representations and warranties made by the Obligor in this Agreement, the Series 2018A Bond Indenture, the Series 2018A Note, the Series 2018A Master Obligation and the Series 2018A Bonds, and in any certificates or other documents or instruments delivered pursuant hereto and thereto, shall survive the execution and delivery of this Agreement, the Series 2018A Bond Indenture, the Series 2018A Bonds, the Series 2018A Note and the Series 2018A Master Obligation and shall continue in full force and effect until all Bonds and all Master Obligations (and any other promissory notes) issued in connection with the Series 2018A Bonds and any Additional Bonds are paid in full and all of the Obligor's other payment obligations (including, without limitation, any then-existing obligation to make indemnification payments under Section 7.5 and the obligations under Sections 5.5, 5.7 and 9.5 hereof) under this Agreement, the Series 2018A Bond Indenture, the Series 2018A Note, the Series 2018A Master Obligation and all Master Obligations (and any other promissory notes) issued in connection with any Additional Bonds are satisfied; provided, that the foregoing shall not be construed to supersede the survival of those covenants that by their terms continue beyond the payment of the Series 2018A Note, the Series 2018A Master Obligation and the Series 2018A Bonds. All such covenants, agreements, representations and warranties shall be binding upon any successor and assigns of the Obligor.

Section 11.15. Assignments. This Agreement may not be assigned by either party without consent of the other except that the Issuer shall assign to the Bond Trustee its rights under this Agreement (except its Reserved Rights) and the Obligor may assign its rights under this Agreement as provided by Section 8.1 hereof.

Section 11.16. Rights of Bond Trustee. The Bond Trustee shall have and be protected by all of the rights, powers, indemnities, privileges, immunities and other protections provided to the Bond Trustee under the Series 2018A Bond Indenture which are hereby incorporated herein by reference.

Section 11.17. Receipt of and Compliance with Series 2018A Bond Indenture. The Obligor acknowledges that it has received an executed copy of the Series 2018A Bond Indenture and accepts and agrees to the provisions thereof, including, without limitation, the provisions of Section 9.02 of the Series 2018A Bond Indenture with respect to compensation and indemnification of the Bond Trustee, and agrees that it will take all such actions as are required or contemplated of it under the Series 2018A Bond Indenture to preserve and protect the rights of the Bond Trustee, the Issuer and of the Holders thereunder and that it will not take any action which would cause a default or an Event of Default thereunder. It is agreed by the Obligor and the Issuer that redemptions of Bonds prior to maturity shall be effected as provided in the Series 2018A Bond Indenture. The Obligor hereby agrees that its rights hereunder are subject to and subordinated to the interest and rights of the Bond Trustee under the Series 2018A Bond Indenture and acknowledges that the Bond Trustee has entered into the Series 2018A Bond Indenture in reliance upon the assignment to the Bond Trustee of the Issuer's rights under this Agreement (except the

Reserved Rights) and the Obligor's provision of indemnity. The Obligor covenants that it will perform all of the Issuer's obligations and covenants under the Series 2018A Bond Indenture to the extent that they can be performed by the Obligor thereunder. The Obligor further agrees that it will pay or reimburse the Issuer for any expenses incurred by the Issuer in the administration of any of the foregoing agreements and this Agreement and will hold the Issuer harmless from any liabilities thereunder. The Obligor further covenants that it will perform all of the duties and obligations of the Obligor that are set forth in the Series 2018A Bond Indenture. The provisions of this Section 11.17 shall survive the termination or expiration of this Agreement.

[End of Article XI]

IN WITNESS WHEREOF, the Issuer and the Obligor have caused this Agreement to be executed and sealed by their duly authorized officers, as of the date first written above.

**FRIENDS HOUSE RETIREMENT
COMMUNITY, INC.**, a Maryland nonstock
corporation

By: _____
Name: _____
Title: _____

By: _____
Name: _____
Title: _____

[Seal] **MONTGOMERY COUNTY, MARYLAND**

Attest:

By: _____	By: _____
Name: Megan Davey Limarzi	Name: Michael Coveyou
Title: Clerk of the Council	Title: Acting Director of Finance

[SEAL]

[Signature and Seals]

[Signature and Seals]

**EXHIBIT A
PROJECT DESCRIPTION**

The proceeds from the sale of the Series 2018A Bonds will be loaned to the Obligor to be used by the Obligor to finance, refinance or reimburse the costs of improvements to the Existing Community including, but not limited to, (a) the renovation and expansion of the Obligor's existing commons building, (b) the demolition and removal of two vacant cottages, (c) the construction, furnishing and equipping of approximately fourteen new residential cottage units and approximately thirty-three residential apartment units to be located in approximately three buildings, and (d) other associated site work and development.

**EXHIBIT B
FORM OF REQUEST FOR COSTS OF ISSUANCE DISBURSEMENT**

No. ____

Wilmington Trust, National Association
2 South Charles Street
Baltimore, Maryland 21201
Facsimile Number: _____

Re: Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project) Series 2018A

Gentlemen:

This request for disbursement is submitted to you pursuant to Section 4.6 of the Loan Agreement (the "Loan Agreement") dated as of August 1, 2018, between Montgomery County, Maryland and Friends House Retirement Community, Inc. (the "Obligor") relating to the above-captioned Bonds. You are hereby requested to make the following disbursements from the Costs of Issuance Fund for the payment of Costs of Issuance referred to below, as defined and provided in the Loan Agreement:

1. (List payments to be made)
- 2.
- 3.

**FRIENDS HOUSE RETIREMENT
COMMUNITY, INC., as Obligor**

Date: _____

By: _____
Authorized Officer

EXHIBIT C

FORM OF SERIES 2018A NOTE

FRIENDS HOUSE RETIREMENT COMMUNITY, INC.

Series 2018A Promissory Note

\$16,975,000

August __, 2018

Friends House Retirement Community, Inc., a nonstock corporation organized and existing under the laws of the State of Maryland (the "Obligor"), for value received, hereby promises to pay to Montgomery County, Maryland (the "Issuer"), or assigns, the principal amount of up to \$16,975,000 or such lesser amount as may be advanced under the Agreement (as defined below), together with interest hereon from the date hereof until payment hereof.

Payments of principal hereof and interest hereon and the rate or rates of interest hereon shall be identical to payments and rates for Montgomery County, Maryland Economic Development Revenue Bonds, Series 2018A (the "Series 2018A Bonds"), in a principal amount equal to the principal amount hereof, dated the date hereof. The Series 2018A Bonds are issued pursuant to a Bond Trust Indenture dated as of August 1, 2018 (the "Indenture"), between the Issuer and Wilmington Trust, National Association (together with any successor trustee, the "Bond Trustee"). The Issuer has loaned the proceeds of the Series 2018A Bonds to the Obligor pursuant to the terms of a Loan Agreement dated as of August 1, 2018 by and between the Issuer and the Obligor (the "Agreement").

Payment of this Note is secured by Master Obligation No. 1 (the "Master Obligation"), issued under and pursuant to the Master Trust Indenture dated as of August 1, 2018 (the "Master Trust Indenture") by and between the Obligor and Wilmington Trust, National Association as Master Trustee. Any payment by any Obligated Group Member (as defined in the Master Trust Indenture) on the Master Obligation shall constitute a credit against payment on this Note to the extent made.

It is understood that the Issuer, by execution of the assignment form at the foot of this Note, is assigning this Note to the Bond Trustee (excluding the Reserved Rights (as defined in the Agreement)) as security for the Series 2018A Bonds. Payments with respect to the principal of and interest on this Note shall be made directly to the Bond Trustee of the Series 2018A Bonds for the account of the Issuer pursuant to the assignment hereof, to be applied only to the payment of the principal of and interest on the Series 2018A Bonds.

The Obligor may prepay this Note in whole or in part upon the terms and conditions and in the manner provided in the Agreement and the Series 2018A Bonds; provided, however, that this Note shall not be deemed to be paid in full until the Series 2018A Bonds have been paid in full.

In addition to the payments of principal and interest specified above, the Obligor shall also pay such additional amounts, if any, which, together with any other moneys available therefor,

may be necessary to provide for payment when due of principal of (whether at maturity, by acceleration or prepayment or otherwise) and premium, if any, and interest on the Series 2018A Bonds and all other amounts due and payable under the Agreement.

This Note is issued pursuant to the Agreement to evidence a part of the Obligor's payment obligation in Section 5.2 thereof and is entitled to the benefits and subject to the conditions of the Agreement, including the provisions of Section 5.9 thereof that the Obligor's obligations thereunder and hereunder shall be unconditional.

Upon the occurrence of certain "Events of Default" (as defined in the Agreement), the outstanding principal amount of this Note may be declared, and thereupon shall become, due and payable as provided in the Agreement.

No covenant or agreement contained in this Note shall be deemed to be a covenant or agreement of any officer, trustee, agent or employee or the Obligor, in his or her individual capacity, and no officer, agent, employee or member of the Board of Directors of the Obligor shall be liable personally on this Note or be subject to any personal liability or accountability by reason of the issuance of this Note.

THE REMAINDER OF THE PAGE INTENTIONALLY LEFT BLANK

D-134

IN WITNESS WHEREOF, Friends House Retirement Community, Inc. has caused this Note to be executed in its name and on its behalf by the manual signature of its [] as of the date first above written.

**FRIENDS HOUSE RETIREMENT
COMMUNITY, INC.,** a Maryland nonstock
corporation

By: _____
Name:
Title:

By: _____
Name:
Title:

[SEAL]

[Obligor's Signature Page to Series 2018A Promissory Note]

ASSIGNMENT

MONTGOMERY COUNTY, MARYLAND hereby assigns the foregoing Note without recourse and without warranty to Wilmington Trust, National Association, Bond Trustee under the Bond Trust Indenture, dated as of August 1, 2018, as of the date of this Note.

MONTGOMERY COUNTY, MARYLAND

By: _____
Alexandre A. Espinosa
Director of Finance

[Signature Page to Assignment of Series 2018A Promissory Note]

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APPENDIX E
PROPOSED FORM OF BOND COUNSEL OPINION

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August 23, 2018

Montgomery County, Maryland
101 Monroe Street
Rockville, Maryland 20850

Re: Montgomery County, Maryland Economic Development Revenue Bonds
(Friends House Retirement Community Project), Series 2018A

Ladies and Gentlemen:

We have acted as bond counsel and counsel to Montgomery County, Maryland, a body politic and corporate and a political subdivision of the State of Maryland (the “Issuer”) in connection with the issuance by the Issuer of its Montgomery County, Maryland Economic Development Revenue Bonds (Friends House Retirement Community Project), Series 2018A (the “Series 2018A Bonds”).

The Series 2018A Bonds are issued pursuant to a Bond Trust Indenture, dated as of August 1, 2018 (the “Bond Trust Indenture”) between the Issuer and Wilmington Trust, National Association, as trustee (the “Bond Trustee”). The proceeds of the Series 2018A Bonds are being loaned to Friends House Retirement Community, Inc. (the “Obligor”) pursuant to a Loan Agreement dated as of August 1, 2018 (the “Loan Agreement”) by and between the Issuer and the Obligor.

In connection with the issuance of the Series 2018A Bonds, we have examined:

- (i) Subtitle I of Title 12 of the Economic Development Article of the Annotated Code of Maryland, as amended (the “Act”);
- (ii) Resolution No. 18-1159 of the Issuer adopted on June 12, 2018 (the “Resolution”);
- (iii) the Bond Trust Indenture;
- (iv) the Loan Agreement;
- (v) the form of the Series 2018A Bonds; and
- (vi) other proofs submitted to us relative to the issuance and sale of the Series 2018A Bonds.

August 23, 2018

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We refer you to the Series 2018A Bonds and to the Bond Trust Indenture for a description of the purposes for which the Series 2018A Bonds are being issued, the security for the Series 2018A Bonds, the manner in which and times at which the principal, premium (if any) and interest on the Series 2018A Bonds are payable, the interest rate or rates payable on the Series 2018A Bonds, the provisions under which the Series 2018A Bonds may be prepaid prior to their stated maturities and all other details of the Series 2018A Bonds.

As to questions of fact material to our opinion, without undertaking to verify the same by independent investigation, we have relied upon the factual statements, representations and warranties made by the Issuer and the Obligor in the documents underlying issuance of the Series 2018A Bonds, the certified proceedings of the Issuer, and certifications by public officials and officials of the Obligor (including certifications as to the use of proceeds of the Series 2018A Bonds, matters pertaining to qualified 501(c)(3) bonds and other information which is material to paragraph (h) below).

Whiteford Taylor & Preston L.L.P., counsel to the Obligor, has rendered opinions dated this date respecting, among other things, the tax-exempt status of the Obligor. We are relying upon such opinions, without independent investigation, in rendering this opinion.

We have made no investigation of, and are rendering no opinion regarding, the title to real or personal property.

We do not express any opinion herein regarding any law other than the law of the State of Maryland and the federal law of the United States of America.

We express no opinion as to the accuracy, adequacy or completeness of the Official Statement relating to the Series 2018A Bonds.

Capitalized terms used herein and not otherwise defined shall have the meanings ascribed to them in the Bond Trust Indenture.

Based upon the foregoing, and subject to the qualifications set forth herein, it is our opinion under existing law and as of the date hereof that:

(a) The Issuer is a validly created and existing body politic and corporate and a political subdivision of the State of Maryland, having full power and authority to issue the Series 2018A Bonds as provided in the Bond Trust Indenture, to enter into and perform its obligations under the Bond Trust Indenture and the Loan Agreement, to apply the proceeds of the Series 2018A Bonds as provided in the Bond Trust Indenture, and to pledge and assign the Trust Estate to the Bond Trustee.

August 23, 2018

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(b) The Bond Trust Indenture and the Loan Agreement have each been duly authorized, executed and delivered by the Issuer and, assuming the due authorization, execution and delivery thereof by the Bond Trustee and the Obligor, respectively, each constitutes a valid and binding obligation of the Issuer, enforceable against the Issuer in accordance with its terms, subject to paragraph (e) hereof.

(c) The Series 2018A Bonds have been duly and validly authorized, executed and delivered by the Issuer and constitute valid and binding limited obligations of the Issuer, payable solely from and secured by the revenues and receipts pledged thereto, subject to paragraph (e) hereof.

(d) The Resolution has been validly adopted by the Issuer and has not been amended, rescinded or revoked and is in full force and effect.

(e) Enforcement of the Series 2018A Bonds, the Bond Trust Indenture and the Loan Agreement is subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights generally and to equitable principles, whether considered at law or in equity.

(f) By the terms of the Act, the Resolution and the Bond Trust Indenture, neither the Series 2018A Bonds nor the interest thereon shall ever constitute an indebtedness or general obligation of the Issuer or a charge against, or pledge of the general credit or taxing powers of the Issuer, within the meaning of any constitutional or charter provision or statutory limitation, and neither shall ever constitute or give rise to any pecuniary liability of the Issuer. The Series 2018A Bonds and the interest thereon are limited obligations of the Issuer, repayable by the Issuer solely from payments made by the Obligor pursuant to the terms of the Loan Agreement and from any other monies made available to the Issuer for such purpose.

(g) By the terms of the Act, the principal amount of the Series 2018A Bonds, the interest payable thereon, their transfer, and any income derived therefrom, including any profit made in the sale or transfer thereof, are and shall remain exempt from taxation by the State of Maryland and by its several counties and municipalities, but no opinion is expressed as to estate or inheritance taxes, or to any other taxes not levied or assessed directly on the Series 2018A Bonds, the interest thereon, their transfer or the income derived therefrom.

(h) Interest on the Series 2018A Bonds is excludable from gross income for federal income tax purposes, and the interest on the Series 2018A Bonds is not an enumerated item of preference or adjustment for purposes of the federal alternative minimum tax imposed on individuals and corporations; however, for tax years beginning before January 1, 2018, such interest is taken into account in determining "adjusted current earnings" for the purpose of

August 23, 2018

Page 4

computing the alternative minimum tax imposed on corporations. The opinion set forth in the preceding sentence is subject to the condition that the Issuer and the Obligor comply with all requirements of the Code that must be satisfied subsequent to the issuance of the Series 2018A Bonds in order that interest thereon be, or continue to be, excluded from gross income for federal income tax purposes. The Issuer and the Obligor have made covenants and representations intended to comply with all such requirements. We have not independently verified, and will not monitor compliance with, the covenants and representations of the Issuer and the Obligor. In the event of noncompliance with such covenants and representations, the available enforcement remedies may be limited by applicable provisions of law and, therefore, may not be adequate to prevent interest on the Series 2018A Bonds from becoming includable in gross income for Federal income tax purposes from the date of delivery of the Series 2018A Bonds, regardless of the date on which the event causing such taxability occurs.

Other than as set forth in the preceding paragraphs (g) and (h), we express no opinion regarding the federal or state income tax consequences arising with respect to the Series 2018A Bonds.

The opinions in this letter are limited to the matters set forth in this letter, and no other opinions should be inferred beyond the matters expressly stated herein. This opinion is given as of the date hereof and we assume no obligation to update or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter occur.

Very truly yours,

APPENDIX F
PROPOSED FORM OF CONTINUING DISCLOSURE CERTIFICATE

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CONTINUING DISCLOSURE CERTIFICATE

RELATING TO:

\$16,975,000
MONTGOMERY COUNTY, MARYLAND
Economic Development Revenue Bonds
(Friends House Retirement Community Project)
Series 2018A

DATED AS OF: AUGUST 1, 2018

THIS **CONTINUING DISCLOSURE CERTIFICATE** (this “Disclosure Certificate”) is executed and delivered as of the 1st day of August, 2018, by **FRIENDS HOUSE RETIREMENT COMMUNITY, INC.**, a Maryland nonstock corporation (the “Obligor”).

RECITALS

WHEREAS, the Montgomery County, Maryland (the “Issuer”) will issue its Economic Development Revenue Bonds (Friends House Retirement Community Project) Series 2018A in the original aggregate principal amount of \$16,975,000 (the “Bonds”) pursuant to a Bond Trust Indenture dated as of August 1, 2018 (the “Bond Indenture”), between the Issuer and Wilmington Trust, National Association, as Bond Trustee (the “Bond Trustee”), and will loan the proceeds thereof to the Obligor pursuant to the terms and provisions of a Loan Agreement dated as of August 1, 2018 (the “Loan Agreement”), between the Issuer and the Obligor for the purposes described in the Bond Indenture and Loan Agreement; and

WHEREAS, concurrently with the sale and delivery by the Issuer of the Bonds, the Obligor will issue, execute and deliver a Master Obligation to the Issuer, dated the date of delivery of the Bonds in the original principal amount of the Bonds, pursuant to a Master Trust Indenture, dated as of August 1, 2018 (as supplemented or amended from time to time in accordance with its terms, the “Master Indenture”), between the Obligor, as the sole member of an Obligated Group (the “Obligated Group”), and Wilmington Trust, National Association, as Master Trustee (the “Master Trustee”); and

WHEREAS, the Bonds have been offered and sold pursuant to a Preliminary Official Statement dated July 26, 2018, and a final Official Statement dated August 10, 2018 (collectively, the “Offering Document”); and the Issuer has entered into a Bond Purchase Agreement, dated August 10, 2018 (the “Bond Purchase Agreement”), with respect to the sale of the Bonds, with the Obligor and the Participating Underwriter, as hereinafter defined; and

WHEREAS, the Obligor has been asked to provide for the disclosure of certain information concerning the Bonds and other matters on an on-going basis as set forth herein for the benefit of Holders (as hereinafter defined) to enable the Participating Underwriter to comply with the provisions of Securities and Exchange Commission Rule 15c2-12, as amended from time to time (the “Rule”).

NOW, THEREFORE, in consideration of the promises and agreements made herein and in the Master Indenture, Bond Indenture and the Loan Agreement by the Obligor, including the loan by the Issuer to the Obligor of the proceeds of the Bonds, the Obligor agrees and undertakes as follows:

[Remainder of page intentionally blank]

Section 1. Definitions; Scope of this Disclosure Certificate.

(A) All terms capitalized but not otherwise defined herein shall have the meanings assigned to those terms in the Bond Indenture, the Master Indenture and the Loan Agreement, as those agreements are amended and supplemented from time to time unless the context or use clearly indicates otherwise. The following capitalized terms shall have the following meanings:

“Additional Operating Data” shall mean the additional operating data set forth in Exhibit B attached hereto.

“Annual Financial Information” shall mean the financial information and operating data as set forth in Exhibit B attached hereto.

“Beneficial Owner” shall mean any person who has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries).

“EMMA” means the MSRB’s Electronic Municipal Market Access system.

“Event” shall mean any of the following events with respect to the Bonds:

- (i) Principal and interest payment delinquencies;
- (ii) Non-payment related defaults, if material;
- (iii) Unscheduled draws on debt service reserves reflecting financial difficulties;
- (iv) Unscheduled draws on credit enhancements reflecting financial difficulties;
- (v) Substitution of credit or liquidity providers, or their failure to perform;
- (vi) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax-exempt status of the Bonds;
- (vii) Modifications to rights of the Beneficial Owners of the Bonds, if material;
- (viii) Bond calls, if material, and tender offers (except for mandatory scheduled redemptions not otherwise contingent upon the occurrence of an event);
- (ix) Defeasances;
- (x) Release, substitution or sale of property securing repayment of the Bonds, if material;
- (xi) Rating changes;
- (xii) Bankruptcy, insolvency, receivership or similar event of any Member of the Obligated Group (Note: For the purposes of this event, the event is considered to

occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for any Member of the Obligated Group in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of any Member of the Obligated Group, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of any Member of the Obligated Group);

(xiii) The consummation of a merger, consolidation, or acquisition involving any Member of the Obligated Group or the sale of all or substantially all of the assets of any Member of the Obligated Group, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; and

(xiv) Appointment of a successor or additional bond trustee or the change of name of a bond trustee, if material.

The SEC requires the listing of (i) through (xiv) although some of such events may not be applicable to the Bonds.

“Holders” shall mean any holder of the Bonds and any Beneficial Owner thereof.

“MTI Financial Information and Operating Data” shall mean the financial information and operating data as set forth in Exhibit B attached hereto.

“MSRB” shall mean the Municipal Securities Rulemaking Board.

“Operating Data” shall mean the financial information and operating data as set forth in Exhibit B attached hereto.

“Participating Underwriter” shall mean the original underwriter of the Bonds required to comply with the Rule in connection with the offering of the Bonds.

“SEC” shall mean the Securities and Exchange Commission.

“State” shall mean the State of Maryland.

(B) This Disclosure Certificate applies to the Bonds.

Section 2. Disclosure of Information.

(A) General Provisions. This Certificate governs the Obligor’s obligation with respect to information to be made public in connection with the Bonds and in accordance with the Rule. The Obligor acknowledges that the Issuer has undertaken no responsibility with respect to the Rule or any reports, notices or disclosures provided or required under this Certificate, and has no liability to any person, including any Bondholder, with respect to any such reports, notices, or disclosures.

(B) Information Required to be Provided to the Public. Except to the extent this Disclosure Certificate is modified or otherwise altered in accordance with Section 3 hereof, the Obligor shall make or

cause to be made public the information set forth in subsections (1), (2) and (3) below (the “Disclosures”):

(1) *Financial Information and Operating Data*: The MTI Financial Information and Operating Data in the form required by and in accordance with the Master Indenture, no later than the applicable Filing Date (as set forth in Exhibit B attached hereto), commencing with the applicable Initial Filing Date, if any (as set forth in Exhibit B attached hereto), and continuing thereafter so long as the Bonds are outstanding. Additionally, the Additional Operating Data no later than the applicable Filing Date (as set forth in Exhibit B attached hereto), commencing with the applicable Initial Filing Date, if any (as set forth in Exhibit B attached hereto), and continuing thereafter so long as the Bonds are outstanding.

(2) *Event Notices*. Notice of the occurrence of an Event, in a timely manner, not in excess of ten (10) business days of the Event.

(3) *Failure to Provide Financial Information or Operating Data*: Notice of the failure by the Obligor to provide any of the MTI Financial Information or Operating Data or Additional Operating Data by the applicable Filing Date.

(C) Other Information. The Obligor has the option to disseminate to EMMA such other information as the Obligor shall determine to make public. If the Obligor chooses to include any information, in addition to that which is specifically required by this Disclosure Certificate, the Obligor shall have no obligation under this Disclosure Certificate to update such information or include it in any future filing.

(D) Means of Making Information Public. Information shall be deemed to have been disseminated under this Disclosure Certificate if it is transmitted to EMMA in an electronic format as prescribed by the MSRB, accompanied by identifying information as prescribed by the MSRB (a description of such format and information as presently prescribed by the MSRB is included in Exhibit A hereto), or in such other manner as may be approved by the SEC or the MSRB from time to time. To the extent the Obligor is obligated to file information pursuant to this Disclosure Certificate, such information may be set forth in the document or set of documents transmitted as provided in this paragraph, or may be included by specific reference to documents available on the MSRB’s Internet Website or filed with the SEC.

(E) Provision of Information to Issuer. Simultaneously with the transmittal of information described in Sections 2(B) and (C) hereof to EMMA pursuant to the provisions of Section 2(D) hereof, the Obligor shall provide such information to the Issuer at the following email addresses (or such other address as the Issuer may provide to the Obligor in writing from time to time):

Jacqueline Carter: Jacqueline.Carter@montgomerycountymd.gov

Lydia Lan: Lydia.Lan@montgomerycountymd.gov

Section 3. Amendment or Waiver; Successor or Assigns of the Obligor.

Notwithstanding any other provision of this Disclosure Certificate, the Obligor may amend this Disclosure Certificate, and any provision of this Certificate may be waived, if such amendment or waiver is supported by an opinion of Bond Counsel or counsel expert in federal securities laws acceptable to the Obligor to the effect that such amendment or waiver would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule as well as any change in

circumstance. Any Annual Financial Information or Operating Data containing the amended operating data or financial information is required to explain, in narrative form, the reasons for the amendments and the impact of the change in the type of operating data or financial information being provided.

In the event that the Obligor shall merge, consolidate or transfer all or substantially all of its assets to another entity, and such other entity assumes liability with respect to the Bonds, this Disclosure Certificate may be amended at the option of the Obligor to provide that the information required to be filed herein may be provided on a consolidated basis by the surviving entity without the necessity of requiring a separate audit or similar report for the Obligor.

Section 4. Miscellaneous.

(A) Representations. The Obligor represents and warrants that it has (i) duly authorized the execution and delivery of this Disclosure Certificate by the officer whose signature appears on the execution pages hereto, (ii) that it has all requisite power and authority to execute, deliver and perform this Disclosure Certificate under its organizational documents and any corporate resolutions now in effect, (iii) that the execution and delivery of this Disclosure Certificate, and performance of the terms hereof, does not and will not violate any law, regulation, ruling, decision, order, indenture, decree, agreement or instrument by which such party is bound, and (iv) it is not aware of any litigation or proceeding pending, or, to the best of its knowledge, threatened, contesting or questioning its existence, or its power and authority to enter into this Disclosure Certificate, or its due authorization, execution and delivery of this Disclosure Certificate.

(B) Governing Law. This Disclosure Certificate shall be governed by and interpreted in accordance with the laws of the State of Maryland; provided that, to the extent that the SEC, the MSRB or any other federal or state agency or regulatory body with jurisdiction over the Bonds shall have promulgated any rule or regulation governing the subject matter hereof, this Disclosure Certificate shall be interpreted and construed in a manner consistent therewith.

(C) Severability. If any provision hereof shall be held invalid or unenforceable by a court of competent jurisdiction, the remaining provisions hereof shall survive and continue in full force and effect.

(D) Termination. This Disclosure Certificate may be terminated upon thirty days' written notice of termination delivered to the Master Trustee; provided the termination of this Disclosure Certificate is not effective until (i) the Obligor or its respective successors or assigns, execute a new continuing disclosure instrument and agree to continue to provide, in substantially the manner provided herein, the information required to be communicated pursuant to this Disclosure Certificate (subject to Section 3 above), (ii) Bond Counsel or counsel expert in federal securities law provides an opinion that the new continuing disclosure instrument is in compliance with all State and Federal Securities laws, and (iii) notice of the termination of this Disclosure Certificate is provided to the MSRB. This Disclosure Certificate shall automatically terminate when all of the Bonds are or are deemed to be no longer outstanding by reason of redemption or legal defeasance or at maturity.

(E) Defaults: Remedies. The Obligor shall be in default of its obligations hereunder if it fails to carry out or perform its obligations hereunder. If an event of default occurs and continues beyond a period of 30 days following notice of such failure given in writing to the Obligor by a beneficiary hereof as identified in Section 4(F), such beneficiary may seek to enforce the obligations of the Obligor under this Disclosure Certificate; provided, however, the sole remedy available in any proceeding to enforce this Disclosure Certificate shall be an action in mandamus, for specific performance or similar remedy to compel performance and no damages shall be sought from the Obligor. The occurrence of any event of default as provided in this Disclosure Certificate shall not constitute an event of default under the Bond Indenture, the Master Indenture or the Loan Agreement.

(F) Beneficiaries. This Disclosure Certificate is entered into by the Obligor and shall inure solely to the benefit of the Issuer, the Master Trustee, the Bond Trustee, the Participating Underwriter and the Holders, and shall create no rights in any other person or entity.

(G) Dissemination Agent. The Obligor may, from time to time, appoint or engage a dissemination agent to assist it in carrying out its obligations under this Disclosure Certificate, and the Obligor may, from time to time, discharge any such dissemination agent, with or without appointing a successor dissemination agent.

(H) Notice to Issuer. All filings undertaken by the Obligor under this Disclosure Certificate are to be copied immediately upon completion directly to the Issuer care of the Issuer's Chief Financial Officer.

[SIGNATURES ON FOLLOWING PAGE]

IN WITNESS WHEREOF, the Obligor has caused its duly authorized officer to execute this Disclosure Certificate, as of the day and year first above written.

FRIENDS HOUSE RETIREMENT COMMUNITY, INC., as the initial Obligated Group Member and as the Obligated Group Representative

By: _____
Kevin Harrington
Executive Director

EXHIBIT A

MSRB Procedures for Submission of Continuing Disclosure Documents and Related Information

Securities and Exchange Commission Release No. 34-59061 (the “Release”) approves an MSRB rule change establishing a continuing disclosure service of the MSRB’s Electronic Municipal Market Access system (“EMMA”). The rule change establishes, as a component of EMMA, the continuing disclosure service for the receipt of, and for making available to the public, continuing disclosure documents and related information to be submitted by issuers, obligated persons and their agents pursuant to continuing disclosure undertakings entered into consistent with Rule 15c2-12 (“Rule 15c2-12”) under the Securities Exchange Act of 1934. The following discussion summarizes procedures for filing continuing disclosure documents and related information with the MSRB as described in the Release.

All continuing disclosure documents and related information is to be submitted to the MSRB, free of charge, through an Internet-based electronic submitter interface or electronic computer-to-computer data connection, at the election of the submitter. The submitter is to provide, at the time of submission, information necessary to accurately identify: (i) the category of information being provided; (ii) the period covered by any annual financial information, financial statements or other financial information or operating data; (iii) the issues or specific securities to which such document is related or otherwise material (including CUSIP number, issuer name, state, issue description/securities name, dated date, maturity date, and/or coupon rate); (iv) the name of any obligated person other than the Issuer; (v) the name and date of the document; and (vi) contact information for the submitter.

Submissions to the MSRB are to be made as portable document format (PDF) files configured to permit documents to be saved, viewed, printed and retransmitted by electronic means. If the submitted file is a reproduction of the original document, the submitted file must maintain the graphical and textual integrity of the original document. In addition, such PDF files must be word-searchable (that is, allowing the user to search for specific terms used within the document through a search or find function), provided that diagrams, images, and other non-textual elements will not be required to be word-searchable.

All submissions to the MSRB’s continuing disclosure service are to be made through password-protected accounts on EMMA by (i) issuers, which may submit any documents with respect to their municipal securities; (ii) obligated persons, which may submit any documents with respect to any municipal securities for which they are obligated; and (iii) agents, designated by issuers and obligated persons to submit documents and information on their behalf. Such designated agents are required to register to obtain password-protected accounts on EMMA in order to make submissions on behalf of the designating issuers or obligating persons. Any party identified in a continuing disclosure undertaking as a dissemination agent or other party responsible for disseminating continuing disclosure documents on behalf of an issuer or obligated person will be permitted to act as a designated agent for such issuer or obligated person, without a designation being made by the Issuer or obligated person as described above, if such party certifies through the EMMA on-line account management utility that it is authorized to disseminate continuing disclosure documents on behalf of the Issuer or obligated person under the continuing disclosure undertaking. The Issuer or obligated person, through the EMMA on-line account management utility, is able to revoke the Issuer of such party to act as a designated agent.

The MSRB’s Internet-based electronic submitter interface (EMMA Dataport) is at www.emma.msrb.org.

EXHIBIT B

MTI FINANCIAL INFORMATION AND OPERATING DATA

DISCLOSURES	DOCUMENT REFERENCE	FILING DATE	INITIAL FILING DATE
<u>Monthly Reports</u> A monthly statement of the Obligor, including: (a) Prior to the issuance of a certificate of occupancy for the first building containing the Project Independent Living Units, (A) a calculation of the marketing levels for the Project Independent Living Units as of the end of such month, including the number of Project Independent Living Units that have been sold or cancelled during that month and on an aggregate basis; (B) a copy of the report prepared by the Construction Monitor; (C) a report by the Obligor on the progress of the construction, showing the dollar amount and percentage of completion for each stage of construction of the Project, comparing such amounts to the amounts estimated in the schedule of values and the construction progress schedule delivered at closing, estimating the amount of funds required to complete the Project, and certifying that the amount available in the Construction Fund, together with anticipated investment earnings, will be sufficient to pay the costs of completing the Project; (D) unaudited financial reports on the development costs of the Project incurred during that month and on an aggregate basis, showing a comparison to the development budget; (E) statements of the balances for each fund and account required to be established under this Master Indenture or under any Related Bond Indenture as of the end of such month (obtained from the applicable trustee), all in reasonable detail and certified by an officer of the Obligor, and (F) if such month is the last month of a fiscal quarter, a calculation of compliance with the Liquidity Requirement, for such fiscal quarter if required to be calculated by this Master Indenture, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligor. Such report shall also include a calculation of the Debt Service Coverage Ratio for reporting purposes only. (b) After the issuance of a certificate of occupancy for the first building containing Project Independent Living Units, (I) a calculation of the marketing levels for the Project as of the end of such month, including the number of Project Independent Living Units that have been sold or cancelled during that month and on an aggregate basis; (II) occupancy levels of the Project as of the end of such month including the number of Independent Living Units that were occupied and vacated during that month and on an aggregate basis; (III) a summary statement on the status of construction of the Project until the issuance of the last certificate of occupancy for the Project; (IV) unaudited financial reports on the development costs incurred during that month and on an aggregate basis until the issuance of the last certificate of occupancy for the Project; (V) an unaudited statement of revenues and expenses and statement of cash flows of the Obligor for such month and an unaudited balance sheet of the Obligor as of the end of such month, showing a comparison to the current Annual Budget; (VI) statements of the balances for each fund and account required to be established hereunder or under any Related Bond	Master Trust Indenture, Section 4.22(a).	Monthly, as soon as available, but in no event more than 45 days after the completion of such month. The Obligated Group does not need to deliver any monthly statement described in this section after Stable Occupancy.	Monday, October 15, 2018

DISCLOSURES	DOCUMENT REFERENCE	FILING DATE	INITIAL FILING DATE
Indenture as of the end of such month (obtained from the applicable trustee or other financial institution), all in reasonable detail and certified by an officer of the Obligor; and (VII) a calculation of compliance with the Marketing Requirements and the Occupancy Requirements, and the Liquidity Requirement for such fiscal quarter if required to be calculated hereunder, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligor. A calculation of the Debt Service Coverage Ratio will also be included for reporting purposes only.			
<u>Quarterly Reports</u> A quarterly report including: (1) unaudited financial statements including a combined and combining statement of operations and changes in net assets (deficit) and statement of cash flows of the Obligor during such period and a combined and combining balance sheet of the Obligor as of the end of each such fiscal quarter, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligor, (2) a statement of Initial Entrance Fees received during such fiscal quarter, and (3) a statement of the Obligor's payor mix during such fiscal quarter. Such financial statements and calculations shall be accompanied by a comparison to the Annual Budget. On or before the date of delivery of the financial reports referred to above, a management's discussion and analysis of results for the applicable fiscal period, together with an Officer's Certificate of the Obligor: (1) stating that the Obligor is in compliance with all of the terms, provisions and conditions hereof or, if not, specifying all such defaults and the nature thereof, (2) calculating and certifying the Days' Cash on Hand, if required to be calculated for such fiscal period or as of the end of such fiscal period, as appropriate, calculating and certifying the Debt Service Coverage Ratio for such fiscal quarter, subject to year-end adjustment, and attaching (I) information about occupancy levels of the Community as of the end of such quarter including the number of Independent Living Units, assisted living units and skilled nursing beds occupied and vacated for such fiscal quarter on an aggregate basis, and the affordable housing units occupied and vacated for such fiscal quarter, (II) sources of revenue for the skilled nursing beds, (III) turnover statistics with respect to Independent Living Units,	Master Trust Indenture, Section 4.22(b).	45 days after the end of such quarter of the fiscal year. Notwithstanding the foregoing, if the Debt Service Coverage Ratio of the Obligor for any Fiscal Year is less than 1.20 and the Days' Cash on Hand is less than the Liquidity Requirement on the most recent Testing Date as provided in this Master Indenture, the Obligor will deliver the financial information and calculations described in the above paragraph on a monthly basis within 45 days of the end of each month until the Debt Service Coverage Ratio of the Obligor is at least 1.20 and the Days' Cash on Hand is at least equal to the applicable Liquidity Requirement.	Wednesday, November 14, 2018

DISCLOSURES	DOCUMENT REFERENCE	FILING DATE	INITIAL FILING DATE
(IV) changes in services offered at the Community, (V) stating that the Community is in compliance with regulations and statutes in each jurisdiction in which the Community is located; (VI) the rating from the Center for Medicare and Medicaid Services relating to the Five Star Quality Rating System, and (VII) if Master Obligations have been issued in connection with any construction project, reports with respect to the progress of construction of such project.			
<u>Annual Reports</u> An annual audited financial report of the Obligor prepared by an Accountant, including (1) a combined and combining balance sheet as of the end of such Fiscal Year and combined and combining statements of cash flows and changes in net assets (deficit) for such Fiscal Year (together with any required supplemental information), and (2) a statement of Initial Entrance Fees received during such Fiscal Year, showing in each case in comparative form the financial figures for the preceding Fiscal Year, together with a separate written statement of the Accountant preparing such report (or another Accountant) containing calculations of the Obligor’s Debt Service Coverage Ratio and Days’ Cash on Hand of the Obligor at the end of such Fiscal Year, and a statement that such Accountant has no knowledge of any default under this Master Indenture insofar as it relates to accounting matters or to the Obligor’s financial covenants, or if such Accountant shall have obtained knowledge of any such default or defaults, it shall disclose in such statement the default or defaults and the nature thereof (but such Accountant shall not be liable directly or indirectly to anyone for failure to obtain knowledge of any default). Such financial statements and calculations shall be accompanied by a comparison to the Annual Budget. “Annual Financial Information” shall mean a copy of the annual audited financial report of the Obligated Group prepared by an Accountant, including a combined and combining balance sheet as of the end of such Fiscal Year and combined and combining statements of cash flows and changes in net assets (deficit) for such Fiscal Year (together with any required supplemental information), showing in each case in comparative form the financial figures for the preceding Fiscal Year, together with a separate written statement of the Accountant preparing such report (or another Accountant) containing calculations of the Obligor’s Historical Debt Service Coverage Ratio and Days Cash on Hand, as applicable, at the end of such Fiscal Year, a calculation of the compliance with the Cumulative Cash Flow, Marketing Requirements and the Occupancy Requirements for the foregoing Fiscal Year, and a statement that such Accountant has no knowledge of any default under the Master Indenture insofar as it relates to accounting matters or to the Obligor’s financial covenants, or if such Accountant shall have obtained knowledge of any such default or defaults, it shall disclose in such statement the default or defaults and the nature thereof (but such Accountant shall not be liable directly or indirectly to anyone for failure to obtain	Master Trust Indenture, Section 4.22(c), (d).	Not later than 150 days after the end of each Fiscal Year	Thursday, May 30, 2019

DISCLOSURES	DOCUMENT REFERENCE	FILING DATE	INITIAL FILING DATE
knowledge of any default). All such financial information shall be prepared using the applicable method of accounting for each entity in place at the time of the issuance of the Bonds, provided, however, that the Obligor may change its accounting principles used for preparation of such financial information so long as the Obligor includes as information provided to the public a statement to the effect that different accounting principles are being used, stating the reason for such change and a reasonable explanation of how to compare the financial information provided by the differing financial accounting principles.			
<u>Annual Management’s Discussion and Analysis</u> A management’s discussion and analysis of results for the applicable fiscal period, together with an Officer’s Certificate of the Obligor (1) stating that the Obligor is in compliance with all of the terms, provisions and conditions hereof or, if not, specifying all such defaults and the nature thereof and (2) attaching (I) information about the fee structure for and the occupancy of the Independent Living Units, assisted living units and skilled nursing beds and the affordable housing component of the Community, including a comparison to the prior year’s occupancy, (II) sources of revenue for the skilled nursing beds, (III) turnover statistics with respect to Independent Living Units, (IV) changes in services offered at the Community, (V) a statement of the Obligor’s payor mix during such Fiscal Year, and (VI) stating that the Community is in compliance with regulations and statutes in each jurisdiction in which the Community is located.	Master Trust Indenture, Section 4.22(d).	On or before the date of delivery of the annual financial reports referred to above.	Thursday, May 30, 2019
<u>Notice of Certain Events</u> Copies of (i) any board approved revisions to the summary of the Annual Budget, or (ii) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of any Obligor as a Tax-Exempt Organization or with respect to the tax-exempt status of any Related Bonds.	Master Trust Indenture, Section 4.22(f).	Promptly upon receipt.	N/A
<u>Failure To Maintain Debt Service Coverage Ratio</u> If the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00 and such failure does not otherwise constitute an Event of Default, schedule a meeting with the Master Trustee and investors in any series of Related Bonds, to discuss such failure to discuss the financial results of the preceding Fiscal Year and such other matters as are relevant or are reasonably requested by the holders of the Related Bonds and the Master Trustee. The Obligated Group shall post notice of such meeting to EMMA at least two weeks prior to the scheduled date of such meeting, but shall provide such notice to the Master Trustee.	Master Trust Indenture Section 4.12(d)	Within 15 days of discovery by the Obligated Group of such failure, coordinate with the Master Trustee, the Series 2018B Lender (if the Series 2018B Bond is then outstanding), and the Bond Trustee for any series of Related Bonds to schedule a meeting with the Master Trustee and investors in any	N/A

DISCLOSURES	DOCUMENT REFERENCE	FILING DATE	INITIAL FILING DATE
		series of Related Bonds, which meeting shall be held within 60 days of discovery by the Obligated Group.	
<u>Quarterly Investor Calls</u> Subject to industry standards relating to the financing of facilities similar to the Community, the Obligor shall use its best efforts to make available one or more representatives for a quarterly telephone conference call if the Bonds are not then rated by a Rating Agency and semiannual telephone conference call if the Bonds are then rated by a Rating Agency (or more frequently if requested by the holders of a majority of the Bonds) with the holders of the Bonds and the Master Trustee to discuss the financial results of the preceding quarter and such other matters as are relevant or are reasonably requested by the holders of the Bonds and the Master Trustee. The Obligor shall post notice of such calls to EMMA at least two (2) weeks prior to the scheduled date of each call, but shall provide such notice to the Master Trustee.	Master Trust Indenture, Section 4.22(g).	At least two (2) weeks prior to the scheduled date of each call, Obligor shall post notice.	N/A
<u>Summary of Additional Indebtedness</u> With respect to any future additional indebtedness and/or long-term parity indebtedness secured under the Master Indenture (even if privately placed): the terms of such indebtedness and/or long-term parity indebtedness; the debt service schedule for such indebtedness and/or long-term parity indebtedness; and a certificate indicating ongoing compliance with the documents executed in connection with such indebtedness and/or long-term parity indebtedness. The Obligor shall in a timely manner, but not in excess of 90 days after the incurrence by the Obligor of any indebtedness and/or long-term parity indebtedness, a chart showing the annual debt service requirements for such indebtedness and/or long-term parity indebtedness. The ongoing payment and covenant compliance with such additional long-term parity indebtedness will be subject to the continuing disclosure requirements under this Disclosure Certificate.	Master Trust Indenture, Section 4.22(h), (i), (j).	Not in excess of 90 days after the incurrence by the Obligor of any indebtedness and/or long-term parity indebtedness	N/A

DISCLOSURES	DOCUMENT REFERENCE	FILING DATE	INITIAL FILING DATE
<u>Annual Budget</u> The Obligor will prepare an Annual Budget (consisting of a statement of income and expenses) for the following Fiscal Year. If the Obligor fails to prepare the Annual Budget for any Fiscal Year, the Annual Budget for the preceding Fiscal Year will continue until the Annual Budget is prepared for the remainder of the applicable Fiscal Year. The Annual Budget shall be provided no later than 30 days after the start of each Fiscal Year, and any amendment to the Annual Budget shall be provided within 30 days after its completion.	Master Trust Indenture, Section 4.22(k).	No later than thirty (30) days after the last day of each Fiscal Year.	Wednesday, January 30, 2019
<u>Event Notices</u> Notice of the occurrence of an Event, in a timely manner.	Master Trust Indenture, Section 4.22(l).	Not in excess of ten (10) business days after the occurrence of the Event.	N/A
<u>Failure to Provide Annual Financial Information or Operating Data</u> Notice of the failure of the Obligor to provide the Annual Financial Information or Operating Data by the date required herein.	Master Trust Indenture, Section 4.22(m).	N/A	N/A
<u>Unscheduled Draws on Statutorily Mandated Operating Reserve Fund</u> Notice of the occurrence of any draw on its statutorily mandated operating reserve fund, in a timely manner, not in excess of ten business days after the occurrence of such draw.	Master Trust Indenture, Section 4.22(n).	In a timely manner, not in excess of ten (10) business days after the occurrence of such draw.	N/A
<u>Actuarial Study</u> Commencing with the Fiscal Year ending June 30, 2021, and not less than triennially thereafter, the Obligor covenants that it will disseminate or cause to be disseminated to EMMA a summary, prepared by management of the Obligor, of the actuarial study required to be prepared pursuant to the Master Indenture. Such summary shall be disseminated to EMMA with the Annual Financial Information and Operating Data, or if not available at that time, not later than fifteen (15) days after the actuarial study is finalized.	Master Trust Indenture, Section 4.23.	If not disseminated with the Annual Financial Information and Operating Data, then not later than fifteen (15) days after the actuarial study is finalized	N/A

Additional Operating Data

	<u>Filing Date</u>	<u>Initial filing Date</u>
<u>Information Appearing in Appendix A</u> To the extent not otherwise provided with the MTI Financial Information and Operating Data, the information under the following headings in Appendix A to the Official Statement: “THE EXISTING COMMUNITY – Entrance Fee and Monthly Fees,” “ – Rate Increases,” “ – Occupancy,” “Entrance Fee Turnover,” and “ – Payor Mix – Nursing, ” and “MARKETING”..	Not later than 150 days after the end of each Fiscal Year.	Thursday, May 30, 2019

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community through caring



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Product group from well managed
forests, controlled sources and
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